CRÉDIT AGRICOLE GROUP
FINANCIAL STATEMENTS 2015

UPDATE A01

OF THE 2015 REGISTRATION DOCUMENT

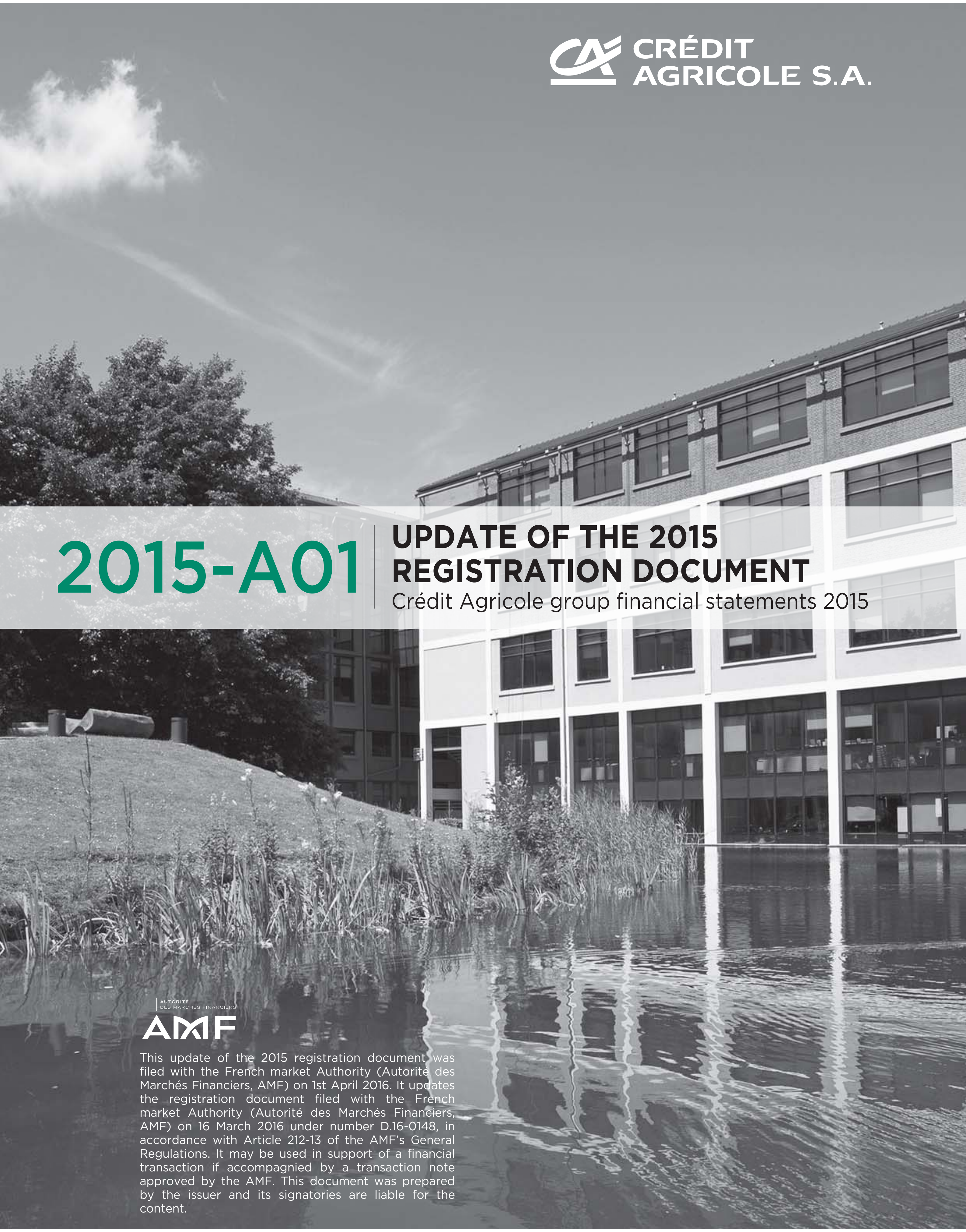
CRÉDIT AGRICOLE S.A.

Summary

This update document supplements the information published in Crédit Agricole S.A.'s Registration Document in respect of heading 7 "Organisation Chart", sub-heading 7.1 "Description of the Group", of Annexe 1 to EC Regulation 809/2004, as set out in the cross-reference table on pages 538 to 540 of the 2015 Registration Document.

It presents the 2015 financial information for the Crédit Agricole Group.

CRÉDIT AGRICOLE S.A.



2015-A01

UPDATE OF THE 2015 REGISTRATION DOCUMENT

Crédit Agricole group financial statements 2015

AUTORITÉ DES MARCHÉS FINANCIERS
AMF

This update of the 2015 registration document was filed with the French market Authority (Autorité des Marchés Financiers, AMF) on 1st April 2016. It updates the registration document filed with the French market Authority (Autorité des Marchés Financiers, AMF) on 16 March 2016 under number D.16-0148, in accordance with Article 212-13 of the AMF's General Regulations. It may be used in support of a financial transaction if accompagnied by a transaction note approved by the AMF. This document was prepared by the issuer and its signatories are liable for the content.

CRÉDIT AGRICOLE GROUP PROFILE

Leading financial partner of the French economy[1] and one of the largest banks in Europe

A universal banking Group...

The Crédit Agricole Group is the leading partner of the French economy and one of the largest banking groups in Europe. It is the leading retail bank in Europe[2] as well as the first European asset manager[3], the first bancassurer in Europe[4] and the third European player in project finance[5].

Built on its strong cooperative and mutual roots, its 140,000 employees and the 31,150 directors of its Local and Regional Banks, the Crédit Agricole Group is a responsible and responsive bank serving 52 million customers[6], 8.8 million mutual shareholders and million individual shareholders.

Thanks to its universal customer-focused retail banking model – based on the cooperation between its retail banks and their related business lines –, the Crédit Agricole Group supports its customers' projects in France and around the world: day-to-day banking, home loans, consumer finance, savings, insurances, asset management, real estate, leasing and factoring, and corporate and investment banking.

Crédit Agricole also stands out for its dynamic, innovative corporate social responsibility policy, for the benefit of the economy. This policy is based on a pragmatic approach which permeates across the Group and engages each employee.

A presence in **52** countries

140,000 employees in France and abroad

... Close customer relationships for tailored solutions

52 million customers worldwide

No. 1 bancassurer in Europe

Leading European asset manager

The bank of one out of three private customers in France[7]

The bank of almost one in two companies in France[8]

The bank of nine out of 10 farmers in France[9]

(1) *Based on the value of outstanding deposits and loans as of 31/12/2015. Source: Bank, French retail banking.*

(2) *NBI for European retail banking at end-December 2015. Source: Bank.*

(3) *In terms of total assets under management, No. 1 of all management companies who have their main office in Europe - Source IPE "Top 400 asset managers" published in June 2015 based on assets under management at December 2014.*

(4) *Source: L'Argus de l'assurance - 18 December 2015, data at end-2014.*

(5) *Source: by amount of projects arranged, Thomson Reuters.*

(6) *Scope of French and international retail banking, Crédit Agricole Consumer Finance and Crédit Agricole Bank Polska consumer finance customers.*

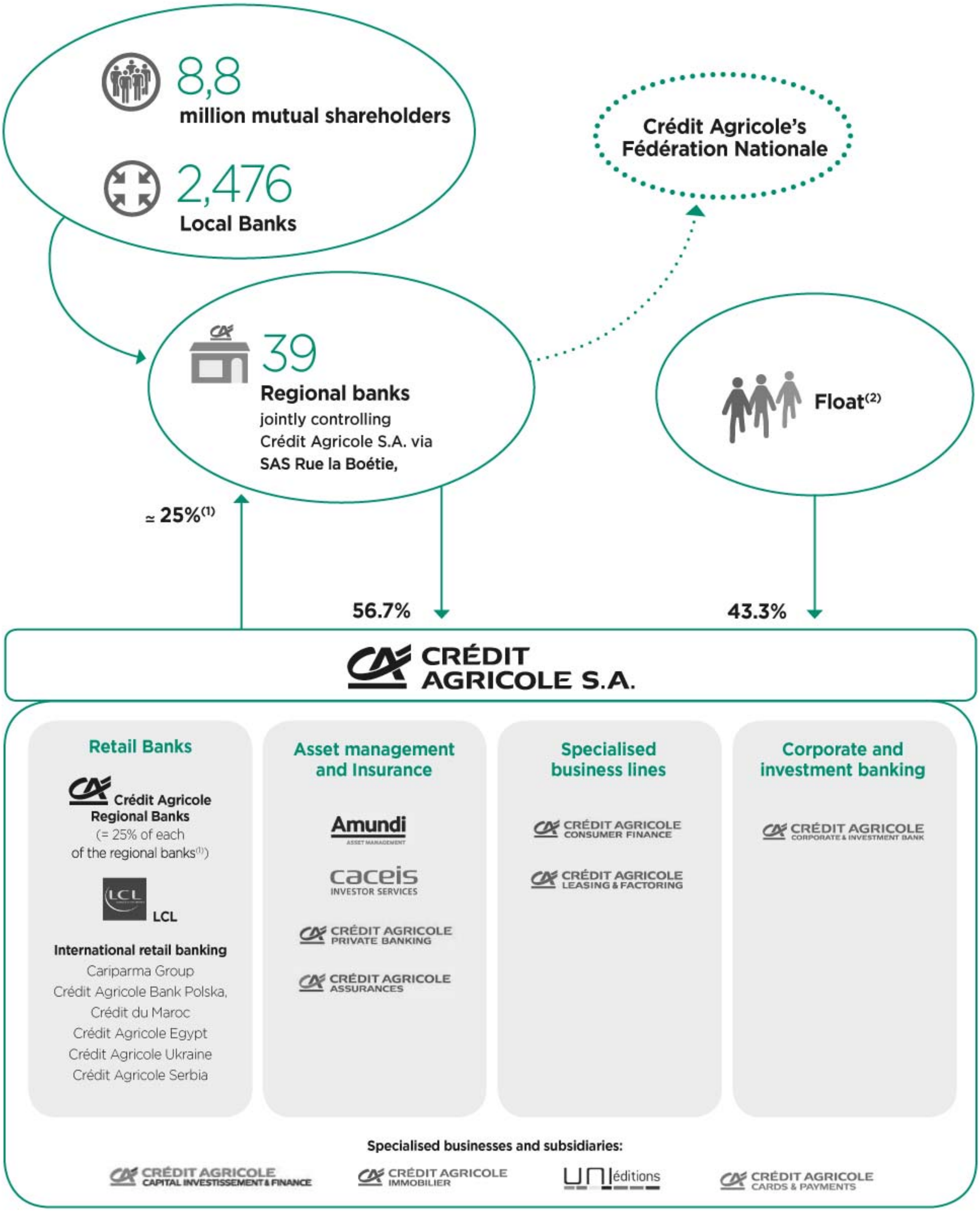
(7) *Source: Sofia's survey, TNS Sofres, March 2015.*

(8) *Source: TNS Sofres 2015.*

(9) *Source: Adéquation 2014. Global penetration rate of 85%.*

Group organisation (at 31 December 2015)

The Crédit Agricole Group includes Crédit Agricole S.A., all the Regional Banks and Local Banks and their subsidiaries.



(1) Apart from the Caisse Régionale de la Corse. The exact percentage holding in each Regional Bank is listed in Note 12 to the Financial Statements.
(2) Including treasury shares.

Key figures

Business at 31 December 2015

(in billions of euros)	31/12/2015
Total assets	1,698.9
Gross loans	829.8
Customer deposits[1]	923.8

(1) *Including debt securities*

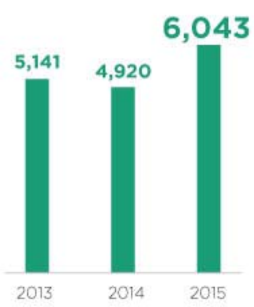
Trends in earnings

CONDENSED INCOME STATEMENT

(in millions of euros)	2013 Restated[1]	2014	2015
Revenues	30,422	30,243	31,836
Gross operating income	11,226	11,065	12,001
Net income	5,505	5,279	6,431
Net income Group share	5,141	4,920	6,043

(1) *Restated in 2013 for equity-accounting of entities under proportionate method (IFRS 10 and 11) and entities reclassified under IFRS 5.*

NET INCOME GROUP SHARE
(in millions of euros)



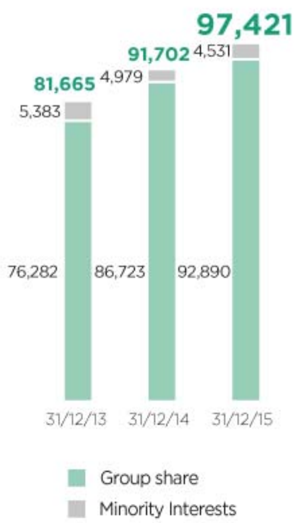
BUSINESS LINE CONTRIBUTION TO NET INCOME GROUP SHARE[1]

BUSINESS LINE CONTRIBUTION TO NET INCOME GROUP SHARE[1] BY REGION

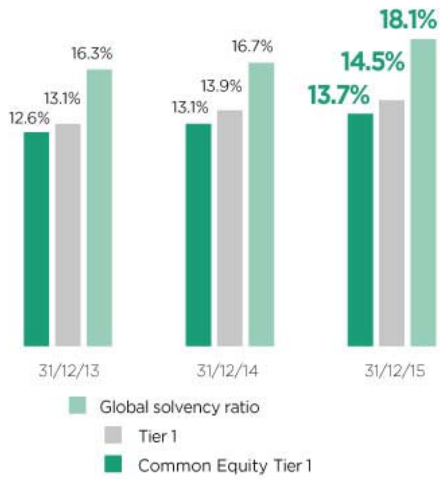
(1) Excluding Corporate Centre and the impact of accounting items (CVA/DVA/FVA, loan hedges, own debt and provision for disputes).

Financial structure

EQUITY
(in millions of euros)



SOLVENCY RATIOS FULLY LOADED
(in percentage)



Agency credit ratings at 31. March 2016

Ratings	Standard & Poor's	Moody's	Fitch Ratings	DBRS
Long-term/ Short-term Counterparty	N/A	A1(cr)/P-1(cr)	N/A	N/A
Long-term senior unsecured debt	A	A2	A	A (high)
Outlook/Review	Stable outlook	Positive outlook	Positive outlook	Stable outlook
Short-term debt	A-1	Prime-1	F1	R-1 (middle)
Last rating action	12/2/2015	6/23/2015	6/23/2015	9/29/2015
Rating action	LT/ST ratings affirmed; outlook changed to stable from negative	Counterparty rating assigned; LT/ST debt ratings affirmed; positive outlook unchanged	LT/ST ratings affirmed; LT rating outlook changed to positive from stable	LT rating lowered by one notch; ST rating unchanged

Presence in the CSR indexes

FTSE4Good

Member 2013/2014 STOXX ESG LEADERS INDICES

EURONEXT vigeo

THE FOUR BUSINESS LINES OF CRÉDIT AGRICOLE S.A. AT 1 JANUARY 2016

Retail Banking

››› Regional Banks

MISSION: with a presence in all areas, the 39 Regional Banks, co-operative entities and fully-fledged banks, help customers realise their plans: individuals, farmers, small businesses, SMEs, the public sector and social economy

OUR OFFERING: a full range of banking and financial products and services: savings products (money market, bonds, securities); life insurance; loans (namely home and consumer finance); payment instruments; personal services; banking-related services; and wealth management, plus property & casualty insurance and death and disability products.

KEY FIGURES:

21 million individual customers

More than 7,000 branches

8.8 million mutual shareholders

››› LCL

MISSION: a French retail banking network with a strong presence in urban areas, LCL provides banking and insurance solutions tailored to the needs of its customers: individual customers, small businesses, SMEs, high net worth customers (LCL Private Banking).

OUR OFFERING: a full range of banking, insurance, asset and wealth management and payment management products and services. A truly local bank thanks to its presence throughout France. More ways to access its services: customer relationship centres, internet, tablet and mobile apps.

KEY FIGURES:

6 million Individual customers

64% of points of sale in urban areas

43% of Mid-caps

››› International retail banking

MISSION: our international retail banks are primarily located in Europe (Italy, Poland, Serbia, Romania, Ukraine), and in selected countries of the Mediterranean basin (Morocco, Egypt), where they serve individual and corporate customers (PMEs and large corporates), mainly in the agriculture and food processing sector.

OUR OFFERING: our banks abroad provide a tailored range of banking products - payment instruments, loans, saving products - and insurance in synergy with the Group's other business lines.

KEY FIGURES:

6.1 million customers

2,014 branches

7 main banks

Asset gathering

››› Asset management

MISSION: Amundi develops investment solutions suited to the needs of more than 100 million retail clients and constructs innovative, high performance products for institutional customers.

OUR OFFERING: with operations in more than 30 countries, Amundi offers a full range of products covering all asset classes and major currencies: asset management (equities, bonds and diversified portfolios), liability management (ETFs and index-linked), management of long-term assets (property, private debt and private equity) and also cash and structured products.

KEY FIGURES:

Assets under management: €985 billion(5)

N° 1 in Europe for asset management(1)

Top 10 worldwide(1)

››› Insurance

MISSION: as a leading insurance group, Crédit Agricole Assurances is fully committed to protecting its customers and being a major investor in the economy.

OUR OFFERING: covers all customer insurance needs in savings retirement, the protection of property (property & casualty) and people (health, death & disability, creditor) in 10 countries with 4,000 employees, and backed by its distribution networks.

KEY FIGURES:

Revenues of €31.2 billion(2)(5)

Savings/retirement outstandings managed of €259.7 billion(5)

N° 1 bancassurer in Europe(3)

››› Wealth management

MISSION: our activity in Europe, the Middle East, Asia Pacific and the Americas illustrates our international dimension, the breadth of our expertise and the exclusive relationship we seek to have with our customers.

OUR OFFERING: a tailored approach allowing each individual customer to manage, protect and transfer their assets in a manner which best fits their aspirations. Our teams offer expert advice and first class services for the management of both private and business assets.

KEY FIGURES:

€110 billion of assets under management(4) (5)

2,700 employees(4)

presence in 14 countries(4)

(1) *Source: No. 1 in terms of assets under management of all management companies who have their main office in Europe - Source IPE "Top 400 asset managers" published in June 2015 based on assets under management as at December 2014.*
(2) *Valued under French GAAP.*
(3) *Source: L'Argus de l'assurance -18 December 2015.*
(4) *Without LCL Private Banking (≈€40bn), Regional Banks and private banking activities within the international retail banking.*
(5) *At 31/12/2015.*

Large customers

››› Corporate and investment banking

MISSION: Crédit Agricole CIB is the strategic partner of its customers, corporates and financial institutions, in France and internationally, thanks to its network in the main countries of Europe, Americas, Asia-Pacific and Middle East.

OUR OFFERING: products and services in investment banking, structured finance, international trade finance and transaction banking, capital market activities and syndication, and its known worldwide "green" finance expertise.

KEY FIGURES:

N° 1 bookrunner – aviation financing worldwide *(Air Finance)*

N° 1 bookrunner – green bonds worldwide *(CACIB)*

Presence in 33 countries

››› Asset servicing

MISSION: CACEIS, a specialist back-office banking group, supports management companies, institutional investors, banks, sovereign wealth funds, brokers and companies in the execution of their orders, including custody and management of their financial and physical assets.

OUR OFFERING: asset servicing solutions throughout the full life cycle of investment products and for all asset classes: execution, offsetting, custodianship, fund administration, middle-office solutions, forex, stock lending and borrowing, fund distribution support and services to issuers.

KEY FIGURES:

€1,477 billion assets under management[(4)]

€2,327 billion assets under custody[(4)]

€879 billion assets deposited[(4)]

Specialised financial services

››› Consumer finance

MISSION: a key player in consumer finance in Europe, Crédit Agricole Consumer Finance offers its customers and partners a range of flexible, tailored and responsible solutions. Digital is one of its strategic priorities.

OUR OFFERING: a broad range of financing and insurance solutions which meet consumers' needs and are available directly from the branches and through retail outlets (automotive, household equipment, etc.), via distributors and major retailers and as part of joint ventures with major car manufacturers.

KEY FIGURES:

€71.2 billion in outstandings managed[(4)]

including €13.5 billion for the Group's retail banks[(4)]

presence in 21 countries

››› Leasing and factoring

MISSION: CAL&F provides solutions for businesses of all sizes for their investment plans and the management of their trade receivables, through its offering of lease financing and facturing services in France and Europe.

OUR OFFERING: offer equipment and property lease financing solutions to meet equipment investment and renewal requirements. CAL&F provides trade receivable financing and management solutions for corporates, both for their day-to-day operations and for their expansion plans.

KEY FIGURES:

€21.1 billion in outandings managed (of which 28% abroad)[(4)]

ranked second for leasing in France[(2)]

ranked second for factoring in France[(3)]

(2) Source: Company.
(3) Source: ASF.
(4) At 31/12/2015.

Specialised businesses and subsidiaries

Crédit Agricole Immobilier
2.9 million sq.m. under management[(4)]
3.394 homes under production[(4)]

Crédit Agricole Capital Investissement & Finance (Idia, Sodica)
€1.1 billion assets under management[(4)]
24 transactions advised

Payment Systems & Services
Leader in France with 30% of the French payments market
9.5 billion transactions processed each year by the Group's payment platform/3PG

Uni-Éditions
11 magazines, 10 million readers[(1)]
Number 1 family, healthcare and art of living magazine[(1)]

(1) Source: Office de Justification de la Diffusion, OJD., January 2016.

1 MANAGEMENT REPORT

OPERATING AND FINANCIAL INFORMATION

PRESENTATION OF CRÉDIT AGRICOLE GROUP FINANCIAL STATEMENTS

Crédit Agricole Group comprises 2,476 Local Banks, 39 Regional Banks, a central body "Crédit Agricole S.A.", and their subsidiaries.

Crédit Agricole has a unified yet decentralised organisation structure. It is based on a three-tier structure, with the Local Banks grouped into the Regional Banks which, *via* SAS Rue La Boétie, own 56.7% of the share capital of Crédit Agricole S.A. (at 31 December 2015); the latter is listed on Euronext Paris, compartment A.

Crédit Agricole handles financial, commercial and legal issues in a cohesive manner, while encouraging decentralised responsibility. The Local Banks form the bedrock of the Group's mutual organisation. Their share capital is held by 8.8 million mutual shareholders electing some 31,000 directors. The Local Banks play a key role in maintaining a strong local presence and close relationships between the Group and its customers. The Local Banks hold the bulk of the capital of the Regional Banks, which are co-operative entities with variable capital and fully-fledged banks. The Regional Banks own SAS Rue La Boétie, which in turn holds the majority of Crédit Agricole S.A.'s equity. The Fédération Nationale du Crédit Agricole (FNCA) acts as a consultative and representative body, and as a forum for the Regional Banks.

When Crédit Agricole S.A. was floated in December 2001, it was organised to represent all of the Group's business lines and components. Crédit Agricole S.A. is the central body of Crédit Agricole's network, which includes the 39 Regional Banks and Crédit Agricole Corporate and Investment Bank (which has been affiliated to it since 14 December 2011). In accordance with the French Monetary and Financial Code, Crédit Agricole S.A. ensures the cohesion of the Crédit Agricole's network and sees to it that all affiliated lending institutions run smoothly. It also represents the December 2014.

Group *vis-à-vis* the banking authorities. It also ensures their compliance with all regulations and legislation governing them by exercising administrative, technical and financial control over them. It takes all necessary measures to guarantee the liquidity and solvency of both the network as a whole and of each of the institutions affiliated to it. It is responsible for the Group's consistent development and works with its specialist subsidiaries to co-ordinate the various business lines' strategies in France and abroad.

Crédit Agricole Group is a banking group with a central body as defined by the first banking directive of the European Union (EC 77/780), and prepares consolidated financial statements in accordance with Directive 86/635 in the capacity of reporting entity, as defined by European regulation 1606/2002, comprising a central body and its affiliates.

Changes to accounting policies and principles

Changes to accounting policies and principles are described in Note 1 to the consolidated financial statements for the year ended 31 December 2015.

All 2014 data has been restated following the application of IFRIC 21.

Changes in the scope of consolidation

Changes in the scope of consolidation are described in Notes 2 and 12 to the consolidated financial statements for the year ended 31 December 2015.

ECONOMIC AND FINANCIAL ENVIRONMENT

2015 was a year of sharply differing growth rates across the world. In the United States, GDP grew steadily at an enviable 2.4%. In Europe growth picked up to 1.5%, but in the emerging economies it dipped to 3.8%. Financial markets underwent some turbulent episodes: jumpy all year, they fluctuated on doubts about the pace of monetary policy tightening by the FED and the scale of the Chinese slowdown.

China was constantly at the forefront of the economic and financial scene. As was only to be expected, China's slow transition toward a new growth model based on consumption and services led to an obvious slowdown in growth to 6.9%. However, thanks to the traditional props of public spending and looser monetary policy, it did not collapse. A hard landing was avoided, but at the cost of growing imbalances including the mushrooming of a now massive internal debt. The ratio of non-financial sector debt/GDP seems to be heading for 250%.

The slowdown in China, which had been a very high consumer of energy, triggered a steep decline in commodity prices, most prominently oil. The price of Brent crude slumped by 35% year-on-year with half of this fall coming between the June peak and year end.

In the USA household consumption was once again the main contributor to growth, As the jobs market improved, people found themselves with more income and better household finances and the value of their assets rose. Lower oil prices may have dampened productive investment and industrial output but were good for the economy as a whole. Cheap energy and falling prices of imported goods helped keep inflation low, which in turn helped household buying power. Residential real estate also picked up: attractive mortgage rates continue to provide valuable support to the market. In contrast, the rising dollar acted as a drag on growth. The loss of competitiveness, exacerbated by uninspiring global demand, hampered net exports and shaved around 0.7 points off the economy's growth rate.

In the Eurozone, growth firmed and spread through most member states. This more widespread recovery owed much to vigorous consumer spending driven, in large part, by rising salaries and low inflation. Household finances were looking healthier: debt interest was down and net wealth up. Companies also improved their financial position: cash piles grew, the need to pay down debt became less burdensome and terms for new credit eased. We saw signs of a revival in productive investment, a hitherto missing link. In France, at long last, signs emerged of a gradual recovery. That said, French growth remains below the European average. Despite ups and downs in 2015, including a dip in the second quarter and fallout from the terrorist attacks in the fourth, growth was 1.1% in 2015 compared to 0.2% in 2014.

If advanced economies seem to have got their act together, helped by cheap energy and defying the slowdown in global demand, for emerging markets it is a different story. These bore the brunt of a largely indiscriminate resurgence of risk aversion on financial markets, driven by fears of US monetary tightening, plunging commodity prices and speculation on the scale of China's slowdown. This sudden disenchantment sent risk premiums on their foreign currency debt soaring and exchange rates tumbling. The crisis brought to light points of fragility that the good years had hidden: stubborn external constraints, domestic demand that, despite the emerging middle class, is still too immature to absorb an external shock, tools of economic policy that are running out of steam as there is limited room for manoeuvre on monetary and fiscal policy.

Differences between the major countries and economic regions are both striking and growing. and the differences between their monetary policies are equally stark. Although still well short of its 2% inflation target, the FED had nevertheless fulfilled the employment side of its mandate and felt able to carefully start tightening monetary policy again. Having closely observed the potential negative impacts of external events, including the steep appreciation of the dollar and stalling of global demand, it hiked the FED Funds rate by 25 basis points in December, to 0.50%. Across the Atlantic, the European Central Bank (ECB) had already taken one step towards a determinedly non-conventional policy by moving to a negative deposit rate of -0.10% in June 2014, then -0.20% in September 2014. In 2015, it went further, vigorously embracing ultra-accommodative monetary policy. The quantitative easing (QE) announced in January and introduced in March, was not unexpected. However, its volumes and duration were: €60 billion of purchases per month with the programme continuing until September 2016. Aside from the stated target of anchoring inflationary expectations around its 2% target, the policy was implicitly designed to depreciate the euro and stimulate lending. As inflationary expectations stayed stubbornly flat (and growth prospects bleak) the ECB gradually further loosened its already accommodative monetary policy by extending the range of securities eligible for purchase before, in December, cutting a further 10 basis points off its deposit rate and extending the QE programme until March 2017.

In the course of the year, despite spells of high tension, US 10Y yields rose by less than 20 basis points, ending the year at 2.30%: still very low. In the Eurozone, the long-term benchmark (the German 10Y), which had been locked in a vertiginous slide since its 2% peak in January 2014, bottomed out in April 2015 at a low of 0.2%; having started 2015 at 0.5% it thus ended the year at 0.63%. This remains a very low rate, even if 2Y rates plunged unremittingly further into negative territory, slipping from -0.1% to -0.35% in the course of 2015. Finally, the euro lost 10% against the dollar in 2015.

CRÉDIT AGRICOLE GROUP OPERATIONS AND CONSOLIDATED RESULTS

(in millions of euros)	**2015**	**2014 Restated**	**Change 2015-2014**
Revenues	**31,836**	**30,239**	**+5.3%**
Operating expenses	(19,835)	(19,169)	+3.5%
Gross operating income	**12,001**	**11,070**	**+8.4%**
Cost of risk	(3,031)	(2,943)	+3.0%
Operating income	**8,970**	**8,127**	**+10.4%**
Share of net income of equity-accounted entities	475	(387)	n.m.
Net income on other assets	(5)	51	n.m.
Change in value of goodwill	-	(23)	n.m.
Pre-tax income	**9,440**	**7,768**	**+21.5%**
Income tax charge	(2,988)	(2,478)	+20.5%
Net income from discontinued or held-for-sale operations	(21)	(7)	n.m.
Net income	**6,431**	**5,283**	**+21.7%**
NET INCOME GROUP SHARE	**6,043**	**4,924**	**+22.7%**

The economic environment proved tougher than expected in 2015, with only a modest recovery in growth and persistently low interest rates, which was unhelpful for the Retail Banking business. Despite this context, the Crédit Agricole Group's profitability rose sharply in 2015, supported by the upturn in business lines that made major refocusing efforts between 2011 and 2013. To support future growth, in line with the Medium Term Plan 2014-2016, French retail banking continued to transform its branch networks, pushing ahead its IT and organisational projects. The Group also continued its expansion in Europe. Amundi acquired Bawag PSK Invest, an Austrian asset management company backed by a banking network, in February 2015, while CACEIS progressively extended its network in Europe. Wealth Management, meanwhile, opened a branch in Italy.

Business remained strong in the Retail banking networks with both individual and corporate customers, benefiting subsidiaries in all the Group's business lines. In particular, on-balance sheet assets grew by 4.3% over the year and loans outstanding by 5.0% (scope: Regional Banks, LCL and Cariparma). The Savings management and Insurance business line attracted record net inflows of €91 billion in 2015. Crédit Agricole Assurances remains Europe's number one bancassurer. Consumer finance assets under management rose 3.5% on the year. In Corporate and investment banking, commercial momentum was solid in structured finance, and the fixed income and foreign exchange businesses also performed well.

Crédit Agricole S.A.'s **revenues** amounted to €31,836 million in 2015, an increase of 5.3% compared to 2014. This figure includes €512 million of specific items, compared with -€484 million in 2014. For both years, these items include issuer spreads, DVA running and loan hedges recognised in Corporate and investment banking. In 2014, they also included the impact of day 1 and changes in CVA/DVA/FVA methodology and the gain on revaluation of Bank of Italy shares recognised in Cariparma's contribution. In 2015, they included the indemnity received from Alpha Bank recognised in the Corporate centre. Excluding these impacts, business line revenues increased by 2.0% compared with 2014. This growth was driven mainly by an excellent performance in Savings management and Insurance. The business line's revenues rose 10.6%, driven by growth at Amundi and in the insurance business. Revenues at LCL fell 2.8% over the year, excluding home purchase savings plan provisions. The combined effect of early repayments and loan renegotiations did not fully offset good margins at inception and growth in insurance commissions. Cariparma's revenues were up 1.9% compared with 2014[1]. The interest margin remained stable over the period, showing resilience in a climate of low interest rates in Italy, while fee and commission income increased by 2%. Revenues of the other international retail banking entities, excluding Cariparma, rose 4.5% compared with 2014, driven mainly by a strong commercial performance in Egypt. Revenues from Specialised financial services, meanwhile, stabilised in 2015, reflecting the change in outstandings. Revenues at Corporate and investment banking, restated for accounting changes, grew 5.0% on the year, helped particularly by exchange rate effects. Finally, in 2015, the Corporate centre reduced its negative revenue contribution by €371 million.

Operating expenses for the year were €19,835 million, up by 3.5% on 2014. Operating expenses at business lines included a number of external negative impacts: a €173 million exchange rate effect related to the euro/dollar and €230 million in contributions to the Single Resolution Fund and new taxes. Excluding these items, business line operating expenses in 2015 were well controlled, increasing by 2.7% compared with 2014. The increase was mainly concentrated in the expanding business lines (Insurance and Asset management) and Corporate and investment banking (one-off impact of €30 million). Expenses in the Corporate centre fell year-on-year.

In all, the cost/income ratio was 62.3% in 2015, a year-on-year improvement of 1.1 percentage points.

The **cost of risk** stood at €3,031 million, a rise of 3% from €2,943 million in 2014. Restated for litigation provisions (€350 million in the second quarter of 2015 and €150 million in the fourth quarter) the cost of risk remained moderate, representing 30 basis points of outstandings compared to 37 basis points in 2014. The reduction was mainly due to falling cost of risk at Crédit Agricole Consumer Finance. Risk in French retail banking was unchanged. Cost of risk at the Regional Banks was also stable in 2015 at 18 basis points of outstandings. At LCL it was 13 basis points, helped by recoveries from old legal risks. At Cariparma, cost of risk fell throughout the year, from 140 basis points of outstandings in 2014 to 117 in 2015. CA Consumer Finance benefited from Agos's return to a normal cost of risk. At 162 basis points of 2015 outstandings, it was down by 102 basis points compared to 2014. Investment banking enjoyed a relatively low cost of risk during the year: stripping out the additional provision for OFAC litigation (€350 million), cost of risk fell by 7 basis points during the year to 18 basis points of outstandings.

Impaired loans (excluding lease finance transactions with customers, Crédit Agricole internal transactions and accrued interest) were down slightly to €14.8 billion at end-December 2015, representing 3.5% of gross customer and interbank loans outstanding compared with 3.6% at end-2014[2] Agos Ducato disposed of €579 million of provisioned doubtful loans at the end of 2015, following €872 million at end-2014. The ratio of impaired loans covered by specific reserves was 53.9% versus 54.2% at end-December 2014[2]. Including collective reserves, the impaired loans coverage ratio stood at 71.5% at 31 December 2015 (based on outstandings before guarantees and collateral).

The share of net income from equity-accounted entities was €475 million, boosted in particular by the strong contribution from Eurazeo in 2015 and flattered by losses on the BES stake in 2014 (€708 million).

Income before tax was €9,440 million compared with €7,768 million in 2014 a year-on-year increase of 21.5% It was helped by a favourable scissors effect and rising net income from equity-accounted entities.

The **effective tax rate** of Crédit Agricole Group is 33.3%.

The **net income Group share** of Crédit Agricole totalled €6,043 million. Adjusted for specific items (issuer spreads, DVA running, loan hedges, increased legal provisions and the indemnity received from Alpha Bank) net income Group share rose was €6,164 million.

Liquidity

Crédit Agricole Group's cash balance sheet totalled €1,058 billion at end-December 2015, compared with €1,029 billion at end-December 2014.

The surplus of long term funding sources to long term applications of funds was €108 billion at end-December 2015 compared with €101 billion at end-December 2014, an increase of €7 billion.

Liquidity reserves after valuation gains/losses and haircuts amounted to €257 billion at end-December 2015, covering 257% of gross short term debt, versus 203% at end-December 2014. HQLA securities after valuation gains/losses and haircuts represented 216% of short term debt not deposited with Central Banks. Both the Group and Crédit Agricole S.A. had an LCR ratio exceeding 110% at end-December 2015.

(1) Excluding specific items recognised by Crédit Agricole S.A. in Q1-14 (including +€80 million in revenues).

(2) Restated in December 2014 for adoption of IFRS 5 by CA Albania.

During 2015, the main Crédit Agricole Group issuers raised €33.6 billion of senior and Tier 2 debt in the market and the branch networks. Crédit Agricole itself raised the equivalent of 7.8 billion euros in senior debt and of €3.8 billion in Tier 2 in the market. Moreover, the Group's subordinated debt was actively managed. Crédit Agricole Assurances, in particular, issued Tier 2 debt (grandfathered in Tier 1) for €1 billion. Finally, the first true sale securitisation of French home loans was completed, for an amount of €10 billion, fully retained for reserve purposes.

Operations and results by business segment

Crédit Agricole S.A. Group structures its business into seven operating segments, including six business lines:

- French retail banking – Crédit Agricole Regional Banks;
- French retail banking – LCL;
- International retail banking;
- Asset management and Insurance;
- Specialised financial services;
- Corporate and investment banking;
- plus the Corporate centre.

The Group's business lines are defined in Note 5 to the consolidated financial statements for the year ended 31 December 2015 – "Operating segment information". The organisation and activities are described in section 1 of Crédit Agricole S.A.'s Registration document.

CONTRIBUTION BY BUSINESS LINE TO CRÉDIT AGRICOLE S.A.'S NET INCOME GROUP SHARE

(in millions of euros)	2015	2014 Restated
French retail banking – Regional Banks	3,589	3,543
French retail banking – LCL	594	613
International retail banking	259	(478)
Savings management and Insurance	1,769	1,560
Specialised financial services	484	279
Corporate and investment banking France	754	1,055
Corporate centre	(1,406)	(1,648)
TOTAL	**6,043**	**4,924**

1. French retail banking – Crédit Agricole Regional Banks

(in billions of euros)	2015	2014	Change 2015-2014
Revenues	**14,493**	**14,243**	**1.8%**
Operating expenses	(8,117)	(7,987)	1.6%
Gross operating income	**6,376**	**6,256**	**1.9%**
Cost of risk	(729)	(728)	0.0%
Share of net income of equity-accounted entities	23	(2)	n.m.
Net income from other assets and change in the value of goodwill	(8)	2	n.m.
Income before tax	**5,662**	**5,528**	**2.4%**
Income tax charge	(2,071)	(1,985)	4.3%
Net income	**3,591**	**3,543**	**1.3%**
NET INCOME GROUP SHARE	**3,589**	**3,543**	**1.3%**

In terms of activity, despite the low interest rates and lacklustre economic growth in France, the Regional Banks reported a satisfactory level of deposits, although loans were more limited.

Customer deposits totalled €622 billion at 31 December 2015 (+2.8% year-on-year), of which €369 billion was represented by on-balance sheet deposits, a year-on-year increase of 3.7% with a favourable change in product mix. The dynamic trend in demand deposits continued in 2015, with deposits up 12.3% year-on-year, while time accounts and deposits fell by 7.2% over the same period. The progression of home purchase savings plans was sustained, recording an increase of 8.2% over the year. First introduced in 2014, the relaunch of mutual shareholder passbook accounts by the Regional Banks continued in 2015, with deposits rising 18.4% year-on-year to reach €7.9 billion. Off-balance sheet deposits amounted to €253 billion at 31 December 2015, up 1.5% over the year, still benefiting from life insurance products, which increased to €179 billion at year-end, a rise of 3.5%.

(in billions of euros)	**31/12/2015**	**31/12/2014**	**Change 2015-2014**
Demand deposits	104.4	93.0	+12.3%
Passbook savings (1)	112.3	112.2	+0.0%
Home purchase savings	88.6	81.8	+8.2%
Term deposit accounts(2)	63.9	68.8	(7.2%)
Sub-total deposits	**369.1**	**355.8**	**+3.7%**
Life insurance	178.6	172.7	+3.5%
Securities (equities, bonds, negotiable debt securities, redeemable subordinated loans, CCI, etc.)(3)	42.9	44.4	(3.5%)
Mutual funds(4) and REITs	31.3	32.1	(2.3%)
Sub-total off balance sheet resources	**252.9**	**249.2**	**+1.5%**
TOTAL OUTSTANDINGS(5)	**622.0**	**605.0**	**+2.8%**

(1) Passbook savings accounts, youth passbook accounts, "popular savings" plans and accounts (LEP), sustainable development passbook accounts and mutual shareholder passbook accounts.

(2) Including interest bearing notes, "popular savings" plans (Plan d'Epargne Populaire) and negotiable CDs for non-financial customers.

(3) Securities held by the securites centres in the Regional Banks' customer portfolios (excluding negotiable debt securities for non-financial and interbank customers).

(4) Including non-Group mutual funds.

(5) Excluding financial customers' investments.

Loans outstanding were also up by 2.9% over the year, totalling €411.5 billion at end-2015. Growth stemmed primarily from home loans, which were up 4.4% over the year to €239.4 billion, as well as consumer finance, which also increased by 4.4% to €15.5 billion at end-2015. Over the same period, the number of insurance contracts in stock increased by 3.8%.

Consumer finance outstandings amounted to:

(in billions of euros)	**31/12/2015**	**31/12/2014**	**Change 2015/2014**
Home loans	239.4	229.3	+4.4%
Farming	37.0	36.3	+2.2%
Corporates and small businesses	83.5	78.7	+6.2%
Consumer finance	15.5	14.9	+4.4%
Local authorities	36.0	40.9	(12.1%)
TOTAL	**411.5**	**400.1**	**+0.6%**

For full year 2015, the Regional Banks' contribution to Crédit Agricole Group's net income was €3,589 million, an increase of 1.3% on 2014, including an impact from the home purchase savings plan provisions of €1 million on revenues (versus €(195) million in 2014) and an operating expense impact of €(12) million related to the Single Resolution Fund (SRF). Excluding the home savings impact, revenues were up slightly by 0.4% over the year, driven by growth in lending and fee and commission income. Despite the growth in lending volumes, the net interest margin was penalised in 2015 by loan renegotiations in a highly competitive environment. However, fee and commission income rose by 5% over the year, driven by 7.2% growth in insurance commissions. Restated for the SRF impact, operating expenses were €8,105 million in 2015, a contained increase of 1.5% compared with 2014, reflecting investment by the Regional Banks (especially €68 million of IT spend to develop digital banking during the year). The cost/income ratio remained low at 55.9% in 2015, compared with 56.1% in 2014, excluding SRF impact. Lastly, risks remained well controlled. The cost of risk was €729 million in 2015, stable compared with 2014, and the cost of risk on outstandings was also stable, at 18 basis points of outstandings at end-2015, unchanged from end-2014. In addition, the impaired loans ratio was 2.5% of gross outstandings at end-December 2015 compared with 2.6% at 31 December 2014, and the coverage ratio of reserves to impaired loans was still above 100% (102.6% at 31 December 2015 compared to 101.3% at 31 December 2014).

2. French retail banking – LCL

(in millions of euros)	2015	2014 Restated	Change 2015[1]-2014[2]
Revenues	**3,631**	**3,677**	**(1.3%)**
Operating expenses	(2,561)	(2,532)	(1.1%)
Gross operating income	**1,070**	**1,145**	**(6.9%)**
Cost of risk	(134)	(183)	(26.8%)
Net gains (losses) on other assets	(2)	(1)	n.m.
Pre-tax income	**934**	**961**	**(3.3%)**
Income tax charge	(340)	(347)	(2.5%)
Net income	**594**	**614**	**(3.7%)**
NET INCOME GROUP SHARE	**594**	**614**	**(3.7%)**

(1) *After adjustment for provision for home purchase savings scheme (-€10 million in 2015), the integration of BFCAG (-€40 million of revenues in 2015) and the transformation plan (-€53 million of revenues in 2015).*

(2) *After adjustment for provision for home purchase savings scheme (-€48 million in revenues in 2014), changes in CVA/DVA methodology (-€15 million in revenues in 2014) and regulatory cap on charges (--€20 million in revenues in 2014).*

LCL recorded a strong business performance, thanks in large part to its commercial dynamism with 72,000 net new accounts opened. Customer-related funds were €175.1 billion, up 4.7% on the year. Off-balance sheet customer assets increased by 1.7%, mainly due to life insurance inflows (+3.1% over the period) while on-balance sheet deposits increased by 7.4% over the year, driven by demand deposits (+14.1%).

Loans outstanding amounted to €97.3 billion at end-December 2015, an increase of 6.5% compared with the previous year. Growth was driven by home loans, which increased by 7.4% year-on-year to €62.9 billion, and a recovery in small business and entreprise lending.

The loan to deposit ratio was 108% at end-December 2015, an improvement of 1 percentage point compared with end-2014.

Revenues were €3,631 million in 2015, down by 1.3%. The change was due to the combined effect of early repayments and loan renegotiations which were not fully offset by good margins at inception and growth in insurance commissions. Operating expenses were well controlled, decreasing by 1.1% excluding investments in the transformation plan, SRF and impacts related to the consolidation of BFCAG. The cost of the "Centricité Client 2018" transformation plan was 53 million euros in 2015, an increase of 23.1% compared with 2014. The cost of risk was €134 million. It remained low throughout the year, representing 13 basis points of outstandings. The impaired loans ratio therefore came to 2.2%, stable compared with end-December 2014. The impaired loan coverage ratio including collective reserves was more than 73% at end-2015 and end-2014.

In all, net income Group share was €594 million in 2015, down 3.7% compared with 2014.

3. International retail banking

In 2015, the business line posted net income Group share of €259 million compared with a loss of €478 million in 2014, which was penalised by the full write-down of the equity-accounted value of the BES holding for €708 million.

(in millions of euros)	2015	2014 Restated	Change 2015-2014
Revenues	**2,725**	**2,729**	**(0.2%)**
Operating expenses excluding SRF, deposit guarantee fund and rescue plans	(1,550)	(1,527)	+1.5%
SRF, deposit guarantee fund and rescue plans for Italian banks and a Polish bank	(48)	-	n.m.
Gross operating income	**1,127**	**1,202**	**(6.2%)**
Cost of risk	(596)	(757)	(21.1%)
Operating income	**531**	**445**	**+18.9%**
Equity-accounted entities	-	(721)	n.m.
Net gains (losses) on other assets	2	(2)	n.m.
Change in value of goodwill	-	-	n.m.
Pre-tax income	**533**	**(278)**	**n.m.**
Income tax charges	(172)	(144)	+19.2%
Net income from discontinued operations	(21)	12	n.m.
Net income for the period	**340**	**(410)**	**n.m.**
Non-controlling interests	81	68	+18.3%
NET INCOME GROUP SHARE	**259**	**(478)**	**N.M.**

In Italy, the environment remains dominated by low interest rates, which is holding back revenues and hampering the normalisation of cost of risk. In this environment, Cariparma proved resilient, thanks in large measure to its regional positioning concentrated in the north of the country, and continued its strong commercial performance.

CARIPARMA'S CONTRIBUTION TO CRÉDIT AGRICOLE GROUP RESULTS(1)

(in millions of euros)	2015	2014 Restated[(1)]	Change 2015-2014[(1)]
Revenues	**1,689**	**1,658**	**+1.9%**
Operating expenses excluding SRF, deposit guarantee fund and rescue plans	(933)	(927)	+0.8%
SRF, deposit guarantee fund and rescue plans for Italian banks	(42)	-	n.m.
Cost of risk	(389)	(460)	(15.4%)
Net income	**210**	**177**	**+18.3%**
NET INCOME GROUP SHARE	**174**	**145**	**+19.5%**

In Italy, Cariparma continued its strong commercial performance in 2015. On-balance sheet deposits totalled €36.8 billion at end-December 2015, a rise of 2.7% on the year, led by demand deposits. Customer loans stood at €33.7 billion at end-2015, an increase of 1.1% over the year in an Italian market down 1.2% over the same period *(source: ABI, January 2016)*. The strong performance was driven by retail customer loans, up 3.9% year-on-year, and in particular by home loans (+5.2% year-on-year). The ratio of loans (net of specific reserves) to deposits was therefore 86% at end-2015 compared with 88% at end-2014. Cariparma also had surplus liquidity of €5.2 billion at end-2015, a €0.8 billion increase in 2015.

Off-balance sheet customer assets totalled €60.2 billion at end-2015, an increase of 5.8% over the year thanks to very strong business momentum particularly in life insurance and mutual funds, which, overall, increased by 11.6% over the year. Total customer assets therefore amounted to €97 billion at end-2015, an increase of 4.6% compared with end-2014.

For the full year, Cariparma's revenues were €1,689 million, an increase of 1.9%[(1)] compared with 2014. Fee and commission income grew 2%[(1)] between 2014 and 2015 and net interest margin was unchanged despite the low interest rate environment.

Operating expenses were affected in 2015 by the cost of the Single Resolution Fund (SRF), contribution to the deposit guarantee fund and the contribution to a dedicated resolution fund for four Italian banks. Restated for those items (€42 million in 2015), operating expenses remained under control, with a limited increase of 0.8% compared with 2014. The restated cost/income ratio[(1)] was 55.3% in 2015, a year-on-year improvement of 0.6 of a percentage point compared with 2014[(1)].

The cost of risk was €389 million in 2015, a decrease of 15.4%[(2)] compared with the previous year. The doubtful loan inflows were down significantly, by 41% between 2014 and 2015. The cost of risk therefore decreased from 140[(2)] basis points of outstandings in 2014 to 117 basis in 2015. The impaired loans ratio to total outstandings was 13.8% at end-2015, with an increasing coverage ratio (including collective reserves) of 45.5% compared with 44.4% at end-2014.

In all, Cariparma's net income Group share came to €174 million in 2015, an increase of 19.5%[(1)] compared with 2014 and an increase of 35.9%[(2)] restated for the SRF, deposit guarantee fund and Italian bank rescue plan. Based on the local scope of consolidation, Cariparma Group's net income was €221 million in 2015.

The Group's other international entities delivered a strong commercial performance with 3.1% growth in total on-balance sheet assets over the year to €11.5 billion and 2.1% growth in gross loans outstanding to €10.2 billion at end-2015. The surplus of deposits over loans (net of reserves) thus amounted to €2.1 billion at end-2015.

For the full year, revenues of the other international retail banking entities excluding Cariparma totalled €1,036 million, an increase of 4.5% compared with 2014, driven mainly by a strong commercial performance in Egypt. Operating expenses were driven up in Poland by the €6 million exceptional charge to the Deposit guarantee fund and Support fund for borrowers in difficulty, following the collapse of a Polish bank. Stripping this out, growth in operating expenses for the other international entities was contained to 2.5%[(2)] and the cost/income ratio stood at 59.5%[(3)], an improvement of 0.6 of a percentage point compared with 2014. The cost of risk was €207 million, a year-on-year increase of 10.7%. It was affected by the situation in Morocco and Poland, but improved in Ukraine. In all, net income Group share was €85 million compared with a loss of €606 million in 2014, which was penalised by the net negative impact of impairment for BES of -€708 million recognised in the share of income from equity-accounted entities.

(1) Excluding the SRF, deposit guarantee fund and the contribution to a support fund for italian banks in 2015.

(2) Excluding, in 2014, items accounted for by Crédit Agricole S.A. in Q1-14 (+€80 millions in revenues of which +€92 million for revaluation of Bank of Italy securities and -€109 million in cost of risk) as well as income tax linked to these items.

(3) Excluding the support fund for a polish bank in 2015

4. Savings management and Insurance

This business line encompasses asset management, insurance, private banking and asset servicing.

The business line's assets under management amounted to €1,396 billion at end-December 2015, an increase of nearly €128 billion since end-December 2014. The increase reflected robust net inflows during the year, coupled with positive material market and foreign currency impacts. Excluding the market and currency effect of almost €32 billion and a scope effect of about €5 billion, this represents net inflows of almost €91 billion during 2015 compared with about €42 billion in 2014. In 2015, Amundi contributed net inflows of almost €80 billion, Savings/retirement insurance almost €7 billion and Private banking more than €4 billion.

Net profit Group share for the division came to €1,769 million in 2015, with Insurance contributing 67%, Asset management 22%, Private banking 6% and CACEIS 5%.

(in millions of euros)	2015	2014 Restated	Change 2015-2014
Revenues	**5,653**	**5,109**	**+10.6%**
Operating expenses	(2,750)	(2,558)	+7.5%
Gross operating income	**2,903**	**2,551**	**+13.8%**
Cost of risk	(29)	(63)	(53.3%)
Share of net income of equity-accounted entities	25	17	+49.1%
Net gains (losses) on other assets	10	50	(80.4%)
Change in value of goodwill	-	(22)	n.m.
Pre-tax income	**2,909**	**2,533**	**+14.8%**
Income tax charge	(1,001)	(835)	+19.9%
Net income from discontinued or held for sale operations	3	0	n.m.
Net income	**1,911**	**1,698**	**+12.5%**
NET INCOME GROUP SHARE	**1,769**	**1,560**	**+13.3%**

In **Asset management**, the key event of 2015 was Amundi's successful initial public offering, a new stage that will help to accelerate the expansion of this subsidiary.

Amundi delivered record inflows in 2015, ranking world number four asset gatherer of open-end funds(1) and number one in France(2) with more than half of all open-end fund inflows during the year stemming from this country. At end-2015, Amundi had €985 billion in assets under management, an increase of 12.2% compared with end-2014. Net inflows reached a record with almost €80 billion and were buoyant across all client segments, including €41.5 billion from the retail branch networks (individual and small business clients) and €38.4 billion from institutional investors and large corporates. In this latter segment, the bulk of inflows (€33.7 billion) came from outside the management contracts with Crédit Agricole and Société Générale group insurers. In the retail branch networks, though, the joint ventures contributed three quarters of inflows (€31.3 billion). The market and currency effect amounted to €22.4 billion in 2015 and the scope effect to €5.3 billion (consolidation of Bawag PSK Invest in the first quarter of 2015).

Amundi delivered an excellent performance outside France, with international markets accounting for 75% (€59.9 billion) of total inflows over the year. Growth was especially strong in Asia, in particular through the joint ventures in China, Korea and India, which attracted more than €30 billion of new asset inflows in 2015. Inflows were similarly dynamic in Europe, particularly Italy (+€5.7 billion).

Net inflows for the year were well-balanced by asset class, but more than half (€44.7 billion) went into long-term assets, mainly bonds (€24.4 billion), diversified (€11.7 billion) and equity instruments (€6 billion). Structured products were the only asset class to experience net outflows in 2015, of €5 billion.

(1) Source: Morningstar, open-end fund inflows from January to November 2015, quoted by the Financial Times on 04/01/2016.

(2) Source: Europerformance, French open-end funds across 2015; aggregate inflows for Amundi + CPR AM + BFT, ranked respectively 1st, 4th and 5th largest asset gatherers in France, with total inflows of €20.9 billion vs. €38.2 billion for the French market.

AMUNDI'S CONTRIBUTION TO CRÉDIT AGRICOLE GROUP NET INCOME

(in millions of euros)	2015	2014 Restated	Change 2015-2014
Revenues	**1,656**	**1,538**	**+7.8%**
Operating expenses	(898)	(820)	+9.6%
Gross operating income	**758**	**718**	**+5.7%**
Cost of risk	(6)	(5)	+37.5%
Net income	**510**	**482**	**+6.0%**
NET INCOME GROUP SHARE	**402**	**377**	**+6.8%**

Revenues grew by 7.8% between 2014 and 2015, driven mainly by rising outstandings. Costs remained under control during the year: excluding scope changes (consolidation of Bawag Invest), the SRF, currency effects and IPO expenses, costs rose 4.3% between 2014 and 2015. Similarly restated, the cost/income ratio was unchanged at 53.4% in 2015. In all, Amundi Group's net income was €402 million in 2015. Excluding IPO expenses. it grew 8.7% in the year to €409 million.

Crédit Agricole Assurances, the leading[1] bancassurer in Europe, reported premium income of €31.2 billion in 2015 (based on French GAAP), an increase of 3.2% compared with 2014.

The Savings/retirement business was buoyant, delivering premium income of €24.9 billion in 2015, an increase of 2.6% over the year. Unit-linked fund inflows rose by 46.1%, while euro fund inflows decreased by 5.6% over the year. Unit-linked funds represented 22.7% of new gross inflows, an increase of 6.8 percentage points compared with end-2014.

Net inflows in Savings/retirement and Death & disability were €7.8 billion over the year excluding market effects, including €5.5 billion in France. In Savings/retirement, assets under management grew by 4.3% year-on-year to reach €259.7 billion at end-2015. Funds in euros amounted to €210.5 billion, up 4.0% year-on-year, while unit-linked funds rose by 5.8% year-on-year to €49.2 billion, representing 19.0% of the total (up 0.3 of a percentage point over one year).

In the Death & disability/health/creditor segment, premium income rose by 5.5% in 2015 to €3.8 billion. Growth was driven by death & disability/health insurance. At end-2015, 200,000 people were covered by the new group death & disability/health product, 18 months after the launch of this business.

Property & casualty insurance premiums continue to enjoy strong growth. They totalled €2,540 million in 2014, up 5.4% on 2014. This performance outstripped the French market, which grew by 1.5% in 2015[2], enabling Crédit Agricole Assurances to gain market share. New business (Pacifica scope) remained buoyant throughout the year, both in the farming and small business segments (up 12.1% in 2015) and the retail segment (motor insurance up 11.0% and home insurance up 10.4% in 2015). The combined ratio (net of reinsurance) improved[3] by 0.7 of a percentage point in 2015, to 95.8%.

CRÉDIT AGRICOLE ASSURANCES' CONTRIBUTION TO CRÉDIT AGRICOLE GROUP NET INCOME

(in millions of euros)	2015	2014 Restated	Change 2015-2014
Revenues	**2,480**	**2,153**	**+15.1%**
Operating expenses	(661)	(601)	+9.9%
Net gains (losses) on other assets	(5)	-	n.m.
Pre-tax income	**1,814**	**1,551**	**+16.9%**
NET INCOME GROUP SHARE	**1,177**	**1,039**	**+13.3%**

(1) Source: Argus de l'Assurance, 18 December 2015 (end-2014 data).
(2) Source: FFSA, 28/01/2016.
(3) Ratio of (claims + operating expenses + commissions) to premium income, net of reinsurance. Pacifica scope.

Revenues for the Insurance business line were €2,480 million in 2015, a 15.1% rise year-on-year. Operating expenses rose by 9.9%. These include costs of organic growth at Crédit Agricole Assurances and tax increases (€15 million in 2015). In 2015, net income Group share for the business line rose by 13.3% to €1,177 million.

At the end of 2015, the investment portfolio of life insurance companies was largely invested in fixed income products, which represent 82.9% of the total. This was followed by equities (net of hedges) at 6.5%, then property (6.2%), private equity investments and convertible bonds (1.9%), short-term investments (1.3%), and alternative asset management (1.2%). These relative weightings have hardly changed since the end of 2014.

In Asset servicing, **CACEIS** delivered a continued good business performance in 2015. Assets under administration increased by 4.8% over the year to €1,477 billion, driven by both business from new clients and buoyant inflows, and accompanied by a positive market effect. Assets under custody were again held back by a low-growth environment: despite a 3% increase in France over the year, total assets under custody decreased slightly by 1.1%, to €2,327 billion.

CACEIS reported revenues of €748 million in 2015, up 3.6% year-on-year, driven by growth in assets outstanding. Costs remained under control, rising 1.9% year-on-year. Restating for the SRF impact the rise was +0.8%. CACEIS grew gross operating income by 10.7% between 2014 and 2015 and its cost/income ratio improved 1.3% over the period. Net income Group share in 2015 was €92 million, an increase of 4.0%.

Private banking saw strong growth in inflows during 2015, now net positive for eight successive quarters. Driven by strong business momentum and a favourable currency effect, Private banking's assets under management reached €151 billion at end-2015, an increase of 6.8% or €9.7 billion compared with end-2014. Of this 9.7 billion increase, €4.2 billion came from net inflows and €5.5 billion from market and currency effects.

Assets under management include €109.6 billion of assets related to CA Private Banking and €41.4 billion of assets related to LCL Private Banking, which have risen respectively by 7.9% and 4.0% during 2015. In France, assets under management increased by 7.5% over the year to €68.6 billion, while internationally, assets under management increased by 6.2% to €82.4 billion.

Despite a still challenging environment, Private Banking revenues continued to grow, led by performance fees. Revenues rose 10.4% year-on-year to €769 million in 2015. The 7.8% rise in expenses between 2014 and 2015 was due to negative exchange rate effects and costs of developing the new Italian branch. Nevertheless, the cost/income ratio at Private Banking improved by 1.9 percentage points over the year. Cost of risk fell significantly in 2015 (down 60.9% in a year). It should be remembered that Crédit Agricole Suisse struck a non-prosecution agreement with the US Justice Department on 15 December 2015 regarding the commercial conduct of its operations with US taxpayers in exchange for a fine of USD99 million, which had been previously provisioned. Taken together, these items allowed Private Banking to post a 69.9% year-on-year rise in net income Group share in 2015, to €98 million.

5. Specialised financial services

(in millions of euros)	2015	2014 Restated	Change 2015-2014[1]
Revenues	**2,629**	**2,639**	**(1.1%)**
Operating expenses	(1,332)	(1,351)	(1.3%)
Contribution to Single Resolution Fund	(4)	-	n.m.
Gross operating income	**1,293**	**1,288**	**(1.3%)**
Cost of risk	(657)	(1,044)	(37.1%)
Share of net income (loss) of equity-accounted entities	164	136	+22.0%
Net gains (losses) on other assets	4	-	n.m.
Change in value of goodwill	-	-	-
Pre-tax income	**804**	**380**	**x 2.0**
Income tax charge	(213)	(36)	x 4.4
Net income from discontinued or held-for-sale operations	(1)	(22)	n.m.
Net income	**590**	**322**	**+72.5%**
NET INCOME GROUP SHARE	**484**	**279**	**+62.4%**

(1) Excluding repayment of loan handling fees in Germany in 2014 (impact in revenues and in equity-accounted entities), deconsolidation of Credium and Credicom in revenues and depreciation of the goodwill of Forso in equity-accounted entities in 2015.

Specialised Financial Services includes Crédit Agricole Consumer Finance in France and its subsidiaries or partnerships abroad, and Crédit Agricole Leasing & Factoring.

Specialised financial services posted net income Group share of €484 million in 2015 compared to €279 million in 2014.

In **Consumer finance**, total production rose by 14.4% from 2014, to €33.6 billion. The managed loan book increased by 3.5% over the year despite the sale of €579 million of doubtful loans by Agos in the fourth quarter. The managed loan book thus stood at €71.2 billion at end-2015 compared with €68.8 billion at end-2014. The geographical breakdown of these outstandings was unchanged from the previous year, with 38% of outstandings in France, 32% in Italy and 30% in other countries. Consolidated outstandings were down 1.0% year-on-year to €32.2 billion (restated for the disposal of doubtful loans by Agos). Car finance partnerships were up 11.1% in the year, reaching net outstandings of €21.1 billion by the end of December 2015. The Crédit Agricole Group loan book rose by 8.3% to €13.5 billion at 31 December 2015. Meanwhile, Crédit Agricole Consumer Finance continued to strengthen its self-funding ratio, which has risen by 8.7 percentage points since end-2014 to reach 68% of the financed loans at end-2015.

Consumer finance revenues remained more or less stable year-on-year in 2015 excluding the loan handling, fee refunds in Germany in 2014 and the deconsolidation of Credium and Credicom in 2015. Operating expenses were stable in 2015 compared to 2014. Crédit Agricole Consumer Finance's cost of risk for the full year represented 162 basis points of outstandings, a sharp decrease compared with 2014 (264 basis points). The impaired loan ratio at Agos was 8.0% (following the disposal of doubtful loans in the fourth quarter 2015), compared with 9.3% at the end of 2014, with a still high impaired loans coverage ratio (including collective provisions) of 100.9%. For the full year, net income Group share rose by 75.7% to €367 million, excluding the impact of the loan handling fees refund in Germany in 2014 and deconsolidation of Credium and Credicom in 2015. It was helped by the sharp drop in cost of risk at Agos.

Lease financing and factoring continued to grow with production up 11.8% on 2014. Lease finance outstandings remained more or less stable over the year at €15.0 billion, including €11.2 billion in France. Factored receivables increased year-on-year by 7.6% to €66.7 billion in 2015, including a 7.2% rise in France to €42.7 billion.

CAL&F reported revenues of €530 million in 2015, down slightly by 1.2% year-on-year. Operating expenses fell by 7.3% in 2015 compared to 2014. The cost of risk remained limited. CAL&F recorded a 29.8% year-on-year increase in net income Group share in 2015 to €117 million from €88 million in 2014.

6. Corporate and investment banking

(in millions of euros)	2015	2014 Restated	Change 2015(1)-2014(1)
Revenues	**4,308**	**3,816**	**+5.0%**
o/w Financing activities	***2,187***	***2,160***	***(0.2%)***
o/w Capital markets and investment banking	***2,121***	***1,656***	***+10.9%***
Operating expenses	(2,542)	(2,292)	+10.9%
Gross operating income	**1,766**	**1,524**	**(2.8%)**
Cost of risk	(655)	(252)	+21.0%
Share of net income of equity-accounted entities	60	161	(63.2%)
Net gains (losses) on other assets	(7)	4	n.m.
Pre-tax income	**1,164**	**1,437**	**(13.0%)**
Income tax charge	(407)	(385)	(17.5%)
Net income	**755**	**1,055**	**(11.6%)**
NET INCOME GROUP SHARE	**754**	**1,055**	**(11.4%)**

NB: 2014 figures restated to reflect the analytical reallocation of discontinuing activities and the reallocation of SFS (Structured and Financial Solutions) to Investment banking (instead of Financing activities).

(1) Restated for accounting impacts (loan hedges, DVA running, change in Day 1 FVA and change in CVA/DVA/FVA in Q4-14) on revenues and the additional OFAC provision (Q2-15) on the cost of risk.

Crédit Agricole CIB maintained its solid market positions thanks to its recognised expertise and it regularly wins awards in its areas of excellence.

The Bank reaffirmed its expertise in Green Bonds, a segment where it remains world leader *(source: CACIB)*. Crédit Agricole CIB also maintained its leading position in ABCP issues in Europe *(source: CPWare)* and remained number two worldwide in agency euro bond issues *(source: Thomson Financial)*. It rose from eighth to third in the global rankings for bookrunning Jumbo covered bonds in 2015.

It was also named "Best Infrastructure House" in the 2015 Euromoney Awards for Excellence and for the first time "Bank of the Year Americas" by Project Finance International. Other honours included "Finance House of the Year" in the Road, Transport, Rail and Airport sectors of the Global Transport Finance awards. Crédit Agricole CIB also retained its world number one ranking in aeronautical finance *(source: Air France Journal)*. The Bank was also the leading LBO/MBO bookrunner in Western Europe.

Crédit Agricole CIB was ranked best Trade Finance bank in Western Europe in 2015 (improving on its number 2 spot in 2014). It was also the second biggest syndicator in France and number 5 in Western Europe *(source: Thomson Financial)*.

In 2015 as, a whole, Corporate and investment banking revenues amounted to 4,308 million euros. On a restated basis, they were 4,232 million euros, representing a 5% increase on 2014. **Structured finance** revenues rose 14%, including currency effects. This growth was driven by good production levels, particularly in infrastructure financing and aircraft and rail financing. **Commercial banking** was resilient in 2015, due to its strong presence in all Crédit Agricole CIB's markets, but was negatively affected throughout the year, and particularly in the second half, by the adverse operating environment, including falling oil prices and low interest rates, and by mortgage book impairment, particularly in the fourth quarter. In **Capital markets and investment** banking, good performance in Forex and interest rate was mitigated by lower revenues in Credit activities resulting from volatile and adverse market conditions. Investment banking revenues rose in 2015 as a result of significant transactions.

Average VaR remained low at €13 million at 31 December 2015.

Excluding costs relating to the SRF (€77 million) and the relocation of Crédit Agricole CIB totalling €30 million in the fourth quarter, expenses at constant exchange rates remained under control in **Corporate and investment banking**.

The **cost of risk** rose relative to 2014, mainly due to the OFAC matter for €350 million (recognised in the second quarter of 2015) and also a reinforcement of provisions on the Energy sector, particularly in the fourth quarter.

Equity-accounted subsidiaries contributed €60 million in 2015. This includes €246 million from Banque Saudi Fransi as well as the €152 million impairment loss on the balance of Crédit Agricole CIB's stake in UBAF.

In 2015, **net income Group share at the Corporate and investment bank** was €754 million. On a restated basis, it was €1,055 million, down 11.4% compared with 2014. These earnings reflect a strong performance by the Bank's operating business lines, partly offset by the one-off negative impact of OFAC and UBAF as well as the contribution to the Single Resolution Fund and the cost of CACIB's move in 2016.

Finally, the bank's exposure to the oil & gas sector, which represents 2% of Crédit Agricole S.A.'s total EAD, is both extremely diversified (79% of EAD in segments showing little or no impact from the fall in oil prices) and of very high quality (84% of EAD on investment-grade counterparties).

7. Corporate centre

(in millions of euros)	2015	2014 Restated	Change 2015-2014
Revenues	**(1,603)**	**(1,974)**	**(18.8%)**
Operating expenses	(931)	(922)	(1.0%)
Gross operating income	**(2,534)**	**(2,896)**	**(12.5%)**
Cost of risk	(231)	84	n.m.
Share of net income of equity-accounted entities	203	22	x 9.1
Net gains (losses) on other assets	(4)	(3)	n.m.
Pre-tax income	**(2,566)**	**(2,793)**	**(8.2%)**
Income tax charge	1,216	1,255	(3.1%)
Net income	**(1,350)**	**(1,538)**	**(12.3%)**
NET INCOME GROUP SHARE	**(1,406)**	**(1,648)**	**(14.7%)**

It should be remembered that in 2015 Banque Française Commerciale Antilles Guyane (BFCAG) was deconsolidated from the Corporate centre and consolidated with LCL.

For the full year 2015, Corporate centre's net income Group share amounted to -€1,406 million compared with -€1,648 million in 2014. Restated for issuer spreads, it amounted to -€1,586 million *versus* -€1,465 million in 2014.

Full year revenues were -€1,603 million compared with -€1,974 million in 2014. These included a €163 million indemnity from Alpha Bank. Crédit Agricole CIB's issuer spread and the spread related to unit-linked insurance contracts had a positive impact of €273 million in 2015 compared with a negative impact of -€278 million in 2014.

Operating expenses fell to €931 million from €922 million in 2014, even though in 2015, they included €32 million related to the implementation of the Single Resolution Fund and 17 million euros in new taxes and levies (ECB, SRB and newly-due C3S tax).

The cost of risk was -€231 million in 2015, including a €47 million cost provision for the OFAC remediation plan and a €150 million increase in the legal provision.

The share of net income from equity-accounted entities was boosted in 2015 by the exceptionally high contribution from Eurazeo (€203 million).

CRÉDIT AGRICOLE GROUP CONSOLIDATED BALANCE SHEET

ASSETS

(in billions of euros)	31/12/2015	31/12/2014 Restated	Change
Cash, central banks	39.3	57.9	(32.2%)
Financial assets at fair value through profit or loss	344.5	403.5	(14.6%)
Hedging derivative instruments	27.2	33.1	(18.0%)
Available-for-sale financial assets	322.9	307.6	+5.0%
Loans and receivables due from credit institutions	89.4	100.0	(10.6%)
Loans and receivables due from customers	740.4	709.9	+4.3%
Held-to-maturity financial assets	30.6	29.6	+3.5%
Accruals, prepayments and sundry assets	68.9	89.5	(23.1%)
Non-current assets held for sale	0.4	0.2	+79.3%
Investments in equity-accounted entities	6.6	4.3	+53.6%
Fixed assets	14.5	13.1	+11.4%
Goodwill	14.2	14.0	+1.5%
TOTAL	**1,698.9**	**1,762.7**	**(3.6%)**

EQUITY AND LIABILITIES

(in billions of euros)	31/12/2015	31/12/2014 Restated	Change
Central banks	3.9	4.5	(14.8%)
Financial liabilities at fair value through profit or loss	250.2	318.9	(21.6%)
Hedging derivative instruments	29.8	32.9	(9.6%)
Due to credit institutions	92.9	98.4	(5.6%)
Due to customers	663.1	622.7	+6.5%
Debt instruments	167.8	185.5	(9.5%)
Accruals, deferred income and sundry liabilities	63.5	90.5	(29.9%)
Liabilities associated with non-current assets held for sale	0.4	-	n.m.
Insurance company technical reserves	294.8	285.2	+3.4%
Provisions	6.1	6.9	(10.4%)
Subordinated debt	29.0	25.5	+13.8%
Total liabilities	**1,601.5**	**1,671.0**	**(4.2%)**
Equity	**97.4**	**91.7**	**+6.2%**
Equity, Group share	92.9	86.7	+7.1%
Non-controlling interests	4.5	5.0	(9.0%)
TOTAL	**1,698.9**	**1,762.7**	**(3.6%)**

Main changes in the consolidated balance sheet

At 31 December 2015, Crédit Agricole S.A. had consolidated assets of €1,698.9 billion, a decrease of €63.8 billion (- 3.6%) compared to total assets restated in 2014. The bulk of this fall came from financial assets and liabilities at fair value through profit or loss, in particular derivatives, while the strong commercial performance in 2015 boosted customer deposits and loans over the year.

Analysis of the main items

Loans and receivables due from customers and credit institutions totalled €829.8 billion, up 2.5% or €19.9 billion compared with 2014 restated.

Loans and receivables due from customers (including lease financing operations) totalled €740.4 billion at 31 December 2015, compared with €709.9 billion at 31 December 2014 restated (+4.3%). This growth was mainly due to the rise in customer loans and securities not listed on an active market at Crédit Agricole CIB (+€10.3 billion) and an expanded loan book, particularly in home loans, at LCL (+€5.3 billion).

Loans and receivables due from credit institutions fell -10.6% at 31 December 2015 at €89.4 billion, down from €100.0 billion at 31 December 2014 restated. The €10.6 billion fall was largely due to a reduction in securities bought under repurchase agreements, mainly the result of efforts to control the size of the balance sheet (-€13 billion),

Amounts due to credit institutions and customers totalled €756.0 billion at end-2015, a rise of 4.8% or €34.9 billion compared with end-2014 restated.

Amounts due to credit institutions decreased by €5.5 billion to €92.9 billion. The sharp drop in Crédit Agricole CIB's repo business with credit institutions was near fully offset by an increase in intra-group transactions and the TLTRO loan granted by the ECB in 2015.

Amounts due to customers rose by €40.4 billion to €663.1 billion thanks to strong net inflows from all subsidiaries and the Regional Banks. Crédit Agricole CIB benefited from a €15 billion rise in amounts due to customers, mainly deposits in the United States and Japan; LCL and Cariparma booked rises of €4 billion and €3 billion, respectively. CACEIS also saw amounts due to customers rise, by more than €3 billion. Higher inflows of regulated savings at the Regional Banks also contributed. Due to internal financial mechanisms within Crédit Agricole Group, savings deposited in the Regional Banks (passbook savings accounts, home savings plans, savings bonds and term accounts, time deposits, etc.) are centralised on Crédit Agricole S.A.'s balance sheet. At 31 December 2015, they totalled €217 billion, an increase of approximately €4 billion compared with 2014.

Total financial assets at fair value through profit or loss amounted to €344.5 billion at 31 December 2015, compared with €403.5 billion at 31 December 2014 restated, down 14.6% year-on-year.

The bulk of the portfolio (75% or €258.7 billion) consists of financial assets held for trading, which were down 17.6% over the year (€55.3 billion). These primarily consisted of derivative instruments totalling €151.5 billion at 31 December 2015, down from €179.9 billion at 31 December 2014 restated, or a 15.8% fall related to changes in interest rate swaps, options and caps/floors, primarily at Crédit Agricole CIB. In addition, treasury bills and similar securities were down by €19.1 billion as a result of steps to bolster profitability at Crédit Agricole CIB and the accounting shift to recording forward bonds off-balance sheet.

The remainder of the portfolio (25% or €85.8 billion) consists of securities classified as financial assets at fair value through profit or loss as the result of an option taken by Crédit Agricole S.A. 45% were assets backing unit-linked contracts.

As of 31 December 2015, **financial liabilities at fair value through profit or loss** totalled €250.2 billion, a fall of €68.7 billion or -21.6% year-on-year. This decrease, consistent with the equivalent asset item, was due to the reduction in "Derivative instruments" and in "Securities sold under repurchase agreements" (-€27.8 billion) and "Securities sold short" (-€12.8 billion).

Available-for-sale financial assets (net of impairments) totalled €322.9 billion, up 5.0% from €307.6 billion at 31 December 2014 restated. Within Crédit Agricole S.A. Group, Predica was the largest holder of such securities, followed by Crédit Agricole S.A. These assets include bonds and other fixed income securities (€213.5 billion), treasury bills and similar securities (€77.9 billion), shares and other variable income securities (€21.4 billion), and non-consolidated equity investments (€10.1 billion). The year-on-year change was mainly due to a rise in net investment in bonds at Predica, partly offset by a negative value effect.

Total **investments in equity-accounted entities** increased by 53.6% to €6.6 billion at end-2015, compared with €4.3 billion in 2014 restated. The €2.3 billion rise came from a total €0.7 billion of earnings from equity investments, most notably the Regional Banks, Eurazeo, Banque Saudi Fransi and FCA Bank, partly offset by the impairment loss taken on UBAF and consolidation of insurance companies for €1.6 billion.

Non-current assets and liabilities held for sale rose following the classification of Crédit Agricole Life and Crédit Agricole Securities Taiwan as discontinued operations during 2015. Crelan S.A., the only business held for sale at 31 December 2014, was duly sold in June 2015.

Hedging derivative instruments were down 18.0% on the assets side and down 9.6% on the liabilities side, reflecting changes in the fair value of interest rate swaps, resulting from changes in the yield curve and lower volumes.

Insurance companies' technical reserves increased by 3.4% in 2015 compared with 2014 restated, reaching €294.8 billion. The increase reflects the rise in inflows over the year, lower redemptions and a fall in the deferred policyholders profit-sharing liability, reflecting the erosion of accrued unrealised gains in 2015.

Debt securities fell by €17.7 billion to €167.8 billion at end-2015. New issuance failed to offset the reduction in negotiable debt securities and bonds.

Equity amounted to €97.4 billion at 31 December 2015, an increase of €5.7 billion compared with 31 December 2014. Equity Group share amounted to €92.9 billion at end-2015, an increase of €6.2 billion over the period, mainly reflecting the inclusion of income for the year.

Capital management and regulatory ratios

The amendment to IAS 1 adopted by the European Union on 11 January 2006 requires quantitative and qualitative information to be published on the issuer's capital and management of its capital i.e. objectives, policies and processes for managing capital. This information is provided in Note 3.6 to the financial statements and in "Basel 3 Pillar 3 disclosures", provided below.

CRÉDIT AGRICOLE GROUP ESTABLISHMENTS IN FRANCE AND ABROAD

The information about Crédit Agricole Group entities required by Article 7 of French Law no. 2013-672 of 26 July 2013 on the separation and regulation of banking activities and by Order no. 2014-158 of 20 February 2014 supplemented by Implementing Decree no. 2014-1657 of 29 December 2014 implementing Article L. 511-45 of the French Monetary and Financial Code, are detailed below.

Consolidated entities included in this reporting are the parent company, subsidiaries and branches. Entities classed as discontinued or held-for-sale operations under IFRS 5, as well as entities consolidated using the equity method, are excluded. The Regional Banks are consolidated according to the equity method and are included in the French tax consolidation mechanism.

Revenues from foreign establishments correspond to their territorial contribution to the consolidated financial statements prior to elimination of reciprocal intragroup transactions.

Employees correspond to the number of full-time equivalent employees at the end of the reporting period.

Information as at 31 December 2015, aggregated to a State or territorial level is as follows (in millions of euros):

Geographic location	Revenues excluding intragroup eliminations	Headcount (Full-time equivalent)	Income before tax	Income tax - current[1]	Income tax - deferred[1]	Public grants received
France (including overseas departments and territories)						
France[2]	23 179	102 277	6 201	(2 401)	167	-
France Dom Tom	386	1,511	142	(43)	(6)	-
Other EU countries						
Germany	356	1,183	115	(46)	-	-
Austria	15	42	5	(2)	1	-
Belgium	48	106	22	(6)	(1)	-
Spain	222	540	87	(32)	4	-
Finland	10	12	5	(1)	-	-
Greece	9	82	(24)	1	-	-
Ireland[3]	198	162	172	(4)	-	-
Italy	2,790	10,348	692	(290)	23	-
Luxembourg	679	1 293	411	(75)	(18)	-
Netherlands	121	344	31	(25)	(2)	-
Poland	408	5,444	72	(12)	(10)	-
Portugal	107	438	59	(32)	15	-
Czech Republic	16	87	7	(2)	-	-
Romania	9	269	(4)	-	-	-
United Kingdom	648	870	137	(36)	(9)	-
Slovakia	1	7	-	-	-	-
Sweden	23	40	8	(3)	2	-
Other European countries						
Monaco	139	422	56	(3)	-	-
Russia	32	158	17	(4)	-	-
Serbia	32	864	2	-	(1)	-
Switzerland	457	1 328	(388)	(24)	-	-
Ukraine	114	2,312	19	(4)	-	-
Guernsey[4]	1	-	-	-	-	-
North America						
Canada	-	64	-	-	-	-
United States	1,000	799	464	(1)	16	-
Central and South America						
Bermuda[4]	(1)	-	-	-	-	-
Brazil	51	131	16	(15)	9	-
Cayman Islands[4][5]	38	-	38	-	-	-
Africa and Middle East						
Algeria	9	25	6	(1)	-	-

Geographic location	Revenues excluding intragroup eliminations	Headcount (Full-time equivalent)	Income before tax	Income tax - current(1)	Income tax - deferred(1)	Public grants received
Egypt	256	2,328	144	(37)	1	-
United Arab Emirates	54	87	34	(1)	-	-
Morocco	191	2,530	12	(6)	1	-
Mauritius	3	106	-	-	-	-
Asia-Pacific (ex. Japan)						
Australia	73	30	61	(14)	(2)	-
China	48	131	24	(7)	(1)	-
South Korea	25	75	1	(1)	1	-
Hong Kong	199	633	21	(4)	-	-
India	44	135	-	(15)	8	-
Malaysia	6	21	3	(1)	-	-
Singapore	174	460	53	(6)	-	-
Taiwan	26	66	11	(4)	2	-
Vietnam	-	-	5	-	-	-
Japan						
Japan	230	444	105	(14)	(19)	-
TOTAL	**32 426**	**138 204**	**8 842**	**(3 170)**	**182**	**-**

(1) *Positive amounts are gains and negative amounts are losses.*

(2) *The tax policy of Crédit Agricole S.A. is explained in Chapter 2 – "Economic, social and environmental information".*

(3) *The Group's Irish UCITS are all tax transparent. Their net income is taxed in France.*

(4) *Entities established in Guernsey, the Cayman Islands and Bermuda are taxed, respectively, in France (under Article 209 B of the French General Tax Code), in the United States and in the United Kingdom.*

(5) *Employees of the entity established in the Cayman Islands are located in the United States.*

At 31 December 2015 the Group had the following establishments:

ESTABLISHMENTS

Name of the entity	Type of business	Geographic location
2,476 Local Banks	FRB	France
38 Regional Banks	FRB	France
ACACIA	SMI	France
ACAJOU	SMI	France
Acieralliage EURO FCC	CIB	France
Acieralliage USD FCC	CIB	United States
ACTIONS 70	SMI	France
Adret Gestion	FRB	France
Aetran Administrative Dientverlening B.V.	SFS	Netherlands
AF EQUI.GLOB.AHE CAP	SMI	Luxembourg
AF INDEX EQ JAPAN AE CAP	SMI	Luxembourg
AF INDEX EQ USA A4E	SMI	Luxembourg
Agos	SFS	Italy
AGRICOLE RIVAGE DETTE	SMI	France
Alsace Elite	FRB	France
AM AC FR ISR PC 3D	SMI	France
AM CR 1-3 EU PC 3D	SMI	France
AM.AC.EU.ISR-P-3D	SMI	France
AM.AC.MINER.-P-3D	SMI	France
AMUN TRESO CT PC 3D	SMI	France
AMUN.TRES.EONIA ISR E FCP 3DEC	SMI	France
AMUNDI	SMI	France
AMUNDI (UK) Ltd.	SMI	United Kingdom
AMUNDI 12 M P	SMI	France
Amundi Absolute Credit	SMI	France

Name of the entity	Type of business	Geographic location
AMUNDI ABSOLUTE GLOB DIVID AE 3D	SMI	Luxembourg
AMUNDI ACT.MONDE P	SMI	France
AMUNDI ACTIONS FRANCE C 3DEC	SMI	France
AMUNDI AFD AV DURABL P1 FCP 3DEC	SMI	France
AMUNDI AI S.A.S.	SMI	France
Amundi AI LONDON BRANCH	SMI	United Kingdom
AMUNDI ARMONIA (ex Amundi Corporate 3 Anni)	SMI	Italy
AMUNDI Asset Management	SMI	France
AMUNDI B EU COR AEC	SMI	Luxembourg
AMUNDI BD EU HY AEC	SMI	Luxembourg
Amundi Belgium	SMI	Belgium
AMUNDI BOND GLOBAL CORP AE 3DEC	SMI	Luxembourg
AMUNDI CRED.EURO ISR P FCP 3DEC	SMI	France
AMUNDI DEUTSCHLAND	SMI	Germany
Amundi Distributors Usa LLC	SMI	United States
Amundi diversifié 1	FRB	France
AMUNDI EQ E IN AHEC	SMI	Luxembourg
AMUNDI Finance	SMI	France
AMUNDI Finance Emissions	SMI	France
Amundi Funds Equity Global Minimum Variance	SMI	Luxembourg
AMUNDI GBL MACRO MULTI ASSET P	SMI	France
AMUNDI GLOBAL SERVICING	SMI	Luxembourg
AMUNDI GRD 24 FCP	SMI	France
AMUNDI Hellas MFMC S.A.	SMI	Greece

Name of the entity	Type of business	Geographic location
Amundi Hk - Green Planet Fund	SMI	Hong Kong
AMUNDI HONG KONG BRANCH	SMI	Hong Kong
AMUNDI Hong Kong Ltd.	SMI	Hong Kong
AMUNDI HORIZON 3D	SMI	France
AMUNDI Iberia S.G.I.I.C S.A.	SMI	Spain
AMUNDI Immobilier	SMI	France
AMUNDI India Holding	SMI	France
AMUNDI Intermédiation	SMI	France
AMUNDI Investments USA LLC	SMI	United States
AMUNDI IT Services	SMI	France
AMUNDI Japan	SMI	Japan
AMUNDI Japan Holding	SMI	Japan
AMUNDI Japan Securities Cy Ltd.	SMI	Japan
AMUNDI LCL DH2-4 AV MAI 13 3D	SMI	France
AMUNDI LONDON BRANCH	SMI	United Kingdom
AMUNDI Luxembourg S.A.	SMI	Luxembourg
AMUNDI Malaysia Sdn Bhd	SMI	Malaysia
Amundi Money Market Fund - Short Term (GBP)	SMI	Luxembourg
Amundi Money Market Fund - Short Term (USD) - part OC	SMI	Luxembourg
Amundi Money Market Fund - Short Term (USD) - part OV	SMI	Luxembourg
AMUNDI Nederland (Amsterdam)	SMI	Netherlands
AMUNDI OBLIG EURO C	SMI	France
AMUNDI PATRIMOINE C 3DEC	SMI	France
Amundi Performance Absolue Equilibre	SMI	France
AMUNDI Polska	SMI	Poland
AMUNDI Private Equity Funds	SMI	France
AMUNDI PULSACTIONS	SMI	France
AMUNDI Real Estate Italia SGR S.p.A.	SMI	Italy
AMUNDI SGR S.p.A.	SMI	Italy
AMUNDI Singapore Ltd.	SMI	Singapore
AMUNDI Smith Breeden	SMI	United States
AMUNDI Suisse	SMI	Switzerland
AMUNDI Tenue de Comptes	SMI	France
AMUNDI USA Inc	SMI	United States
AMUNDI VALEURS DURAB	SMI	France
AMUNDI Ventures	SMI	France
Anjou Maine Gestion	FRB	France
Antera Incasso B.V.	SFS	Netherlands
ANTINEA FCP	SMI	France
Aquitaine Immobilier Investissement	FRB	France
Aquitaux Rendement	FRB	France
ARAMIS PATRIM D 3D	SMI	France
Arc Broker	IRB	Poland
ARC FLEXIBOND-D	SMI	France
ARES Reinsurance Ltd.	SFS	Ireland
Argence Investissement S.A.S.	SFS	France
ARGOAT Finances	FRB	France
Armo-Invest	CIB	France
Armor Fonds Dédié	FRB	France
ARTEMID	SMI	France
Assfibo Financieringen B.V.	SFS	Netherlands
Assurances Mutuelles Fédérales	SMI	France
Atlantic Asset Securitization LLC	CIB	United States
ATOUT EUROPE C FCP 3DEC	SMI	France

Name of the entity	Type of business	Geographic location
ATOUT FRANCE C FCP 3DEC	SMI	France
ATOUT HORIZON DUO FCP 3DEC	SMI	France
ATOUT MONDE C FCP 3DEC	SMI	France
ATOUT QUANTEUROLAND SI 3DEC	SMI	France
ATOUT VERT HORIZON FCP 3 DEC	SMI	France
Auxifip	SFS	France
AXA EUR.SM.CAP E 3D	SMI	France
AXA FIIS US CORPORATE BONDS F	SMI	Luxembourg
Banca Popolare Friuladria S.p.A.	IRB	Italy
Banco Crédit Agricole Brasil S.A.	CIB	Brazil
Bankoa	IRB	Spain
Banque Chalus	FRB	France
Banque Thémis	FRB	France
Bawag PSK Invest	SMI	Austria
Belgium CA S.A.S.	IRB	France
Benelpart	CIB	Belgium
Bercy Champ de Mars	FRB	France
Bercy Participations	FRB	France
BEST BUS MODELS RC	SMI	France
BFC Antilles Guyane	CC	France
Bforbank S.A.	FRB	France
BFT diversifié 1	FRB	France
BFT Investment Managers	SMI	France
BFT opportunité	SMI	France
BNP PAR.CRED.ERSC	SMI	France
Brie Picardie Croissance	FRB	France
C.L. Verwaltungs und Beteiligungsgesellschaft GmbH	FRB	Germany
CA Aquitaine Agences Immobilières	FRB	France
CA Aquitaine Immobilier	FRB	France
CA Assicurazioni	SMI	Italy
CA Brasil DTVM	SMI	Brazil
CA Centre France Développement	FRB	France
CA Grands Crus	CC	France
CA Indosuez Gestion	SMI	France
CA Indosuez Private Banking	SMI	France
CA MASTER EUROPE	SMI	France
CA Participations	FRB	France
CA Preferred Funding LLC	CC	United States
CA VITA PRIVATE EQUITY CHOISE	SMI	France
CAA 2013 COMPARTIMENT 5 A5	SMI	France
CAA 2013 FCPR B1	SMI	France
CAA 2013 FCPR C1	SMI	France
CAA 2013 FCPR D1	SMI	France
CAA 2013-2	SMI	France
CAA 2013-3	SMI	France
CAA 2014 COMPARTIMENT 1 PART A1	SMI	France
CAA 2014 INVESTISSMENT PART A3	SMI	France
CAA 2015 COMPARTIMENT 1	SMI	France
CAA 2015 COMPARTIMENT 2	SMI	France
CAA PRIV.FINANC.COMP.1 A1 FIC	SMI	France
CAA PRIV.FINANC.COMP.2 A2 FIC	SMI	France
Caapimmo 4	FRB	France
Caapimmo 6	FRB	France
CACEIS (Canada) Ltd.	SMI	Canada
CACEIS (USA) Inc.	SMI	United States

Name of the entity	Type of business	Geographic location
CACEIS Bank Deutschland GmbH	SMI	Germany
CACEIS BANK France	SMI	France
CACEIS Bank Luxembourg	SMI	Luxembourg
CACEIS Bank Luxembourg (Amsterdam)	SMI	Netherlands
CACEIS Bank Luxembourg (Brussels)	SMI	Belgium
CACEIS Bank Luxembourg (Dublin)	SMI	Ireland
CACEIS Bank Luxembourg (London)	SMI	United Kingdom
CACEIS Bank Luxembourg (Milan)	SMI	Italy
CACEIS Bank Luxembourg (Nyon)	SMI	Switzerland
CACEIS Belgium	SMI	Belgium
CACEIS Corporate Trust	SMI	France
CACEIS Fund Administration	SMI	France
CACEIS Ireland Limited	SMI	Ireland
CACEIS S.A.	SMI	France
CACEIS Switzerland S.A.	SMI	Switzerland
CACF Immobilier	FRB	France
CACI DANNI	SMI	Italy
CACI Gestion	SMI	France
CACI LIFE LIMITED	SMI	Ireland
CACI NON LIFE LIMITED	SMI	Ireland
CACI NON VIE	SMI	France
CACI Reinsurance Ltd.	SMI	Ireland
CACI VIE	SMI	France
CACI VITA	SMI	Italy
CADS Développement	FRB	France
CA-EDRAM OPPORTUNITES FCP 3DEC	SMI	France
CAIRS Assurance S.A.	CIB	France
Caisse régionale de Crédit Agricole mutuel de la Corse	CC	France
CAL Conseil	SMI	Luxembourg
CAL Espagne	SFS	Spain
Calciphos	CIB	France
CALIE Europe Succursale France	SMI	France
CALIE Europe Succursale Pologne	SMI	Poland
Calixis Finance	CIB	France
Calixte Investissement	FRB	France
Calliope SRL	CIB	Italy
Calyce P.L.C.	CIB	United Kingdom
CAM ENERGIE SAS	FRB	France
Camca Assurance	FRB	Luxembourg
Camca Courtage	FRB	France
Camca Lux Finance Management Company	FRB	Luxembourg
Camca Réassurance	FRB	Luxembourg
Camca Vie	FRB	Luxembourg
CAP Actions 2	FRB	France
CAP ACTIONS 3	FRB	France
CAP Obligataire	FRB	France
CAP Régulier 1	FRB	France
CAPI Centre-Est	FRB	France
CAPITOP MONDOBLIG SI.3DEC	SMI	France
Carefleet S.A.	SFS	Poland
Cariparma	IRB	Italy
Carispezia	IRB	Italy
Caroline Immo	FRB	France
Centre France Location Immobilière	FRB	France
Chabrillac	FRB	France
Chorial Allocation	SMI	France
CL Développement de la Corse	CC	France
Clam Philadelphia	SMI	France
Clifap	CIB	France
CLSA Financial Products Ltd	CIB	Bermuda
Cofam	FRB	France
Compagnie Française de l'Asie (CFA)	CIB	France
CONVERT.EUROP.AE	SMI	Luxembourg
CORSAIR 1.5255% 25/04/35	SMI	Ireland
CPR ACTIVE US -P-	SMI	France
CPR AM	SMI	France
CPR CONSO ACTIONNAIRE FCP P	SMI	France
CPR CROIS.REA.-P	SMI	France
CPR diversifié 1	FRB	France
CPR OBLIG 12 M.P 3D	SMI	France
CPR REFL.RESP.0-100 P FCP 3DEC	SMI	France
CPR REFLEX CIBL.100 P FCP 3DEC	SMI	France
CPR RENAI.JAP.-P-3D	SMI	France
CPR RENAISSANCE JAPON HP 3D	SMI	France
CPR SILVER AGE P 3DEC	SMI	France
CR Provence Cote d'Azur LCR	FRB	France
CRCAM SUD MED. SUC	FRB	Spain
Crealfi	SFS	France
Credibom	SFS	Portugal
Credicom Consumer Finance Bank S.A.	SFS	Greece
Crediet Maatschappij " De Ijssel" B.V.	SFS	Netherlands
Crédit Agriciole CIB (Belgique)	CIB	Belgium
Crédit Agricole America Services Inc.	CIB	United States
Crédit Agricole Asia Shipfinance Ltd.	CIB	Hong Kong
Crédit Agricole Assurances (CAA)	SMI	France
CREDIT AGRICOLE BANK	IRB	Ukraine
Credit Agricole Bank Albania S.A.	IRB	Albania
Crédit Agricole Bank Polska S.A.	IRB	Poland
Crédit Agricole Banka Srbija a.d. Novi Sad	IRB	Serbia
Crédit Agricole Capital Investissement et Finance (CACIF)	CC	France
Crédit Agricole Cards & Payments	CC	France
Crédit Agricole Centre Est Immobilier	FRB	France
Crédit Agricole CIB (ABU DHABI)	CIB	United Arab Emirates
Crédit Agricole CIB (Allemagne)	CIB	Germany
Crédit Agricole CIB (Chicago)	CIB	United States
Crédit Agricole CIB (Corée du Sud)	CIB	South Korea
Crédit Agricole CIB (Dubai DIFC)	CIB	United Arab Emirates
Crédit Agricole CIB (Dubai)	CIB	United Arab Emirates
Crédit Agricole CIB (Espagne)	CIB	Spain
Crédit Agricole CIB (Finlande)	CIB	Finland
Crédit Agricole CIB (Hong Kong)	CIB	Hong Kong
Crédit Agricole CIB (Iles-Caymans)	CIB	Cayman Islands
Crédit Agricole CIB (Inde)	CIB	India
Crédit Agricole CIB (Italie)	CIB	Italy
Crédit Agricole CIB (Japon)	CIB	Japan
Crédit Agricole CIB (Luxembourg)	CIB	Luxembourg
Crédit Agricole CIB (Miami)	SMI	United States
Crédit Agricole CIB (New-York)	CIB	United States
Crédit Agricole CIB (Royaume-Uni)	CIB	United Kingdom
Crédit Agricole CIB (Singapour)	CIB	Singapore

Name of the entity	Type of business	Geographic location
Crédit Agricole CIB (Suède)	CIB	Switzerland
Crédit Agricole CIB (Taipei)	CIB	Taiwan
Crédit Agricole CIB (Vietnam)	CIB	Vietnam
Crédit Agricole CIB Air Finance S.A.	CIB	France
Crédit Agricole CIB Algérie Bank Spa	CIB	Algeria
Crédit Agricole CIB AO	CIB	Russia
Crédit Agricole CIB Australia Ltd.	CIB	Australia
Crédit Agricole CIB China Ltd.	CIB	China
Crédit Agricole CIB Finance (Guernsey) Ltd.	CIB	Guernsey
Crédit Agricole CIB Financial Prod. (Guernsey) Ltd.	CIB	Guernsey
Crédit Agricole CIB Financial Solutions	CIB	France
Crédit Agricole CIB Global Banking	CIB	France
Crédit Agricole CIB Holdings Ltd.	CIB	United Kingdom
Crédit Agricole CIB Pension Limited Partnership	CIB	United Kingdom
Crédit Agricole CIB S.A.	CIB	France
Crédit Agricole CIB Services Private Ltd.	CIB	India
Crédit Agricole Consumer Finance	SFS	France
Crédit Agricole Consumer Finance Nederland	SFS	Netherlands
Crédit Agricole Creditor Insurance (CACI)	SMI	France
Crédit Agricole Egypt S.A.E.	IRB	Egypt
Crédit Agricole F.C. Investissement	FRB	France
Crédit Agricole Financement	IRB	Switzerland
Crédit Agricole Global Partners Inc.	CIB	United States
Crédit Agricole Group Solutions	IRB	Italy
Crédit Agricole Home Loan SFH	CC	France
Crédit Agricole Immobilier	CC	France
Crédit Agricole Immobilier Entreprise	CC	France
Crédit Agricole Immobilier Facilities	CC	France
Crédit Agricole Immobilier Résidentiel	CC	France
Crédit Agricole Leasing & Factoring	SFS	France
Crédit Agricole Leasing (USA) Corp.	CIB	United States
Crédit Agricole Leasing Italia	SFS	Italy
Crédit Agricole Life Insurance Company Japan Ltd.	SMI	Japan
Crédit Agricole Life Insurance Europe	SMI	Luxembourg
Crédit Agricole Luxembourg	SMI	Luxembourg
Crédit Agricole Luxembourg (Belgique)	SMI	Belgium
Crédit Agricole Luxembourg (Espagne)	SMI	Spain
Crédit Agricole Luxembourg succursale d'Italie	SMI	Italy
Crédit Agricole Polska S.A.	IRB	Poland
Crédit Agricole Private Banking	SMI	France
Crédit Agricole Private Banking Management Company	SMI	Luxembourg
Crédit Agricole Public Sector SCF	CC	France
Crédit Agricole Reinsurance S.A.	SMI	Luxembourg
Credit Agricole Romania	IRB	Romania
Crédit Agricole Securities (USA) Inc	CIB	United States
Crédit Agricole Securities Asia BV	CIB	Netherlands
Crédit Agricole Securities Asia BV (Tokyo)	CIB	Japan
Credit Agricole Serivce sp z o.o.	IRB	Poland
Crédit Agricole Suisse	SMI	Switzerland
Crédit Agricole Suisse (Bahamas) Ltd.	SMI	Bahamas
Crédit Agricole Suisse (Hong Kong)	SMI	Hong Kong
Crédit Agricole Suisse (Singapour)	SMI	Singapore

Name of the entity	Type of business	Geographic location
Crédit Agricole Vita S.p.A.	SMI	Italy
Crédit Agricole S.A.	CC	France
Crédit du Maroc	IRB	Morocco
Crédit du Maroc Leasing	SFS	Morocco
Crédit du Maroc Succursale de France	IRB	France
Crédit Foncier de Monaco	SMI	Monaco
Crédit LIFT	SFS	France
Crédit Lyonnais Développement Économique (CLDE)	FRB	France
Creditplus Bank AG	SFS	Germany
Credium	SFS	Czech Republic
Credium Slovakia	SFS	Slovakia
De Kredietdesk B.V.	SFS	Netherlands
Dealerservice B.V.	SFS	Netherlands
Delfinances	CC	France
DELTA	CC	France
DGAD International SARL	CIB	Luxembourg
DMC Groep N.V.	SFS	Netherlands
DNA 0% 12-211220	SMI	Luxembourg
DNA 0% 16/10/2020	SMI	Luxembourg
DNA 0% 21/12/20 EMTN	SMI	Luxembourg
DNA 0% 23/07/18 EMTN INDX	SMI	Luxembourg
DNA 0% 27/06/18 INDX	SMI	Luxembourg
DNA 0%11-231216 INDX	SMI	Luxembourg
DNA 0%12-240418 INDX	SMI	Luxembourg
DNV B.V.	SFS	Netherlands
DOLCEYS 2 FCP 3DEC	SMI	France
Doumer Finance S.A.S.	CIB	France
ECOFI MULTI OPPORTUN.FCP 3DEC	SMI	France
Edokial	FRB	France
EFL Finance S.A.	SFS	Poland
EFL Services	SFS	Poland
Emeraude Croissance	FRB	France
Emporiki Rent L.T.L	SFS	Greece
ESNI (compartiment Crédit Agricole CIB)	CIB	France
ESNI (compartiment Crédit Agricole S.A.)	CC	France
Ester Finance Titrisation	CIB	France
Etoile Gestion	SMI	France
Eucalyptus FCT	CIB	France
EUROFACTOR GmbH	SFS	Germany
Eurofactor Hispania S.A.	SFS	Spain
Eurofactor Italia S.p.A.	SFS	Italy
EUROFACTOR POLSKA S.A.	SFS	Poland
Eurofactor SA - NV (Benelux)	SFS	Belgium
Eurofactor S.A. (Portugal)	SFS	Portugal
Eurofintus Financieringen B.V.	SFS	Netherlands
Euroleenlijn B.V.	SFS	Netherlands
Europejski Fundusz Leasingowy (E.F.L.)	SFS	Poland
Europimmo	FRB	France
Everbreizh	FRB	France
FCP Centre Loire	FRB	France
FCPR CAA 2013	SMI	France
FCPR CAA COMP TER PART A3	SMI	France
FCPR CAA COMPART BIS PART A2	SMI	France
FCPR CAA COMPARTIMENT 1 PART A1	SMI	France
FCPR CAA France croissance 2 A	SMI	France

Name of the entity	Type of business	Geographic location
FCPR PREDICA 2007 A	SMI	France
FCPR PREDICA 2007 C2	SMI	France
FCPR PREDICA 2008 A1	SMI	France
FCPR PREDICA 2008 A2	SMI	France
FCPR PREDICA 2008 A3	SMI	France
FCPR PREDICA SECONDAIRE I A1	SMI	France
FCPR PREDICA SECONDAIRE I A2	SMI	France
FCPR PREDICA SECONDAIRES II A	SMI	France
FCPR PREDICA SECONDAIRES II B	SMI	France
FCPR Roosevelt Investissements	SMI	France
FCPR UI CAP AGRO	SMI	France
FCPR UI CAP SANTE A	SMI	France
FCT Cablage FCT	CIB	France
FCT CAREPTA - COMPARTIMENT 2014-1	SMI	France
FCT CAREPTA - COMPARTIMENT 2014-2	SMI	France
FCT CAREPTA - RE 2015 -1	SMI	France
FCT Crédit Agricole Habitat 2015	FRB	France
FCT Evergreen HL1	CC	France
FCT MID CAP 2 05/12/22	SMI	France
FEDERIS CORE EU CR 19 MM	SMI	France
Federval	SMI	France
Fia Net Europe	CC	Luxembourg
Fia-Net	CC	France
FIC-FIDC	CIB	Brazil
Finamur	SFS	France
Financière des Scarabées	CIB	Belgium
Financière PCA	FRB	France
Finanziaria Indosuez International Ltd.	SMI	Switzerland
Finaref Assurances S.A.S.	SMI	France
Finaref Risques Divers	SMI	France
Finaref Vie	SMI	France
Finarmor Gestion	FRB	France
Finasic	CC	France
Finata Bank N.V.	SFS	Netherlands
Finata Sparen N.V.	SFS	Netherlands
Finata Zuid-Nederland B.V.	SFS	Netherlands
Fininvest	CIB	France
Fletirec	CIB	France
Foncaris	CC	France
FONDS AV ECHUS N°2	SMI	France
Fonds dédié Elstar	FRB	France
Force 29	FRB	France
Force Alsace	FRB	France
Force Charente Maritime Deux Sèvres	FRB	France
Force Iroise	FRB	France
Force Languedoc	FRB	France
Force Lorraine Duo	FRB	France
Force Profile 20	FRB	France
Force Run	FRB	France
Force Toulouse Diversifié	FRB	France
Force 4	FRB	France
Franche Comté Développement Foncier	FRB	France
Franche Comté Développement Immobilier	FRB	France
Genavent	SMI	France
Genavent Partners Lp	SMI	United States

Name of the entity	Type of business	Geographic location
GNB SEGUROS (Anciennement BES SEGUROS)	SMI	Portugal
GRD TOBAM AB A	SMI	France
GRD01	SMI	France
GRD02	SMI	France
GRD03	SMI	France
GRD04	SMI	France
GRD05	SMI	France
GRD07	SMI	France
GRD08	SMI	France
GRD09	SMI	France
GRD10	SMI	France
GRD11	SMI	France
GRD12	SMI	France
GRD13	SMI	France
GRD14	SMI	France
GRD16	SMI	France
GRD17	SMI	France
GRD18	SMI	France
GRD19	SMI	France
GRD20	SMI	France
GRD21	SMI	France
GRD23	SMI	France
Green FCT Lease	SFS	France
Groupe CAMCA	FRB	France
GSA Ltd	SFS	Mauricius
Héphaïstos EUR FCC	CIB	France
Héphaïstos GBP FCT	CIB	France
Héphaïstos Multidevises FCT	CIB	France
Héphaïstos USD FCT	CIB	France
Himalia P.L.C.	CIB	United Kingdom
HMG GLOBETROTTER D	SMI	France
I.P.F.O.	CIB	France
IDIA	CC	France
IDM Finance B.V.	SFS	Netherlands
IDM Financieringen B.V.	SFS	Netherlands
IDM lease maatschappij N.V.	SFS	Netherlands
Iebe Lease B.V.	SFS	Netherlands
IKS KB	SMI	Czech Republic
Immeuble Franche Comté	FRB	France
Immobilière de Picardie	FRB	France
Immobilière Sirius S.A.	CIB	Luxembourg
IND.CAP EMERG.-C-3D	SMI	France
INDO.FLEX.100 -C-3D	SMI	France
INDOS.EURO.PAT.PD 3D	SMI	France
Indosuez CM II Inc.	CIB	United States
INDOSUEZ CRESCENDO FCP	SMI	France
INDOSUEZ EUROPE EXPENSION FCP	SMI	France
Indosuez Holding SCA II	CIB	Luxembourg
Indosuez Management Luxembourg II	CIB	Luxembourg
Inforsud Diffusion	FRB	France
Inforsud Gestion	FRB	France
InterBank group	SFS	Netherlands
Interfimo	FRB	France
INVEST RESP S3 3D	SMI	France
Investor Service House S.A.	SMI	Luxembourg

Name of the entity	Type of business	Geographic location
Island Refinancing SRL	CIB	Italy
ItalAsset Finance SRL	CIB	Italy
IUB Holding	IRB	France
J.J.P. Akkerman Financieringen B.V.	SFS	Netherlands
JAYANNE 2 FCP 3DEC	SMI	France
JAYANNE 3 FCP 3DEC	SMI	France
JAYANNE 4 3DEC FCP	SMI	France
JAYANNE FCP 3DEC	SMI	France
JPM-US S E P-AEURA	SMI	Luxembourg
Krediet '78 B.V.	SFS	Netherlands
L.F. Investment Inc.	CIB	United States
L.F. Investment L.P.	CIB	United States
Lafina	CIB	Belgium
L'Allan Immobilier Montbeliard	FRB	France
LCL	FRB	France
LCL AC.DEV.DU.EURO	SMI	France
LCL AC.EMERGENTS 3D	SMI	France
LCL ACT.EME.(EU.)3D	SMI	France
LCL ACT.E-U ISR 3D	SMI	France
LCL ACT.IMMOBI.3D	SMI	France
LCL ACT.USA ISR 3D	SMI	France
LCL ACTIONS EURO C	SMI	France
LCL ALLOCATION DYNAMIQUE 3D FCP	SMI	France
LCL ALLOCATION EQUILIBRE 3DEC	SMI	France
LCL CAPTURE 40 VIE FCP 3DEC	SMI	France
LCL D.CAPT.JU.10 3D	SMI	France
LCL DEVELOPPEM.PME C	SMI	France
LCL Emissions	SMI	France
LCL FDS ECH.MONE.3D	SMI	France
LCL FLEX 30	SMI	France
LCL MGEST 60 3DEC	SMI	France
LCL MGEST FL.0-100	SMI	France
LCL MONETAIRE -C-	SMI	France
LCL OBLIGATIONS INFLATION C EUR	SMI	France
LCL ORIENTATION DYNAM FCP3D	SMI	France
LCL ORIENTATION EQUIL.FCP 3DEC	SMI	France
LCL ORIENTATION PRUDENT	SMI	France
LCL PREMIUM J VIE 2014	SMI	France
LCL SECU.100(JUIL.11)	SMI	France
LCL STRATEGIE 100	SMI	France
LCL succursale de Monaco	FRB	Monaco
LCL TR 3 MOIS PC 3D	SMI	France
LCL TRIPLE H 2013	SMI	France
LCL VOCATION RENDEMENT NOV 12 3D	SMI	France
L'Immobilière d'A Côté	FRB	France
Lixxbail	SFS	France
Lixxcourtage	SFS	France
Lixxcredit	SFS	France
LMA SA	CIB	France
Locam	FRB	France
Londres Croissance C16	SMI	France
LRP - CPT JANVIER 2013 0.30 13-21 11/01A	SMI	Luxembourg
Lukas Finanse S.A.	IRB	Poland
Mahuko Financieringen B.V.	SFS	Netherlands
Matriks N.V.	SFS	Netherlands
Médicale de France	SMI	France
Mercagentes	FRB	Spain
Merico Delta Print	FRB	France
Merisma	CIB	France
Miladim	CIB	France
Molinier Finances	CIB	France
Money Care B.V.	SFS	Netherlands
Monné-Decroix Gestion S.A.S.	CC	France
Morbihan Gestion	FRB	France
MSI ARRAS	FRB	France
MSI BOULOGNE/MER	FRB	France
MSI CALAIS	FRB	France
MSI LE TOUQUET	FRB	France
MSI LENS	FRB	France
MSI LILLE	FRB	France
MSI VALENCIENNES	FRB	France
MSI WIMEREUX	FRB	France
NECI	FRB	France
New Theo	SFS	United Kingdom
NL Findio B.V	SFS	Netherlands
NMP Gestion	FRB	France
Nord Capital Investissement	FRB	France
Nord Est Aménagement Promotion	FRB	France
Nord Est Expansion	FRB	France
Nord Est Gestion Immobilière	FRB	France
Nord Est Immo	FRB	France
Nord Est Optimmo S.A.S.	FRB	France
Nord Est Patrimoine Immobilier	FRB	France
Normandie Seine Foncière	FRB	France
NS Immobilier Finance	FRB	France
NVF Voorschotbank B.V.	SFS	Netherlands
OBJECTIF LONG TERME FCP	SMI	France
OBJECTIF RENDEMENT 1 3DEC FCP	SMI	France
OBLIG INF CM CIC 3D	SMI	France
OCELIA FCP 3DEC	SMI	France
OPCI Camp Invest	SMI	France
OPCI ECO CAMPUS SPPICAV	SMI	France
OPCI Immanens	SMI	France
OPCI Immo Emissions	SMI	France
OPCI Iris Invest 2010	SMI	France
OPCI KART	SMI	France
OPCI MASSY BUREAUX	SMI	France
OPCI Messidor	SMI	France
OPCIMMO LCL SPPICAV 5DEC	SMI	France
OPTALIS DYNAMIQUE C FCP 3DEC	SMI	France
OPTALIS EQUILIBRE C FCP 3DEC	SMI	France
OPTALIS EXPANSION C FCP 3DEC	SMI	France
OPTALIS SERENITE C FCP 3DEC	SMI	France
OPTIMIZ BES TIMING II 3DEC	SMI	France
Ozenne Institutionnel	FRB	France
Pacific EUR FCC	CIB	France
Pacific IT FCT	CIB	France
Pacific USD FCT	CIB	France
Pacifica	SMI	France
PARC.RETRAIT.21 3D	SMI	France
PARCOURS RETRAITE 26 FCP 3DEC	SMI	France
PARCOURS RETRAITE 31 3DEC	SMI	France

Name of the entity	Type of business	Geographic location
Partinvest S.A.	SMI	Luxembourg
PCA IMMO	FRB	France
Peg - Portfolio Eonia Garanti	SMI	France
PERSPECTIVE FCP 3DEC	SMI	France
PG IMMO	FRB	France
PG Invest	FRB	France
PIMENTO 3 FCP 3DEC	SMI	France
Placements et réalisations immobilières (SNC)	CIB	France
Predica	SMI	France
Predica - Prévoyance Dialogue du Crédit Agricole	SMI	Spain
Predica 2005 FCPR A	SMI	France
Predica 2006 FCPR A	SMI	France
Predica 2006-2007 FCPR	SMI	France
PREDICA 2010 A1	SMI	France
PREDICA 2010 A2	SMI	France
PREDICA 2010 A3	SMI	France
Predica OPCI Bureau	SMI	France
Predica OPCI Commerces	SMI	France
Predica OPCI Habitation	SMI	France
PREDICA SECONDAIRES III	SMI	France
Predicant A1 FCP	SMI	France
Predicant A2 FCP	SMI	France
Predicant A3 FCP	SMI	France
PREDIPARK	SMI	France
Prediquant opportunité	SMI	France
PREDIQUANT STRATEGIES	SMI	France
PREMIUM GR 0% 28	SMI	Ireland
PREMIUM GREEN 1.24% 25/04/35	SMI	Ireland
PREMIUM GREEN 4.52%06-21 EMTN	SMI	Ireland
PREMIUM GREEN 4.54%06-13.06.21	SMI	Ireland
PREMIUM GREEN 4.5575%21 EMTN	SMI	Ireland
PREMIUM GREEN 4.56%06-21	SMI	Ireland
PREMIUM GREEN 4.7% EMTN 08/08/21	SMI	Ireland
PREMIUM GREEN 4.72%12-250927	SMI	Ireland
PREMIUM GREEN PLC 4.30%2021	SMI	Ireland
PREMIUM GREEN TV 06/22	SMI	Ireland
PREMIUM GREEN TV 07/22	SMI	Ireland
PREMIUM GREEN TV 07-22	SMI	Ireland
PREMIUM GREEN TV 22	SMI	Ireland
PREMIUM GREEN TV 26/07/22	SMI	Ireland
PREMIUM GREEN TV06-16 EMTN	SMI	Ireland
PREMIUM GREEN TV07-17 EMTN	SMI	Ireland
PREMIUM GREEN TV2027	SMI	Ireland
PREMIUM GREEN TV23/05/2022 EMTN	SMI	Ireland
PREMIUM GREEN4.33%06-29/10/21	SMI	Ireland
Prestimmo	FRB	France
PROTEIN'VIE 3 3DEC	SMI	France
Pyrénées Gascogne Altitude	FRB	France
Pyrénées Gascogne Gestion	FRB	France
Radian	CC	France
Regio Kredietdesk B.V.	SFS	Netherlands
Ribank	SFS	Netherlands
RONDEYS FCP 3DEC	SMI	France
S.A. Foncière de l'Erable	FRB	France
S.A.S. Arcadim Fusion	FRB	France
S.A.S. Chalons Mont Bernard	FRB	France
S.A.S. Charleville Forest	FRB	France
S.A.S. Evergreen Montrouge	CC	France
S.A.S. Immnord	FRB	France
S.A.S. La Boetie	CC	France
S.A.S. Laon Brosselette	FRB	France
S.A.S. Sacam Avenir	CC	France
SA Projénor	CC	France
SA RESICO	SMI	France
Sacam Assurances Cautions	CC	France
Sacam Developpement	CC	France
Sacam Fia Net Europe	CC	France
Sacam Immobilier	FRB	France
Sacam International	CC	France
Sacam Participations	CC	France
Sagrantino Italy SRL	CIB	Italy
SAS Brie Picardie Expansion	FRB	France
SAS Caagis	SMI	France
SAS Centre d'Affaires Parc Lumière	FRB	France
SASU Crédit Agricole Immobilier Investors	CC	France
SCI 15 place du général de gaulle	FRB	France
Sci 32 Liberté	FRB	Luxembourg
SCI BMEDIC HABITATION	SMI	France
SCI CAMPUS MEDICIS ST DENIS	SMI	France
SCI CAMPUS RIMBAUD ST DENIS	SMI	France
SCI Crystal Europe	FRB	France
SCI D2 CAM	CC	France
SCI Euralliance Europe	FRB	France
SCI FEDERALE PEREIRE VICTOIRE	SMI	France
SCI FEDERALE VILLIERS	SMI	France
SCI FEDERCOM	SMI	France
SCI FEDERLOG	SMI	France
SCI FEDERLONDRES	SMI	France
SCI FEDERPIERRE	SMI	France
SCI GRENIER VELLEF	SMI	France
SCI IMEFA 001	SMI	France
SCI IMEFA 003	SMI	France
SCI IMEFA 004	SMI	France
SCI IMEFA 005	SMI	France
SCI IMEFA 006	SMI	France
SCI IMEFA 008	SMI	France
SCI IMEFA 011	SMI	France
SCI IMEFA 012	SMI	France
SCI IMEFA 013	SMI	France
SCI IMEFA 016	SMI	France
SCI IMEFA 017	SMI	France
SCI IMEFA 018	SMI	France
SCI IMEFA 020	SMI	France
SCI IMEFA 022	SMI	France
SCI IMEFA 025	SMI	France
SCI IMEFA 032	SMI	France
SCI IMEFA 033	SMI	France
SCI IMEFA 034	SMI	France
SCI IMEFA 035	SMI	France
SCI IMEFA 036	SMI	France
SCI IMEFA 037	SMI	France

Name of the entity	Type of business	Geographic location
SCI IMEFA 038	SMI	France
SCI IMEFA 039	SMI	France
SCI IMEFA 042	SMI	France
SCI IMEFA 043	SMI	France
SCI IMEFA 044	SMI	France
SCI IMEFA 047	SMI	France
SCI IMEFA 048	SMI	France
SCI IMEFA 051	SMI	France
SCI IMEFA 052	SMI	France
SCI IMEFA 054	SMI	France
SCI IMEFA 057	SMI	France
SCI IMEFA 058	SMI	France
SCI IMEFA 060	SMI	France
SCI IMEFA 061	SMI	France
SCI IMEFA 062	SMI	France
SCI IMEFA 063	SMI	France
SCI IMEFA 064	SMI	France
SCI IMEFA 067	SMI	France
SCI IMEFA 068	SMI	France
SCI IMEFA 069	SMI	France
SCI IMEFA 072	SMI	France
SCI IMEFA 073	SMI	France
SCI IMEFA 074	SMI	France
SCI IMEFA 076	SMI	France
SCI IMEFA 077	SMI	France
SCI IMEFA 078	SMI	France
SCI IMEFA 079	SMI	France
SCI IMEFA 080	SMI	France
SCI IMEFA 081	SMI	France
SCI IMEFA 082	SMI	France
SCI IMEFA 083	SMI	France
SCI IMEFA 084	SMI	France
SCI IMEFA 085	SMI	France
SCI IMEFA 089	SMI	France
SCI IMEFA 091	SMI	France
SCI IMEFA 092	SMI	France
SCI IMEFA 096	SMI	France
SCI IMEFA 100	SMI	France
SCI IMEFA 101	SMI	France
SCI IMEFA 102	SMI	France
SCI IMEFA 103	SMI	France
SCI IMEFA 104	SMI	France
SCI IMEFA 105	SMI	France
SCI IMEFA 107	SMI	France
SCI IMEFA 108	SMI	France
SCI IMEFA 109	SMI	France
SCI IMEFA 110	SMI	France
SCI IMEFA 112	SMI	France
SCI IMEFA 113	SMI	France
SCI IMEFA 115	SMI	France
SCI IMEFA 116	SMI	France
SCI IMEFA 117	SMI	France
SCI IMEFA 118	SMI	France
SCI IMEFA 120	SMI	France
SCI IMEFA 121	SMI	France
SCI IMEFA 122	SMI	France

Name of the entity	Type of business	Geographic location
SCI IMEFA 123	SMI	France
SCI IMEFA 126	SMI	France
SCI IMEFA 128	SMI	France
SCI IMEFA 129	SMI	France
SCI IMEFA 131	SMI	France
SCI IMEFA 132	SMI	France
SCI IMEFA 139	SMI	France
SCI IMEFA 140	SMI	France
SCI IMEFA 148	SMI	France
SCI IMEFA 150	SMI	France
SCI IMEFA 155	SMI	France
SCI IMEFA 156	SMI	France
SCI IMEFA 158	SMI	France
SCI IMEFA 159	SMI	France
SCI IMEFA 164	SMI	France
SCI LA BAUME	SMI	France
SCI LE BRETAGNE	FRB	France
SCI LE VILLAGE VICTOR HUGO	SMI	France
SCI MEDI BUREAUX	SMI	France
SCI MONTAIGNE	CC	France
SCI PACIFICA HUGO	SMI	France
SCI PORTE DES LILAS - FRERES FLAVIEN	SMI	France
SCI Quartz Europe	FRB	France
SCI Quentyvel	CC	France
SCI VALHUBERT	SMI	France
Scica HL	FRB	France
Segemil	CIB	Luxembourg
Selexia S.A.S.	CC	France
Sepi	FRB	France
Sequana	FRB	France
SEVALES 3D	SMI	France
Shark FCC	CIB	France
SILCA	CC	France
Sircam	FRB	France
SIS (Société Immobilière de la Seine)	CC	France
SNC Alsace	CC	France
SNC Eole	CC	France
SNC Kalliste Assur	CC	France
SNC Les Fauvins	FRB	France
SNGI	CIB	France
SNGI Belgium	CIB	Belgium
Socadif	FRB	France
Société Générale Gestion (S2G)	SMI	France
Sococlabecq	CIB	Belgium
Sodica	CC	France
Sofinco Participations	SFS	France
Sofipac	CIB	Belgium
SOLIDARITE INITIATIS SANTE	SMI	France
Space Holding (Ireland) Limited	SMI	Ireland
Space Lux	SMI	Luxembourg
Spirica	SMI	France
Square Habitat Nord de France	FRB	France
Square Jura	FRB	France
Ste Européenne de développement d'assurances	SFS	France
Ste Européenne de développement du financement	SFS	France

Name of the entity	Type of business	Geographic location
Succursale Credit Agricole SA	CC	United Kingdom
Sud Rhône Alpes Placement	FRB	France
TCB	CIB	France
Teotys	SFS	France
THEOFINANCE LTD	SFS	Mauricius
THEOFINANCE SA	SFS	Uruguay
Toulouse 31 Court Terme	FRB	France
TRIALIS 6 ANS	SMI	France
TRIALIS C	SMI	France
TRIANANCE 5 ANS	SMI	France
TRIANANCE 6 ANS	SMI	France
TRIANANCE N5 C	SMI	France
TRIANANCE N6 C	SMI	France
Triple P FCC	CIB	France
UI Vavin 1	CC	France
Unibiens	CC	France
Uni-Edition	CC	France

Name of the entity	Type of business	Geographic location
Unifergie	SFS	France
Val de France Rendement	FRB	France
VEND.DOUBOPP.IV 3D	SMI	France
VENDOME DOUBLE OPP II FCP 3DEC	SMI	France
VENDOME DOUBLE OPPORT FCP 3DEC	SMI	France
VENDOME INV.FCP 3DEC	SMI	France
Via Vita	SMI	France
VoordeelBank B.V.	SFS	Netherlands
Vulcain EUR FCT	CIB	France
Vulcain GBP FCT	CIB	France
Vulcain USD FCT	CIB	France
91 unit-linked funds in which the interest is at least 95%	SMI	France

(a) FRB: French retail banking;
IRB: International retail banking;
SMI Savings management and insurance;
SFS: Specialised financial services;
CIB Corporate and investment banking;
CC: Corporate centre.

During the year, Crédit Agricole S.A. has not taken any significative stake in companies headquartered in France.

TRANSACTIONS WITH RELATED PARTIES

The main transactions entered into with related parties are disclosed in the consolidated financial statements for the year ended 31 December 2015 in the "General framework - Related parties" section.

In addition, in accordance with paragraph 13 of Article L. 225-102-1 of the French Commercial Code, please note that no agreements were entered into, directly or through intermediaries, between, (i) on the one hand, the Chief Executive Officer, any one of the Deputy Chief Executive Officers or Directors or shareholders of Crédit Agricole S.A. with more than 10% of the voting rights, and, (ii) on the other, another company in which Crédit Agricole S.A. has, directly or indirectly, more than a 50% capital interest unless, where appropriate, these agreements relate to ordinary arms length transactions.

INTERNAL CONTROL AND RISK MANAGEMENT PROCEDURES

Crédit Agricole Group's internal control system complies with all legal and regulatory requirements as well as with Basel Committee recommendations.

The internal control system and procedures, within Crédit Agricole Group, are defined as the framework designed to manage and control all types of operations and risks and to ensure that all transactions are carried out in a manner that is proper (in compliance with laws, regulations and internal standards), secure and effective, in accordance with the references listed in item 1 below.

The internal control system and procedures can be classified by their assigned objectives:

- application of instructions and guidelines determined by Executive Management;
- financial performance through the effective and adequate use of the Group's assets and resources, and protection against the risk of loss;
- comprehensive, accurate and ongoing knowledge of the data required to make decisions and manage risks;
- compliance with laws and regulations and internal standards;
- prevention and detection of fraud and error;
- accuracy and completeness of accounting records and timely production of reliable accounting and financial information.

These procedures nevertheless incorporate the limitations of all internal control systems owing in particular to technical or human deficiencies.

In accordance with the Group's principles, the internal control system has a broad scope of application to cover supervision and control of activities and to measure and monitor risks on a consolidated basis. Each Crédit Agricole Group entity and subsidiary applies this principle to its own subsidiaries, thereby ensuring a consistent internal control system throughout the entire Group. The system implemented by the Crédit Agricole Group, in line with the standards and principles set forth below, is thus adapted and deployed across the various business lines and risks at each level within Crédit Agricole Group, in order to best observe regulatory requirements relating to banking activities.

Through the procedures, tools and reporting systems that have been implemented in this standardised framework, information is delivered on a regular basis in particular to the Board of Directors, Risks Committee, Executives Management, executives and management on the operation of the internal control systems and their adequacy (permanent and periodical controls, reports on risk monitoring and measurements, corrective action plans, etc.).

1. Standards for internal control

The internal control environment and principles are in keeping with the provisions of the French Monetary and Financial Code[1], the Order of 3 November 2014 regarding the internal control of banking sector companies, payment services and investment services subject to ACPR supervision, the AMF's General Regulations and Basel Committee recommendations on internal control, risk management and solvency.

These national and international external standards are supplemented by internal standards specific to Crédit Agricole:

- a body of permanent regulatory rules (both external regulations and internal Group rules) governing the entire Crédit Agricole Group, compliance with which is compulsory, and more particularly rules concerning accounting (Crédit Agricole chart of accounts), financial management, risk management and permanent controls;
- the Code of Conduct of Crédit Agricole Group;
- recommendations of the Regional Banks Plenary Committee for internal control;
- a set of "procedures" governing Crédit Agricole S.A., concerning the organisation, operations and risks. In this context, Crédit Agricole Group adopted a set of procedures to control its compliance with laws and regulations. These procedures have since been adapted to changes in regulations and deployed within Group entities, in particular in the areas of financial security (prevention of money laundering and terrorism financing, asset freezing, compliance with embargoes, etc.) and in the identification of failures in applying laws, regulations, professional and compliance standards, for example. These procedures are updated regularly as required, and more particularly to take into account regulatory developments and changes in the internal control scope.

2. Organisation of the internal control system

To ensure that the internal control systems are effective and consistent throughout the Group, Crédit Agricole Group has established a set of common rules and recommendations based on the implementation of, and compliance with, certain underlying fundamental principles.

Each Crédit Agricole Group entity (Regional Banks, Crédit Agricole S.A., banking or investment subsidiaries, insurance and other subsidiaries, etc.) must apply these principles at its own local level.

Fundamental principles

The organisational principles and components of the internal control system common to all Crédit Agricole Group entities cover obligations relating to:

- reporting to the supervisory body (risk strategies, risk limits, internal control activity and results, significant events);
- the direct involvement of the management body in the organisation and operation of the internal control system;
- the comprehensive coverage of all business operations and risks, and accountability of all persons involved;
- the clear definition of tasks, effective segregation of the commitment and control functions, formal and up-to-date authorised limits;
- formal, up-to-date standards and procedures.

These principles are supplemented by:

- systems for measurement, supervision and control of risk: credit, market, liquidity, financial, operational (transaction processing, quality of financial and accounting information, IT processing), non-compliance and legal risks;
- a control system, forming part of a dynamic and corrective process, encompassing permanent controls, which are carried out by the operating units themselves or by dedicated staff, and periodic controls (carried out by Group Control and Audit or Audit units);
- adaptation of the Group's compensation policies (following the Board of Directors' resolutions of 9 December 2009 and 23 February 2011) and internal control procedures – in application of the applicable international, European or national regulations, in particular those associated with the CRD 4, AIFM and SOLVENCY II directives, the provisions pertaining to the Volcker Rule, the Banking Separation Act and the FIM directive, as well as the banking profession recommendations relating to the matching of compensation policy and risk management aims and compensation of members of executive bodies and of risk takers (see part I of this report).

Oversight

Following the changes instituted by Regulation 97-02 on internal control and pertaining to the organisation of the control functions, included in the Order of 3 November 2014 which cancelled said Regulation, every individual who is responsible for an entity or business line, every manager, employee and all departments within the Group are reminded of their obligation to report and to be in a position at all times to demonstrate that they have adequate control over their business activities and associated risks, in accordance with the standards applicable to banking and financial operations, to ensure the long-term security of each activity and development project and to adjust the control mechanisms to be implemented to the degree of the risks incurred.

This requirement is based on organisational principles and a structure of responsibilities, operating and decision-making procedures, controls and reporting to be implemented in a formal, effective manner at each level of the Group: central functions, business lines, subsidiaries, operating units and support functions.

GROUP INTERNAL CONTROL COMMITTEE

The Internal Control Committee for the Crédit Agricole Group and Crédit Agricole S.A. is the body that oversees all the systems. It has held periodic meetings chaired by the Chief Executive Officer of Crédit Agricole S.A.

The purpose of this Committee is to reinforce cross-functional actions to be implemented within Crédit Agricole Group. It is responsible for reviewing internal control issues common to the Group as a whole (Crédit Agricole S.A., subsidiaries of Crédit Agricole S.A., the Regional Banks, resource pooling entities) and for ensuring the consistency and effectiveness of internal controls on a consolidated basis. The Internal Control Committee is an executive decision-making body composed of salaried executives of Crédit Agricole S.A. In this respect, it is different from the Risks Committee, which is an arm of the Board of Directors, in particular, it is responsible for coordinating the three control functions: Control and Audit, Risk Management and Permanent Controls, Compliance.

(1) *Article L 511-41.*

THREE GROUP CONTROL FUNCTIONS

The head of the Group Risk Management, the head of Group Control and Audit, in charge of periodical controls, and the head of Group Compliance report directly to the Chief Executive Officer of Crédit Agricole S.A. The three heads of Periodical Controls, Permanent Controls and Compliance have extensive access to the Risks Committee and to the Crédit Agricole S.A. Board of Directors.

Also, pursuant to the Order of 3 November 2014 regarding the internal control of banking sector companies, payment services and investment services subject to ACPR supervision, the head of Group Risk Management was appointed as head of risk management for both Crédit Agricole S.A. and Crédit Agricole Group.

Control functions are responsible for supporting the business lines and operating units to ensure that all transactions are carried out in a manner that is proper, secure and effective. Responsibilities are divided as follows:

- the Group Risk Management department is responsible for the oversight and control of credit, market, liquidity, financial and operational risks; it is also in charge of last-line control of accounting and financial information and of monitoring the roll-out of IT system security and business continuity plans by the Group IT security manager;
- non-compliance risk prevention and controls by the Compliance department, responsible in particular for prevention of money laundering and terrorism financing, fraud prevention, and compliance with embargoes and obligations to freeze assets;
- Group Control and Audit is responsible for independent periodical control to ensure that all Crédit Agricole Group entities are operating properly.

In addition to the actions of the different control functions, other Crédit Agricole S.A. central functions, departments and business lines participate in implementing internal control systems on a consolidated basis, either through Specialised Committees or through actions designed to standardise procedures and to centralise data.

The Legal Affairs department, which is organised as a business line, has two main goals: to control legal risk which can generate litigation and liability, whether civil, disciplinary or criminal, and to provide the requisite legal support to the entities to enable them to engage in their business activities while minimising risks and legal costs.

Crédit Agricole S.A. and its subsidiaries

The functions, departments and business lines are themselves supported by decentralised local units within each legal entity (those main subsidiaries forming part of Crédit Agricole S.A. Group's internal control scope), comprising:

- internal Control Committees, which meet quarterly. These are executive decision-making bodies, which include the Chief Executive Officer of the unit and the representatives of control functions of the entity and of Crédit Agricole S.A., who are responsible, in particular, for monitoring the internal control systems within the entity, for reviewing the main risks to which the entity is exposed, for a critical assessment of the internal control systems and internal audit work, for monitoring audits, and for overseeing any corrective measures;
- each entity's Specialised Committees;
- a network of officers and Committees dedicated to each business line.

Crédit Agricole Regional Banks

The application of all the Group's regulations to the Regional Banks is facilitated by the circulation of national recommendations on internal control by the Regional Banks Plenary Committee for internal control and by the activity of Crédit Agricole S.A. central control functions. The Plenary Committee, which is responsible for strengthening the Regional Banks' internal control systems, is composed of Regional Banks' Chief Executive Officers, managers and internal control officers as well as Crédit Agricole S.A. representatives. Its work is extended through regular regional meetings and through work and information meetings between Crédit Agricole S.A. internal control officers and their Regional Bank counterparts.

ROLE OF THE BOARD OF DIRECTORS[1]

The Board of Directors of Crédit Agricole S.A. is aware of the Company's overall organisational structure and approves its internal control system. It approves the overall organisation of the Group as well as its internal control system and defines the Group's risk appetite as part of an annual statement. It is informed of the organisation, operation and results of the internal control system. In addition to the information it receives on a regular basis, it receives the annual and interim reports on internal control, which are sent to it in accordance with banking regulations and Crédit Agricole S.A. procedures. The Chairman of the Board of Directors of Crédit Agricole S.A. receives regular reports summarising the conclusions of audits conducted by Group Control and Audit.

The Board is informed by the Risks Committee of the main risks incurred by the Company and of significant incidents picked up by internal control and risk management systems.

The Chairman of Crédit Agricole S.A. Risks Committee reports to the Board on the Committee's work in general and, more particularly, on the annual report on internal controls and on risk measurement and monitoring. At the date of the General Meeting of Shareholders, the annual report for 2015 will have been presented to the Risks Committee and will be duly sent to the French Prudential and Resolution Supervisory Authority (ACPR) and the Statutory Auditors. It will also have been presented to the Board of Directors.

ROLE OF THE RISKS COMMITTEE[2]

The Crédit Agricole S.A. Internal Control Officers report to the Risks Committee created by Crédit Agricole S.A.'s Board of Directors pursuant to the Order of 3 November 2014.

The Risks Committee is in charge of assessing the effectiveness of the risk management and internal control system. As such, it has broad communications powers in respect of all information relating to periodical control, permanent control, including accounting and financial control, and compliance control.

It meets eight times per year and receives periodic reports on activity management systems and risk measurement. An interim (half-year) report on internal control for the first half of 2015 was presented to the Committee at its meeting of 6 October 2015. The annual report for 2015 will be presented to the Committee at its meeting of 14 April 2016.

The Chairman of the Risks Committee also receives regular reports summarising the conclusions of audits conducted by the Group Control and Audit function.

(1) Detailed information about all the work carried out by the Board of Directors is given in the "Preparation and Organisation of the Board's Work" section of this report.

(2) Detailed information about all the work carried out by the Risks Committee is given in the "Preparation and Organisation of the Board's Work" section of this report.

ROLE OF THE CHIEF EXECUTIVE OFFICER REGARDING INTERNAL CONTROL

The Chief Executive Officer defines the Company's general organisation and oversees its implementation by competent qualified staff. He is directly and personally involved in the organisation and operation of the internal control system. In particular, he defines roles and responsibilities and allocates adequate resources to the internal control function.

He ensures that risk strategies and limits are compatible with the financial position (capital base, earnings) and strategic guidelines set by the Board of Directors, within the risk appetite limitations set by the Group.

He oversees the implementation of risk identification and measurement systems that are appropriate for the Company's activities and organisation. He also ensures that all essential information produced by these systems is reported to him on a regular basis.

He ensures that the internal control system's adequacy and effectiveness are permanently monitored. He receives information on any failures identified by the internal control system and on proposed corrective measures. In this respect, the Chief Executive Officer receives regular reports summarising the conclusions of audits conducted by the Group Control and Audit function.

3. Internal control procedures and risk management and supervision within Crédit Agricole Group

Crédit Agricole Group has risk measurement, supervision and control systems covering all risks (counterparty risks, market risks, operational risks, financial risks, etc.), which are adapted to its business activities and organisation, and forming an integral part of the internal control system. Information is reported periodically to the management body, the supervisory body and the Risks Committee, notably through the reports on internal control and risk measurement and supervision.

Detailed information on risk management is presented in the "Risk Factors" section and in the corresponding Note 3 to the consolidated financial statements.

Risk Management and Permanent Controls

The Risks and Permanent Controls Group function, created in 2006 to implement Regulation 97-02 (cancelled and replaced by the Order of 3 November 2014 regarding the internal control of banking sector companies, payment services and investment services subject to ACPR supervision) was continuously active in 2015, seeking to meet the obligations under the Order of 3 November 2014 regarding internal control, measure and manage Group risks with the best possible response times and efficiency.

The Risks and Permanent Controls Group function is responsible both for overall risk management and for permanent control of the Group's risks: credit, financial and operating risks, including risks lined to the quality of financial and accounting information, physical and IT system security, business continuity and management of essential services that have been outsourced.

Risk management is underpinned by a Group-wide system under which the business lines' strategies, including the launch of new business activities or new products, are subject to a risk assessment and to risk limits that are formally applied as part of the risk strategy of each sensitive business and entity. These limits are reviewed at least once a year or whenever there is a change in a business or in risk exposure, and they are validated by the Group Risk Management Committee. They are associated with Group-wide limits, particularly for large counterparties. Mapping of potential risks and measurement and monitoring of identified risks are periodically adjusted as a function of the business activity.

Control plans are proportionately adjusted to accommodate changes in business activity and risks.

The Group function reports to the head of Crédit Agricole S.A. Group Risk Management, who is not attached to any operational function and in turn reports to the Chief Executive Officer of Crédit Agricole S.A. It brings together the cross-functional departments of Crédit Agricole S.A. (Group Risk Management) and the decentralised Risk Management and Permanent Controls functions, which are closest to the business lines, in each Group entity, in France and abroad. At the end of 2015, the Group's Risk Management and Permanent Controls function employed approximately 2,900 fulltime equivalent employees within the scope of Crédit Agricole Group.

Its function is based on structured governance bodies, including the Internal Control Committees, the Group Risk Management Committee (the forum where the Executive Committee approves the Group's strategies and is informed of its risk exposure), the Regional Banks Risk Monitoring Committee, the Group Security Committee, the Standards and Methodology Committee, the Basel Steering Committee, the Business Line Monitoring Committees, which bring together at regularly scheduled meetings the Group Risk Management department and the subsidiaries, and other Committees in charge, in particular, of the rating and IT systems. The Group Risk Management Committee, chaired by the Chief Executive Officer of Crédit Agricole S.A., meets twice a month and its role is to monitor the risks that appear in order to clarify appropriate policy guidance.

In 2015, the management body (*via* the Group Risk Management Committee), the Risks Committee and the Board of Directors drafted the Group's Risk Appetite Statement and regularly reviewed the risk strategies and the extent of the Group's credit, financial, operational and non-compliance risk exposures. The Group Risk Management Committee re-examined the strategies applied by the Group's business lines and adjusted intervention limits as needed. Furthermore, a Group-wide approach was developed for sensitive business sectors and countries.

CRÉDIT AGRICOLE GROUP CENTRAL RISK MANAGEMENT AND PERMANENT CONTROLS FUNCTIONS

Crédit Agricole S.A.'s Group Risk Management department is responsible for monitoring and managing the Group's overall risk management and permanent control systems.

Overall management of Group risks

For the first time in 2015, Crédit Agricole S.A. Group drafted a Risk Appetite Statement, which was first reviewed and recommended by the Risks Committee and then discussed and approved by the Board of Directors on 15 December 2015. This initiative is in line with the Group's strategy and builds on the work carried out by the Group's entities within their respective scope to establish risk appetite as part of a coordinated effort at Group level. The Group's risk appetite and tolerance levels are determined based on quantitative and qualitative strategic priorities. The strategic indicators submitted to the governance bodies are monitored regularly at both Group and entity level.

The Group Risk Management department oversees and measures overall risks for the consolidated entity through specialised units for each category of risk. These units define and implement risk management and consolidation systems (standards, methodologies, IT systems).

The system implemented by the Group Risk Management function also includes a "business line risks oversight" function, responsible for the global and individual relationship with each Crédit Agricole Group subsidiary. The supervision of risks within the Regional Banks is carried out by a specific unit within the Group Risk Management department.

Risk monitoring at Group level by the business line risk oversight units is notably carried out *via* the examination of risks by the Group Risk Management Committee and by the Regional Banks Risk Monitoring Committee.

Risk is also monitored *via* an alert procedure deployed across all Group entities, enabling the greatest risks to be presented before an Executive Management Committee on a fortnightly basis.

Crédit Agricole Group's risk measurement system is comprehensive and accurate. It covers all categories of commitments (on- and off-balance sheet) and positions, and consolidates commitments to companies belonging to the same group, by aggregating all portfolios and identifying risk levels.

These measures are supplemented by periodically altering the risk profile under stress scenarios and by regularly making assessments based on various types of scenarios.

Aside from these major regulator-led tests, stress exercises are conducted by all entities at least once a year for internal management purposes. These exercises are, in particular, conducted as part of the annual budgetary process to strengthen the practice of measuring the sensitivity of risks and the Group's income statement and its various components to a significant deterioration in the economic climate. These comprehensive stress exercises are supplemented by sensitivity analyses on the main portfolios. Accordingly, the Group's key entities performed a review of the impact of the global economic slowdown, focusing in particular on China and emerging markets. The findings were presented at a Group Risk Management Committee's meeting in the third quarter of 2015.

Crédit Agricole Group collectively and individually undertakes the risk management process by employing procedures for monitoring limits and making adjustments whenever they are exceeded, monitoring the operation of accounts, appropriate classification of receivables (particularly impaired receivables) in keeping with applicable regulations, ascertaining that provisions are sufficient to cover exposure under the control of the Risk Committees, and periodically reviewing major risks and portfolios, particularly those involving deals at risk.

In a contrasting and uncertain risk environment, Crédit Agricole Group is pursuing a policy of actively reviewing the risk strategies and policies adopted by its subsidiaries. The Group's main cross-functional portfolios (housing, energy, small businesses and farmers, consumer loans, private equity, etc.) were also reviewed and the results presented to the Group Risk Management Committee during the second quarter.

Procedures for alerts and escalation are in place should anything appear wrong for an extended period, depending on its materiality.

Since 2008, Crédit Agricole Group has implemented measurements of risk weighted assets for calculating capital requirements first under Basel 2 and then Basel 3 based on internal models certified by the French Regulatory and Resolution Supervisory Authority (ACPR) (the IRB International Ratings Based approach for calculating credit risk, the AMA Advanced Measurement Approach model for calculating operational risk; the standardised approach is applied where models are to be validated subsequently or to which that approach will be applied on a long term basis).

With regard to liquidity risk, a review of the internal liquidity risk management and control system was completed in 2014. In accordance with regulatory requirements, the new LCR ratio (liquidity coverage ratio) has been reported monthly to the ACPR, since the end of the first quarter.

The market risk management system did not experience any major changes in 2015. Systems for managing these risks were reviewed and strengthened.

Following implementation of the Capital Requirements directive (CRD 4) on 1 January 2014, Credit Valuation Adjustment (CVA) VaR and stressed VaR are now calculated for Crédit Agricole Corporate and Investment Bank scope and incorporated into the market risk capital requirements.

A significant incident system for all risks was established in 2009 and a procedure specifies the significant thresholds and how to report incidents to the executive and decision-making bodies of Crédit Agricole S.A., its subsidiaries and the Regional Banks.

No major changes affected the systems in place to manage financial risks associated with asset and liability management during the year.

Permanent controls of operational risks

The Group Risk Management department coordinates the permanent controls system (definition of key control indicators by type of risk; deployment of a single software platform integrating operational risk assessment and the results of permanent controls; and organisation of reporting of control results at the relevant consolidation levels within the Group).

In 2015, the Group Risk Management department organised two educational events (Web Conference and Permanent Control Day) when all Group entities came together to discuss best practice and ways to implement improvements in the systems. In addition, the department distributed the "Operational Risks Monthly" to the entities with a view to raising awareness on and preventing/detecting operational risk. The report summarises any operational risk warnings in excess of €150,000 issued within the Group (including all Regional Banks covered by the Group Operational Risk alert system since 2015).

The Risk Management and Permanent Controls system has been improved, in particular by updating the key indicators catalogue to be implemented in 2016. A summary of the results of these controls is made available to the Group Internal Control Committee twice a year.

The Management updated part of the Operational Risk, Permanent Control and key outsourced services (PSEE) policy documentation: "Group's standards and policies on permanent control" and "Risk management associated with key outsourced services (PSEE)". The documentation will continue to be updated in 2016.

The risk appetite initiative devised by the Group Risk Management department has been implemented for operational risk. To this end, the pertaining documents have been distributed to the entities and will become effective in late 2015.

In operational risks, the Group continued to implement improvements regarding the reliability and quality of the data collected from the entities. More in particular, in 2015 the losses connected to the "Execution" category were analysed and an expanded recording format was implemented for reporting losses/provisions.

The implementation of the internal model and the backtesting process have been boosted in Regional Banks with the appointment and training of five Back-testing consultants.

A global review of the methods for calculating capital requirements for key scenarios has been launched and will continue in 2016, with a view to improving the reliability, effectiveness and stability of this process. Work has already been carried out with the Group's experts and entities to validate the scope of the chosen scenarios, as well as to set consistent analysis criteria for testing the scenarios and improve the level of comparability.

As part of the upgrade of the information system (BCBS 239), the first batch of changes to the capital requirement calculation information system was rolled out late November (application of Group standards, data quality and control security).

In terms of risk management associated with the main outsourced activities the processes for monitoring bank transactions and payment services intermediaries was improved.

Lastly, the operational risk management and measurement system was the object of two simultaneous inspections by the ECB during the second quarter of 2015. The first inspection focused on the central body's oversight of the Regional Banks' operational risk management. The second reviewed the operational risk measurement system and, more specifically, the AMA.

DECENTRALISED RISK MANAGEMENT AND PERMANENT CONTROLS FUNCTIONS IN EACH GROUP BUSINESS LINE

Within Crédit Agricole S.A.

The roll-out of the Group function is on a hierarchical basis with the appointment of a Risk Management and Permanent Controls Officer (RCPR) for each subsidiary or business line. The Business Line RCPR reports hierarchically to the head of the Group Risk Management department and functionally to the management body of the relevant business line. This safeguards the independence of the local Risk Management and Permanent Controls departments.

Acting under the responsibility of its own RCPR, each subsidiary or business line secures the resources it needs for managing its risks and to ensure the compliance of its permanent control system, in order to obtain a comprehensive, consolidated view of its risks that will guarantee the entity's sustainability throughout its internal control scope.

Relations between each subsidiary or business line and the Group Risk Management department are based on the following main principles:

- each subsidiary or business line applies the Group-wide standards and procedures defined by the Risk Management department;
- each subsidiary or business line defines its own risk strategy, which is approved by the Group Risk Management Committee on the Risk Management department's recommendation, specifying the overall limits on the entity's commitments;
- authority is delegated from the Group RCPR to the Business Line RCPRs, which report hierarchically to the Group RCPR in carrying out their duties; these Officers are also subject to disclosure and early-warning obligations *vis-à-vis* the Group Risk Management department;
- a Business Line Monitoring Committee, which periodically brings together the Group Risks Management department and the entity to discuss the quality of the risk management and permanent controls system and the level of risk, including those which relate to Corporate and investment banking (Crédit Agricole Corporate and Investment Bank).

Regional Banks

Banking regulations on risks apply to each Regional Bank individually. Each Regional Bank is responsible for its own risks and permanent controls framework. Each one has a Risk Management and Permanent Controls Officer, who reports to his or her Chief Executive Officer and is in charge of the oversight of risk management and permanent controls. The Compliance Officer may also report to him/her. If this is not the case, the Compliance Officer directly reports to the Chief Executive Officer.

As the central body for the Group, Crédit Agricole S.A. consolidates the risks borne by the Regional Banks and coordinates their Risk Management and Permanent Controls function *via* the Group Risk Management department, notably by circulating the appropriate procedures to the Regional Banks, particularly for implementing the Group permanent control system.

Furthermore, large credit exposures borne by the Regional Banks must be presented to Foncaris, a credit institution that is a wholly owned subsidiary of Crédit Agricole S.A., which partially guarantees such exposures. The requirement that the Regional Banks must ask Foncaris to guarantee their main transactions (when the amount exceeds a limit defined jointly by the Regional Banks and Foncaris) gives the central body an effective tool for assessing the associated risk before accepting it.

Internal control system for business continuity plans and information systems security

Through the internal control system that has been established, regular reports on the main entities' situation regarding risk monitoring in relation to Business Continuity Plans and IT System Security are made to the governance authorities for Group security.

BUSINESS CONTINUITY PLANS

In terms of IT contingency plans, the majority of Crédit Agricole S.A. Group subsidiaries' IT production and that of the 39 Regional Banks are now hosted on the high-security Greenfield twin-site and thus benefit from the contingency solutions offered by this dual site.

These solutions are now tested periodically for both Crédit Agricole S.A. and its subsidiaries. The most recent tests for the Crédit Agricole S.A. Group were performed successfully in June 2015. After completion of and migration to the new NICE system, the Regional Banks mostly follow the same testing process, albeit with a few years' delay. Accordingly, the first large-scale test was carried out successfully in May 2015. In addition, Crédit Agricole Technologies et Services was faced with a major hardware fault requiring the switch of ten Regional Banks to the fallback site in five hours, which confirmed the appropriateness of the contingency plan.

Crédit Agricole S.A. subsidiaries not relying on Greenfield for their IT services, have IT contingency solutions that are regularly tested to ensure a reasonable assurance of recovery in the event of an incident.

In terms of user fallback plans, the Group relies on Eversafe, a solution providing a high level of security if the building, campus or even the whole district in the Paris region should become unavailable. This solution is now fully operational and tested with two dedicated sites for the Group, thus providing workspace in the event of a major event in the Paris region. Regularly tested solutions in accordance with the Group's policy are in place in all other Group establishments.

Furthermore and in accordance with Group policy, most entities are equipped to deal with a massive viral attack on workstations by prioritising the use of user fallback sites.

The national crisis management system was tested three times this year by linking all the crisis officers named by the Group's entities (Regional Banks and subsidiaries). In addition, crisis simulations were performed by IT managers and the Executive Committee. The feedback led to action plans which will be reapplied during testing in 2016.

IT SYSTEMS SECURITY

The Crédit Agricole Group worked to strengthen its resilience faced with the extensive IT risks, in particular from cyber-threats.

To this end, IT security was restructured, which involved splitting the IT systems security management function into a CISO (Chief Information Security Officer) role and an IT systems Risk Manager role (PRSI).

The CISO oversees the IT systems security strategy, whilst the IT systems Risk Manager, who is under the risk management business line, ensures proper management of IT systems risks within his/her entity, notably by consolidating all the information on the topic and by performing all the routine and extraordinary checks and audits pertaining to this overarching supervision task. More specifically, the CISO assesses and provides opinions on the entity's IT systems policies and strategies and the associated corrective measures. He/she also provides his entity's management and internal control bodies, as well as DRG with commented scorecards.

The Group further pursued its IT security boosting effort by rolling out an operational plan to bolster security at Group level and within each entity, under the supervision of the Group CISO. More specifically, the plan includes the deployment of a CERT (Computer Emergency Response Team) and a SOC (Security Operating Centre) against DDOS (Distributed Denial of Service)attacks or fraudulent transfers, for instance.

Moreover, major outsourcing projects are monitored by the entities' Risk Management and Permanent Controls Officers and centrally by DRG experts.

Internal control system for accounting and financial information

In keeping with the applicable rules within the Group, the organisational principles and responsibilities of the Group Finance department functions are set out in a procedure.

The Finance function is organised as a business line within the Crédit Agricole S.A. Group. The Group's heads of a business line or subsidiary report hierarchically to the head of the business line or subsidiary and functionally to the Group Deputy Chief Financial Officer.

At business line/subsidiary level, the Finance department acts as a relay among subsidiaries, circulating the Group's principles with respect to standards and information system organisation, in line with each business line's special attributes. In some cases, it also constitutes an intermediate level for preparation of the business line's accounting and business management information. Each Risk Management and Permanent Controls department in a business line or subsidiary within the Group is also responsible for producing the risk data used to prepare financial information and for implementing controls to ensure that this information is accurately reconciled with accounting data.

Each business line/entity is equipped with the means to ensure the quality of the accounting, management and risk data transmitted by the Group as a result of consolidation requirements, in particular, with regard to the following aspects: compliance with standards applicable to the Group, consistency with parent company financial statements approved by its supervisory body, reconciliation of accounting and management reporting figures.

Within the Group Finance department, three functions are the main contributors in terms of preparing accounting and financial information for publication: Accounting, Management Control and Financial Communication.

ACCOUNTING

The main purpose of the Accounting function is to draw up the separate financial statements of Crédit Agricole S.A., the consolidated financial statements of Crédit Agricole S.A. and Crédit Agricole Group, including segment information for Crédit Agricole S.A. based on the definition of the business lines for financial reporting purposes and in compliance with IFRS 8. To fulfil this mission, the Accounting function, in accordance with applicable regulations, defines and circulates the accounting standards and principles that apply to the Group. It oversees accounting bases, lays down the rules governing the architecture of the accounting information and regulatory reporting system, and manages the accounting processes for consolidation of the financial statements and regulatory reporting.

MANAGEMENT CONTROL

In the field of preparing financial information, the Group Management Control function, together with the Financial Management department, defines the rules for allocating economic capital (definition, allocation policy), consolidates, puts together and quantifies the budget and the Medium Term Plan for Crédit Agricole S.A., and ensures budget monitoring. To meet this objective, Group Management Control defines the management control procedures and methods and the structure and management regulations for the Group management control system.

FINANCIAL COMMUNICATION

Crédit Agricole S.A.'s Financial Communication function ensures message consistency across all investor categories. It is responsible for information published in press releases and presentations to shareholders, financial analysts, institutional investors, rating agencies, as well as information contained in documents subject to approval by the French financial market authority (AMF). In this respect, working under the responsibility of the Chief Executive Officer and Crédit Agricole S.A. Group's Deputy Chief Executive Officer in charge of the Finance department, the Financial Communication function provides the materials used as the basis for presentations of Crédit Agricole S.A. results, financial structure and changes in business lines, as needed to enable third parties to formulate an opinion, particularly on the Group's financial strength, profitability and outlook.

PROCEDURES FOR PREPARATION AND PROCESSING OF FINANCIAL INFORMATION

Each Group entity has responsibility, *vis-à-vis* the Group and the supervisory authorities to which it reports, for its own financial statements, which are approved by its supervisory body. Depending on the entity's size, these financial statements are subject to prior review by the entity's Audit Committee, if it has one.

As for the Crédit Agricole Regional Banks, once their financial statements are drawn up, they are approved by the Accounting department of Crédit Agricole S.A.; this is one of its responsibilities as central body. Crédit Agricole Group's consolidated financial statements are submitted to the Audit Committee and approved by the Board of Directors of Crédit Agricole S.A.

Most published financial information is based on accounting data and on management and risk data.

Accounting data

Figures for each individual entity are drawn up in accordance with the accounting standards applicable where the entity operates. For the purposes of preparing Group consolidated financial statements, local financial statements are restated to conform to IFRS policies and principles adopted by Crédit Agricole S.A.

Management data

Management data is produced by the Group Finance department or the Group Risk Management department. They are being reported upwards in anticipation of definitive accounting data in accordance with the same definition and granularity standards and are used to supply the Group's internal management reporting.

Furthermore, external sources of information (such as the European Central Bank and Bank of France) may be used for management data, particularly for calculating market shares.

In accordance with AMF and CESR (Committee of European Securities Regulators) recommendations, the use of management data for preparing published financial information meets the following guidelines:

- classification of the type of financial information published: historical information, *pro forma* data, projections or trends;
- a clear description of the sources from which the financial information was drawn. When published data are not extracted directly from accounting information, the sources and definition of calculation methods are mentioned;
- comparability of figures and indicators over time, which implies ongoing use of the same sources, calculation methods and methodologies.

DESCRIPTION OF THE PERMANENT ACCOUNTING CONTROL SYSTEM

The Group's Permanent Accounting Controls function's objective is to provide adequate coverage of major accounting risks that can alter the quality of accounting and financial information. This function is provided by the Finance Permanent Control Office, which reports to the Group Risk Management department. The Group's Permanent Accounting Controls function is based on a network of accounting controllers in the subsidiaries and Regional Banks where it operates its support and oversight missions.

The unit has the following roles in this area:

- to define the standards and organisational and operational principles of permanent accounting controls within Crédit Agricole Group;
- to oversee and coordinate the permanent accounting control systems implemented within the Group's subsidiaries and Regional Banks;
- restoration of the quality of accounting and financial information permanent control systems for all Crédit Agricole Group entities to the Group's internal control management bodies.

In 2015, work by the permanent Accounting Control department showed a generally satisfactory level of maturity in the processes. Audits on specific issues within Crédit Agricole S.A.'s Accounting scope led to the recommendation of actions plans to better manage the risks linked to the control process, which are now being monitored.

In order to stay abreast of accounting rules and regulatory changes, the department distributed a new version of the Accounting Control Guidance and reviewed the consolidated accounting control indicators. In addition, the department set up an assessment chart for measuring the exposure to accounting risks which all Group entities will have to implement in 2016.

RELATIONS WITH THE STATUTORY AUDITORS

The registration document, its updates, securities notes and prospectuses prepared for new debt or share issues, which contain comprehensive financial information, are subject to approval or registration by the AMF.

In accordance with applicable professional standards, the Statutory Auditors perform those procedures they deem appropriate on published financial and accounting information:

- audit of the parent company and consolidated financial statements;
- partial audit of interim consolidated financial statements;
- overall review of quarterly financial information and materials used as a basis for presenting financial information to financial analysts.

As part of the duties assigned to them by law, the Statutory Auditors submit to Crédit Agricole S.A.'s Audit Committee their overall work programme, the various spot checks they have carried out, the conclusions of their work on the financial and accounting information they have reviewed in carrying out their assignment, as well as the significant weaknesses of the internal controls, with regards to the procedures used for the preparation and processing of accounting and financial information.

Non-compliance risk prevention and controls

Crédit Agricole S.A.'s internal control functions and the Regional Banks each have their own Compliance department. These functions are performed by around 750 full-time equivalent employees within Crédit Agricole S.A. and its subsidiaries (plus 240 within the Regional Banks), with changes to the scope of consolidation being accompanied by increased resources in several subsidiaries in France and abroad.

The Group Compliance department has functional authority over the Compliance Officers of the French and foreign subsidiaries of Crédit Agricole S.A. The Compliance Officers of Crédit Agricole S.A. subsidiaries operate completely independently, with a hierarchical reporting line to the entity and a functional reporting line to the Compliance function. In its capacity as the central body, Crédit Agricole S.A. *via* the Group Compliance department, leads and coordinates the Regional Bank Compliance teams.

The Group Compliance department is responsible for developing policies with respect to observance of laws and regulations within its scope, their circulation and monitoring that they are observed.

This in particular applies to rules on prevention of money laundering and the financing of terrorism, on management of embargoes and asset freezes, and prevention of fraud and corruption.

Within the Compliance function, each Compliance Officer updates a non-compliance risk map and these are consolidated by the Group Compliance department.

The Compliance Management Committee, which is chaired by the Executive Management, holds bimonthly plenary meetings. It takes the decisions needed to prevent non-compliance risks and in order to implement and monitor corrective measures following the reporting of major irregularities to the Committee. The Committee periodically reports on its work to the Risks Committee of Crédit Agricole S.A. Board of Directors.

Organisation within the Group Compliance department changed in 2015 with the creation of a Control Coordination unit (mainly tasked with compliance controls). The new addition completed a system which comprises units specifically dedicated to specialist areas across the Group (compliance and procedures, financial safety and fraud prevention, compliance and systems) and units responsible for coordinating and supervising the various business lines.

Within the framework of the actions already initiated and as a result of regulatory changes, the Compliance function's work in 2015 focused on the following areas:

- **prevention of money laundering and terrorist financing** remains a constant concern and the focus of much regulatory activity. It demands continuous improvement of identification systems for customers and their activities at every stage of business relations and this must be coordinated with an ever more refined risk-based approach. The topic of Compliance became even more sensitive in 2015 on the wake of terrorist activity and a strong push to raise awareness among banks by public authorities and the Tracfin Financial Information unit, with a view to identifying suspicious cash flows linked to the financing of terrorism. Consequently, customised supervision was required and the number of suspicious activity reports increased;
- **compliance with embargoes and asset freezes** under a number of complex regulations demands the continuous adaptation of, screening systems and qualitative analysis of cash movements as well as training programmes to enhance levels of vigilance among those concerned. These topics, already raised in 2014, continued to be an integral part of operations in 2015. As the Remediation Plan under the agreements signed between the Group and US authorities in 2015 is being drafted, strengthening measures will be implemented at both process and operational level using human resources, specialised tools and dedicated training to further increase the level of security;
- **in fraud prevention,** the Group has continued its initiatives to counter new forms of organised external fraud that use increasingly sophisticated techniques. Awareness raising is key to increasing vigilance measures. With the mounting volume of cases of attempted fraud from external sources and their increasing technical operating modes, notably through cyber crime, the main challenges lie in ensuring a proactive response among banks to continue to protect their customers;
- in 2015 **customer protection** became a significant part of consultants' training in relation to the marketing of insurance products (professional skills) and customer support in case of financial hardship (banking inclusiveness charter);
- on **market integrity**, efforts concentrated on measures to manage submissions to indices, governance of market abuse detection systems (Retail and Corporate business lines) and the operational implementations of European and US rules on the separation of banking and speculative activities;
- lastly, the Group readied itself for the launch of an **automatic tax information exchange system** following the standard developed by the OECD. Entities located in the so-called "Early Adopters" countries, including France, will be ready to apply these standards as from 1 January 2016.

Periodic controls

Group Control and Audit (IG), which reports directly to the Chief Executive Officer of Crédit Agricole S.A., is the highest level of control within Crédit Agricole Group. It has sole responsibility for periodic controls of Crédit Agricole Group through the missions it conducts, through the oversight of the Control and Audit function (LMAI) of Crédit Agricole S.A. Group, which reports hierarchically to this function, and through coordination of the Regional Banks' internal audit units.

Using an updated risk mapping approach reflected in an audit cycle generally lasting between two and five years, it conducts audits on-site and on documents within Regional Banks, within Crédit Agricole S.A. units and within subsidiaries, even when these entities have their own internal Audit/Inspection body, as part of a coordinated audit plan approach.

These periodical audits include a critical assessment of the internal control system implemented by the audited entities. These procedures are designed to provide reasonable assurance that the system is effective in terms of transaction security, risk management and compliance with external and internal regulations.

They include verifying that the audited entities comply with external and internal regulations, assessing the security and effectiveness of operational procedures, ensuring that the system for measuring and supervising all risks is adequate, and verifying the reliability of accounting information.

In the context of international professional guidelines for internal audits, the Group Control and Audit function and the six principal audit units in France (Crédit Agricole Corporate and Investment Bank Control and Audit/LCL Control and Audit/Insurance Audit department/CACEIS Control and Audit/Crédit Agricole Consumer Finance Group Internal Control/Amundi Internal Control) were the subject of an external audit by IFACI (Institut Français de l'Audit et du Contrôle Interne) in the 1st half of 2015, following which IFACI / Institute of Internal Auditors certification was awarded in relation to the compliance of the Control and Audit function's processes and operation with key applicable regulations.

In 2015 – a year marked by the entry into force of the Single Supervisory Mechanism ordered by the European Central Bank, effective from 4 November 2014 – Group Control and Audit departments ran on-site and document-based audits at various entities and units in France and abroad as part of projects to investigate specific issues, particularly at the Regional Banks, or topical and/or cross-functional issues. Mostly the audits originated within the annual audit plan. Their aim is to meet the requirements of regulations already in force or announced, as well as to address any concerns raised by Supervisors in relation to consumer protection or cover different technology, regulatory or financial themes. The Group Control and Audit department relies on specialised audit teams to carry out several IT audits every year on the Group entities' information systems, as well as on current issues, mostly in relation to information security or templates for calculating the Group's or its entities' capital requirements. Lastly and in accordance with the applicable regulations, the Group Control and Audit department conducts audits on key outsourced services at Group or local level.

In addition, Group Control and Audit department provides central oversight of the Control and Audit function for all subsidiaries, thereby improving the effectiveness of controls, through the harmonisation of audit practices to the highest standards, in order to guarantee the security and conformity of transactions carried out in the Group's various entities and to develop common areas of expertise. At the end of 2015, the Group function employed around 750 full-time equivalents within the Crédit Agricole S.A. Group (including Group Control and Audit but not including audit teams at the Regional Banks, which have around 400 staff members).

In addition, joint audit assignments are carried out regularly by Group Control and Audit and the subsidiaries' internal audit departments, to encourage the exchange of best practices. Special attention is placed on topical and cross-functional investigations.

Through the relevant Group subsidiaries' Internal Control Committees, to which each entity's Executive Management, Internal Audit Officer, Risk Management and Permanent Controls Officer and Compliance Officer belong, the Group Control and Audit department ascertains that audit plans are successfully carried out, that risks are properly managed, and more generally, that each entity's internal control systems are adequate.

Audits carried out by Crédit Agricole S.A. Group Control and Audit, the internal audit departments and all external audits (conducted by supervisory authorities or outside firms) are monitored through a formal system as part of controlled regulatory monitoring processes carried out at least six-monthly under the audit plan. For every recommendation formulated as a result of these audits, this process ensures that all recommendations made are implemented through corrective and prioritised action plans, according to a clearly defined timetable set by order of priority. It also means that Group Control and Audit can fulfil its obligation to alert the supervisory body and Risks Committee, as required by Article 26 b) of the order of 3 November 2014 regarding the internal control of banking sector companies, payment services and investment services subject to ACPR supervision.

The Board of Directors of Crédit Agricole S.A., of which I am Chairman, the Risks Committee and the Chief Executive Officer, due to his own specific responsibilities, are provided with comprehensive information on internal control and exposure to risks, areas of improvements achieved in this area and the status of any corrective measures adopted. The internal control system and procedures are updated continuously to meet new developments in regulations, business activities and risks incurred by the Company.

All this information is notably contained in the annual report on internal control and risk measurement and supervision, the management report and regular reporting on operations and control.

The Chairman of the Board of Directors of Crédit Agricole S.A.

Dominique LEFEBVRE

RECENT TRENDS AND OUTLOOK

Outlook

Given the current political and geopolitical disruptions afflicting the world, it would be absurd to expect any strong acceleration of global growth in 2016. Growth could be around 3.3%. Nor can we assume a dynamic virtuous circle in which the growth of some economies sucks in imports and boosts expansion among the laggards.

In the United States, growth is doubly dependent on households. It is being driven by still robust consumption and household housing investment. In contrast, it is already being hampered by the strengthening of the dollar. Lower oil prices will ultimately, among other effects, reduce investment. Growth is therefore likely to dip slightly to 2.1% in 2016, provided that risks, mostly external and which would manifest themselves as a further appreciation of the dollar, fail to materialise.

In the Eurozone, the cyclical upturn in consumption, the main source of growth, was finally accompanied by a very gradual recovery in investment. This however is insufficient to launch a virtuous circle leading to a sustainable acceleration of growth. Growth is therefore likely to be 1.6% in 2016. It will probably be better balanced and more evenly spread, even if structural differences between countries, such as high unemployment, lack of competitiveness, still heavy levels of private debt, weak public finances, balance sheet restructuring and lags, and differences in their stage of the economic cycle continue to justify different growth rates by country. In France, the key uncertainty revolves around the strength of the recovery in the investment cycle, despite helpful political measures on the economy (Responsibility Pact, CICE and generous depreciation allowances for investment). In 2016, the expansionary environment suggests a very modest uptick in growth to 1.2%, but structural constraints will continue to hold back the country compared to the rest of the Eurozone.

In China, growth should gradually slow to near 6.5% in 2016. This figure, close to the official target, will again be driven largely by investment. It will only be achieved thanks to a loosening of fiscal and monetary policy and a sharp rise in leverage. The trend in the non-financial debt/GDP ratio (15 percentage points annual average since 2013) is worrying. It is stoking up risks of financial instability and will ultimately force Beijing to scale back its long-term growth targets.

Central banks have taken over control of the interest rate markets. Long yields will remain low. They are likely to edge up but only gradually and only if the economic environment does not worsen excessively. Any doubts about the strength of growth and inflationary expectations would encourage the Federal Reserve and ECB to become, respectively, yet more prudent and yet more daring. Finally, the trend in the euro/dollar will continue to be steered by the divergent monetary policies of the FED and ECB. This points to a slight depreciation of the euro against the dollar.

Recent events

Presentation of the Strategic Ambition 2020 Medium Term Plan of 9 March 2016.

On 9 March 2016, the Crédit Agricole Group presented its Strategic Ambition 2020 Medium Term Plan, which is based on its leadership in retail banking and its specialised business lines, as well as its ability to deliver results that meet its commitments in a context of sustained economic, regulatory and banking change.

This project is built around four priority themes: simplifying the Group's capital structure, implementing the customer project, strengthening the Group's growth dynamic in its core business lines and improving its industrial efficiency.

		Crédit Agricole Group	
		At 31/12/2015	**2019 targets**
Business	Revenue 2015-2019 CAGR[(1)]	€31,836m	> +1.5%
	Cost/income	63%	< 60%
	Cost of risk/outstandings	30 bps[(2)]	< 35 bps
Profitability	Net income Group share	€6.0bn	> €7.2bn
	Return on Tangible Equity (RoTE)	-	-
Solvency	Fully-loaded Common Equity Tier 1 ratio	13.7%	16%
	TLAC[(3)] ratio excl. eligible senior debt	19.7%	22%

(1) Compound annual growth rate vs 2015 restated for the Group's simplification transaction.

(2) Basis points.

(3) Total loss-absorbing capacity.

RISK FACTORS

This part of the management report sets out the Group's risk appetite, the type of risks to which it is exposed, their extent and the systems used to manage them.

The information presented in accordance with IFRS 7, relating to disclosures on financial instruments, covers the following types of risks[(1)]:

- credit risks (including country risks): risks of losses arising from a default by a counterparty leading to that counterparty's inability to meet its commitments to the Group;
- market risks: risks of losses arising from changes in market parameters (interest rates, exchange rates, prices, credit spreads);
- structural balance sheet risks: risks of losses arising from changes in interest rates (global interest rate risk) and exchange rates (foreign exchange risk) and the risk of not having the necessary resources to meet commitments (liquidity risk), including risks in the insurance sector.

In order to cover all risks inherent in the banking business, additional information is provided concerning:

- operational risks: risks of losses resulting primarily from the unsuitability or failure of processes, systems or people in charge of transaction processing;
- non-compliance risk: risks relating to failure to comply with laws and regulations governing the Group's banking and financial activities.

In accordance with regulatory provisions and best professional practices, risk management within Crédit Agricole Group is reflected by a form of Governance in which the roles and responsibilities of each individual are clearly identified, as well as by effective and reliable risk management methodologies and procedures which make it possible to measure, supervise and manage all the risks to which the Group is exposed.

GOVERNANCE AND ORGANISATION OF RISK MANAGEMENT

Concise statement on risks

(Statement prepared in compliance with Article 435(1)(f) of Regulation EU 575/2013)

For the first time in 2015, Crédit Agricole Group drafted a Risk Appetite Statement, which was reviewed and recommended by the Risk Management Committee and then discussed and approved by the Board of Directors on 15 December 2015. This initiative has been introduced consistently across all Group entities. The risk appetite statement is an integral and strategic part of the governance framework which includes strategy, commercial objectives, risk management and global financial management for the Group. It is consistent with the strategic guidelines defined in preparing the Medium-Term Plan, the budget process and allocation of resources to the business lines.

The **Risk Appetite** of the Crédit Agricole Group is the type and aggregate amount of risk that the Group is ready to take on, in the framework of its strategic objectives.

The Group's risk appetite is determined by particular reference to the financial policy and the risk management policy, which are based on:

- a policy of selective and responsible financing that takes account of a prudent lending policy framed by the risks strategy, the corporate social responsibility policy and the system for delegating credit authorities;
- the objective of reducing exposure to market risk;
- strict management of operational risk exposure;
- limits on non-compliance risk to exposures, which are strictly framed;
- management of the growth of risk weighted assets;
- management of risks related to asset and liability management.

The formal definition of risk appetite allows Executive Management and the Board of Directors to define the Group's development direction consistent with the Medium-Term Plan and translate it into operational strategies. This results in a consistent approach shared by the Strategy, Finance, Risk and Compliance departments.

This statement is coordinated with the different Operational departments of the entities and aims to:

- engage directors and Management in reflection and dialogue on risk taking;
- formalise, standardise and make explicit the acceptable level of risk for a given strategy;
- fully integrate risk/return considerations into the strategic planning and decision making processes;
- define advance indicators and alert thresholds so that Management can anticipate excessive deteriorations in strategic indicators and improve resilience by taking action as soon as alerts for risk appetite standards are triggered;
- improve external communications to third parties on financial strength and risk management.

The Group's risk appetite is defined through:

- **key indicators**:
  - Crédit Agricole SA's rating, which has a direct impact on refinancing terms, the Group's image in the market and the price of its securities;
  - solvency, which guarantees the Group's sustainability by ensuring it has sufficient capital to back the risks it is taking on;

(1) *These disclosures are an integral part of the consolidated financial statements for the year ending 31 December 2015 and, as such, are covered by the Statutory Auditors' Report.*

  - liquidity, management of which aims to prevent the Group's sources of finances drying up with the consequent threat of default on payments, or even resolution;
  - profit, the direct source of future solvency and shareholder dividends and therefore a key part of the Group's financial communications;
  - credit risk of Crédit Agricole Group which its main risk;
- **limits, alert thresholds and risk envelopes** defined consistent with these indicators: Credit, market, interest rate and operational risks;
- **additional qualitative priorities** inherent to the Group's strategy and businesses, essentially looking at risks which are not currently quantified. The qualitative criteria are largely based on the CSR policy which embodies the Group's concern to support sustainable development and control all risks including non-financial risks.

The key indicators reflect three levels of risk:

- **appetite** is used for managing normal everyday risk. It is expressed in budget targets framed by operational limits, any breach of which is immediately flagged up to Executive Management which decides on corrective action;
- **tolerance** is used for exceptional management of a deteriorated level of risk. Breach of tolerance thresholds in key indicators or limits triggers an immediate report to the Chairman of the Risk Management Committee which is then, if necessary, referred up to the Board of Directors;
- **capacity** is the maximum risk that the Group could theoretically take on without infringing its operational or regulatory constraints.

The Group's risk profile is monitored and presented regularly at Management Committee Meetings and Board of Directors Meetings. Breach of tolerance levels for central indicators or limits on the system are reported and corrective actions proposed to the Board of Directors. The executive body is kept regularly informed of how the risk profile corresponds to the risk appetite.

The key indicators of the Group's risk profile at 31 December 2015 are broken down by type of risk in the "Risk factors and Pillar 3" section of this document.

At 31 December 2015, the Group's key indicators are satisfactory and within the appetite levels defined by the Group. They have not reached the tolerance thresholds.

Risk management, which is inherent in banking activities, lies at the heart of the Group's internal control system. All staff involved, from the initiation of transactions to their final maturity, play a part in this system.

Measuring and supervising risk is the responsibility of the dedicated Risk Management and Permanent Controls function (DRG – Group Risk Management department), which is independent from Group functions and reports directly to the Executive Management.

Although risk management is primarily the responsibility of the business lines which oversee growth in their own operations, DRG's task is to ensure that the risks to which the Group is exposed are consistent with the risk strategies defined by the business lines (in terms of global and individual limits and selection criteria) and compatible with the Group's growth and profitability targets.

DRG performs consolidated Group-wide monitoring of risks using a network of Risk Management and Permanent Controls Officers who report hierarchically to the head of Risk Management and Permanent Controls and functionally to the executive body of their entity or business line. The Regional Banks' Risk Management and Permanent Controls Officers report hierarchically to their entity's Chief Executive Officer and functionally to the Group Risk Management and Permanent Controls Officers.

To ensure a consistent view of risks within the Group, DRG has the following duties:

- it defines and/or validates methods and procedures for analysing, measuring and monitoring credit, market and operational risks;
- it takes part in the critical analysis of the business lines' commercial development strategies, focusing on the risk impact of these strategies;
- it provides independent opinions to Executive Management on risk exposure arising from business lines' positions (credit transactions, setting of market risk limits) or anticipated by their risk strategy;
- it lists and analyses Group entities' risks, on which data is collected in risk information systems.

The Financial Management unit of the Group Finance department (FIG) manages structural asset/liability risk (interest rate, exchange rate and liquidity) along with the refinancing policy and supervision of capital requirements.

Supervision of these risks by Executive Management is carried out through ALM (Asset Liability Management) Committee Meetings, in which DRG takes part.

DRG keeps the executive and decision-making bodies informed of the degree of risk control in Crédit Agricole S.A. Group, presents various risk strategies of the major business lines of the Group for validation, and warns them of any risk of deviation from Risk strategies or policies approved by executive bodies. It informs them of the outcomes and performance of prevention measures, whose organisational principles are approved by them. It makes suggestions for any improvement of such measures that may be required as a result of changes to business lines and their environment. At consolidated level, this action falls within the remit of governance bodies, in particular:

- the Risk Management Committee (a Board of Directors sub-committee, meets eight times a year): it analyses key factors in the Group's risk appetite statement defined by Executive Management, regularly examines the Group's risk management and internal control issues, reviews the half-yearly information and annual report on internal control and risk measurement and monitoring;
- the Group Internal Control Committee (CCIG) chaired by the Chief Executive Officer of Crédit Agricole S.A. meets four times a year: reviews internal control issues common across the Group, ensuring that cross-functional actions to be implemented within the Group are strengthened, validates the annual report and half-yearly information on internal control, coordinates the three control functions;
- the Group Risk Management Committee (CRG) chaired by the Chief Executive of Crédit Agricole S.A.: approves Risk strategies and lending decisions at Crédit Agricole S.A. level, on the advice of the Risk Management and Permanent Controls Group function through the appetite risk framework approved by the Board of Directors, reviews major risks and sensitive issues, gives feedback on Group entities' rating models and processes;
- the Standards and Methodology Committee (CNM) and the Group Security Committee (CSG), chaired by the head of the Group Risk Management and Permanent Controls department, a member of the Crédit Agricole S.A. Executive Committee and reporting to the Chief Executive Officer of Crédit Agricole S.A.: approves standards and methodologies in terms of management and permanent control of risks (CNM), physical security, IT systems and the business continuity plan (CSG).

In addition, each Group operating entity defines its own risk appetite statement and sets up a Risk Management and Permanent Controls function. Within each business line and legal entity:

- a Risk Management and Permanent Controls Officer (RCPR) is appointed;
- RCPRs supervise all the last-line control units within their areas of responsibility, covering oversight and permanent control of risks falling within the remit of the Group function in question;
- they have access to appropriate human, technical and financial resources. RCPRs must be provided with the information required by their role and have systematic and permanent access to any information, document, body (committees, etc.), tools or even IT systems across their entire area of responsibility. RCPRs are associated with entity projects far enough in advance to be able to play their role effectively.

This principle of decentralising the Risk Management function to operating entities aims to ensure that the business lines' risk management and permanent controls systems operate efficiently.

Group risk management is also reliant on a certain number of tools which enable DRG and the bank's executive bodies to fully comprehend the risks being run:

- robust IT and global risk consolidation system, within the 2016 trajectory, defined by the Basel Committee on banking controls for global systemic institutions (BCBS 239);
- generalised use of stress testing methodologies in Group credit, financial or operational risk procedures;
- formalised and up-to-date control standards and procedures, which define lending systems, based on an analysis of profitability and risks, monitoring of geographical, individual and sectoral concentrations, as well as limits on interest rate, foreign exchange and liquidity risks;
- exhaustive and up-to-date Recovery Plans, presented on an annual basis to the supervisory authorities, in accordance with regulatory requirements, in particular, the provisions of law no. 2013-672 of 26 July 2013 on the implementation of a banking resolution regime.

Finally, the risk culture is spread throughout the Group *via* diversified and effective channels:

- career and Talent Committees within the Risk function, which plan the succession to key posts, facilitate the mobility of both men and women with the relevant expertise and enrich trajectories by diversifying skills portfolios;
- highly valued careers and experience sought after by other business sectors as a result of time spent within the Risk function;
- a range of training programmes on risk themes put together in a specialised catalogue, which includes modules open to non-Risk function employees who wish to improve their awareness of risk issues;
- a campaign to strengthen the risk culture launched in 2015, to develop understanding of and compliance with a robust risk prevention culture among all Group employees.

CREDIT RISK

A credit risk is realised when a counterparty is unable to honour its obligations and when the carrying amount of these obligations in the bank's books is positive. The counterparty may be a bank, an industrial or commercial enterprise, a government and its various controlled entities, an investment fund, or an individual person.

The definition of default used in management, which is the same as the one used for regulatory calculations, complies with current prudential requirements in the various Group entities.

A debtor is, therefore, considered to be in default when at least one of the following conditions has been met:

- a payment is generally more than 90 days past due, unless specific circumstances point to the fact that the delay is due to reasons beyond the debtor's control;
- the entity believes that the debtor is unlikely to settle its credit obligations unless it avails itself of certain measures such as the provision of collateral surety.

The exposure may be a loan, debt security, deed of property, performance exchange contract, performance bond or unutilised confirmed commitment. The risk also includes the settlement risk inherent in any transaction entailing an exchange of cash or physical goods outside a secure settlement system.

Following up on work done in 2014 to standardise and complete identification of loans in forbearance, (under the ITS 2013-03 definition), Group Risk Management conducted a working group in 2015 with representatives of the main entities concerned. This led to a clarification and standardisation of rules applied within the Group. Work to improve prevention and management of loans in forbearance also continued in 2015.

The volume of loans in forbearance (under the ITS 2013-03 definition) are given in Note 3.1. Principles of loan classification for accounting purposes are specified in Note 1.3 to the financial statements.

I. Objectives and policy

The risks taken by Crédit Agricole S.A. and its entities must comply with the Group and entity risk appetites and the risk strategies approved by the Board of Directors and by the Group's Risk Management Committee, which is a sub-committee of Crédit Agricole S.A.'s Executive Committee and is chaired by its Chief Executive Officer. Risk strategies are adjusted to each business line and its development plan. They set out global limits, intervention criteria (types of eligible counterparties, nature and maturity of eligible products, collateral required) and arrangements for delegating decision-making authority. These risk strategies are adjusted as required for each business line, entity, business sector or country. Business lines are responsible for complying with these risk strategies, and compliance is controlled by the Risk Management and Permanent Controls Officers.

Crédit Agricole Corporate and Investment Bank (Crédit Agricole CIB), the Group's Corporate and investment banking arm, also carries out active portfolio management, in order to reduce the main concentration risks borne by Crédit Agricole S.A. Group. The Group uses market instruments such as credit derivatives or securitization mechanisms, which reduce and diversify counterparty risk and enable it to optimize its use of capital. Similarly, potential risk concentration is mitigated by syndication of loans with external banks and use of risk hedging instruments (credit insurance, derivatives).

Risk-taking by the Regional Banks in relation to credit must comply with intervention criteria and limits set by Executive Management and approved by their Board of Directors.

Crédit Agricole S.A., its subsidiaries and the Regional Banks seek to diversify their risks in order to limit their counterparty risk exposures, particularly in the event of a crisis affecting a particular industry or country. To achieve this, they regularly monitor their total exposures by counterparty, by trading portfolio, by business sector and by country (taking into account internal calculation methods, depending on the type of exposure).

When the risk is recognised, an impairment policy is implemented, on an individual or portfolio basis.

II. Credit risk management

1. Risk-taking general principles

All credit transactions require in-depth analysis of the customer's ability to repay the debt and the most efficient way of structuring the transaction, particularly in terms of security and maturity. This analysis must comply with the risk strategy of the business line concerned and with all limits in force, both individual and aggregate. The final lending decision is based on an internal rating and is taken by the commitment units or by the Credit Committees, on the basis of an independent opinion given by a representative of the Risk Management and Permanent Controls function as part of the authorisation system in place. The Group Risk Management Committee and its Chairman constitute the Group's ultimate decision-making authority.

For the Regional Banks, this is the responsibility of the Board of Directors, in accordance with the prerogatives given to Crédit Agricole S.A. by the French Monetary and Financial Code.

Each lending decision requires a risk-return analysis. In the case of the Corporate and investment banking business line this means an *ex ante* calculation of the profitability of the transaction.

In addition, the principle of an individual risk limit applies to all types of counterparty, whether corporates, banks, financial institutions, public sector or semi-public sector entities.

2. Risk measurement methods and systems

2.1 INTERNAL RATING SYSTEMS AND CREDIT RISK CONSOLIDATION SYSTEMS

The internal rating systems cover all of the methods, procedures and controls used for assessment of credit risk, rating of borrowers and estimation of losses given default by the borrower. Governance of the internal rating system relies on the Standards and Methodologies Committee (CNM), chaired by the Group's head of Risk Management and Permanent Controls, whose task is to validate and spread standards and methodologies relating to measuring and controlling risks within Crédit Agricole Group. In particular, the Standards and Methodologies Committee reviews:

- rules for identifying and measuring risks, in particular, counterparty rating methods, credit scoring and Basel risk parameter estimates (probability of default, credit conversion factor, loss given default LGD) and related organisational procedures;
- segmentation between retail customers and large institutional customers with related procedures such as risk consolidation information system data entry;
- the performance of rating and risk assessment methods by reviewing back-testing results at least once a year;
- the use of ratings (validation of common syntaxes, glossaries and benchmarks).

For retail customers, including loans to individuals (in particular, home loans and consumer finance) and small businesses, each entity is responsible for defining, implementing and substantiating its rating system, in accordance with the Group standards established by Crédit Agricole S.A.

LCL and the consumer credit subsidiaries (Crédit Agricole Consumer Finance) have their own rating systems. The Regional Banks have common risk assessment models which are managed at Crédit Agricole S.A. level. Procedures for back-testing the parameters used in calculating the regulatory capital requirements have been defined and are operational in all entities. The internal models used by the Group are based on statistical models established on explanatory behavioural variables (*e.g.* average current account balance) and identifying variables (*e.g.* business sector). The approach taken can be either customer-centred (individuals, farmers, small businesses and very small entreprises) or product-centred. The estimated probability of default in year 1, to which the rating relates, is updated on a yearly basis.

For the large customer category, a single fifteen-grade rating scale has been established on the basis of a segmentation of risk so as to provide a uniform view of default risk "over a full business cycle". It has thirteen ratings (A+ to E-) categorising counterparties not in default and two ratings (F and Z) categorising counterparties in default.

COMPARISON BETWEEN THE INTERNAL GROUP RATINGS AND THE RATING AGENCIES

Crédit Agricole Group	A+	A	B+	B	C+	C	C-	D+	D	D-	E+	E	E-
Indicative Moody's rating equivalent	Aaa	Aa1/Aa2	Aa3/A1	A2/A3	Baa1	Baa2	Baa3	Ba1	Ba2	Ba3	B1/B2	B3	Caa/Ca/C
Indicative Standard & Poor's rating equivalent	AAA	AA+/AA	AA-/A+	A/A-	BBB+	BBB	BBB-	BB+	BB	BB-	B+/B	B-	CCC/CC/C
Probability of default in year 1	0.001%	0.01%	0.02%	0.06%	0.16%	0.30%	0.60%	0.75%	1.25%	1.90%	5.0%	12.00%	20.00%

Within Crédit Agricole Group, the large customer category comprises primarily sovereigns and central banks, corporates, local authorities, specialised financings as well as banks, insurance companies, asset management companies and other financial companies. An internal rating method tailored to each specific risk profile, based on financial and qualitative criteria, is applied to each type of large customer. For large customers, Crédit Agricole Group entities have common internal rating methodologies. Counterparties are rated, at the latest, when they apply for support and the rating is updated with each renewal or upon any event that could affect risk quality. The rating assignment must be approved by a unit independent of the Front Office. The rating is reviewed at least annually. To ensure that each counterparty has a unique Crédit Agricole Group rating, a single Group entity is responsible for rating said counterparty on behalf of all the entities providing it with support.

Whether relating to large customers or retail customers, the rating oversight system implemented by Crédit Agricole S.A., its subsidiaries and the Regional Banks across the entire rating process aims to ensure:

- rules for identifying and measuring risks, in particular, methods used;
- uniformity in the handling of default events on a consolidated basis;
- proper utilisation of the internal rating methodologies;
- reliability of data substantiating the internal rating.

The Standards and Methodology Committee, amongst others, ensures that these principles are respected, in particular, when rating methodologies are approved and during annual back-testing.

Furthermore, Crédit Agricole S.A., its subsidiaries and the Regional Banks continue to focus on improving the risk-tracking system for:

- risk management of single clients and groups which is designed to ensure accurate identification of counterparties on which there is a risk within the entities and to improve cross-functional risk information management on single clients and groups, which is crucial to ensuring rating uniqueness and consistent allocation of exposures to Basel portfolios;
- the closing process, which aims to guarantee the quality of the process of production of the solvency ratio.

The French Prudential Supervisory and Resolution Authority (ACPR) has authorised Crédit Agricole Group to use internal rating systems to calculate regulatory capital requirements for credit risk of its retail and large customer portfolios on the greater part of its scope.

Having internal rating systems deployed throughout the Group enables it to implement counterparty risk management based on risk indicators compliant with current regulatory rules. For large customers, the single rating system (identical tools and methods, shared data) which has been implemented for several years now, has helped to improve counterparty monitoring, in particular, for counterparties common to several Group entities. The system has also made it possible to have a common reference framework on which to base standards and procedures, governance tools, alert procedures and risk provisioning policies.

Finally, in the Corporate and investment banking businesses, expected loss, economic capital and risk-adjusted return measurements are used in the processes for making loan approval decisions, defining risk strategies and setting risk limits.

2.2 CREDIT RISK MEASUREMENT

The measurement of credit risk exposures includes both drawn facilities and confirmed unutilised facilities.

To measure counterparty risk on capital markets transactions, Crédit Agricole S.A., its subsidiaries and the Regional Banks use different types of approaches to estimate the current and potential risk of derivative instruments (such as swaps and structured products).

Crédit Agricole CIB uses a specific internal methodology to estimate the risk of change in relation to such derivative instruments, using a net portfolio approach for each customer:

- current risk corresponds to the sum owing by the counterparty in the event of instantaneous default;
- the risk of change corresponds to our estimated maximum exposure over its remaining maturity, for a given confidence interval.

The methodology used is based on Monte Carlo-type simulations, enabling the risk of change over derivatives' remaining maturity to be assessed on the basis of statistical modelling of the change in underlying market parameters.

This model considers the different risk reduction factors, such as the use of offsetting and collateralisation in agreements negotiated with counterparties prior to transactions taking place.

Situations of specific risk of unfavourable correlations (risk that an exposure to one counterparty is positively correlated with the counterparty's probability of default) are monitored regularly to identify and integrate such risks in the exposure measurement as recommended by regulations.

The internal model is used to manage internal limits on transactions with each counterparty and to measure Basel 3 Pillar 2 economic capital by determining the average risk exposure (Effective Expected Positive Exposure) across the portfolio.

As allowed by this regulatory framework, the French Regulatory and Resolution Supervisory Authority (ACPR) authorised Crédit Agricole CIB as of 31 March 2014 to use the internal model method to calculate its capital requirements in respect of counterparty risk. The model uses Effective Expected Positive Exposure (EEPE) and is applied to all derivatives. The same method is used to calculate credit exposure at default for capital requirement purposes to address the risk of credit value adjustment (CVA). For repo and repo derivative transactions at subsidiaries, Crédit Agricole CIB used the standard approach in 2015.

Credit risk on these market transactions is managed following rules set by the Group. The policy on setting counterparty risk limits is as described in "Credit risk management – Risk-taking general principles". The techniques used to reduce counterparty risk on market transactions by Crédit Agricole CIB are described in "Credit risk mitigation mechanisms".

Crédit Agricole Group includes a credit valuation adjustment (CVA) in its calculation of the fair value of derivative assets. This value adjustment is described in Notes 1.3 to the consolidated financial statements on accounting principles and policies and 10.2 on Information about financial instruments measured at fair value.

At other Group entities, the base for counterparty risk on market transactions is either calculated by the Crédit Agricole CIB tool under an internal provision of services agreement or based on the regulatory approach.

3. Supervision system of commitments

Rules for dividing and limiting risk exposures, along with specific processes relating to commitments and grant criteria, are used to prevent any excessive concentration of the portfolio and to limit the impact of any deterioration.

3.1 PROCESS FOR MONITORING CONCENTRATIONS BY COUNTERPARTY OR GROUP OF RELATED COUNTERPARTIES

The consolidated commitments of all Crédit Agricole Group's entities are monitored by counterparty and by group-related counterparties. A group of related counterparties is a set of French or foreign legal entities that are connected, regardless of their status and economic activity, in such a way that the total exposure to this group can be measured on the basis of exposure to one or more of these entities. Commitments to a counterparty or group of related counterparties include all loans granted by the Group as well as corporate finance transactions, bond portfolios, financing commitments and counterparty risks relating to capital market transactions. Exposure limits for counterparties and groups of related counterparties are recorded in the internal information systems of each subsidiary or business line. When several subsidiaries have a counterparty in common, a Group-level aggregate limit is set on the basis of commitment authorisation limits that depend on the internal rating.

Each operating entity reports the amount of its commitments by risk category on a monthly or quarterly basis to the Group Risk Management and Permanent Controls department. Exposures to major non-bank counterparties, *i.e.* those on which the aggregate commitments of Crédit Agricole Group exceed €300 million after offsetting, are reported separately to the Group Risk Management Committee.

At year-end 2015, commercial lending commitments of Crédit Agricole S.A., of its subsidiaries and of the Regional Banks to their ten largest non-sovereign, non-bank customers amounted to 4.8% of the total non-bank portfolio excluding sovereign (compared with 4.6% at 31 December 2014). The diversification of the portfolio on an individual basis remains satisfactory, despite a slight increase in the concentration.

Furthermore, for the Regional Banks, major counterparty risks are also monitored via the Foncaris subsidiary. At 31 December 2015, Foncaris guaranteed 50% of the €6.95 billion outstanding portfolio of these entities (€6.93 billion at 31 December 2014). Article 392 of Regulation (EU) 575/2013 provides for a limit of 25% of capital for exposure per customer group in respect of control of major risks. Crédit Agricole Group nevertheless applies a stricter limit set at 10% of Bank capital.

3.2 PORTFOLIO REVIEW AND SECTOR MONITORING PROCESS

Periodic portfolio reviews conducted by entity or business line strengthen the monitoring process, thus serving to improve the identification of counterparties whose credit quality is deteriorating, update counterparty ratings, monitor risk strategies and check on changes in concentration ratios (for instance, per business sector).

Moreover, the Corporate and investment banking business has a portfolio modelling tool that it uses to test how well portfolios hold up under stress scenarios.

At their level, the Regional Banks organise a portfolio review and sector monitoring process adapted to their risk profile.

3.3 PROCESS FOR MONITORING COUNTERPARTIES IN DEFAULT AND ON CREDIT WATCH

Counterparties in default and on credit watch are monitored closely by the business lines, in collaboration with Risk Management and Permanent Controls Officers. They are also the object of formal monitoring by the entities' Sensitive exposure Committees and of quarterly monitoring by the Group Risk Management Committee and the Audit Committee on a consolidated basis.

3.4 CONSOLIDATED RISK MONITORING PROCESS

Every quarter, the Group Risk Management Committee examines the risk report produced by the Group Risk Management and Permanent Controls department. This document gives the Committee a detailed review of the Group's risk situation on a consolidated basis and across all business lines. In addition, detailed periodic reviews of banking risks, country risks and the main nonbanking risks are conducted during Group Risk Management Committee Meetings.

In the 1st half of 2015, the Group Risk department introduced the "risk register" which in combination with the "risk dashboard" provides an overview of changes in the Group's risks and a long-term view of trends observed in the portfolio. The register is presented to the Group Risk Management Committee and the Board of Directors.

Crédit Agricole S.A. has a Risk Monitoring Committee chaired by Executive Management. This Committee meets twice a month and reviews all risk alerts collected centrally by the Group Risk Management and Permanent Controls department in accordance with the internal alert procedures.

3.5 COUNTRY RISK MONITORING AND MANAGEMENT SYSTEM

Country risk is the risk that economic, financial, political, judicial or social conditions in a country will affect the Bank's financial interests. This risk does not differ in nature from "elementary" risk (credit, market and operational risks), but is an aggregate of risks resulting from vulnerability to a specific political, social, macroeconomic and financial environment. Country risk covers the assessment of the overall risk environment in a country as opposed to Sovereign Risk, which refers to a state's counterparty risk.

The system for assessing and monitoring country risk within Crédit Agricole Group is based on its own rating methodology. Internal country ratings are based on criteria relating to the financial soundness of the government, the banking system and the economy, ability and willingness to pay, governance and political stability.

Annually reviewed limits and risk strategies are applied to each country whose business volumes justify it.

This approach is supplemented by scenario analyses aimed at testing the impact of adverse macroeconomic and financial assumptions. These tests provide the Group with an integrated view of the risks to which it may be exposed in situations of extreme tension.

The Group manages and controls its country risks according to the following principles:

- acceptable country risk exposure limits are determined through reviews of country strategies, depending on the vulnerability of the portfolio to country risk. The degree of vulnerability is determined by the type and structure of transactions, the quality of counterparties and the term of commitments. These exposure limits may be reviewed more frequently if developments in a particular country make it necessary. These strategies and limits are validated according to the level of risk by Crédit Agricole CIB's Strategy and Portfolio Committee (CSP) and by Crédit Agricole S.A.'s Group Risk Management Committee (CRG);

- the Corporate and investment banking business maintains a system for regular assessment of country risk and for updating the country risk rating quarterly for each country in which the Group does business. This rating is produced using an internal country rating model based on various criteria (structural solidity, governance, political stability, ability and willingness to pay). Specific events may cause ratings to be adjusted before the next quarterly review;
- Crédit Agricole CIB's Country and Portfolio Risk department validates transactions whose size, maturity and degree of country risk could affect the quality of the portfolio.

Country risk exposure is monitored and controlled in both quantitative (amount and term of exposure) and qualitative (portfolio vulnerability) terms through regular specific reporting on all exposures to countries.

Western European countries with an internal rating (lower than B) qualifying them for close country risk monitoring undergo a separate *ad hoc* monitoring procedure. Exposure to sovereign and non-sovereign risk in these countries is detailed in Note 6.9 to the consolidated financial statements.

Exposures to other countries rated below B are detailed in chapter III, paragraph 2.4 "Country risk" below.

3.6 STRESS SCENARIO IMPACTS

3.6.1 Global stress tests as part of budgeting and regulatory procedures

Using stress tests to manage Crédit Agricole Group risk involves a range of different exercises. Global stress tests conducted on an annual basis as part of the budgetary process, aim to stress test all of the Group's portfolio risks by aggregating credit risk and market risk as well as measuring impact on the investment and securitisation portfolio.

In parallel with the cost of risk effect, revenues are also stress tested (margin, cost of funding and volume) to measure the impact on the Group's income statement. The objective of this exercise is to estimate the consequences of an adverse economic scenario over at least a 2-year period on the Group's profitability and solvency.

As well as these internal tests, the Group runs regulatory stress tests (ECB/EBA stress).

Unlike global stress tests, specific stress tests on certain income streams or portfolios are conducted for monitoring purposes or as an aid to setting limits.

In 2015, the Group continued work to improve stress procedures launched following the 2014 Asset Quality Review. These "post AQR projects" sought to strengthen all aspects of the Group's stress testing, with a particular emphasis on the standards, data and models used.

3.6.2 Loan portfolio stress tests

Loan portfolio stress tests form an integral part of Crédit Agricole Group's risk management system. These are conducted either on the loan portfolio in its entirety or on an individual portfolio displaying a "risk pocket" to be studied (for example: commercial real estate portfolio).

A global credit risk stress test is conducted at least once a year as part of the Group's global stress tests. The works, coordinated by DRG, involve all Crédit Agricole Group entities and all Basel portfolios, whether they are treated for regulatory purposes using the IRBA, IRBF or Standard method. These tests examine a period of at least 18 months, which may be extended to 3 years.

This exercise is incorporated into the annual budgetary process. The economic scenarios taken into consideration are compiled for the Group as a whole. Two variants are usually studied:

- a baseline scenario corresponding to the budgetary scenario which is not, strictly speaking, part of the stress test but which serves as a point of reference for the adverse scenario;
- an adverse (or stressed) scenario which reflects a sharp, but plausible, downturn in the economic climate.

The stress testing process is part of corporate governance and aims to improve dialogue between risk and finance on the sensitivity of the cost of risk and capital requirements to a downturn in the economic climate.

As regards the IRB method, the impact of economic scenarios on Basel risk parameters (PD, LGD) is determined using statistical models which make it possible to estimate their reaction to changes in certain economic data deemed to be discriminatory (GDP, rate of unemployment, fluctuations in commodity prices). The impacts on certain portfolios for which the application of models is not appropriate are defined by expert appraisers. It is therefore possible to measure the change in expected loss and risk weighted assets in relation to these economic scenarios, for each portfolio. As regards the standard method, the impact of the economic scenarios is reflected by changes in doubtful loans and receivables and the provisioning rate set by expert appraisers. It is, therefore, possible to estimate the percentage of performing portfolios that would enter into default and the resultant requirement in terms of additional provisions and risk weighted assets.

Please note that a specific impact measurement was taken in respect of Corporate and investment banking regarding the impact of counterparty risk on market transactions and on banking book securitisation exposures.

Scenarios are chosen by Crédit Agricole S.A. on the basis of proposals made by the Economic Research department. However, each Group entity calculates the sensitivity of its portfolios to the stresses in each scenario based on their knowledge of their portfolios and in-house risk models. All contributions are reviewed and are the subject of formal discussions between Group Risk Management and the contributing subsidiaries.

In addition to being used to construct budgets and manage capital requirements, the results of global credit risk stress tests are also used to calculate economic capital (Pillar 2). They are reviewed by the Executive Committee and are also reported to the Crédit Agricole S.A. Board of Directors.

Specific credit risk stress tests (mainly in Corporate and investment banking) are conducted to determine the risk of loss in the event of major deterioration in the economic and financial climate for a given business sector or a specific geographical area constituting a set of uniform risks. The results of these stress tests are used within the context of the risk strategies, on the basis of Group Risk Management Committee decisions on global exposure limits.

In the second half of 2015, the Group ran a cross-functional topical stress test looking at the impact of global economic slowdown triggered by a trend fall in Chinese growth. The test covered all Group entities including insurance. A stress test looking at the "Oil and Gas" portfolio was also run in the fourth quarter to measure the impact of the fall in oil prices on Crédit Agricole CIB's portfolio and identify counterparties requiring close monitoring and limit adjustment.

PRESENTATION OF RESULTS TO THE GROUP BOARD OF DIRECTORS

STAGE 1 → **STAGE 2** → **STAGE 3** → **STAGE 4**

STAGE 1 – Macroeconomic scenario

- Organisation of a working group, spanning all entities and Crédit Agricole S.A. (DRG, Economic Research department) to manage macroeconomic impacts.
- Dialogue with entities regarding their risk parameter sensitivity assumptions.

STAGE 2 – Entities' determination of impacts

- Risk: the Group's main entities (Crédit Agricole CIB, CRCA, LCL, Crédit Agricole S.A., CA Consumer Finance, etc.) look for correlations between macroeconomic factors on the one hand, and Basel PD and LGD parameters on the other.
- In addition to the credit risk aspect, a stress test is conducted on the trading book using a scenario chosen for its consistency with the global macro scenario.
- DRG may also make use of expert appraisers.
- FIG supplements the information supplied by DRG on other stress factors (revenues, volume effect, refinancing).

STAGE 3 – Centralised consolidation of results

- DRG ensures the consistency of the cost of credit risk forecasts forwarded by the entities with the parameters measured during the previous budgetary stress test.
- DRG provides the Group Finance department (FIG) with the consolidated cost of risk and risk weighted assets in order to take the volume effect into consideration.
- In the event of significant differences, dialogue with the entities.

STAGE 4 – Presentation to governance bodies

- Presentation of results to each entity's governance body.
- Presentation of consolidated results to the Group's Audit Committee.

3.6.3. Stress tests on other types of risk (market, liquidity, operational risk)

Other types of stress testing are described in the paragraphs relating to each type of risk under consideration: market risk, liquidity and financing risk, operational risk.

4. Credit risk mitigation mechanisms

4.1 COLLATERAL AND GUARANTEES RECEIVED

Guarantees or collateral are intended to provide partial or full protection against credit risk.

The principles governing the eligibility, utilisation and management of collateral and guarantees received as security are defined by Crédit Agricole Group's Standards and Methodology Committee (CNM), in accordance with the CRD 4 system for the calculation of the solvency ratio. This common framework ensures a consistent approach across the Group's various entities. It documents aspects that include the conditions for prudential recognition, valuation and revaluation methods of all the various credit risk mitigation techniques that are used: collateral (notably for financing of assets: property, aircraft, ships, etc.), security in the form of guarantees, public export credit insurance, private credit insurance, financial guarantee insurance, credit derivatives, and cash collateral. The entities are in charge of implementing this framework at the operational level (management, monitoring of valuations, implementation).

Details of guarantee commitments received are presented in Note 3.1 and in Note 8 to the consolidated financial statements.

Regarding financial assets obtained by enforcement of guarantees or credit enhancement measures, the Group's policy is to sell them as soon as possible.

4.2 USE OF NETTING AGREEMENTS

If a "master" agreement has been signed with a counterparty and said counterparty defaults or enters bankruptcy proceedings, Crédit Agricole S.A., its subsidiaries and the Regional Banks apply close out netting, enabling them to terminate current contracts early and to calculate a net balance on the debts and debt obligations in respect of this counterparty. They also use collateralisation techniques to enable securities or cash to be transferred in the form of collateral or transfer of full ownership during the lifetime of the hedged transactions, which can be offset, in the event of default by one of the parties, in order to calculate the net balance of reciprocal debt and debt obligations resulting from the master agreement signed with the counterparty.

4.3 USE OF CREDIT DERIVATIVES

In managing its corporate financing portfolio (banking book), the Group's Corporate and Investment bank uses credit derivatives and a range of risk-transfer instruments including namely securitisation. The aim is to reduce concentration of corporate credit exposure, diversify the portfolio and reduce loss levels.

The risks arising from such transactions are monitored using indicators such as VaR (Value at Risk) on all cash transactions to buy or sell protection for the bank's own account.

The notional amount of protection bought by Crédit Agricole CIB in the form of unitary credit derivatives outstanding at 31 December 2015 was €9.2 billion (€9.9 billion at 31 December 2014). The outstanding notional amount of protection sold by Crédit Agricole CIB was €18 million (€211 million at 31 December 2014).

III. Exposure

1. Maximum exposure

The maximum exposure to credit risk of Crédit Agricole S.A. and its subsidiaries corresponds to the net carrying amount of financial assets (loans and receivables, debt instruments and derivative instruments) before the effect of non-recognised netting agreements and collateral. It is set out in Note 3.1 to the consolidated financial statements.

At 31 December 2015, the maximum exposure to credit and counterparty risk of the Crédit Agricole Group amounted to €1,764 billion (€1,773 billion at 31 December 2013), down 0.5% on 2014.

2. Concentration

An analysis of credit risk on commercial lending commitments excluding Crédit Agricole Group internal transactions and collateral given by the Crédit Agricole Group as part of repurchase agreements (loans and receivables to credit institutions, loans and receivables to customers, financing commitments given and guarantee commitments given for €1,145 billion) is presented below. In particular, this scope excludes derivative instruments, which are primarily monitored using VaR (see section on "Market risks"), and financial assets held by insurance companies (€222 billion – see section on "Risks in the insurance sector").

2.1 PORTFOLIO DIVERSIFICATION BY GEOGRAPHIC AREA

On the commercial lending portfolio (including banking counterparties), the breakdown by geographic area covers a total portfolio of €1,145 billion at 31 December 2015, compared with €1,114 billion at 31 December 2014. The breakdown reflects the country in which the commercial lending risk is based.

BREAKDOWN BY GEOGRAPHIC AREA OF COMMERCIAL LENDING OF THE CRÉDIT AGRICOLE GROUP

Geographic area of exposure	2015	2014
Africa and Middle East	2%	2%
Central and South America	1%	1%
North America	5%	6%
Asia-Pacific (excluding Japan)	3%	3%
Eastern Europe	1%	2%
Western Europe excluding Italy	9%	8%
France (retail banking)	40%	40%
France (excluding retail banking)	30%	29%
Italy	7%	7%
Japan	2%	2%
TOTAL	**100%**	**100%**

The breakdown of commercial lending by geographical area was unchanged. Commercial lending in France at end-2015 represented 70% of the total. Italy, the Group's second biggest market, remained stable at 7% of commercial lending.

Note 3.1 to the financial statements presents the breakdown of loans and receivables and commitments given to customers and credit institutions by geographic area on the basis of accounting data.

2.2 PORTFOLIO DIVERSIFICATION BY BUSINESS SECTOR

On the commercial lending portfolio (including bank counterparties outside the Group) the scope broken down by business sector amounted to €1,078 billion at 31 December 2015, *versus* €1,047 billion at 31 December 2014. These breakdowns reflect the business sector in which the commercial lending risk to customers is based.

BREAKDOWN BY BUSINESS SECTOR OF COMMERCIAL LENDING OF THE CRÉDIT AGRICOLE GROUP

Business sector	Dec. 15	Dec. 14
Air/Space	1.6%	1.4%
Agriculture and Food processing	2.7%	2.5%
Insurance	0.8%	1.0%
Automotive	2.3%	1.8%
Other non-banking financial activities	4.2%	4.0%
Other industries	1.2%	1.0%
Other transport	1.1%	1.0%
Banks	3.5%	4,0%
Building and publics works	1.8%	1.6%
Retail/Consumer goods industries	1.6%	1.8%
Other	3.3%	3.2%
Energy	5.2%	5.1%
o/w Oil and Gas	*3.6%*	*3.5%*
o/w Electricity	*1.6%*	*1.6%*
Real estate	3.5%	3.2%
Heavy industry	1.9%	1.8%
IT/Technology	0.6%	0.5%
Shipping	1.6%	1.7%
Media/Publishing	0.4%	0.4%
Healthcare/Pharmaceuticals	1.3%	1.3%
Non-trading services/Public sector/ Local authorities	10.2%	12.1%
Telecom	1.2%	0.9%
Tourism/Hotels/Restaurants	0.9%	0.7%
Retail banking customers	49.1%	49.0%
TOTAL	**100%**	**100%**

Well diversified, the commercial lending portfolio broken down by business sector remained stable for 2015. Only two sectors accounted for more than 10% of business: the "Retail banking customers" business, which was the biggest, accounting for 49% of the portfolio; and the "Non-trading services/Public sector/Local authorities", the second largest, whose proportional share fell from 12% to 10% of the total, due to a reduction in the exposure of the Crédit Agricole CIB Sovereign portfolio (more specifically, Federal Bank, Bank of England and Bank of Japan reserves).

Within the Energy sector, Oil and Gas exposure was $36.2 billion, reduced to $27.4 billion EAD[1], i.e. 2% of the Crédit Agricole S.A. Group's total EAD. With most of its exposure lying with Crédit Agricole CIB, Oil and Gas comprises a wide diversity of underlyings, players and types of financing, most of which are asset-backed. The Crédit Agricole CIB customers with a focus on exploration/production, and their suppliers, who are therefore dependent on investment levels in the industry (oil-related services), are the worst affected (21% of the sector's EAD). They are being monitored particularly closely and defensive measures are in place during this period of price volatility (lines frozen, resistance tests using extremely conservative oil price hypotheses, etc.). Note that 84% of the EAD in this business sector relate to Investment Grade counterparties (diversified exposure in terms of players, types of business, commitment and geographical location) that are sufficiently solid, at this stage, to withstand the drop in the oil price. Over the last year our dollar exposure has been reduced by 8%.

(1) EAD: exposure at default.

2.3 BREAKDOWN OF LOANS AND RECEIVABLES OUTSTANDING BY TYPE OF CUSTOMER

Concentration by customer type of loans and receivables and commitments given to credit institutions and customers are presented in Note 3.1 to the consolidated financial statements.

The gross amount of loans and receivables outstanding, including accrued interest (€852 billion at 31 December 2015), increased by 2.3% in 2015 (from €832.5 billion at 31 December 2014). It is split mainly between large corporates and retail customers (respectively, 31.9% and 52.8%, compared with 30.8% and 51.7% at 31 December 2014).

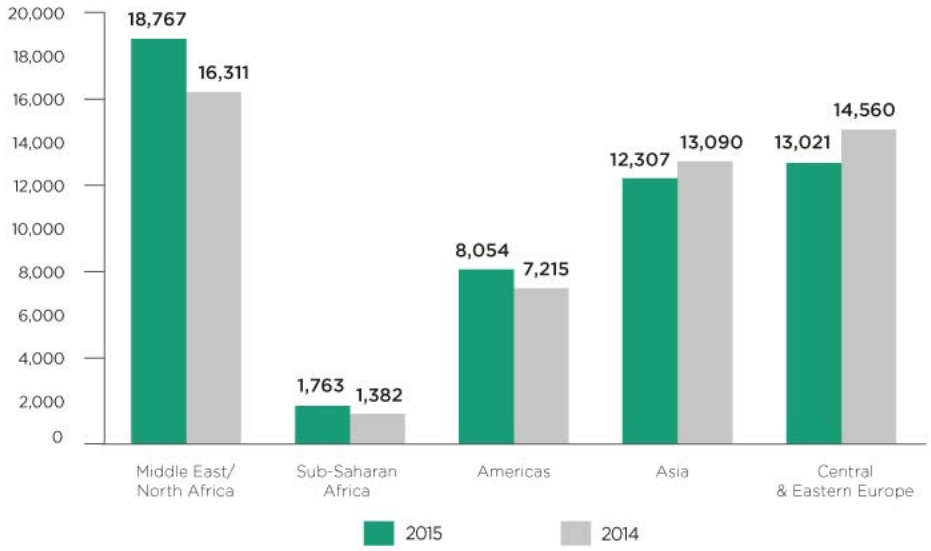
2.4 EXPOSURE TO COUNTRY RISK

At 31 December 2015, commercial commitments (including to bank counterparties) given to Crédit Agricole Group customers in countries with ratings below B according to the Group's internal ratings, excluding countries in Western Europe (Italy, Spain, Portugal, Greece, Cyprus and Iceland) totalled €53.9 billion *versus* €52.6 billion as of 31 December 2014. Most of these commitments come from Crédit Agricole CIB, UBAF (47%-owned by Crédit Agricole CIB) and International retail banking. They include guarantees received which are deducted (export credit insurance, cash deposits, securities pledged, etc.).

The concentration of total exposures in these countries was largely unchanged in 2015: the top twenty countries accounted for 91.4% of the portfolio at year-end 2015, compared with 91.7% at year-end 2014.

Three geographic areas are predominant: Middle East/North Africa (35%), Central and Eastern Europe (24%) and Asia (23%).

CHANGES IN COMMERCIAL LENDING FOR COUNTRIES WITH A CREDIT RATING LOWER THAN B (IN MILLIONS OF EUROS)



The Middle East and North Africa

Aggregates commitments to countries in Middle East and North Africa totalled €18.8 billion in 31 December 2015, up 15% on 2014, mainly due to movements in the EUR/USD exchange rate. Morocco, Egypt, the United Arab Emirates, Saudi Arabia and Algeria accounted for 83.3% of Middle Eastern and North African commitments.

Central & Eastern Europe

Aggregate commitments to Central and Eastern Europe fell by 11% from the previous year, mainly due to reduced exposure to Russia. Group commitments focused on four countries: Poland, Russia, Ukraine and Serbia, which represented 91% of the total in this region.

Asia

Commitments in Asia fell by 6% to €12.31 billion from the level at 31 December 2014. The change was mainly due to a reduction in exposures to China, which remains the largest regional exposure at €5.3 billion, ahead of India (€5.2 billion).

Latin America

At end-December 2015, exposure to the region made up 15% of all exposure to countries rated lower than B. It rose by 12% from 2014 due to the fluctuation of the EUR/USD exchange rate. Note that exposure to Brazil and Mexico make up 87% of the Lain America total.

Sub-Saharan Africa

Group commitments to Sub-Saharan Africa totalled €1.76 billion at 31 December 2015, *i.e.* 3% of the total for countries with a rating below B. The main reason for the rise since end-2014 was the change in the EUR/USD exchange rate. Commitments in South Africa made up 52% of regional commitments.

3. Credit quality

3.1 ANALYSIS OF LOANS AND RECEIVABLES BY CATEGORY

The breakdown of loans and receivables to credit institutions and customers is presented as follows:

Loans and receivables (in millions of euros)	31/12/2015	31/12/2014
Neither past due nor impaired	813,589	791,101
Past due but not impaired	11,557	13,971
Impaired	26,881	27,453
TOTAL	**852,027**	**832,525**

The portfolio of loans and receivables at 31 December 2015 consisted for 95.5% of amounts that were neither past due nor impaired (95% at 31 December 2014).

Under IFRS 7, a financial asset is past due when a counterparty has failed to make a payment when contractually due. The Group considers that there is no identified credit risk on loans and receivables that are less than 90 days past due, which account for 93.6% of past due but not impaired loans (92.4% at end-2014).

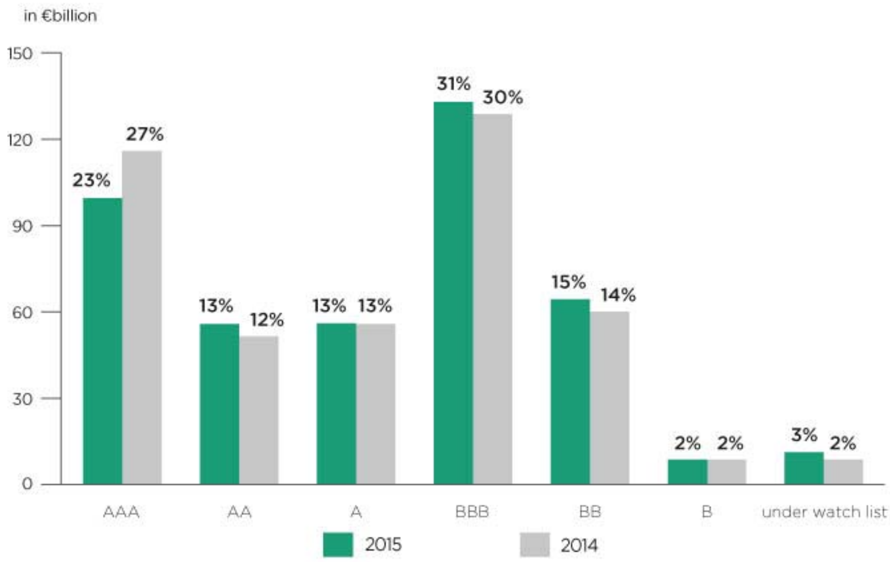
Details of financial assets that were past due or impaired are presented in Note 3.1 to the consolidated financial statements.

3.2 ANALYSIS OF OUTSTANDINGS BY INTERNAL RATING

The internal rating policy used by Crédit Agricole Group aims to cover the entire Group customer portfolio, *i.e.* retail customers, corporate customers, banks and financial institutions, government agencies and local authorities.

On the performing commercial lending portfolio excluding retail customers (€611.2 billion at 31 December 2015, compared with €596.8 billion at 31 December 2014), rated borrowers accounted for 79% of the total compared with 80% at year-end 2014 (€484.1 billion at 31 December 2015, compared with €477.7 billion at 31 December 2014). The breakdown of this portfolio is presented according to the Standard & Poor's equivalents of the Group's internal ratings:

CHANGE IN THE PERFORMING NON-RETAIL BANKING COMMERCIAL LENDING PORTFOLIO OF CRÉDIT AGRICOLE S.A. GROUP BY INDICATIVE S&P EQUIVALENT OF 2015 INTERNAL RATING



This breakdown reflects a good quality loan book. At 31 December 2015, 80% of exposure related to borrowers with investment-grade ratings (rating that is equal to or greater than BBB; 82% at 31 December 2014), and only 2.6% related to borrowers under watch list.

3.3 IMPAIRMENT AND RISK COVERAGE

3.3.1 Impairment and risk hedging policy

The policy for hedging loan loss risks is based on two kinds of impairment allowances:

- impairment allowances on an individual basis intended to cover probable losses on impaired receivables;
- collective impairment allowances under IAS 39, recognised when objective indications of impairment are identified on one or more homogeneous subgroups within the credit risk portfolio. These impairment allowances are intended to cover deterioration in the risk profile of exposures to certain countries, business sectors or counterparties, not because they are in default but because their rating has been lowered. Impairment losses on a portfolio basis are also made in retail banking.

  Collective impairments are, mainly, calculated on statistical bases on the amount of loss expected until the transactions mature, using Basel probability of default (PD) and loss given default (LGD) criteria.

3.3.2 Impaired financial assets

The breakdown of impaired loans and receivables due from credit institutions and customers by customer type and geographic area is presented in Note 3.1 to the financial statements.

At 31 December 2015, impaired lending commitments as a whole amounted to €26.9 billion *versus* €27.5 billion at 31 December 2014, down 2%. These consist of non-performing loans and commitments on which the Group sees potential non-recovery. Impaired assets accounted for 3.2% of the Group's gross stated outstandings (3.3% at 31 December 2014). They were hedged by €15.8 billion in individual impairment allowances (€16.2 billion at 31 December 2014), including lease finance transactions but not including collective impairment allowances.

Restructured loans according to the new definition[1] totalled €14.0 billion at 31 December 2015 (€12.9 billion at 31 December 2014).

(1) *The concept of restructured loans is detailed in Note 1.3 "Accounting policies and principles 2015" in the consolidated financial statements.*

4. Cost of risk

Crédit Agricole Group's cost of risk was €3.03 billion at 31 December 2015 compared to €2.94 billion in 2014, up 3%, with 2015 including some exceptional legal provisions. The cost of risk for the Regional Banks was stable year-on-year, while LCL's cost of risk fell by 27% compared to 2014. The most notable change in the International retail banking business line related to Cariparma Group (excluding CALIT) which saw its cost of risk fall by 32% in 2015, reflecting an improvement in the quality of its loan book. In Specialised financial services, Crédit Agricole Consumer Finance Group improved its cost of risk by 40%, mainly thanks to better recoveries by its Agos Ducato subsidiary and an improvement of the quality of its loan book. Cost of risk in Corporate and investment banking increased by 160% after recording exceptional provisions.

Details of the movements that affected the cost of risk are presented in Note 4.8 to the consolidated financial statements. This is broken down by business line in Note 5.1 to the consolidated financial statements.

5. Counterparty risk on derivative instruments

The counterparty risk on derivative instruments is established according to market value and potential credit risk calculated and weighted in accordance with regulatory standards. The measure relating to this credit risk is presented in part 2.2. "Credit risk measurement" in the section II "Credit risk management" above.

MARKET RISK

Market risk is the risk of a negative impact on the income statement or balance sheet of adverse fluctuations in the value of financial instruments following changes in market parameters, particularly:

- interest rates: interest rate risk is the risk of a change in the fair value of a financial instrument or the future cash flows from a financial instrument due to a change in interest rates;
- exchange rates: foreign exchange risk is the risk of a change in the fair value of a financial instrument due to a change in exchange rates;
- prices: price risk is the risk of a change or volatility in the price of equities, commodities, baskets of equities or stock market indices. The instruments most exposed to this risk are variable-income securities, equity derivatives and commodity derivatives;
- credit spreads: credit risk is the risk of a change in the fair value of a financial instrument resulting from movement in the credit spreads for indices or issuers. For more complex credit products, there is also the risk of a change in fair value arising from a change in correlation between issuer defaults.

I. Objectives and policy

Crédit Agricole Group has a specific market risk management system with its own organisation independent of operational hierarchies, risk identification and measurement methods, monitoring and consolidation procedures. In terms of scope, this system hedges all market risk stemming from market transactions. The investment portfolios of the Finance department are monitored and supervised appropriately.

In a market marked by persistently low rates and increased volatility, a prudent market risk management policy was pursued in 2015, in line with Crédit Agricole Group's risk appetite.

II. Risk management

1. Local and central organisation

Crédit Agricole Group has two distinct and complementary levels of market risk management:

- at the central level, the Group Risk Management and Permanent Controls department coordinates all Group-wide market risk supervision and control issues. It standardises data and data processing to ensure consistency of both consolidated risk measurement and controls. It keeps the executive bodies (Executive Management of Crédit Agricole S.A.) and decision-making bodies (Board of Directors and Audit Committee) up-to-date on the market risk position;
- at the local level, for each Crédit Agricole Group entity, a Risk Management and Permanent Controls Officer manages the monitoring and control of market risks arising from the entity's businesses. Within the Crédit Agricole CIB subsidiary, the Risk Management and Permanent Controls department relies on decentralised teams of risk controllers, generally based abroad. These control functions are performed by different teams:
  a) Risk Management, which is responsible for market risk monitoring and control for all product lines worldwide: limit proposals, which are approved by the Market Risk Committee and monitored for their compliance, analysis of limit breaches as well as significant variations in results which are brought to the attention of the Market Risk Committee,

b) monitoring of activity: in charge of producing daily management income and risk indicators for all activities held to market risk limits and of monitoring and validating the market parameters used to produce profit and loss account and risk indicators. This ensures an autonomous production process based on a market database updated daily, which is independent of the front office.

Lastly, the process is used in conjunction with the Finance department during monthly procedures to align net management income and net accounting income,

c) in addition to this setup harmonising, cross-functional teams are responsible for coordinating methods and treatments between product lines and units. This team is responsible for reporting regulatory indicators produced independently by the DRM. This includes the following:

- quantitative research responsible for validating models,
- the team in charge of the internal model (VaR, stressed VaR, stress scenarios, etc.),
- Market Data Management which is in charge of market data collection separate from front office data.

The IT architecture put in place within Crédit Agricole CIB for market risk management is based on sharing the platforms used in the Front Office, on which risk indicators are calculated. The independence of the process is based on the selection of market data and the validation of valuation models by the Risk Management department.

Operating agreements between the central and local levels determine the level of information, format and frequency of the reports that entities must transmit to Crédit Agricole S.A. (Group Risk Management and Permanent Controls).

The Regional Banks do not operate on the capital markets for the purposes of speculation or arbitration. Their capital market activities are limited to hedging and current cash, which generate little or no regulatory charges.

2. Decision-making and Risk Monitoring Committees

Three governance bodies are involved in the management of market risk at Crédit Agricole S.A. Group level:

- the Group Risk Management Committee, chaired by the Chief Executive Officer of Crédit Agricole S.A., approves the aggregate limits on each entity's market risks when it presents its risk strategy and makes the main decisions in the matter of risk containment. The Committee examines the market situation and risks incurred on a quarterly basis, in particular through the utilisation of limits and any significant breaches of limits and incidents;
- the Risk Monitoring Committee, chaired by the Chief Executive Officer of Crédit Agricole S.A., reviews the main indicators of market risk twice a month;
- the Standards and Methodology Committee meets periodically and is chaired by the head of Group Risk Management and Permanent Controls. Its responsibilities include approving and disseminating standards and methods concerning the supervision and permanent control of market risks.

In addition, each entity has its own Risk Committee. The most important of these is Crédit Agricole CIB's Market Risk Management Committee (CRM), which meets twice a month and is chaired by the Executive Management member of the Committee in charge of risks. It is made up of Crédit Agricole CIB's head of capital market activities and the risk managers. This Committee reviews Crédit Agricole CIB's positions and the profit and loss account of its capital market activities and verifies compliance with the limits assigned to each activity. It is empowered to make decisions on requests for temporary increases in limits.

III. Market risk measurement and supervision methodology

1. Indicators

The market risk measurement and supervision system is based on a combination of several indicators, most of which are subject to global or specific limits. It relies principally on Value at Risk, stressed VaR, stress scenarios and complementary indicators (risk factor sensitivity, combined qualitative and quantitative indicators) and a process that values all positions in each entity giving rise to market risks. The permanent control process includes procedures to validate and back-test models.

1.1 VAR (VALUE AT RISK)

The central element of the market risk measurement system is the Value at Risk (VaR). VaR can be defined as the maximum theoretical loss on a portfolio in the event of adverse movements in market parameters over a given timeframe and for a given level of confidence. Crédit Agricole S.A. Group uses a confidence level of 99%, a timeframe of one day using one year of historical data. In this way, market risks incurred by the Group in its trading activities can be monitored on a daily basis by quantifying the estimated maximum level of loss in 99 out of 100 cases, after inclusion of a number of risk factors (interest rate, foreign exchange, asset prices, etc.). The inter-correlation of such factors affects the maximum loss amount.

The offsetting figure is defined as the difference between total VaR and the sum of VaRs by risk factor. It represents the effects of offsetting among positions held simultaneously on different risk factors. A procedure known as back-testing (comparing each day's result against VaR estimated the day before) is used to confirm the relevance of the methodology.

The internal VaR model of Crédit Agricole CIB, which is the main contributor to the VaR of Crédit Agricole S.A. Group, has been approved by the regulatory authorities.

The process of measuring a historical VaR for risk positions on a given date D is based on the following principles:

- compilation of an historical database of risk factors on positions held by Crédit Agricole S.A. Group entities (interest rates, share prices, exchange rates, commodity prices, volatilities, credit spreads, correlation, etc.);
- determination of 261 scenarios corresponding to one-day changes in risk factors, observed over a rolling one-year period;

- adjustment of parameters corresponding on the date according to the 261 scenarios;
- remeasurement of the day's positions based on the 261 scenarios.

The 99% VaR figure based on the 261 scenarios is equal to the average of the second and third worst results observed.

The VaR calculation methodology undergoes constant improvement and adjustment to take into account, among other things, the changing sensitivity of positions to risk factors and the relevance of the methods to new market conditions. For example, efforts are made to incorporate new risk factors and to achieve finer granularity on existing risk factors. The methodology was completed on 1 April 2015 on the perimeter of sovereign bonds, in order to take the specific and idiosyncratic risks into account more accurately by the addition of an add-on to the VaR perimeter.

Limitations of the historical VaR calculation

The main methodological limitations of the VaR model are the following:

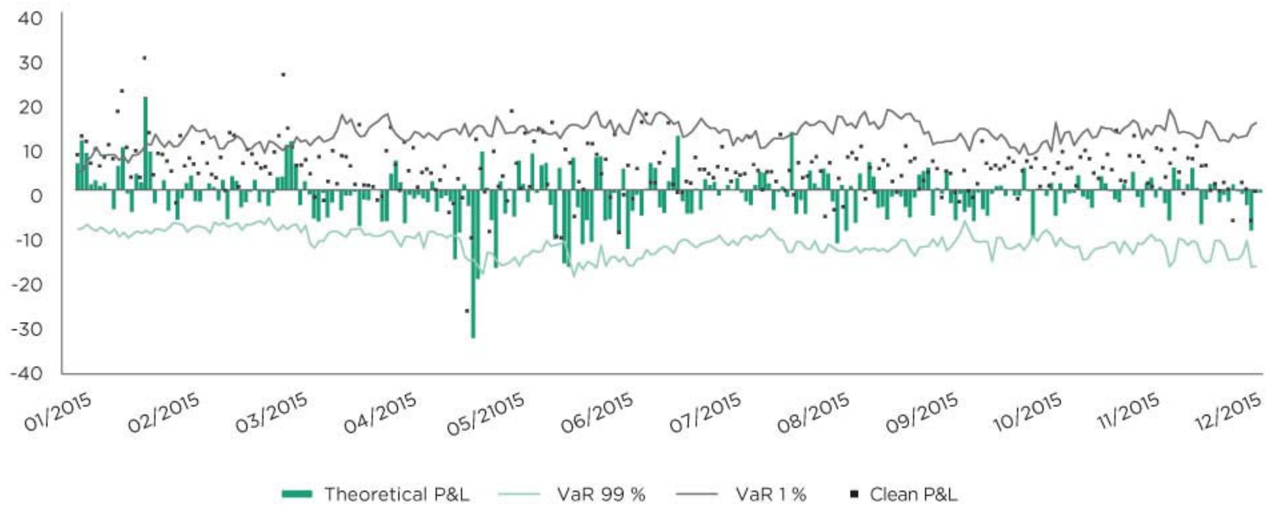
- the use of daily shocks assumes that all positions can be liquidated or covered in one day, which is not always the case for certain products and in certain crisis situations;
- the use of a 99% confidence interval leaves out losses that could occur outside that interval: VaR is consequently an indicator of risk under normal market conditions and does not take into account movements of exceptional magnitude;
- VaR does not provide any information on amounts of exceptional losses (beyond the 99% confidence interval).

Back-testing

A back-testing process is applied to check the relevance of the VaR model for each of Crédit Agricole S.A. Group's entities which have capital market activities. This process verifies *a posteriori* whether the number of exceptions (days when actual losses exceeded estimated VaR) was within the 99% confidence interval (a daily loss should exceed the calculated VaR only two or three times a year).

Thus at 31 December 2015, within the regulatory scope of Crédit Agricole CIB (cf. graph below), analysis of one-year trailing historical data highlighted three VaR exceptions.

BACK-TESTING OF REGULATORY VAR OF CRÉDIT AGRICOLE CORPORATE AND INVESTMENT BANK FOR 2015 (IN MILLIONS OF EUROS)



1.2 STRESS SCENARIOS

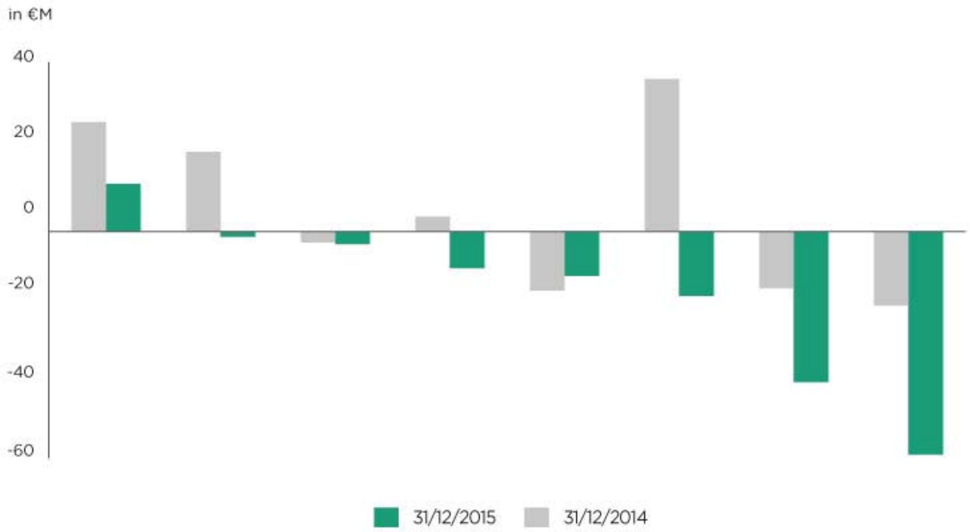
Stress scenarios complement the VaR measure which does not capture the impact of extreme market conditions. Stress scenarios are calculated following Group principles to simulate extreme market conditions and are the result of different complementary approaches:

- historical scenarios, which consist in replicating the impact on the current portfolio of major crises observed in the past. The past crises used in historical stress scenarios are the 1987 stock market crash; the 1994 bond market crisis; the 1998 credit market crisis, coupled with falling equity markets, sharply rising interest rates and declining emerging-country currencies; the 2008 crisis following the failure of Lehman Brothers (two stress scenarios measuring the impact of market movements after the failure);
- hypothetical scenarios anticipating plausible shocks, which are developed in conjunction with economists. The hypothetical scenarios used are economic recovery with rising equity and commodity markets, flattening yield curves, appreciation of the USD and narrowing credit spreads; liquidity crunch, with flattening yield curves, widening spreads, falling equity markets, and international tensions: scenario representing economic conditions in a context of international tensions between China and the United States (rising volatility and falling prices on the equity markets, falling futures prices and rising volatility on the commodities market, flattening yield curves, fall of the USD against other currencies, widening credit spreads).

The stress scenarios are calculated weekly.

At year-end 2015 the risk levels of Crédit Agricole S.A. Group assessed through historical and hypothetical stress scenarios were as follows:

ESTIMATED LOSSES ASSOCIATED WITH STRESS SCENARIOS



In addition other types of stress tests are performed:

- at the level of the entities, adverse stress tests enabling evaluation of the impact of major and unfavourable market movements on the different business lines including activities in run-off;
- at the level of Crédit Agricole CIB, extreme adverse stress tests are used to measure the impact of even more severe market shocks.

1.3 COMPLEMENTARY INDICATORS

Other complementary indicators are also produced by the entities and can, as part of the risk containment system, be subject to limits. These include indicators of sensitivity to various risk factors, loss alerts, stop-loss indicators, nominal amounts, outstandings, remaining terms, etc. These indicators provide fine-grained measurements of exposure to different market risk factors, serve to identify atypical transactions and fill out the summary picture of risks supplied by VaR and global stress scenarios.

1.4 CRD 4 INDICATORS

Stressed VaR

So-called "stressed" VaR is intended to correct the pro-cyclical nature of the Company's historical VaR. The latter is indeed is calculated over the one-year period preceding the measurement date, and where the associated market parameters reflect calm market conditions with low volatility, it can display a low level.

Stressed VaR is calculated using a 99% confidence interval of one day and over a period of tension corresponding to the worst period observed for the most significant risk factors.

At end-2015, the period used at Crédit Agricole CIB was June 2008-June 2009. In addition to the VaR capital requirement, there is now a stressed VaR capital requirement.

Incremental Risk Charge

The IRC or Incremental Risk Charge is an additional equity requirement related to the risk of default and migration on so-called linear credit positions (*i.e.* not including credit correlation positions), required by the CRD 4 directive.

Its purpose is to quantify any unexpected losses caused by credit events on the issuers, *i.e.* default and migration of rating (the case of either a fall or a rise in credit rating).

The IRC is calculated with a confidence interval of 99.9% over a risk period of one year, by Monte Carlo simulations of migration scenarios based on three sets of data:

1) a one year transition matrix provided by S&P and adapted to the internal rating system of Crédit Agricole Corporate and Investment Bank. This matrix gives the transition probabilities of an issuer based on its initial credit rating to higher or lower credit ratings as well as its probability of default;
2) the correlation of issuers with systemic factors;
3) average spread curves by rating from which the shocks resulting from migrations are deducted.

These simulated credit default and migration scenarios then make it possible to value positions using the Crédit Agricole CIB models.

The IRC is then defined as the 99.9% quantile of the breakdown of the valuations thus obtained.

Comprehensive Risk Measure

Following the entry into force of CRD 3 on 31 December 2011, Crédit Agricole Corporate and Investment Bank implemented the CRM (Comprehensive Risk Measure). This indicator relates to the correlation portfolio. Given that the correlation portfolio market risk had been transferred to an external counterparty, the CRM has shown a nil value since 31 December 2012.

These three indicators are measured using internal models with an identical governance to the one existing for the internal model related to the VaR.

Credit Value Adjustment (CVA)

The value adjustment linked to the counterparts quality (CVA) aims to integrate in derivatives' valuation credit risk associated with the counterparty (risk of non-payment of sums due in the event of default). It is calculated on an aggregate basis by counterparty according to the future exposure profile of the transactions after deducting any collateral. This adjustment is always negative and is deducted from the fair value of the financial assets.

CRD 4 brought in a new capital charge to cover volatility in the CVA. Under the directive, banks authorised to calculate their capital requirements using their internal models for both counterparty risk and specific rate risk must calculate their CVA risk capital charge using the advanced measurement method ("CVA VaR"). The size of these capital requirements is calculated using the same methodology and tools as for market VaR in respect of specific interest rate risk.

The ACPR has validated the CVA VaR model used by Crédit Agricole CIB and, following application of CRD 4 (Basel 3) as from 1 January 2014, the additional capital required relative to the CVA (VaR and stressed VaR) has been measured since 2014.

2. Use of credit derivatives

The Crédit Agricole Corporate and Investment Bank credit derivatives market risk from the correlation portfolio was transferred to an investment fund managed by Blue Mountain Capital Management in 2012.

CDS are used for hedging purposes in the following cases:

- management of credit exposure from the loan book or derivatives portfolio (CVA);
- hedging of bond portfolio exposure;
- hedging of the exposure of hybrid derivatives portfolios (*e.g.* to hedge the issuance of credit-linked notes sold to investor customers).

IV. Exposures

VaR (Value at Risk)

Given the low exposure of the Regional Banks to market risk, Crédit Agricole S.A. Group total VaR is representative of Crédit Agricole Group VaR on market activities.

Crédit Agricole Group VaR (Value at risk) is calculated by incorporating the impacts of diversification between the different entities of the Group.

The scope considered for capital market activities of Crédit Agricole Corporate and Investment Bank is the regulatory VaR (measured through an internal model approved by the ACPR).

The change in VaR on the capital markets activities of Crédit Agricole S.A. Group between 31 December 2014 and 31 December 2015, broken down by major risk factor, is shown in the table below:

BREAKDOWN OF VAR (99%, ONE DAY)

(in millions of euros)	**31/12/15**	**Minimum**	**Maximum**	**Average**	**31/12/14**
Fixed income	7	5	14	7	7
Credit	7	4	10	6	4
Foreign exchange	3	1	7	4	4
Equities	1	-	2	1	1
Commodities	-	-	-	-	-
Offsetting	(3)	-	-	(7)	(7)
VAR OF CRÉDIT AGRICOLE S.A. GROUP	**15**	**7**	**19**	**11**	**9**
For reference:					
Sum of the VaRs of all entities	20	12	24	17	15

At 31 December 2015, Group VaR was €15 million, a rise since 31 December 2014 mainly due to changes in credit risk and offsetting effects. The offsetting (-€3 million) is defined as the difference between total VaR and the sum of the VaRs by risk factor. For reference, without accounting for the diversification effect between different entities, the total VaR would be €20 million (of which €16 million for Crédit Agricole CIB).

The "Fixed income" VaR calculated on the scope of treasures and interest rate derivative activities was stable at 31 December 2015 at €7 million in a low-rate environment.

The "Credit" VaR, calculated for credit market activities, increased to €7 million due to hedging of risks related to the CVA.

"Forex" VaR fell slightly to €3 million at 31 December 2015. Over the year, it was €4 million on average, up from 2014 against a background of increased market volatility.

The contribution of "Equities" VaR was a marginal €1 million, unchanged from year-end 2014.

The graph shows VaR over 2015. Volatility rose mainly due to changes in market parameters:

CRÉDIT AGRICOLE S.A. GROUP VAR BETWEEN 01/01/2015 AND 31/12/2015

Stressed VaR

The stressed VaR is calculated on the scope of Crédit Agricole CIB.

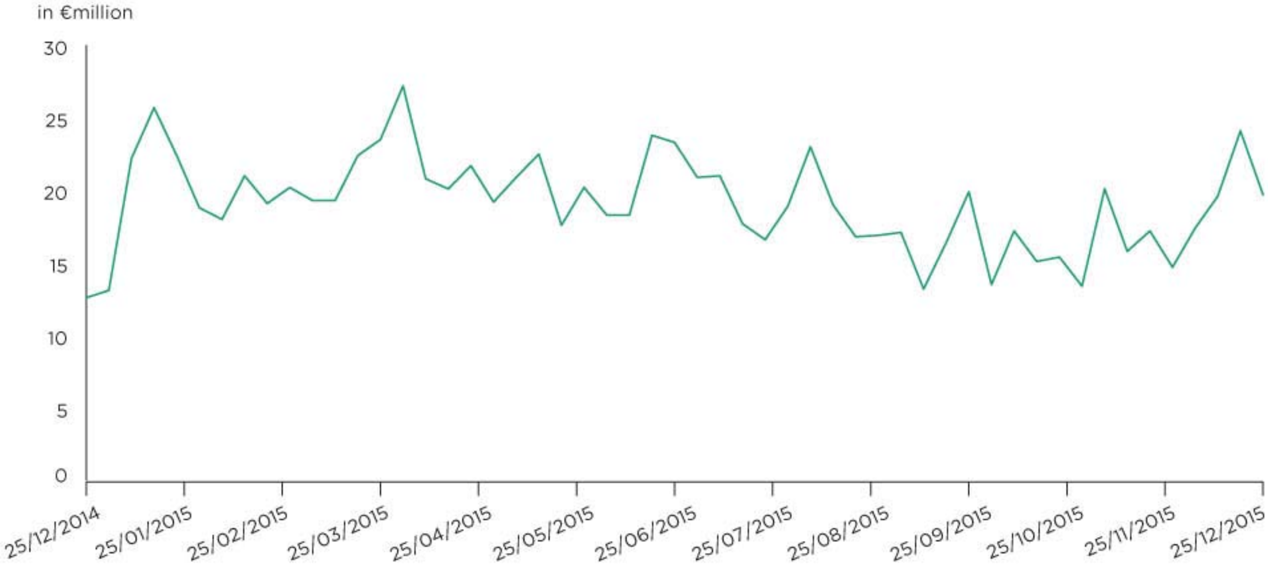
The table below shows the change in the regulatory stressed VaR on the capital market activities of Crédit Agricole CIB between 31 December 2014 and 31 December 2015:

CHANGE IN STRESSED VAR (99%, ONE DAY)

(in millions of euros)	31/12/2015	Minimum	Maximum	Average	31/12/2014
Crédit Agricole CIB stressed VaR	20	13	27	19	13

The graph below shows the change in the regulatory stressed VaR of Crédit Agricole CIB over 2015:

CRÉDIT AGRICOLE GROUP S.A. STRESSED REGULATORY VAR BETWEEN 01/01/2015 AND 31/12/2015



At end-December 2015, stressed regulatory VaR at Crédit Agricole CIB was €20 million, up by €7 million on 31 December 2014. Averaged over the year, stressed VaR was €19 million, slightly higher than the previous year (€17 million). Changes during 2015 were linked to both changes in exposure to sovereign risk and offsetting effects between product lines.

Capital requirements related to Incremental Risk Charge (IRC)

IRC is calculated on the so-called linear (*i.e.* excluding correlation positions) scope of Crédit Agricole CIB's positions.

The table below shows the changes in IRC on the capital market activities of Crédit Agricole CIB between 31 December 2014 and 31 December 2015:

(in millions of euros)	31/12/2015	Minimum	Maximum	Average	31/12/2014
IRC	141	141	399	237	234

Changes to IRC during 2015 mainly reflected changes in exposures to European sovereign debt, which were reduced as from the second quarter.

V. Equity risk

Equity risk arises in the trading and arbitrage of equity securities as well as on shares held in the investment portfolio.

1. Equity risk from trading and arbitrage activities

Equity risk from trading and arbitrage activities arises from positions taken on shares and stock market indices *via* cash or derivatives markets (positions in exotic equity derivatives are being managed in run-off mode, and no new transactions of this kind are being made). The main risk factors are prices of shares stock indices, volatilities of those prices and smile parameters of those volatilities[1].

Measurement and containment of equity risk is addressed in the description of the processes indicated in section III above.

This risk is monitored by means of VaR. Equity VaRs during 2015 are shown in the table in section IV above. Equity VaR was €1 million at 31 December 2015 (unchanged from 31 December 2014).

2. Equity risk from other activities

A number of Crédit Agricole Group entities hold portfolios that are invested partly in equities and structured products whose market value depends on prices of underlying equities and equity indices. The valuation methods used for shares recognised under "available-for-sale assets" are described in Note 10.2 to the financial statements. At 31 December 2015, total outstandings exposed to equity risk *via* these portfolios primarily comprise available-for-sale financial assets for €31.5 billion (including insurance company portfolios for €24 billion) and financial assets at fair value through profit or loss held by insurance companies for €16.3 billion.

Note 6.4 to the financial statements gives figures in particular on outstandings of equities, and unrealised gains and losses on "available-for-sale financial assets". Information on market risk (including equity risk) on the portfolios held by the insurance companies is presented below in the section on "insurance sector risks".

(1) *Smile is the parameter that takes into account the variability of volatility based on the exercise price of option-based products.*

SENSITIVE EXPOSURES BASED ON THE FINANCIAL STABILITY BOARD RECOMMENDATIONS

The exposures below correspond to the recommendations of the Financial Stability Board. This information forms an integral part of Crédit Agricole S.A. Group's consolidated financial statements at 31 December 2015. For this reason it is covered by the Statutory Auditors' Report on the annual financial information.

I. Summary schedule of exposures

	Asset under loans and receivables					Assets at fair value			
(in millions of euros)	Gross exposure	Haircut	Collective provisions	Net exposure	Accounting category	Gross exposure	Haircut	Net exposure	Accounting category
RMBS	22	(1)	0	21	(1)	25	(3)	22	(3)
CMBS	3	0	0	3	(1)	2	0	2	(3)
Unhedged super senior CDOs	672	(672)	0	0	(2)	1,369	(1,356)	13	(3)
Unhedged mezzanine CDOs	17	(17)	0	0	(2)	178	(178)	0	(3)
Unhedged CLOs	2	0	0	2	(2)	65	0	65	(3)
Protection acquired from monolines						52	(32)	20	(4)
Protection acquired from CDPC						0	0	0	(4)

(1) Loans and receivables to credit institutions and to customers – Securities not listed on an active market (see Note 6.5 to the consolidated financial statements).

(2) Loans and receivables to customers – Securities not listed on an active market (see Note 6.5 to the consolidated financial statements).

(3) Financial assets at fair value through profit or loss – Bonds and other fixed income securities and derivatives (see Note 6.2 to the consolidated financial statements).

(4) Financial assets at fair value through profit or loss – Derivatives (see Note 6.2 to the consolidated financial statements).

II. Mortgage Asset Backed Securities (ABS)

	United States		United Kingdom		Spain	
RMBS (in millions of euros)	31/12/2014	31/12/2015	31/12/2014	31/12/2015	31/12/2014	31/12/2015
Recognised under loans and receivables						
Gross exposure	0	0	25	22	0	0
Haircut[1]	0	0	(2)	(1)	0	0
Net exposure in millions of euros	**0**	**0**	**23**	**21**	**0**	**0**
Recognised under assets measured at fair value						
Gross exposure	0	0	22	23	2	2
Haircut	0	0	(2)	(3)	(0)	(0)
Net exposure in millions of euros	**0**	**0**	**20**	**20**	**2**	**2**
% underlying subprime on net exposure	0%	0%				
Breakdown of gross exposure, by rating						
AAA						
AA			4%			100%
A			96%	49%	100%	
BBB				51%		
BB						
B						
CCC						
CC						
C						
Not rated						

	United States		United Kingdom		Other	
CMBS (in millions of euros)	31/12/2014	31/12/2015	31/12/2014	31/12/2015	31/12/2014	31/12/2015
Recognised under loans and receivables						
Net exposure[1]	0	0	0	0	3	3
Recognised under assets measured at fair value						
Net exposure	0	0	3	2	3	0

(1) There are no collective provisions since 31 December 2014.

Purchases of protection on RMBSs and CMBSs measured at fair value:

- 31 December 2015: nominal = €9 million; fair value = €3 million;
- 31 December 2014: nominal = €22 million; fair value = €6 million.

Mortgage ABSs are measured at fair value based on information provided by outside sources.

III. Measurement methodology for super senior CDO tranches with US residential mortgage underlyings

1. Super senior CDOs measured at fair value

Super senior CDOs are measured by applying a credit scenario to the underlyings (mainly residential mortgages) of the ABSs making up each CDO.

The final loss percentages in existence are:

- determined based on the quality and origination date of each residential loan;
- expressed as a percentage of the nominal amount. This approach allows us to assess our loss assumptions on the basis of our risks on the Bank's statement of financial position.

	Loss rates on subprime produced in		
Closing date	2005	2006	2007
31/12/2012	50%	60%	60%
31/12/2013	50%	60%	60%
31/12/2014	50%	60%	60%
31/12/2015	**50%**	**60%**	**60%**

The future cash flows obtained are then discounted at a rate which takes market liquidity into account.

2. Super senior CDOs at amortised cost

Since the fourth quarter of 2012, impairment has been calculated using the same methodology as for super senior CDOs measured at fair value, but the future cash flows obtained are discounted at actual interest rates on the reclassification date.

IV. Unhedged super senior CDOs with US residential mortgage underlyings

At 31 December 2015, Crédit Agricole CIB had a net exposure of €13 million to unhedged super senior CDOs.

1. Breakdown of super senior CDOs

(in millions of euros)	Assets at fair value	Asset under loans and receivables
Nominal	**1,369**	**672**
Haircut	1,356	672
Collective provisions	0	0
Net amount	**13**	**0**
Net amount at 31/12/2014	***16***	***0***
Haircut percentage[1]	99%	100%
Underlying		
% of underlying subprime assets produced before 2006	14%	0%
% of underlying subprime assets produced in 2006 and 2007	43%	0%
% of underlying Alt-A assets	4%	0%
% of underlying Jumbo assets	0%	0%

(1) After inclusion of fully written down tranches.

2. Other exposure at 31 December 2015

(in millions of euros)	Nominal	Haircut	Collective provisions	Net
Unhedged CLOs measured at fair value	65	(0)		65
Unhedged CLOs recognised in loans and receivables	2	(0)		2
Unhedged Mezzanine CDOs measured at fair value	178	(178)		0
Unhedged Mezzanine CDOs recognised in loans and receivables[1]	17	(17)		0

(1) Mezzanine CDO tranches derived from the liquidation of a CDO previously recognised in loans and receivables.

V. Protection

1. Protection purchased from monolines at 31 December 2015

1.1 EXPOSURE TO COUNTERPARTY RISK ON MONOLINES

	Monolines covering				
(in millions of euros)	US residential CDOs	Corporate CDOs	CLOs	Other underlying	Total protection acquired from monolines
Gross notional amount of purchased protection	51		217	191	459
Gross notional amount of hedged items	51		217	191	459
Fair value of hedged items	39	(0)	215	153	407
Fair value of protection before value adjustments and hedges	**12**	**0**	**2**	**38**	**52**
Value adjustments recognised on protection	(1)		(1)	(30)	(32)
Residual exposure to counterparty risk on Monolines	**11**	**0**	**1**	**8**	**20**

1.2 BREAKDOWN OF NET EXPOSURE TO MONOLINES

Lowest rating of ratings issued by Standards & Poors or Moody's at 31 December 2015.

Baa2 : Assured Guaranty Ltd
A3 : Assured Guaranty Corp (ACE Financial Solution)
N/R : CIFG

2. Protection purchased from CDPCs (Credit Derivative Product Companies)

At 31 December 2015, net exposure to CDPCs was nil (compared to €4 million at 31 December 2014).

ASSET AND LIABILITY MANAGEMENT

I. Asset and liability management - Structural financial risks

Crédit Agricole S.A.'s Financial Management department defines the principles of financial management and ensures their consistent application within Crédit Agricole S.A. Group. It has responsibility for organizing financial flows, defining and implementing refinancing rules, performing asset and liability management and managing solvency ratios.

Optimising financial flows within Crédit Agricole S.A. Group is an ongoing objective. Pooling of surplus resources and making it systematically possible to hedge the associated risks contribute to this objective.

Thus the principles of the Group's ALM approach ensure that any surpluses and shortfalls in terms of customer resources, in particular resources collected by the Regional Banks, are centralised in the books of Crédit Agricole S.A. This resource pooling helps in refinancing other Group entities as needed (including Crédit Agricole Leasing & Factoring and Crédit Agricole Consumer Finance).

This system for centralising the management of liquidity at Crédit Agricole S.A. serves to control and optimise cash management, especially since it is accompanied by partial interest rate matching.

Consequently, the Group has a high level of financial cohesion, with limited diffusion of financial risks, particularly liquidity risk. However, the Group's various entities are responsible for managing the risk that remains at their level, within the limits assigned to them.

Limits are defined by order of the Chief Executive Officer of Crédit Agricole S.A. in the framework of the Group Risk Management Committee, approved by the Board of Directors of Crédit Agricole S.A., and apply throughout Crédit Agricole S.A. Group:

- subsidiaries that carry asset and liability risks comply with limits set by Crédit Agricole S.A.'s Group Risk Management Committee;
- methods of measuring, analysing and managing assets and liabilities of the Group are defined by Crédit Agricole S.A. Regarding the retail banks' balance sheets in particular, a consistent system of run-off conventions and patterns has been adopted for the Regional Banks, LCL and the foreign subsidiaries;
- Crédit Agricole S.A. consolidates the subsidiaries' measurements of their asset-liability risks. Results of these measures are monitored by Crédit Agricole S.A.'s Treasury and ALM Committee;
- Crédit Agricole S.A.'s Financial Management department and Risk Management and Permanent Controls department take part in meetings of the ALM Committees of the main subsidiaries.

At Regional Bank level, their Boards of Directors set limits for global interest rate risk and the trading portfolio, and determine the alert thresholds for investment portfolio management (available-for-sale securities). These limits are monitored by Crédit Agricole S.A.

II. Global interest rate risk

1. Objectives

The objective of global interest rate risk management is to stabilise the future profits of Group entities against the impact of any adverse interest rate movements.

Changes in interest rates impact net interest income by creating mismatches in timing or in the type of indexation between assets and sources of funds. Interest rate risk management uses balance sheet or off-balance sheet transactions to limit the resulting volatility in income.

The scope for monitoring the global interest rate risk is made up of entities whose business generates an interest rate risk:

- Regional Banks;
- LCL Group;
- Crédit Agricole S.A.;
- International retail banks, such as Cariparma Group;
- Crédit Agricole Corporate and Investment Bank;
- Crédit Agricole Consumer Finance Group;
- Crédit Agricole Leasing & Factoring Group;

- CACEIS;
- Amundi.

The interest rate risk borne by the Insurance business is monitored using indicators specific to this business line. An assessment of the impact of an instantaneous rate shock on the level of own funds under Solvency II is performed on the Crédit Agricole Assurances scope. This indicator incorporates an alert threshold.

2. Governance

2.1 INTEREST RATE RISK MANAGEMENT - ENTITIES

Each entity manages its exposures under the supervision of its ALM Committee, in accordance with the Group's limits and standards. The limits of Crédit Agricole S.A.'s subsidiaries are reviewed annually and validated by the Group Risk management.

The Financial Management department and the Risk Management and Permanent Controls department are represented on the main subsidiaries' ALM Committees. They ensure harmonisation of methods and practices across the Group and monitor compliance with the limits assigned to each of the subsidiaries' entities.

Each Regional Bank's situation as regards global interest rate risk is reviewed quarterly by the Regional Banks' Risk Management Committee.

2.2 INTEREST RATE RISK MANAGEMENT - GROUP

The Group's exposure to global interest rate risk is monitored by Crédit Agricole S.A.'s Treasury and ALM Committee.

This Committee is chaired by the Chief Executive Officer of Crédit Agricole S.A. and includes several members of the Executive Committee along with representatives of the Risk Management and Permanent Controls department:

- it examines the individual positions of Crédit Agricole S.A. and its main subsidiaries along with consolidated positions at each quarterly closing;
- it examines compliance with limits applicable to Crédit Agricole S.A. Group and to entities authorised to bear global interest rate risk;
- it validates the guidelines for global interest rate risk of Crédit Agricole S.A. proposed by the Financial Management department.

Limits approved by Crédit Agricole S.A.'s Board of Directors govern the Group's exposure to global interest rate risk.

3. Measurement and management system

3.1 MEASUREMENT

The rate risk measurement is mainly based on the calculation of rate gaps or impasses.

This methodology consists of creating future projections of outstandings at known rates and inflation-indexed outstandings according to their contractual features (maturity date, amortisation profile) or by modelling out flows of outstandings where:

- the maturity profile is not known (products with no contractual maturity, such as demand deposits, passbook accounts or capital);
- implicit options sold to customers are incorporated (early loan repayments, home purchase savings, etc.).

These models are usually defined based on a statistical analysis of past customer behaviour coupled with a qualitative analysis (economic and regulatory context, commercial strategy, etc.).

Consistency between the models used by the Group's various entities is ensured by the fact that the models must adhere to the modelling principles approved by the Standards and Methodology Committee. They are approved by the entity's ALM Committee and their relevance is monitored on an annual basis.

The gaps are consolidated quarterly at Group level. When their management requires it, some entities, particularly the major ones, measure their gaps more frequently.

The rules that apply in France to the *Livret A* interest rate, which is a benchmark for part of the deposits collected by the Group's retail banking business (regulated products and others), index a portion of the interest to inflation over a rolling 12-month period. As a result, the Group hedges the risk associated with these balance sheet items using instruments (carried on or off the balance sheet) for which the underlying is an inflation rate.

Option risks are included in the gaps using a delta-equivalent measure. A portion of these risks is hedged using option based of products.

These various measurements have been complemented by the implementation, for the Group's main entities, of the basis risk measurement, which relates to adjustable- and variable-rate transactions for which the rate-setting conditions are not consistent for both assets and liabilities.

This measurement system is applied to all significant currencies (mainly USD, GBP and CHF).

3.2 LIMITATION SYSTEM

The limits set at Group and entity levels put bounds on the extent of the maximum discounted loss over the next 30 years and the maximum annual loss over the next 15 years in the event of a rate shock.

The rules for setting limits are intended to protect the Group's net asset value in accordance with Pillar 2 of the Basel 3 regulations regarding global interest rate risk and to limit the volatility, over time, of interest income by avoiding sizeable concentrations of risk on certain maturities. As well as being validated by the Group's Risks Committee, these limits must be approved by each entity's decision-making body.

Each entity (including Crédit Agricole S.A.) hedges the interest rate risks generated by this method of financial organisation at its own level, by means of financial instruments (on-and-off-balance sheet, firm or optional).

3.3 ASSESSMENT OF INTERNAL CAPITAL REQUIREMENTS

Internal capital requirements with respect to the interest rate risk are measured, taking into account:

- the directional interest rate risk (calculated based on gaps);
- the option rate risk (mainly gamma effect on caps);
- the behavioural risk (such as early fixed-rate loan repayments).

This measurement is performed using a set of internal hypotheses incorporating interest rate curve distortions that are calibrated using a method consistent with that used to assess the other risks measured under Pillar 2.

4. Exposure

The Group's interest rate gaps are broken down by type of risk (nominal rate/real rate) in the various currencies. They measure the surplus or deficit on sources of fixed-rate funds. By convention, a positive (negative) figure represents a downside (upside) risk on interest rates in the year considered. The figure indicates the economic sensitivity to a change in interest rates.

The results of these measures for the Crédit Agricole Group at 31 December 2015 are as follows:

GAPS IN EUROS (AT 31 DECEMBER 2015)

(in billions of euros)	2016	2017-2021	2022-2026	> 2026
Gaps in euros	(4.3)	(10.3)	(2.0)	(0.8)

Over the course of 2016, the Crédit Agricole Group is exposed to an increase in the Eurozone interest rate and would lose €43 million in the event of a rate increase of 100 basis points, amounting to a 0.1% drop of 2015 revenues (compared to a €19 million drop, *i.e.* 0.1% of revenues at the 31 December 2014 reporting date).

The cumulative impact over the next 30 years of a 200 basis points rate increase is equivalent to €1,044 million, amounting to 1.1% of Crédit Agricole Group's regulatory capital (**Tier 1** + **Tier 2**) after deduction of equity investments.

OTHER CURRENCY GAPS (AT 31 DECEMBER 2015)

(in billions of euros)	2016	2017-2021	2022-2026	> 2026
Other currency gaps[1]	4.4	2.1	1.2	0.3

(1) Sum of all gaps in all currencies in absolute values countervalued in billions of euros.

The impact of a negative 100 basis points shock on the gaps in other currencies amounts to -€44 million over 2016, equivalent to 0.1% of 2015 revenues.

The main currencies to which Crédit Agricole Group is exposed are the USD, CHF, PLN, GBP, MAD and EGP.

III. Foreign exchange risk

Foreign exchange risk is treated differently depending on whether the currency position is structural or operational.

1. Structural foreign exchange risk

The Group's structural foreign exchange risk arises from long term investments by the Group in assets denominated in foreign currencies (equity of the foreign operating entities, whether resulting from acquisitions, transfers of funds from the head office, or capitalisation of local earnings), with the Group's reference currency being the euro.

At 31 December 2015, the Group's main structural foreign currency positions, on a gross basis before hedging, are in US dollars and currencies pegged to the dollar (such as the Hong Kong dollar), in pounds sterling, Swiss francs, Polish zlotys, Moroccan dirhams and Japanese yen.

Foreign exchange risks are borne mainly by Crédit Agricole S.A. and its subsidiaries. The Regional Banks retain only a residual risk. Positions are determined on the basis of financial statements.

In most cases, the Group's policy is to borrow in the currency in which the investment is made in order to immunise that asset against foreign exchange risk.

The Group's policy for managing structural foreign exchange positions has two overall objectives:

- first, to immunise the Group's solvency ratio against currency fluctuations. Unhedged structural foreign exchange positons are sized in order to obtain such immunisation;
- second, to hedge the risk of asset impairment due to changes in foreign exchange rates.

Four times a year, the Group's foreign exchange positions are presented to the Treasury and ALM Committee, which is chaired by the Chief Executive Officer. General decisions on how to manage positions are taken during these meetings. In this case, the Group documents net investment hedges in foreign currencies.

2. Operational foreign exchange risk

Operational foreign exchange risk arises from revenues and expenses of all kinds that are denominated in currencies other than the euro (provisions, net income generated by foreign subsidiaries and branches, dividends in foreign currencies, etc.) and from balance sheet imbalances.

Crédit Agricole S.A. manages the positions affected by foreign currency revenues and expenses that appear on its books, as does each entity within the Group that bears significant risk. The Foreign Subsidiaries' Treasury departments manage their operational foreign exchange risk in their local currency.

The Group's general policy is to limit its operational currency positions and not to hedge revenues that have not yet materialised, unless there is a strong probability that losses will materialise and unless the impairment risk is high.

In accordance with the foreign exchange risk monitoring and management procedures, operational currency exposure positions are updated monthly, or daily for foreign exchange trading operations.

IV. Liquidity and financing risk

Like all credit institutions, the Group is exposed to liquidity risk, *i.e.* the risk of not having sufficient funds to honour its commitments. This risk could materialise if, for instance, there were a general crisis of confidence among investors in the money and bond markets or massive withdrawals of customer deposits.

1. Objectives and policy

The Group's primary objective in managing liquidity is to ensure that it has sufficient resources to meet its requirements in the event of any type of severe, prolonged liquidity crisis.

To manage this, the Group uses an internal liquidity risk management and control system whose objectives are:

- to maintain liquidity reserves;
- to match these reserves with future liabilities coming due;
- to organise its refinancing to achieve an appropriate short and long term refinancing timeframe and diversify sources of refinancing;
- to ensure a balanced development between customer loans and deposits.

The system includes indicators, limits and alert thresholds. These are calculated and monitored for all Group entities and consolidated to allow monitoring of liquidity risk across the whole Crédit Agricole Group scope.

It also incorporates compliance with regulatory liquidity constraints. The LCR, which is calculated on a company or sub-consolidated basis for the Group entities concerned and on a consolidated basis for the Group, is disclosed in a monthly **report** to the ACPR as from the first quarter 2014.

2. Methodology and governance of the internal liquidity risk management and control system

Crédit Agricole Group's liquidity risk management and control system is built around indicators defined in a standard and divided into four separate groups:

- short term indicators derived largely from simulations of crisis scenarios. The purpose of these is to schedule maturities and volumes of short term refinancings as a function of liquidity reserves, cash flow from commercial business and repayment of long term borrowings;
- long term indicators used to assess and schedule maturities of long term debt: limits on maturity concentrations, allowing the Group to anticipate its refinancing needs and avoid any risk of difficulties with refinancing on the markets;
- diversification indicators, which allow the Group to monitor and manage concentrations of sources of market refinancing (by refinancing channel, type of debt, currency, geographical region, investor);
- cost indicators used to measure the short term and long term trends in the Group's issue spreads and their impact on the cost of liquidity.

It is the responsibility of the Standards and Methodology Committee, after taking advice from Group Risk Management and Permanent Controls, to validate the definition of and any changes to these indicators proposed by Crédit Agricole S.A.'s Group Finance department.

The Crédit Agricole S.A. Board of Directors approves the general policy for Group liquidity risk management and sets limits for key indicators in light of the Group's liquidity risk tolerance. The Group Risk Management Committee, which proposes these limits to the Board, determines how they are translated to each of the Group's constituent entities.

Accordingly, each subsidiary of Crédit Agricole S.A. and each Regional Bank is notified of the limits for the indicators controlled at Group level. In addition to this translation of the Group system, the asset-liabilities committees (or their equivalent) of these entities define a specific set of limits for the risks relating to their own business. They are also free to decide locally to apply a stricter control than that required by the Group.

A review of the system was conducted in 2014 and formally validated at the Board of Directors Meeting in December 2014. It includes:

- an extension of the minimum resilience horizon for crisis scenarios (these include stresses on market refinancing and deposit flight scenarios as well as the contractual impact of a downgrade of Crédit Agricole S.A. Group's credit ratings);
- control of the ratio of encumbered assets to customer loans;
- minimum threshold for long-term sources of funds *vs* structural assets from commercial business (See cash balance sheet below).

3. Management of liquidity

Crédit Agricole S.A. controls the management of liquidity risk. The Finance department is responsible, in respect of short term refinancing, for:

- setting spreads on short term funds raised under the various programmes (mainly negotiable CDs);
- centralising assets eligible for refinancing by the Central banks of Group entities and specifying the terms and conditions of use in the framework of tenders;
- monitoring and forecasting cash positions.

And in respect of long term refinancing, for:

- assessing needs for long term funds;
- planning refinancing programmes to meet these needs;
- executing and monitoring these programmes over the course of the year;
- reallocating the funds raised to Group entities;
- setting prices for liquidity in intragroup flows.

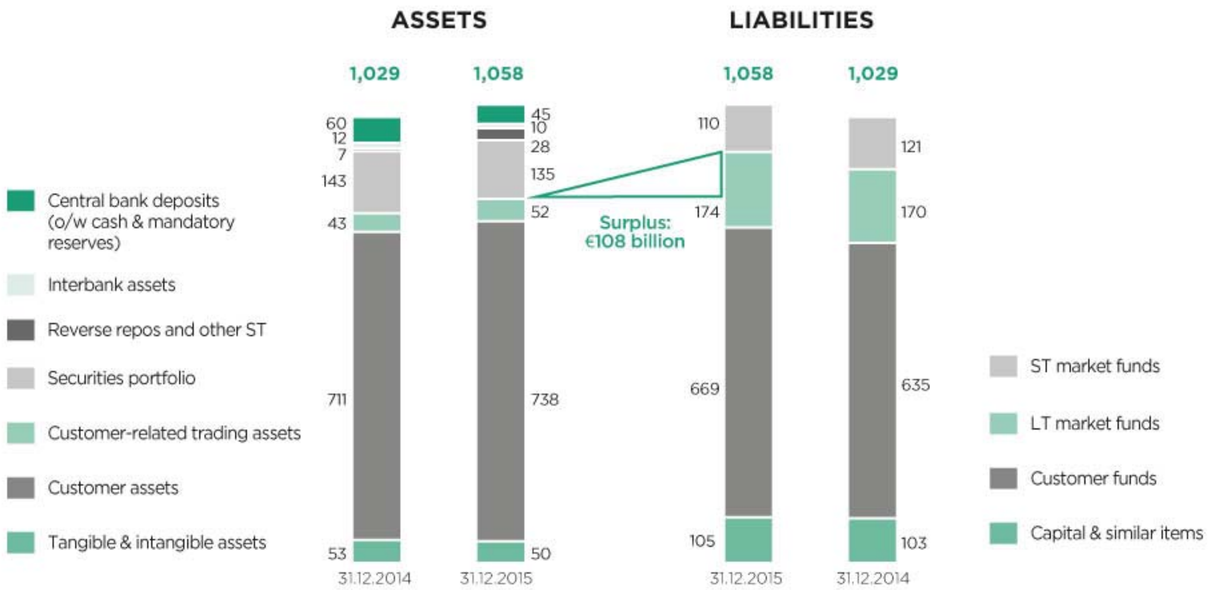
Long term refinancing programmes comprise various instruments *(see below)*. The body in charge of these tasks at an operational level is the Group's Treasury and Liquidity Committee, which reviews all matters relating to liquidity issues ranging from intraday to medium/long term. It proposes policy directions for the Group's Asset-Liability Management and Capital Liquidity Committee.

The Asset-Liability Management and Capital Liquidity Committee, chaired by the Chief Executive Officer of Crédit Agricole S.A. (who is also informed of the Group's liquidity positions), is responsible for all key decisions concerning the management of funding programmes, the launch of new programmes, the validation of funding budgets, and management of the balance between loans and deposits.

If funding markets tighten, a Committee is set up by the Executive Management, the Group Risk Management and Permanent Controls department and the Group Finance department in order to keep a close watch on the Group's liquidity situation.

4. Quantitative information

4.1 CASH BALANCE SHEET AT 31 DECEMBER 2015



In order to provide simple, pertinent and auditable information on the Group's liquidity position, the cash balance sheet long term sources surplus is calculated quarterly.

This cash balance sheet is derived from Crédit Agricole Group's IFRS financial statements. It is based on the definition of a comparison table between the Group's IFRS financial statements and the sections of the cash balance sheet as they appear below, the definition of which corresponds to that commonly accepted in the market.

It relates only to the banking sector, insurance business being managed by specific regulatory constraints.

Following this distribution of the IFRS financial statements in the sections of the cash balance sheet, netting was carried out on the assets and liabilities that have a symmetrical impact in terms of liquidity risk. The amount of €82 billion in repos/reverse repos was thus eliminated insofar as these outstandings reflect the activity of the securities desk in carrying out securities lending operations that offset each other.

In a final stage, other restatements reassign any amounts that accounting standards would allocate to one section when they are economically dependent on another. Senior issues placed through the banking networks, which accounting standards would class as "LT market funds", are thus reclassified as "Customer deposits".

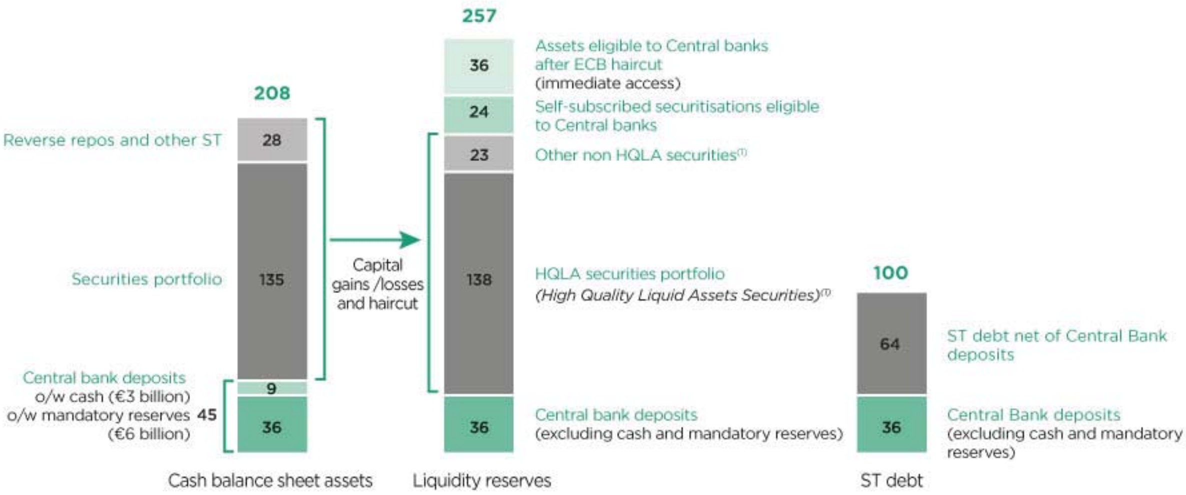
Long term market funds increased by €4 billion during the financial year. These changes form part of the Group's policy to secure its liquidity risk. Note that for Central bank refinancing operations, funds raised under the T-LTRO (targeted longer term refinancing operation) are classed as long-term market funds. The extension of the eligibility of additional collateral for the European Central Bank's (ECB) refinancing operations until after the T-LTRO matures (September 2018) makes it equivalent to long term secured refinancing, identical in liquidity risk terms to a secured issue.

The €108 billion surplus known as the stable resources position enables the Group to cover the LCR deficit generated by the durable assets and stable liabilities (customer assets, fixed assets, LT resources and capital).

The increase in customer assets has been more than offset by that of the resources of the same type and has resulted in a €7 billion reduction in the need to refinance on the markets for the period.

4.2 CHANGE IN CRÉDIT AGRICOLE GROUP'S LIQUIDITY RESERVES

Liquidity reserves after haircuts increased by €11 billion in 2015 to €257 billion. They cover 257% of short term debt at end-2015, compared to 203% a year earlier. In addition, HQLA (high quality liquid asset) securities amounting to €138 billion, after haircuts, make up 216% of short term debt not replaced with Central Banks.



(1) Available liquid market securities after haircut

Available liquidity reserves at end-2015 comprised:

- €36 billion in loans and receivables eligible for Central bank refinancing operations after the ECB haircut;
- €24 billion of securitisation shares held by the bank and eligible for Central bank refinancing operations, after haircut;
- €36 billion in Central bank deposits (excluding cash and mandatory reserves);
- a €161 billion securities portfolio, after haircuts. At 31 December 2015, this portfolio consisted of market liquid HQLA securities eligible for Central bank refinancing totalling €138 billion and other market liquid assets amounting to €23 billion after liquidity discount.

Liquidity reserves in 2015 averaged €262 billion.

The allocation of limits arising from Crédit Agricole Group's liquidity risk management and control system to each Crédit Agricole S.A. subsidiary and Regional Bank ensures that local liquidity risks are matched by adequate coverage from reserves.

4.3 REGULATORY RATIOS

Since March 2014, Eurozone banks have been obliged to report to their supervisory authorities their Liquidity Coverage Ratio (LCR), as defined by the EBA (European Banking Authority). The aim of the LCR is to boost the short-term resilience of banks' liquidity risk profile by ensuring that they have sufficient unencumbered high quality liquid assets (HQLA) that can be converted into cash easily and immediately, on private markets, assuming a liquidity crisis lasting 30 calendar days. Since 1 October 2015, this ratio is limited for credit institutions to a minimum threshold which was 60% at end-2015 and which has been brought to 70% on 1 January 2016.

Crédit Agricole Group, like most European banking groups, already manages its LCR with a target of more than 100%. It exceeded 110% at 31 December 2015. Crédit Agricole S.A.'s LCR ratio also exceeded 110% at 31 December 2015.

Unlike the LCR, which is a ratio of flows, the NSFR (Net Stable Funding Ratio) is a ratio that compares the stock of assets with an effective or potential maturity of longer than one year to liabilities with similar effective or potential maturity. The definition of the NSFR assigns each balance sheet item a weighting based on its potential to mature in longer than one year. A number of these weightings are still under discussion and European regulations have not yet fully defined the ratio. A regulatory framework will be issued in 2018.

To the best of our understanding, Crédit Agricole Group would currently meet NSFR requirements under existing regulations.

5. Funding strategy and conditions in 2015

Funding conditions were good in first quarter 2015 due to massive buying programmes of public sector securities by the ECB for Quantitative easing purposes.

During the second quarter, political uncertainty due to the situation in Greece led to a widening in credit spreads in illiquid markets. Issuance volumes remained very low over the summer before taking off again in September, albeit with larger credit spreads than was the norm in early 2015.

The Group continues its prudent MLT funding policy.

At 31 December 2015, the main Crédit Agricole Group issuers had raised €33.6 billion of senior and Tier 2 debt in the market and the branch networks for 2015.

Crédit Agricole S.A. itself raised the equivalent of €7.8 billion in senior debt on the markets with an average maturity of 6.8 years:

- €4.8 billion of this unsecured senior debt (EMTN, USMTN, Samurai) with an average maturity of 6.2 years;
- in addition to this unsecured senior debt, debt issues guaranteed by receivables collateralised by Crédit Agricole Home Loan SFH represented €3 billion with an average maturity of 7.8 years.

In 2015, to anticipate future resolution requirements, Crédit Agricole S.A. issued €3.8 billion in Tier 2, with a March 2015 a dual-tranche EUR and USD issue for €2 billion and €1.5 billion, a triple Samurai tranche of JPY 39.9 billion in June 2015, and a September 2015 issue of CHF 120 million. These bonds, in compliance with the new European CRD 4/CRR regulation, are included in the calculation of Tier 2 regulatory capital for Crédit Agricole Group and Crédit Agricole S.A. and qualify for inclusion in the TLAC ratio.

In total, Crédit Agricole S.A. has raised the equivalent of €11.6 billion on the markets, in excess of its refinancing programme initially set at €10 billion (senior and subordinated).

In terms of currencies, these issues remain well-diversified: the euro represents 54.5% of the issues, the US dollar 25.6%, the yen 10.6%, the Swiss franc 8%, the AUD dollar 1.2% and the pound sterling 0.1%.

The Group also pursued its strategy of strengthening and developing access to diversified medium-to long-term resources, particularly through the use of its local networks and specialist subsidiaries, with €17.6 billion of senior debt raised in 2015, in addition to the resources raised by Crédit Agricole S.A.

In terms of senior debt:

- the issue of Crédit Agricole S.A. bonds in the Regional Banks network, as well as borrowing from supranational organisations (CDC, EIB, BDCE, etc.) represented €2 billion at 31 December 2015 and had an average maturity of 13.1 years;
- Crédit Agricole CIB issued €6.1 billion at 31 December 2015, mainly in structured private placements with its international targets;
- Crédit Agricole Consumer Finance had raised €5.5 billion at 31 December 2015, thereby strengthening its presence on the European ABS markets, in accordance with its self-funding objectives;
- EFL had raised €0.6 billion at 31 December 2015;
- the issues carried out by Cariparma in its network amounted to €2.4 billion at 31 December 2015;
- Cariparma also placed a €1 billion, 7.7 years inaugural covered bond issue in the market based on Italian home loans.

Finally, a first securitisation was completed in the form of the outright disposal of French home loans for €10 billion, entirely self-underwritten for reserves purposes.

Subordinated debt within the Group was actively managed.

- In January 2015, Crédit Agricole Assurances issued €1 billion in Tier 2 undated subordinated debt (grandfathered in Tier 1);
- Crédit Agricole S.A. replaced Tier 2 issues placed in the Regional Bank's network with €3.4 million in new securities issued during 2015. The CA Preferred Funding Trust I and III transactions were repaid with US$1.5 billion and €550 million respectively, as well as €329 million in innovative deeply subordinated debt.

V. Hedging policy

Within Crédit Agricole Group, derivative instruments are used for three main purposes:

- to meet demand from Group customers;
- to manage the Group's financial risks;
- to take positions for the Group's own account as part of specific trading activities.

Derivatives not held for hedging purposes (as defined by IAS 39) are recognised in the trading portfolio. Accordingly, these derivatives are monitored for market risk as well as counterparty risk, where applicable. Certain derivative instruments may be held for the economic hedging of financial risks, but without meeting the IAS 39 criteria (prohibition on equity hedging, etc.). For this reason, they are likewise recognised in the trading book.

In all cases, the intent of the hedge is documented at the outset and verified quarterly by appropriate tests (forward-looking and backward-looking).

Each Group entity manages its financial risks within limits set by the Group Risk Management Committee chaired by the Chief Executive Officer of Crédit Agricole S.A.

The tables in Note 3.4 to the consolidated financial statements give the market values and notional amounts of hedging derivative instruments.

1. Fair value hedges and cash flow hedges

Global interest rate risk management aims to reconcile two approaches:

- protection of the Group's net asset value, which requires matching balance sheet and off-balance sheet items that are sensitive to interest rate variations (*i.e.* fixed rate items, for the sake of simplicity) against instruments that are also fixed-rate, so as to neutralise the variations in fair value that occur when interest rates change. If the matching is done by means of derivative instruments (mainly fixed rate swaps, inflation swaps and market caps), the derivatives are classified as **fair value hedges** if the instruments (micro FVHs) or groups of instruments (macro FVHs) identified as the hedged items (fixed rate assets and inflation: loans and receivables due to customers; fixed rate liabilities and inflation: demand deposits and savings deposits) are eligible under IAS 39 (otherwise, as indicated previously, these derivatives are recognised in the trading book, even though economically they hedge against risk).

  To check hedging suitability, hedging instruments and hedged items are grouped by maturity using contract characteristics or, for certain balance sheet line items (particularly deposits), using assumptions based on the financial characteristics of the products and historical behaviour. The comparison between the two maturity schedules (hedges and hedged items) means that hedging can be documented in a forwardlooking manner for each maturity;

- protection of the interest margin, which requires neutralising variations in future cash flows associated with instruments or related balance sheet items that are affected by interest rate resets on the instruments, either because they are indexed to interest rate indices that fluctuate or because they will be refinanced at market rates at some point in the future. If this neutralisation is effected using derivative instruments (mainly interest rate swaps), the derivative instruments are classified as **cash flow hedge (CFH) instruments**. This neutralisation can also be carried out for balance sheet items or instruments that are identified individually (micro CFHs) or portfolios of line items or instruments (macro CFHs).

The table below shows the amount of cash flows covered by cash flow hedges, broken down by projected maturity date, for the main relevant subsidiaries:

(in millions of euros)	At 31/12/2015			
Remaining time to maturity	**< 1 year**	**1 year to 5 years**	**≥ 5 years**	**Total**
Hedged cash flows	258	1,400	89	1,747

2. Net investment hedges in foreign currencies

A third category of hedging is protection of the Group's net asset value against fluctuations in exchange rates and resulting changes in the value of assets or liabilities held in currencies other than the Group's reference currency, which is the euro. The instruments used to manage this risk are classified in the net investment (hedge category).

RISKS IN THE INSURANCE SECTOR

In view of the predominance of its savings and retirement activities, Crédit Agricole Assurances Group is more particularly exposed to financial market risk, mainly asset-liability, notably rate risk, equity market risk, forex risk and liquidity risk. Its financial investments also expose it to counterparty risk. The Group also faces a diverse range of insurance risks. Lastly, it is exposed to operational risk, particularly in process execution.

I. Governance and organisation of risk management in Crédit Agricole Assurances Group

The risk governance system in Crédit Agricole Assurances (CAA) Group is based on the following principles:

- it falls within the remit of the "Risk management and Control" functions in Crédit Agricole S.A. Group. These functions may be organised hierarchically, as in the Risks and Permanent Controls function, which is responsible for steering (supervision and prevention) and second-degree control, and in the Internal Audit function, in charge of periodic controls, or as a Group function (Compliance). In accordance with regulatory insurance requirements, the system also includes the Group's actuarial function;
- it is headed up by the Crédit Agricole Assurances holding company, which is responsible for the Group's risk management systems supervises based on reporting by subsidiaries, and ensures that subsidiary risk management systems are compliant with standards and Group principles. The holding company draws on the expertise available in the Crédit Agricole Assurances Group to ensure a consistent and overall Group approach covering all risks;
- It is based on the principle of subsidiarity. Each Crédit Agricole Assurances Group entity is responsible for defining and implementing its solo risk management policy, in accordance with Crédit Agricole S.A. principles and rules, the principles and rules for the management of Crédit Agricole Assurances Group, and local regulations for international subsidiaries.

Risk governance falls:

- within the remit of the governing bodies, in particular Executive Management and the Board of Directors, who hold ultimate responsibility for Crédit Agricole Assurances Group's compliance with all applicable statutory and regulatory provisions;
- and on the Crédit Agricole Assurances Executive Committee, which is the primary strategic body of the Group's Executive Management. It is supported by the individual entities' Management Committees and the Group strategy committees (in particular, the Finance Committee, Internal Control Committee, Risks and Permanent Controls Committee and the ALTM Committee);
- four key functions: Risk, Compliance, the Actuarial function and Internal audit. Each function is assigned a representative appointed by the Chief Executive Officer and confirmed by the Board of Directors (subject to approval by the appropriate national supervisory authority). Coordination is ensured by the Risk and Internal Control Committee of Crédit Agricole Assurances Group. The heads of the key functions have direct access to the Board of Directors, to whom they present the results of their work at least once a year;
- an internal control system, defined as the framework designed to manage and control all types of operations and risks and to ensure that all transactions are carried out in a manner that is proper (in compliance with regulations), secure and effective. Crédit Agricole Assurances asks its Board of Directors to validate its risk policies;
- the internal process for evaluating Crédit Agricole Assurances Group's solvency and risks (preparatory Organisational Readiness Self-Assessment (ORSA) exercises were conducted in 2014 and 2015). Prospective assessments, completed within the Medium Term Plan, make it possible to analyse the consequences of adverse situations on the Group's management indicators and to take the necessary action, if necessary.

1. Organisation of risk management

Crédit Agricole Assurances Group's risk management system is managed by the Risk Management and Permanent Controls Officer (RCPR) of Crédit Agricole Assurances Group, the representative of the Risk Management department for Crédit Agricole Assurances Group, who reports operationally to the Crédit Agricole Assurances Chief Executive Officer and hierarchically to the Risk Management Director of Crédit Agricole S.A. He relies on the RCPRs of the entities who report to him within the hierarchy. The Insurance Risk function is structured along the lines of a matrix integrating entity level organisations with Group approaches by type of risk.

The hierarchical reporting line guarantees independence, with a "second pair of eyes" role (to issue a recommendation) to back the operating functions, which manage risks day-to-day, make decisions and exercise first-level controls to ensure their processes are performed properly.

2. Risk management system

AT THE CRÉDIT AGRICOLE ASSURANCES GROUP LEVEL

In order to achieve its strategic orientations while managing and mitigating its risks appropriately, Crédit Agricole Assurances Group established a risk tolerance framework for 2016. This framework is based on the three concepts of solvency, results and value that constitute the core of the Risk Management strategy. It consists of key indicators for each risk category.

The Risk management strategy implemented by Crédit Agricole Assurances Group is based on the overall risk management framework and the limits and alert thresholds for the range of different risks it is exposed to through the implementation of its business strategy.

It is reviewed and validated at least annually, along with the risk tolerance framework, by the Crédit Agricole Assurances Board of Directors, following a review by the Crédit Agricole S.A. Group Risk Management Committee (a sub-committee of Crédit Agricole S.A.'s Executive Committee, chaired by its Chief Executive Officer) of the indicators and major limits. Crédit Agricole Assurances' Executive Management or even Crédit Agricole S.A. Group's Risk Management department, depending on the scope of their authority, are notified of any breaches of alert thresholds or limits and resulting corrective measures.

The quarterly Group risk report, supplemented by a monthly report for financial risks, is updated based on standardised risk management indicators, and is used to monitor Crédit Agricole Assurances Group's exposure profile and to identify potential deviations.

The Crédit Agricole Assurances holding company has established the bodies needed to manage risk at the Group level in a consistent manner: semi-monthly Risk Monitoring Committee, monthly Financial Risk Committee, reviews of portfolios by asset type; a monthly presentation of current risk issues to the Executive Committee.

Moreover, Crédit Agricole Assurances has set up a Group-wide Methodology Committee, steered by the Group Risk function. The role of the Methodology Committee is to approve the methodologies underpinning the models and indicators used to address major risks for Crédit Agricole Assurances Group or presenting cross-sector challenges for Crédit Agricole Assurances Group.

Finally, in its supervisory role, the Risk Management and Permanent Controls department of Crédit Agricole S.A. periodically organises a review of the risk management and control framework, attended by the Crédit Agricole Assurances Chief Executive Officer, Group RCPRs and the main entity RCPRs, to examine current risk issues and developments for the insurance business.

AT ENTITY LEVEL

In accordance with the Group framework, companies define their own processes and systems to measure, supervise and manage risks: risk mapping, process mapping, risk strategy setting out, according to their risk appetite, the Crédit Agricole Assurances Group global limits in accordance with a process coordinated by the holding, and supplemented, as needed, by limits to address their specific risks.

The entities also draw up formal policies and procedures providing a strict framework for risk management (including the rules for accepting risk when insurance policies are taken out, provisioning and hedging of technical risks by reinsurance, claims management, etc.).

For its international subsidiaries, Crédit Agricole Assurances has drawn up a set of standards to be adopted by each entity, which set out the scope and rules for decentralised decision-making and specify the rules to follow during the decision-making process.

Operational risk management is supervised in each entity by committees that meet periodically (investment, ALM, technical, reinsurance and others) in order to monitor developments in the risk position, based on reporting by business lines, present analyses to support the risk management process, and, if necessary, draw up proposals for action. Significant incidents lead to alerts being triggered if limits are breached and are notified either to the Crédit Agricole S.A. Group Risk Management department (Crédit Agricole Assurances Group limits), to Crédit Agricole Assurances Executive Management, or to the entity's management. Corrective measures are implemented in response.

The risk management system is examined during meetings of the Risk Management and Internal Control Committees of each subsidiary, in light of the permanent control reports, the analysis of their risk reports and the conclusions of periodic controls.

II. Market risk

In view of the predominance of savings activities in the French and international (Italy mainly) life insurance subsidiaries, Crédit Agricole Assurances Group is particularly affected by market risks owing to the very large volume of financial assets held to cover policyholder liabilities.

Crédit Agricole Assurances Group is exposed to several types of market risk:

- interest rate risk;
- equity risk;
- foreign exchange risk;
- counterparty risk, both from the point of view of default (bond portfolio issuers, OTC transaction counterparties) and movements in the issuer spread. This risk is fully described in a specific section.

In particular, these risks have an impact on the valuation of portfolio assets and their long term yield, and must be managed closely with matching liabilities and, particularly in Life Insurance, with guarantees granted to policyholders (minimum guaranteed rate, floor guarantee, etc.).

Liquidity risk is monitored specifically.

Hence, the financial policy of Crédit Agricole Assurances Group combines supervision of ALM, based on "risk/yield" analyses and stress scenarios, to identify the characteristics of the amounts to invest, the requirements and objectives over short/medium and long term horizons, and a market analysis, supported by economic scenarios, to identify opportunities and limitations in terms of the environment and the market. The aim of ALM supervision is to reconcile the objectives of conserving ALM balances, delivering shareholder value, and seeking yield for policyholders.

The Investment department in the Crédit Agricole Assurances holding company contributes to elaborating and monitoring implementation of the investment policies of Crédit Agricole Assurances Group and of the subsidiaries (taking into account individual ALM requirements and financial objectives), which are submitted to their respective Boards for approval. It is responsible for oversight of the investment management services provided by Amundi (management mandates granted by the companies).

Moreover, it makes investments directly (without a mandate) on behalf of Crédit Agricole Assurances Group companies (in real estate in particular), as part of the policy of diversification.

1. Interest rate risk

TYPE OF EXPOSURE AND RISK MANAGEMENT

Interest rate risk is the risk of a change in the value of the bond portfolio due to upward or downward movements in interest rates.

Crédit Agricole Assurances Group's bond portfolio, excluding unitlinked policies, amounted to €222 billion at 31 December 2015, up from €204 billion at the end of 2014.

Interest rate risk in life insurance companies is intrinsically linked to interactions between assets (financial management) and liabilities (policyholder behaviour). Management of this risk requires global approach combining financial strategy, the constitution of reserves and sales and income policies. Crédit Agricole Assurances' framework for managing interest rate risk sets out the limits on risks and the related governance (ALM Committee, presentation of stress scenarios to the Board of Directors, etc.).

A long term fall in interest rates adversely affects the yield on investments, with a potential impact on the Company's results, if the bond portfolio's current yield is not sufficient to meet guaranteed returns and to generate margins on the policy. Risks related to the minimum guaranteed returns in France are handled at regulatory level by means of prudential provisions.

Crédit Agricole Assurances has a range of levers to tackle the risk of falling rates:

- moderation of minimum guaranteed returns: Crédit Agricole Assurances Group ceased issuing policies that feature a minimum guaranteed return superior to zero (since 2000 for the main French life insurance company), so that the average minimum guaranteed return has consistently reduced;
- Hedging using bond assets and swaps/swaptions to manage reinvestment risk;
- Prudent diversification of investment assets.

The risk arising from an increase in interest rates is primarily associated with policyholder behaviour: a gap between the return rate that can be delivered by the insurer (related to bond yields) and the rate expected by policyholders in a high-rate environment, or the rate achieved by other savings vehicles, could result in a wave of early redemptions by policyholders. If the insurer were forced to dispose of assets, notably bonds, with unrealised losses (which would generate losses for the insurer), the yield on the portfolio would be reduced, with the risk of triggering new waves of policy redemptions.

Likewise, Crédit Agricole Assurances implements measures to manage the risk of a rise in rates:

- adjustment of duration according to projected outflows of liabilities;
- retention of liquidities or liquid investments with a low risk of loss;
- dynamic management of the investment portfolio and setting aside reserves to provide the capacity to increase the return (capitalisation reserve, and profit-sharing reserves);
- caps against a rise in rates: this strategy is designed to offset the lower return delivered by the bond portfolio by additional financial returns generated by these hedging instruments (more than one quarter of the main life insurance company's bond portfolio is hedged);
- building customer loyalty to limit early redemptions.

ANALYSIS OF SENSITIVITY TO INTEREST RATE RISK

Technical liabilities

The Crédit Agricole Assurances Group's technical liabilities are largely insensitive to rate risks for the following reasons:

- savings provisions (over 90% of technical provisions, excluding unit-linked policies): these are based on the pricing rate which is unchanging over time for any particular policy. As a result, a change in interest rates will have no impact on the value of these commitments;
- property and casualty reserves: these technical reserves are not discounted to present value and changes in interest rate therefore have no impact on the value of these commitments;
- mathematical reserves for benefits (personal injury, disability): the discount rate used in calculating these reserves is based on the interest rate in force at the calculation date. Therefore, the size of these commitments varies with interest rates. However, given the small amount of these technical commitments, they represent no significant risk for Crédit Agricole Assurances Group.

Financial investments

The sensitivity to rate risk of Crédit Agricole Assurances Group's fixed income portfolio, assuming a 100 basis point rise or fall in interest rates, is as follows (net of the impact on deferred policyholder surplus and tax):

	31/12/2015		31/12/2014	
(in millions of euros)	Impact on net income	Impact on equity	Impact on net income	Impact on equity
100 bp rise in risk-free rates	(62)	(1,221)	(123)	(957)
100 bp decline in risk-free rates	98	1,206	102	958

The impacts presented above take the following elements into account:

- the profit-sharing rate for the entity holding the financial investments;
- the current tax rate in force.

Impacts on securities held as available-for-sale financial assets are recognised in equity. Impacts on securities held for trading are recognised in profit or loss.

Financing debts

Borrowings arranged by Crédit Agricole Assurances mainly pay fixed rates. Interest is therefore largely insensitive to rate changes.

2. Equity and other diversification assets risk

TYPE OF EXPOSURE AND RISK MANAGEMENT

Exposure to the equity markets and other so-called diversification assets (private equity and listed or unlisted infrastructures, real estate and alternative management) is intended to capture yield in these markets (notably with a low correlation between real estate and other asset classes), which gives rise to a risk of volatility in terms of valuation and, therefore, of accounting provisioning that may have an impact on the return provided to policyholders (provision for lasting impairment, provision for liquidity risk). To limit this effect, particularly for the life insurance portfolios, allocations are analysed to determine a ceiling for the share of these diversification assets and a maximum volatility level.

Equities and other diversification assets are held directly or *via* dedicated Crédit Agricole Assurances Group UCITS to provide regional diversification, in accordance with the relevant risk policies. Exposure to these assets is managed by a series of limits (by asset class and overall for the diversification) and concentration rules.

The main asset classes that make up the total portfolio are presented in Note 6.4 of the consolidated financial statements.

ANALYSIS OF SENSITIVITY TO EQUITY RISK

Crédit Agricole Assurances Group's sensitivity to equity risk, assuming a 10% rise or decline in equity markets, is as follows (impacts are shown net of deferred policyholder surplus and tax):

	31/12/2015		31/12/2014	
(in millions of euros)	Impact on net income	Impact on equity	Impact on net income	Impact on equity
10% rise in equity markets	33	124	77	148
10% decline in equity markets	(38)	(124)	(83)	(148)

The impacts presented above take the following elements into account:

- the profit-sharing rate for the entity holding the financial investments;
- the current tax rate in force.

The impacts presented above take the following elements into account These sensitivity measurements include the impact of changes in the benchmark equity index on assets measured at fair value, reserves for guaranteed minimum return and reserves for the right to withdraw from unit-linked policies as well as any additional impairment provisions required by a decline in equity markets.

Changes to the fair value of available-for-sale financial assets are recognised in reserves for unrealised gains or losses, all other items are recognised in profit or loss.

3. Foreign exchange risk

Crédit Agricole Assurances Group's sensitivity to foreign exchange risk, determined using the assumption of a 10% rise or decline of each currency in relation to the euro (impacts are shown net of deferred policyholder surplus and tax):

(in millions of euros)	31/12/2015		31/12/2014	
	Impact on net income	Impact on equity	Impact on net income	Impact on equity
Exchange rate sensitivity on financial instruments: +10% for each currency in relation to the euro	(14)	15	(15)	18
Exchange rate sensitivity on financial instruments: -10% for each currency in relation to the euro	11	(12)	12	(15)

Crédit Agricole Assurances's exposure to foreign exchange risk falls into two categories:

- limited structural exposure: in yen for the CA Life Japan subsidiary, with a hedge ratio of 96% (net exposure is very limited at JPY 265 million at end-2015, the equivalent of €2 million) and PLN for the CA Insurance Poland subsidiary, with a hedge ratio of 97.5% (net exposure of PLN 0.7 million, the equivalent of €0.2 million);
- operational foreign exchange exposure arises from a mismatch between the asset's currency and that of its liabilities: Crédit Agricole Assurances Group's global portfolio, representing commitments in euro, is primarily invested in euro-denominated financial instruments. However, to achieve the aim of optimising risk/return, the Group seeks to profit from projected gaps in growth between major regions, using dedicated funds. The general strategy is not to hedge exposure to the currencies of emerging economies, regardless of the asset class, and, in contrast, to hedge exposure to the currencies of mature countries through forward sales, with the option of limited tactical exposure to a currency. Crédit Agricole Assurances Group's overall foreign exchange exposure is bound by a maximum market value limit relative to the total portfolio, and a sub-limit for emerging currencies. At the end of 2015, actual exposure was not material (less than 0.3% of the total portfolio), and was mainly on emerging currencies.

4. Liquidity risk

TYPE OF EXPOSURE AND RISK MANAGEMENT

To be in a position to cover liabilities when due, the companies use a combination of approaches.

On the one hand, liquidity is an investment selection criterion (majority of securities listed on regulated markets, limits on assets in markets that lack depth, such as private equity, unrated bonds, and alternative management, etc.).

On the other hand, systems for managing liquidity are consistent across Crédit Agricole Assurances Group, and are defined by the companies as part of their ALM policy:

- for Life insurance companies, in order to ensure a match between the maturities of assets and those of liabilities under normal and stressed conditions (wave of redemptions/deaths), the objective is to ensure liquidity in the long term (monitoring and limiting of annual cash run-off gaps), medium term (so-called "reactivity" ratio), and, in case of uncertainty regarding net inflows, short term (one-week and one-month liquidity, with daily monitoring of redemptions). In exceptional circumstances where markets are unavailable, the Group plans temporary liquidity management approaches (repos with collateral in cash or ECB eligible assets);
- for Non-life insurance companies, liquidities or assets that have low reactivity are retained, and the share is calculated to respond to a shock to liabilities.

The "reactivity" ratio measures the ability to mobilise current assets of less than two years or variable-rate assets by limiting the impacts in terms of capital loss; it is measured and compared against a threshold set by each life insurance company.

In the current environment marked by sustained inflows, there is no need to activate the short-term supervision system.

PROFILE OF FINANCIAL INVESTMENT PORTFOLIO MATURITIES

Note 6.7 to the consolidated financial statements contains the bond portfolio maturity schedule (excluding unit-linked contracts).

BREAKDOWN FINANCIAL LIABILITIES BY CONTRACTUAL MATURITY

Note 6.24 to the consolidated financial statements provides information on the estimated schedule for Crédit Agricole Assurances insurance liabilities (excluding unit-linked contracts for which risk is borne by the insured parties).

FUNDING

As a holding company, Crédit Agricole Assurances is responsible for subsidiary refinancing enabling them to meet their solvency requirements and operational cash needs. It is refinanced through its shareholder CA S.A., and, since 2014, through issuing subordinated debt directly in the market.

The structure of these financing debts and their breakdown by maturity is shown in Note 6.20 of the consolidated financial statements.

III. Counterparty risk

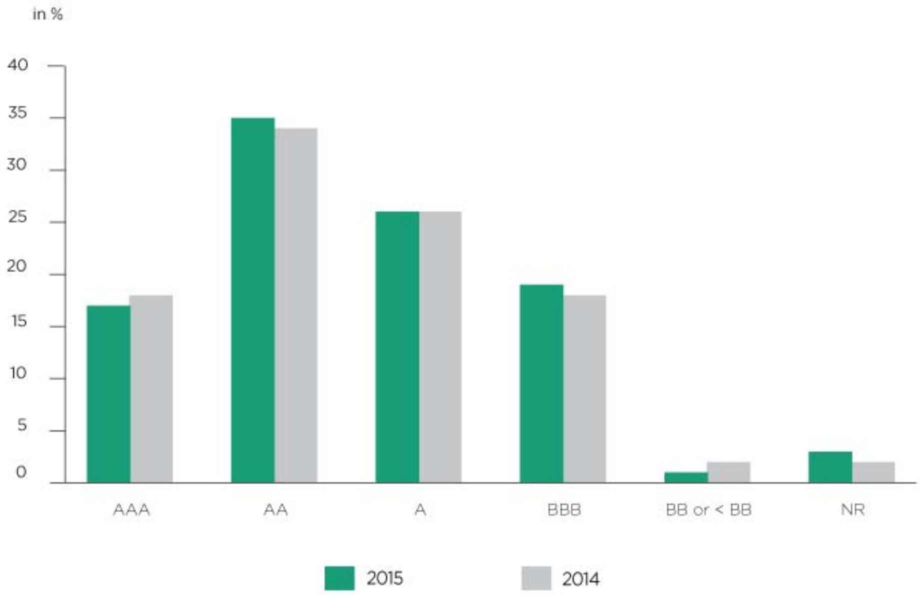
This section deals only with counterparty risk on financial instruments. Exposure to counterparty risk on reinsurers' receivables is covered in the section on "insurance risk".

Amundi's risk management teams perform the analysis of counterparty risk for issuers and for OTC market transactions (derivatives) under the mandates granted to them by the insurance companies.

Counterparty risk is contained overall for Crédit Agricole Assurances Group and at portfolio level for each entity in CAA Group, on the basis of limits in terms of ratings, issuer and sector concentration.

Hence, aggregate limits are defined to manage the breakdown of issues between rating classes. The rating used is the Solvency II rating corresponding to the second best of the three S&P, Moody's and Fitch ratings. The share of "high-yield" issues held directly (including after a rating downgrade that does not affect repayment capacity), or indirectly *via* specialist funds, is subject to strict limits. BB is the minimum rating authorised. In the context of the shift in focus since mid-May 2012 from fixed income to corporate bonds, subject to a maximum exposure limit for the sector, the investment universe was expanded to issuers not rated by an external rating agency, but with an internal CA SA investment grade equivalent rating (BBB-) as a minimum requirement, according to a rigorous selection process and in a limited proportion (less than 4% of the portfolio at the end of 2015).

The bond portfolio (excluding unit-linked policies) by credit rating breaks down as follows:



Concentration in a single issuer (equities and interest rate instruments) may not exceed a given percentage of the total portfolio, which is determined according to issuer type and quality. Furthermore, limiting the relative weighting of the top 10 issuers ensures diversification within rating levels A and BBB. Exposure is reviewed quarterly with the Amundi Risk teams and the Risk Management Department of Crédit Agricole S.A. Group.

Concentration in sovereign debt and similar is subject to individual limits according to debt-to-GDP ratio and the country's credit rating. For a number of years, Crédit Agricole Assurances Group has implemented a policy of reducing exposure to the sovereign debt and similar of weakened Eurozone countries (Greece, Italy, Ireland, Portugal and Spain). Accordingly, Crédit Agricole Assurances no longer holds any positions in Greece or Portugal. The Group's exposure to Italian government debt is essentially domestic and is concentrated in its Italian life insurance subsidiary. Residual exposures at end-2015 amounted to €7.8 billion and are detailed in Note 6.6 to the consolidated financial statements. Exposure to non-sovereign debt of these weakened companies was managed conservatively and selectively relative to authorised issuers (some Italian and Spanish industry groups).

Cash collateral contracts are used to manage counterparty risk for over-the-counter derivatives used by companies to hedge exposure to rate risk and presented on their balance sheets.

IV. Insurance risk

Crédit Agricole Assurances Group is exposed to insurance risk through the insurance business. Such risk primarily relates to the underwriting, valuation of provisions and reinsurance processes.

Each entity implements an approach in collaboration with all the operating departments concerned, as well as Risks, Compliance and Legal Affairs, to manage risks when new insurance products are created or substantial changes are made to the features or an existing product. Products are approved by an *ad hoc* Committee (New Business and New Product Committee).

1. Insurance underwriting risk

Underwriting risk takes different forms depending on the nature of the insurance, life or non-life:

LIFE INSURANCE UNDERWRITING RISK

Through its Savings and Death & Disability activities and life insurance guarantees in respect of its creditor insurance, Crédit Agricole Assurances is exposed to biometric risks (longevity, mortality, disability, long-term care and disability risks), loading risk (insufficient loading to cover operating expenses and commission paid to distributors), but most of all to behavioural risk for redemptions (for example due to a deterioration in trust in Crédit Agricole Group).

Life insurance technical reserves, recognised in the main by French companies, are chiefly constituted from savings denominated in euro or unit-linked contracts. For the majority of unit-linked contracts, the risk of fluctuation in the value of the underlying is borne directly by the policyholder. Some contracts may include a floor guarantee in the event of the death of the insured. The insurer is thus exposed to a financial risk determined by the value of the unit-linked account and the probability of death of the insured. A specific technical provision is recognised for this floor guarantee.

In savings, redemption rates are monitored for each life insurance company and at Crédit Agricole Assurances Group level, and compared with the structural redemption rates established on the basis of historic and market data.

For the death and disability activity, the creditor and yields, the underwriting policy, which specifies the risks covered and the underwriting conditions (target customers, exclusions), and pricing standards (notably the statistical tables established either from national or international statistics or from experience tables) help to control risk in this area.

Catastrophe risk, related to a mortality shock (*e.g.* a pandemic) is likely to impact the results for individual or group death & disability insurance the French life insurance subsidiary benefits from BCAC cover (*Bureau Commun des Assurances Collectives*), both on group death benefits and individual death and disability benefits, as well as, in part, supplementary cover of disability risk.

NON-LIFE INSURANCE UNDERWRITING RISK

For property & casualty insurance and non-life benefits included in creditor insurance policies, Crédit Agricole Assurances is more specifically exposed to frequency risk and exceptional risk, whether originating from a catastrophe risk (particularly climatic) or the occurrence of individual incidents for significant amounts.

For distribution partners, underwriting policy defines the framework for accepting risk (to ensure appropriate selection of risks and the spread within the policy portfolio to optimise technical margins). Formal rules and procedures for pricing are also drawn up.

The ratio of claims paid to premiums earned is compared to targets. This claims ratio is the key indicator for monitoring risk and is used to identify priorities for improving the technical result, where necessary.

Concentration risk in non-life insurance relates to an aggregation of liabilities in respect of a single claim, arising from:

- underwriting concentration in which policies are written by one or more Group entities on the same risk;
- claim concentration, where policies are written by one or more Crédit Agricole Assurances Group entities on risks that are different, but liable to be triggered by a single covered event or the same primary cause.

This type of risk is hedged, first, by a policy of diversifying the risks written in a single region and, second, by reinsurance to limit the financial impact of major events (storms, natural disasters, etc.), under a reinsurance policy (see reinsurance risk below) that incorporates this dimension.

2. Provisioning risk

Provisioning risk is the risk of a gap between the provisions set aside and those required to meet liabilities. It may be related to risk valuation (volatility introduced by discount rates, regulatory developments, or new risks for which statistical depth is inadequate, etc.) or a change in risk factors (population ageing, for example, leading to increased long-term care risks or health issues, stricter laws governing professional civil liability, personal injury compensation, and others).

The objective of the provisioning policy established in each of the companies is to guarantee a prudent assessment of loadings for past and projected claims to ensure a high probability that the accounting provisions set aside will be sufficient to cover the ultimate load.

The methods used to constitute provisions (on a case-by-case basis) for property and casualty insurance, according to the products and benefits affected, are documented and the management rules applied by claims managers are set out in the manuals.

The choice of statistical methodology to calculate accounting provisions (including provisions for late payment) is justified at each reporting date.

The local permanent control plan encompasses control of provisioning policy.

The Statutory Auditors perform an actuarial review of provisions as part of the annual audit.

The breakdown of technical reserves in relation to the life and non-life insurance contracts is presented in Note 6.24 of the consolidated financial statements.

3. Reinsurance risk

Reinsurance risks are of three types:

- inappropriate reinsurance (insufficient cover or, on the other hand, payment of too high a premium, which erodes technical margins and competitiveness);
- risk of a reinsurer defaulting and not being able to pay all their share of the claims;
- no or virtually no reinsurance on a given activity or guarantee given (reinsurance offer, amounts that can be covered and the cost of cover, depending on market conditions that are liable to vary significantly).

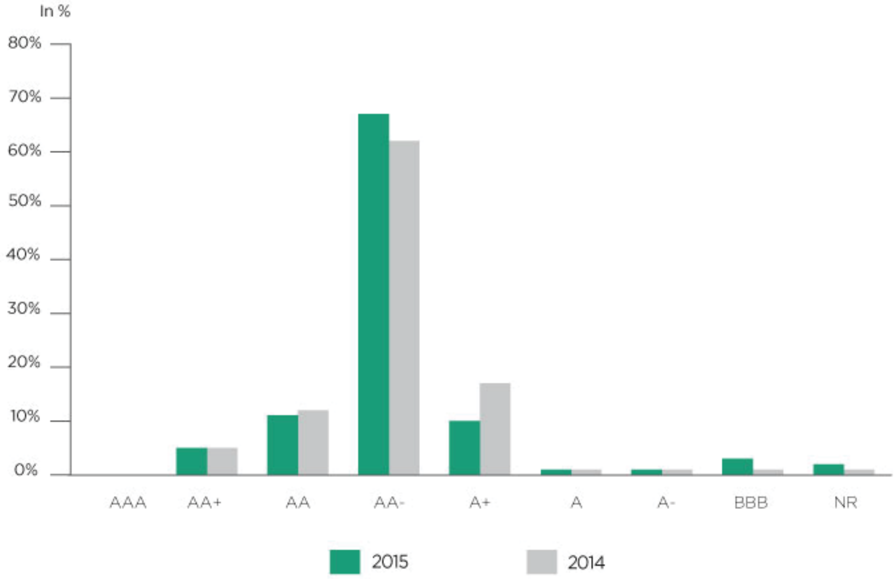
Each company draws up its own reinsurance plan aimed at protecting equity in case of systemic or exceptional events and at limiting volatility in the company's results, based on the principles of Crédit Agricole Assurances Group's strategy for common and uniform risks limitation, namely:

- select reinsurers that meet minimum financial soundness criteria, with reinsurers' ratings monitored at Crédit Agricole Assurances Group level;
- ensure adequate dispersion of premiums across reinsurers;
- monitor the adequacy of reinsurance cover relative to the commitments to policyholders and of results on each reinsurance agreement.

The reinsurance plans are reviewed annually by the Board of Directors in each subsidiary.

Net outstandings ceded to reinsurers (ceded reserves and current accounts with reinsurers net of cash deposits received) totalled €0.5 billion at 31 December 2015, remaining stable year-on-year.

Their breakdown by reinsurer rating is as follows:



4. Emerging risks

The Risk Management department is responsible for ongoing monitoring of insurance risk, in cooperation with other Business Line departments and Legal Affairs.

The Risk Monitoring Committee, which meets twice monthly and is attended by all Risk Management and Permanent Controls Officers, is also tasked with anticipating developments in the regulatory and legal environment and identifying emerging risks.

Intelligence data is input from many sources (economic research, internal and external analysis, in particular by consulting firms and research published by the French Regulatory and Resolution Supervisory Authority (ACPR) and the European regulator, EIOPA, etc.).

V. Operational risks

Operational risk is the risk of loss resulting from shortcomings or failure in internal procedures, human error, information systems or external events. It includes non-compliance risk, legal risk and the risks generated by key outsourced services (PSEE).

Crédit Agricole Assurances entities apply Crédit Agricole S.A. Group directives on operational and compliance risk management.

The operational risk management system in each entity, including the holding, is thus comprised of the following components:

- mapping of risk events, periodically updated to include organisational changes, new activities and changes in the cost of risk. Mapping is constructed by breaking down activities by process, together with the seven risk categories according to Basel 2 nomenclature. Financial and non-financial impacts (regulatory and image) of actual and potential risk events identified are assessed together with the probability of occurrence, drawing on specific expertise. Internal control is assessed on the basis of the results of controls at the different levels defined in the local control plans and standardised controls defined by the Crédit Agricole S.A. Group Risk Management department and the findings of periodic controls to highlight the most critical net risks and prioritise actions plans to reduce them;
- a process of collecting data on risk-related incidents and operating losses, backed by an early-warning system, is used to monitor identified risks and exploit them to introduce remediation measures and ensure consistency with mapping.

Crédit Agricole Assurances and its subsidiaries have prepared their business continuity plans (BCP) focusing on essential activities in order to cover a failure of information systems, operational sites and staff. The business continuity plans meet Crédit Agricole S.A. Group standards, with the adoption of the Group's solution for the user fallback site, the IT back-up plan based on the Crédit Agricole S.A. Group shared IT operating and production site. It is tested on a regular basis. IT system security is an inherent component of the Group's security policies. A three-year programme of security projects (including accreditation, intrusion tests, and IT system failure scenarios) is being implemented.

A Crédit Agricole Assurances Group-wide general outsourcing and subcontracting policy, describing amongst others the monitoring and control system associated with outsourcing, has been rolled out by Group entities.

VI. Non-compliance risk

Non-compliance risk refers to a potential lack of adherence to rules governing financial and banking activities. These rules may be laws, regulations (on securities regarding crossing thresholds and regulatory declarations to the *Commission nationale de l'informatique et des libertés* – CNIL, etc.), professional or ethical standards, professional codes of conduct for the protection of customers, or efforts to combat money-laundering, corruption or the financing of terrorism. They are an integral part of operational risk mapping within entities.

In each entity, the Compliance Officer is responsible for drawing up procedures transposing the regulatory rules issued by Crédit Agricole S.A.'s Compliance department. The Compliance Officer is also responsible for training and for the dedicated control system aimed at controlling these risks, preventing the risk of fraud, limiting their impact (financial losses, legal, administrative or disciplinary sanctions), and protecting the Crédit Agricole Assurances Group's reputation. On the launch of new business activities and the creation of new products, security is enhanced by referral to the New Activities and New Products Committees, established in each entity. These committees review the contractual and marketing documents for products, as well as the training materials and sales aids intended for distributors.

Management at the Group level is done through coordination bodies and also covers the conduct of regulatory projects launched by Crédit Agricole S.A. Group.

In all areas of compliance, from the prevention of money laundering and financing of terrorism to protecting customers, the Group has strengthened coordination with distributors (Regional Banks, LCL, other international networks) to define roles and responsibilities and ensure implementation of the controls to guarantee correct application of procedures by all parties.

VII. Legal risks

Responsibility for legal management, regulatory intelligence and consulting with Business Line departments lies with the companies' Legal Affairs departments.

Insofar as Crédit Agricole Assurances is aware, there are no administrative, court or arbitration proceedings that could have or have had, within the previous 12 months, a substantial effect on the financial position or profitability of the Company and/or Group.

To Crédit Agricole Assurances' knowledge, there is no significant litigation to note.

OPERATIONAL RISKS

Operational risk is the risk of loss resulting from shortcomings or failure in internal procedures, staff, information systems or external events.

It includes legal risk, non-compliance risk, internal and external fraud risk, the model risk and risks generated by the provision of key outsourced services (PSEE).

I. Organisation and supervision system

The operational risk system, adjusted to each Group entity, comprises the following components common to the entire Group:

Organisation and governance of the Operational Risk Management function:

- supervision of the system by Executive Management (*via* the Operational Risk Committee or the operational risk unit of the Group Risk Management Committee and the Internal Control Committee);
- tasks of the Risk Management Officers (Crédit Agricole S.A. and its subsidiaries) and the Operational Risk Managers at the local level in terms of management of the Operational Risk management system;
- responsibility of the entities in managing their own risks;
- set of standards and procedures;
- circulation of Crédit Agricole's Group risk tolerance policy implemented in 2015 and incorporating operational risk.

Identification and qualitative assessment of risks through risk mapping

Risk mapping is done annually by the entities and is used by each entity with a validation of the results and associated action plans by the Operational Risk Committee (operational risk unit of the Internal Control Committee).

This mapping is supplemented by the establishment of risk indicators to monitor the most sensitive processes:

- collection of operational loss data and an early-warning system to report significant incidents, which are consolidated in a database used to measure and monitor the cost of risk:
  - the reliability and quality of the data collected are submitted to systematic audits both at the local and central levels,
  - as part of the system to prevent and detect operational risk, a monthly newsletter (Operational Risks Monthly) has also been introduced, including the various early warnings received within the Group as well as relevant external alerts, to Group entities.
- the calculation and regulatory reporting of capital for operational risk at the consolidated and entity levels;
- quarterly production of an operational risk report at entity level, plus a Group summary, Crédit Agricole takes into account the main sources of risk affecting the business lines as well as the exposure profiles differentiated by entity/business line.

Tools

The RCP (Risk and Permanent Controls) platform contains the three essential elements of the system (collection of loss data, operational risk mapping and permanent controls) sharing the same framework and thus making it possible to establish the connection between the risk mapping systems and risk management system (permanent controls, action plans, etc.).

Regarding the IT system component used for the calculation and allocation of regulatory capital, the upgrade plan was continued along with a rationalisation of the databases, enhanced information granularity and the automation of the controls on data taken from COREP's regulatory statements to bring the system into line with best management principles defined by the Basel Committee.

These components are subjected to consolidated verifications at the central level.

In addition, the risks associated with key outsourced services are incorporated into each component of the Operational Risk system and are the subject of a specific report, as are the consolidated controls that are centrally communicated.

II. Methodology

The main entities of Crédit Agricole Group use the Advanced Measurement Approach (AMA): Crédit Agricole CIB, Amundi, LCL, Crédit Agricole Consumer Finance, Agos and the Regional Banks. The use of the AMA for these entities was approved by the French Regulatory and Resolution Supervisory Authority (ACPR) in 2007. These entities currently represent 87% of capital requirements for operational risks.

For the entities that use the standardised approach (TSA), the regulatory weighting coefficients used in calculating the capital requirement are those recommended by the Basel Committee (percentage of revenues according to business line).

AMA regulatory capital requirements calculation

The AMA method for calculating capital requirements for operational risk has the following objectives:

- increase control over the cost of operational risk, and prevent exceptional risks across the Group's various entities;
- determine the level of capital needed for the measured risks;
- promote improvements in risk management through the monitoring of action plans.

The systems implemented within the Group aim for compliance with all qualitative criteria (making risk measurement an integral part of day-to-day management, independence of the Risk function, periodic disclosure of operational risk exposures, etc.) and Basel 3 quantitative criteria (99.9% confidence interval over a one-year period; incorporation of internal data, external data, scenario analyses and factors reflecting the operating environment; incorporation of risk factors that influence the statistical distribution, etc.).

The AMA model for calculating capital requirements is based on a unique actuarial model called the **Loss Distribution Approach**.

Internal factors (change in the entity's risk profile) are considered according to:

- changes within the entity (organisational, new business activities, etc.);
- changes in risk mapping;
- an analysis of the history of internal losses and the quality of the risk management system, in particular *via* the Permanent Controls function.

For external factors, the Group uses:

- the ORX Insight external consortium database is used to monitor incidents recorded in other establishments;
- the SAS OpRisk and ORX News external public databases for:
  - raising awareness among the entities of the main risks that have impacted other establishments by disseminating a selection of 8 to 10 losses incurred each month *via* the Operational Risks Monthly,
  - assisting experts in the valuation of the main Group vulnerabilities (key scenarios).

The model was designed and developed according to the following principles:

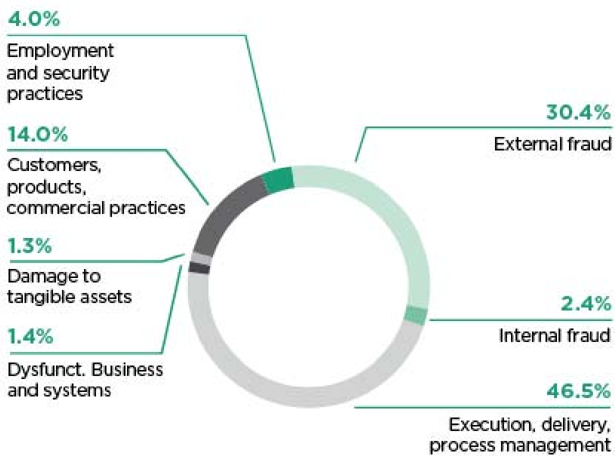
- it must form an integral part of the risk policy;
- it must be pragmatic, *i.e.* the methodology must be applicable to real operating conditions;
- it must have educational value, in order to be endorsed by senior management and business lines;
- it must be robust, *i.e.* it must be able to provide estimates that are realistic and stable from one year to the next.

A biannual Committee for back-testing the Advanced Measurement Approach (AMA) model is in place and analyses the model's sensitivity to changes in the risk profile of the entities. Every year, this Committee identifies areas where improvements are possible, and draws up corresponding action plans.

The Operational Risk system and methodology were individually subjected to an external audit by the ECB during the second half of 2015. These audits demonstrated the Group's progress and identified certain areas in need of improvement.

III. Exposure

BREAKDOWN OF OPERATIONAL LOSSES BY BASEL RISK CATEGORY (2013 TO 2015)

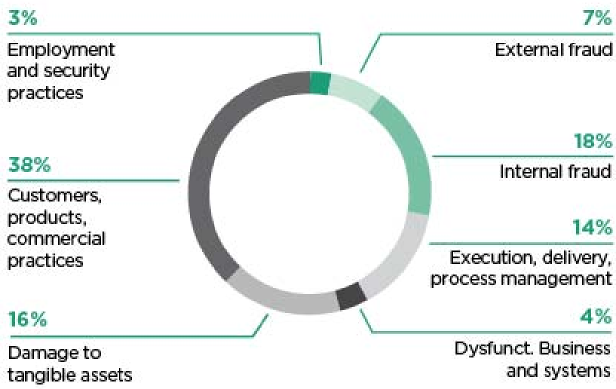


Generally, the exposure profile in terms of the operational risks identified over the last three years reflects the principal activities at Crédit Agricole Group:

- still overwhelming exposure to the Execution risk category, due to processing errors (absent or incomplete legal documentation, guarantee management, litigation with suppliers, etc.), but also due to tax sanctions;
- still significant exposure to external fraud, mainly in connection with credit boundary operational risk (document fraud, fraudulent invoices, etc.), and with means of payment fraud (bank cards, fraudulent transfers);
- exposure to legal and non-compliance risks (litigation for: failure to respect the interests of the customer, improper financial support, unsuitability of the product/service to the customer's needs, etc.).

Remedial and preventive action plans at local or Group level were introduced to reduce the exposure of Crédit Agricole Group to operational risk. Periodic monitoring of action plans involving incidents with an impact higher than €1 million has been implemented since 2014 within the Group Operational Risk Committee.

BREAKDOWN OF RISK WEIGHTED ASSETS BY BASEL RISK CATEGORY (2013 TO 2015)



IV. Insurance and coverage of operational risks

Crédit Agricole Group has obtained insurance coverage for its operational risks to protect its assets and profits. For high-intensity risks, Crédit Agricole S.A. has taken out Group policies for its subsidiaries and CAMCA has taken out policies for the Regional Banks from major insurance companies. These policies harmonise the transfer of personal and property risks and to set up specific professional civil liability and fraud insurance programmes for each business line. Furthermore, business-line subsidiaries are responsible for managing lower intensity risks themselves.

In France, insurance of operating assets (property and IT equipment) also includes third-party liability coverage for all buildings exposed to this risk. Other third-party civil liability risks are supplemented by civil operating liability policies.

Insurance policies for operating loss, fraud and securities risks, Group professional civil liability, and civil liability for Executive Officers were renewed in 2015.

"Basel 3 eligible" policies contribute to reducing the amount of capital that must be held against operational risks (within the 20% authorised limit).

High-frequency and low-intensity risks on certain programmes that cannot be insured on satisfactory financial terms are retained in the form of deductibles or are pooled within the Crédit Agricole Group.

NON-COMPLIANCE RISKS

Non-compliance risk refers to a potential lack of adherence to rules governing financial and banking activities. These rules may be laws, regulations, professional or ethical standards, instructions, professional codes of conduct, or efforts to combat moneylaundering, corruption or the financing of terrorism.

A dedicated monitoring system ensures that these risks are controlled and that their impact in terms of financial losses, or legal, administrative or disciplinary sanctions, is minimised. The common objective is to preserve the Group's reputation.

The organisation and main actions relating to compliance are detailed in the key economic performance indicators section of the part of the registration document dealing with employee, social and environmental information related to Crédit Agricole Group.

The prevention, monitoring and control of compliance and reputational risks are detailed in the report of the Chairman of the Board of Directors to the General Meeting of Shareholders on the preparation and organisation of the Board's work and on the internal control procedures implemented within the Company, as required by the French Financial Security Act of 1 August 2003.

BASEL 3 PILLAR 3 DISCLOSURES

Regulation EU 575/2013 (EU) of 26 June 2013 requires relevant financial institutions (notably credit institutions and investment firms) to disclose quantitative and qualitative information on their risk management activities. Crédit Agricole Group's risk management system and exposure levels are presented in this section and in the section entitled "Risk Factors". Crédit Agricole Group has chosen to disclose its Pillar 3 Prudential information in a separate section from its Risk Factors in order to present separately the requirements coming from prudential rules. This section provides information on capital requirements, constituents of capital and exposures to credit risk, market risk and operational risk.

Commission Implementing Regulation (EU) no. 1423/2013 of 20 December 2013 lays down implementing technical standards with regard to disclosure of capital requirements for institutions according to Regulation (EU) no. 575/2013 of the European Parliament and of the Council.

Crédit Agricole Corporate and Investment Bank also discloses detailed information on Pillar 3 requirements on a sub-consolidated basis in the update of its registration document.

In the following section related to Pillar 3 at 31 December 2015, data at end 2014 have not been restated for IFRIC 21. They are therefore presented as they were in the 2014 registration document. IFRIC 21 implementation has given rise to a proforma of equity, the difference amounting to +59 million euros at 31 December 2014, of which +58 million euros for equity Group share (see Note 11 of the consolidated interim account).

The EDTF cross-reference table is presented in the consolidated report on Risk factors and Pillar 3 available at the website: http://www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information

REGULATORY BACKGROUND AND SCOPE

I. Scope of application of the capital requirements for the purposes of regulatory supervision

Credit institutions and certain investment activities permitted to provide services and investment activities referred to in Annex 1 of directive 2004/39/EC are subject to solvency and large exposure ratios on an individual and, where applicable, sub-consolidated basis, although they may be exempted under the provisions of Article 7 of Regulation (EU) no. 575/2013 of the European Parliament and of the Council of 26 June 2013 (CRR).

The French Prudential and Resolution Supervisory Authority (*Autorité de contrôle prudentiel et de résolution* – ACPR) has agreed that some of the Group's subsidiaries may benefit from exemption on an individual or, where applicable, sub-consolidated basis. As such, Crédit Agricole S.A. has been exempted by the ACPR on an individual basis.

The transition to CRR/CRD 4 does not call into question the individual exemptions granted by the ACPR prior to 1 January 2014, based on pre-existing regulatory provisions.

II. Regulatory scope

Difference between the accounting and regulatory scopes of consolidation:

Entities consolidated for accounting purposes, but excluded from the regulatory scope of consolidation of credit institutions on a consolidated basis predominantly comprise insurance companies and several ad hoc entities that are equity-accounted for regulatory purposes. In addition, entities consolidated on an accounting basis using proportional consolidation at 31 December 2013 and now equity-accounted in accordance with IFRS 11, are still consolidated proportionally for regulatory purposes. Information on these entities and their consolidation method for accounting purposes is provided in the consolidated financial statements, "Scope of consolidation at 31 December 2015".

TABLE 1 – DIFFERENCES IN THE TREATMENT OF EQUITY INVESTMENTS BETWEEN THE ACCOUNTING AND PRUDENTIAL SCOPES

Type of equity investment	Accounting treatment	Full Basel 3 prudential treatment
Subsidiaries with financial operations	Fully consolidated	Full consolidation generating capital requirements for the subsidiary's operations.
Jointly held subsidiaries with financial operations	Equity accounted	Proportionate consolidation.
Subsidiaries with insurance operations	Fully consolidated	Regulatory treatment of these equity investments: equity accounting, since the Group is identified as being a "financial conglomerate": ● CET1 instruments weighted at 370%, with *EI equity* at 2.4%; ● AT1 and T2 instruments deducted from the respective equity capital. In turn, as in the past, Crédit Agricole S.A. Group and Crédit Agricole Group are subject to additional capital requirements and capital adequacy ratios applying to financial conglomerates.
Equity investments of over 10% with operations that are financial in nature	● Equity accounted ● Equity investments in credit institutions	● Deduction of CET1 instruments from CET1, beyond an exemption threshold of 17.65% of CET1. This exemption threshold, applied after calculation of a 10% threshold, is common to the non-deducted portion of deferred tax assets that rely on future profitability arising from temporary differences. ● AT1 and T2 instruments deducted from the respective equity capital.
Equity investments of ≤ 10% with financial or insurance operations	Equity investments and available for-sale securities	Deduction of CET1, AT1 and T2 instruments, beyond an exemption threshold of 10% of CET1.
ABCP business securitisation vehicles	Fully consolidated	Risk weighting of the equity-accounted value and commitments on these structures (liquidity facilities and letters of credit).

TABLE 2 – RECONCILIATION BETWEEN THE STATED AND REGULATORY CONSOLIDATED BALANCE SHEETS AT 31 DECEMBER 2015

(in millions of euros)	Accounting scope	Regulatory adjustments[1]	Regulatory scope[2]
Cash, central banks	39,262	37	39,299
Financial assets at fair value through profit or loss	344,468	(82,288)	262,180
Hedging derivative instruments	27,167	(753)	26,414
Available-for-sale financial assets	322,872	(205,535)	117,337
Loans and receivables due from credit institutions	89,433	(2,992)	86,441
Loans and receivables due from customers	740,386	(200)	740,186
Revaluation adjustment on interest rate hedged portfolios	16,452	24	16,476
Held-to-maturity financial assets	30,629	(13,554)	17,075
Current and deferred tax assets	6,189	789	6,978
Accruals, prepayments and sundry assets	46,259	(1,671)	44,588
Non-current assets held for sale	441	(399)	42
Investments in equity-accounted entities	6,570	10,044	16,614
Fixed assets	14,542	(5,156)	9,386
Goodwill	14,189	(859)	13,330
ASSETS	**1,698,859**	**(302,513)**	**1,396,346**
Central banks	3,853	-	3,853
Liabilities at fair value through profit or loss	250,193	(3,688)	246,505
Hedging derivative instruments	29,787	118	29,905
Due to credit institutions	92,909	(9,431)	83,478
Due to customers	663,135	9,452	672,587
Debt securities	167,810	987	168,797
Revaluation adjustment on interest rate hedged portfolios	15,063	(743)	14,320
Current and deferred tax liabilities	2,505	220	2,725
Accruals, deferred income and sundry liabilities	45,881	(3,849)	42,032
Liabilities associated with non-current assets held for sale	385	(359)	26
Insurance company technical reserves	294,799	(294,798)	1
Provisions	6,112	30	6,142
Subordinated debt	29,006	1,113	30,119
Total liabilities	**1,601,438**	**(300,948)**	**1,300,490**
Total equity	**97,421**	**(1,565)**	**95,856**
Equity, Group share	92,890	160	93,050
Non-controlling interests	4,531	(1,725)	2,806
EQUITY AND LIABILITIES	**1,698,859**	**(302,513)**	**1,396,346**

(1) Equity-accounted insurance companies, subsidiaries excluded from the regulatory scope and reintegration of inter-company transactions connected with these subsidiaries.

(2) Finrep disclosures.

III. Regulatory framework (CRR/CRD 4)

Summary of the major changes introduced by Basel 3 (CRR/CRD 4) compared with Basel 2

Tightening up the regulatory framework, Basel 3 enhances the quality and level of regulatory capital required and adds new risk categories to the regulatory framework. The legislation concerning the regulatory requirements applicable to credit institutions and investment firms was published in the Official Journal of the European Union on 26 June 2013 (directive 2013/36/EU, transposed notably by Order no. 2014-158 of 20 February 2014 and Regulation (EU) no. 575/2013 of the European Parliament and of the Council) and entered into force on 1 January 2014, in accordance with the transitional provisions specified in the legislation.

A. SOLVENCY RATIO NUMERATOR

Basel 3 defines three levels of capital:

- Common Equity Tier 1 capital (CET 1);
- Tier 1 capital, which consists of Common Equity Tier One capital and Additional Tier 1 capital (AT1);
- total capital consisting of Tier 1 capital and Tier 2 capital.

Capital, calculated on a **fully loaded** Basel 3[1] basis, takes into account the following changes compared with 31 December 2013 on a Basel 2.5 basis:

1. elimination of most **prudential filters,** in particular as regards unrealised capital gains and losses on equity instruments and available-for-sale debt securities. As an exception, capital gains and losses on cash flow hedges and those arising from changes in the institution's credit rating (liabilities held at fair value) remain filtered. Unrealised capital gains and losses on sovereign debt securities are not filtered in the tables presented below, which are projected to 2022, when IAS 39 will no longer be in force. In addition, a filter is introduced in respect of the DVA (debit valuation adjustment reflecting changes in the credit rating of the institution related to derivatives held as liabilities on the balance sheet);
2. partial derecognition of **minority interests** and other equity instruments issued by eligible subsidiaries[2] excess of the amount of capital required to cover the subsidiary's capital requirements. This partial derecognition applies to each tier of capital. Furthermore, ineligible minority interests are excluded;
3. deduction from the CET1 of **deferred tax assets (DTAs)** that rely on future profitability **arising from tax loss carryforwards**;
4. deduction from the CET1 of negative amounts resulting from any **shortfall of provisions relative to expected losses** (EL), calculated with a distinction between performing and non-performing loans;
5. deduction from the CET1 of **deferred tax assets (**DTAs) that rely on future profitability **arising from temporary differences** above an exemption threshold of 17.65% of CET1. This exemption threshold, applied after application of an initial exemption threshold of 10% of CET1, is common to the non-deducted portion of CET1 instruments held in significant financial stakes (over 10%). Items not deducted are included in risk-weighted assets (250% weighting);
6. deduction from the CET1 of the CET1 instruments held in **significant financial stakes (over 10%**, significant investments) beyond an exemption threshold of 17.65% of CET1 capital, with treatment identical to that described in the previous point:
   - the deduction relates to direct investments of over 10% and indirect investments (in particular via UCITS). These are now treated as a deduction and not anymore as risk-weighted assets. Their amount is added to that of the aforementioned financial-sector direct investments should they be identified as financial-sector entities. Otherwise, the equity portion, or even the full amount of the UCITS portfolio is deducted from the CET1 without the exemption being applied,
   - with regard to insurance-sector equity investments, they are treated as risk weighted assets weighted at 370% if they are part of the conglomerate. If not, they are consolidated with other financial-sector investments and are therefore deducted from CET1 for the portion in excess of the double exemption threshold mechanism described above;
7. restriction of the Tier 1 and Tier 2 capital to **hybrid debt instruments** satisfying the inclusion criteria for Basel 3 eligibility;
8. **value adjustments** arising from the prudent valuation laid down in the regulatory framework: institutions must apply the prudent valuation principle and adjust the amount of their assets measured at fair value and deduct any value adjustment.

In addition, some of these items will be introduced progressively or phased-in as described below in point IV.

B. SOLVENCY RATIO DENOMINATOR

Basel 3 On 1 January 2014, the regulation (EU) 575/2013 of 26 June 2013 (CRR/CRD4) introduced changes to the calculation of credit and counterparty risk-weighted assets, and, in particular, factors in:

- the risk of market price movements in derivatives transactions linked to the credit rating quality of the counterparty (CVA - Credit Valuation Adjustment);
- central counterparty risks (clearing houses);
- external ratings, the reference of which is modified for the calculation of the weighting of financial counterparties under the standardised method;
- an increase in the correlation of default of large financial-sector entities for treatment under the internal ratings-based approach;
- strengthening of detection measures and monitoring of the correlation risk;
- preferential treatment of exposures on small and medium-sized firms (SMEs).

Furthermore, risk-weighted assets include the equity-accounted value of insurance investments for the validated conglomerate scope, pursuant to Article 49 of the CRR. For Crédit Agricole Group, the weighting stands at 370% since Crédit Agricole Assurances (CAA) is not listed.

(1) As they would be calculated in 2022 after the transition period.

(2) Credit institution and certain investment activities.

Pursuant to Regulation (EU) no. 575/2013 of 26 June 2013, two approaches are used to measure exposure to credit risk:

- the standardised approach, which is based on external credit ratings and fixed weightings for each Basel exposure class;
- the Internal Ratings Based approach (IRB), which is based on the bank's own internal rating system.

There are two subsets of the IRB approach:

- the "Foundation Internal Ratings-Based" approach, under which institutions may use exclusively their own default probability estimates;
- the "Advanced Internal Ratings-Based" approach, under which institutions may use all their internal estimates of risk components: probability of default, loss given default, exposure given default and maturity.

C. SOLVENCY RATIO UNDER CRR/CRD 4

Overall under Basel 3, three levels of solvency ratio are calculated:

- the Common Equity Tier (CET1) ratio;
- the Tier 1 (T1) ratio;
- the total capital ratio.

These ratios are to be phased-in so that the transition from the Basel 2 calculation rules to the Basel 3 rules can be handled progressively.

IV. Transitional implementation phase

To facilitate compliance by credit institutions with the CRR/CRD 4, less stringent transitional provisions have been provided for: notably the progressive introduction of new capital components:

1. transitional application of the treatment of prudential filters on **unrealised gains and losses** on available-for-sale financial assets: unrealised gains were excluded from CET1 in 2014, and are now integrated on a gradual basis (40% in 2015; 60% in 2016; 80% in 2017 and 100% the following years). Conversely, unrealised capital losses have been included from 2014. In addition, unrealised capital gains and losses on sovereign debt securities remain excluded from capital until such time as IFRS 9 is adopted by the EU;
2. progressive deduction of the partial derecognition or exclusion of **minority interests** by tranche rising by 20% per annum since 1 January 2014;
3. progressive deduction of **deferred tax assets (DTAs)** that rely on future profitability **arising from tax loss carryforwards** by tranche rising by 20% per annum since 1 January 2014. The residual amount (60% in 2015) continues to be handled using the CRD3 method (treatment as risk-weighted assets with a 0% weighting);
4. no transitional application of the deduction of negative amounts resulting from a **shortfall of provisions relative to expected losses** (as a reminder, under CRD3, 50% deduction from Tier 1 and 50% deduction from Tier 2 capital), with a calculation of the amounts that now distinguish between performing and non-performing loans;
5. progressive deduction of **deferred taxes assets (DTAs)** that rely on future profitability **arising from temporary differences**: the amount that exceeds the double exemption threshold that is partly common to significant financial stakes (over 10%) is deducted by tranche rising by 20% per annum with effect from 1 January 2014. The items covered by the exemption thresholds are weighted 250%. The residual amount by which the exemption threshold (80% in 2014, 60% in 2015, 40% in 2016, 20% in 2017 and 0% the following years) is exceeded continues to be handled using the CRD3 method (treatment as risk-weighted assets with a 0% weighting);
6. gradual deduction of CET1 instruments held in **significant financial stakes** (over 10%): the residual amount by which the double exemption threshold common to the deferred tax assets referred to in the previous point is exceeded is deducted according to the same approaches described above. The items covered by the exemption threshold are weighted 250% as above. That residual amount by which the exemption threshold is exceeded (80% in 2014, 60% in 2015, 40% in 2016, 20% in 2017 and 0% the following years) continues to be handled using the CRD 3 method (50% deduction from Tier 1 and 50% from Tier 2);
7. The **hybrid debt instruments** that were eligible to capital under Basel 2 and which are no longer eligible as capital owing to the entry into force of the new regulation can, under certain conditions, be eligible to the grandfathering clause. In accordance with this clause, these instruments are gradually excluded over a period of 8 years, with a reduction of 10% per annum. In 2014, 80% of the overall base reported at 31 December 2012 was recognised, then 70% in 2015, etc. The derecognised portion may be recognised in the lowest tier of capital (from AT1 to Tier 2, for example) if it satisfies the corresponding criteria.

Lastly, **intangible assets** (including goodwill) were deducted in full from CET1 from 2014, in accordance with the national transposition of the transitional provisions.

V. Minimum requirements

The requirements with regard to Pillar 1 are ruled by the Regulation (EU) no. 575/2013 of the European Parliament and of the Council of 26 June 2013 (CRR). The legislator also fixes on a discretionary basis, the minimum requirements, within the framework of Pillar 2.

Minimum requirements for Pillar 1

- Capital ratios before buffers: the minimum phased-in CET1 requirements moved to 4.5% from 2015. Likewise, the minimum phased-in Tier 1 requirement rose to 6% in 2015 and for the following years (5.5% in 2014). Lastly, the minimum phased-in total capital requirement stood at 8% as in 2014, and remains at that level for the following years;
- Capital buffers are added to these ratios, to be applied progressively:
  - the capital conservation buffer (2.5% of risk weighted assets in 2019),
  - the countercyclical buffer (in principle within a range 0 to 2.5%): the buffer for the Group being an average weighted by exposure at default (EAD[(1)]) of the buffers defined for each country in which the Group operates,
  - the buffers for systemic risk (0 to 3% in general, up to 5% after agreement from the European Commission, and more exceptionally above that figure) and for global systemically important financial institutions (G-SIB or EISm) (between 0% and 3.5%) or others (A-EIS) (between 0% and 2%). These buffers are not cumulative, and in general, subject to exceptions, it is the highest that applies. Only Crédit Agricole Group is a systematic institution and has a buffer of 1% phased-in to 0.25% in 2016. Crédit Agricole S.A. does not fall within these categories.

(1) The EAD is the exposure amount in the event of default. It encompasses balance sheet assets plus a proportion of off-balance sheet commitments.

These buffers come into force on an incremental basis from 2016 to 2019 (0% in 2015, 25% of the required buffer in 2016, 50% in 2017, etc.). When the countercyclical buffer rate is calculated by one of the national authorities, the application date is at least 12 months after the date of publication. The increments above apply at the end of the 12-month advance notice period. In 2016, only Norway and Sweden have defined a countercyclical buffer.

The systemic risk buffer is already in application and the buffers for systemically important institutions will be applied from 2016.

These buffers must be covered by phased-in CET1.

1 January…	2015	2016	2017	2018	2019
Common Equity Tier 1	4.5%	4.5%	4.5%	4.5%	4.5%
Tier 1 (CET1 + AT1)	6.0%	6.0%	6.0%	6.0%	6.0%
Tier 1 + Tier 2	8.0%	8.0%	8.0%	8.0%	8.0%
Capital conservation buffer		0.625%	1.250%	1.875%	2.50%
Countercyclical buffer (0 to 2.5%)		0%	0%	0%	0%
Systemic risk buffer (0 to 5%)		0%	0%	0%	0%
G-SIB buffer (0 to 3.5% for systemically important financial institutions)		0.25%	0.50%	0.75%	1.00%

TOTAL REQUIREMENT FOR THE CRÉDIT AGRICOLE GROUP WITH REGARD TO PILLAR 1 INCLUDING THE BUFFER KNOWN AT ENDDECEMBER 2015

1 January…	2015	2016
CET1 + buffers	4.5%	5.375%
T1 + buffers	6.0%	6.875%
T1 + T2 + buffers	8.0%	8.875%

On the basis of data at year-end 2014, the Crédit Agricole Group achieved an overall systemicity score of 186, placing it in sub-category 1, which corresponds to the lowest level of capital buffer at 1%.

To facilitate readability, the table detailing the 70 G-SIB indicators at end-2014 is presented in the consolidated report on Risk Factors and Pillar 3, available on the website at :

www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information

Minimum requirements with regard to Pillar 2 published on 21 December 2015

Crédit Agricole Group and Crédit Agricole S.A. have been recently notified by the European Central Bank (ECB) of the new minimum capital requirements following the results of the Supervisory Review and Evaluation Process (SREP).

Separately, the European Banking Authority (EBA) on Friday 18 December provided an opinion clarifying that both Pillar 1 and Pillar 2 capital requirements must be fulfilled before common equity tier 1 capital (CET1) is allocated to meet combined buffer requirements. As a result, distributions on shares and additional Tier 1 hybrid instruments and payment of variable compensation to identified staff by institutions that fail to meet the Pillar 2 minimal capital requirements (including any systemic surcharge) will be restricted or prohibited, as the case may be. The EBA also recommended that Pillar 2 capital requirements be made public.

Crédit Agricole Group will need to meet a minimum consolidated CET1 ratio (including the Pillar 1, Pillar 2 and conservation buffer requirements) of at least 9.50%, phased in, as of 1 January 2016. In addition, the G-SIB buffer required by the Financial Stability Board to be applied on top of these requirements will result in a 0.25% surcharge on a transitional basis from 1 January 2016 (bringing the minimum capital requirement at this date to 9.75%) and is expected to be increased to 1% on a fully loaded basis in 2019.

Crédit Agricole S.A. will need to meet a minimum consolidated CET1 ratio (including the Pillar 1, Pillar 2 and conservation buffer requirements) of 9.50%, phased in, as of 30 June 2016. No additional capital buffer applies to Crédit Agricole S.A.

Crédit Agricole S.A., as the central body of Crédit Agricole Group, fully benefits from the solidarity mechanism as well as internal flexibility on capital circulation within the very strongly capitalised Crédit Agricole Group.

Crédit Agricole S.A.'s aim is to operate with solid cushions above the minimum consolidated ECB requirements which will be applicable from 30 June 2016. Crédit Agricole S.A.'s consolidated CET1 capital ratio as at 31 December 2015 was 10.8% calculated by applying CRD IV transitional arrangements for 2015, which makes it already perfectly compliant with these requirements. By year end 2016, Crédit Agricole S.A.'s target is to have a consolidated CET1 ratio approximately 150 basis points above the minimum ECB requirement and to maintain such cushion going forward, which translates into an aim of operating at a CRD IV transitional CET1 ratio of approximately 11%.

INDICATORS AND REGULATORY RATIOS

I. Crédit Agricole Group solvency ratios

The following table shows the regulatory capital (simplified version). The full table is presented in the section "Composition and change in regulatory capital/Composition of capital" in the consolidated report on Risk factors and Pillar 3 available on the website: http://www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information.

	31/12/2015		31/12/2014	
(in millions of euros)	**Phased-in**	**Fully loaded**	**Phased-in**	**Fully loaded**
Capital and reserves Group share[1]	85,118	86,962	78,816	81,234
(+) Minority interests[1]	1,916	1,162	1,833	964
(-) Prudent valuation	(832)	(832)	(883)	(883)
(-) Deductions of goodwill and other intangibles	(16,137)	(16,137)	(15,862)	(15,862)
(-) Deferred tax assets that rely on future profitability not arising from temporary differences after deduction of the associated tax liabilities	(75)	(188)	(31)	(157)
(-) Shortfall in adjustments for credit risk relative to expected losses under the internal ratings-based approach deducted from the CET1	(1,099)	(1,099)	(354)	(354)
(-) Amount exceeding the exemption threshold for CET1 instruments of financial stakes in which the institution owns a significant holding and of the deductible deferred tax assets that rely on future profitability arising from temporary differences[2]	-	-	-	-
Transitional adjustments and other deductions applicable to CET1 capital	(45)	(199)	(12)	(230)
COMMON EQUITY TIER 1 (CET1)	**68,846**	**69,669**	**63,507**	**64,712**
Equity instruments eligible as AT1 capital	4,433	4,433	4,100	4,100
Ineligible AT1 equity instruments qualifying under grandfathering clause	5,615	-	7,451	0
Tier 1 or Tier 2 instruments of entities operating mainly in the insurance sector in which the institution has a significant investment deducted from Tier 1 capital	(981)	-	(1,698)	0
Transitional adjustments and other deductions	(153)	-	(210)	0
ADDITIONAL TIER 1 CAPITAL	**8,914**	**4,433**	**9,643**	**4,100**
TIER 1 CAPITAL	**77,760**	**74,102**	**73,150**	**68,812**
Equity instruments and subordinated borrowings eligible as Tier 2 capital	19,343	19,343	15,670	15,670
Ineligible equity instruments and subordinated borrowings	1,004	-	2,119	-
Surplus provisions relative to expected losses eligible under the internal ratingsbased approach and general credit risk adjustments under the standardised approach[3]	1,981	1,981	1,961	1,961
Tier 2 instruments of entities operating mainly in the insurance sector in which the institution has a significant investment deducted from Tier 2 capital	(2,289)	(2,973)	(2,548)	(3,951)
Transitional adjustments and other deductions	455	-	586	-
TIER 2 CAPITAL	**20,494**	**18,351**	**17,788**	**13,680**
TOTAL CAPITAL	**98,254**	**92,453**	**90,938**	**82,492**
TOTAL RISK-WEIGHTED ASSETS	**509,403**	**509,403**	**494,934**	**494,934**
CET1 ratio	**13.5%**	**13.7%**	**12.8%**	**13.1%**
Tier 1 Ratio	**15.3%**	**14.5%**	**14.8%**	**13.9%**
TOTAL CAPITAL RATIO	**19.3%**	**18.1%**	**18.4%**	**16.7%**

(1) *This line is detailed below in the table Reconciliation of accounting and regulatory capital.*

(2) *Financial-sector CET1 instruments in which the institution holds a significant stake account for €4,529 million, and the deferred taxes that rely on future profitability arising from temporary differences amount to €2,149 million on a fully loaded basis as at 31 December 2015.*

(3) *The transfer to Tier 2 of the surplus provisions relative to eligible expected losses determined in accordance with the internal ratings-based approach is limited to 0.6% of risk-weighted assets under IRB. In addition, general credit risk adjustments gross of tax effects may be included up to 1.25% of risk-weighted assets under the standardised approach.*

The fully loaded Common Equity Tier 1 (CET1) capital stood at €69.7 billion at 31 December 2015, up €5.0 billion compared with year-end 2014.

Major non-recurring events with an impact on fully loaded CET1 capital in 2015 include the increase in the provision shortfall relative to the expected loss for €0.7 billion and the increased deduction of goodwill for €0.3 billion, partially offset by a favourable currency effect of €0.5 billion and an increase in eligible minority interests for €0.2 billion.

Recurring changes are primarily related to the retained net profit for 4.8 billion euros, issues of mutual share net of redemptions, and the impact on capital of the payment of the scrip dividend on 2014 results for the share outside of the Group for a total amount of €0.5 billion.

Note that amongst the non-recurring events, are the Amundi IPO and the revaluation of Visa Europe shares within the framework of the acquisition by Visa Inc., counting for €0.5 billion.

The phased-in Common Equity Tier 1 (CET1) capital stood at €68.8 billion at 31 December 2015, or €0.8 billion less than the fully loaded CET1 amount. In summary, the negative impact of the €1.9 billion phasing on unrealised gains or losses is partially offset by the positive effect from the reintegration of 60% of the derecognised minority interests, or €0.8 billion. The balance of €0.3 billion corresponds to the treatment of treasury shares and differed tax assets related to tax loss carryforwards.

The detail of fully loaded and phased-in Common Equity Tier 1 (CET1) capital is as follows:

- capital and reserves, Group share used to calculate the fully loaded ratio rose by €5.7 billion compared with the 2014 year-end, to €87.0 billion, due in particular to retained net profit amounting to €4.8 billion, issues of mutual share net of redemptions, and the impact on capital of the payment of the scrip dividend on 2014 results for the share outside the Group for a total amount of €0.5 billion, and lastly favourable foreign currency impact for €0.5 billion. In the opposite direction, unrealised gains were slightly down. Phased-in capital and reserves totalled €85.1 billion, up €6.3 billion compared to end-2014, due to the same elements with the exception of unrealised gains and losses for which the impact of phasing is less than at end-2014;
- fully loaded minority interests amounted to €1.2 billion, up €0.2 billion; phased-in, they were €1.9 billion, due to the reintegration of 60% of the derecognised minority interests;
- the deduction for prudent valuation was €0.8 billion, €0.1 billion lower than at 31 December 2014;
- the deductions for goodwill and other intangibles amounted to €16.1 billion on both a fully-loaded and phased-in basis, an increase of €0.3 billion primarily due to Amundi's acquisition of Bawag P.S.K. Invest and the increase in Crédit Agricole Suisse goodwill stemming from currency impact;
- deferred tax assets that rely on future profitability arising from tax loss carryforwards amounted to €0.2 billion, a similar level to that seen at end-2014; phased-in, they amounted to 40% of this amount;
- the provision shortfall relative to the expected loss amounted to €1.1 billion at 31 December 2015, up €0.7 billion, mainly reflecting a technical adjustment to the expected loss on non-performing loans;
- CET1 instruments of significant financial stakes (over 10%) amounted to €4.5 billion, a rise of €0.2 billion.. They are subject to the calculation of an exemption threshold, which was not exceeded at 31 December 2015. In this respect they are subject to treatment as risk weighted assets, with a weighting of 250%;
- deferred tax assets (DTA) that rely on future profitability arising from temporary differences amounted to €2.1 billion at 31 December 2015. They are subject to the calculation of an exemption threshold, which was not exceeded at 31 December 2015. They are accordingly subject to similar treatment to that described in the above point.

Fully loaded Tier 1 capital, at €74.1 billion, increased €5.3 billion from its 31 December 2014 level; phased-in, it was €77.8 billion, an increase of €4.6 billion compared to 31 December 2014. This includes the Common Equity Tier 1 capital described above and the Additional Tier 1 capital, which underwent the following changes:

- the hybrid securities included in Tier 1 capital eligible under Basel 3 amounted to €4.4 billion, or €0.3 billion higher than at 31 December 2014 due to foreign currency impacts (the entire stock prior to 1 January 2014 was ineligible on a fully loaded basis);
- on a phased-in basis, the total amount of grandfathered instruments decreased, primarilly due to the early redemption of the preferred shares, one issued in dollar for an amount of €1.2 billion and the other in euro for an amount of €0.6 billion. The total amount of grandfathered instruments is therefore kept below the level authorised by the grandfathering provision that makes it possible to include, above the CRR/CRD 4-eligible instruments, an amount of debt equivalent to a maximum of 70% of the base at 31 December 2012;
- moreover, on a phased-in basis, subordinated loans and receivables from credit institutions and insurance companies, all representative of Tier 2 instruments, were deducted for their share of the deduction from Tier 1 for an amount of €1 billion at 31 December 2015, or a decrease of €0.7 billion compared to 31 December 2014 following the redemption by Crédit Agricole Assurances of a TSDI and the change in the phasing percentage.

At €18.4 billion, fully loaded Tier 2 capital was €4.7 billion higher than at 31 December 2014, following active management of hybrid debt and regulatory amortisation. Phased-in Tier 2 capital amounted to €20.5 billion, €2.7 billion higher than at 31 December 2014:

- the hybrid securities included in Tier 2 capital eligible for Basel 3 amounted to €19.3 billion, or €3.7 billion higher than at 31 December 2014, following in particular the issue of 11 dated subordinated debts (TSR) totalling €7.1 billion, the redemption of three instruments for €2.1 billion and regulatory amortisation. In addition, on a phased-in basis, ineligible instruments brought the total to €1 billion, down €1.1 billion compared to 31 December 2014, mainly due to the redemption of two undated deeply subordinated notes (TSDI);
- surplus provisions relative to expected losses eligible under the internal ratings-based approach and general credit risk adjustments under the standardised approach came to €2.0 billion at 31 December 2015, stable compared to 31 December 2014;
- subordinated loans and receivables from credit institutions and insurance companies, all representative of Tier 2 instruments, were deducted for their share of the deduction from Tier 2 in the amount of €3 billion on a fully loaded basis, down €1 billion compared to 31 December 2014 following Crédit Agricole Assurances's TSDI redemption. On a phased-in basis, these securities amounted to €2.3 billion for their share of the deduction from Tier 2, a decrease of €0.3 billion compared to 31 December 2014, the TSDI redemptions being offset by the change in the phasing percentage.

In all, fully loaded total capital at 31 December 2015 stood at €92.5 billion, or €10 billion higher than at 31 December 2014. At €98.3 billion, phased-in total capital was €7.3 billion higher than at 31 December 2014.

II. Regional Banks solvency ratios

Each of the Crédit Agricole Regional Banks, as a credit institution, declares its Basel 3 solvency ratios.

REGIONAL BANKS SOLVENCY RATIOS AT 31/12/2015[1]

(In millions of euros)	Dec. 2015		Dec. 2014	
	Phased-in	Fully Loaded	Phased-in	Fully Loaded
CET1	58,836	59,028	51,000	51,390
Additional Tier 1	-	-	-	-
Tier 1	**58,836**	**59,028**	**51,000**	**51,390**
Tier 2	304	1,294	311	1,515
Total Capital	**59,140**	**60,322**	**51,311**	**52,905**
Credit Risk	276,084	276,084	267,975	267,975
Market Risk	-	-	-	-
Operational Risk	14,944	14,944	14,800	14,800
Risk Weighted Assets	**291,028**	**291,028**	**282,774**	**282,774**
CET1 ratio	**20.2%**	**20.3%**	**18.0%**	**18.2%**
Tier 1 ratio	**20.2%**	**20.3%**	**18.0%**	**18.2%**
GLOBAL SOLVENCY RATIO	**20.3%**	**20.7%**	**18.1%**	**18.7%**

(1) Total of 38 regional Banks (excluding Caisse Régionale de Corse*).*

Total fully loaded capital for all the Regional Banks rose by €7.4 billion compared to total capital at end-December 2014. This increase is essentially due to the account in 2015 of both 2014 and 2015 retained earnings following the agreement of the ECB.

Risk weighted assets amounted to €291 billion at 31 december 2015, up €8.3 billion (+2.9%) over the year, mainly due to the increase in loans outstandings (+2.9%).

Fully loaded CET1 ratio for all the Regional Banks amounted to 20.3% at end-2015, a considerably higher level than required by regulations.

Total phased-in capital was 1.2 billion less than total fully loaded capital due to transitional adjustments on prudential filters.

It should be noted that the Regional Banks granted Crédit Agricole S.A. their joint and several guarantee, in the total amount of their equity and their reserves, in the event of Crédit Agricole S.A.'s assets proving to be inadequate following its court-supervised liquidation or dissolution. Furthermore, Crédit Agricole S.A., as the central body, guarantees the solvency and liquidity of the Regional Banks. As a result, the international ratings agencies give identical ratings to issuance programmes of Crédit Agricole S.A. and of rated Regional Banks.

III. Financial conglomerate ratio

The conglomerate ratio is defined as the ratio of the phased-in total capital of the financial conglomerate to the cumulative total of the bank's capital requirements and insurance company's capital requirements:

- it includes all banking and insurance requirements, restating the share of intragroup transactions related to equity investments from both the numerator and the denominator;
- the insurance subsidiary's capital raised outside of the scope of consolidation is included in the conglomerate's capital.

The minimum requirement for the conglomerate ratio is 100%.

$$\text{Financial conglomerate ratio} = \frac{\text{Total capital of the conglomerate}}{\text{Banking requirements} + \text{Insurance requirements}} > 100\,\%$$

The "conglomerate" view is the most relevant for a bancassurance group. The conglomerate combines banks and insurance companies, which corresponds to the natural scope of Crédit Agricole S.A. Moreover, the conglomerate ratio reflects the actual risks borne by each of the two activities. Therefore, the conglomerate ratio view is economic, whereas the bank solvency ratio treats insurance as an equity investment.

At 31 December 2015, Crédit Agricole Group's conglomerate ratio was 193% on a phased-in basis, a level far above the required 100%. The Group therefore has twice the level of capital minimum requirements for banking activities and insurance activities.

IV. Leverage ratio

Article 429 of the CRR specifying the methods for calculating the leverage ratio was amended and replaced by the Delegated Act no. 62/2015 of 10 October 2014. The delegated act was published in the *OJEU* on 18/01/2015.

Publication of the ratio at least once a year is mandatory as of 01/01/2015. Institutions can choose to publish a fully loaded ratio, a phased-in ratio or both ratios.

If the institution decides to change its publication choice, at the time of first publication it must reconcile the data for all of the ratios previously published with the data for the new ratios selected for publication.

An observation period has been introduced for the leverage ratio running from 01/01/2014 to 01/01/2017 to monitor the components and the behaviour of the ratio relative to the requirements based on risk. The European Commission must then report to the European Parliament and Council and put forward a regulatory proposal covering the methods for applying and calculating the ratio. A requirement for a two-level leverage ratio is envisaged: it could be 3%, the level indicated by the Basel Committee for non G-SIB, and a higher level for the G-SIB. Calibration could occur during 2016.

At present, a Pillar 1 requirement is maintained for 01/01/2018.

The leverage ratio is defined as the Tier 1 capital divided by the exposure measure, i.e. balance sheet and off-balance-sheet assets after certain restatements of derivatives, intragroup transactions, securities financing transactions, items deducted from the numerator, and off-balance-sheet items.

The Group considers the leverage ratio as an additional measure to the constraints that weigh on solvency and liquidity, and that already limit the size of the balance sheet. As part of the monitoring for excessive leverage, steering is carried out at Group level to fix the constraints for the balance sheet size for certain activities that do not consume a high level of risk weighted assets.

At 31 December 2015, Crédit Agricole Group's leverage ratio stood at 5.7% on a phased-in Tier 1 basis.

(in billions of euros)	
Phased-in Tier 1	**77.8**
Regulatory scope balance sheet	1,396
Adjustment for exposure on derivative instruments	(138)
Adjustment for exposure to pensions and loans/securities borrowed	5
Off-balance sheet exposure	160
Adjustment for centralised savings at the Caisse des Dépôts et Consignations	(35)
Regulatory deductions	(22)
Leverage ratio exposure	**1,366**
Leverage ratio	**5.7%**

V. MREL/TLAC ratio

MREL ratio

The MREL (or Minimum Requirement for Own Funds and Eligible Liabilities) ratio, is defined in the European "Bank Recovery and Resolution Directive" (BRRD) published on 12 June 2014 and effective starting 1 January 2015 (except for provisions on bail-in and MREL, which are applicable since 1 January 2016).

More generally, the BRRD establishes a framework for the resolution of banks throughout the European Union and with the aim of equipping resolution authorities with shared instruments and powers to pre-emptively tackle banking crises, preserve financial stability and reduce taxpayers' exposure to losses.

The MREL ratio corresponds to the minimum requirement of own funds and eligible liabilities in order to absorb losses in the event of resolution. This minimum requirement is calculated as being the amount of own funds and eligible liabilities expressed as a percentage of the institution's total liabilities and capital. In this calculation, total liabilities takes into account the full recognition of netting rights applicable to derivatives. Regulatory own funds, subordinated notes with a residual maturity of more than one year (including prudentially ineligible own fund instruments and the amortised portion of Tier 2) and certain senior debts with residual maturities of more than one year qualify for inclusion in MREL. MREL eligible senior debt is subject to the appreciation of the Single Resolution Board (SRB).

The MREL ratio calibrates an eligible liabilities requirement but does not specify which debt would be called upon to absorb losses in the event of resolution.

Since September 2015, Crédit Agricole Group has already reached an MREL ratio of 8% excluding senior debt, which, in the event of resolution, would enable recourse to the European resolution fund before applying the bail-in to senior debt, creating an additional level of protection for senior investors. Crédit Agricole Group, like Crédit Agricole S.A., will be subject to a MREL target defined by the Resolution authority, which could be different from the Group's target of 8%. Before the end of 2016, the SRB should fix a target MREL level for the Group at a consolidated level. MREL decisions at an individual level (including Crédit Agricole S.A.) will only occur at a later time.

At 31 December 2015, Crédit Agricole Group posted a MREL ratio estimated at 8.2% excluding eligible senior debt.[1]

TLAC ratio

This ratio, whose modalities were indicated in a Term Sheet published on 9 November 2015, was established by the Financial Stability Board (FSB) at the request of the G20. The FSB defined the calculation of a ratio aimed at estimating the adequacy of the bail-in and recapitalisation capacities of Global Systemically Important banks (G-SIB). This new Total loss absorbing capacity (TLAC) ratio, which will enter into force from 2019, will provide resolution authorities with the means to assess whether G-SIBs have sufficient bail-in capacity before and during resolution. As a result, the resolution authorities will be able to implement an ordered resolution strategy that minimises impacts on financial stability, ensures the continuity of the G-SIBs' critical economic functions and limits the use of taxpayers' money.

(1) Estimation based on Crédit Agricole S.A.'s current understanding of draft regulatory texts.

According to the TLAC Term Sheet's provisions, the minimum level of the TLAC ratio would correspond to twice the minimum regulatory requirement (i.e. the maximum between 6% of the denominator of the leverage ratio and 16% of risk weighted assets, plus the applicable regulatory buffers) from 1 January 2019, then the maximum between 6.75% of the denominator of the leverage ratio and 18% of the risk weighted assets (excluding buffers) from 1 January 2022. This minimum level could be increased by the resolution authorities.

This ratio will apply solely to Global Systemically Important Institutions, and thus to Crédit Agricole Group, starting in 2019. Crédit Agricole S.A. is not, however, subject to this ratio, as it is not classified as a G-SIB by the FSB.

The elements that could absorb losses are made up of equity, subordinated notes and debts to which the resolution authority can apply the bail-in.

Crédit Agricole Group must comply with a TLAC ratio over 19.5% (including a capital conservation buffer of 2.5% and a G-SIB buffer of 1%) from 2019 then 21.5% from 2022. Crédit Agricole Group aims to comply with these TLAC requirements excluding eligible senior debt, subject to changes in methods of calculating risk weighted assets. As at 31 December 2015, the TLAC to risk weighted assets ratio is estimated at 19.7%[1] for Crédit Agricole Group, excluding eligible senior debt.

VI. Asset encumbrance

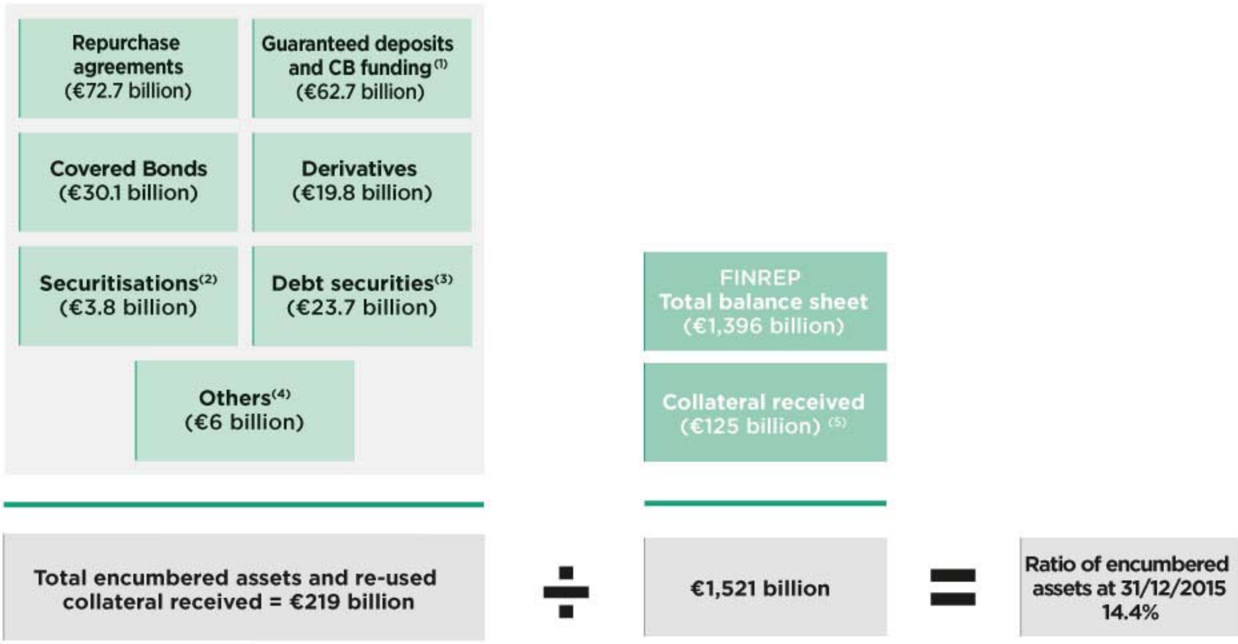
Crédit Agricole S.A. monitors and manages the assets pledged in Crédit Agricole Group.

The total asset encumbrance ratio stands at 14.4% at 31 December 2015:

- on loans and receivables due from private customers, assets are pledged to obtain refinancing under advantageous conditions or to constitute reserves that can easily be made liquid if needed. The policy of Crédit Agricole S.A. aims to both diversify the instruments used to improve resistance to liquidity stress, which could affect individual markets differently, and to limit the share of assets pledged in order to retain good quality assets that can be easily liquidated in the market through existing mechanisms in case of stress:
  - covered bonds: assets from the Regional Banks and Cariparma are pledged through 3 issue mechanisms: Crédit Agricole Home Loan SFH, Crédit Agricole Public Sector SCF and Cariparma (€27 billion invested and outstanding for €30.1 billion in encumbered assets),
  - security deposits other than repurchase agreements: encumbered assets stem mainly from the refinancing activities with French or supranational organisations, funds drawn from the ECB under TLTROs and Crédit Agricole CIB's ESTER securitisation conduit (€39.1 billion of refinancing for €62.7 billion in encumbered assets),
  - asset-backed securities (securitisations): assets are pledged for securitisation transactions by CA Consumer Finance and placed in the market (€3.8 billion),
  - own debt securities issued (other than own covered bonds or ABSs): encumbered assets stem mainly from promissory notes issued to the *Caisse de Refinancement de l'Habitat* (CRH) (€16.2 billion of refinancing for €23.7 billion of encumbered assets);
- the other sources of asset encumbrance are mainly related to encumbered securities and incidentally, **cash** (mainly for margin calls):
  - repurchase agreements (repos): outstanding encumbered assets and collateral received and re-used for repos amounted to €72.7 billion, of which €55.9 billion in securities received as collateral and re-used out of a total of €125 billion of collateral received; Crédit Agricole CIB's share of the €72.7 billion was €61.6 billion (including €52.6 billion of collateral received primarily from customers and re-used),
  - derivatives (margin calls): margin calls amounted to €19.8 billion, mainly related to Crédit Agricole CIB's OTC derivative activities;
- the collateral received included €111 billion in encumbered guarantees received or available to be encumbered and €13 billion in collateral received but not available to be encumbered.

(1) Estimation based on Crédit Agricole S.A.'s current understanding of draft regulatory texts.

USE OF ENCUMBERED ASSETS AND COLLATERAL RECEIVED



(1) Central Banks.
(2) CACF Securitisations
(3) Other than covered bonds or ABSs
(4) Mainly securities bridging loans.
(5) Including €13 billion not available to be encumbered

The table detailing **the data relating to encumbered assets** at 31 December 2015 is presented in the consolidated report on Risk factors and Pillar 3 available at the website:
http://www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information

COMPOSITION AND CHANGE IN REGULATORY CAPITAL

I. Composition of capital

For readability, the full table of the composition of capital at 31 December 2015 is presented in the consolidated report on Risk factors and Pillar 3 available at the website: http://www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information

1. Tier 1 capital (Tier 1)

This includes Common Equity Tier 1 (CET1) and Additional Tier 1 capital (AT1):

A. COMMON EQUITY TIER 1 (CET1)

They include:

- issued capital;
- reserves, including share premiums, retained earnings, net income after dividend payments (or provision for dividend payments) and accumulated other comprehensive income, including unrealised capital gains and losses on available-for-sale financial assets, as described in section Regulatory background and scope/Reform of solvency ratios;
- minority interests, which, as stated in the point on the reform of solvency ratios, are now partially derecognised or even excluded, depending on whether or not the subsidiary is an eligible credit institution;
- the deductions, apart from the ones stated above in the point on the reform of solvency ratios, include the following items:
  - treasury shares held and valued at their net carrying amount,
  - intangible assets, including start-up costs and goodwill.

B. ADDITIONAL TIER 1 CAPITAL (AT1)

Additional Tier 1 capital eligible on a fully loaded basis

Additional Tier 1 (AT1) capital eligible under Basel 3 consists of perpetual debt instruments without any redemption incentive or obligation (in particular step-up features).

AT1 instruments are subject to a bail-in mechanism triggered when the CET1 ratio is below a threshold that must be set at no lower than 5.125%. Instruments may be converted into equity or suffer a reduction in their nominal value. Payments must be totally flexible: no automatic remuneration mechanisms, suspension of coupon payments at the issuer's discretion permitted.

Investments in financial-sector entities related to this tier (AT1) are deducted, as are those resulting from the transitional regime rules.

The four Basel 3 eligible AT1 issues have two bail-in mechanisms that are triggered when:

- Crédit Agricole S.A. Group's phased-in CET1 ratio drops below 5.125%;
- Crédit Agricole Group's phased-in CET1 ratio falls below 7%.

At 31 December 2015, the phased in ratios of Crédit Agricole Group and of Crédit Agricole S.A. were 13.5% and 10.8% respectively. Thus, they represent a capital buffer of €33.1 billion (for Crédit Agricole Group's threshold) and of €17.3 billion (for the Crédit Agricole S.A.'s threshold) in capital relative to the bail-in thresholds.

At 31 December 2015, there was no applicable restriction on the payment of coupons.

At 31 December 2015, the potentially distributable items of Crédit Agricole S.A. totalled €26.7 billion, including €15.5 billion in distributable reserves and €11.2 billion in share premiums.

Additional Tier 1 capital eligible on a phased-in basis

During the transitional phase, the amount of Tier 1 included in the ratios represents:

- Additional Tier 1 capital eligible under Basel 3 (AT1); and
- a fraction of the ineligible Tier 1, equal to the lower of:
  - the actual amount of ineligible Tier 1 instruments on the closing date (after amortisation, any calls, redemptions, etc.), including preferred shares,
  - 70% (threshold for 2015) of the Tier 1 stock at 31 December 2012. The Tier 1 stock at 31 December 2012 stood at €9,329 million, with a maximum amount of €6,530 million possibly being recognised.

The Tier 1 amount exceeding this regulatory threshold is included in phased-in Tier 2, up to the regulatory threshold applicable to Tier 2 itself.

For readability, **the tables for super-subordinated securities and preferred shares** are presented, (i) in a simplified format within the consolidated report on Risk factors and Pillar 3 and (ii) in their full version prepared in accordance with Annex II of the European Commission's Implementing Regulation no. 1423/2013 of 20 December 2013 on the website:
http://www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information

2. Tier 2 capital (Tier 2)

They include:

- subordinated debt instruments which must have a minimum maturity of 5 years. They must not carry any early repayment incentives. There are no more distinctions between lower and upper Tier 2 capital;
- these instruments are subject to a haircut during the five-year period prior to their maturity date;
- grandfathering as presented for the AT1 capital above;
- net unrealised capital gains on equity instruments included before tax in Tier 2 capital at a rate of 45% (only on a phased-in basis);
- surplus provisions relative to eligible expected losses determined in accordance with the internal ratings-based approach are limited to 0.6% of risk-weighted assets under IRB. In addition, general credit risk adjustments gross of tax effects may be included up to 1.25% of risk-weighted assets under the standardised approach;
- deductions of investments in financial-sector entities related to this tier (predominantly in the insurance sector, since most subordinated banking receivables are not eligible) and those resulting from the transitional regime rules, following phasing of investments deducted at 50% from Tier1 and at 50% from Tier 2 under CRD 3.

The subordinated debt is presented below with the distinction existing at 31 December 2013 between undated subordinated debt and participating note, on the one hand, and dated subordinated debt, on the other hand.

The amount of Tier 2 included in the ratios represents:

- on a fully loaded basis: CRD 4 eligible Tier 2;
- on a phased-in basis: CRD 4 eligible Tier 2, plus the lower of:
  - ineligible Tier 2 securities and, as applicable, the remainder of Tier 1 securities exceeding the 70% threshold (threshold for 2015) of ineligible Tier 1 securities,
  - 70% (threshold for 2015) of the CRD 4 ineligible Tier 2 stock at 31 December 2012. The CRD 4 ineligible Tier 2 stock at 31 December 2012 stood at €4,118 million, or a maximum amount of €2,883 million possibly being recognised.

For readability, **the tables of undated subordinated debt/participating note** and **dated subordinated debt redeemable** at 31 December 2015 are presented in the consolidated report on Risk factors and Pillar 3 available at the website:
http://www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information

II. Reconciliation of accounting and regulatory capital

	31/12/2015		31/12/2014	
(in millions of euros)	Phased-in	Fully loaded	Phased-in	Fully loaded
EQUITY, GROUP SHARE (ACCOUNTING AMOUNT)	**92,891**	**92,891**	**86,665 (1)**	**86,665 (1)**
Upcoming dividend payment on result of year Y-1	-	-	-	-
Expected dividend payment on result of year Y	(1,044)	(1,044)	(608)	(608)
Filtered unrealised gains/(losses) on change in own credit risk on structured products	84	84	171	171
Filtered unrealised gains/(losses) on change in own credit risk on derivatives	(43)	(108)	(17)	(84)
Filtered unrealised gains/(losses) on cash flow hedges	(566)	(566)	(839)	(839)
Transitional regime applicable to unrealised gains/(losses)	(1,922)	-	(2,486)	-
AT1 instruments included in accounting equity	(3,861)	(3,861)	(3,861)	(3,861)
Other regulatory adjustments	(421)	(434)	(209)	(210)
Capital and reserves Group share(2)	**85,118**	**86,962**	**78,816**	**81,234**
MINORITY INTERESTS (ACCOUNTING AMOUNT)	**4,530**	**4,530**	**4,978**	**4,978**
(-) preferred shares	-	-	(1,785)	(1,785)
(-) items not recognised under regulatory framework(3)	(2,614)	(3,368)	(1,360)	(2,229)
Minority interests(2)	**1,916**	**1,162**	**1,833**	**964**
(-) Prudent valuation	(832)	(832)	(883)	(883)
Deductions of goodwill and other intangible assets	(16,137)	(16,137)	(15,862)	(15,862)
Deferred tax assets that rely on future profitability not arising from temporary differences	(75)	(188)	(31)	(157)
Shortfall of adjustments for credit risk relative to expected losses under the internal ratings-based approach deducted from the CET1	(1,099)	(1,099)	(354)	(354)
Amount exceeding the exemption threshold for CET1 instruments of financial stakes in which the institution owns a significant holding and of the deductible deferred tax assets that rely on future profitability arising from temporary differences	-	-	-	-
Amount exceeding the exemption threshold for CET1 instruments of financial stakes in which the institution owns an investment of less than 10%	-	-	-	-
Other CET1 components	(45)	(199)	(12)	(230)
TOTAL CET1	**68,846**	**69,669**	**63,507**	**64,712**
AT1 equity instruments (including preferred shares)	10,048	4,433	11,551	4,100
Tier 1 or Tier 2 instruments of financial-sector entities in which the institution holds a significant investment deducted from Tier 1 capital	(981)	-	(1,698)	-
Transitional adjustments and deductions	-	-	-	-
Other components of Tier 1 capital	(153)	-	(210)	-
Total Additional Tier 1	**8,914**	**4,433**	**9,643**	**4,100**
TOTAL TIER 1	**77,760**	**74,102**	**73,150**	**68,812**
Tier 2 equity instruments	20,347	19,343	17,789	15,670
Surplus provisions relative to expected losses eligible under the internal ratingsbased approach	1,434	1,434	1,402	1,402
General credit risk adjustments under the standardised approach	547	547	559	559
Tier 2 instruments of entities operating mainly in the insurance sector in which the institution has a significant investment deducted from Tier 2 capital	(2,289)	(2,973)	(2,548)	(3,951)
Transitional adjustments and deductions	455	-	586	-
TOTAL TIER 2	**20,494**	**18,351**	**17,788**	**13,680**
TOTAL CAPITAL	**98,254**	**92,453**	**90,938**	**82,492**

(1) As a reminder, these figures have not been restated for IFRIC 21 impacts.

(2) This item can be found in the table of ratios, section “Indicators and regulatory ratios”, item 1: solvency ratio.

(3) Of which €1.7 billion of hybrid securities issued by Crédit Agricole Assurances.

III. Assessment of internal capital adequacy

The Group has implemented an internal capital adequacy assessment system covering Crédit Agricole Group, Crédit Agricole S.A. Group and the Group's main French and foreign entities. This approach is designed to meet the requirements of Pillar 2 of the Basel agreement, and more particularly the Internal Capital Adequacy Assessment Process (ICAAP), implemented under the responsibility of individual institutions.

Its main purpose is to ensure that the Group's capital, calculated at the level of the financial conglomerate, and that of its main entities, is adequate for the risks incurred, while ensuring the quality of risk controls and checks.

The risks quantified for the purposes of internal capital are:

- risks covered by Pillar 1 (credit and counterparty risk, market risk and operational risk);
- risks covered by Pillar 2 (interest-rate risk in the banking portfolio and credit concentration risk);
- insurance risks.

With respect to liquidity risk, the Group ensures the quality of the systems used to manage and supervise this risk, as well as the appropriateness of its liquidity continuity plan.

In addition to these risks, the internal capital approach requires banks to ensure that their capital requirements calculated under Pillar 1 adequately cover the residual risk related to risk mitigation techniques and securitisation transactions. Failing that, for internal capital purposes, a risk adjustment to Pillar 1 requirements must be made by any entities exposed to these risks.

The quantitative approach used to calculate internal capital is incremental compared with Pillar 1 requirements. Measures implemented refer to the target rating of the Group.

This approach consists in:

- adjusting capital requirements calculated under Pillar 1 so that internal capital adequately reflects, from an economic standpoint, all the risks in each business activity;
- supplementing Pillar 1 requirements to take Pillar 2 risks into account;
- taking into account, on a prudent basis, the impacts of diversification resulting from the broad spread of business activities within the same group, including between banking and insurance.

Internal capital for credit risk exposures excluding retail banking is based on an internal economic capital model, enabling in particular a better comprehension of concentrations in credit portfolios.

Internal capital exposure to retail banking credit risk is calculated on the basis of measurements based on macro-economic scenarios, the severity of which is graded in line with the Group's target rating. This approach has being progressively extended to entities located outside France.

For market risk, which is monitored through VaR, internal capital fully integrates regulatory developments under Pillar 1 (stressed VaR, IRC). The horizon of capital measurement is made consistent with that used for other risks.

In calculating internal capital for interest rate risk in the banking portfolio, Crédit Agricole Group applies interest rate and inflation shocks, the severity of which is graded in line with the Group's target rating. In respect of the interest rate shocks applied, impacts on all directional, optional and behavioural risks are measured for each of the significant currencies. The calculation of internal capital also includes the offsetting impact provided by the lesser of (i) annual net interest margin and (ii) annual gross operating income, capped at 20% of equity.

Insurance risks are taken into account in the Group's internal capital based on the measures taken under the current and future regimes applicable to insurance companies (Solvency 1, Solvency 2).

Diversification between risks is measured by an internal model to quantify the correlations between the different classes of risk. The latter include stress periods such as the sovereign debt crisis in the Eurozone.

A prospective approach is implemented to measure internal capital requirements, so as to integrate the effects of the main regulatory reforms that can be foreseen, both for the calculation of available capital and for measuring capital requirements.

Crédit Agricole S.A. Group entities subject to the requirement to measure internal capital within their scope are responsible for doing so in accordance with standards and methodologies defined by the Group. More specifically, they must ensure that their ICAAP is appropriately organised and managed. Internal capital determined by the entities is reported in detail to Crédit Agricole S.A.

In addition to the quantitative aspect, the Group's approach relies on a qualitative component supplementing the calculation of internal capital with indicators of the business lines' exposure to risk and their permanent controls. The qualitative part of the ICAAP has three objectives:

- regularly assess the appropriateness of the risk management and control mechanisms of the Group's most significant entities;
- continuously improve the system of risk management and permanent control in the business lines;
- complete the analyses in the quantitative section of the ICAAP, by taking into consideration the quality of the control mechanism, as well as possible measurement uncertainties for different types of risks.

IV. Changes in regulatory capital in 2015

(in millions of euros)	Phased-in change: 31/12/2015 *vs* 31/12/2014
Common Equity Tier 1 capital at 31/12/2014	**63,507**
Capital increase (mutual share issues net of redemptions)	257
Capital increase (Payment of scrip dividend in respect of Y-1 earnings)	250
Capital redemption (CCA buyback)	(17)
Accounting attributable net income/loss for the year before dividend	5,690
Expected dividend outside of the Group	(1,044)
Change in unrealised gains and losses(1)	494
Foreign currency impact	536
Minority interests(1)	83
Change in goodwill and other intangibles	(275)
Shortfall in adjustments for credit risk relative to expected losses under the internal ratings-based approach deducted from the CET1	(745)
Regulatory adjustments	110
COMMON EQUITY TIER 1 CAPITAL AT 31/12/2015	**68,846**
Additional Tier 1 capital at 31/12/2014	**9,643**
Issues	0
Redemptions and foreign currency impact on the debt stock(2)	(1,503)
Change in the regulatory adjustments to Additional Tier 1 capital	774
ADDITIONAL TIER 1 CAPITAL AT 31/12/2015	**8,914**
TIER 1 CAPITAL AT 31/12/2015	**77,760**
Tier 2 Capital at 31/12/2014	**17,788**
Issues	7,072
Redemptions and foreign currency impact on the debt stock(2)(3)	(4,514)
Change in the regulatory adjustments to Tier 2 capital	148
TIER 2 CAPITAL AT 31/12/2015	**20,494**
TOTAL CAPITAL AT 31/12/2015	**98,254**

(1) Includes the modification to the phasing percentages.

(2) Including the possible impact of the applicable cap to grandfathered instruments.

(3) Tier 2 instruments are subject to a haircut during the 5-year period prior to their maturity date.

COMPOSITION AND CHANGES IN RISK WEIGHTED ASSETS

I. Use of internal rating models

Since late 2007, the ACPR has authorised Crédit Agricole S.A. Group to use its internal rating systems to calculate regulatory capital requirements for credit risk on Retail and Large customer exposures throughout almost all of its consolidation scope. The main recent developments regarding the Group's rollout plan are the switch to the Advanced IRB approach for all "retail banking" portfolios in the Cariparma and FriulAdria entities in Italy in 2013, and the validation of the IRB "corporate" portfolios approach of LCL and the Regional Banks with effect from 1 October 2014.

In addition, the French Regulatory and Resolution Supervisory Authority (ACPR) has since 1 January 2008 authorised Crédit Agricole S.A.'s main entities to use the Advanced Measurement Approach (AMA) to calculate their capital requirements for operational risk. The Group's other entities use the standardised approach, in accordance with regulations.

The main Group entities or portfolios still using the standardised method for measuring credit and/or operational risk at 31 December 2015 were as follows:

- the Cariparma group portfolios still not validated (non-retail banking portfolios and Carispezia scope) as well as all other entities in the International Retail Banking division;
- Crédit Agricole Leasing & Factoring group;
- some portfolios and foreign subsidiaries of Crédit Agricole Consumer Finance group;
- the real estate professionals portfolio.

Pursuant to the Group's commitment to phase in the advanced method, agreed with the supervisor (rollout plan), work on the main entities or portfolios still under the standardised method continues. An update of the rollout plan is sent annually to the competent authority.

The use of internal models for calculating solvency ratios has strengthened Crédit Agricole S.A. Group's risk management. In particular, the development of "internal rating" methods has led to the systematic collection of reliable data in respect of historical default and loss for the majority of Group entities. The collection of historical data of this nature now makes it possible to quantify credit risk by giving each rating an average probability of default (PD) and, for "advanced internal rating" approaches, the loss given default (LGD).

In addition, the parameters of the "internal rating" models are used in the definition, implementation and monitoring of entities' risk and credit policies. On the scope of large customers, the Group's unique rating system (identical methods and tools, shared data), in place for many years, has contributed to strengthening and standardising the use of ratings and the associated risk parameters within the entities. The uniqueness of ratings in the Large customers' scope thereby provides a shared framework on which to base standards and procedures, management tools, provisioning and risk-hedging policies, as well as alerts and close monitoring procedures. Due to their role in the monitoring and managing of risk within the various entities, ratings are subject to quality controls and regular monitoring at all stages of the rating process.

Internal models for measuring risks accordingly promote the development of sound risk-management practices among Group entities and improve the efficiency of the process of capital allocation by allowing a more accurate measurement of its consumption by business line and by entity.

Model input	Portfolio/Entity	Number of Models
PD	Sovereigns	6
	Local authorities	8
	Financial institutions (Banks, Insurance, Funds, etc.)	8
	Specialised financing	9
	Corporates	5
	Retail banking - Regional Banks	9
	Retail banking - LCL	2
	Retail banking - Crédit Agricole Consumer Finance	16
	Retail banking - CACF France	10
	Retail banking - CACIB	1
	Retail banking - Agos	2
	Retail banking - Cariparma	3
	Retail banking - Credibom	2
	Retail banking - Credit plus	2
LGD	Sovereigns	1
	Financial institutions (Banks, Insurance, Funds, etc.)	3
	Specialised financing	8
	Corporates	1
	Retail banking - Regional Banks	12
	Retail banking - LCL	12
	Retail banking - Crédit Agricole Consumer Finance	16
	Retail banking - Agos	2
	Retail banking - CACF France	10
	Retail banking - CACIB	1
	Retail banking - Cariparma	3
	Retail banking - Credibom	2
	Retail banking - Credit plus	2
CCF	Retail banking - Regional Banks	3
	Retail banking - LCL	3
	Retail banking - Crédit Agricole Consumer Finance	0

II. Risk weighted assets by type of risks

The risk weighted assets in respect of credit risk, market risk and operational risk were €509.4 billion at 31 December 2015, compared with €494.9 billion at 31 December 2014.

	31/12/2015		31/12/2014	
(in billions of euros)	Risk weighted assets	Capital requirements	Risk weighted assets	Capital requirements
Credit risk	**453.6**	**36.1**	**441.0**	**35.3**
Credit and counterparty risk – Standardised approach	**136.7**	**10.9**	**136.8**	**10.9**
Central governments and central banks	10.4	0.8	11.0	0.9
Institutions	12.9	1.0	13.0	1.0
Corporates	74.7	6.0	72.0	5.8
Retail customers	21.1	1.7	21.5	1.7
Loans to individuals	*17.6*	*1.4*	*17.8*	*1.4*
o/w secured by property	*3.5*	*0.3*	*3.4*	*0.3*
o/w revolving	*3.7*	*0.3*	*4.2*	*0.3*
o/w other	*10.4*	*0.8*	*10.2*	*0.8*
Loans to small and medium businesses	*3.5*	*0.3*	*3.7*	*0.3*
o/w secured by property	*0.2*	*0.0*	*0.3*	*0.0*
o/w other loans	*3.3*	*0.3*	*3.4*	*0.3*
Equities	1.4	0.1	1.5	0.1
Securitisations	0.3	0.0	0.4	0.0
Assets other than credit obligation	15.9	1.3	17.4	1.4
Credit and counterparty risk – internal ratings-based approach	**316.5**	**25.2**	**303.0**	**24.3**
Central governments and central banks	3.2	0.3	2.8	0.2
Institutions	20.8	1.7	19.3	1.5
Corporates	120.4	9.3	114.8	9.3
Retail customers	95.2	7.7	92.1	7.4
Loans to individuals	*70.5*	*5.7*	*68.1*	*5.4*
o/w secured by property	*42.1*	*3.4*	*40.0*	*3.2*
o/w revolving	*4.0*	*0.3*	*4.2*	*0.3*
o/w other loans	*24.4*	*2.0*	*23.9*	*1.9*
Loans to small and medium businesses	*24.7*	*2.0*	*24.0*	*1.9*
o/w secured by property	*3.7*	*0.3*	*3.7*	*0.3*
o/w other loans	*21.0*	*1.7*	*20.3*	*1.6*
Equities	71.8	5.8	67.7	5.4
Simple risk weighting approach	*61.2*	*4.9*	*57.8*	*4.6*
Private equity exposures in sufficiently diversified portfolios (190% weighting)	*1.8*	*0.1*	*1.6*	*0.1*
Listed equity exposures (290% weighting)	*6.1*	*0.5*	*4.7*	*0.4*
Other equity exposures (370% weighting)	*53.3*	*4.3*	*51.5*	*4.1*
Internal models method	*0.0*	*0.0*	*0.0*	*0.0*
Equity investments in significant financial stakes (over 10%) included in the exemption threshold calculation (250% weighting)	*10.6*	*0.9*	*9.9*	*0.8*
Securitisations	5.1	0.4	6.3	0.5
Assets other than credit obligations	0.0	0.0	0.0	0.0
Contributions to a CCP default fund	**0.4**	**0.0**	**1.2**	**0.1**

(in billions of euros)	31/12/2015 Risk weighted assets	31/12/2015 Capital requirements	31/12/2014 Risk weighted assets	31/12/2014 Capital requirements
Credit valuation adjustment risk	**4.9**	**0.4**	**5.9**	**0.5**
Advanced approach	2.9	0.2	3.6	0.3
Standardised approach	2.0	0.2	2.3	0.2
Original exposure method	0.0	0.0	0.0	0.0
Market risk	**7.4**	**0.6**	**8.8**	**0.7**
Market risk under standardised approach	**0.8**	**0.1**	**1.6**	**0.2**
Interest rate risk	*0.8*	*0.1*	*0.8*	*0.1*
Equity position risk	*0.0*	*0.0*	*0.0*	*0.0*
Foreign exchange risk	*0.0*	*0.0*	*0.8*	*0.1*
Commodities risk	*0.0*	*0.0*	*0.0*	*0.0*
Market risk measured using internal models	**6.6**	**0.5**	**7.2**	**0.5**
VaR	*2.2*	*0.2*	*1.2*	*0.1*
Stressed VaR	*3.0*	*0.2*	*3.1*	*0.2*
IRC	*1.4*	*0.1*	*2.9*	*0.2*
CRM	*0.0*	*0.0*	*0.0*	*0.0*
Of which additional capital requirements arising from exceeding the large exposures limits	0.0	0.0	0.0	0.0
Operational risk	**43.5**	**3.4**	**39.2**	**3.1**
Operational risk under the standardised approach	5.6	0.4	6.0	0.5
Operational risk under the advanced measurement approach	37.9	3.0	33.2	2.6
TOTAL	**509.4**	**40.5**	**494.9**	**39.6**
of which standardised approach	145.5	11.6	147.8	11.8
of which IRB approach	363.9	28.9	347.1	27.8

Risk weighted assets in respect of the exemption threshold weighting are included:

- in credit and counterparty risk – standardised approach – central governments and central banks for the portion relating to deferred tax assets that rely on future profitability arising from temporary differences;
- in credit and counterparty risk – standardised approach – equities and credit and counterparty risk – internal ratings approach – equities for the portion relating to CET1 instruments held in financial stakes over 10%.

III. Risk weighted assets by business line

31/12/2015 (in millions of euros)	Credit risk: Standardised approach	Credit risk: Weighting approach IRB	Credit risk: IRB approach[1]	Credit risk: Contributions to a CCP default fund	Credit risk	Credit valuation adjustment risk	Operational risk	Market risk	Total risk weighted assets
French retail banking	40,775	13,892	144,256	0	198,923	434	18,584	0	**217,941**
International retail banking	29,223	777	3,397	0	33,397	20	2,652	228	**36,297**
Savings management and Insurance	15,795	43,153	817	8	59,773	398	3,118	0	**63,289**
Specialised financial services	38,689	832	14,762	0	54,283	72	2,147	0	**56,502**
Corporate and investment banking	10,051	7,195	76,431	400	94,077	3,957	16,559	6,852	**121,445**
Corporate centre	2,144	6,014	5,014	0	13,172	0	418	339	**13,929**
TOTAL RISK WEIGHTED ASSETS	**136,677**	**71,863**	**244,677**	**408**	**453,625**	**4,881**	**43,478**	**7,419**	**509,403**

(1) *Advanced IRB or Foundation IRB approach depending on the business lines.*

31/12/2014 (in millions of euros)	Credit risk: Standardised approach	Credit risk: Weighting approach IRB[1]	Credit risk: IRB approach[2]	Credit risk: Contributions to a CCP default fund	Credit risk	Credit valuation adjustment risk	Operational risk	Market risk	Total risk weighted assets
French retail banking	39,603	12,753	138,426	0	190,782	505	18,069	41	**209,397**
International retail banking	30,406	1,339	3,658	0	35,403	67	2,668	171	**38,309**
Savings management and Insurance	16,395	40,570	671	4	57,640	502	3,043	67	**61,252**
Specialised financial services	37,464	800	14,460	0	52,724	68	2,031	11	**54,834**
Corporate and investment banking France	11,109	6,387	71,907	1,222	90,625	4,772	12,735	7,836	**115,968**
Corporate centre	1,809	5,826	6,194	0	13,829	0	622	723	**15,174**
TOTAL RISK WEIGHTED ASSETS	**136,786**	**67,675**	**235,316**	**1,226**	**441,003**	**5,914**	**39,168**	**8,849**	**494,934**

(1) *Corresponds to equities exposures under the IRB approach.*

(2) *Advanced IRB or Foundation IRB approach depending on the business lines.*

IV. Trends in risk weighted assets

The table below shows the change in Crédit Agricole S.A. Group's risk weighted assets in 2015:

(in millions of euros)	31 December 2014	Foreign exchange	Organic change and optimisation	Equity-accounted value Insurance	Scope	Total change 2015	31 December 2015
Credit risk	441,003	5,149	5,679	2,533	-739	**12,622**	453,625
of which Equity risk	*67,675*	*0*	*2,270*	*2,533*	*-614*	***4,189***	*71,864*
CVA	5,914	0	-1,033	0	0	**-1,033**	4,881
Market risk	8,849	0	-1,421	0	-9	**-1,430**	7,419
Operational risk	39,168	0	4,310	0	0	**4,310**	43,478
TOTAL	**494,934**	**5,149**	**7,535**	**2,533**	**-748**	**14,469**	**509,403**

Risk-weighted assets increased by €14.5 billion to €509.4 billion in the year ended 31 December 2015, an increase of 2.9% attributable to:

- the appreciation of the US Dollar, resulting in an increase of €5.1 billion in risk weighted assets;
- organic change, including an increase in operational risk recognised in the second half of the year and the increase in outstandings in the second half of the year partially offset by:
  - the reduction in market risks, primarily in respect of IRC (Incremental Risk Capital),
  - the reduction in outstandings on credit risk and the counterparty in Corporate and investment banking;
- the €2.5 billion increase in the equity-accounted value of insurance investments;
- the disposal of Crédit Agricole Albania and Crelan with a total impact of -€0.7 billion.

CREDIT RISK

I. Exposure to credit risk

Definitions:

- **probability of default (PD):** the probability that a counterparty will default within a period of one year;
- **exposure at default (EAD):** exposure amount in the event of default. The concept of exposure encompasses balance sheet assets plus a proportion of off-balance sheet commitments;
- **loss given default (LGD):** ratio between the loss incurred upon counterparty default and the amount of the exposure at the time of default;
- **gross exposure:** amount of the exposure (balance sheet + off-balance sheet), after the impacts of offsetting and before the application of any credit risk mitigation techniques (guarantees and collateral) and the credit conversion factor (CCF);
- **credit conversion factor (CCF):** ratio between the unused portion of a commitment that will be drawn and at risk at the time of default and the unused portion of the commitment calculated on the basis of the authorised limit or, where applicable, the unauthorised limit if higher;
- **expected losses (EL):** the amount of the average loss the bank expects to have to recognise in its loan book within one year;
- **risk weighted assets (RWA):** risk weighted assets are calculated by applying a weighting ratio to each exposure. The ratio is a function of the characteristics of the exposure and the calculation method used (IRB or standardised);
- **valuation adjustments:** impairment losses on a specific asset due to credit risk, recognised either through a partial writedown or a deduction from the carrying amount of the asset;
- **external credit ratings:** credit ratings provided by an external credit rating agency recognised by Regulation (EC) no. 1060/2009.

Exposures using the standardised approach

The exposure classes under the standardised approach are classified by counterparty type and financial product type, in one of the 17 classes set out in Article 112 of Regulation (EU) 575/2013 of 26 June 2013. The weightings applied to these same assets are calculated in accordance with Articles 114 to 134 of said Regulation.

In the tables below, 17 standardised exposure classes are then pooled to ensure presentation in alignment with IRB exposures.

Exposures using the IRB approach

Credit exposures are classified by counterparty type and financial product type, based on the seven exposure classes shown in the table below and set out in Article 147 of Regulation (EU) 575/2013 of 26 June 2013 on capital requirements applicable to credit institutions and investment firms:

- in addition to exposures to Central governments or central banks, the Central government or central banks class includes exposures to certain regional and local authorities and public sector agencies that are treated as central government agencies, as well as multilateral development banks and international organisations;
- the Institutions class comprises exposure to credit institutions and investment firms, including those recognised in other countries. It also includes some exposures to regional and local authorities, public sector agencies and multilateral development banks that are not classified under central governments;
- the Corporates class is divided into large corporates and small and medium-sized businesses, which are subject to different regulatory treatments;
- the Retail customer class is broken down into loans secured by property granted to individuals and to small and medium businesses, revolving credits, other loans granted to individuals and to small and medium businesses;
- the Equity class comprises exposures that convey a residual, subordinated claim on the assets or income of the issuer or have a similar economic substance;
- the Securitisation class includes exposures to securitisation operations or structures, including those resulting from interest rate or exchange rate derivatives, independently of the institution's role (whether it is the originator, sponsor or investor);
- the Assets other than credit obligations class does not currently show any assets using the internal rating-based (IRB) approach.

In accordance with the regulatory rules in effect, risk weighted assets in the Central governments and central banks, Institutions, Corporate and Retail customers classes are calculated by applying a prescribed formula, the main parameters of which are the EAD, PD, LGD and the maturity associated with each exposure:

- for exposures to Large customers (Central governments and central banks, Institutions and Corporates), the formula is given in Article 153 of EU Regulation 575/2013 of 26 June 2013;
- for exposures to Retail customers, the formula is given in Article 154 of EU Regulation 575/2013 of 26 June 2013.

Risk weighted assets in the Equities category are calculated by applying standardised weightings to the carrying amount of the exposures. These weightings, prescribed in Article 155 of Regulation (EU) 575/2013 of 26 June 2013, are a function of the nature of the relevant equities: 190% for private equity exposures in the case of a diversified portfolio, 290% for exposures to listed equities and 370% for all other "Equities" excluding stakes in financial companies of over 10% included in the exemption threshold calculation (250% weighting).

The calculation of risk weighted assets in respect of Securitisation exposures is set out in the dedicated section below.

Risk weighted assets of "Assets other than credit obligations" exposures are calculated in accordance with Article 156 of Regulation (EU) 575/2013 of 26 June 2013. Parameters that fall into the formulas cited above are estimated using historical default and loss data collected internally by Crédit Agricole S.A. It should be noted that the definition of default used for the calculation of these parameters has a significant influence on the value thereof.

Exposure at Default (EAD) is the amount of exposure to a counterparty at the time of said counterparty's default. For balance sheet items, EAD corresponds to exposure net of provisions for items covered by the standardised approach to credit risk, and to gross amounts for items covered by internal ratings. In the case of limits and financing commitments not used by the counterparty, a fraction of the total commitment is taken into account by applying a credit conversion factor (CCF). The CCF is estimated using an internal method validated by the supervisory authority for retail banking portfolios. The Internal CCF is estimated on the basis of the average CCF observed in cases of default by class of exposure. For other portfolios, a standard CCF of 20%, 50% or 100% is applied, depending on the nature of the commitment and its term.

For Large customers, default is defined on a customer-by customer basis. As a result, it factors in the principle of contagion: Group. an exposure to a defaulting customer causes the classification under default of all of the said customer's loans within the entity responsible for the uniformity of the rating and all of its loans within Crédit Agricole Group.

For Retail customers, the default can be recorded at the level of the transaction. When applied to the debtor, it factors in the principle of contagion. Contagion rules are defined and precisely documented by the entity (joint account, outstandings of individuals or professionals, notion of risk group, etc.).

Moreover, the historical default and loss data are themselves highly dependent on the characteristics of the products marketed and the markets in which the Group's various subsidiaries operate. As such, it may be difficult or misleading to compare these parameters between each other or to compare risk weighted assets calculated using these parameters for a given class of exposure.

Differences in market characteristics may be of various kinds:

- maturity of the market: risk parameters in respect of Large customers vary significantly depending on whether the customer or its reference shareholder is located in a developed or an emerging country; in the former, the rating of the counterparty will depend solely on the specific characteristics of the customer or its reference shareholder; in the latter, the rating of the country will be an important factor in the rating (the rating of a counterparty may only be greater than that of the country in which it is based in very specific cases; therefore, the ratings of companies located in emerging markets are generally capped by the rating of the country in question);
- structure of the market: as risk parameters vary depending on the type of products marketed, the risk weighted assets calculated on certain products (e.g. home loans) are structurally lower than those calculated on other products (e.g. consumer loans) for the same rating class; consequently, in some countries where home loans account for a very significant part of outstandings, the risk weighted assets of subsidiaries located in these countries tend to be below the Group average;
- position in the cycle: as GDP growth cycles are not synchronous in all countries in which the Group operates, the PD and LGD parameters do not necessarily follow the same trend for all subsidiaries; for instance, PD and LGD estimates on home loans will tend to increase for subsidiaries operating in markets experiencing or having experienced a real estate crisis, while remaining stable elsewhere;
- demographic and cultural differences: the place of private property in the culture of a country, the level of per capita income and demographic characteristics are other factors influencing risk parameters; accordingly, for instance, subsidiaries operating in countries in which the population is better off tend to have lower risk weighted assets than elsewhere, due to the fact that debt-to-income ratios will tend to be lower.

Products marketed may also vary from one subsidiary to another or from one country to another, potentially resulting in divergent risk parameters and risk weighted assets for the same type of customer. The type of products marketed can influence risk parameters in various ways:

- nature of products: products marketed may be very different in nature; as such, home loans may vary from one country to another as a function of their average maturity or the average ratio between the amount of the loan and the value of the financed property (loan-to-value ratio, LTV); the longer the maturity or the higher the LTV, the higher the risk parameters and risk weighted assets;
- business model: Crédit Agricole S.A.'s business model consists in holding loans granted to customers to maturity, whereas other banking models consist in selling large portions of their outstanding loans to securitisation vehicles; Crédit Agricole S.A. consequently keeps all home loans on its balance sheet, where they are generally assigned lower risk parameters and risk weighted assets than other asset classes, resulting in a structurally lower level of average risk weighted assets than for banks that sell this type of loan;
- collateral: loans granted can be secured by collateral or personal guarantees, the value and quality of which will be reflected in lower risk parameters than those of unsecured loans.

In addition, the type of customers may also vary significantly depending on the distribution channel: in the case of revolving credit, for instance, the customer (and the associated risk parameters) will differ depending on whether the products are marketed by Crédit Agricole Group Regional Banks to their customers or through subsidiaries specialising in consumer credit.

The pertinence and reliability of the rating data used are guaranteed by a process consisting in the initial validation and subsequent maintenance of internal models based on a structured and documented organisation implemented throughout the Group and involving entities, the Risk Management and Permanent Controls department and the Audit Group function.

The set of internal models used in Crédit Agricole Group was presented for approval to the Standards and Methodology Committee before internal validation by the Group Control function. The internal validation is deemed to be a pre-validation, as it pre-dates the application for formal approval to the French Prudential and Resolution Supervisory Authority. The process of constructing and validating an internal rating model requires work over a period generally spanning three to five years, involving several on-site pre-validation and validation assignments.

After validation, systems governing internal ratings and the calculation of risk parameters are subject to permanent and periodic control within each Group entity.

In the following paragraphs, back-testing covers all the methods and procedures used to verify the performance and stability of the internal risk models (PD, LGD, CCF), specifically by comparing forecasts with actual results.

With regard to permanent control, a back-testing Committee has been established within each entity. This Committee (which may, for some entities, be a specific agenda item for the Risk Committee) is chaired by the Risk Management department of the relevant entity and includes a representative from the Group Risk Management and Permanent Controls department. It meets at least twice a year and is the subject of reports to the Chief Executive Officer and the head of the entity's Permanent Control department, as well as the Group Risk Management and Permanent Controls department.

Periodic inspection is conducted annually by the Internal Audit function or any third party specifically authorised by it. The audit plan covers:

- systems for calculating ratings and estimating risk parameters, as well as compliance with minimum requirements;
- systems functioning (correct implementation).

The corresponding reports are sent to the person responsible for monitoring the relevant entity within the Group Risk Management and Permanent Controls department.

The entity performs internal controls (permanent and periodic) on:

- the quality of input and output data within the system;
- the conceptual and technical quality of systems for calculating ratings and estimating risk parameters;
- the completeness of data used for the calculation of risk-weighted assets.

Back-testing is critical in maintaining the pertinence and performance of rating models. A first phase of analysis is based chiefly on the quantitative analysis of the predictive model as a whole and its main explanatory variables.

This exercise can also detect significant change in the structure and behaviour of portfolios and customers. Back-testing then results in decisions to adjust or recast models in order to factor in the new structural elements. This allows changes in non-cyclical behaviour or change in the franchise to be identified, revealing the impact of commercial or risk strategies implemented by the Bank.

Across the Group as a whole, each rating method is back-tested at least once a year by the unit responsible for the method (Risk Management and Permanent Controls department or its delegate). This provides the Group annually, through the CNM, with the result of back-testing after consulting an *ad hoc* committee to confirm the proper application of selected statistical methods and the validity of results, and proposes, where appropriate, suitable corrective measures (revision of the method, recalibration, training, recommendations for control, etc.).

These ex-post controls are performed – through the cycle on historical data covering as long a period as possible. The following tables show the back-testing results for 2015 in respect of the probability of default (PD) and loss given default (LGD) models.

Portfolio	Estimated probability of default (%) – Average over a long period	Default rate observed – Average over a long period (%)	Estimated LGD (%)	LGD before prudential margin (%)
Sovereigns	1.6%	0.2%	56%	22%
Local authorities	0.02%[1]	0.07%	IRB approach	IRB approach
Financial institutions	0.62%	0.05%	59%[1]	66%
Corporates	3.1%	2.1%	43%	40%
Specialised financing	1.6%	0.9%	25%	23%
Individual customers – Regional Banks	1.8%	1.8%	15%	13%
Small business customers – Regional Banks	4.1%	4.1%	29%	23%
Individual customers – LCL	1.5%	1.3%	15%	9%
Small business customers – LCL	4.6%	4.2%	25%	21%
Individual customers – Cariparma	2.1%	2.1%	22%	18%
Small business customers – Cariparma	5.7%[2]	5.6%	44%	35%
Individual customers – CACF France	4.2%	3.7%	39%	36%
Individual customers – Agos	3.9%	3.8%	56%	51%
Individual customers – Credibom	4.3%	3.9%	41%	36%
Individual customers – Credit plus	2.8%	2.7%	34%	34%

(1) Internal models in the process of recalibration.

(2) For the Cariparma small business portfolio, one-year probability of default is estimated as of 31 December 2014 in view the substantial impact of the recalibration implemented in 2014 (change in default setting, update of historical data, etc.).

1. Breakdown of exposures

1.1 EXPOSURES BY TYPE OF RISK

The table below shows Crédit Agricole Group's exposure to global risk by exposure class for the standardised and internal ratings based approaches.

Exposure to overall risk (credit, counterparty, dilution, settlement and delivery) by approach and class of exposure at 31 December 2015

	31/12/2015												
	Standardised				IRB				Total				
(in billions of euros)	*Gross exposure[1]*	*Gross exposure after CRM[2]*	*EAD*	*RWA*	*Gross exposure[1]*	*Gross exposure after CRM[2]*	*EAD*	*RWA*	*Gross exposure[1]*	*Gross exposure after CRM[2]*	*EAD*	*RWA*	*Capital requirement*
Central governments and central banks	59.4	59.4	59.3	10.4	130.0	137.7	135.6	3.2	189.4	197.1	194,9	13.6	1.1
Institutions	76.0	87.5	78.4	12.9	84.9	92.7	86.3	20.8	160.9	180.2	164.7	33.7	2.7
Corporates	140.3	125.5	100.1	74.7	313.9	295.1	241.8	120.4	454.2	420.6	341.9	195.1	15.6
Retail customers	40.2	38.5	33.6	21.1	489.1	489.1	483.0	95.2	529.3	527.6	516.6	116.3	9.3
Loans to individuals	33.3	31.9	27.3	17.6	385.0	385.0	379.8	70.5	418.3	417.0	407.1	88.1	7.0
o/w secured by property	8.9	8.7	8.7	3.5	265.9	265.9	265.9	42.1	274.8	274.7	274.6	45.6	3.6
o/w revolving	9.6	9.3	4.9	3.7	19.2	19.2	13.9	4.0	28.8	28.5	18.8	7.7	0.6
o/w other	14.8	13.9	13.7	10.4	99.9	99.9	100.0	24.4	114.7	113.8	113.7	34.8	2.8
Loans to small and medium businesses	6.9	6.6	6.3	3.5	104.1	104.1	103.2	24.7	111.0	110.7	109.5	28.2	2.3
o/w secured by property	0.6	0.6	0.6	0.2	17.0	17.0	17.0	3.7	17.6	17.6	17.6	3.9	0.3
o/w other loans	6.3	6.0	5.7	3.3	87.1	87.1	86.2	21.0	93.4	93.1	91.9	24.3	1.9
Shares	1.5		1.2	1.4	18.0		17.5	61.2	19.5		18.7	62.6	5.0
Securitisations	0.5		0.3	0.3	34.2		34.2	5.1	34.7		34.5	5.4	0.4
Assets other than credit obligation	22.0		22.8	15.9	0.0		0.0	0.0	22.0		22.8	15.9	1.3
TOTAL	**339.9**		**295.7**	**136.7**	**1070.1**		**998.4**	**305.9**	**1410,0**		**1294.1**	**442.6**	**35.4**

Exposure to overall risk (credit, counterparty, dilution, settlement and delivery) by approach and class of exposure at 31 December 2014

	31/12/2014												
	Standardised				IRB				Total				
(in billions of euros)	*Gross exposure[1]*	*Gross exposure after CRM[2]*	*EAD*	*RWA*	*Gross exposure[1]*	*Gross exposure after CRM[2]*	*EAD*	*RWA*	*Gross exposure[1]*	*Gross exposure after CRM[2]*	*EAD*	*RWA*	*Capital requirement*
Central governments and central banks	54.8	54.8	54.8	11.0	148.2	155.1	153.4	2.8	203.0	209.9	208.2	13.8	1.1
Institutions	67.9	80.1	78.2	13.0	97.6	99.4	90.7	19.3	165.5	179.5	168.9	32.3	2.6
Corporates	139.6	127.3	96.0	71.9	284.7	275.9	230.7	114.8	424.3	403.2	326.7	186.7	15.0
Retail customers	41.3	40.9	33.7	21.5	470.0	470.0	462.8	92.1	511.3	510.9	496.5	113.6	9.1
Shares	1.6		1.4	1.5	16.9		16.4	57.8[3]	18.5		17.8	59.3[3]	4.7
Securitisations	0.8		0.6	0.4	36.4		36.3	6.3	37.2		36.9	6.7	0.5
Assets other than credit obligation	23.2		23.1	17.4	0.0		0.0	0.0	23.2		23.1	17.4	1.4
TOTAL	**329.2**		**287.8**	**136.7**	**1,053.8**		**990.3**	**293.1**	**1,383.0**		**1,278.1**	**429.8**	**34.4**

(1) Initial gross exposure.

(2) Gross exposure after credit risk mitigation (CRM).

(3) Breakdown excluding weighting of significant financial stakes (over 10%) used in the calculation of the exemption threshold (250% weighting) under IRB.

RWA density (defined as the ratio of risk weighted assets/EAD) amounts to 23% on average for retail customers and 57% for corporates at 31 December 2015.

On gross exposure, the Group's total assets, at €1,410 billion, recorded an increase of 2% over the year.

The loan book's EAD increased by 1.3% over the year.

Counterparty risk on market transactions

Crédit Agricole, its subsidiaries and the Regional Banks calculate counterparty risk for all their exposures, whether in the banking book or the trading book. For items in the trading book, counterparty risk is calculated in accordance with the provisions relating to the regulatory supervision of market risk.

The regulatory treatment of counterparty risk on transactions on forward financial instruments in the banking portfolio is defined on a regulatory basis in Regulation (EU) 575/2013 of 26 June 2013. Crédit Agricole Group uses the market price method to measure its exposure to counterparty risk on transactions on forward financial instruments in the banking portfolio (Article 274) or the internal model method (Article 283) within the scope of Crédit Agricole CIB.

EXPOSURE TO COUNTERPARTY RISK BY APPROACH AND CLASS OF EXPOSURE AT 31/12/2015

	31/12/2015									
	Standardised			IRB			Total			
(in billions of euros)	*Gross exposure*	*EAD*	*RWA*	*Gross exposure*	*EAD*	*RWA*	*Gross exposure*	*EAD*	*RWA*	*Capital requirement*
Central governments and central banks	1.7	1.7	0.2	7.3	7.3	0.3	9.0	9.0	0.5	0.0
Institutions	19.1	19.1	1.9	19.5	19.3	7.4	38.6	38.4	9.3	0.8
Corporates	3.4	3.4	3.2	18.1	18.1	4.0	21.5	21.5	7.2	0.6
Retail customers										
Shares										
Securitisations										
Assets other than credit obligation										
TOTAL	**24.2**	**24.2**	**5.3**	**44.9**	**44.7**	**11.7**	**69.1**	**68.9**	**17.0**	**1.4**

EXPOSURE TO COUNTERPARTY RISK BY APPROACH AND CLASS OF EXPOSURE AT 31/12/2014

	31/12/2014									
	Standardised			IRB			Total			
(in billions of euros)	*Gross exposure*	*EAD*	*RWA*	*Gross exposure*	*EAD*	*RWA*	*Gross exposure*	*EAD*	*RWA*	*Capital requirement*
Central governments and central banks	2.7	2.7	0.4	6.6	6.6	0.3	9.3	9.3	0.7	0.1
Institutions	17.6	17.6	1.9	20.9	19.5	4.1	38.5	37.1	6.0	0.5
Corporates	2.7	2.7	2.5	21.2	21.0	7.9	23.9	23.7	10.4	0.8
Retail customers										
Shares										
Securitisations										
Other assets not constituting a credit obligation										
TOTAL	**23.0**	**23.0**	**4.8**	**48.7**	**47.1**	**12.3**	**71.7**	**70.1**	**17.1**	**1.4**

Exposure at default to counterparty risk was €68.9 billion at 31 December 2015 (€63.0 billion in the form of derivatives, and €15.9 billion in the form of securities financing transactions).

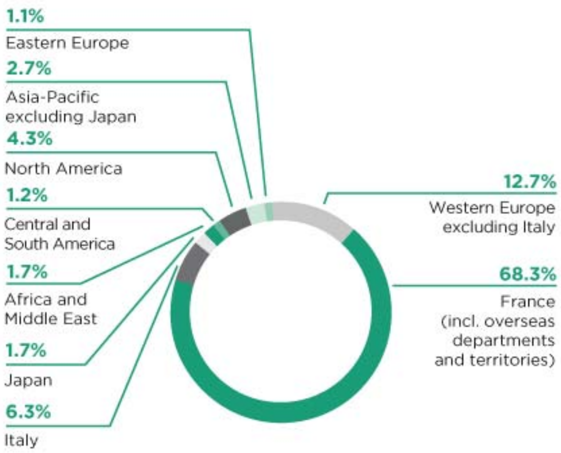
Information on exposure to transactions on forward financial instruments is also provided in Note 3.1 "Credit risk" to the consolidated financial statements.

1.2 EXPOSURES BY GEOGRAPHIC AREA

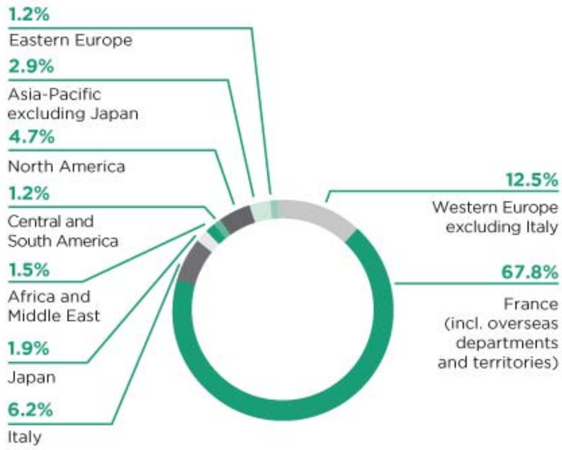
The breakdown by geographic area includes all Crédit Agricole Group exposures except for securitisation transactions and assets other than credit obligations.

At 31 December 2015, the breakdown by geographic area totalled €1,353.2 billion compared with €1,322.6 billion at 31 December 2014.

AT 31 DECEMBER 2015



AT 31 DECEMBER 2014



Geographic area of exposure	Central governments and central banks		Institutions		Corporates		Retail customers		Shares	
(%)	31/12/2015	31/12/2014	31/12/2015	31/12/2014	31/12/2015	31/12/2014	31/12/2015	31/12/2014	31/12/2015	31/12/2014
France (incl. overseas departments and territories)	58.5%	54.6%	63.2%	58.8%	52.3%	54.8%	86.2%	86.0%	90.6%	89.8%
North America	3.8%	18.4%	2.4%	23.1%	10.3%	16.7%	0.0%	3.4%	4.4%	4.5%
Western Europe excluding Italy	20.4%	10.3%	20.8%	4.1%	17.8%	8.1%	3.6%	0.0%	0.5%	0.5%
Japan	7.7%	8.6%	1.7%	1.9%	1.2%	1.2%	0.0%	0.0%	3.7%	0.4%
Italy	5.1%	4.4%	2.7%	2.5%	5.9%	5.8%	8.3%	8.6%	0.4%	4.5%
Asia-Pacific excluding Japan	2.0%	1.6%	5.2%	5.4%	5.2%	5.9%	0.2%	0.2%	0.1%	0.1%
Africa and Middle East	1.6%	1.3%	2.5%	2.0%	2.7%	2.7%	0.6%	0.6%	0.2%	0.2%
Central and South America	0.0%	0.7%	1.1%	0.6%	3.1%	1.9%	0.1%	1.1%	0.1%	0.0%
Eastern Europe	0.9%	0.1%	0.4%	1.6%	1.5%	2.9%	1.0%	0.1%	0.0%	0.0%
TOTAL	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**

With no major change since 2014, the loan book is concentrated on France (68.3% compared with 67.9% in 2014) and Western Europe in general (87.3% compared with 88.6% in 2014).

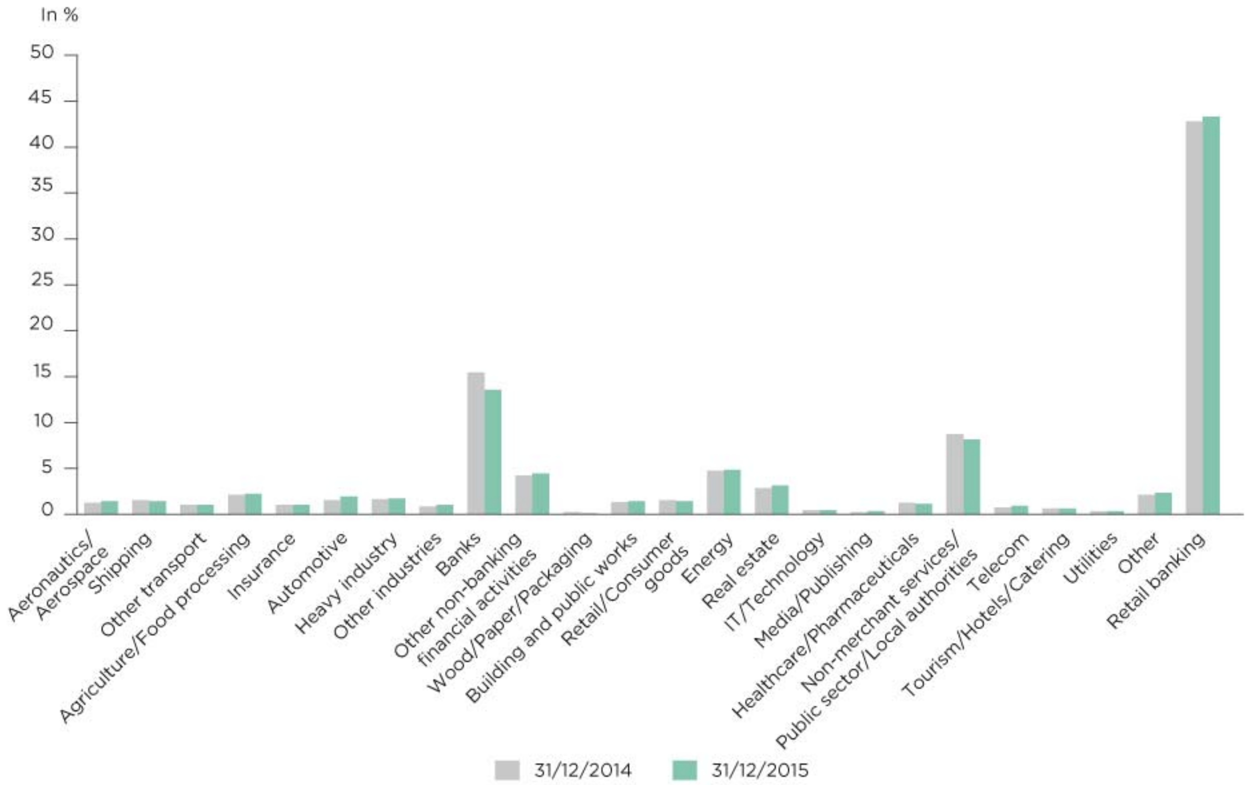
1.3 EXPOSURES BY BUSINESS SECTOR

The breakdown by business sector covers Crédit Agricole. Group's exposures to Central governments and central banks, Institutions, Corporates and Retail customers. The Retail customer portfolio is also broken down by Basel sub-portfolio (home loans, revolving credit, other small business loans, farmers and other retail).

At 31 December 2015, the breakdown by business sector totalled €1,223 billion compared with €1,195 billion at 31 December 2014.

2015 exposure

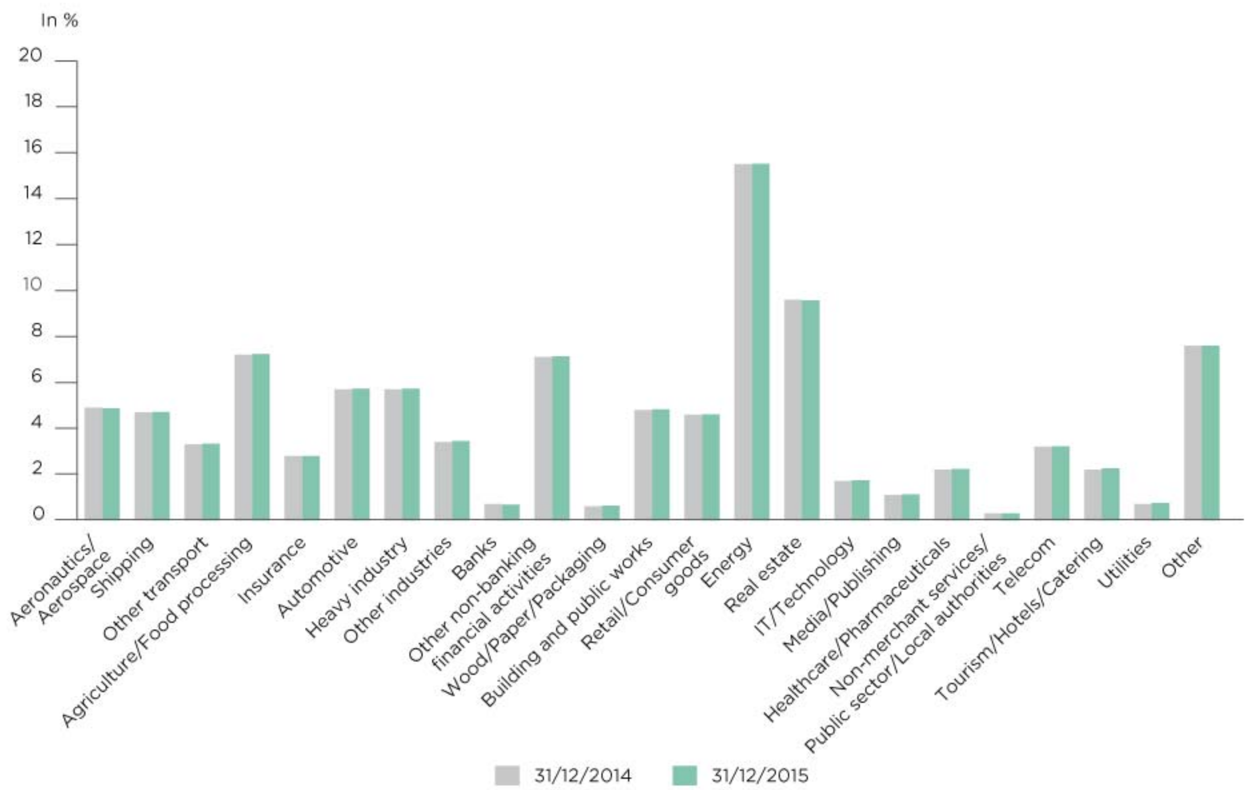
Regulatory scope defined above, including central governments and central banks, institutions, corporates and retail customers.



The breakdown of the loan book by business sector changed little in 2015, and still shows a good level of risk diversification. The five largest sectors (excluding retail banking and banking) represent less than 25% of total outstandings.

Excluding Retail customers and the financial and public sectors, the **Corporate portfolio** also shows a level of diversification that has changed little compared with 2014.

BREAKDOWN OF EXPOSURES - CORPORATE PORTFOLIO

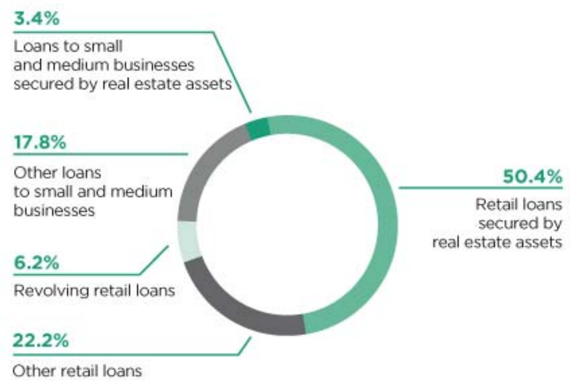


Breakdown of exposures – Retail customer portfolio

The chart below shows a breakdown of the Crédit Agricole Group's Retail customer portfolio exposures by Basel sub-portfolio (outstandings of €529.4 billion at 31 December 2015 compared with €511.2 billion at 31 December 2014, an increase of 3.6% over the year).

Retail customers at 31 December 2015

Retail customers at 31 December 2014



As in previous years, the biggest change concerned the "retail loans secured by real estate assets" book (52% of the Group's Retail banking portfolio at 31 December 2015 compared with 50,4% at 31 December 2014) and the ogoing fall in the share of revolving retail loans.

1.4 EXPOSURES BY RESIDUAL MATURITY

The breakdown of exposures by residual maturity and by financial instrument is disclosed on an accounting basis in Note 3.3 to the consolidated financial statements on "Liquidity and financing risk".

2. Quality of exposures

2.1 QUALITY OF EXPOSURES IN THE STANDARDISED APPROACH

Credit risk exposure in standardised approach

For Central governments and central banks and Institutions in the standardised approach, the Crédit Agricole Group has chosen to use Moody's ratings for the sovereign risk and the correspondence grid with the French Prudential Supervisory and Resolution Authority's (ACPR) credit quality assessment scale.

The Group does not use external credit rating agencies for Corporate exposures. As a result, in accordance with Article 121 of EU Regulation 575/2013 of 26 June 2013, companies are weighted at 20%, 50%, 100% or 150% except within the LCL scope, where the standardised method uses the Bank of France scales.

The first level remained highly prevalent in the portfolio (76.7% at end-2015).

Exposure to institutions under the standardised approach remained, as in earlier years, almost entirely concentrated on the top credit quality level, reflecting the extent of business with very high quality institutions.

For clarity, the tables **breaking down risk exposures and exposure values by regulatory exposure categories, and that giving credit quality levels** are presented in the consolidated report on Risk Factors and Pillar 3, available on the website: www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information.

2.2 QUALITY OF EXPOSURES UNDER THE INTERNAL RATINGS-BASED APPROACH (IRB)

Presentation of the internal ratings system and procedure

The internal ratings systems and procedures are described in the section entitled "Risk Factors – Credit Risk – Risk Measurement methods and systems".

As exposure to Retail customers' credit risk categories does not use the same internal ratings as the other categories, they are presented separately.

The breakdown of the Large customer portfolios (exposure class: Central governments and central banks, Institutions and Corporates) by internal rating continues to reflect very good overall quality: **more than 80% of exposures are classified as investment grade (internal rating of A+ to C-).**

The disparities between customer types seen in prior years in the retail banking portfolio were again apparent in 2015. The distribution of observed PD levels in loans secured by real estate assets is significantly narrower than for other types of asset. For instance, 75% of EAD to the "Retail loans secured by real estate assets" book were internally rated 1-6 (PD of less than 0.96%), while this figure falls to 47% for "Other loans to small and medium businesses".

The differences in respect of PD levels are even more pronounced if we observe the contributions of expected losses attributable to significant differences in LGD levels from one portfolio to another. Exposure to "retail loans secured by real estate assets" accounted for 55.1% of total retail customer EAD but only 24.5% of expected losses.

For clarity, the tables **breaking down exposure to credit risk by exposure category and internal note at 31 December 2015** are presented in the consolidated report on Risk Factors and Pillar 3 available on the website: www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information.

PD and average LGD by type of performing exposure under the A-IRB approach by geographic area
The LGDs in this table are regulatory and may be subject to floors on certain portfolios.

		A-IRB approach	
Category of exposure	**Geographic area**	**PD**	**LGD**
Loans to small and medium businesses			
o/w other	**All geographic area**	**3.5%**	**19.9%**
	Western Europe Excluding Italy	3.0%	20.5%
	France (incl. overseas departments and territories)	3.5%	19.1%
	Italy	4.0%	40.7%
o/w secured by real estate assets	**All geographic area**	**3.0%**	**15.3%**
	France (incl. overseas departments and territories)	2.9%	15.1%
	Italy	4.0%	16.9%
Retail loans			
o/w secured by real estate assets	**All geographic area**	**1.5%**	**13.3%**
	France (incl. overseas departments and territories)	1.5%	13.1%
	Italy	0.9%	17.4%
o/w other	**All geographic area**	**2.2%**	**23.8%**
	Asia-Pacific excluding Japan	20.0%	38.8%
	Western Europe excluding Italy	1.2%	19.7%
	France (incl. overseas departments and territories)	2.1%	20.9%
	Italy	4.5%	49.7%
o/w revolving	**All geographic area**	**2.5%**	**50.5%**
	France (incl. overseas departments and territories)	2.0%	48.2%
	Italy	5.8%	65.5%
Central governments and central banks	**All geographic area**	**0.1%**	**1.9%**
	Africa and Middle East	0.1%	6.7%
	North America	0.0%	1.0%
	Asia-Pacific excluding Japan	0.1%	2.4%
	Eastern Europe	0.3%	45.0%
	Western Europe excluding Italy	0.0%	1.9%
	France (incl. overseas departments and territories)	0.1%	2.2%
	Italy	0.1%	10.0%
	Japan	0.0%	1.0%
Corporates	**All geographic area**	**0.8%**	**33.4%**
	Africa and Middle East	0.6%	52.8%
	North America	0.9%	36.6%
	Asia-Pacific excluding Japan	0.4%	34.9%
	Eastern Europe	0.3%	50.3%
	Western Europe excluding Italy	0.7%	37.0%
	France (incl. overseas departments and territories)	0.8%	28.4%
	Italy	1.0%	45.6%
	Japan	1.0%	23.3%
Institutions	**All geographic area**	**0.2%**	**22.3%**
	Africa and Middle East	0.1%	28.0%
	North America	0.1%	11.3%
	Asia-Pacific excluding Japan	0.3%	32.1%
	Eastern Europe	0.4%	37.5%
	Western Europe excluding Italy	0.1%	18.6%
	France (incl. overseas departments and territories)	0.2%	23.2%
	Italy	0.1%	9.4%
	Japan	0.1%	20.1%

In addition, only France has IRBF exposure on the following portfolios: Central governments and central banks, Institutions and Corporates.

3. Exposures at default and valuation adjustments

EXPOSURES AT DEFAULT AND VALUATION ADJUSTMENTS AT 31 DECEMBER 2015

		Exposures at default				
(in billions of euros)	Gross exposure	Standardised approach	IRB approach	Total	Individual valuation adjustments	Collective valuation adjustments approach
Central governments and central banks	189.2	0.0	0.0	**0.0**	0.0	0.0
Institutions	160.9	0.1	0.5	**0.6**	0.8	0.1
Corporates	454.2	5.1	6.0	**11.1**	5.8	2.8
Retail customers	529.4	2.0	14.8	**16.8**	9.8	3.4
Loans to individuals	*418.4*	*1.7*	*9.1*	***10.7***	*5.8*	*1.9*
o/w secured by property	*274.9*	*0.2*	*4.2*	***4.4***	*1.9*	*0.9*
o/w revolving	*28.8*	*0.4*	*0.5*	***0.8***	*0.6*	*0.1*
o/w other	*114.7*	*1.1*	*4.4*	***5.5***	*3.3*	*0.9*
Loans to small and medium businesses	*111.0*	*0.3*	*5.7*	***6.1***	*4.0*	*1.5*
o/w secured by property	*17.6*	*0.0*	*1.0*	***1.0***	*0.5*	*0.3*
o/w other loans	*93.4*	*0.3*	*4.7*	***5.1***	*3.5*	*1.2*
TOTAL	**1,333.7**	**7.2**	**21.3**	**28.5**	**16.4**	**6.3**

EXPOSURES AT DEFAULT AND VALUATION ADJUSTMENTS AT 31 DECEMBER 2014

		Exposures at default				
(in billions of euros)	Gross exposure	Standardised approach	IRB approach	Total	Individual valuation adjustments	Collective valuation adjustments approach
Central governments and central banks	203.0	0.0	0.0	**0.0**	0.0	0.0
Institutions	165.5	0.1	0.5	**0.6**	0.6	0.1
Corporates	424.3	5.0	5.8	**10.8**	6.0	2.7
Retail customers	511.3	2.1	15.2	**17.3**	10.3	3.6
Loans to individuals	*402.7*	*1.6*	*9.5*	***11.1***	*6.3*	*2.2*
o/w secured by property	*257.8*	*0.2*	*4.1*	***4.3***	*1.8*	*1.0*
o/w revolving	*31.7*	*0.4*	*0.5*	***0.9***	*0.6*	*0.1*
o/w other	*113.2*	*1.0*	*4.8*	***5.8***	*3.9*	*1.1*
Loans to small and medium businesses	*108.6*	*0.5*	*5.7*	***6.2***	*4.0*	*1.4*
o/w secured by property	*17.4*	*0.1*	*0.9*	***1.0***	*0.5*	*0.3*
o/w other loans	*91.2*	*0.4*	*4.8*	***5.2***	*3.5*	*1.1*
TOTAL	**1,304.1**	**7.2**	**21.5**	**28.7**	**16.9**	**6.4**

Exposures at default, which totalled €28.5 billion at 31 December 2015, were down slightly with 31 December 2014.

The stock of collective valuation adjustments were stable at €6.3 billion.

EXPOSURES AT DEFAULT AND VALUATION ADJUSTMENTS BY GEOGRAPHIC AREA

31/12/2015 (in billions of euros)	Exposures at default		Individual valuation adjustments	Collective valuation adjustments approach
	Standardised approach	Internal ratings-based approach		
Africa and Middle East	0.3	0.6	0.9	0.1
Central and South America	0.0	0.6	0.4	0.0
North America	0.0	0.1	0.1	0.0
Asia-Pacific (excluding Japan)	0.0	0.3	0.1	0.0
Eastern Europe	0.6	0.1	0.5	0.1
Western Europe excluding Italy	0.3	1.6	0.8	0.1
France (incl. overseas departments and territories)	2.2	14.3	10.4	5.5
Italy	3.8	3.7	3.2	0.5
Japan	0.0	0.0	0.0	0.0
TOTAL	**7.2**	**21.3**	**16.4**	**6.3**

31/12/2014 *(in billions of euros)*	Exposures at default		Individual valuation adjustments	Collective valuation adjustments approach
	Standardised approach	Internal ratings-based approach		
Africa and Middle East	0.3	0.6	0.8	0.1
Central and South America	0.0	0.6	0.4	0.0
North America	0.0	0.1	0.0	0.0
Asia-Pacific (excluding Japan)	0.0	0.2	0.1	0.0
Eastern Europe	0.6	0.1	0.5	0.0
Western Europe excluding Italy	0.4	1.4	1.2	0.0
France (incl. overseas departments and territories)	2.1	14.7	10.6	5.8
Italy	3.8	3.8	3.3	0.6
Japan	0.0	0.0	0.0	0.0
TOTAL	**7.2**	**21.5**	**16.9**	**6.5**

Total exposures at default (using the standardised and IRB approaches) remain concentrated on the same areas as in 2014 (Italy, France and Western Europe excluding Italy). These areas contribute 26%, 58% and 7% of the total respectively.

4. Comparison between estimated and actual losses

The ratio of Expected Losses (EL) to Exposure at Default (EAD) was 2.00% at 31 December 2015, slightly up from 31 December 2014, when the ratio was 1.96%. This ratio is calculated for the Central government and central banks, Institutions, Corporates, Retail customer and Equity portfolios.

At the same time, the ratio of provisions to gross exposures was 1.86% at 31 December 2015, compared with 1.93% at 31 December 2014.

II. Credit risk mitigation techniques

Definitions:

- **collateral:** a security interest giving the bank the right to liquidate, keep or obtain title to certain amounts or assets in the event of default or other specific credit events affecting the counterparty, thereby reducing the credit risk on an exposure;
- **personal guarantee:** undertaking by a third party to pay the sum due in the event of the counterparty's default or other specific credit events, therefore reducing the credit risks on an exposure.

1. Collateral management system

The main categories of collateral taken by the bank are described in the section entitled "Risk Factors – Credit Risk – Collateral and guarantees received".

When a credit is granted, collateral is analysed to assess the value of the asset, its volatility and the correlation between the value of the collateral and the quality of the counterparty financed. Regardless of collateral quality, the first criterion in the lending decision is always the borrower's ability to repay sums due from cash flow generated by its operating activities, except for specific trade finance transactions.

For financial collateral, a minimum exposure coverage ratio is usually included in loan contracts, with readjustment clauses. Financial collateral is revalued according to the frequency of margin calls and the variability of the underlying value of financial assets transferred as collateral or quarterly, as a minimum.

The minimum coverage ratio (or the haircut applied to the value of the collateral under Basel 3) is determined by measuring the pseudo-maximum deviation of the value of the securities on the revaluation date. This measurement is calculated with a 99% confidence interval over a time horizon covering the period between each revaluation, the period between the default date and the date on which asset liquidation starts, and the duration of the liquidation period. This haircut also applies for currency mismatch risk when the securities and the collateralised exposure are denominated in different currencies. Additional haircuts are applied when the size of the stocks position implies a block sale or when the borrower and the issuer of the collateral securities belong to the same risk group.

The initial value of real estate assets granted as collateral is based on acquisition or construction cost. It may subsequently be revalued using a statistical approach based on market indices, or on the basis of an expert appraisal performed at least annually.

For retail banking (LCL, Cariparma), revaluation is automatic based on changes in the property market indices. In contrast, for project-type property financing, assets are mainly revalued on the basis of an expert appraisal combining various approaches (asset value, rental value, etc.) and include external benchmarks.

For minimum coverage ratios (or the haircut applied to the collateral value under Basel 3), Crédit Agricole CIB projects the value of the real estate asset between the revaluation date and the date on which the collateral is realised by modelling the asset value, and includes the repossession costs over that period. Assumptions regarding liquidation periods depend on the type of financing (project, property investment companies, property developers, etc.).

Other types of asset may also be pledged as non recourse financial assets. This is notably the case for certain activities such as aircraft, shipping or commodities financing. These businesses are conducted by middle offices, which have specific expertise in valuing the assets financed.

2. Protection providers

Two major types of guarantee are mainly used (other than intragroup guarantees): export credit insurance taken out by the Bank and unconditional payment guarantees.

The main guarantee providers (excluding credit derivatives – see section below) are export credit agencies, most of which enjoy a good quality sovereign rating. The largest are Coface (France), Sace S.p.A. (Italy), Euler Hermès (Germany) and Korea Export Insur (Korea).

FINANCIAL HEALTH RATINGS AVAILABLE FROM EXPORT CREDIT AGENCIES

	Moody's	Standard & Poor's	Fitch Ratings
	Rating [outlook]	**Rating [outlook]**	**Rating [outlook]**
Coface S.A.	A2 [stable]		AA- [stable]
Euler Hermès	Aa3 [stable]	AA- [stable]	
Sace S.p.A.			A- [stable]

Moreover, the guarantees received from mutual guarantee companies cover a substantial portion of the loans in the Group's "residential real estate" portfolio in France (see table hereinafter). These outstandings are backed by guarantees granted by Crédit Logement (rated Aa3 stable by Moody's) or by the Group's subsidiary insurance company, CAMCA (rated A- by Fitch). The guarantors themselves are supervised by the ACPR and are subject to prudential regulation applying to either financing companies, for Crédit Logement, or insurance companies (Solvency 1 and 2), for CAMCA.

AMOUNTS IN OUTSTANDING PROPERTY LOANS GUARANTEED BY CAMCA AND CRÉDIT LOGEMENT

	Outstandings at 31/12/2015		Outstandings at 31/12/2014	
(in millions of euros)	in outstandings guaranteed	% of guaranteed loans in the "residential real estate loans" portfolio in France	in outstandings guaranteed	% of guaranteed loans in the "residential real estate loans" portfolio in France
Coverage by financial guarantee insurance companies (Crédit Logement, CAMCA)	147,672	59,3%	137,584	56.5%

Where Crédit Logement is concerned, the guarantee granted covers, with no deductible, the payment of all amounts legally due by defaulting borrowers in principal, interest, insurance premiums and costs. When the guarantee is granted, the guarantor applies an independent selection policy in addition to that already implemented by the bank. Where CAMCA is concerned, the guarantee mechanism is broadly similar to that of Crédit Logement, with the difference that the payments made by CAMCA with respect to the guarantee arise once the bank's means of recourse against the borrower have been exhausted. In the end, these guarantee provisions significantly enhance the quality of the property loans guaranteed and constitute a full transfer of risk in respect of these outstandings.

3. Use of credit derivatives for hedging purposes

Credit derivatives used for hedging purposes are described in the section entitled "Risk Factors – Credit Risk – Credit Risk Mitigation Mechanisms – Use of Credit Derivatives".

III. Securitisation transactions

The credit risk on securitisation transactions is presented in the Securitisation chapter below.

IV. Equity exposures in the banking portfolio

Crédit Agricole Group's equity exposures, excluding the trading book, consist of securities "that convey residual, subordinated claims on the assets or income of the issuer or have a similar economic substance". These mainly include:

- listed and non-listed equities and shares in investment funds;
- options implicit in convertible, redeemable or exchangeable bonds;
- stock options;
- deeply subordinated securities.

Non-consolidated equity interests are acquired for management purposes (financial assets at fair value through profit or loss or designated as at fair value through profit or loss or held-for-trading, available-for-sale financial assets, held-to-maturity investments, loans and receivables) as described in Note 1.3 to the financial statements entitled "Accounting policies and principles".

The accounting policies and valuation methods used are described in Note 1.3 to the financial statements "Accounting policies and principles".

GROSS EXPOSURE AND EXPOSURE AT DEFAULT BY EXPOSURE CLASS

	31/12/2015		31/12/2014	
(in billions of euros)	Gross exposure	Exposure at default	Gross exposure	Exposure at default
Equity exposures under the internal ratings-based approach	**18.0**	**17.5**	**16.9**	**16.4**
Private equity exposures in sufficiently diversified portfolios	1.0	1.0	0.8	0.8
Listed equity exposures	2.2	2.1	1.7	1.6
Other equity exposures	14.8	14.4	14.4	14.0
Equity exposures under the standardised approach	**1.5**	**1.2**	**1.5**	**1.4**
TOTAL EQUITY EXPOSURE	**19.5**	**18.7**	**18.5**	**17.8**

Equity exposures under the internal ratings based approach mainly consist of the portfolios of Crédit Agricole S.A., Crédit Agricole CIB and Crédit Agricole Investissement et Finance.

The value of the equity exposures under the internal ratings based approach amounted to €18.0 billion at 31 December 2015 (compared with €16.9 billion at 31 December 2014).

The cumulative amount of realised gains or losses on sales and settlements over the period under review is presented in Note 4 to the financial statements "Notes to the income statement".

SECURITISATION

I. Definitions

Crédit Agricole Group carries out securitisation transactions as an originator, arranger or as an investor according to the Basel 3 criteria.

Securitisation transactions, listed below, consist of transactions defined in Directive 2013/36/EU ("CRD 4") and EU Regulation 575/2013 of 26 June 2013 ("CRR") in force since 1 January 2014. The directive and regulations incorporate into European law the international Basel 3 reforms (issued in December 2010) introducing, among other things, new requirements for bank solvency and oversight of liquidity risk. They cover transactions or schemes under which the credit risk associated with an exposure or pool of exposures is sub-divided into tranches with the following features:

- payments depend on the performance of the underlying exposure or pool of exposures;
- the subordination of tranches determines how losses are distributed over the life of the transaction or scheme.

Securitisation transactions include:

- standard securitisations: imply the economic transfer of the securitised exposures. This means the transfer of ownership of the securitised exposures by the reporting originating institution directly to a securitisation vehicle or *via* a vehicle's sub-investment in the securitised exposures. Notes issued by the securitisation vehicle do not constitute payment obligations for the reporting originating institution;
- synthetic securitisations: the credit risk is transferred through the use of credit derivatives or guarantees and the pool of securitised exposures is kept on the balance sheet of the reporting originating institution.

The securitisation exposures detailed below cover all securitisation exposures (recorded on or off-balance sheet) that generate risk weighted assets (RWA) and capital requirements with respect to the Group's regulatory portfolio, according to the following typologies:

- originator programmes, deemed efficient under Basel 3 insofar as there is a significant transfer of risks;
- programmes as arranger/sponsor in which the Group has maintained positions;
- programmes issued by third parties in which the Group has invested;
- securitisation swap positions (exchange or interest rate hedges) offered to securitisation vehicles.

The securitisation transactions on own account carried out as part of non-derecognised collateralised financing operations, are not described below. Their impact on the consolidated financial statements is detailed in Notes 2.3 and 6.6 "Securitisation transactions" and "Transferred assets not derecognised or derecognised with on-going involvement" to the financial statements.

It should be noted that most securitisation transactions on behalf of European customers involve Ester Finance Titrisation, a wholly owned banking subsidiary of Crédit Agricole CIB, which finances the purchase of receivables and makes Crédit Agricole CIB both sponsor and originator of these securitisation transactions.

II. Purpose and strategy

1. Securitisation transactions on own account

Crédit Agricole Group's securitisation transactions on own account are the following:

COLLATERALISED FINANCING TRANSACTIONS

These transactions are designed for the issue of securities and, where appropriate, can be wholly or partially placed with investors, sold under repurchase agreements or kept on the issuer's balance sheet as liquid securities reserves that can be used to manage refinancing. This activity relates to several of the Group's entities, mainly CA Consumer Finance and its subsidiaries. In 2015, Crédit Agricole's Regional Banks carried out a home loans securitisation transaction ("RMBS") in this respect.

ACTIVE MANAGEMENT OF CRÉDIT AGRICOLE CIB'S CUSTOMER FINANCING PORTFOLIO

This activity consists of using securitisations and credit derivatives to manage the credit risk of Crédit Agricole CIB's customer financing portfolio. It entails purchasing credit derivatives on single exposures (see section on Risk factors – Credit risks section – Use of credit derivatives) and protections on asset portfolio tranches to reduce the risk. It also entails selling credit derivatives and senior tranches to reduce the sensitivity of the protection portfolio.

The objectives of this management of the financing portfolio are to optimise capital allocation, notably by reducing the concentration of outstanding loans to corporates, to release resources to contribute to the renewal of the Crédit Agricole CIB banking portfolio (in the Distribute to Originate model) and to maximise the profitability of capital. This business is managed by Crédit Agricole CIB's Credit Portfolio Management team. The approach used to calculate the risk weighted exposures on proprietary securitisation positions is the regulatory formula approach. In this business, the bank does not systematically purchase protection on all tranches of a portfolio, as the management goal is to cover some of the more risky financing portfolio tranches whilst keeping part of the overall risk.

CRÉDIT AGRICOLE CIB DISCONTINUING ACTIVITIES

These consist of investments in securitisation tranches that are either managed in run-off, or exposures for which the risk is considered to be low and that Crédit Agricole CIB is willing to carry for the long term. These were segregated into a dedicated regulatory banking book in 2009. These activities generate no market risk.

2. Securitisation transactions carried out on behalf of customers as arranger/sponsor, intermediary or originator

Within Crédit Agricole Group, only Crédit Agricole CIB carries out securitisation transactions on behalf of customers.

Securitisation transactions on behalf of customers within Global Markets activities allow Crédit Agricole CIB to raise funds or manage a risk exposure on behalf of its customers. When carrying out these activities, Crédit Agricole CIB can act as an originator, sponsor/arranger or investor:

- as a sponsor/arranger, Crédit Agricole CIB structures and manages securitisation programmes that refinance assets of the bank's customers, mainly *via* ABCP (Asset Backed Commercial Paper) conduits, namely LMA in Europe Atlantic in the United States and ITU in Brazil. These specific entities are protected from Crédit Agricole CIB bankruptcy risk but are consolidated at Group level since the entry into force on 1 January 2014 of IFRS 10. The roles played by Crédit Agricole CIB as sponsor, manager and provider of liquidity lines give it power directly related to the variability of returns of the business. The liquidity facilities protect investors from credit risk and guarantee the liquidity of the conduits;
- as an investor, the Group invests directly in certain securitisation exposures and is a liquidity provider or counterparty of derivative exposures (exchange or interest rate swaps for instance).

2.1 ACTIVITIES CARRIED OUT AS ARRANGER/SPONSOR, INTERMEDIARY OR ORIGINATOR

As an arranger, sponsor or originator, Crédit Agricole CIB carries out securitisation transactions on behalf of its customers. At 31 December 2015, there were two active consolidated multi-seller vehicles (LMA and Atlantic), structured by the Group on behalf of third parties. LMA and Atlantic are fully supported conduits. This ABCP conduits activity finances the working capital requirements of some of the Group's customers by backing short term financing with traditional assets, such as commercial or financial loans. The amount of the assets held by these vehicles and financed through the issuance of marketable securities amounted to €18.7 billion at 31 December 2015 (€16.1 billion at 31 December 2014).

The default risk on the assets held by these vehicles is borne by the sellers of the underlying receivables through credit enhancement or by insurers for certain types of risk upstream of the ABCP conduits. Crédit Agricole CIB bears the risk through liquidity facilities for the two ABCP conduits. It should be noted that the Securitisation business has never sponsored any SIVs (Structured Investment Vehicles).

The conduits activity was sustained throughout 2015, and the newly securitised outstandings mainly relate to commercial and financial loans.

For part of this conduits activity, Crédit Agricole CIB acts as the originator insofar as the structures involve the entity Ester Finance Titrisation, which is a consolidated Group entity.

The amount committed to liquidity facilities granted to LMA Atlantic and ITU as sponsors was €25.5 billion at 31 December 2015 (€21.9 billion at 31 December 2014).

2.2 ACTIVITIES CARRIED OUT AS INVESTOR

As part of its sponsor activities, the Group can grant guarantees and liquidity facilities to securitisation vehicles or act as a counterparty for derivatives in *ad hoc* securitisation transactions. These are mainly exchange rate swaps provided to the ABCP conduits and interest rate swaps for some ABS issues. These activities are recorded in the banking portfolio as investor activities.

Moreover, Crédit Agricole CIB may be called upon to directly finance on its balance sheet some securitisation transactions on behalf of its customers (mainly aerospace transactions and vehicle fleet financing) or provide support through a liquidity facility to an issue by special purpose vehicles external to the Group (SPV or ABCP conduit not sponsored by Crédit Agricole CIB). In this case, Crédit Agricole CIB is deemed to be an investor. Overall, this activity corresponded to outstandings of €1.6 billion at 31 December 2015 (€1.5 billion at 31 December 2014).

2.3 INTERMEDIATION TRANSACTIONS

Crédit Agricole CIB participates in pre-securitisation financing, in the structuring and in the placement of securities, backed by client asset pools and to be placed with investors.

In this business, the bank retains a relatively low risk *via* the possible contribution of back-up lines to securitisation vehicles or *via* a share of the notes issued.

III. Risk monitoring and recognition

1. Risk monitoring

The management of risks related to securitisation transactions follows the rules established by the Group, according to which these assets are recorded in the banking portfolio (credit and counterparty risk) or in the trading book (market and counterparty risk).

Outside Crédit Agricole CIB, the Group's only securitisation transactions are standard securitisations that the Group carries out on own account as an originator, as part of collateralised financing transactions. The monitoring of the risk in respect of the underlying assets is not modified by these transactions.

The development, sizing and targeting of securitisation transactions are periodically reviewed by Portfolio Strategy Committees specific to those activities and the countries to which they relate.

Risks on securitisation transactions are measured against the capacity of the assets transferred over to financing structures to generate sufficient flows to cover the costs, mainly, financial of these structures.

Crédit Agricole CIB's securitisation exposures are treated in accordance with the IRB-securitisation framework approach, *i.e.*:

- Ratings-Based Approach (RBA) for exposures with a public external rating (directly or inferred) from an agency approved by the Committee of European Banking Supervisors (CEBS). The external agencies used are Standard & Poor's, Moody's, Fitch Ratings and Dominion Bond Rating Services (DBRS);
- Internal Assessment Approach (IAA): internal rating methodology approved by Crédit Agricole S.A.'s Standards and Methodology Committee for the main asset classes (particularly commercial loans and car financing) when there are no agency ratings for the exposure under consideration;
- Supervisory Formula Approach (SFA): in residual cases where there are neither public external ratings nor any possibility of applying the IAA method for exposures with no public external rating.

These ratings cover all types of risks generated by such securitisation transactions: intrinsic risks on receivables (debtor insolvency, payment delays, dilution, offsetting of receivables) or risks on the structuring of transactions (legal risks, risks relating to the receivables collection circuit, risks relating to the quality of information supplied periodically by managers of transferred receivables, other risks related to the seller, etc.).

These critically examined ratings are only a tool for making decisions pertaining to these transactions; such decisions are taken by credit Committees at various levels.

Credit decisions relate to transactions that are reviewed at least once a year by the same Committees. Committee decisions incorporate varying limits according to the evolution of the acquired portfolio (arrears rate, loss rate, rate of sector-based or geographical concentration, rate of dilution of receivables or periodic valuation of assets by independent experts, etc.); non-compliance with these limits may cause the structure to become stricter or place the transaction in early amortisation.

These credit decisions also include, in liaison with the Bank's other credit Committees, an assessment focusing on the risk generated by the sellers of the receivables and the possibility of substituting the manager by a new one in the event of a failure in the management of those receivables.

Like all credit decisions, these decisions include aspects of compliance and "country risk".

The liquidity risk associated with securitisation activities is monitored by the business lines in charge, but also centrally by Crédit Agricole CIB's Market Risk and Asset and Liability Management departments. The impact of these activities is incorporated into the Internal Liquidity Model indicators, mainly stress scenarios, liquidity ratios and liquidity gaps. The management of liquidity risk is described in more detail in the paragraph entitled "Liquidity and financing risk" of the Risk factors section in this chapter.

The management of structural currency risk with respect to securitisation activities does not differ from that of the Group's other assets. As regards interest rate risk management, securitised assets are refinanced through *ad hoc* vehicles according to interest rate matching rules similar to those applying to other assets.

For assets managed in run-off mode, each transfer of position is first approved by Crédit Agricole CIB's Market Risk department.

Crédit Agricole CIB had no secondary securitisation positions at 31 December 2015 and therefore carries out no specific monitoring of this activity.

2. Accounting policies

Under securitisation transactions, a derecognition test is carried out with respect to IAS 39.

In the case of synthetic securitisations, the assets are not derecognised in that they remain under the control of the institution. The assets are still recognised according to their classification and original valuation method.

The standard securitisations of its financial assets that the Group carries out on own account are performed as part of collateralised financing operations that are not derecognised (neither from an accounting nor a regulatory perspective). Their impact on the consolidated financial statements is detailed in Notes 2.3 and 6.6 "Securitisation transactions" and "Transferred assets not derecognised or derecognised with on-going involvement" to the financial statements.

Moreover, investments made in securitisation instruments (cash or synthetic) are recognised according to their classification and the associated valuation method.

These elements are presented in Note 1.3 to the consolidated financial statements, on accounting principles and methods.

The securitisation exposures can be classified in the following accounting categories:

- "Loans and receivables": these securitisation exposures are measured following initial recognition at amortised cost based on the effective interest rate and may, if necessary, be impaired;
- "Available-for-sale financial assets": these securitisation exposures are remeasured at fair value on the closing date and any changes in fair value are recognised in other comprehensive income;
- "Financial assets at fair value through profit or loss": these securitisation exposures are remeasured at fair value on the closing date and any changes in fair value are recognised through profit or loss under "Net gains (losses) on financial instruments at fair value through profit or loss".

Gains (losses) on the disposal of these securitisation exposures are recognised in accordance with the rules of the original category of the exposures sold.

So, for exposures classified under loans and receivables and under available-for-sale financial assets, gains (losses) on disposal are recognised through profit or loss on the "Net gains (losses) on available-for-sale financial assets" respectively on the "Gains (losses) on disposal of loans and receivables" and "Gains (losses) on disposal of available-for-sale financial assets" lines.

For exposures classified at market value through profit or loss, gains (losses) on disposal are recognised under "Net gains (losses) on financial instruments at fair value through profit or loss".

IV. Summary of activity on behalf of customers in 2015

Crédit Agricole CIB's Securitisation activity in 2015 was characterised by:

- the establishment by Credit Portfolio Management as part of its management of the funding portfolio of two synthetic securitisation portfolios in the amounts of US$923 million and US$1,200 million respectively, consisting of exposures to large corporates. The two transactions released approximately 880 million euros in RWAs in the year ended 31 December 2015;
- support of the development of the public ABS market in the United States and in Europe. Crédit Agricole CIB structured and organised the placement (arranger and bookrunner) of a significant number of primary ABS issues on behalf of its major "Financial institution" customers, in particular in the automotive industry and consumer financing;
- on the ABCP conduits market, Crédit Agricole CIB maintained its ranking as one of the leaders on this segment, both in Europe and in the American market. This was achieved *via* the renewal and implementation of new securitisation operations for commercial or financial loans on behalf of its mainly Corporate customers, while ensuring that the profile of risks borne by the Bank remained good. The strategy of Crédit Agricole CIB, focused on the financing of its customers, is well perceived by investors and resulted in financing conditions that remained competitive.

At 31 December 2015, Crédit Agricole CIB had no early-redemption securitisation programmes, no assets awaiting securitisation and no secondary securitisation exposures.

In 2015, Crédit Agricole CIB did not support any securitisation programmes within the meaning of Article 248(1) of the CRR.

V. Exposures

1. Exposure at default to securitisation operation risks in the Banking Book that generate risk weighted assets

1.1 SECURITISATION TRANSACTIONS USING INTERNAL RATING-BASED APPROACH

Exposure at default of securitisation transactions by role

Underlyings	Securitised EAD at 31/12/2015						
	Standard			Synthetic			
(in millions of euros)	*Investor*	*Originator*	*Sponsor*	*Investor*	*Originator*	*Sponsor*	Total
Residential real estate loans	187	1,514	94	5	7		**1,807**
Commercial real estate loans	9	-	56	2	-		**67**
Credit card loans	0	-	-	-	-		**0**
Leasing	20	-	2,826	-	-		**2,846**
Loans to corporates and SMEs	461	216	-	2,009	2,470		**5,156**
Personal loans	55	153	2,990	-	-		**3,198**
Trade receivables	89	9,295	6,295	-	-		**15,679**
Other assets	3	378	4,956	-	-		**5,337**
TOTAL	**824**	**11,556**	**17,217**	**2,016**	**2,477**	**-**	**34,090**

For clarity, the tables breaking down **exposure at default of securitisation transactions by weighting approach and accounting classification** are presented in the consolidated report on Risk factors and Pillar 3 available on the website: www.credit-agricole.com/en/Investor-and-shareholder/Financial-reporting/Pillar-3-and-other-regulatory-information.

Securitisation position held or acquired in the banking portfolio by approach and weighting

Weighting	31/12/2015					
	Exposure at default (EAD)			Capital requirements		
(in millions of euros)	*Securitisation + Secondary securitisation*	*Securitisation*	*Secondary securitisation*	*Securitisation + Secondary securitisation*	*Securitisation*	*Secondary securitisation*
External ratings based approach	**6,446**	**4,701**	**1,745**	**164**	**141**	**23**
6-10% Weighting	1,420	1,420	0	9	9	0
12-35% Weighting	2,855	2,639	216	33	29	4
40-75% Weighting	48	48	0	3	3	0
100-650% Weighting	574	560	14	68	66	2
Weighting = 1,250%	1,549	34	1,515	51	34	17
Internal Assessment Approach	**21,332**	**21,332**	**0**	**171**	**171**	**0**
Average weighting (%)	10.04%	-	-	10.04%	-	-
Supervisory Formula Approach	**6,378**	**6,378**	**0**	**73**	**73**	**0**
Average weighting (%)	14.27%	-	-	14.27%	-	-
BANKING PORTFOLIO TOTAL	**34,156**	**32,411**	**1,745**	**408**	**385**	**23**

	31/12/2014					
	Exposure at default (EAD)			Capital requirements		
Weighting *(in millions of euros)*	*Securitisation + Secondary securitisation*	*Securitisation*	*Secondary securitisation*	*Securitisation + Secondary securitisation*	*Securitisation*	*Secondary securitisation*
External ratings based approach	**5,807**	**4,004**	**1,803**	**244**	**223**	**21**
6-10% Weighting	-	1,494	-	10	10	-
12-35% Weighting	2,129	1,748	381	21	19	2
40-75% Weighting	73	73	-	5	5	-
100-650% Weighting	689	660	28	164	160	4
Weighting = 1,250%	1,422	30	1,393	45	30	16
Internal Assessment Approach	**18,881**	**18,881**	**-**	**169**	**169**	**-**
Average weighting (%)	11.19%	-	-	11.19%	-	-
Supervisory Formula Approach	**11,652**	**11,652**	**-**	**88**	**88**	**-**
Average weighting (%)	9.41%	-	-	9.41%	-	-
BANKING PORTFOLIO TOTAL	**36,340**	**34,537**	**1,803**	**501**	**480**	**21**

Exposure at default to securitisation transaction risks on own account and on behalf of third parties

The value at risk of securitisation transactions amounted to €6,448 million on own account and €27,708 million on behalf of third parties at 31 December 2015.

1.2 SECURITISATION TRANSACTIONS USING THE STANDARDISED APPROACH

TOTAL SECURITISATION EXPOSURES

(in millions of euros)	31/12/2015	31/12/2014
TOTAL SECURITISATION EXPOSURES	**462.5**	**789.1**
Standard securitisations	462.5	789.1
Synthetic securitisations	-	-

AGGREGATE SECURITISATION EXPOSURES HELD OR ACQUIRED (EXPOSURES AT DEFAULT)

(in millions of euros)	31/12/2015	31/12/2014
AGGREGATE SECURITISATION EXPOSURES HELD OR ACQUIRED	**279.2**	**640.1**
With external credit rating	**265.9**	**609.8**
20% Weighting	30.8	79.3
40% Weighting	-	-
50% Weighting	184.8	519.8
100% Weighting	44.2	7.9
225% Weighting	-	-
350% Weighting	6.1	2.8
650% Weighting	-	-
Weighting = 1,250%	**7.5**	**13.5**
Transparency approach	**5.8**	**16.8**

2. Exposure at default to securitisation operation risks in the Trading Book generating risk weighted assets under the standardised approach

2.1 EXPOSURE AT DEFAULT OF SECURITISATION TRANSACTIONS BY ROLE USING THE STANDARDISED APPROACH

	Securitised EAD at 31/12/2015						
Underlyings	Standard			Synthetic			
(in millions of euros)	*Investor*	*Originator*	*Sponsor*	*Investor*	*Originator*	*Sponsor*	**Total**
Residential real estate loans	45	-	-	-	-	-	**45**
Commercial real estate loans	-	-	-	-	-	-	**-**
Credit card loans	-	-	-	-	-	-	**-**
Leasing	-	-	-	-	-	-	**-**
Loans to corporates and SMEs	1	-	-	-	-	-	**1**
Personal loans	-	-	-	-	-	-	**-**
Trade receivables	-	-	-	-	-	-	**-**
Secondary securitisation	-	-	-	-	-	-	**-**
Other assets	157	2	-	-	-	-	**159**
TOTAL	**203**	**2**	**-**	**-**	**-**	**-**	**205**

Exposure at default only concerns Standard securitisation.

2.2 EXPOSURE AT DEFAULT OF SECURITISATION TRANSACTIONS BY APPROACH AND BY WEIGHTING

Risk weighting tranche	31/12/2015			31/12/2014		
(in millions of euros)	Long positions	Short positions	Capital requirements	Long positions	Short positions	Capital requirements
EAD subject to weighting						
7-10% Weightings	8.32		0.04	73.48		0.37
12-18% Weightings	0.49		0.00	9.80		0.12
20-35% Weightings	96.16		0.47	83.42		0.37
40-75% Weightings	1.66		0.09	2.08		0.03
100% Weightings	5.36		0.09	5.33		0.09
150% Weightings	0.00		0.00	165.00		0.00
200% Weightings	0.00		0.00	0.00		0.00
225% Weightings	0.00		0.00	0.00		0.00
250% Weightings	6.12		0.25	6.03		0.20
300% Weightings	0.00		0.00	36.33		0.00
350% Weightings	0.00		0.00	0.00		0.00
425% Weightings	11.16		0.69	12.00		0.78
500% Weightings	0.00		0.00	167.21		0.00
650% Weightings	0.00		0.00	0.00		0.00
750% Weightings	0.00		0.00	0.00		0.00
850% Weightings	0.00		0.00	0.00		0.00
1,250% Weightings	75.74		11.58	182.15		13.05
Internal Assessment Approach	**205.01**	**-**	**13.21**	**742.82**	**-**	**15.00**
Supervisory Formula Approach	-	-	-	-	-	-
Transparency Approach	-	-	-	-	-	-
NET TOTAL DEDUCTIONS FROM CAPITAL	**-**	**-**	**-**	**-**	**-**	**-**
1,250%/Positions deducted from capital						
TRADING BOOK TOTAL	**205.01**	**-**	**13.21**	**742.82**	**-**	**15.00**

2.3 CAPITAL REQUIREMENTS RELATING TO SECURITISATIONS HELD OR ACQUIRED

	31/12/2015				31/12/2014			
(in millions of euros)	Long positions	Short positions	Total weighted positions	Capital requirements	Long positions	Short positions	Total weighted positions	Capital requirements
EAD subject to weighting	205	0	84	13	743	0	292	15

MARKET RISK

I. Internal model market risk measurement and management methodology

Market risk measurement and management internal methods are described in the section entitled "Risk factors – Market risk – Market risk measurement and management methodology".

II. Rules and procedures for valuing the trading book

The rules for valuing the various items in the trading book are described in Note 1.3 to the financial statements, "Accounting policies and principles".

Measurement models are reviewed periodically as described in the section entitled "Risk factors – Market risk – Market risk measurement and management methodology".

III. Exposure to market risk of the trading book

1. Risk weighted exposures using the standardised approach

(in millions of euros)	RWA
Firm income	648.8
Interest rate risk (general and specific)	648.7
Equity risk (general and specific)	0.1
Foreign exchange risk	0.0
Commodities risk	0.0
Options	1.4
Simplified approach	0.0
Delta-plus method	0.2
Approach by scenario	1.2
Securitisation	165.1
TOTAL	**815.3**

2. Capital requirements of exposures using the internal method

(in millions of euros)		
VaR (10 days, 99%)		
1	Maximum value	54.9
2	Average value	41.1
3	Minimum value	28.7
4	Value at end of period	49.1
VaR during periods of stress (10 days, 99%)		
5	Maximum value	76.6
6	Average value	55.6
7	Minimum value	42.6
8	End of period	62.7
IRC capital requirement (99.9%)		
9	Maximum value	120.4
10	Average value	108.7
11	Minimum value	96.3
12	Value at end of period	103.2
Capital requirement in respect of CRM (99.9%)		
13	Maximum value	0
14	Average value	0
15	Minimum value	0
16	Value at end of period	0
17	Floor (standardised measurement method)	0

IV. Interest rate risk from transactions other than those included in the trading book – Global interest rate risk

The nature of interest rate risk, the main underlying assumptions retained and the frequency of interest rate risk measurements are described in the section entitled "Risk factors – Asset/Liability Management – Global interest rate risk".

OPERATIONAL RISK

I. Advanced measurement approach

The scope of application of the advanced measurement and standardised approaches and a description of the advanced measurement approach methodology are provided in the section entitled “Risk factors – Operational risk – Methodology”.

II. Insurance techniques for reducing operational risk

The insurance techniques used to reduce operational risk are described in the section entitled “Risk factors – Operational risk Insurance and coverage of operational risks”.

COMPENSATION POLICY

The information on the compensation policy required pursuant to EU Regulation 575-2013 (CRR) can be found in Chapter 3 of the 2015 registration document.

2 CONSOLIDATED FINANCIAL STATEMENTS

at 31 December 2015 approved by the Crédit Agricole S.A. Board of Directors on 16 February 2016

Consolidated statements consist of the general framework, the consolidated financial statements and the notes to the consolidated financial statements.

GENERAL FRAMEWORK

CRÉDIT AGRICOLE GROUP

Crédit Agricole Mutuel was established by the act of 5 November 1894, which introduced the principle of creating Crédit Agricole's Local Banks; the act of 31 March 1899, which federated the Local Banks into Regional Banks; and the act of 5 August 1920, which created *Office National du Crédit Agricole*. This latter institution subsequently became *Caisse Nationale de Crédit Agricole* and then Crédit Agricole S.A., whose role as central body was confirmed and specified by the French Monetary and Financial Code.

Crédit Agricole Group comprises 2,476 Local Banks, 39 Regional Banks and Crédit Agricole S.A. central body, along with their subsidiaries. It is a banking group with a central body as defined by the European Union's first directive (77/780/EEC):

- the commitments of the central body and of the entities affiliated to it are joint and several;
- the solvency and liquidity of all affiliated entities are monitored together on the basis of consolidated financial statements.

For groups with a central body, directive 86/635 relating to the financial statements of European credit institutions stipulates that the whole group, consisting of the central body and its affiliated entities, must be covered by the consolidated financial statements prepared, audited and published in accordance with this directive.

In line with this directive, the central body and its affiliated entities make up the reporting entity. This reporting entity represents the community of interests created in particular by the system of crossguarantees, which ensure joint and several coverage of the commitments of Crédit Agricole Group network. In addition, the various texts mentioned in the first paragraph explain and organise the community of interests that exists at the legal, financial, economic and political levels between Crédit Agricole S.A., the Regional Banks and the Local Banks of Crédit Agricole Mutuel. This community relies on a single financial relationship mechanism, a single economic and commercial policy and joint decision-making authorities which, for over a century, have formed the basis of Crédit Agricole Group.

In accordance with European Regulation 1606/02, the reporting entity's consolidated financial statements are prepared under IFRS as adopted by the European Union. The reporting entity consists of the Local Banks, the Regional Banks and Crédit Agricole S.A. central body.

CRÉDIT AGRICOLE INTERNAL RELATIONS

Internal financing mechanisms

Crédit Agricole has instituted a number of internal financing mechanisms specific to the Group.

Regional Banks' current accounts

Each Regional Bank holds a current account with Crédit Agricole S.A., which recognises the financial movements resulting from internal financial transactions within the Group. This account, which may be in credit or debit, is presented in the balance sheet under "Crédit Agricole internal transactions – Current Accounts" and integrated on a specific line item, either "Loans and receivables due from credit institutions" or "Due to credit institutions".

Special savings accounts

Funds held in special savings accounts (popular savings plans and accounts, sustainable development passbook accounts (*Livret de développement durable*), home purchase savings plans and accounts, youth passbook accounts and *Livret A* (passbook savings accounts) are collected by the Regional Banks on behalf of Crédit Agricole S.A. These funds are required to be transferred to the latter. Crédit Agricole S.A. recognises them on its balance sheet as "Due to customers".

Term deposits and advances

The Regional Banks also collect savings funds (passbook accounts, bonds, warrants, certain term accounts and related accounts, etc.) on behalf of Crédit Agricole S.A. These funds are transferred to Crédit Agricole S.A. and are recognised as such on its balance sheet.

Special savings accounts and time deposits and advances are used by Crédit Agricole S.A. to make "advances" (loans) to the Regional Banks, with a view to funding their medium and long-term loans.

A series of four internal financial reforms has been implemented. These reforms have permitted the transfer back to the Regional Banks, in the form of "mirror advances" (loans) of a specific percentage of the funds collected by them (first 15%, 25%, then 33% and, since 31 December 2001, 50%), with maturities and interest rates precisely matching those of the savings funds received, and which they are free to use at their discretion.

Since 1 January 2004, the financial margins generated by the centralised management of funds collected (and not transferred back *via* mirror advances) are shared by the Regional Banks and Crédit Agricole S.A. and are determined by using replacement models and applying market rates.

Furthermore, 50% of new loans written since 1 January 2004 and falling within the field of application of financial relations between Crédit Agricole S.A. and the Regional Banks may be refinanced in the form of advances negotiated at market rates with Crédit Agricole S.A.

Hence, there are currently two types of advances: advances governed by financial rules from before 1 January 2004 and those governed by the new rules.

Crédit Agricole S.A. may also make additional financing available to the Regional Banks at market rates.

Transfer of Regional Banks' liquidity surpluses

The Regional Banks may use their monetary deposits (demand deposits, non-centralised term deposits and negotiable certificates of deposit) to finance lending to their customers. Surpluses must be transferred to Crédit Agricole S.A. where they are booked as current or term accounts, under "Crédit Agricole internal transactions".

Investment of Regional Banks' surplus capital with Crédit Agricole S.A.

Regional Banks' available surplus capital may be invested with Crédit Agricole S.A. in the form of three to ten-year instruments with the same characteristics of interbank money market transactions in all respects.

Foreign currency transactions

Crédit Agricole S.A. represents the Regional Banks with respect to the Bank of France and centralises their foreign currency transactions.

Medium and long-term notes issued by Crédit Agricole S.A.

These are placed mainly on the market or by the Regional Banks with their customers. They are booked by Crédit Agricole S.A. under liabilities either as "Debt securities" or as "Subordinated debt", depending on the type of security issued.

Coverage of liquidity and solvency risks

European legislation relating to the resolution of banking crises adopted in 2014 (the BRRD directive and the regulation on the Single Resolution Mechanism, transposed into French law by Order no. 2015-1024 of 20 August 2015) introduced a number of significant changes in the regulations applicable to credit institutions.

The new framework, which includes measures to prevent and to resolve banking crises, is intended to preserve financial stability, to ensure the continuity of activities, services and operations of institutions whose failure could significantly impact the economy, to protect depositors and to avoid or limit, as much as possible, the use of public financial support. In this context, the European resolution authorities, including the Single Resolution Board, were granted extensive powers to take all necessary measures in connection with the resolution of all or part of a credit institution or the group to which it belongs.

The resolution framework does not affect the legal internal financial solidarity mechanism enshrined in Article L. 511-31 of the French Monetary and Financial Code, which applies to the Crédit Agricole network, as defined in Article R. 512-18 of the same Code. Crédit Agricole S.A., considers that, in practice, this mechanism should be implemented prior to any resolution procedure, given that, as central body, Crédit Agricole must take all measures necessary to ensure the liquidity and solvency of each network member, as well as the network as a whole. As a result, each member of the network (including Crédit Agricole S.A.) benefits from this internal financial solidarity mechanism.

Besides, in connection with the institution of a resolution procedure, the Single Resolution Board (SRB) should respect the fundamental principle that no creditor must suffer losses in connection with a resolution procedure that are greater than those it would suffer if the entity had been liquidated in a normal insolvency procedure (the "No Creditor Worse Off than on Liquidation" – NCWOL – principle, set forth in Article L.613-57-I - of the French Monetary and Financial Code, and Article 73 of the

BRRD directive). Because this principle must be respected, Crédit Agricole S.A. considers that the existence of the guarantee granted in 1988 by the Regional Banks in favour of the creditors of Crédit Agricole S.A., which may be called upon in the event when it is determinated that Credit Agricole S.A. has insufficient assets further to its judicial liquidation or its dissolution, will have to be taken into account by the SRB, although it is not possible to determine how this will be done. This guarantee of the obligations of Crédit Agricole S.A. to third party creditors was granted in 1988 by the Regional Banks on a joint and several basis, up to the aggregate amount of their own funds.

Lastly, in the context of IPO of Crédit Agricole S.A., CNCA (now Crédit Agricole S.A.) signed an agreement with the Regional Banks in 2001, establishing the rules governing internal relations within Crédit Agricole Group. The agreement notably provided for the creation of a Fund for Bank Liquidity and Solvency Risks (FRBLS) designed to enable Crédit Agricole S.A. to fulfil its role as central body by providing assistance to any affiliated members that may experience difficulties. The main provisions of this agreement are set out in Chapter III of the registration document filed by Crédit Agricole S.A. with the Commission des Opérations de Bourse on 22 October 2001 under number R. 01-453. The fund was originally endowed with €610 million in assets. At 31 December 2015 it totalled €1,040 million, having been allocated by €35 million for the year.

Specific guarantees provided by the Regional Banks to Crédit Agricole S.A. (Switch)

The "Switch" guarantee mechanism established on 23 December 2011 and supplemented by an addendum signed on 19 December 2013 forms part of the financial arrangements between Crédit Agricole S.A., as central body, and the mutual network of Crédit Agricole Regional Banks. The new guarantees took effect on 2 January 2014, replacing the previous guarantees, and expire on 1 March 2027, subject to early termination or extension in accordance with the terms of the contract.

With this mechanism, and subject to the upper limit specified in the agreement, the Regional Banks assume, on behalf of Crédit Agricole S.A., prudential requirements relating to the equity method of accounting for certain equity investments held by Crédit Agricole S.A. They also assume the associated economic risks in the form of compensation, where applicable.

The guarantees allow the transfer of prudential requirement both in relation to Crédit Agricole S.A.'s equity investments in the Regional Banks (CCI/CCAs), and in Crédit Agricole Assurances (CAA), the latter being equity-accounted for prudential reasons. They are subject to fixed compensation covering the present value of the risk and the cost of capital of the Regional Banks.

The effectiveness of the mechanism is secured by cash deposits paid by the Regional Banks to Crédit Agricole S.A. These security deposits are calibrated to show the capital savings generated by Crédit Agricole S.A., and are compensated at a fixed rate based on conditions prevailing for long-term liquidity.

The mechanism therefore protects Crédit Agricole S.A. from a decline in the overall equity-accounted value of these equity investments, subject to payment by the Regional Banks of compensation from the security deposit. Likewise, if the overall equity-accounted value later recovers, Crédit Agricole S.A. returns previously paid compensation in accordance with a clawback provision.

In regulatory terms:

- Crédit Agricole S.A. reduces its capital requirements in proportion to the amount of the guarantee provided by the Regional Banks;
- the Regional Banks symmetrically record capital requirements matching those offloaded by Crédit Agricole S.A.

This mechanism, which is neutral at Crédit Agricole Group level, enables the rebalancing of capital allocation between Crédit Agricole S.A. and the Regional Banks.

In accounting terms, the guarantees are essentially insurance contracts, due to the existence of a global insurance risk as defined by IFRS 4. For the insured, they are treated as a first demand guarantee received and their compensation is recognised in stages as a deduction from the interest margin under Revenues. In the event of a call on guarantees, or following an improvement in fortunes, where applicable, the compensation payment or redemption proceeds would be recognised under cost of risk.

Capital ties between Crédit Agricole S.A. and the Regional Banks

The capital ties between Crédit Agricole S.A. and the Regional Banks are governed by an agreement entered into by the parties prior to Crédit Agricole S.A.'s initial public offering.

Under the terms of this agreement, the Regional Banks exercise their control over Crédit Agricole S.A. through SAS Rue La Boétie, a holding company wholly-owned by them. The purpose of SAS Rue La Boétie is to hold enough shares to ensure that it always owns at least 50% of the share capital and voting rights of Crédit Agricole S.A.

In addition, under the agreement, Crédit Agricole S.A. directly owns approximately 25% of the share capital of each Regional Bank (except for the *Caisse Régionale de la Corse* which is owned at 100%).

Its holding is in the form of *Certificats coopératifs d'associés* and *Certificats coopératifs d'investissement*, both types of non-voting shares which are issued for a term equal to the Company's lifetime and which give the holders a right in the Company's net assets in proportion to the amount of share capital they represent.

Crédit Agricole S.A., the central body of the Crédit Agricole network, also holds one mutual share in each Regional Bank, which confers to it the status of member.

These arrangements enable Crédit Agricole S.A., as the central body of the Crédit Agricole network, to account for the Regional Banks using the equity method.

Given the Group's equity structure and the resulting break in the chain of control, the Regional Banks' interests in SAS Rue La Boétie are recovered in the consolidated financial statements of Crédit Agricole S.A. at its share in the Regional Banks.

However, dividends from SAS Rue La Boétie received by the Regional Banks are eliminated from income with a corresponding entry in reserves within each Regional Bank's contribution, given that these dividends represent a portion of the income already recognised in the consolidated financial statements of Crédit Agricole S.A.

In the consolidated financial statements of the Regional Banks, and consequently in their equity-accounted value in the consolidated financial statements of Crédit Agricole S.A., shares in SAS Rue La Boétie must be measured at fair value. These shares are not quoted in an active market and establishing a valuation that takes account of all the rights and obligations associated with owning shares in SAS Rue La Boétie is complicated by the difficulty to appraise the valuation of intangible and non-marketable items such as:

- the Group's stable capital structure, which gives the Regional Banks permanent collective control over Crédit Agricole S.A.;
- the coverage of the liquidity and solvency risks of the Regional Banks;
- Crédit Agricole Group's internal economic and financial relations;
- the pooling of resources; and
- the promotion, development and use of the Crédit Agricole brand.

As a result, and pursuant to IAS 39, where valuation models do not enable a reliable valuation, shares in SAS Rue La Boétie are valued at cost. Where there are objective indications of impairment, the shares are impaired when the share's carrying amount exceeds a reference value determined using a multi-criteria approach, which is designed to value the expected future cash flows discounted at a rate that would be applied in the market for a similar asset in accordance with paragraph 66 of IAS 39. This approach combines a valuation of the future expected cash flows from the various Group businesses discounted at a market rate, a valuation of the Group's net asset value, a valuation of the Group's businesses by reference to recently observed transaction prices for similar businesses, a valuation based on the Crédit Agricole S.A. stock price plus a control premium and, where necessary, a valuation by reference to internal transactions.

RELATED PARTIES

The related parties of Crédit Agricole Group are the consolidated companies, including companies accounted for using the equity method, and Senior Executives of the Group.

Other shareholders' agreements

Shareholder agreements signed during the year are detailed in Note 2 "Major structural transactions and material events during the period".

Relationships between controlled companies affecting the consolidated balance sheet

A list of Crédit Agricole Group companies can be found in Note 12 "Scope of consolidation at 31 December 2015". Since the transactions and outstandings at year-end between the Group's fully consolidated companies are eliminated on consolidation, only transactions with companies consolidated by the equity method affect the Group's consolidated financial statements.

The main corresponding outstandings and commitments in the consolidated balance sheet at 31 December 2015 relate to transactions with companies consolidated by the equity method for the following amounts:

- loans and receivables due from credit institutions: €3,738 million;
- loans and receivables due from customers: €1,931 million;
- due to credit institutions: €1,703 million;
- due to customers: €85 million;
- commitments given on financial instruments: €3,480 million;
- commitments received on financial instruments: €2,694 million.

The transactions entered into with these groups did not have a material effect on the income statement for the period.

Management of retirement, early retirement and end-of-career allowances: internal hedging contracts within the Group

As presented in Note 1.3 "Accounting policies and principles", employees are provided with various types of post-employment benefits. These include:

- end-of-career allowances;
- retirement plans, which may be either "defined-contribution" or "defined-benefit" plans.

The liability in this respect is partially funded by collective insurance contracts taken out with Predica, Crédit Agricole Group's life insurance company.

These contracts govern:

- the setting up by the insurance company of mutual funds for investing contributions made by the employer to build up sufficient funds to cover end-of-career allowances or retirement benefits;
- the management of the funds by the insurance company;
- the payment to the beneficiaries of the allowances and of the benefits due under the various plans.

Information on post-employment benefits is provided in Note 7 "Employee benefits and other compensation" in paragraphs 7.3 and 7.4.

Relations with senior management

Given the mutualist structure of Crédit Agricole Group and the broad scope of the reporting entities, the notion of management as defined by IAS 24 is not representative of the rules of governance applied within Crédit Agricole Group.

In view of this, the information required by IAS 24 on senior management compensation is not presented.

CONSOLIDATED FINANCIAL STATEMENTS

INCOME STATEMENT

(in millions of euros)	Notes	31/12/2015	31/12/2014 Restated
Interest and similar income	4.1	36,240	37,037
Interest and similar expenses	4.1	(16,257)	(17,521)
Fee and commission income	4.2	11,681	11,500
Fee and commission expenses	4.2	(2,765)	(2,686)
Net gains (losses) on financial instruments at fair value through profit or loss	4.3	3,796	5,942
Net gains (losses) on available-for-sale financial assets	4.4-6.4	2,849	3,092
Income on other activities	4.5	35,936	37,399
Expenses on other activities	4.5	(39,644)	(44,524)
Revenues		**31,836**	**30,239**
Operating expenses	4.6	(18,786)	(18,152)
Depreciation, amortisation and impairment of property, plant & equipment and intangible assets	4.7	(1,049)	(1,017)
Gross operating income		**12,001**	**11,070**
Cost of risk	4.8	(3,031)	(2,943)
Operating income		**8,970**	**8,127**
Share of net income of equity-accounted entities	6.15	475	(387)
Net gains (losses) on other assets	4.9	(5)	51
Change in value of goodwill	6.18	-	(23)
Pre-tax income		**9,440**	**7,768**
Income tax charge	4.10	(2,988)	(2,478)
Net income from discontinued or held-for-sale operations		(21)	(7)
Net income		**6,431**	**5,283**
Non-controlling interests	6.22	388	359
NET INCOME GROUP SHARE		**6,043**	**4,924**

The information at 31 December 2014 has been restated following the application of IFRIC 21. The impacts are presented in Note 11 “Impact of accounting changes and other events”.

NET INCOME AND OTHER COMPREHENSIVE INCOME

(in millions of euros)	Notes	31/12/2015	31/12/2014 Restated
Net income		**6,431**	**5,283**
Actuarial gains and losses on post-employment benefits	4.11	2	(448)
Gains and losses on non-current assets held for sale	4.11	-	-
Pre-tax other comprehensive income on items that will not be reclassified to profit and loss excluding equity-accounted entities		**2**	**(448)**
Pre-tax other comprehensive income on items that will not be reclassified to profit and loss on equity-accounted entities	**4.11**	**(6)**	**172**
Income tax related to items that will not be reclassified to profit and loss excluding equity-accounted entities	**4.11**	**(11)**	**149**
Income tax related to items that will not be reclassified to profit and loss on equity-accounted entities	**4.11**	**-**	**(1)**
Other comprehensive income on items that will not be reclassified subsequently to profit and loss net of income tax		**(15)**	**(128)**
Gains and losses on translation adjustments	4.11	478	448
Gains and losses on available-for-sale financial assets	4.11	(24)	1,907
Gains and losses on hedging derivative instruments	4.11	(203)	714
Gains and losses on non-current assets held for sale	4.11	14	40
Pre-tax other comprehensive income on items that may be reclassified to profit and loss excluding equity-accounted entities		**265**	**3,109**
Pre-tax other comprehensive income on items that may be reclassified to profit and loss on equity-accounted entities, Group Share	**4.11**	**116**	**243**
Income tax related to items that may be reclassified to profit and loss excluding equity-accounted entities	**4.11**	**115**	**(847)**
Income tax related to items that may be reclassified to profit and loss on equity-accounted entities	**4.11**	**(4)**	**-**
Other comprehensive income on items that may be reclassified subsequently to profit and loss net of income tax	**4.11**	**492**	**2,505**
OTHER COMPREHENSIVE INCOME NET OF INCOME TAX		**477**	**2,377**
NET INCOME AND OTHER COMPREHENSIVE INCOME		**6,908**	**7,660**
Of which Group share		6,562	7,087
Of which non-controlling interests		346	573

The information at 31 December 2014 has been restated following the application of IFRIC 21. The impacts are presented in Note 11 “Impact of accounting changes and other events”.

BALANCE SHEET – ASSETS

(in millions of euros)	Notes	31/12/2015	31/12/2014 Restated
Cash, central banks	6.1	39,262	57,904
Financial assets at fair value through profit or loss	6.2-6.9	344,468	403,457
Hedging derivative instruments	3.2-3.4	27,167	33,146
Available-for-sale financial assets	6.4-6.7-6.8-6.9	322,872	307,591
Loans and receivables due from credit institutions	3.1-3.3-6.5-6.8-6.9	89,433	100,038
Loans and receivables due from customers	3.1-3.3-6.5-6.8-6.9	740,386	709,884
Revaluation adjustment on interest rate hedged portfolios		16,452	20,280
Held-to-maturity financial assets	6.6-6.8-6.9	30,629	29,583
Current and deferred tax assets	6.13	6,189	5,710
Accruals, prepayments and sundry assets	6.14	46,259	63,571
Non-current assets held for sale and discontinued operations		441	246
Investments in equity-accounted entities		6,570	4,278
Investment property	6.16	5,878	4,610
Property, plant and equipment	6.17	6,956	6,761
Intangible assets	6.17	1,708	1,679
Goodwill	6.18	14,189	13,976
TOTAL ASSETS		**1,698,859**	**1,762,714**

The information at 31 December 2014 has been restated following the application of IFRIC 21. The impacts are presented in Note 11 “Impact of accounting changes and other events”.

BALANCE SHEET – LIABILITIES

(in millions of euros)	Notes	31/12/2015	31/12/2014 Restated
Central banks	6.1	3,853	4,523
Financial liabilities at fair value through profit or loss	6.2	250,193	318,923
Hedging derivative instruments	3.2-3.4	29,787	32,941
Due to credit institutions	3.3-6.10	92,909	98,434
Due to customers	3.1-3.3-6.10	663,135	622,686
Debt securities	3.2-3.3-6.11	167,810	185,504
Revaluation adjustment on interest rate hedged portfolios		15,063	18,597
Current and deferred tax liabilities	6.13	2,505	2,892
Accruals, deferred income and sundry liabilities	6.14	45,881	69,019
Liabilities associated with non-current assets held for sale		385	-
Insurance company technical reserves	6.19	294,799	285,180
Provisions	6.20	6,112	6,826
Subordinated debt	3.2-3.3-6.11	29,006	25,487
Total liabilities		**1,601,438**	**1,671,012**
Equity		**97,421**	**91,702**
Equity, Group share		**92,890**	**86,723**
Share capital and reserves		25,070	27,837
Consolidated reserves		56,465	49,169
Other comprehensive income		5,312	4,793
Other comprehensive income on non-current assets held for sale and discontinued operations		-	-
Net income/(loss) for the year		6,043	4,924
Non-controlling interests		**4,531**	**4,979**
TOTAL EQUITY AND LIABILITIES		**1,698,859**	**1,762,714**

The information at 31 December 2014 has been restated following the application of IFRIC 21. The impacts are presented in Note 11 “Impact of accounting changes and other events”.

STATEMENT OF CHANGES IN EQUITY

	Group				
	Share capital and reserves				
(in millions of euros)	*Share capital*	*Share premium and consolidated reserves*	*Elimination of treasury shares*	*Other equity instruments*	**Total capital and consolidated reserves**
Equity at 1 January 2014 Stated	**9,219**	**64,700**	**(272)**	**-**	**73,647**
IFRIC 21 impact(1)	-	54	-	-	**54**
Equity at 1 January 2014 Restated	**9,219**	**64,754**	**(272)**	**-**	**73,701**
Capital increase	575	167	-	-	**742**
Changes in treasury shares held	-	-	(1)	-	**(1)**
Issuance of equity instruments(2)	-	(27)	-	3,861	**3,834**
Remuneration of undated deeply subordinated notes(2)	-	(194)	-	-	**(194)**
Dividends paid in 2014	-	(1,432)	-	-	**(1,432)**
Dividends received from Regional Banks and subsidiaries	-	832	-	-	**832**
Impact of acquisitions/disposals on non-controlling interests(3)	-	(292)	-	-	**(292)**
Changes due to share-based payments	-	1	-	-	**1**
Changes due to transactions with shareholders	**575**	**(945)**	**(1)**	**3,861**	**3,490**
Changes in other comprehensive income	**-**	**-**	**-**	**-**	**-**
Share of changes in equity of equity-accounted entities	-	(178)	-	-	**(178)**
Net income for 2014(1)	-	-	-	-	**-**
Other changes	-	(7)	-	-	**(7)**
Equity at 31 December 2014 Restated	**9,794**	**63,624**	**(273)**	**3,861**	**77,006**
Appropriation of 2014 net income	-	4,924	-	-	4,924
Equity at 1 January 2015 Restated	**9,794**	**68,548**	**(273)**	**3,861**	**81,930**
Capital increase	292	108	-	-	**400**
Changes in treasury shares held	-	-	7	-	**7**
Issuance of equity instruments(2)	-	(3)	-	-	**(3)**
Remuneration of undated deeply subordinated notes	-	(350)	-	-	**(350)**
Dividends paid in 2015	-	(1,456)	-	-	**(1,456)**
Dividends received from Regional Banks and subsidiaries	-	849	-	-	**849**
Impact of acquisitions/disposals on non-controlling interests	-	55	-	-	**55**
Changes due to share-based payments	-	1	-	-	**1**
Changes due to transactions with shareholders	**292**	**(796)**	**7**	**-**	**(497)**
Changes in other comprehensive income	**-**	**-**	**-**	**-**	**-**
Share of changes in equity-accounted entities	-	(12)	-	-	**(12)**
Net income for 2015	-	-	-	-	**-**
Other changes	-	114	-	-	**114**
EQUITY AT 31 DECEMBER 2015	**10,086**	**67,854**	**(266)**	**3,861**	**81,535**

(1) The information at 1 January 2014 and 31 December 2014 has been restated following the application of IFRIC 21. The impacts are presented in Note 11 "Impact of accounting changes and other events".

(2) As part of efforts to increase the Group's regulatory capital, on 23 January, 8 April and 18 September 2014, Crédit Agricole S.A. issued Additional Tier 1 deeply subordinated undated bonds (in USD, GBP and euros). The balance of these issues represents €3,326 million, net of issuance costs and accrued interest at end-December 2015 (see Note 6.21 "Equity").

On 14 October 2014 and 13 January 2015, Crédit Agricole Assurances issued euro-denominated Additional Tier 1 subordinated undated bonds for €745 million and €981 million, respectively. These issues were subscribed by non-Group entities and are recognised in Shareholders' Equity – Non-controlling interests. The proceeds from these issues are recognised in Shareholders' equity Group share and amounted to -€34 million at 31 December 2015.

share					Non-controlling interests					
Other comprehensive income						Other comprehensive income				
Other comprehensive income on items that may be reclassified to profit and loss	*Other comprehensive income on items that will not be reclassified to profit and loss*	**Total other comprehensive income**	**Net income**	**Total equity**	**Capital, associated reserves and income**	*Other comprehensive income on items that may be reclassified to profit and loss*	*Other comprehensive income on items that will not be reclassified to profit and loss*	**Total other comprehensive income**	**Total Equity**	**Total consolidated equity**
3,074	**(444)**	**2,630**	**-**	**76,277**	**5,537**	**(148)**	**(6)**	**(154)**	**5,383**	**81,660**
-	-	-	-	54	1	-	-	-	1	55
3,074	**(444)**	**2,630**	**-**	**76,331**	**5,538**	**(148)**	**(6)**	**(154)**	**5,384**	**81,715**
-	-	-	-	742	-	-	-	-	-	742
-	-	-	-	(1)	-	-	-	-	-	(1)
-	-	-	-	3,834	745	-	-	-	745	4,579
-	-	-	-	(194)	-	-	-	-	-	(194)
-	-	-	-	(1,432)	(244)	-	-	-	(244)	(1,676)
-	-	-	-	832	-	-	-	-	-	832
-	-	-	-	(292)	(1,482)	-	-	-	(1,482)	(1,774)
-	-	-	-	1	-	-	-	-	-	1
-	**-**	**-**	**-**	**3,490**	**(981)**	**-**	**-**	**-**	**(981)**	**2,509**
2,046	**(295)**	**1,751**	**-**	**1,751**	**-**	**216**	**(4)**	**212**	**212**	**1,963**
241	171	412	-	234	-	2	-	2	2	236
-	-	-	4,924	4,924	359	-	-	-	359	5,283
-	-	-	-	(7)	3	-	-	-	3	(4)
5,361	**(568)**	**4,793**	**4,924**	**86,723**	**4,919**	**70**	**(10)**	**60**	**4,979**	**91,702**
-	-	-	(4,924)	-	-	-	-	-	-	-
5,361	**(568)**	**4,793**	**-**	**86,723**	**4,919**	**70**	**(10)**	**60**	**4,979**	**91,702**
-	-	-	-	400	-	-	-	-	-	400
-	-	-	-	7	-	-	-	-	-	7
-	-	-	-	(3)	981	-	-	-	981	978
-	-	-	-	(350)	-	-	-	-	-	(350)
-	-	-	-	(1,456)	(158)	-	-	-	(158)	(1,614)
-	-	-	-	849	-	-	-	-	-	849
-	-	-	-	55	(1,608)	-	-	-	(1,608)	(1,553)
-	-	-	-	1	-	-	-	-	-	1
-	**-**	**-**	**-**	**(497)**	**(785)**	**-**	**-**	**-**	**(785)**	**(1,282)**
423	**(9)**	**414**	**-**	**414**	**-**	**(43)**	**-**	**(43)**	**(43)**	**371**
111	(6)	105	-	93	3	1	-	1	4	97
-	-	-	6,043	6,043	388	-	-	-	388	6,431
-	-	-	-	114	(10)	-	-	-	(10)	104
5,895	**(583)**	**5,312**	**6,043**	**92,890**	**4,515**	**27**	**(10)**	**17**	**4,531**	**97,421**

(3) The impact of acquisitions and disposals on non-controlling interests at 31 December 2014 mainly corresponds to the loss of control in Crelan for -€820 million, the liquidation of CA Preferred Funding Trust 2 for -€404 million, the acquisition of 5% of Amundi Group by Crédit Agricole S.A. for -€155 million, and the acquisition of 1.5% of Cariparma for -€72 million.

In 2015, the disposal of Amundi shares as part of its initial public offering on 12 November 2015 has effect on Shareholders' equity Group share for +€55 million and on Equity – Non-controlling interests for +€256 million. .

The impact of acquisitions and disposals on non-controlling interests at 31 December 2015 includes the effects of the liquidation of CA Preferred Funding Trusts 1 and 3 for -€1,861 million.

CASH FLOW STATEMENT

The cash flow statement is presented using the indirect method.

Operating activities show the impact of cash inflows and outflows arising from Crédit Agricole Group's income-generating activities, including those associated with assets classified as held-to-maturity financial assets.

Tax inflows and outflows are included in full within operating activities.

Investment activities show the impact of cash inflows and outflows associated with purchases and sales of investments in consolidated and non-consolidated companies, property, plant and equipment and intangible assets. This section includes strategic equity investments classified as available-for-sale financial assets.

Financing activities show the impact of cash inflows and outflows associated with equity and long-term borrowing.

The **net cash flows** attributable to the operating, investment and financing activities **of discontinued operations** are presented on separate lines in the cash flow statement.

Net cash and cash equivalents include cash, debit and credit balances with central banks and debit and credit demand balances with credit institutions.

(in millions of euros)	Notes	31/12/2015	31/12/2014 Restated
Pre-tax income		**9,440**	**7,768**
Net depreciation and impairment of property, plant & equipment and intangible assets		1,064	1,033
Impairment of goodwill and other fixed assets	6.18	-	23
Net depreciation charges to provisions		17,850	18,918
Share of net income (loss) of equity-accounted entities		(598)	387
Net income (loss) from investment activities		(5)	98
Net income (loss) from financing activities		3,815	3,881
Other movements		(6,175)	(1,612)
Total non-cash and other adjustment items included in pre-tax income		**15,951**	**22,728**
Change in interbank items		13,750	(7,223)
Change in customer items		6,635	(17,324)
Change in financial assets and liabilities		(43,666)	(30,090)
Change in non-financial assets and liabilities		(4,060)	10,338
Dividends received from equity-accounted entities(1)		232	92
Tax paid		(3,667)	(1,704)
Net change in assets and liabilities used in operating activities		**(30,776)**	**(45,911)**
Cash provided (used) by discontinued operations		**4**	**6**
Total net cash flows from (used by) operating activities (A)		**(5,381)**	**(15,409)**
Change in equity investments(2)		**(531)**	**(1,197)**
Change in property, plant & equipment and intangible assets		**(1,439)**	**(1,205)**
Cash provided (used) by discontinued operations		**-**	**(1,037)**
Total net cash flows from (used by) investment activities (B)		**(1,970)**	**(3,439)**
Cash received from (paid to) shareholders(3)		**(1,170)**	**3,871**
Other cash provided (used) by financing activities(4)		**(6,540)**	**(776)**
Cash provided (used) by discontinued operations		**-**	**(8)**
Total net cash flows from (used by) financing activities (C)		**(7,710)**	**3,087**
Impact of exchange rate changes on cash and cash equivalent (D)		**3,920**	**2,765**
NET INCREASE/(DECREASE) IN CASH & CASH EQUIVALENT (A+B+C+D)		**(11,141)**	**(12,996)**
Cash and cash equivalents at beginning of period		**49,472**	**62,468**
Net cash accounts and accounts with central banks*		53,376	68,638
Net demand loans and deposits with credit institutions**		(3,904)	(6,170)
Cash and cash equivalents at end of period		**38,331**	**49,472**
Net cash accounts and accounts with central banks*		35,438	53,376
Net demand loans and deposits with credit institutions**		2,893	(3,904)
NET CHANGE IN CASH AND CASH EQUIVALENTS		**(11,141)**	**(12,996)**

* *Consisting of the net balance of the Cash and central banks item, excluding accrued interest and including cash of entities reclassified as held-for-sale operations.*

** *Consisting of the balance of Performing current accounts in debit and Performing overnight accounts and advances as detailed in Note 6.5 and Current accounts in credit and overnight accounts and advances as detailed in Note 6.10 (excluding accrued interest).*

(1) *Dividends received from equity-accounted entities:*
At 31 December 2015, this amount mainly includes the payment of dividends from equity-accounted Insurance entities for €105 million, as well as the payment of dividends from FCA Bank S.p.A for €46 million, Banque Saudi Fransi for €41 million and Eurazeo for €12 million.

(2) *Change in equity investments:*
This line shows the net effects on cash of acquisitions and disposals of equity investments. These external operations are described in Note 2.
The net impact on Group cash of acquisitions and disposals of consolidated equity investments (subsidiaries and equity-accounted entities) at 31 December 2015 is €215 million. The main transactions relate in particular to the acquisition of BAWAG P.S.K Invest for €97 million (net of cash acquired) less the disposal by Crédit Agricole S.A. of part of the equity investments (disposal of 4.2% of the capital of Amundi) in the framework of Amundi's initial public offering for €311 million, as well as the disposal of Banco Crédito Consumo securities for €27 million.

In the same period, the net impact on Group cash of acquisitions and disposals of non-consolidated equity investments came to -€746 million, primarily related to acquisitions and disposals carried out as part of the programme of insurance company investments for -€879 million and of Regional Banks for €96 million, less the disposal of INDOSUEZ Beteiligungs –und Verwaltungs securities for €21 million.

(3) *Cash received from (paid to) shareholders:*
This line includes €995 million from the issue of capital instruments and the liquidation of all compartments of CA Preferred LLC for -€1,861 million. In addition, -€864 million in dividends, excluding dividends paid in shares, were paid by the subsidiaries of Crédit Agricole Group to their non-controlling interests.

(4) *Other net cash flows from financing activities:*
At 31 December 2015, bond issues totalled €14,107 million and redemptions -€20,602 million. Subordinated debt issues totalled €7,217 million and redemptions -€4,023 million.

This line also includes cash flows from interest payments on subordinated debt and bonds.

The effects of the change in accounting policy linked to the new consolidation standards are presented in Note 11 "Impact of accounting changes and other events".

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Detailed summary of the notes

NOTE 1 Group accounting policies and principles, assessments and estimates

1.1 Applicable standards and comparability

Pursuant to EC Regulation no. 1606/2002, the consolidated financial statements have been prepared in accordance with IAS/IFRS and IFRIC applicable at 31 December 2015 and as adopted by the European Union (carve-out version), thus using certain exceptions in the application of IAS 39 on macro-hedge accounting.

These standards and interpretations are available on the European Commission website at: http://ec.europa.eu/internal_market/accounting/ias/index_en.htm.

The standards and interpretations are the same as those applied and described in the Group's financial statements for the year ended 31 December 2014.

They have been supplemented by the IFRS as adopted by the European Union at 31 December 2014 and that must be applied for the first time in the 2015 financial year. These cover the following:

Standards, Amendments or Interpretations	Date published by the European Union	Date of first-time mandatory application: financial years from	Applicable in the Group
IFRIC 21 interpretation: Levies	13 June 2014 (EU no. 634/2014)	1 January 2015	Yes
IFRS improvements, 2011-2013 cycle:	18 December 2014 (EU no. 1361/2014)		
• IFRS 3 Exemption of partnerships formed from field of application (i.e., joint ventures already excluded and, for the first time, joint operations)		1 January 2015	Yes
• IFRS 13 Extension to certain financial instruments of the exception allowing fair value measurement on a net basis		1 January 2015	Yes
• IAS 40 Judgment required to determine whether acquiring an investment property constitutes the acquisition of an asset or a group of assets (IAS 40) or of a business combination (IFRS 3)		1 January 2015	Yes

IFRIC 21 interpretation gives details on the accounting of levies, taxes and other government charges that fall under IAS 37 Provisions, Contingent Liabilities and Contingent Assets (excluding fines and penalties and excluding corporate income tax governed by IAS 12). In particular, it clarifies:

- the timing for recognising taxes and levies;
- and whether they can be recognised progressively over the financial year.

With respect to these clarifications, the application of IFRIC 21 may result in a change in the obligating event triggering the recognition of certain levies and taxes (deferment of the date of recognition from one year to another and/or end of spread over the duration of the financial year).

The application of IFRIC 21 is retrospective, restating prior years and adjusting opening full year 2014 equity for comparative financial statements.

The principal numerical effects of this change are presented in Note 11 "Impact of accounting changes and other events".

The application of the other texts did not have a material impact on earnings or equity.

Moreover, where the early application of standards and interpretations adopted by the European Union is optional for a period, this option is not selected by the Group, unless otherwise stated.

This in particular applies to:

Standards, amendments or interpretations	Date published by the European Union	Date of first-time mandatory application: financial years from	Applicable in the Group
IFRS improvements, 2010-2012 cycle:	17 December 2014 (EU no. 2015/28)		
• IFRS 2 Vesting, market, performance and service conditions		1 February 2015(1)	Yes
• IFRS 3 Recognition of a possible purchase price adjustment		1 February 2015(1)	Yes
• IFRS 8 Combination of operating segments and reconciliation of segment assets with total assets		1 February 2015(1)	Yes
• IAS 16 and IAS 38 Remeasurement and proportional adjustment of accumulated depreciation and amortisation		1 February 2015(1)	Yes
• IAS 24 The concept of key management personnel services		1 February 2015(1)	Yes
Amendment to IAS 19, Defined-benefit plans: contributions from employees	17 December 2014 (EU no. 2015/29)	1 February 2015(1)	Yes
IFRS improvements, 2012-2014 cycle:	15 December 2015 (EU no. 2015/2343)		
• IFRS 5 Non current assets held for sale and discontinued operations: changes in conditions of considered disposals		1 January 2016	Yes
• IFRS7 Financial Instruments • Disclosures of information • Servicing contracts • Applicability of IFRS7 to condensed interim financial statements		1 January 2016	Yes
• IAS 19 Employee benefits: actualization rate of post- employment benefits		1 January 2016	Yes
• IAS 34 Interim financial reporting: adding point to the formulation of "elsewhere in the interim financial report"		1 January 2016	Yes
Amendment to IAS 1: Presentation of financial statements, Disclosure initiative	18 December 2015 (EU 2015/2406)	1 January 2016	Yes
Amendment to IAS 27 Use of equity method in separate financial statements	18 December 2015 (EU 2015/2441)	1 January 2016	No

(1) That is, in the Group from 1 January 2016.

Furthermore, standards and interpretations that have been published by the IASB, but not yet been adopted by the European Union are not applied in the Group. They will become mandatory only as from the date planned by the European Union and have not been applied by the Group at 31 December 2015.

This concerns in particular IFRS 9 and IFRS 15 standards.

IFRS 9 Financial Instruments issued by the IASB is intended to replace IAS 39 Financial Instruments. It sets new principles governing the classification and measurement of financial instruments, impairment of credit risk and hedge accounting, excluding macro-hedging transactions.

IFRS 9 is expected to come into force on a mandatory basis for fiscal years beginning on or after 1 January 2018, subject to its adoption by the European Union.

The Group has taken action to adopt this standard on time, combining its Accounting, Finance and Risk functions in addition to all of the entities concerned. In early 2015, the Group launched works aimed at assessing the main challenges set by IFRS 9. Analyses were primarily focused on the changes brought about by:

- The new criteria for classifying and measuring financial assets;
- The overhaul of the credit risk impairment model allowing a shift from one in which provisions are set aside for incurred credit losses to one in which provisions can be set aside for expected credit losses (ECL). The aim of the new ECL approach is to allow credit losses to be recognised at the earliest possible time, removing the need to wait for an objective incurred loss event. It calls on a wide range of information, including historical data on observed losses, cyclical and structural adjustments, and loss projections based on reasonable scenarios.

At this stage of the project, the Group is entirely focused on defining the structural options related to the interpretation of the standard. At the same time, the Group has begun an operational implementation phase for the deployment of the first modifications to the architecture of information systems.

IFRS 15 Revenue from Contracts with Customers will become effective for fiscal years beginning on or after 1 January 2018. It will replace IAS 11 Construction Contracts and IAS 18 Revenue, as well as IFRIC 13 Customer loyalty programmes, IFRIC 15 Agreements for the construction of real estate, IFRIC 18 Transfers of assets from customers and SIC 31 Revenue – barter transactions involving advertising services.

IFRS 15 provides a single revenue recognition model for long-term sales contracts, sales of goods and the provision of services that do not fall within the scope of standards related to financial instruments (IAS 39), insurance contracts (IFRS 4) or leases (IAS 17). It introduces in new concepts that may affect the accounting treatment of certain components of revenues.

An impact study of the implementation of the standard in the Crédit Agricole Group will be undertaken in 2016. However, based on an initial analysis, the Group does not foresee a material impact on its results.

1.2 Presentation of financial statements

In the absence of a required presentation format under IFRS, Crédit Agricole Group's complete set of financial statements (balance sheet, income statement, statement of comprehensive income, statement of changes in equity and cash flow statement) has been presented in the format set out in ANC Recommendation 2013-04 of 7 November 2013.

1.3 Accounting policies and principles

USE OF ASSESSMENTS AND ESTIMATES TO PREPARE THE FINANCIAL STATEMENTS

Estimates made to draw up the financial statements are by their nature based on certain assumptions and involve risks and uncertainties as to whether they will be achieved in the future.

Future results may be influenced by many factors, including:

- activity in domestic and international markets;
- fluctuations in interest and exchange rates;
- the economic and political climate in certain industries or countries;
- changes in regulations or legislation.

This list is not exhaustive.

Accounting estimates based on assumptions are principally used in the following assessments:

- financial instruments measured at fair value;
- investments in non-consolidated companies;
- retirement plans and other post-employment benefits;
- stock option plans;
- long-term depreciation of available-for-sale financial assets and held-to-maturity investments;
- impairment of loans;
- provisions;
- impairment of goodwill;
- deferred tax assets;
- valuation of equity-accounted entities;
- deferred participation benefits.

The procedures for the use of assessments or estimates are described in the relevant sections below.

FINANCIAL INSTRUMENTS (IAS 32 AND 39)

Financial assets and liabilities are treated in the financial statements in accordance with IAS 39 as endorsed by the European Commission.

At the time of initial recognition, financial assets and financial liabilities are measured at fair value including trading costs (with the exception of financial instruments recognised at fair value through profit or loss). Subsequently, financial assets and financial liabilities are measured according to their classification, either at fair value or at amortised cost based on the effective interest rate method.

IFRS 13 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants, on the principal or the most advantageous market, at the measurement date.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to obtain the net carrying amount of the financial asset or financial liability.

Securities

Classification of financial assets

Under IAS 39, securities are divided into four categories:

- financial assets held for trading or financial assets designated at fair value through profit or loss;
- held-to-maturity financial assets;
- loans and receivables;
- available-for-sale financial assets.

Financial assets at fair value through profit or loss classified as held-for-trading or designated at fair value through profit or loss

According to IAS 39, this portfolio comprises securities that are classified under financial assets at fair value through profit or loss either as a result of a genuine intention to trade them (financial assets held for trading) or of being designated at fair value by Crédit Agricole Group.

Financial assets at fair value through profit or loss are assets acquired or generated by the enterprise primarily with the aim of disposal in the short term or which are included in a portfolio of financial instruments managed as a unit and with the purpose of making a profit from short term price fluctuations or an arbitrage margin.

Financial assets, provided they meet the conditions specified in the standard, can be designated as at fair value through profit or loss in the following three cases: for hybrid instruments comprising one or more embedded derivatives, where the fair value option would reduce an accounting mismatch or for a group of financial assets under management whose performance is measured at fair value. This method is generally used so that derivatives embedded in hybrid instruments do not have to be recognised and measured separately.

To this end, Crédit Agricole Group has designated the following assets at fair value through profit or loss:

- assets backing unit-linked contracts;
- private equity business portfolio.

Securities that are classified under financial assets at fair value through profit or loss are recognised at fair value at inception, excluding transaction costs attributable directly to their acquisition (which are taken directly to profit or loss) and including accrued interest.

They are subsequently carried at fair value and changes in fair value are taken to profit or loss.

No impairment losses are booked for this category of securities.

Outstanding syndication securities held for sale are recognised as financial assets at fair value through profit or loss and are marked to market.

Total held-to-maturity financial assets

The category Held-to-maturity financial assets (applicable to securities with fixed maturities) includes securities with fixed or determinable payments that Crédit Agricole Group has the intention and ability to hold until maturity, other than:

- securities that are initially designated as financial assets at fair value through profit or loss at the time of initial recognition by Crédit Agricole Group;
- securities that fall into the "Loans and receivables" category. Hence, debt securities that are not traded in an active market cannot be included in the "Held-to-maturity financial assets" category.

Classification as held-to-maturity means that the entity must abide by the prohibition on the sale of securities prior to maturity, except where allowed under IAS 39.

Hedging of interest rate risk for this category of securities is not allowed for hedge accounting under IAS 39.

Held-to-maturity financial assets are initially recognised at acquisition cost, including transaction costs that are directly attributable to the acquisition and including accrued interest.

They are subsequently measured at amortised cost with amortisation of any premium or discount and transaction costs using the effective interest method.

Impairment rules for this financial asset category are disclosed in the section on "Impairment of securities" for securities measured at amortised cost.

Loans and receivables

Loans and receivables comprise unlisted financial assets that generate fixed or determinable payments.

Securities of the Loans and receivables portfolio are initially recognised at acquisition cost, including transaction costs that are directly attributable to the acquisition and including accrued interest.

They are subsequently measured at amortised cost with amortisation of any premium or discount and transaction costs using the corrected effective interest method.

Impairment rules for this financial asset category are disclosed in the section on "Impairment of securities" for securities measured at amortised cost.

Available-for-sale financial assets

IAS 39 defines available-for-sale financial assets as assets that are other designated as available-for-sale or as the default category.

Available-for-sale financial assets are initially recognised at fair value, including transaction costs that are directly attributable to the acquisition and including accrued interest.

Available-for-sale financial assets are later measured at fair value and subsequent changes in fair value are recorded in other comprehensive income.

If the securities are sold, these changes are transferred to the income statement.

Amortisation of any premiums or discounts and transaction costs on fixed-income securities is recognised in the income statement using the effective interest rate method.

Impairment rules for this financial asset category are disclosed in the section on "Impairment of securities".

Impairment of securities

Impairment shall be booked when there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the securities, other than assets measured as at fair value through profit or loss.

Objective evidence of loss corresponds to a prolonged or significant decline in the value of the security for equity securities or the appearance of significant deterioration in credit risk evidenced by a risk of non-recovery for debt securities.

For equity securities, Crédit Agricole Group uses quantitative criteria as indicators of potential impairment. These quantitative criteria are mainly based on a loss of 30% or more of the value of the equity instrument over a period of six consecutive months. Crédit Agricole Group may also take account of other factors such as financial difficulties of the issuer, or short term prospects, etc.

Notwithstanding the above-mentioned criteria, Crédit Agricole Group recognises an impairment loss when there is a decline in the value of the equity instrument higher than 50% or prolonged over three years.

For debt securities, impairment criteria are the same as for loans and receivables.

Such impairment is only recognised when it translates into a probable loss of all or part of the amount invested:

- for securities measured at amortised cost through the use of an impairment account, the amount of the loss is recognised in the income statement, and may be reversed in case of subsequent improvements;
- for available-for-sale securities, the amount of the aggregate loss is transferred from other comprehensive income to the income statement; in the event of subsequent recovery in the price of the securities, the loss previously transferred to the income statement may be reversed when justified by circumstances for debt instruments.

Recognition date of securities

As from 2015 period, securities classified as financial assets and liabilities at fair value through profit and loss are recognised at their settlement date, as market practices. This change of presentation reduces the size of the consolidated balance sheet but has no impact on either the consolidated income statement or consolidated equity. Without this change of the recognition date, the total would have been bigger of approximately €15 billion in assets and €18 billion in liabilities at 31 December 2015.

Reclassification of financial assets

IAS 39 allows "available-for-sale financial assets" to be reclassified as "held-to-maturity financial assets" where there is a change in management intention and if the criteria for reclassification as held-to-maturity are respected.

In accordance with the amendment to IAS 39 as published and adopted by the European Union in October 2008, the following reclassifications are also allowed:

- from the financial assets held-for-trading and available-for-sale financial assets categories to the Loans and receivables category, if the entity now has the intention and ability to hold the financial asset for the foreseeable future or until maturity and if the classification criteria for this category are met upon the transfer date (in particular, financial asset not quoted in an active market);

- in rare documented circumstances, from financial assets held-for-trading to available-for-sale financial assets or held-to-maturity financial assets if the eligibility criteria are met upon the transfer date for each category.

The fair value on the date of reclassification becomes the new cost or amortised cost, as applicable, of the reclassified financial asset.

Information on reclassifications made by Crédit Agricole Group under the terms of the amendment to IAS 39 is provided in Note 9 “Reclassification of financial instruments”.

Temporary investments in/disposals of securities

Within the meaning of IAS 39, temporary sales of securities (securities lending/borrowing, repurchase agreements) do not fulfil the derecognition conditions of IAS 39 and are regarded as collateralised financing.

Securities lent or sold under repurchase agreements remain on the balance sheet. If applicable, the amounts received, representing the liability to the transferee, are recognised on the liability side of balance sheet by the transferor.

Items borrowed or bought under repurchase agreements are not recognised on the balance sheet of the transferee. A receivable is recognised for the amount paid. If the security is subsequently resold, however, the transferee records a liability equivalent to the fair value of fulfilling their obligation to return the security received under the agreement.

Revenue and expenses relating to such transactions are posted to profit and loss on a *prorata temporis* basis, except in the case of assets and liabilities recognised at fair value through profit or loss.

Lending operations

Loans are principally allocated to the Loans and receivables category. In accordance with IAS 39, they are initially valued at fair value and subsequently valued at amortised cost using the effective interest rate method. The effective interest rate is the rate that exactly discounts estimated future cash payments to the original net loan amount. This rate includes the discounts and any transaction income or transaction costs that are an integral part of the effective interest rate.

Syndication loans held for trading are classified as financial assets held for trading and are marked to market.

Subordinated loans and repurchase agreements (represented by certificates or securities) are included under the various categories of loans and receivables according to counterparty type.

Income calculated based on the effective interest rate is recognised in the balance sheet under accrued interests in the income statement.

Impairment of loans

In accordance with IAS 39, loans classified under Loans and receivables are impaired whenever there is objective indication of impairment as a result of one or more loss events occurring after the initial recognition of these loans, such as:

- borrower in serious financial difficulties;
- a breach of contract such as a default on the payment of interest or principal;
- the granting by the lender to the borrower, for economic or legal reasons connected with the borrower’s financial difficulties, of a facility that the lender would not have envisaged under other circumstances (loan restructuring);
- increasing probability of bankruptcy or other financial restructuring of the borrower.

Impairment may be individual or collective, or in the form of discounts on loans that have been restructured due to customer default.

Impairment charges and reversals of impairment losses for non-recovery risk are recognised in cost of risk and any increase in the carrying amount of the loan arising from the accretion of the impairment or amortisation of the restructured loan discount is recognised in interest margin.

Impairment losses are discounted and estimated on the basis of several factors, notably business- or sector-related. It is possible that future assessments of the credit risk may differ significantly from current estimates, which may lead to an increase or decrease in the amount of the impairment.

Probable losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities.

Loans individually assessed for impairment

Each loan is first individually assessed for known risk of loss. Projected losses are thus measured by means of individual impairment losses for all types of loans, including guaranteed, where there is objective indication of impairment. The amount of impairment losses is the difference between the carrying amount of loans (amortised cost) and the sum of estimated future flows, discounted at the original effective interest rate.

Possible losses in respect of portfolios of small loans with similar characteristics may be estimated on a statistical basis rather than individually assessed.

Loans collectively assessed for impairment

Statistical and historical customer default experience shows that there is an identified risk of partial uncollectibility of loans not individually impaired. To cover these risks, which cannot by nature be allocated to individual loans, Crédit Agricole Group takes various collective impairment charges, calculated using models developed on the basis of these statistical data, by way of deduction from asset values. These are determined for each homogenous class of loans displaying similar credit risk characteristics.

- Calculation of impairment losses using Basel models:

  Under Basel regulations, each Crédit Agricole Group’s entity calculates the amount of losses anticipated within one year, using statistical tools and databases, based on a variety of observation criteria that meet the definition of a “loss event” within the meaning of IAS 39.

  The amount of impairment is based on the probability of default in each rating class assigned to borrowers, and also on management’s experienced judgement.

  The amount of this impairment is obtained by applying to the amount of anticipated losses calculated using the Basel models a maturity correction factor designed to take account of the need to record impairment charges for the anticipated losses up to maturity.

- Other loans collectively assessed for impairment:

  Crédit Agricole Group also sets aside collective impairment charges to cover customer risks that are not allocated to individual loans, such as sector or country impairment losses. These provisions are intended to cover estimated risks based on a sector or geographical analysis for which there is statistical or historical risk of partial non-recovery.

Loan restructuring

Loans restructured due to financial difficulties are loans for which the entity changed the initial financial terms (interest rate, term) for economic or legal reasons connected with the borrower's financial difficulties, in a manner that would not have been considered under other circumstances. They therefore consist of loans that are classified as in default and, since 1 January 2014, performing loans at the date they are restructured.

The reduction of future flows granted to a counterparty, which may notably stem from these flows being postponed as part of the restructuring, results in the recognition of a discount. It represents future loss of cash flow discounted at the original effective interest rate.

It is equal to the difference between:

- the carrying amount of the loan;
- and the sum of theoretical future cash flows from the restructured loan, discounted at the original effective interest rate (defined at the date of the financing commitment).

The loss recognised when a loan is restructured is recorded under cost of risk. Its amortisation then affects the interest margin.

Restructured loans are monitored based on ratings in accordance with Basel rules and are impaired on the basis of the estimated credit risk. They are individually impaired within 30 days of a missed payment.

Restructured loans remain in this category for two years (three years if they were in default when restructured).

Watch list loans

Watch list loans consist of loans for which payment arrears have been recorded but for which no individual impairment has been set aside.

Commercial renegotiations

Renegotiated loans for commercial reasons without financial difficulties of the counterpart with the aim of developing or keeping a commercial relation are derecognised at the date of the renegotiation. The new loans accorded to customers are initially recognised at the same date at fair value and subsequently at the same date at amortized cost using the effective interest method according to the conditions of the new contract.

Subsidised loans (IAS 20)

Under French Government measures to support the agricultural and rural sector and to help home buyers, certain Crédit Agricole Group entities grant subsidised loans at rates fixed by the Government. Consequently, the Government pays these entities the difference between the subsidised lending rate and a predetermined benchmark rate. Accordingly, no discounts are recognised against subsidised loans.

The subsidy system is periodically reviewed by the Government.

In accordance with IAS 20, subsidies received from the Government are recorded under Interest and similar income and spread over the life of the corresponding loans.

Financial liabilities

IAS 39 as endorsed by the European Union recognises three categories of financial liabilities:

- financial liabilities at fair value through profit or loss. Fair value changes on this portfolio are recognised in profit or loss at accounting end-periods;
- financial liabilities designated at fair value through profit or loss. Financial liabilities, provided they meet the conditions specified in the standard, can be designated as at fair value through profit or loss in the following three cases: for hybrid instruments comprising one or more embedded derivatives, where the fair value option would reduce an accounting mismatch or for a group of financial liabilities under management whose performance is measured at fair value. This method is generally used so that derivatives embedded in hybrid instruments do not have to be recognised and measured separately;
- other financial liabilities: this includes all types of other financial liabilities. These liabilities are initially measured at fair value (including transaction income and costs) and subsequently at amortised cost using the effective interest method.

The valuation of issues recorded at fair value includes the change in own credit risk of the Group.

Securities classified as financial liabilities or equity

Distinction between liabilities and equity

Securities are classed as debt instruments or equity instruments based on the economic substance of the contractual terms.

A debt instrument is a contractual obligation to:

- deliver cash or another financial asset; or
- exchange instruments under potentially unfavourable conditions.

An equity instrument is a contract that offers a discretionary return, represents a residual interest in a company's net assets after deducting liabilities and is not qualified as a debt instrument.

Treasury shares buy-back

Treasury shares (or equivalent derivative instruments, such as stock options) bought back by Crédit Agricole Group, including shares held to cover stock option plans, do not meet the definition of a financial asset and are deducted from equity. They do not generate any impact on the income statement.

Deposits

All deposits are recorded under the category "Due to customers" in spite of the characteristics of the collection system within Crédit Agricole Group, with deposits originating from the Regional Banks centralised at Crédit Agricole S.A. For the Group, the ultimate counterparty for these deposits is the end customer.

The deposits are initially measured at fair value and subsequently at amortised cost.

Regulated savings products are by nature deemed to be at market rates.

Provisions are taken where necessary against home purchase savings plans and accounts as set out in Note 6.20 “Provisions”.

Derivative instruments

Derivative instruments are financial assets or liabilities and are recognised on the balance sheet at fair value at inception of the transaction. At the end of each reporting period, derivatives are measured at fair value, whether they are held for trading purposes or used for hedging.

Any change in the value of derivatives on the balance sheet is recorded in the income statement (except in the special case of a cash flow hedging relationship).

Hedge accounting

Fair value hedges are intended to provide protection from exposure to a change in the fair value of an asset or of a liability that has been recognised, or of a firm commitment that has not been recognised.

Cash flow hedges are intended to provide protection from a change in future cash flows from financial instruments associated with a recognised asset or liability (for example, with all or part of future interest payments on a floating-rate debt) or a projected transaction that is considered to be highly probable.

Hedges of net investments in a foreign operation are intended to provide protection from the risk of an adverse movement in fair value arising from the foreign exchange risks associated with a foreign investment in a currency other than the euro.

Hedges must meet the following criteria in order to be eligible for hedge accounting:

- the hedging instrument and the instrument hedged must be eligible;
- there must be formal documentation from inception, primarily including the individual identification and characteristics of the hedged item, the hedging instrument, the nature of the hedging relationship and the nature of the hedged risk;
- the effectiveness of the hedge must be demonstrated, at inception and retrospectively, by testing at each reporting date.

For interest rate hedges for a portfolio of financial assets or financial liabilities, Crédit Agricole Group documents the hedging relationship for fair value hedges in accordance with the carve-out version of IAS 39 as endorsed by the European Union.

The Group also documents these hedging relationships based on its gross position in derivative instruments and hedged items.

The effectiveness of the hedging relationships is measured by maturity schedules.

The change in value of the derivative is recorded in the financial statements as follows:

- fair value hedges: the change in value of the derivative is recognised in the income statement symmetrically with the change in value of the hedged item in the amount of the hedged risk. Only the net amount of any ineffective portion of the hedge is recognised in the income statement;
- cash flow hedges: the change in value of the derivative is recognised in the balance sheet through a specific account in other comprehensive income for the efficient portion and any inefficient portion of the hedge is recognised in the income statement. Any profits or losses on the derivative accrued through other comprehensive income are then reclassified in the income statement when the hedged cash flows occur;
- hedges of net investment in a foreign operation; the change in value of the derivative is recognised in the balance sheet in the translation adjustment equity account and any ineffective portion of the hedge is recognised in the income statement.

Where the conditions for benefiting from hedge accounting are no longer met, the following accounting treatment must be applied prospectively:

- fair value hedges: only the hedging instrument continues to be revalued through profit or loss. The hedged item is wholly accounted for according to its classification. For available-for-sale securities, changes in fair value subsequent to the ending of the hedging relationship are recorded in other comprehensive income. For hedged items valued at amortised cost, which were interest rate hedged, the revaluation adjustment is amortised over the remaining life of those hedged items;
- cash flow hedges: the hedging instrument is valued at fair value through profit or loss. The amounts accumulated in other comprehensive income under the effective portion of the hedging remain in other comprehensive income until the hedged element affects profit or loss. For interest rate hedged instruments, profit or loss is affected according to the payment of interest. The revaluation adjustment is therefore amortised over the remaining life of those hedged items;
- hedges of net investment in a foreign operation: the amounts accumulated in other comprehensive income under the effective portion of the hedging remain in other comprehensive income while the net investment is held. The income is recorded once the net investment in a foreign operation exits the scope of consolidation.

Embedded derivatives

An embedded derivative is a component of a hybrid contract that meets the definition of a derivative product. Embedded derivatives must be accounted for separately from the host contract if the following three conditions are met:

- the hybrid contract is not measured at fair value through profit or loss;
- the embedded component taken separately from the host contract has the characteristics of a derivative;
- the characteristics of the derivative are not closely related to those of the host contract.

Determination of the fair value of financial instruments

When determining the fair value of financial instruments observable inputs must be prioritised. It is presented using the hierarchy defined in IFRS 13.

IFRS 13 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants, on the principal or the most advantageous market, at the measurement date.

Fair value applies individually to each financial asset or financial liability. A portfolio exemption may be used where the management and risk monitoring strategy so allow and are appropriately documented. Thus, certain fair value parameters are calculated on a net basis when a group of financial assets and financial liabilities is managed on the basis of its net exposure to market or credit risks. This is notably true of the CVA/DVA calculation.

The Group considers that the best evidence of fair value is reference to quoted prices published in an active market.

When such quoted prices are not available, fair value is established by using valuation techniques based on observable data or unobservable inputs.

Fair value of structured issues

In accordance with IFRS 13, the Group values its structured issues, recognised at fair value, by taking as a reference the issuer spread that specialist participants agree to receive to acquire new Group issues.

Counterparty risk on derivative instruments

Crédit Agricole Group incorporates into fair value the assessment of counterparty risk for derivative assets (Credit Valuation Adjustment or CVA) and, using a symmetrical treatment, the non-performance risk for derivative liabilities (Debit Valuation Adjustment or DVA or own credit risk).

The CVA makes it possible to determine the expected losses due to the counterparty from the perspective of Crédit Agricole Group, and DVA, the expected losses due to Crédit Agricole Group from the perspective of the counterparty.

The CVA/DVA is calculated on the basis of an estimate of expected losses based on the probability of default and loss given default. The methodology used maximises the use of observable market inputs. It is primarily based on market data such as registered and listed CDS (or Single Name CDS) or index CDS in the absence of registered CDS on the counterparty. In certain circumstances, historical default data may also be used.

Fair value hierarchy

The standard classifies fair value into three levels based on the observability of inputs used in valuation techniques.

Level 1: fair value corresponding to quoted prices (unadjusted) in active markets

Level 1 is composed of financial instruments that are directly quoted in active markets for identical assets and liabilities that the entity can access at the measurement date. These are stocks and bonds quoted in active markets (such as the Paris Stock Exchange, the London Stock Exchange or the New York Stock Exchange, etc.) and also fund securities quoted in an active market and derivatives traded on an organised market, in particular futures.

A market is regarded as being active if quoted prices are readily and regularly available from an exchange, broker, dealer, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

For financial assets and liabilities with offsetting market risks, Crédit Agricole Group uses mid-prices as a basis for establishing fair values for the offsetting risk positions. The Group applies the current bid price to asset held or liability to be issued (open long position) and the current asking price to asset to be acquired or liability held (open short position).

Level 2: fair value measured using directly or indirectly observable inputs other than those in Level 1

The inputs used are observable either directly (i.e. prices) or indirectly (derived from prices) and generally consist of: data from outside the Company, which are publicly available or accessible and based on a market consensus.

Level 2 is composed of:

- stocks and bonds quoted in an inactive market or non quoted in an active market but for which fair value is established using a valuation methodology usually used by market participants (such as discounted cash flow techniques or the Black & Scholes model) and based on observable market data;
- instruments that are traded over the counter, the fair value of which is measured with models using observable market data, i.e. derived from various and independent available external sources which can be obtained on a regular basis. For example, the fair value of interest rate swaps is generally derived from the yield curves of market interest rates as observed at the reporting date.

When the models are consistent notably with standard models based on observable market data (such as interest rate yield curves or implied volatility surfaces), the day one gain or loss resulting from the initial fair value measurement of the related instruments is recognised in profit or loss at inception.

Level 3: fair value that is measured using significant unobservable inputs

For some complex instruments that are not traded in an active market, fair value measurement is based on valuation techniques using assumptions i.e. that cannot be observed on the market for an identical instrument. These instruments are disclosed within Level 3.

This mainly concerns complex interest rate instruments, equity derivatives, structured credit instruments which fair value measurement includes for instance correlation or volatility inputs that are not directly benchmarkable.

Since the transaction price is deemed to reflect the fair value at initial recognition, any day one gain or loss recognition is deferred.

The day one gain or loss relating to these structured financial instruments is generally recognised through profit or loss over the period during which inputs are deemed unobservable. When market data become "observable", the remaining margin to be deferred is immediately recognised in profit or loss.

Valuation methodologies and models used for financial instruments that are disclosed within Levels 2 and 3 incorporate all factors that market participants would consider in setting a price. They shall be beforehand validated by an independent control. Fair value measurement notably includes both liquidity risk and counterparty risk.

Absence of accepted valuation method to determine equity instruments' fair value

In accordance with IAS 39 principles, if there is no satisfactory method or if the estimates obtained using the various methods differ excessively, the security is valued at cost and stays recorded under available-for-sale financial Assets because its fair value cannot be reliably measured. In this case, the Group does not report a fair value, in accordance with the applicable recommendations of IFRS 7. These primarily include equity investments in companies that are not quoted in an active market and whose fair value is difficult to measure reliably.

Net gains (losses) on financial instruments

Net gains (losses) on financial instruments at fair value through profit or loss

For financial instruments designated at fair value through profit or loss and financial assets and liabilities held-for-trading, this heading mainly includes the following income statement items:

- dividends and other revenues from equities and other variable-income securities which are classified under financial assets at fair value through profit or loss;
- changes in fair value of financial assets or liabilities at fair value through profit or loss;
- gains and losses on disposal of financial assets at fair value through profit or loss;
- changes in fair value and gains and losses on disposal or termination of derivative instruments not included in a fair value hedging relationship or cash flow hedge.

This heading also includes the inefficient portion of hedges.

Net Gains (Losses) on available-for-sale financial assets

For available-for-sale financial assets, this heading mainly includes the following income statement items:

- dividends and other revenues from equities and other variable-income securities which are classified as available-for-sale financial assets;
- gains and losses on disposal of fixed-income and variable-income securities which are classified as available-for-sale financial assets;
- losses in value of variable-income securities;
- net income on disposal or termination of instruments used for fair value hedges of available-for-sale financial assets when the hedged item is sold;
- gains and losses on disposal or termination of loans and receivables and held-to-maturity securities in those cases provided for by IAS 39.

Offsetting of financial assets and financial liabilities

In accordance with IAS 32, Crédit Agricole Group nets a financial asset and a financial liability and reports the net amount when, and only when, it has a legally enforceable right to offset the amounts reported and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

The derivative instruments and the repurchase agreements handled with clearing houses that meet the two criteria required by IAS 32 have been offset on the balance sheet.

The effect of this offsetting is presented in the table in Note 6.12 amendment to IFRS 7 on disclosures regarding the offsetting of financial assets and financial liabilities.

Financial guarantees given

A financial guarantee contract is a contract that calls for specific payments to be made by the issuer to reimburse the holder for a loss incurred due to a specified debtor's failure to make a payment when due under the initial or amended terms of a debt instrument.

Financial guarantee contracts are recognised at fair value initially then subsequently at the higher of:

- the amount calculated in accordance with IAS 37 "Provisions, Contingent Liabilities and Contingent Assets"; or
- the amount initially recognised, less any depreciation recognised in accordance with IAS 18 "Income on ordinary activities".

Financing commitments that are not designated as fair value through profit or loss or not treated as derivative instruments within the meaning of IAS 39 are not recognised on the balance sheet. They are, however, covered by provisions in accordance with IAS 37.

Derecognition of financial instruments

A financial asset (or group of financial assets) is fully or partially derecognised if:

- the contractual rights to the cash flows from the financial asset expire;
- or are transferred or are deemed to have expired or been transferred because they belong de facto to one or more beneficiaries; and substantially all the risks and rewards of ownership in the financial asset are transferred.

In this case, any rights or obligations created or retained at the time of transfer are recognised separately as assets and liabilities.

If the contractual rights to the cash flows are transferred but some of the risks and rewards of ownership as well as control are retained, the financial assets continue to be recognised to the extent of the Group's continuing involvement in the asset.

A financial liability is derecognised in full or in part:

- when it is extinguished; or
- when quantitative and qualitative analyses suggest it has undergone a substantial change following restructuring.

PROVISIONS (IAS 37 AND 19)

Crédit Agricole Group has identified all obligations (legal or constructive) resulting from a past event for which it is probable that an outflow of resources will be required to settle the obligation, and for which the due date or amount of the settlement is uncertain but can be reliably estimated. These estimates are discounted where applicable whenever there is a material impact.

For obligations other than those related to credit risk, Crédit Agricole Group has set aside general provisions to cover:

- operational risks;
- employee benefits;
- financing commitment execution risks;
- claims and liability guarantees;
- tax risks;
- risks related to home purchase savings plans.

The latter provision is designed to cover the Group's obligations in the event of unfavourable movements in home purchase savings schemes. These obligations are: i) to pay a fixed rate of interest on the savings contract from inception for an undefined period of time; and ii) to grant a loan to home purchase savings plan savers at a rate fixed at inception of the contract. The provision is calculated for each generation of a home purchase savings plan and for all home purchase savings accounts, with no netting of obligations between generations.

The amount of these obligations is calculated taking account notably of:

- saver behaviour models, based on assumptions regarding customer behaviour drawn from historical experience, which may not necessarily reflect actual trends in future behaviour;
- an estimate of the amount and term of the loans that will be granted in the future, based on historical experience over an extended period of time;
- the yield curve for market rates and reasonably foreseeable trends.

Certain estimates may be made to determine the amount of the following provisions:

- the reserve for operational risks, which although subject to examination for identified risks, requires Management to make assessments with regard to incident frequency and the potential financial impact;
- the reserve for legal risks, which is based on Management's best estimate in light of the information in its possession at the end of the reporting period.

Detailed information is provided in Note 6.20 "Provisions".

EMPLOYEE BENEFITS (IAS 19)

In accordance with IAS 19, employee benefits are recorded in four categories:

- short-term employee benefits, including salaries, social security contributions, annual leave, profit-sharing and incentive plans and premiums, are defined as those which are expected to be settled within twelve months of the period in which the related services have been rendered;
- long-term employee benefits (long-service awards, variable compensation and compensation payable 12 months or more after the end of the period);
- termination benefits;
- post-employment benefits fall into two categories: defined-benefit plans and defined contribution plans.

Long-term employee benefits

Long-term employee benefits are employee benefits other than post-employment benefits or termination benefits but not fully due to employees within twelve months after the end of the period in which the related services have been rendered.

These include, in particular, bonuses and other deferred compensation payable twelve or more months after the end of the period in which they were earned, but which are not share-based.

The measurement method is similar to the one used by the Group for post-employment benefits with defined-benefit plans.

Post-employment benefits

Defined-benefit plans

At each reporting date, Crédit Agricole Group sets aside reserves to cover its liabilities for retirement and similar benefits and all other employee benefits falling in the category of defined-benefit plans.

In keeping with IAS 19, these commitments are stated based on a set of actuarial, financial and demographic assumptions, and in accordance with the projected Unit Credit Method. Under this method, for each year of service, a charge is booked in an amount corresponding to the employee's vested benefits for the period. The charge is calculated based on the discounted future benefit.

Liabilities for retirement and other employee benefits are based on assumptions made by Management with respect to the discount rate, staff turnover rate and probable increases in salary and social security costs. If the actual figures differ from the assumptions made, the retirement liability may increase or decrease in future years (see Note 7.4 "Post-employment benefits, defined-benefit plans").

Discount rates are determined based on the average term of the commitment, that is, the arithmetical average of the terms calculated between the valuation date and the payment date weighted by employee turnover assumptions.

The anticipated return on plan assets is also estimated by Management. Returns are estimated on the basis of expected returns on fixed income securities, and notably bonds.

The expected return on plan assets is determined using discount rates applied to measure the defined benefit obligation.

In accordance with IAS 19 revised, all actuarial gains or losses are recognised in other comprehensive income.

The amount of the provision is equal to:

- the present value of the obligation to provide the defined-benefits at the end of the reporting period, calculated in accordance with the actuarial method recommended by IAS 19;
- if necessary, reduced by the fair value of the assets allocated to covering these commitments. These may be represented by an eligible insurance policy. In the event that 100% of the obligation is covered by a policy that meets exactly the expense amount payable over the period for all or part of a defined-benefit plan, the fair value of the policy is deemed to be the value of the corresponding obligation, i.e. the amount of the corresponding actuarial liability.

For such obligations that are not covered, a provision for retirement benefits is recognised under Provisions on the liabilities side of the balance sheet. This provision is equal to Crédit Agricole Group's liabilities towards employees in service at year-end, governed by the Crédit Agricole Group collective agreement that came into effect on 1 January 2005.

A provision to cover the cost of early retirement commitments is also listed under Provisions. This provision covers the additional discounted cost of the various early retirement agreements signed by Crédit Agricole Group entities under which employees of eligible age may take early retirement.

Lastly, certain Group companies are liable to pay supplementary retirement benefits. A provision is calculated on the basis of the Company's actuarial liability for these benefits. These provisions are also shown on the liabilities side of the balance sheet under Provisions.

Defined contribution plans

Employers contribute to a variety of compulsory pension schemes. Plan assets are managed by independent organisations and the contributing companies have no legal or implied obligation to pay additional contributions if the funds do not have sufficient assets to cover all benefits corresponding to services rendered by employees during the year and during prior years. Consequently, Crédit Agricole Group has no liabilities in this respect other than their on-going contributions.

SHARE-BASED PAYMENTS (IFRS 2)

IFRS 2 on Share-based payment requires valuation of share-based payment transactions in the Company's income statement and balance sheet. This standard applies to transactions with employees and more specifically to:

- share-based payment transactions settled in equity instruments;
- share-based payment transactions settled in cash.

Share-based payment plans initiated by Crédit Agricole Group that are eligible for IFRS 2, are mainly transactions settled in equity instruments (stock options, free share allocation plans, variable compensation settled in cash indexed or in shares, etc.).

Options granted are measured at their fair value on the date of grant primarily using the Black & Scholes model. These options are recognised as a charge under Employee expenses, with a corresponding adjustment to equity, spread over the vesting period (four years for existing plans).

Employee share issues offered to employees as part of the Employee Saving Plan are also subject to the IFRS 2 standard. Shares may be offered to employees with a discount of no more than 20%. These plans have no vesting period but the shares are subject to a lock-up period of five years. The benefit granted to employees is measured as the difference between the fair value per share acquired taking account of the lock-up period and the purchase price paid by the employee on the issue date multiplied by the number of shares issued.

A more detailed description of the method, existing plans and valuation methods is provided in Note 7.6 "Share-based payment".

The cost of stock options settled in Crédit Agricole S.A. equity instruments and the cost of share subscriptions are now recognised in the financial statements of the entities that employ the plan beneficiaries. The impact is recorded under Employee expenses, with a corresponding increase in consolidated reserves Group share.

CURRENT AND DEFERRED TAXES

In accordance with IAS 12, the income tax charge includes all income taxes, whether current or deferred.

IAS 12 defines current tax liability as "the amount of income tax payable (recoverable) in respect of the taxable profit (tax loss) for a reporting period". Taxable income is the profit (or loss) for a given accounting period measured in accordance with the rules determined by the taxation authorities.

The applicable rates and rules used to measure the current tax liability are those in effect in each country where the Group's companies are established.

The current tax liability relates to any income due or that will become due, for which payment is not subordinated to the completion of future transactions, even if payment is spread over several years.

The current tax liability must be recognised as a liability until it is paid. If the amount that has already been paid for the current year and previous years exceeds the amount due for these years, the surplus must be recognised under assets.

Moreover, certain transactions carried out by the entity may have tax consequences that are not taken into account in measuring the current tax liability. IAS 12 defines a difference between the carrying amount of an asset or liability and its tax basis as a temporary difference.

This standard requires that deferred taxes be recognised in the following cases:

- a deferred tax liability should be recognised for any taxable temporary differences between the carrying amount of an asset or liability on the balance sheet and its tax base, unless the deferred tax liability arises from:
  - initial recognition of goodwill,
  - the initial recognition of an asset or a liability in a transaction that is not a business combination and that does not affect either the accounting or the taxable profit (taxable loss) at the transaction date;
- a deferred tax asset should be recognised for any deductible temporary differences between the carrying amount of an asset or liability on the balance sheet and its tax base, insofar as it is deemed probable that a future taxable profit will be available against which such deductible temporary differences can be allocated;
- a deferred tax asset should also be recognised for carrying forward unused tax losses and tax credits insofar as it is probable that a future taxable profit will be available against which the unused tax losses and tax credits can be allocated.

The tax rates applicable in each country are used.

Deferred taxes are not discounted.

Taxable unrealised gains on securities do not generate any taxable temporary differences between the carrying amount of the asset and the tax base. As a result, deferred tax is not recognised on these gains. When the relevant securities are classified as available-for-sale securities, unrealised gains and losses are recognised directly through other comprehensive income. The tax charge or saving effectively borne by the entity arising from these unrealised gains or losses is reclassified as a deduction from these gains.

In France, all but 12% of long-term capital gains on the sale of equity investments, as defined by the General Tax Code, are exempt from tax as from the tax year commencing on 1 January 2007; the 12% of long term capital gains are taxed at the normally applicable rate. Accordingly, unrealised gains recognised at the end of the year generate a temporary difference requiring the recognition of deferred tax on this share.

Current and deferred tax is recognised in net income for the year, unless the tax arises from:

- either a transaction or event that is recognised directly through other comprehensive income, during the same year or during another year, in which case it is directly debited or credited to other comprehensive income;
- or a business combination.

Deferred tax assets and liabilities are offset against each other if, and only if:

- the entity has a legally enforceable right to offset current tax assets against current tax liabilities; and
- the deferred tax assets and liabilities apply to income taxes assessed by the same tax authority:
  - either for the same taxable entity,
  - or for different taxable entities that intend either to settle current tax assets and liabilities on a net basis, or to settle their tax assets and liabilities at the same time during each future financial year in which it is expected that substantial deferred tax assets or liabilities will be paid or recovered.

When tax credits on income from securities portfolios and amounts receivable are effectively used to pay income tax due for the year, they are recognised under the same heading as the income with which they are associated. The corresponding tax charge continues to be recognised under the Income tax charge heading in the income statement.

However, given that the legislative intent when introducing the tax credit for competitiveness and employment (*Crédit d'Impôt pour la Compétitivité et l'Emploi* – CICE) was to reduce employee expenses, Crédit Agricole Group chose to recognise the CICE (Article 244 quater C of the French General Tax Code – CGI) as a reduction in employee expenses.

TREATMENT OF FIXED ASSETS (IAS 16, 36, 38 AND 40)

Crédit Agricole Group applies component accounting for all of its property, plant and equipment. In accordance with the provisions of IAS 16, the depreciable amount takes account of the potential residual value of property, plant and equipment.

Land is measured at cost less any impairment losses.

Property used in operations, investment property and equipment are measured at cost less accumulated depreciation and impairment losses since the time they were placed in service.

Purchased software is measured at purchase price less accumulated depreciation and impairment losses since acquisition.

Proprietary software is measured at cost less accumulated depreciation and impairment losses since completion.

Apart from software, intangible assets are mainly assets acquired during a business combination resulting from contract law (e.g. distribution agreement). These were valued on the basis of corresponding future economic benefits or expected service potential.

Fixed assets are depreciated over their estimated useful lives.

The following components and depreciation periods have been adopted by Crédit Agricole Group following the application of the measures on component accounting for property, plant and equipment. These depreciation periods are adjusted according to the type of asset and its location:

Component	Depreciation period
Land	Not depreciable
Structural works	30 to 80 years
Non-structural works	8 to 40 years
Plant and equipment	5 to 25 years
Fixtures and fittings	5 to 15 years
Computer equipment	4 to 7 years
Special equipment	4 to 5 years

Exceptional depreciation charges corresponding to tax-related depreciation and not to any real impairment in the value of the asset are eliminated in the consolidated financial statements.

Based on available information, Crédit Agricole Group has concluded that impairment testing would not lead to any change in the existing amount of its fixed assets at the end of the reporting period.

FOREIGN CURRENCY TRANSACTIONS (IAS 21)

In accordance with IAS 21, a distinction is made between monetary and non-monetary items.

On the reporting date, foreign-currency denominated monetary assets and liabilities are translated into Crédit Agricole Group's functional currency on the closing date. The resulting translation adjustments are recorded in the income statement. There are two exceptions to this rule:

- for available-for-sale financial assets, only the translation adjustments calculated on amortised cost is taken to the income statement; the balance is recorded in equity;
- translation adjustments on elements designated as cash flow hedges or forming part of a net investment in a foreign entity are recognised in other comprehensive income.

Non-monetary items are treated differently depending on the type of items:

- items at historical cost are measured at the exchange rate on the transaction date;
- items at fair value are measured at the exchange rate at the end of the reporting period.

Translation adjustments on non-monetary items are recognised:

- in the income statement if the gain or loss on the non-monetary item is recorded in the income statement;
- in other comprehensive income if the gain or loss on the non-monetary item is recorded in other comprehensive income.

FEES AND COMMISSIONS (IAS 18)

Fee and commission income and expenses are recognised in income based on the nature of services with which they are associated:

- fees and commissions that are an integral part of the effective yield on a financial instrument are recognised as an adjustment to the yield on the instrument and included in its effective interest rate;

- when the result from a transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction is recognised in Fees and commissions by reference to the stage of completion of the transaction at the end of the reporting period:
  - fees and commissions paid or received in consideration for non-recurring services are fully recognised in the income statement. Fees and commissions payable or receivable that are contingent upon meeting a performance target are recognised only if all the following conditions are met:
    - the amount of fees and commissions can be reliably estimated,
    - it is probable that the future economic benefits from the services rendered will flow to the Company,
    - the stage of completion of the service can be reliably estimated, and the costs incurred for the service and the costs to complete it can be reliably estimated;
  - fees and commissions in consideration for on-going services, such as fees and commissions on payment instruments, are recognised in the income statement and spread over the duration of the service rendered.

INSURANCE BUSINESSES (IFRS 4)

Liabilities remain partially valued under French GAAP, as permitted by IAS and IFRS regulations, pending further amendments to the existing standards. Financial assets held by Crédit Agricole Group's insurance companies have been reclassified into the financial assets categories set out in IAS 39.

Contracts containing discretionary participation features are collectively classified as a liability under insurance company's technical reserves. They are recognised in the same way as insurance contracts. Premiums on these contracts are recognised as income and the increase in obligations to policyholders is recognised as an expense.

Life insurance technical reserves are conservatively estimated based on the technical rates defined in the contracts. Liabilities associated with contracts with or without discretionary participation features or guaranteed elements, are measured based on the fair value of the underlying assets or its equivalent at the end of the reporting period and are recorded under financial liabilities.

The financial margin on these policies is taken to profit or loss, after reversing out the technical items (premiums, benefits, etc.), according to deposit accounting principles.

Property and casualty insurance policy liabilities are estimated at the end of the reporting period, without applying any discount. Claims management costs associated with technical reserves are charged to a provision in the financial statements at the reporting date.

For non-life insurance contracts, acquisition costs are recognised as and when the premium is earned. For life insurance contracts, directly identifiable acquisition costs are deferred over the profit generation period.

Total expenses related to the insurance business are presented in Note 4.5 "Net income (expenses) on other activities".

As permitted by the extension of local GAAP specified by IFRS 4 and CRC Regulation 2000-05 pertaining to consolidated financial statements for insurance companies, "shadow accounting" is used to account for insurance liabilities for contracts with discretionary participation features. Under this practice, positive or negative valuation differences in the corresponding financial assets that will potentially revert to policyholders are recognised in a "Deferred profit sharing" account.

The deferred profit sharing is recognised on the liabilities side of the balance sheet under Insurance company's technical reserves or on the asset side with an offsetting entry in the income statement or in the valuation reserve, in the same way as unrealised gains and losses on the underlying assets.

The method used for valuation of deferred policyholders' profit-sharing, resulting from the application of shadow accounting, was changed in 2015.

The rate of deferred policyholders' profit-sharing, previously based on historically observed data, is now valued prospectively on the basis of analysis scenarios consistent with the Company's management policies. It is only updated if it changes significantly.

To determine whether the deferred profit-sharing asset is recoverable, tests are carried out to determine whether any unrealised losses can be applied to future surpluses before testing for liability shortfall in accordance with the CNC recommendation of 19 December 2008.

These tests are based:

- first, on liquidity analyses of the Company, which show the enterprise's capacity to access funding sources to meet its obligations and its ability to hold assets with unrealised losses even if new production declines. The tests were performed with and without new production;
- second, on a comparison between the average value of future services measured by the internal model replicating the Company's management decisions and the value of the assets representing the obligations at fair value. This shows the enterprise's ability to meet its obligations.

Lastly, sensitivity tests on the ability to activate the deferred profit sharing are also carried out:

- in the event of a uniform 15% increase in redemptions applied to redemption rates drawn from scenarios similar to those used by the French Prudential and Resolution Supervisory Authority;
- in the event of an additional 10% decline in the equity markets.

In accordance with IFRS 4, at each reporting date, the Group also ascertains that insurance liabilities (net of deferred acquisition costs and associated intangible assets) are adequate to meet estimated future cash flows.

The liability adequacy test used to verify this must meet the following minimum requirements, as defined in paragraph 16 of the standard:

- it must consider current estimates of all future contractual cash flows, including associated management costs, fees and commissions as well as options and guarantees implicit in these contracts;
- if the test shows that the liability is inadequate, it is wholly recognised in profit or loss.

LEASES (IAS 17)

As required by IAS 17, leases are analysed in accordance with their substance and financial reality. They are classified as operating leases or finance leases.

Finance lease transactions are treated as an acquisition of a fixed asset by the lessee financed by a loan from the lessor.

In the lessor's financial statements, analysis of the economic substance of the transactions results in the following:

- recognition of a financial receivable from the customer, which is amortised by the lease payments received;
- lease payments are broken down into interest and principal, known as financial amortisation;
- recognition of a net lease reserve. This is equal to the difference between:
  - the net lease receivable: amount owed by the lessee, comprising outstanding finance lease receivable and accrued interest at the reporting date,
  - the net carrying amount of the leased fixed assets,
  - the provision for deferred taxes.

In the lessee's financial statements, finance leases are restated such that they are recognised in the same way as if the asset had been purchased on credit, by recognising a financial liability, recording the purchased asset under assets and depreciating the asset.

In the income statement, the theoretical depreciation charge (the charge that would have been recognised if the asset had been purchased) and the finance expenses (incurred in connection with the financing) are recorded in the place of the lease payments.

For operating leases, the lessee recognises payments as expenses and the lessor records the corresponding income under rents, and the leased assets on its balance sheet.

NON-CURRENT ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (IFRS 5)

A non-current asset (or a disposal group) is classified as held-for-sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use.

For this to be the case, the asset (or disposal group) must be available for immediate sale in its present condition and its sale must be highly probable.

The relevant assets and liabilities are shown separately on the balance sheet under Non-current assets held-for-sale and Liabilities associated with non-current assets held-for-sale.

A non-current asset (or disposal group) classified as held-for-sale is measured at the lower of its carrying amount and fair value less costs of sale. A charge for impairment of unrealised gains is recognised in the income statement. Unrealised gains are no longer amortised when they are reclassified.

If the fair value of a disposal group less selling costs is under its carrying amount after impairment of non-current assets, the difference is allocated to other disposal group assets including the financial assets and is recognised under net income of held-for-sale operations.

A discontinued operation is a component that the Group has either disposed of, or is classified as held-for-sale, according to the following situations:

- it represents a separate major business line or geographical area of operations;
- it is part of a single coordinated plan to dispose of a separate major business line or geographical area of operations;
- or is a subsidiary acquired exclusively with a view to resale.

The following are disclosed on a separate line of the income statement:

- the profit or loss from discontinued operations until the date of disposal, net of tax;
- the gain or loss recognised on the disposal or on measurement to fair value less costs of sale of the assets and liabilities constituting the discontinued operations, net of tax.

1.4 Consolidation principles and methods (IFRS 10, IFRS 11 and IAS 28)

SCOPE OF CONSOLIDATION

The consolidated financial statements of Crédit Agricole Group include

- the financial statements of Crédit Agricole S.A. as a central body;
- the financial statements of institutions affiliated with the central body pursuant to directive 86/635 on the financial statements of European credit institutions, which together with Crédit Agricole S.A., the Regional and Local Banks constitute "the reporting entity"; and
- those of all companies over which, in compliance with IFRS 10, IFRS 11 and IAS 28, Crédit Agricole S.A., the Regional and Local Banks exercise control, joint control or significant influence. This control is presumed when Crédit Agricole S.A, the Regional and Local Banks hold, directly or indirectly, at least 20% of existing or potential voting rights.

Definitions of control

In compliance with international standards, all entities under control, under joint control or under significant influence are consolidated, provided that they are not covered by the exclusions below.

Exclusive control over an entity is deemed to exist if Crédit Agricole S.A. and Regional Banks are exposed to or entitled to receive variable returns as a result of their involvement with the entity and if the power they hold over this entity allows them to influence these returns. Power in this context means substantive (voting or contractual) rights. Rights are considered substantive if the holder of the rights can in practice exercise them when decisions about the Company's relevant activities are made.

Crédit Agricole S.A. and the Regional Banks are deemed to control a subsidiary through voting rights when their rights give them the practical ability to direct the subsidiary's relevant activities. Crédit Agricole S.A. and the Regional Banks are generally considered to control a subsidiary when it holds more than half the existing or potential voting rights in an entity, whether directly or indirectly through subsidiaries, except when it can be clearly demonstrated that such ownership does not give them the power to direct its relevant activities. Control is also deemed to exist where Crédit Agricole S.A. and the Regional Banks hold half or less than half of the voting rights, including potential rights, in an entity but are able in practice to direct its relevant activities at their sole discretion, notably because of the existence of contractual arrangements, the size of their stake in the voting rights compared to those of other investors, or other reasons.

Control of a structured entity is not assessed on the basis of voting rights as these have no effect on the entity's returns. When assessing control, consideration is given not only to contractual arrangements in force but also to whether Crédit Agricole S.A. and the Regional Banks were involved in creating the entity and what decisions they made at the time, what agreements were made at its inception and what risks are borne by Crédit Agricole S.A and the Regional Banks, any rights under agreements that give the investor the power to direct relevant activities in specific circumstances only and any other facts or circumstances that indicate the investor can direct the entity's relevant activities. Where there is a management agreement, the extent of decision-making powers granted to the delegated manager and the remuneration accorded by such contractual agreements are examined to establish whether the manager is in practice acting as an agent (with delegated powers) or as a principal (on their own account).

Furthermore, when decisions on the entity's relevant activities are taken, the indicators used to assess whether an entity is acting as agent or principal are as follows: the extent of the decision-making powers compared to the powers over the entity delegated to the manager, the remuneration provided for under the contractual agreements, any substantive rights that may affect the decision-making capacity of other parties involved in the entity and the exposure to variable returns of other interests in the entity.

Joint control is deemed to exist when there is a contractual division of control over an economic activity. Decisions affecting the entity's relevant activities require unanimous agreement of the joint controllers.

In traditional entities, significant influence is defined as the power to influence but not control a company's financial and operational policies. Crédit Agricole S.A. and the Regional Banks are presumed to have significant influence if they own 20% or more of the voting rights in an entity, whether directly or indirectly through subsidiaries.

Exclusions from the scope of consolidation

In accordance with IAS 28 §18, minority interests held by venture capital entities are excluded from the scope of consolidation insofar as they are classified under financial assets at fair value through profit or loss (including financial assets held for trading and financial assets designated at fair value through profit or loss).

CONSOLIDATION METHODS

The methods of consolidation are respectively defined by IFRS 10 and IAS 28 revised. They depend on the type of control exercised by Crédit Agricole S.A. over the entities that can be consolidated, regardless of activity or whether or not they have legal entity status:

- full consolidation, for controlled entities, including entities with different financial statement structures, even if their business is not an extension of that of Crédit Agricole S.A.;
- the equity method, for the entities over which Crédit Agricole S.A. exercises significant influence or joint control.

Full consolidation consists in substituting for the value of the shares each of the assets and liabilities carried by each subsidiary. The equity and income attributable to non-controlling interests is presented separately in the consolidated balance sheet and income statement.

Non-controlling interests are as defined by IFRS 10 and incorporate instruments representing present ownership interests and that give right to a proportional share of the net assets in the event of liquidation and the other equity instruments issued by the subsidiary and not held by the Group.

The equity method consists in substituting for the value of shares the Group's proportional share of the equity and income of the companies concerned.

The change in the carrying amount of these shares includes changes in goodwill.

In the event of incremental share purchases or partial disposals with continued joint control or significant influence, Crédit Agricole Group recognises:

- in the case of an increase in the percentage of interest, additional goodwill;
- in the case of a reduction in the percentage of interest, a gain or loss on disposal/dilution in profit or loss.

RESTATEMENTS AND ELIMINATIONS

Where necessary, financial statements are restated to harmonise the valuation methods applied by consolidated companies.

The impact of Group internal transactions on the consolidated balance sheet and income statement is eliminated for fully consolidated entities.

Capital gains or losses arising from intra-Group asset transfers are eliminated; any potential lasting impairment measured at the time of disposal in an internal transaction is recognised.

TRANSLATION OF FOREIGN SUBSIDIARIES' FINANCIAL STATEMENTS (IAS 21)

Financial statements of subsidiaries denominated in foreign currencies are translated into euros in two stages:

- if applicable, the local currency in which the financial statements are prepared is translated into the functional currency (currency of the main business environment of the entity). The translation is made as if the information had been recognised initially in the functional currency (same translation principles as for foreign currency transactions);
- the functional currency is translated into euros, the currency in which the Group's consolidated financial statements are presented. Assets and liabilities are translated at the closing rate. Income and expenses included in the income statement are translated at the average exchange rate for the period. Translation adjustments for assets, liabilities and income statement items are recorded under a specific item in equity. These translation differences are recognised as income during the total or partial transfer of the entity. In the event of the sale of a subsidiary (exclusive control), the reclassification of equity as income takes place only in the event of a loss of control.

BUSINESS COMBINATIONS – GOODWILL

Business combinations are accounted for using the acquisition method in accordance with IFRS 3, except for business combinations under common control (in particular mergers of Regional Banks), which are excluded from the field of application of IFRS 3. Pursuant to IAS 8, these transactions are entered at carrying amount using the pooling of interests method, with reference to US standard ASU805-50 which seems to comply with the IFRS general principles.

On the date of acquisition, the identifiable assets, liabilities and contingent liabilities of the acquired entity which satisfy the conditions for recognition set out in IFRS 3 are recognised at their fair value.

Notably, restructuring liabilities are only recognised as a liability of the acquired entity if, at the date of acquisition, the acquiree is under an obligation to complete the restructuring.

Price adjustment clauses are recognised at fair value even if their application is not probable. Subsequent changes in the fair value of clauses if they are financial liabilities are recognised in the income statement. Only price adjustment clauses relating to transactions where control was obtained at the latest by 31 December 2009 may still be recorded against goodwill, because these transactions were accounted for under IFRS 3 pre revision (2004).

The non-controlling interests that are shares of current interests giving rights to a share of the net assets in the event of liquidation may be measured, at acquirer's choice, in two ways:

- at fair value on the date of acquisition;
- the share of the identifiable assets and liabilities of the acquired company revalued at fair value.

The option may be exercised at each acquisition.

The balance of interests not allowing control (equity instruments issued by the subsidiary and not held by the Group) should be recognised for its fair value on the date of acquisition.

The initial assessment of assets, liabilities and contingent liabilities may be revised within a maximum period of twelve months after the date of acquisition.

Some transactions relating to the acquired entity are recognised separately from the business combination. This applies primarily to:

- transactions that end an existing relationship between the acquired company and the acquiring company;
- transactions that compensate employees or shareholders of the acquired company for future services;
- transactions whose aim is to have the acquired company or its former shareholders repay expenses borne by the acquirer.

These separate transactions are generally recognised in the income statement at the acquisition date.

The transferred consideration at the time of a business combination (the acquisition cost) is measured as the total of fair values transferred by the acquirer, on the date of acquisition in exchange for control of the acquired entity (for example: cash, equity instruments, etc.).

The costs directly attributable to the business combination shall be recognised as expenses, separately from the business combination. If the transaction has very strong possibilities of occurring, they are recognised under the heading Net gains (losses) on other assets, otherwise they are recognised under the heading General operating expenses.

The difference between the cost of acquisition and non-controlling interests and the net balance on the date of acquisition of acquired identifiable assets and liabilities taken over, valued at their fair value is recognised, when it is positive, in the assets side of the consolidated balance sheet, under the heading Goodwill when the acquired entity is fully consolidated and in the heading Investments in equity-accounted entities when the acquired company is consolidated using the equity method of accounting. Any negative change in value of goodwill is recognised immediately through profit or loss.

Goodwill is carried in the balance sheet at its initial amount in the currency of the acquired entity and translated at the closing rate at the end of the reporting period.

When control is taken by stages, the interest held before taking control is revalued at fair value through profit or loss at the date of acquisition and the goodwill is calculated once, using the fair value at the date of acquisition of acquired assets and liabilities taken over.

Goodwill is tested for impairment whenever there is objective evidence of a loss of value and at least once a year.

The choices and assumptions used in assessing the holdings that do not allow control at the date of acquisition may influence the amount of initial goodwill and any impairment resulting from a loss of value.

For the purpose of impairment testing, goodwill is allocated to the Group Cash Generating Units (CGUs) that are expected to benefit from the business combination. The CGUs have been defined within the Group's business lines as the smallest identifiable group of assets and liabilities functioning in a single business model. Impairment testing consists of comparing the carrying amount of each CGU, including any goodwill allocated to it, with its recoverable amount.

The recoverable amount of the CGU is defined as the higher of fair value diminished of selling costs and value in use. The value in use is the present value of the future cash flows of the CGU, as set out in medium term business plans prepared by the Group for management purposes.

When the recoverable amount is lower than the carrying amount, a corresponding impairment loss is recognised for the goodwill allocated to the CGU. This impairment is irreversible.

In the case of an increase in the percentage of interest of the Group in an entity that is already exclusively controlled, the difference between the acquisition cost and the share of net assets acquired is recognised under the item Consolidated reserves, Group share; in the event that the Group's percentage of ownership interest in an entity that remains under its exclusive control declines, the difference between the selling price and the carrying amount of the share of net assets sold is also recognised directly under Consolidated reserves, Group share. The expenses arising from these transactions are recognised in equity.

The accounting treatment of sale options granted to minority shareholders is as follows:

- when a sale option is granted to the minority shareholders of a fully consolidated subsidiary, a liability is recognised in the balance sheet; on initial recognition, the liability is measured at the estimated present value of the exercise price of the options granted. Against this liability, the share of net assets belonging to the minority shareholders concerned is reduced to zero and the remainder is deducted from equity;
- subsequent changes in the estimated value of the exercise price will affect the amount of the liability, offset by an equity adjustment. Symmetrically, subsequent changes in the share of net assets due to minority shareholders are cancelled, offset in equity.

When there is a loss of control, the proceeds from the disposal are calculated on the entirety of the entity sold and any investment share kept is recognised in the balance sheet at its fair value on the date control was lost.

In all the notes below, prior year data in tables have been restated further to the application of IFRIC 21 in 2015.

The impact of the change of accounting method is shown in Note 11 "Impact of accounting changes and other events".

NOTE 2 Major structural transactions and material events during the period

The scope of consolidation and changes to it are shown in detail at the end of the notes in Note 12 “Scope of consolidation at 31 December 2015”.

2.1 Amundi IPO

On 12 November 2015, Crédit Agricole S.A. and Société Générale proceeded with the initial public offering (IPO) of Amundi, their asset management joint venture created in 2010, on Compartment A of Euronext Paris. The price of the Global Offer and Open Price Offer was set at €45.00 per share, representing a total amount of €1,671 million. In accordance with the shareholders’ agreement signed when Amundi was created, Société Générale sold its entire 20% stake in Amundi as part of the IPO.

Crédit Agricole S.A. meanwhile sold 2% of the capital of Amundi to a subsidiary of Agricultural Bank of China at the IPO price, and granted an overallotment option at the same price to the banks coordinating the operation for 3% of Amundi’s capital. This option was eventually partially exercised for 75% of the maximum number of shares covered by the overallotment option, representing around 2.3% of the share capital.

Under IFRS 10, the impacts on the consolidated financial statements of Crédit Agricole Group at 31 December 2015 were as follows:

- Increase of consolidated reserves for €55 million;
- Increase of non-controlling interests for €256 million. A part of the CGU Asset management’s goodwill has been transferred to non-controlling interests for €116 million.

Lastly, a capital increase reserved for Amundi employees diluted Crédit Agricole S.A.’s proportionate interest by 0.2% to 74.2% at 31 December 2015.

2.2 Alpha Bank

At the completion date of the Emporiki Bank sale, given the lack of visibility over the Bank of Greece’s requirements in terms of Core Tier 1 ratio, the recapitalisation amount of Emporiki Bank by Crédit Agricole S.A. was calculated assuming a ratio of 10%.

Under the terms of the contract for the sale of Emporiki Bank to Alpha Bank, approved by local and European supervisors, if the minimum Core Tier 1 ratio required by the Bank of Greece for Greek banks was less than 10% on or before 30 June 2013, Alpha Bank would compensate Crédit Agricole S.A. for the difference between the recapitalisation rate used, *i.e.* 10%, and the rate required by the Bank of Greece.

Since the Bank of Greece set the minimum Core Tier 1 ratio for Greek banks at 9% in the first half of 2013, the indemnity clause came into effect.

Following a legal action won by Crédit Agricole S.A., on 23 December 2015 Alpha Bank paid €164 million corresponding to the compensation and default interest due and the reimbursement of legal costs.

The amount of compensation received was recognised in Revenues under Net gains (losses) on financial instruments at fair value through profit or loss.

2.3 Office of Foreign Assets Control (OFAC)

Following discussions with the US authorities, on 20 October 2015 Crédit Agricole S.A. and its subsidiary Crédit Agricole Corporate and Investment Bank (Crédit Agricole CIB) reached agreements with the US federal authorities and the State of New York in connection with the investigation of a series of dollar-denominated transactions with countries under US economic sanctions and subject to certain laws of the State of New York. The events covered by this agreement took place between 2003 and 2008.

Crédit Agricole CIB and Crédit Agricole S.A., which cooperated with the US federal authorities and the State of New York during the investigation, agreed to pay a fine of US$787 million (€691 million). The payment of this fine was charged against provisions recorded in 2015 for €350 million and against provisions recorded during the previous years.

Crédit Agricole S.A. and Crédit Agricole CIB also reached agreements with the Board of Governors of the US Federal Reserve (FED) and the Department of Financial Services of the State of New York (NYDFS). Crédit Agricole CIB reached an agreement with the Office of Foreign Assets Control of the US Department of the Treasury. It also signed three-year deferred prosecution agreements with the US Attorney’s Office of the District of Columbia (USAO) and the District Attorney of New York (DANY). The USAO and DANY agreed to drop the charges resulting from the investigation against Crédit Agricole CIB, Crédit Agricole S.A. and Crédit Agricole CIB’s subsidiaries and affiliates, provided that Crédit Agricole CIB complies with the obligations imposed upon it under the agreements.

Crédit Agricole Group has agreed to tighten its internal procedures and policies on regulatory compliance with international sanctions. It will continue to cooperate fully with the US federal authorities and the State of New York in connection with the case, and with the European Central Bank, the French Regulatory and Resolution Supervisory Authority (ACPR) and regulators throughout its global network.

2.4 US Program with Switzerland

The agreement signed between Switzerland and the USA in August 2013 has given the American authorities the right to inspect the commercial policies followed by Swiss banks towards American taxpayers. Crédit Agricole Switzerland which had voluntarily agreed in December 2013 to be involved in the American tax program signed with the American Department of Justice on the 15 December 2015 a Non Prosecution Agreement.

Following this agreement, Crédit Agricole Switzerland paid a penalty, which has been completely provisioned for $99 million.

Crédit Agricole Switzerland has also taken the commitment to respect several obligations and to cooperate with the American authorities.

2.5 Cheque Image Exchange litigation

In a ruling of 20 September 2010, 11 French banks including Crédit Agricole Group were convicted by the Competition Authority of illegal collusion on the fees for processing cheques. The expense recognised for this fine was €103 million, of which €21 million was for LCL and €82 million for Crédit Agricole Group, split equally among the Regional Banks and Crédit Agricole S.A.

On 23 February 2012, the Paris Court of Appeals struck down the Competition Authority ruling of 20 September 2010, finding that collusion had not been proved.

On 23 March 2012, the Competition Authority filed a further appeal against this decision by the Paris Court of Appeal. Since the Court of Appeal's decision is final and the further appeal did not stay the decision, the fines previously paid by the credit institutions in 2010 were refunded on 11 April 2012. In light of the estimated likelihood of legal risk and of the decision by the other banks party to the litigation, the Group decided not to provision for a liability.

Since the decision by the Paris Court of Appeals was overturned by the Court of Cassation on 14 April 2015 on procedural grounds and since the matter has been sent back before the same Court of Appeals, the Group gave back the amount received in 2012 and has decided to pursue the matter in the court to which it has been referred and not to provision for a liability.

2.6 Impairment of 100% of Crédit Agricole CIB's stake in UBAF

Crédit Agricole CIB holds a stake of 47.0% in UBAF, valued €156 million at 31 December 2014.

During 2015, this stake was totally impaired in order to take into account the negative financial forecasts for UBAF due to recurrent difficulties (geopolitical crises, oil price) affecting its main regions of activity (Middle East and North Africa).

2.7 Eurazeo contribution to Group results

Eurazeo is an investment company listed on NYSE Euronext, in which Crédit Agricole S.A. holds 20.9% of the voting rights and 14.1% of interest prior to the exclusion of treasury shares (15.1% excluding treasury shares).

The Group is now the second largest shareholder by capital and the largest by voting rights. This investment is consolidated by the equity method in the Group's consolidated financial statements (significant influence).

In its interim financial report, Eurazeo reported Net income Group share of +€1,272 million for the first half of 2015.

This reflects the exceptional gains on disposals during the period (€1,725 million): two IPOs took place in the first half (Elis on 11 February and Europcar on 26 June). Eurazeo also proceeded with two partial divestments of Accor and Moncler shares during the first half. In addition, Eurazeo PME has fully disposed of its stakes in Gault & Frémont and Cap Vert Finance.

The share of net income of equity-accounted entities, which totalled +€203 million at 31 December 2015 compared with +€22 million at 31 December 2014, includes these non-recurring items. The equity-accounted value of Eurazeo rose from €470 million at 31 December 2014 to €666 million at 31 December 2015.

2.8 Other structural transactions during the period

ACQUISITION OF BAWAG P.S.K. INVEST

Amundi Group acquired 100% of the asset management company Bawag P.S.K. Invest from the Austrian bank Bawag P.S.K. on 9 February 2015. This company manages about €5 billion of outstandings through 78 funds for individuals and institutional investors.

Amundi and Bawag P.S.K. also signed a long-term distribution agreement: Amundi will continue to develop business for Bawag P.S.K. Invest in Austria using the existing franchise. Bawag P.S.K. will distribute Amundi products in Austria through its branch network and digital channels.

This distribution agreement, recognised and measured in Intangible Assets, is amortised over ten years. The goodwill relating to this transaction is €78 million and is included in the goodwill of the CGU Savings management and Insurance – Asset Management.

SALE OF CRÉDIT AGRICOLE ALBANIA

Crédit Agricole Albania, acquired in 2012 from Emporiki Bank, was 100% owned by IUB Holding, a wholly owned subsidiary of Crédit Agricole S.A.

On 12 May 2015, IUB Holding signed an agreement with Tranzit Sh.p.k. for the disposal of 100% of Crédit Agricole Albania's capital. Settlement/delivery of the shares took place on 12 October 2015 after the transaction was approved by the Bank of Albania.

At 31 December 2015, the impact of the disposal of Crédit Agricole Albania on the net income Group share of Crédit Agricole Group amounted to a loss of €2 million, net of reversal of the provision for risks and expenses.

PROPOSED SALE OF CRÉDIT AGRICOLE LIFE

A contract to sell the life insurance company Crédit Agricole Life, a wholly owned subsidiary of Crédit Agricole Assurances located in Greece was signed on 12 June 2015.

Pursuant to IFRS 5, the assets and liabilities of Crédit Agricole Life were reclassified on the balance sheet as at 31 December 2015 under Non-current assets held for sale, in the amount of €400 million and in Liabilities associated with non-current assets held for sale in the amount of €359 million, and the net income under Net income from discontinued or held-for-sale operations, in an amount that was non significant.

The capital gain on disposal will be consolidated when the contract is finalised, after obtaining the relevant authorisations from the Greek supervision bodies.

PROPOSED SALE OF CRÉDIT AGRICOLE SECURITIES TAIWAN

On 31 July 2013, Crédit Agricole CIB withdrew from the brokerage business, with notably the disposal of the CLSA BV Group to Citics International.

Since Taiwanese law prohibits ownership of more than 30% of a Taiwanese company by Chinese (PRC) interests, CLSA's operations in Taiwan were spun off and sold to Crédit Agricole Securities Asia BV.

In the CLSA BV sale contract, Crédit Agricole Securities Asia BV agreed to maintain brokerage operations in Taiwan for two years. A contract to sell the shares was signed during the second quarter of 2015 with a new counterpart. The structure of the contract was amended during the third quarter of 2015 to comply with the recommendation of the Taiwanese regulator.

Since the criteria for applying IFRS 5 have been fulfilled, the entity's assets and liabilities have been recognised in discontinued operations. The disposal will take place at the net carrying amount of the asset. There is no accounting impact on the 2015 financial statements.

2.9 New contributions in 2015

SINGLE RESOLUTION FUND

The Single Resolution Fund (SRF) was established by Regulation (EU) no. 806/2014 as a single funding mechanism for all member states participating in the Single Supervisory Mechanism (SSM) established by the European Union's Council (Regulation (EU) no. 1024/2013), as well as the Single Resolution Mechanism (SRM). The SRF is financed by the banking sector. The target level of the Fund is 1% of the amount of deposits covered by the Deposit Guarantee Fund and must be reached by 31 December 2023.

70% of the (non-deductible) contribution to the resolution fund is payable in cash, in the form of an annual contribution. The remaining 30% is the subject of an irrevocable payment commitment, collateralised by a cash security deposit held by the Fund. The deposit will be held for the duration of the commitment. It is repayable at maturity.

Thus, for 2015, Crédit Agricole Group paid:

- €147 million in respect of the annual contribution, recognised in the income statement in taxes other than on income or payroll-related;
- €57 million recognised in balance sheet assets under irrevocable collateralised payment commitments.

ECB REGULATORY SUPERVISION FEE

This fee, calculated on the basis of the central bank's annual costs, is broken down among European banking groups according to the total amount of their assets and the total amount of risk exposure. For 2015, Crédit Agricole Group paid a fee of €17 million, recognised in taxes other than on income or payroll-related.

DEPOSIT AND RESOLUTION GUARANTEE FUND (DRGF)

The 2014 European directive on deposit guarantee schemes was transposed in France by Order no. 2015-1024 of 20 August 2015. This scheme is designed to strengthen and harmonise depositor protection in the European Union and involves the ex-ante financing of a deposit guarantee fund by banks in each member state. The fund is expected to reach a target funding level of 0.8% of covered deposits over ten years; this may be reduced to 0.5% with the approval of the European Commission.

In 2015, contributions were called up entirely in the form of associate certificates and recognised in balance sheet assets under available-for-sale securities because in case of an approval withdrawal, the amounts would have to be reimbursed. In addition, financial institutions have had to pay a contribution towards the DRGF's operating costs, recognised in taxes.

Crédit Agricole Group thus contributed €91 million in respect of 2015, including €89 million in associate certificates and €2 million in contributions towards operating costs.

NOTE 3 Financial management, risk exposure and hedging policy

Crédit Agricole S.A.'s Financial Management department is responsible for organising financial flows within Crédit Agricole Group, defining and implementing refinancing rules, asset and liability management, and managing regulatory ratios. It sets out the principles and ensures a cohesive financial management system throughout the Group.

The Group's management of banking risks is handled by the Group Risk Management and Permanent Controls department. This department reports to the Chief Executive Officer of Crédit Agricole S.A. and its task is to control credit, financial and operational risks.

A description of these processes and commentary now appear in the chapter on "Risk factors" in the management report, as allowed by IFRS 7 standard. Nonetheless, the accounting breakdowns are still presented in the financial statements.

3.1 Credit risk

(see chapter "Risk factors – Credit Risk")

MAXIMUM EXPOSURE TO CREDIT RISK

An entity's maximum exposure to credit risk is the gross carrying amount, net of any offset amount and any recognised loss of value.

(in millions of euros)	31/12/2015	31/12/2014 Restated
Financial assets at fair value through profit or loss (excluding equity securities and assets backing unit-linked contracts)	284,622	347,760
Hedging derivative instruments	27,167	33,146
Available-for-sale financial assets (excluding equity securities)	291,386	276,377
Loans and receivables due from credit institutions	105,936	116,557
Loans and receivables due from customers	752,022	718,986
Held-to-maturity financial assets	30,629	29,583
Exposure to on-balance sheet commitments (net of impairment losses)	**1,491,762**	**1,522,409**
Financing commitments given	190,969	170,004
Financial guarantee commitments given	81,920	81,483
Provisions – Financing commitments	(392)	(421)
Exposure to off-balance sheet financing commitments (net of provisions)	**272,497**	**251,066**
MAXIMUM EXPOSURE TO CREDIT RISK	**1,764,259**	**1,773,475**

Guarantees and other credit enhancements amount to:

(in millions of euros)	31/12/2015	31/12/2014 Restated
Loans and receivables due from credit institutions	2,586	2,858
Loans and receivables due from customers	450,431	417,025
Financing commitments given	12,626	11,928
Guarantee commitments given	5,529	5,012

The amounts presented represent the amounts of guarantees and collateral used in the calculation of capital requirements for the purposes of the solvency ratio. They are valued by the Risk department on the basis of rules drawn up by the Standards and Methodology Committee of Crédit Agricole Group.

The method used to update this valuation and the frequency at which it is done depends on the nature of the collateral, and is done at least once a year. The amount declared with respect to guarantees received shall be no greater than the amount of assets covered.

BREAKDOWN OF LOAN ACTIVITY BY CUSTOMER TYPE

LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND DUE FROM CUSTOMERS BY CUSTOMER TYPE

	31/12/2015				
(in millions of euros)	Gross outstanding	Of which gross loans and receivables individually impaired	Individual impairment	Collective impairment	Total
General administration	40,630	55	34	63	40,533
Central banks	12,457	-	-	-	12,457
Credit institutions	77,450	514	468	-	76,982
Large corporates	271,414	12,774	7,263	2,931	261,220
Retail customers	450,076	13,538	8,050	3,399	438,627
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND DUE FROM CUSTOMERS(1)	**852,027**	**26,881**	**15,815**	**6,393**	**829,819**

(1) *Of which €14,032 million in restructured loans.*

	31/12/2014 Restated				
(in millions of euros)	Gross outstanding	Of which gross loans and receivables individually impaired	Individual impairment	Collective impairment	Total
General administration	45,802	67	35	36	45,731
Central banks	13,000	-	-	-	13,000
Credit institutions	87,527	499	431	-	87,096
Large corporates	256,004	12,695	7,303	2,933	245,768
Retail customers	430,192	14,192	8,458	3,407	418,327
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND DUE FROM CUSTOMERS(1)	**832,525**	**27,453**	**16,227**	**6,376**	**809,922**

(1) *Of which €12,986 million in restructured loans.*

COMMITMENTS GIVEN TO CUSTOMERS BY CUSTOMER TYPE

(in millions of euros)	31/12/2015	31/12/2014 Restated
Financing commitments given to customers		
Central governments	4,518	4,818
Large corporates	120,413	111,518
Retail customers	41,559	40,530
TOTAL LOAN COMMITMENTS	**166,490**	**156,866**
Guarantee commitments given to customers		
Central governments	455	567
Large corporates	71,350	69,810
Retail customers	2,407	2,349
TOTAL GUARANTEE COMMITMENTS	**74,212**	**72,726**

DUE TO CUSTOMERS BY CUSTOMER TYPE

(in millions of euros)	31/12/15	31/12/2014 Restated
Central governments	9,521	9,573
Institutions other than credit institutions	226,387	201,272
Retail customers	427,227	411,841
TOTAL AMOUNT DUE TO CUSTOMERS	**663,135**	**622,686**

BREAKDOWN OF LOAN ACTIVITY BY GEOGRAPHICAL AREA

LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND DUE FROM CUSTOMERS BY GEOGRAPHICAL AREA

	31/12/2015				
(in millions of euros)	Gross outstanding	Of which gross loans and receivables individually impaired	Individual impairment	Collective impairment	Total
France (including overseas departments and territories)	620,276	15,251	9,642	4,499	606,135
Other EU countries	118,263	8,785	4,201	968	113,094
Other European countries	16,647	377	213	294	16,140
North America	26,775	229	90	185	26,500
Central and South America	15,625	623	537	163	14,925
Africa and Middle East	17,846	1,228	1,001	212	16,633
Asia-Pacific (ex. Japan)	25,930	388	131	69	25,730
Japan	10,571	-	-	3	10,568
Supranational organisations	94	-	-	-	94
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND DUE FROM CUSTOMERS[1]	**852,027**	**26,881**	**15,815**	**6,393**	**829,819**

(1) *Of which €14,032 million in restructured loans.*

	31/12/2014 Restated				
(in millions of euros)	Gross outstanding	Of which gross loans and receivables individually impaired	Individual impairment	Collective impairment	Total
France (including overseas departments and territories)	599,645	15,903	10,092	4,502	585,051
Other EU countries	115,417	8,961	4,410	985	110,022
Other European countries	14,814	385	183	365	14,266
North America	24,899	177	63	106	24,730
Central and South America	13,971	654	589	159	13,223
Africa and Middle East	18,331	1,060	809	176	17,346
Asia-Pacific (ex. Japan)	26,676	313	81	79	26,516
Japan	18,712	-	-	4	18,708
Supranational organisations	60	-	-	-	60
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND DUE FROM CUSTOMERS[1]	**832,525**	**27,453**	**16,227**	**6,376**	**809,922**

(1) *Of which €12,986 million in restructured loans.*

COMMITMENTS GIVEN TO CUSTOMERS: GEOGRAPHICAL ANALYSIS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Financing commitments given to customers		
France (including overseas departments and territories)	89,044	86,072
Other EU countries	36,996	29,524
Other European countries	4,561	4,156
North America	23,008	22,779
Central and South America	4,145	5,667
Africa and Middle East	2,944	2,072
Asia-Pacific (ex. Japan)	4,681	5,558
Japan	1,111	1,038
TOTAL LOAN AND COMMITMENTS	**166,490**	**156,866**
Guarantee commitments given to customers		
France (including overseas departments and territories)	44,156	45,996
Other EU countries	13,843	11,846
Other European countries	3,265	3,040
North America	5,833	4,874
Central and South America	928	744
Africa and Middle East	1,701	1,723
Asia-Pacific (ex. Japan)	2,854	2,944
Japan	1,632	1,559
TOTAL GUARANTEE COMMITMENTS	**74,212**	**72,726**

DUE TO CUSTOMERS: GEOGRAPHICAL ANALYSIS

(in millions of euros)	31/12/2015	31/12/2014 Restated
France (including overseas departments and territories)	504,595	487,458
Other EU countries	82,393	76,731
Other European countries	13,634	11,839
North America	21,329	13,122
Central and South America	6,514	4,790
Africa and Middle East	16,437	16,353
Asia-Pacific (ex. Japan)	9,380	6,224
Japan	8,632	4,855
Supranational organisations	221	1,314
TOTAL AMOUNT DUE TO CUSTOMERS	**663,135**	**622,686**

INFORMATION ON WATCH LIST OR INDIVIDUALLY IMPAIRED FINANCIAL ASSETS

ANALYSIS OF WATCH LIST OR INDIVIDUALLY IMPAIRED FINANCIAL ASSETS BY CUSTOMER TYPE

	31/12/2015						
	Payment arrears on watch list loans						
(in millions of euros)	≤ 90 days	> 90 days ≤ 180 days	> 180 days ≤ 1 year	> 1 year	Net carrying amount of watch list financial assets	Net carrying amount of individually impaired financial assets	Impairment of individually and collectively tested financial assets
Equity instruments	**-**	**-**	**-**	**-**	**-**	**2,342**	**1,675**
Debt instruments	**-**	**-**	**-**	**-**	**-**	**65**	**629**
Central governments	-	-	-	-	-	-	-
Central banks	-	-	-	-	-	-	-
Credit institutions	-	-	-	-	-	18	160
Large corporates	-	-	-	-	-	47	469
Retail customers	-	-	-	-	-	-	-
Loans and receivables	**10,824**	**383**	**251**	**99**	**11,557**	**11,066**	**22,208**
Central governments	419	6	-	-	425	21	97
Central banks	-	-	-	-	-	-	-
Credit institutions	239	1	19	2	261	46	468
Large corporates	4,162	156	186	58	4,562	5,511	10,194
Retail customers	6,004	220	46	39	6,309	5,488	11,449
TOTAL WATCH LIST OR INDIVIDUALLY IMPAIRED FINANCIAL ASSETS	**10,824**	**383**	**251**	**99**	**11,557**	**13,473**	**24,512**

	31/12/2014 Restated						
	Payment arrears on watch list loans						
(in millions of euros)	≤ 90 days	> 90 days ≤ 180 days	> 180 days ≤ 1 year	> 1 year	Net carrying amount of watch list financial assets	Net carrying amount of individually impaired financial assets	Impairment of individually and collectively tested financial assets
Equity instruments	**-**	**-**	**-**	**-**	**-**	**3,010**	**1,607**
Debt instruments	**-**	**-**	**-**	**-**	**-**	**177**	**399**
Central governments	-	-	-	-	-	-	-
Central banks	-	-	-	-	-	-	-
Credit institutions	-	-	-	-	-	1	12
Large corporates	-	-	-	-	-	176	387
Retail customers	-	-	-	-	-	-	-
Loans and receivables	**12,910**	**500**	**390**	**169**	**13,971**	**11,227**	**22,600**
Central governments	909	16	-	-	926	32	71
Central banks	-	-	-	-	-	-	-
Credit institutions	25	1	-	37	64	68	429
Large corporates	4,423	178	253	26	4,881	5,392	10,235
Retail customers	7,553	305	137	106	8,100	5,735	11,865
TOTAL WATCH LIST OR INDIVIDUALLY IMPAIRED FINANCIAL ASSETS	**12,910**	**500**	**390**	**169**	**13,971**	**14,414**	**24,606**

3.2 Market risk

(See chapter on "Risk factors – Market risk")

DERIVATIVE INSTRUMENTS: ANALYSIS BY REMAINING MATURITY

The breakdown of market values of derivative instruments is shown by remaining contractual maturity.

HEDGING DERIVATIVE INSTRUMENTS – FAIR VALUE OF ASSETS

	31/12/2015							31/12/2014 Restated
	Exchange-traded			Over-the-counter				
(in millions of euros)	≤1 year	> 1 year ≤ 5 years	> 5 years	≤1 year	> 1 year ≤ 5 years	> 5 years	Total market value	Total market value
Interest rate instruments:	**-**	**-**	**-**	**4,386**	**7,840**	**14,267**	**26,493**	**32,011**
Interest rate swaps	-	-	-	4,321	7,792	14,226	26,339	31,578
Interest rate options	-	-	-	-	-	-	-	-
Caps-floors-collars	-	-	-	65	48	41	154	433
Other options	-	-	-	-	-	-	-	-
Currency and gold:	**-**	**-**	**-**	**168**	**2**	**10**	**180**	**134**
Currency futures	-	-	-	166	2	10	178	132
Currency options	-	-	-	2	-	-	2	2
Other instruments:	**-**	**-**	**-**	**13**	**-**	**-**	**13**	**55**
Equity and index derivatives	-	-	-	13	-	-	13	55
Subtotal	**-**	**-**	**-**	**4,567**	**7,842**	**14,277**	**26,686**	**32,200**
Forward currency transactions	-	-	-	260	113	108	481	946
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – ASSETS	**-**	**-**	**-**	**4,827**	**7,955**	**14,385**	**27,167**	**33,146**

HEDGING DERIVATIVE INSTRUMENTS – FAIR VALUE OF LIABILITIES

	31/12/2015							31/12/2014 Restated
	Exchange-traded			Over-the-counter				
(in millions of euros)	≤1 year	> 1 year ≤ 5 years	> 5 years	≤1 year	> 1 year ≤ 5 years	> 5 years	Total market value	Total market value
Interest rate instruments:	**-**	**-**	**-**	**2,585**	**9,292**	**17,449**	**29,326**	**32,678**
Interest rate swaps	-	-	-	2,528	9,242	17,445	29,215	32,309
Interest rate options	-	-	-	-	-	-	-	-
Caps-floors-collars	-	-	-	57	50	4	111	366
Other options	-	-	-	-	-	-	-	3
Currency and gold:	**-**	**-**	**-**	**221**	**10**	**1**	**232**	**103**
Currency futures	-	-	-	219	10	1	230	101
Currency options	-	-	-	2	-	-	2	2
Other instruments:	**-**	**-**	**-**	**15**	**-**	**-**	**15**	**6**
Equity and index derivatives	-	-	-	15	-	-	15	6
Subtotal	**-**	**-**	**-**	**2,821**	**9,302**	**17,450**	**29,573**	**32,787**
Forward currency transactions	-	-	-	185	17	12	214	154
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – LIABILITIES	**-**	**-**	**-**	**3,006**	**9,319**	**17,462**	**29,787**	**32,941**

DERIVATIVE INSTRUMENTS HELD FOR TRADING – FAIR VALUE OF ASSETS

	31/12/2015							31/12/2014 Restated
	Exchange-traded			Over-the-counter				
(in millions of euros)	≤1 year	> 1 year ≤ 5 years	> 5 years	≤1 year	> 1 year ≤ 5 years	> 5 years	Total market value	Total market value
Interest rate instruments:	**39**	**706**	**1,693**	**9,291**	**27,547**	**76,459**	**115,735**	**140,605**
Futures	26	692	1,693	-	-	-	2,411	1,484
FRAs	-	-	-	308	102	-	410	568
Interest rate swaps	-	-	-	7,742	21,173	48,915	77,830	93,862
Interest rate options	-	-	-	118	2,596	24,511	27,225	34,637
Caps-floors-collars	-	-	-	1,123	3,676	3,033	7,832	10,047
Other options	13	14	-	-	-	-	27	7
Currency and gold:	**-**	**-**	**-**	**5,567**	**4,652**	**2,718**	**12,937**	**13,071**
Currency futures	-	-	-	4,155	2,811	1,494	8,460	7,094
Currency options	-	-	-	1,412	1,841	1,224	4,477	5,977
Other instruments:	**82**	**186**	**27**	**1,546**	**5,209**	**510**	**7,560**	**10,368**
Equity and index derivatives	82	186	27	1,219	3,225	408	5,147	6,519
Precious metal derivatives	-	-	-	-	-	-	-	3
Commodities derivatives	-	-	-	-	-	-	-	-
Credit derivatives	-	-	-	314	1,977	100	2,391	3,829
Other	-	-	-	13	7	2	22	17
Subtotal	**121**	**892**	**1,720**	**16,404**	**37,408**	**79,687**	**136,232**	**164,044**
Forward currency transactions	-	-	-	12,135	2,865	289	15,289	15,849
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – ASSETS	**121**	**892**	**1,720**	**28,539**	**40,273**	**79,976**	**151,521**	**179,893**

DERIVATIVE INSTRUMENTS HELD FOR TRADING – FAIR VALUE OF LIABILITIES

	31/12/2015							31/12/2014 Restated
	Exchange-traded			Over-the-counter				
(in millions of euros)	≤1 year	> 1 year ≤ 5 years	> 5 years	≤1 year	> 1 year ≤ 5 years	> 5 years	Total market value	Total market value
Interest rate instruments:	**89**	**627**	**1,358**	**11,041**	**27,894**	**74,822**	**115,831**	**142,080**
Futures	89	627	1,358	-	-	-	2,074	1,148
FRAs	-	-	-	303	94	-	397	543
Interest rate swaps	-	-	-	9,573	20,747	46,099	76,419	92,320
Interest rate options	-	-	-	124	3,244	24,549	27,917	36,443
Caps-floors-collars	-	-	-	1,037	3,809	4,174	9,020	11,625
Other options	-	-	-	4	-	-	4	1
Currency and gold:	**9**	**-**	**-**	**5,290**	**4,331**	**2,451**	**12,081**	**10,735**
Currency futures	-	-	-	3,932	2,879	1,552	8,363	5,436
Currency options	9	-	-	1,358	1,452	899	3,718	5,299
Other instruments:	**31**	**146**	**35**	**2,430**	**5,150**	**675**	**8,467**	**10,934**
Equity and index derivatives	31	146	35	1,905	2,878	537	5,532	6,506
Precious metal derivatives	-	-	-	1	-	-	1	1
Commodities derivatives	-	-	-	-	-	-	-	-
Credit derivatives	-	-	-	476	2,269	98	2,843	4,328
Other	-	-	-	48	3	40	91	99
Subtotal	**129**	**773**	**1,393**	**18,761**	**37,375**	**77,948**	**136,379**	**163,749**
Forward currency transactions	-	-	-	10,562	2,173	329	13,064	14,428
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – LIABILITIES	**129**	**773**	**1,393**	**29,323**	**39,548**	**78,277**	**149,443**	**178,177**

DERIVATIVE INSTRUMENTS: TOTAL COMMITMENTS

	31/12/2015	31/12/2014 Restated
(in millions of euros)	Total notional amount outstanding	Total notional amount outstanding
Interest rate instruments:	**12,193,715**	**11,262,308**
Futures	7,621,714	7,164,101
FRAs	40,395	70,975
Interest rate swaps	1,896,857	1,976,638
Interest rate options	971,868	1,155,609
Caps-floors-collars	764,812	848,924
Other options	898,069	46,061
Currency and gold:	**4,052,150**	**3,173,664**
Currency futures	3,561,287	2,609,072
Currency options	490,863	564,592
Other instruments:	**320,437**	**445,287**
Equity and index derivatives	60,342	63,510
Precious metal derivatives	308	222
Commodities derivatives	7	1
Credit derivatives	259,776	381,453
Other	4	101
Subtotal	**16,566,302**	**14,881,259**
Forward currency transactions	407,535	360,632
TOTAL NOTIONAL AMOUNT	**16,973,837**	**15,241,891**

FOREIGN EXCHANGE RISK

ANALYSIS OF THE CONSOLIDATED BALANCE SHEET BY CURRENCY

	31/12/2015		31/12/2014 Restated	
(in millions of euros)	Assets	Liabilities	Assets	Liabilities
EUR	1,405,972	1,407,389	1,430,835	1,454,011
Other European Union currencies	29,224	35,056	31,333	33,317
USD	187,567	190,885	218,793	212,429
JPY	31,918	28,676	36,816	28,787
Other currencies	44,178	36,853	44,937	34,170
TOTAL	**1,698,859**	**1,698,859**	**1,762,714**	**1,762,714**

BREAKDOWN OF BONDS AND SUBORDINATED DEBT BY CURRENCY

	31/12/2015			31/12/2014 Restated		
(in millions of euros)	Bonds	Dated subordinated debt	Undated subordinated debt	Bonds	Dated subordinated debt	Undated subordinated debt
EUR	60,722	18,635	1,809	65,363	16,254	3,143
Other European Union currencies	526	1,163	1,143	492	1,067	1,082
USD	9,558	2,702	2,355	8,320	1,197	2,124
JPY	4,297	358	-	3,694	-	-
Other currencies	3,004	366	197	2,228	146	204
TOTAL	**78,107**	**23,224**	**5,504**	**80,097**	**18,664**	**6,553**

3.3 Liquidity and financing risk

(See chapter on "Risk factors – Asset/Liability Management")

LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND DUE FROM CUSTOMERS BY RESIDUAL MATURITY

	31/12/2015					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Loans and receivables due from credit institutions (including Crédit Agricole internal transactions)	40,367	6,539	39,465	2,674	856	89,901
Loans and receivables due from customers (of which finance leases)	110,169	76,533	263,285	306,885	5,254	762,126
Total	**150,536**	**83,072**	**302,750**	**309,559**	**6,110**	**852,027**
Impairment						(22,208)
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND DUE FROM CUSTOMERS						**829,819**

	31/12/2014 Restated					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Loans and receivables due from credit institutions (including Crédit Agricole internal transactions)	51,370	6,758	39,493	2,311	538	**100,470**
Loans and receivables due from customers (of which finance leases)	104,731	80,250	243,205	298,334	5,535	**732,055**
Total	**156,101**	**87,008**	**282,698**	**300,645**	**6,073**	**832,525**
Impairment						(22,603)
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND DUE FROM CUSTOMERS						**809,922**

DUE TO CREDIT INSTITUTIONS AND TO CUSTOMERS BY RESIDUAL MATURITY

	31/12/2015					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Due to credit institutions (including Crédit Agricole internal transactions)	52,271	8,177	26,354	5,861	246	**92,909**
Due to customers	545,532	40,051	66,717	10,835	-	**663,135**
TOTAL AMOUNT DUE TO CUSTOMERS AND DUE TO CREDIT INSTITUTIONS	**597,803**	**48,228**	**93,071**	**16,696**	**246**	**756,044**

	31/12/2014 Restated					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Due to credit institutions (including Crédit Agricole internal transactions)	66,571	6,102	19,571	4,999	1,191	**98,434**
Due to customers	502,605	40,719	64,389	11,382	3,591	**622,686**
TOTAL AMOUNT DUE TO CUSTOMERS AND DUE TO CREDIT INSTITUTIONS	**569,176**	**46,821**	**83,960**	**16,381**	**4,782**	**721,120**

DEBT SECURITIES AND SUBORDINATED DEBT

	31/12/2015					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Debt securities						
Interest bearing notes	93	108	33	-	-	**234**
Money-market instruments	138	1,190	7,430	7,703	-	**16,461**
Negotiable debt securities	42,607	22,851	2,380	1,779	-	**69,617**
Bonds	5,722	9,428	28,416	34,541	-	**78,107**
Other debt securities	1,092	1,295	996	8	-	**3,391**
TOTAL DEBT SECURITIES	**49,652**	**34,872**	**39,255**	**44,031**	**-**	**167,810**
Subordinated debt						
Dated subordinated debt	24	367	10,372	12,461	-	**23,224**
Undated subordinated debt	1	151	11	-	5,341	**5,504**
Mutual security deposits	-	-	-	-	156	**156**
Participating securities and loans	-	-	-	-	122	**122**
TOTAL SUBORDINATED DEBT	**25**	**518**	**10,383**	**12,461**	**5,619**	**29,006**

	31/12/2014 Restated					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Debt securities						
Interest bearing notes	97	117	62	-	-	**276**
Money-market instruments	-	2,420	7,310	9,005	-	**18,735**
Negotiable debt securities	33,243	34,219	12,926	1,986	-	**82,374**
Bonds	6,172	10,924	38,996	24,005	-	**80,097**
Other debt securities	928	1,867	1,082	145	-	**4,022**
TOTAL DEBT SECURITIES	**40,440**	**49,547**	**60,376**	**35,141**	**-**	**185,504**
Subordinated debt						
Dated subordinated debt	344	130	9,779	8,411	-	**18,664**
Undated subordinated debt	147	8	27	-	6,371	**6,553**
Mutual security deposits	1	-	-	-	147	**148**
Participating securities and loans	2	-	-	-	120	**122**
TOTAL SUBORDINATED DEBT	**494**	**138**	**9,806**	**8,411**	**6,638**	**25,487**

FINANCIAL GUARANTEES AT RISK GIVEN BY EXPECTED MATURITY

The amounts presented correspond to the expected amount of the call of financial guarantees at risk, *i.e.* guarantees that have been impaired or are on a watch-list.

	31/12/2015					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
Financial guarantees given	178	42	-	-	-	**220**

	31/12/2014 Restated					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
Financial guarantees given	211	58	-	-	-	**269**

3.4 Cash flow and fair value interest rate and foreign exchange hedging

(See chapter on "Risk factors – Asset/Liability Management")

FAIR VALUE HEDGES

A fair value hedge modifies the risk caused by changes in the fair value of a fixed-rate financial instrument as a result of changes in interest rates. Fair value hedges transform fixed-rate assets or liabilities into floating-rate assets or liabilities.

Items hedged are principally fixed-rate loans, securities, deposits and subordinated debt.

FUTURE CASH FLOW HEDGES

A cash flow hedge modifies the risk related to variability in cash flows arising from floating-rate financial instruments.

Items hedged are principally floating-rate loans and deposits.

HEDGE OF NET INVESTMENT IN FOREIGN CURRENCY

A hedge of a net investment in foreign currency modifies the risk inherent in exchange rate fluctuations connected with foreign currency investments in subsidiaries.

HEDGING DERIVATIVE INSTRUMENTS

	31/12/2015			31/12/2014 Restated		
	Market value		Notional amount	Market value		Notional amount
(in millions of euros)	*Positive*	*Negative*		*Positive*	*Negative*	
Fair value hedges	**25,015**	**29,504**	**1,079,558**	**30,805**	**32,668**	**1,038,816**
Interest rate	24,449	29,176	1,018,087	29,765	32,520	961,105
Equity instruments	1	1	-	8	1	10
Foreign Exchange	565	327	61,471	1,032	147	77,701
Credit	-	-	-	-	-	-
Commodities	-	-	-	-	-	-
Other	-	-	-	-	-	-
Future cash flow hedges	**2,122**	**260**	**29,442**	**2,317**	**228**	**41,287**
Interest rate	2,044	150	22,899	2,245	158	21,449
Equity instruments	12	14	182	47	5	175
Foreign Exchange	66	96	6,361	25	65	19,663
Credit	-	-	-	-	-	-
Commodities	-	-	-	-	-	-
Other	-	-	-	-	-	-
Hedges of net investments in foreign operations	**30**	**23**	**4,925**	**24**	**45**	**6,079**
TOTAL HEDGING DERIVATING INSTRUMENTS	**27,167**	**29,787**	**1,113,925**	**33,146**	**32,941**	**1,086,182**

3.5 Operational risks

(See chapter on "Risk factors – Operational risks")

3.6 Capital management and regulatory ratios

In accordance with regulatory regulations applicable to banks, which transpose into French law the European directives on “the capital adequacy of investment firms and credit institutions” and “financial conglomerates”, Crédit Agricole Group must comply with the solvency ratio, with liquidity ratios and with rules on the division of risks and balance sheet management.

Crédit Agricole Group manages its capital so as to comply with regulatory capital requirements within the meaning of European Directive 2013/36 and Regulation 575/2013 since 1 January 2014 and as required by the competent authorities, the European Central Bank and the French Regulatory and Resolution Supervisory Authority (ACPR) in order to cover risk weighted assets for credit risk, operational risk and market risk.

The regulatory framework was strengthened by the Basel 3 reform, which notably involves raising the quality and level of required regulatory capital, better assessing risks, building in capital buffers and additional requirements in terms of liquidity and leverage. Certain provisions are being phased in up to 31 December 2017, just like the capital buffer requirement.

However, the regulator maintained the capital requirements relating to floors (the Basel 3 requirement cannot be less than 80% of the Basel 1 requirement).

The floor was eliminated, however, disclosures on Basel 1 requirements remain mandatory and will continue up until the end of the transitional period.

Regulatory capital breaks down into three categories:

- Common Equity Tier 1 (CET1) capital, determined on the basis of the Group’s equity and excluding certain equity instruments that are classified as Additional Tier 1 (AT1) and intangible assets;
- Tier 1 which is comprised of Common Equity Tier 1 and Additional Tier 1 capital;
- total capital, consisting of Tier 1 and Tier 2 capital comprising subordinated instruments with a minimum maturity of five years from the issue date.

Tier 1 and Tier 2 equity instruments must satisfy more demanding criteria before being recognised under Basel 3. If these instruments are not eligible under Basel 3, they can benefit from grandfathering rules for a period of ten years to end-2021 so as to progressively eliminate them from capital.

Deductions for equity investments in other credit institutions reduce the total of this capital and are respectively allocated, depending on the type of instrument, to the amount of CET1, Tier 1 (AT1) and Tier 2. They also apply to holdings in the insurance sector when the institution is exempt from the “Financial Conglomerate directive”, otherwise the equity-accounted values of the insurance company securities held by the Group are risk-weighted

In 2015, as in 2014 and in accordance with current regulations, Crédit Agricole Group complied with regulatory requirements.

NOTE 4 Notes to the income statement and other comprehensive income

4.1 Interest income and expenses

(in millions of euros)	31/12/2015	31/12/2014 Restated
Interbank transactions	1,012	1,070
Customer transactions	24,007	24,701
Accrued interest receivable on available-for-sale financial assets	6,628	6,870
Accrued interest receivable on held-to-maturity investments	908	927
Accrued interest receivable on hedging instruments	2,662	2,443
Finance leases	973	1,007
Other interest income	50	19
INTEREST AND SIMILAR INCOME[1]	**36,240**	**37,037**
Interbank transactions	(899)	(853)
Customer transactions	(6,698)	(7,527)
Debt securities	(4,643)	(4,556)
Subordinated debt	(1,423)	(1,424)
Accrued interest receivable on hedging instruments	(2,347)	(2,908)
Finance leases	(247)	(247)
Other interest expense	-	(6)
INTEREST AND SIMILAR EXPENSES	**(16,257)**	**(17,521)**

(1) Including €458 million on receivables impaired individually at 31 December 2015, compared with €468 million at 31 December 2014.

4.2 Net fees and commissions

	31/12/2015			31/12/2014 Restated		
(in millions of euros)	Income	Expense	Net	Income	Expense	Net
Interbank transactions	168	(43)	125	317	(177)	140
Customer transactions	3,659	(234)	3,425	3,589	(234)	3,355
Securities transactions	56	(79)	(23)	58	(97)	(39)
Foreign exchange transactions	45	(38)	7	37	(15)	22
Derivative instruments and other off-balance sheet items	250	(151)	99	269	(137)	132
Payment instruments and other banking and financial services	4,528	(1,689)	2,839	4,371	(1,603)	2,768
Mutual funds management, fiduciary and similar operations	2,975	(531)	2,444	2,859	(423)	2,436
NET FEES AND COMMISSIONS	**11,681**	**(2,765)**	**8,916**	**11,500**	**(2,686)**	**8,814**

4.3 Net gains (losses) on financial instruments at fair value through profit or loss

(in millions of euros)	31/12/2015	31/12/2014 Restated
Dividends received	514	564
Unrealised or realised gains (losses) on assets/liabilities held for trading	1,228	1,525
Unrealised or realised gains (losses) on assets/liabilities designated at fair value through profit or loss[1]	2,323	4,034
Net gains (losses) on foreign exchange transactions and similar financial instruments (excluding gains or losses on hedges of net investments in foreign operations)	(238)	(223)
Gains (losses) from hedge accounting	(31)	42
NET GAINS (LOSSES) ON FINANCIAL INSTRUMENTS AT FAIRE VALUE THROUGH PROFIT AND LOSS	**3,796**	**5,942**

(1) The fall in bond rates in 2014 led to a sharp increase in the fair value of the euro and unit-linked portfolios. The increase in these rates in 2015 led to a fall in the fair value of these portfolios, or a change of -€3.6 billion for the euro portfolio and -€0.9 billion for the unit-linked portfolio. The opposite movement was recorded in the change in technical reserves for these contracts in Note 4.5 "Net income (expense) on other activities".

The impact of Crédit Agricole CIB's issuer spread was €245 million on revenues at 31 December 2015 versus a negative effect of €47 million at 31 December 2014.

Analysis of net gains (losses) from hedge accounting:

	31/12/2015		
(in millions of euros)	Gains	Losses	Net
Fair value hedges	**7,141**	**(7,162)**	**(21)**
Change in fair value of hedged items attributable to hedged risks	4,630	(2,222)	2,408
Change in fair value of hedging derivatives (including termination of hedges)	2,511	(4,940)	(2,429)
Cash flow hedges	**-**	**-**	**-**
Change in fair value of hedging derivatives – ineffective portion	-	-	-
Hedges of net investments in foreign operations	**-**	**-**	**-**
Change in fair value of hedging derivatives – ineffective portion	-	-	-
Fair value hedge of the interest rate exposure of a portfolio of financial instruments	**21,492**	**(21,503)**	**(11)**
Change in fair value of hedged items	10,545	(10,851)	(306)
Change in fair value of hedging derivatives	10,947	(10,652)	295
Cash flow hedge of the interest rate exposure of a portfolio of financial instruments	**19**	**(18)**	**1**
Change in fair value of hedging instrument – ineffective portion	19	(18)	1
TOTAL GAINS (LOSSES) FROM HEDGE ACCOUNTING	**28,652**	**(28,683)**	**(31)**

	31/12/2014 Restated		
(in millions of euros)	Gains	Losses	Net
Fair value hedges	**7,363**	**(7,372)**	**(9)**
Change in fair value of hedged items attributable to hedged risks	3,343	(3,938)	(595)
Change in fair value of hedging derivatives (including termination of hedges)	4,020	(3,434)	586
Cash flow hedges	**-**	**-**	**-**
Change in fair value of hedging derivatives – ineffective portion	-	-	-
Hedges of net investments in foreign operations	**-**	**-**	**-**
Change in fair value of hedging derivatives – ineffective portion	-	-	-
Fair value hedge of the interest rate exposure of a portfolio of financial instruments	**39,530**	**(39,538)**	**(8)**
Change in fair value of hedged items	18,689	(20,745)	(2,056)
Change in fair value of hedging derivatives	20,841	(18,793)	2,048
Cash flow hedge of the interest rate exposure of a portfolio of financial instruments	**73**	**(14)**	**59**
Change in fair value of hedging instrument – ineffective portion	73	(14)	59
TOTAL GAINS (LOSSES) FROM HEDGE ACCOUNTING	**46,966**	**(46,924)**	**42**

4.4 Net gains (losses) on available-for-sale financial assets

(in millions of euros)	31/12/2015	31/12/2014 Restated
Dividends received	796	902
Realised gains (losses) on available-for-sale financial assets[1]	2,396	2,366
Permanent impairment losses on equity investments	(344)	(173)
Gains (losses) on disposal of held-to-maturity investments and on loans and receivables	1	(3)
NET GAINS (LOSSES) ON AVALAIBLE-FOR-SALE FINANCIAL ASSETS	**2,849**	**3,092**

(1) Excluding realised gains or losses on permanently impaired fixed income securities recognised as available-for-sale financial assets mentioned in Note 4.8 "Cost of risk".

4.5 Net income (expenses) on other activities

(in millions of euros)	31/12/2015	31/12/2014 Restated
Gains (losses) on fixed assets not used in operations	(7)	(8)
Policyholder profit sharing	-	-
Other net income from insurance activities[1]	9,732	10,454
Change in insurance technical reserves[2]	(13,699)	(17,730)
Net income from investment property	215	122
Other net income (expense)	51	37
INCOME (EXPENSE) RELATED TO OTHER ACTIVITIES	**(3,708)**	**(7,125)**

(1) The €722 million decrease in other net income from insurance activities was mainly due to lower net inflows, primarily into euro policies.

(2) The €4,031 million decrease in insurance company technical reserves was mainly due to the net reversal of mathematical reserves for policies (including +€792 million related to unit-linked policies and +€1,981 million for euro policies), coupled with a €2,533 million fall in policyholder profit-sharing associated with unrealised gains on fixed income assets. These effects were offset by an increase of €1,340 million in the provision for sharing of net surplus.

4.6 Operating expenses

(in millions of euros)	31/12/2015	31/12/2014 Restated
Employee expenses	(11,319)	(11,044)
Taxes other than on income or payroll-related	(1,088)	(893)
External services and other operating expenses	(6,379)	(6,215)
OPERATING EXPENSES	**(18,786)**	**(18,152)**

FEES PAID TO STATUTORY AUDITORS

The breakdown of fees paid to Statutory Auditors by firm and type of engagement by fully consolidated Crédit Agricole Group companies was as follows in 2015:

	31/12/2015							31/12/2014 Restated
(in thousands of euros excluding taxes)	Ernst & Young	Pricewaterhouse Coopers	Mazars	KPMG	Deloitte	Autres	TOTAL	TOTAL
Independant audit, certification, review of parent company and consolidated financial statements	17,647	13,428	2,298	1,746	152	2,128	**37,399**	**36,057**
Independant audit, certification, review of parent company and consolidated financial statements	3,805	4,196	52	125	9	41	**8,228**	**12,832**
TOTAL STATUORY AUDITOR'S FEES	**21,452**	**17,624**	**2,350**	**1,871**	**161**	**2,169**	**45,627**	**48,889**

4.7 Depreciation, amortisation and impairment of property, plant & equipment and intangible assets

(in millions of euros)	31/12/2015	31/12/2014 Restated
Depreciation charges and amortisation	**(1,048)**	**(1,016)**
Property, plant and equipment	(753)	(746)
Intangible assets	(295)	(270)
Impairment losses (reversals)	**(1)**	**(1)**
Property, plant and equipment	5	-
Intangible assets	(6)	(1)
DEPRECIATION, AMORTISATION AND IMPAIREMENT OF PROPERTY, PLANT & EQUIPMENT AND INTANGIBLE ASSETS	**(1,049)**	**(1,017)**

4.8 Cost of risk

(in millions of euros)	31/12/2015	31/12/2014 Restated
Charge to provisions and impairment losses	**(7,015)**	**(7,513)**
Fixed-income available-for-sale financial assets	(152)	(232)
Loans and receivables	(5,675)	(6,645)
Held-to-maturity financial assets	-	-
Other assets	(75)	(35)
Financing commitments	(177)	(220)
Risks and expenses(1)	(936)	(381)
Reversal of provisions and impairment losses	**4,133**	**4,725**
Fixed-income available-for-sale financial assets	32	268
Loans and receivables	3,449	3,990
Held-to-maturity financial assets	1	3
Other assets	9	11
Financing commitments	180	104
Risks and expenses(1)	462	349
Net charge to reversal of impairment losses and provisions	**(2,882)**	**(2,788)**
Realised gains (losses) on impaired fixed-income available-for-sale financial assets	(31)	(35)
Bad debts written off, not impaired	(300)	(342)
Recoveries on bad debts written off	290	321
Discounts on restructured loans	(51)	(44)
Losses on financing commitments	(2)	(2)
Other losses	(55)	(53)
Other gains	-	-
COST OF RISK	**(3,031)**	**(2,943)**

(1) *OFAC Litigation (cf Note 2.3 "Office of foreign Assets Control"): signature of an agreement on the 20 October 2015. A complementary provision of €350 million was recorded at 30 June 2015.*

4.9 Net gains (losses) on other assets

(in millions of euros)	31/12/2015	31/12/2014 Restated
Property, plant & equipment and intangible assets used in operations	**(7)**	**45**
Gains on disposals	23	66
Losses on disposals	(30)	(21)
Consolidated equity investments	**(5)**	**6**
Gains on disposals	12	14
Losses on disposals	(17)	(8)
Net income (expense) on combinations	**7**	**-**
NET GAINS (LOSSES) ON OTHER ASSETS	**(5)**	**51**

4.10 Tax

INCOME TAX CHARGE

(in millions of euros)	31/12/2015	31/12/2014 Restated
Current tax charge	(3,170)	(1,884)
Deferred tax charge	182	(594)
TAX CHARGE DURING THE PERIOD	**(2,988)**	**(2,478)**

RECONCILIATION OF THEORETICAL TAX RATE AND EFFECTIVE TAX RATE

AT 31 DECEMBER 2015

(in millions of euros)	Base	Tax rate	Tax
Pre-tax income, goodwill impairment, discontinued operations and share of net income of equity-accounted entities	8,965	38.00%	(3,407)
Impact of permanent differences		1.49%	(134)
Impact of different tax rates on foreign subsidiaries		(1.82%)	163
Impact of losses for the year, utilisation of tax loss carryforwards and temporary differences		0.03%	(3)
Impact of reduced tax rate		(1.51%)	135
Impact of other items		(2.87%)	258
EFFECTIVE TAX RATE AND TAX CHARGE		**33.33%**	**(2,988)**

The theoretical tax rate is the tax rate applicable under ordinary law (including the additional social contribution and the exceptional contribution to corporate income tax) to taxable profits in France for the year ended 31 December 2015.

AT 31 DECEMBER 2014 RESTATED

(in millions of euros)	Base	Tax rate	Tax
Pre-tax income, goodwill impairment, discontinued operations and share of net income of equity-accounted entities	8,178	38.00%	(3,108)
Impact of permanent differences		(0.59%)	48
Impact of different tax rates on foreign subsidiaries		(2.14%)	175
Impact of losses for the year, utilisation of tax loss carryforwards and temporary differences		0.61%	(50)
Impact of reduced tax rate		(3.02%)	247
Impact of other items		(2.57%)	210
EFFECTIVE TAX RATE AND TAX CHARGE		**30.30%**	**(2,478)**

The theoretical tax rate is the tax rate applicable under ordinary law (including the additional social contribution and the exceptional contribution to corporate income tax) to taxable profits in France for the year ended 31 December 2014.

4.11 Changes in other comprehensive income

BREAKDOWN OF TOTAL OTHER COMPREHENSIVE INCOME

(in millions of euros)	31/12/2015	31/12/2014 Restated
Other comprehensive income on items that may be reclassified subsequently to profit and loss		
Gains and losses on translation adjustements	**478**	**448**
Revaluation adjustment of the period	-	-
Reclassified to profit and loss	-	-
Other reclassifications	478	448
Gains and losses on available-for-sale financial assets	**(24)**	**1,907**
Revaluation adjustment of the period	1,036	2,720
Reclassified to profit and loss	(724)	(975)
Other reclassifications	(336)	162
Gains and losses on hedging derivative instruments	**(203)**	**714**
Revaluation adjustment of the period	(109)	625
Reclassified to profit and loss	(2)	3
Other reclassifications	(92)	86
Gains and losses on non-current assets held for sale	**14**	**40**
Revaluation adjustment of the period	-	-
Reclassified to profit and loss	-	-
Other reclassifications	14	40
Pre-tax other comprehensive income on items that may be reclassified to profit and loss on equity-accounted entities	**116**	**243**
Income tax related to items that may be reclassified to profit and loss excluding equity-accounted entities	**115**	**(847)**
Income tax related to items that may be reclassified to profit and loss on equity-accounted entities	**(4)**	**-**
Other comprehensive income on items that may be reclassified subsequently to profit and loss net of income tax	**492**	**2,505**
Other comprehensive income on items that will not be reclassified subsequently to profit and loss		
Actuarial gains and losses on post-employment benefits	2	(448)
Gains and losses on non-current assets held for sale	-	-
Other comprehensive income on items that will not be reclassified to profit and loss on equity-accounted entities	(6)	172
Income tax related to items that will not be reclassified excluding equity-accounted entities	(11)	149
Income tax related to items that will not be reclassified on equity-accounted entities	-	(1)
Other comprehensive income on items that will not be reclassified subsequently to profit and loss net of income tax	**(15)**	**(128)**
OTHER COMPREHENSIVE INCOME NET OF INCOME TAX	**477**	**2,377**
Of which Group share	519	2,163
Of which non-controlling interests	(42)	214

BREAKDOWN OF TAX IMPACTS RELATED TO OTHER COMPREHENSIVE INCOME

	31/12/2014 Restated				Changes				31/12/2015			
(in millions of euros)	Gross	Income tax charges	Net of income tax	Net of income tax of which Group Share	Gross	Income tax charges	Net of income tax	Net of income tax of which Group Share	Gross	Income tax charges	Net of income tax	Net of income tax of which Group Share
Other comprehensive income on items that may be reclassified subsequently to profit and loss												
Gains and losses on translation adjustements	6	-	6	(25)	478	-	478	521	484	-	484	496
Gains and losses on available-for-sale financial assets	6,067	(1,654)	4,413	4,377	(24)	70	46	46	6,043	(1,584)	4,459	4,423
Gains and losses on hedging derivative instruments	1,173	(359)	814	809	(203)	49	(154)	(154)	970	(310)	660	655
Gains and losses on non-current assets held for sale	-	-	-	-	14	(4)	10	10	14	(4)	10	10
Other comprehensive income on items that may be reclassified to profit and loss excluding equity-accounted entities	**7,246**	**(2,013)**	**5,233**	**5,161**	**265**	**115**	**380**	**423**	**7,511**	**(1,898)**	**5,613**	**5,584**
Other comprehensive income on items that may be reclassified to profit and loss on equity-accounted entities	**195**	**4**	**199**	**201**	**116**	**(4)**	**112**	**111**	**311**	**-**	**311**	**312**
Other comprehensive income on items that may be reclassified subsequently to profit and loss	**7,441**	**(2,009)**	**5,432**	**5,362**	**381**	**111**	**492**	**534**	**7,822**	**(1,898)**	**5,924**	**5,896**
Other comprehensive income on items that will not be reclassified subsequently to profit and loss												
Actuarial gains and losses on post-employment benefits	(822)	262	(560)	(550)	2	(11)	(9)	(9)	(820)	251	(569)	(559)
Gains and losses on non-current assets held for sale	-	-	-	-	-	-	-	-	-	-	-	-
Other comprehensive income on items that will not be reclassified to profit and loss excluding equity-accounted entities	**(822)**	**262**	**(560)**	**(550)**	**2**	**(11)**	**(9)**	**(9)**	**(820)**	**251**	**(569)**	**(559)**
Other comprehensive income on items that will not be reclassified to profit and loss on equity-accounted entities	**(21)**	**2**	**(19)**	**(19)**	**(6)**	**-**	**(6)**	**(6)**	**(27)**	**2**	**(25)**	**(25)**
Other comprehensive income on items that will not be reclassified to profit and loss	**(843)**	**264**	**(579)**	**(569)**	**(4)**	**(11)**	**(15)**	**(15)**	**(847)**	**253**	**(594)**	**(584)**
OTHER COMPREHENSIVE INCOME	**6,598**	**(1,745)**	**4,853**	**4,793**	**377**	**100**	**477**	**519**	**6,975**	**(1,645)**	**5,330**	**5,312**

NOTE 5 Segment reporting

DEFINITION OF OPERATING SEGMENTS

According to IFRS 8, information disclosed is based on the internal reporting that is used by the Executive Committee to manage Crédit Agricole Group, to assess performance, and to make decisions about resources to be allocated to the identified operating segments.

Operating segments according to the internal reporting consist of the business lines of the Group.

Crédit Agricole Group's activities are organised into seven operating segments:

- six business lines:
  - French retail banking – Regional Banks,
  - French retail banking – LCL,
  - International retail banking,
  - Savings management and Insurance,
  - Specialised financial services,
  - Corporate and investment banking;
- as well as the "Corporate centre".

PRESENTATION OF BUSINESS LINES

1. French retail banking – Regional Banks

This business line comprises the Regional Banks and their subsidiaries.

The Regional Banks provide banking services for individual customers, farmers, small businesses, corporates and local authorities, with a very strong local presence.

Crédit Agricole Regional Banks provide a full range of banking and financial products and services: savings products (money market, bonds, securities), life insurance investment products, lending (namely home and consumer finance, loans to SMEs, small businesses and farmers), payment instruments, personal services, banking-related service, and wealth management. The Regional Banks also distribute a very large range of property & casualty and death & disability insurance products.

2. French retail banking – LCL

French retail banking network with a strong presence in urban areas. It is organised into four business lines: retail banking for individual customers, retail banking for small businesses, private banking and corporate banking.

LCL offers a full range of banking products and services, together with asset management, insurance and wealth management products.

Banque Française Commerciale des Antilles Guyane (BFC-AG), an LCL subsidiary since 2005 previously reported as part of the Corporate centre division, was consolidated in LCL by means of the universal transfer of its assets and liabilities as from 11 May 2015 with retrospective effect from 1 January.

3. International retail banking

This business line encompasses foreign subsidiaries and investments – that are mainly involved in retail banking.

These subsidiaries and equity investments are primarily located in Europe: in Italy with Cariparma Group, in Poland with Crédit Agricole Polska as well as in Ukraine and Serbia.

Other subsidiaries operate in the Mediterranean region through Crédit du Maroc and Crédit Agricole Egypt.

Finally, this division also includes banks that are not significant in size. Note that Crelan S.A. in Belgium was sold on 17 June 2015.

Foreign consumer finance, leasing and factoring subsidiaries (subsidiaries of Crédit Agricole Consumer Finance, Crédit Agricole Leasing & Factoring and EFL in Poland, etc.) are not included in this division, however, but in "Specialised financial services".

4. Savings management and Insurance

This business line encompasses:

- the asset management activities of the Amundi Group, offering savings solutions for individuals and investment solutions for institutions;
- asset servicing: CACEIS Bank for custody and CACEIS Fund Administration for fund administration;
- life insurance and personal insurance, conducted mainly by Predica in France and CA Vita in Italy;
- property & casualty insurance, conducted primarily by Pacifica;
- creditor insurance activities, conducted by Crédit Agricole Creditor Insurance;
- as well as wealth management activities conducted mainly by Crédit Agricole Private Banking subsidiaries (Crédit Agricole Suisse, Crédit Agricole Luxembourg, Crédit Foncier de Monaco, CA Indosuez Private Banking, etc.).

5. Specialised financial services

Specialised financial services comprises the Group subsidiaries that provide financial products and services to individual customers, small businesses, corporates and local authorities in France and abroad. These include:

- consumer finance companies around Crédit Agricole Consumer Finance in France and through its subsidiaries or partnerships outside France (Agos, Forso, Credit-Plus, Ribank, Credibom, Interbank Group and FCA Bank);
- specialised financial services for companies such as factoring and lease finance (Crédit Agricole Leasing & Factoring Group, EFL).

6. Corporate and investment banking

Corporate and investment banking breaks down into two major businesses, most of which are carried out by Crédit Agricole CIB:

- financing activities, which includes corporate banking in France and internationally and structured finance: project finance, aircraft finance, shipping finance, acquisition finance, property finance, international trade;
- capital markets and investment banking activities bring together capital market activities (treasury, foreign exchange, interest rate derivatives, debt markets), and investment banking activities (mergers and acquisitions and primary equity advisory).

7. Corporate centre

This segment mainly encompasses Crédit Agricole S.A.'s central body function, asset and liability management and management of debt connected with acquisitions of subsidiaries or equity investments.

It also includes the results of the private equity business and results of various other Crédit Agricole Group companies (Uni-Éditions, Foncaris, etc.).

This segment also includes the income from management companies, real-estate companies holding properties used in operations by several business lines and by activities undergoing reorganisation.

Lastly, it also incorporates the net impact of tax consolidation for Crédit Agricole S.A. as well as the revaluation of structured debt issued by Crédit Agricole CIB.

As a reminder, Banque Française Commerciale des Antilles Guyane (BFC-AG), an LCL subsidiary since 2005 previously reported as part of the Corporate centre division, was consolidated in LCL by means of the universal transfer of its assets and liabilities as from 11 May 2015 with retrospective effect from 1 January 2015.

5.1 Operating segment information

Transactions between operating segments are effected at arm's length.

	31/12/2015							
	French retail banking							
(in millions of euros)	*Regional Banks*	*LCL*	International retail banking	Savings management and Insurance	Specialised financial services	Corporate and investment banking	Corporate centre[1]	Total
Revenues	14,493	3,631	2,725	5,653	2,629	4,308	(1,603)	**31,836**
Operating expenses	(8,117)	(2,561)	(1,598)	(2,750)	(1,336)	(2,542)	(931)	**(19,835)**
Gross operating income	**6,376**	**1,070**	**1,127**	**2,903**	**1,293**	**1,766**	**(2,534)**	**12,001**
Cost of risk	(729)	(134)	(596)	(29)	(657)	(655)	(231)	**(3,031)**
Operating income	**5,647**	**936**	**531**	**2,874**	**636**	**1,111**	**(2,765)**	**8,970**
Share of net income of equity-accounted entities	23	-	-	25	164	60	203	**475**
Net gains (losses) on other assets	(8)	(2)	2	10	4	(7)	(4)	**(5)**
Change in value of goodwill	-	-	-	-	-	-	-	-
Pre-tax income	**5,662**	**934**	**533**	**2,909**	**804**	**1,164**	**(2,566)**	**9,440**
Income tax charge	(2,071)	(340)	(172)	(1,001)	(213)	(407)	1,216	**(2,988)**
Net gains (losses) on discontinued or held-for-sale operations	-	-	(21)	3	(1)	(2)	-	**(21)**
Net income	**3,591**	**594**	**340**	**1,911**	**590**	**755**	**(1,350)**	**6,431**
Non-controlling interests	2	-	81	142	106	1	56	**388**
Net income Group share	**3,589**	**594**	**259**	**1,769**	**484**	**754**	**(1,406)**	**6,043**
Segment assets								
of which investments in equity-accounted entities	109	-	-	1,970	1,777	2,048	666	6,570
of which goodwill	1	5,558	2,063	4,985	1,024	487	71	14,189
TOTAL ASSETS	**569,220**	**128,444**	**68,480**	**468,147**	**80,210**	**631,731**	**(247,373)**	**1,698,859**

(1) *The Crédit Agricole CIB issuer spread is classified under the Corporate centre for +€245 million in Revenues, -€84 million in Income tax charge, +€161 million in Net income.*

	31/12/2014 Restated							
	French retail banking							
(in millions of euros)	*Regional Banks*	*LCL*	International retail banking	Savings management and Insurance	Specialised financial services	Corporate and investment banking	Corporate centre[1]	Total
Revenues	14,243	3,677	2,729	5,109	2,639	3,816	(1,974)	**30,239**
Operating expenses	(7,986)	(2,533)	(1,527)	(2,558)	(1,351)	(2,292)	(922)	**(19,169)**
Gross operating income	**6,257**	**1,144**	**1,202**	**2,551**	**1,288**	**1,524**	**(2,896)**	**11,070**
Cost of risk	(728)	(183)	(757)	(63)	(1,044)	(252)	84	**(2,943)**
Operating income	**5,529**	**961**	**445**	**2,488**	**244**	**1,272**	**(2,812)**	**8,127**
Share of net income of equity-accounted entities	(2)	-	(721)	17	136	161	22	**(387)**
Net gains (losses) on other assets	3	(1)	(2)	50	-	4	(3)	**51**
Change in value of goodwill	(1)	-	-	(22)	-	-	-	**(23)**
Pre-tax income	**5,529**	**960**	**(278)**	**2,533**	**380**	**1,437**	**(2,793)**	**7,768**
Income tax charge	(1,986)	(347)	(144)	(835)	(36)	(385)	1,255	**(2,478)**
Net gains (losses) on discontinued or held-for-sale operations	-	-	12	-	(22)	3	-	**(7)**
Net income	**3,543**	**613**	**(410)**	**1,698**	**322**	**1,055**	**(1,538)**	**5,283**
Non-controlling interests	-	-	68	138	43	-	110	**359**
Net income Group share	**3,543**	**613**	**(478)**	**1,560**	**279**	**1,055**	**(1,648)**	**4,924**
Segment assets								
of which investments in equity-accounted entities	78	-	-	104	1,669	1,957	470	**4,278**
of which goodwill	1	5,558	2,119	4,716	1,024	487	71	**13,976**
TOTAL ASSETS	**545,487**	**130,732**	**68,021**	**453,349**	**81,072**	**745,271**	**(261,218)**	**1,762,714**

(1) The Crédit Agricole CIB issuer spread is classified under the Corporate centre for -€47 million in Revenues, +€16 million in Income tax charge, -€31 million in Net income.

5.2 Segment information: geographical analysis

The geographical analysis of segment assets and results is based on the place where operations are booked for accounting purposes.

	31/12/2015				31/12/2014 Restated			
(in millions of euros)	Net income Group share	Of which revenues	Segment assets	Of which goodwill	Net income Group share	Of which revenues	Segment assets	Of which goodwill
France (including overseas departments and territories)	4,449	23,578	1,402,796	10,928	3,986	22,315	1,442,082	10,815
Other European Union countries	862	5,279	149,909	2,392	129	5,280	148,510	2,444
Other European countries	(359)	819	20,209	717	74	775	18,653	529
North America	469	920	67,834	37	323	780	84,728	62
Central and South America	11	47	1,623	-	(15)	47	2,904	-
Africa and Middle East	372	509	11,352	80	284	426	10,300	92
Asia-Pacific (ex. Japan)	171	462	21,035	12	196	456	22,095	14
Japan	68	222	24,101	23	(53)	160	33,442	20
TOTAL	**6,043**	**31,836**	**1,698,859**	**14,189**	**4,924**	**30,239**	**1,762,714**	**13,976**

5.3 Insurance specificities

GROSS INCOME FROM INSURANCE ACTIVITIES

(in millions of euros)	31/12/2015	31/12/2014 Restated
Premium written	30,825	29,746
Change in unearned premiums	(160)	(77)
Earned premiums	**30,665**	**29,669**
Other operating income	**140**	**82**
Investment income	8,448	8,213
Investment expenses	(315)	(628)
Gains (losses) on disposals of investments net of impairment and amortisation reversals	1,746	1,311
Change in fair value of investments at fair value through profit or loss	583	4,390
Change in impairment on investments	(243)	(228)
Investment income after expenses	**10,219**	**13,058**
Claims paid[1]	**(34,804)**	**(36,793)**
Income on business ceded to reinsurers	434	480
Expenses on business ceded to reinsurers	(541)	(536)
Net income (expense) on business ceded to reinsurers	**(107)**	**(56)**
Contract acquisition costs	(2,174)	(2,081)
Amortisation of investment securities and similar	(1)	(2)
Administration costs	(1,416)	(1,338)
Other current operating income (expense)	(243)	(546)
Other operating income (expense)	(5)	(0)
Operating income	**2,274**	**1,993**
Financing costs	(403)	(376)
Share of net income of associates	-	-
Income tax charge	(669)	(528)
Net income from discontinued or held-for-sale operations	3	-
Consolidated net income	**1,205**	**1,088**
Non-controlling interests	4	4
NET INCOME GROUP SHARE	**1,201**	**1,084**

(1) Including -€21 billion of cost of claims at 31 December 2015 (-€19 billion at 31 December 2014), -€2 billion of changes in policyholder profit-sharing at 31 December 2015 (-€1 billion at 31 December 2014) and -€12 billion of changes in technical reserves at 31 December 2015 (-€17 billion at 31 December 2014).

INSURANCE COMPANY INVESTMENTS

	31/12/2015			31/12/2014 Restated		
(in millions of euros)	Carrying amount	Unrealised gains	Unrealised losses	Carrying amount	Unrealised gains	Unrealised losses
Treasury bills and similar securities	27,271	2,474	(172)	18,631	2,393	-
Bonds and other fixed-income securities	164,004	14,814	(685)	146,603	18,817	(1,590)
Equities and other variable income securities	18,243	2,172	(473)	19,249	2,476	(303)
Non-consolidated equity investments	5,808	1,467	(16)	5,455	948	(20)
Total available-for-sale financial assets	**215,326**	**20,927**	**(1,346)**	**189,938**	**24,634**	**(1,913)**
Income tax charge	(6,578)	(7,056)	478	(7,668)	(8,332)	665
GAINS AND LOSSES ON AVAILABLE-FOR-SALE FINANCIAL ASSETS RECOGNISED IN OTHER COMPREHENSIVE INCOME (NET OF INCOME TAX)	**208,748**	**13,871**	**(868)**	**182,270**	**16,302**	**(1,248)**

	31/12/2015		31/12/2014 Restated	
(in millions of euros)	Carrying amount	Fair value	Carrying amount	Fair value
Bonds and other fixed-income securities	3,050	3,910	3,039	3,977
Treasury bills and similar securities	10,504	12,415	11,105	13,380
Impairment	-	-	-	-
Total held-to-maturity financial assets	**13,554**	**16,325**	**14,144**	**17,357**
Loans and receivables	**5,682**	**5,663**	**5,355**	**5,346**
Investment property	**5,315**	**7,423**	**4,091**	**6,168**

	Carrying amount	
(in millions of euros)	31/12/2015	31/12/2014 Restated
Financial assets at fair value through profit or loss classified as held-for-trading or designated at fair value through profit or loss	**97,035**	**86,501**
Assets backing unit-linked contracts	49,056	36,592
Securities bought under repurchase agreements	-	-
Treasury bills and similar securities	3,628	13,971
Bonds and other fixed-income securities	26,580	21,129
Equities and other variable income securities	16,276	12,874
Derivative instruments	1,496	1,935

	Carrying amount	
(in millions of euros)	31/12/2015	31/12/2014 Restated
TOTAL INSURANCE COMPANY INVESTMENTS	**336,913**	**300,029**

NOTE 6 Notes to the balance sheet

As from 30 June 2015, securities classed as financial assets held for trading and reported at fair value through profit or loss are recognised at their settlement date, in accordance with GAAP. This change in presentation reduces the size of the consolidated balance sheet but has no impact on either the consolidated income statement or consolidated shareholders equity.

Without this change of the recognition date, the total would have been higher by approximately €15 billion in assets and €18 billion in liabilities at 31 December 2015.

6.1 Cash, central banks

	31/12/2015		31/12/2014 Restated	
(in millions of euros)	Assets	Liabilities	Assets	Liabilities
Cash	3,302	-	3,353	-
Central banks	35,960	3,853	54,551	4,523
CARRYING AMOUNT	**39,262**	**3,853**	**57,904**	**4,523**

6.2 Financial assets and liabilities at fair value through profit or loss

STRUCTURED ISSUES OF CRÉDIT AGRICOLE CIB

In accordance with IFRS 13, the Group values its structured issues, recognised at fair value, by taking as a reference the issuer spread that specialist participants agree to receive to acquire new Group issues.

The change in issuer spread on structured issues issued by Crédit Agricole CIB, and valued on the basis of the last end-of-period share issue table, generated:

- at 31 December 2015: a €245 million gain in Revenues and profit of €161 million in Net income;
- at 31 December 2014: an expense of -€47 million in revenues and a loss of -€31 million in Net income.

FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Financial assets held for trading	258,686	313,938
Financial assets designated at fair value through profit or loss	85,782	89,519
CARRYING AMOUNT	**344,468**	**403,457**
Of which lent securities	*296*	*225*

HELD-FOR-TRADING FINANCIAL ASSETS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Equity instruments	**3,407**	**5,170**
Equities and other variable income securities	3,407	5,170
Debt securities	**22,038**	**43,920**
Treasury bills and similar securities	16,012	35,126
Bonds and other fixed-income securities	6,026	8,794
Loans and advances	**81,720**	**84,955**
Loans and receivables due from customers	526	261
Securities bought under repurchase agreements	81,194	84,694
Pledged securities	-	-
Derivative instruments	**151,521**	**179,893**
CARRYING AMOUNT	**258,686**	**313,938**

Securities acquired under repurchase agreements include those that the entity is authorised to use as collateral.

FINANCIAL ASSETS DESIGNATED AT FAIR VALUE THROUGH PROFIT OR LOSS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Equity instruments	**17,528**	**13,936**
Equities and other variable income securities	17,528	13,936
Debt securities	**67,609**	**73,771**
Assets backing unit-linked contracts	38,911	36,592
Treasury bills and similar securities	3,631	13,976
Bonds and other fixed-income securities	25,067	23,203
Loans and advances	**645**	**1,812**
Loans and receivables due from customers	645	1,613
Loans ans receivables due from credit institutions	-	199
Securities bought under repurchase agreements	-	-
Pledged securities	-	-
CARRYING AMOUNT	**85,782**	**89,519**

FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Financial liabilities held for trading	218,157	287,495
Financial liabilities designated at fair value through profit or loss	32,036	31,428
CARRYING AMOUNT	**250,193**	**318,923**

HELD-FOR-TRADING FINANCIAL LIABILITIES

(in millions of euros)	31/12/2015	31/12/2014 Restated
Securities sold short	22,097	34,876
Securities sold under repurchase agreements	46,614	74,442
Debt securities	3	-
Derivative instruments	149,443	178,177
CARRYING AMOUNT	**218,157**	**287,495**

FINANCIAL LIABILITIES DESIGNATED AT FAIR VALUE THROUGH PROFIT OR LOSS

	31/12/2015		31/12/2014 Restated	
(in millions of euros)	Fair value on the balance sheet	Difference between carrying amount and due on maturity	Fair value on the balance sheet	Difference between carrying amount and due on maturity
Deposits and subordinated liabilities	**32,036**	**-**	**3,814**	
Deposits from credit institutions	-	-	-	-
Other deposits	7,247	-	3,814	-
Subordinated liabilities	-	-	-	-
Debt securities	**24,789**	**(202)**	**27,614**	**(86)**
Other financial liabilities	**-**	**-**	**-**	**-**
TOTAL FINANCIAL LIABILITIES DESIGNATED AT FAIR VALUE THROUGH PROFIT OR LOSS	**32,036**	**(202)**	**31,428**	**(86)**

6.3 Hedging derivative instruments

Detailed information is provided in Note 3.4 on cash flow and fair value hedges, and more particularly with respect to interest rates and foreign exchange rates.

6.4 Available-for-sale financial assets

(in millions of euros)	31/12/2015			31/12/2014 Restated		
	Carrying amount	Unrealised gains	Unrealised losses	Carrying amount	Unrealised gains	Unrealised losses
Treasury bills and similar securities	77,923	3,371	(334)	71,816	3,376	(262)
Bonds and other fixed-income securities	213,463	15,551	(2,050)	204,561	19,968	(1,771)
Equities and other variable income securities	21,391	2,653	(576)	21,940	2,938	(391)
Non-consolidated equity investments	10,095	2,839	(136)	9,274	2,487	(631)
Total available-for-sale securities	**322,872**	**24,414**	**(3,096)**	**307,591**	**28,769**	**(3,055)**
Available-for-sale receivables	-	-	-	-	-	-
Total available-for-sale receivables	**-**	**-**	**-**	**-**	**-**	**-**
Carrying amount of available-for-sale financial assets(1)	**322,872**	**24,414**	**(3,096)**	**307,591**	**28,769**	**(3,055)**
Income tax charge		(7,855)	1,017	-	(9,229)	832
GAINS AND LOSSES ON AVAILABLE-FOR-SALE FINANCIAL ASSETS RECOGNISED IN OTHER COMPREHENSIVE INCOME (NET OF INCOME TAX)(2)		**16,559**	**(2,079)**	**-**	**19,540**	**(2,223)**

(1) *The net carrying amount of impaired available-for-sale fixed-income securities is €43 million (€179 million at 31 December 2014 restated) and the net carrying amount of impaired available-for-sale variable-income securities is €2,342 million (€3,010 million at 31 December 2014 restated).*

(2) *For insurance companies, gains and losses on available-for-sale financial assets recognised in other comprehensive income (net of income tax) are offset by after-tax deferred policyholders' profit-sharing liability of €10,260 million at 31 December 2015 and €12,885 million at 31 December 2014 restated (see Note 6.19 "Insurance company technical reserves").*

6.5 Loans and receivables due from credit institutions and due from customers

LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Credit institutions		
Debt securities	**9,597**	**10,488**
Securities not traded in an active market	9,597	10,488
Loans and receivables	**80,304**	**89,981**
Loans and receivables	60,357	57,152
of which performing current accounts in debit	5,419	7,192
of which performing overnight accounts and advances	6,587	2,702
Pledged securities	38	57
Securities bought under repurchase agreements	19,466	32,320
Subordinated loans	439	449
Other loans and receivables	4	3
Gross amount	**89,901**	**100,469**
Impairment	(468)	(431)
CARRYING AMOUNT	**89,433**	**100,038**

LOANS AND RECEIVABLES DUE FROM CUSTOMERS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Loans and receivables due from customers		
Debt securities	**13,025**	**11,921**
Securities not traded in an active market	13,025	11,921
Loans and receivables	**733,968**	**705,053**
Trade receivables	21,975	21,929
Other customer loans	688,100	661,188
Securities bought under repurchase agreements	4,602	2,392
Subordinated loans	142	140
Insurance receivables	911	703
Reinsurance receivables	349	304
Advances in associates current accounts	1,026	1,047
Current accounts in debit	16,863	17,350
Gross amount	**746,993**	**716,974**
Impairment	(21,430)	(21,843)
Net value of loans and receivables due from customers	**725,563**	**695,131**
Finance Leases		
Property leasing	6,124	6,245
Equipment leases, operating leases and similar transaction	9,009	8,836
Gross amount	**15,133**	**15,081**
Impairment	(310)	(328)
Net carrying amount of lease financing operations	14,823	14,753
CARRYING AMOUNT	**740,386**	**709,884**

6.6 Held-to-maturity financial assets

(in millions of euros)	31/12/2015	31/12/2014 Restated
Treasury bills and similar securities	19,974	19,172
Bonds and other fixed-income securities	10,661	10,418
Total	**30,635**	**29,590**
Impairment	(6)	(7)
CARRYING AMOUNT	**30,629**	**29,583**

6.7 Transferred assets not d erecognised or derecognised with on-going involvement

TRANSFERRED ASSETS NOT DERECOGNISED IN FULL AT 31 DECEMBER 2015

	Transferred assets still fully recognised				
	Transferred assets				
Nature of assets transferred *(in millions of euros)*	*Carrying amount*	*O/w securisation (non-deconsolidating)*	*O/w securities sold/bought under repurchase agreements*	*O/w other*[1]	*Fair value*[2]
Held-for-trading	**9,684**	**-**	**9,560**	**124**	**9,684**
Equity instruments	124	-	-	124	124
Debt securities	9,560	-	9,560	-	9,560
Loans and advances	-	-	-	-	-
Designated at fair value through profit or loss	**2,256**	**-**	**2,256**	**-**	**2,181**
Equity instruments	-	-	-	-	-
Debt securities	2,256	-	2,256	-	2,181
Loans and advances	-	-	-	-	-
Available-for-sale	**13,958**	**-**	**11,404**	**2,554**	**13,792**
Equity instruments	1,388	-	-	1,388	1,388
Debt securities	12,570	-	11,404	1,166	12,404
Loans and advances	-	-	-	-	-
Loans and receivables	**11,471**	**9,808**	**1,301**	**362**	**11,471**
Debt securities	1,631	-	1,269	362	1,631
Loans and advances	9,840	9,808	32	-	9,840
Held-to-maturity	**570**	**-**	**570**	**-**	**563**
Debt securities	570	-	570	-	563
Loans and advances	-	-	-	-	-
Total financial assets	**37,939**	**9,808**	**25,091**	**3,040**	**37,691**
Finance leases	**-**	**-**	**-**	**-**	**-**
TOTAL TRANSFERRED ASSETS	**37,939**	**9,808**	**25,091**	**3,040**	**37,691**

(1) Including securities lending without cash collateral.

(2) In the case when the "counterparty (counterparties) to the associated liabilities has (have) recourse only to the transferred assets" (IFRS 7.42D.(d)).

Fully recognised						**Transferred assets recognised to the extent of the entity's continuing involvement**		
Associated liabilities					Assets and associated liabilities			
Carrying amount	*O/w securisation (non-deconsolidating)*	*O/w securities sold/bought under repurchase agreements*	*O/w other*	*Fair value[2]*	*Net fair value*	Initial total carrying amount of assets prior to transfer	Carrying amount of assets still recognised (continuing involvement)	Carrying amount of associated liabilities
9,594	**-**	**9,470**	**124**	**9,594**	**90**	**-**	**-**	**-**
124	-	-	124	124	-	-	-	-
9,470	-	9,470	-	9,470	90	-	-	-
-	-	-	-	-	-	-	-	-
2,256	**-**	**2,256**	**-**	**2,256**	**(75)**	**-**	**-**	**-**
-	-	-	-	-	-	-	-	-
2,256	-	2,256	-	2,256	(75)	-	-	-
-	-	-	-	-	-	-	-	-
11,769	**-**	**11,304**	**465**	**11,769**	**2,023**	**-**	**-**	**-**
465	-	-	465	465	923	-	-	-
11,304	-	11,304	-	11,304	1,100	-	-	-
-	-	-	-	-	-	-	-	-
8,286	**5,977**	**2,309**	**-**	**8,286**	**3,185**	**-**	**-**	**-**
1,270	-	1,270	-	1,270	361	-	-	-
7,016	5,977	1,039	-	7,016	2,824	-	-	-
490	**-**	**490**	**-**	**494**	**69**	**-**	**-**	**-**
490	-	490	-	494	69	-	-	-
-	-	-	-	-	-	-	-	-
32,395	**5,977**	**25,829**	**589**	**32,399**	**5,292**	**-**	**-**	**-**
-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
32,395	**5,977**	**25,829**	**589**	**32,399**	**5,292**	**-**	**-**	**-**

TRANSFERRED ASSETS NOT DERECOGNISED IN FULL AT 31 DECEMBER 2014

	Transferred assets, but still				
	Transferred assets				
Nature of assets transferred *(in millions of euros)*	*Carrying amount*	*O/w securitisation (non-deconsolidating)*	*O/w securities sold/bought under repurchase agreements*	*O/w other*[1]	*Fair value*[2]
Held-for-trading	**27,489**	**-**	**27,264**	**225**	**27,489**
Equity instruments	225	-	-	225	225
Debt securities	27,264	-	27,264	-	27,264
Loans and receivables	-	-	-	-	-
Designated at fair value through profit or loss	**2,605**	**-**	**2,605**	**-**	**2,850**
Equity instruments	-	-	-	-	-
Debt securities	2,605	-	2,605	-	2,850
Loans and receivables	-	-	-	-	-
Available-for-sale	**12,223**	**-**	**9,807**	**2,416**	**12,232**
Equity instruments	461	-	-	461	461
Debt securities	11,762	-	9,807	1,955	11,771
Loans and receivables	-	-	-	-	-
Loans and receivables	**18,587**	**13,071**	**3,864**	**1,652**	**18,546**
Debt securities	5,516	-	3,864	1,652	5,516
Loans and receivables	13,071	13,071	-	-	13,030
Held-to-maturity	**2,131**	**-**	**2,131**	**-**	**2,090**
Debt securities	2,131	-	2,131	-	2,090
Loans and receivables	-	-	-	-	-
Total financial assets	**63,035**	**13,071**	**45,671**	**4,293**	**63,207**
Finance leases	**-**	**-**	**-**	**-**	**-**
TOTAL TRANSFERRED ASSETS	**63,035**	**13,071**	**45,671**	**4,293**	**63,207**

(1) Including securities lending without cash collateral.

(2) In the case when the "counterparty (counterparties) to the associated liabilities has (have) recourse only to the transferred assets" (IFRS 7.42D.(d)).

Securitisations

Consolidated securitisations with external investors are a transfer of assets within the meaning of the amendment to IFRS 7. The Group effectively has an indirect contractual obligation to deliver to external investors the cash flows from assets sold to the securitisation fund (although these assets are recorded in the Group balance sheet through the consolidation of the fund). Receivables assigned to the securitisation fund are used as collateral for investors.

Fully self-subscribed consolidated securitisations do not constitute a transfer of assets within the meaning of IFRS 7.

Crédit Agricole Consumer Finance Securitisations

At 31 December 2015, Crédit Agricole Consumer Finance managed 20 consolidated vehicles for securitisation of retail consumer loans and car dealer financing in Europe. Securitisation transactions carried out within Crédit Agricole Consumer Finance Group are not considered to form part of a deconsolidation transaction under IFRS and have therefore been reintegrated into Crédit Agricole Group's consolidated financial statements.

The carrying amounts of the relevant assets (net of related liabilities) amounted to €9,069 million at 31 December 2015. They include, in particular, outstanding customer loans with a net carrying amount of €13,036 million. The amount of securities mobilised on the market stood at €4,306 million. The value of securities still available to be mobilised stood at €2,206 million at 31 December 2015.

Fully recognised						**Transferred assets, but recognised to the extent of the entity's continuing involvement**		
Associated liabilities					Assets and associated liabilities			
Carrying amount	*O/w securisation (non-deconsolidating)*	*O/w securities sold/bought under repurchase agreements*	*O/w other*	*Fair value[2]*	*Net fair value*	Initial total carrying amount of assets prior to transfer	Carrying amount of asset still recognised (continuing involvement)	Carrying amount of associated liabilities
26,322	**-**	**26,097**	**225**	**26,322**	**1,167**	**-**	**-**	**-**
225	-	-	225	225	-	-	-	-
26,097	-	26,097	-	26,097	1,167	-	-	-
-	-	-	-	-	-	-	-	-
2,605	**-**	**2,605**	**-**	**2,605**	**245**	**-**	**-**	**-**
-	-	-	-	-	-	-	-	-
2,605	-	2,605	-	2,605	245	-	-	-
-	-	-	-	-	-	-	-	-
9,894	**-**	**9,807**	**87**	**9,894**	**2,338**	**-**	**-**	**-**
87	-	-	87	87	374	-	-	-
9,807	-	9,807	-	9,807	1,964	-	-	-
-	-	-	-	-	-	-	-	-
12,765	**8,957**	**3,808**	**-**	**13,730**	**4,816**	**-**	**-**	**-**
3,808	-	3,808	-	3,808	1,708	-	-	-
8,957	8,957	-	-	9,922	3,108	-	-	-
2,131	**-**	**2,132**	**-**	**2,132**	**(42)**	**-**	**-**	**-**
2,131	-	2,132	-	2,132	(42)	-	-	-
-	-	-	-	-	-	-	-	-
53,717	**8,957**	**44,449**	**312**	**54,683**	**8,524**	**-**	**-**	**-**
-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
53,717	**8,957**	**44,449**	**312**	**54,683**	**8,524**	**-**	**-**	**-**

Cariparma Securitisations

At 31 December 2015, Cariparma managed two home loan securitisation vehicles. These securitisation transactions are not considered to form part of a deconsolidation transaction under IFRS and have therefore been reintegrated into Crédit Agricole Group's consolidated financial statements.

The carrying amounts of the relevant assets amounted to €8,365 million at 31 December 2015.

FCT Crédit Agricole Habitat 2015 Securitisations

At 31 December 2015, a new entity (FCT Crédit Agricole Habitat 2015) was consolidated within Crédit Agricole Group, following a securitisation transaction carried out by the Regional Banks on 21 October 2015. This is the first residential mortgage-backed security (RMBS) transaction conducted in France by the Group with the transfer of home loans.

The transaction involved the transfer of home loans originated by the Regional Banks to the securitisation fund "FCT Crédit Agricole Habitat 2015" for the amount of €10 billion and a same-day subscription, by the financial institutions that transferred the loans, of securities issued by the securitisation fund for the amount of €10 billion, comprising €8.6 billion of senior notes and €1.4 billion of subordinated notes.

A monthly revolving of the loans for a period of five years will take into account the amortisation of the home loans portfolio.

6.8 Impairment deducted from financial assets

(in millions of euros)	31/12/2014 Restated	Changes in scope	Depreciation	Reversals and utilisations	Translation adjustment	Transfers in non-current assets held for sale	Other movements	31/12/2015
Loans and receivables due from credit institutions	431	-	4	(6)	39	-	-	468
Loans and receivables due from customers	21,843	(59)	5,820	(6,288)	206	(36)	(56)	21,430
of which collective impairment	6,376	(22)	768	(814)	99	-	(13)	6,394
Finance leases	328	(12)	206	(221)	-	-	9	310
Held-to-maturity securities	7	-	-	(1)	-	-	-	6
Available-for-sale financial assets	1,866	203	498	(395)	15	-	(45)	2,142
Other financial assets	170	-	78	(53)	(6)	(4)	2	187
TOTAL IMPAIRMENT OF FINANCIAL ASSETS	**24,645**	**132**	**6,606**	**(6,964)**	**254**	**(40)**	**(90)**	**24,543**

(in millions of euros)	01/01/2014 Restated	Changes in scope	Depreciation	Reversals and utilisations	Translation adjustment	Transfers in non-current assets held for sale	Other movements	31/12/2014 Restated
Loans and receivables due from credit institutions	408	-	11	(27)	39	-	-	431
Loans and receivables due from customers	22,044	(1)	6,923	(7,148)	202	(179)	2	21,843
of which collective impairment	6,530	-	1,016	(1,218)	100	(18)	(34)	6,376
Finance leases	622	-	156	(377)	-	(155)	82	328
Held-to-maturity securities	10	-	-	(3)	-	-	-	7
Available-for-sale financial assets	2,155	(13)	407	(695)	15	(3)	-	1,866
Other financial assets	178	-	42	(54)	4	-	-	170
TOTAL IMPAIRMENT OF FINANCIAL ASSETS	**25,417**	**(14)**	**7,539**	**(8,304)**	**260**	**(337)**	**84**	**24,645**

6.9 Exposure to sovereign risk

The scope of sovereign exposures recorded covers exposures to Governments, but does not include local authorities. Tax debt is excluded from these amounts.

Exposure to sovereign debt corresponds to an exposure net of impairment (carrying amount) presented both gross and net of hedging.

The Group's significant exposure to sovereign risk is as follows:

BANKING ACTIVITY

	Exposures Banking activity net of impairment							
	Of which banking portfolio							
31/12/2015 *(in millions of euros)*	*Held-to-maturity financial assets*	*Available-for-sale financial assets*	*Financial assets at fair value through profit and loss*	*Loans and receivables*	**Of which trading book (excluding derivatives)**	**Total Banking activity before hedging**	**Hedging Available-for-sale financial assets**	**Total banking activity after hedging**
Germany	583	1,222	15	-	-	1,820	9	1,829
Saudi Arabia	-	-	-	-	-	-	-	-
Belgium	203	2,845	-	-	277	3,325	(217)	3,108
Brazil	-	-	-	48	104	152	-	152
China	-	137	-	-	13	150	-	150
Spain	80	2,398	1	150	-	2,629	(21)	2,608
United States	-	157	-	-	398	555	(5)	550
France	8,524	29,387	42	990	-	38,943	(1,725)	37,218
Greece	-	-	-	-	-	-	-	-
Hong-Kong	-	686	-	-	67	753	-	753
Ireland	2	-	-	-	-	2	-	2
Italy	5	5,802	-	99	36	5,942	(267)	5,675
Japan	-	1,370	-	114	487	1,971	-	1,971
Morocco	-	371	-	-	140	511	-	511
Portugal	-	566	-	1	-	567	(2)	565
Russia	-	-	-	-	9	9	-	9
Syria	-	-	-	-	-	-	-	-
Ukraine	-	-	-	-	-	-	-	-
Venezuela	-	-	-	6	-	6	-	6
Yemen	-	-	-	-	-	-	-	-
TOTAL	**9,397**	**44,941**	**58**	**1,408**	**1,531**	**57,335**	**(2,228)**	**55,107**

31/12/2014 Restated *(in millions of euros)*	Exposures Banking activity net of impairment – Of which banking portfolio: *Held-to-maturity financial assets*	*Available-for-sale financial assets*	*Financial assets at fair value through profit and loss*	*Loans and receivables*	Of which trading book (excluding derivatives)	Total Banking activity before hedging	Hedging Available-for-sale financial assets	Total banking activity after hedging
Germany	434	1,407	28	-	-	1,869	(9)	1,860
Saudi Arabia	-	-	-	-	-	-	-	-
Belgium	179	3,123	-	-	917	4,219	(217)	4,002
Brazil	-	87	-	58	11	156	-	156
China	-	203	-	-	2	205	-	205
Spain	77	2,506	-	150	-	2,733	(12)	2,721
United States	-	142	-	-	2,632	2,774	(4)	2,770
France	7,284	32,883	20	830	428	41,445	(1,834)	39,611
Greece	-	-	-	-	-	-	-	-
Hong-Kong	-	793	-	-	49	842	-	842
Ireland	3	-	-	-	50	53	-	53
Italy	47	6,170	-	111	253	6,581	(348)	6,233
Japan	-	1,675	-	406	22	2,103	-	2,103
Morocco	-	193	-	-	38	231	-	231
Portugal	-	-	-	1	35	36	-	36
Russia	-	4	-	-	7	11	-	11
Syria	-	-	-	-	-	-	-	-
Ukraine	-	-	-	-	-	-	-	-
Venezuela	-	-	-	6	-	6	-	6
Yemen	-	-	-	-	-	-	-	-
TOTAL	**8,024**	**49,186**	**48**	**1,562**	**4,444**	**63,264**	**(2,424)**	**60,840**

INSURANCE ACTIVITY

For the insurance activity, exposure to sovereign debt is presented as net of impairment, before hedging, and corresponds to an exposure before application of sharing mechanisms between insurer and policyholder specific to life insurance.

	Gross exposure	
(in millions of euros)	**31/12/2015**	**31/12/2014 Restated**
Germany	252	263
Saudi Arabia	-	-
Belgium	427	866
Brazil	-	-
China	-	-
Spain	843	835
United States	5	19
France	28,774	30,677
Greece	-	-
Hong-Kong	-	-
Ireland	623	632
Italy	6,297	6,136
Japan	-	-
Morocco	-	-
Portugal	3	4
Russia	-	-
Syria	-	-
Ukraine	-	-
Venezuela	-	-
Yemen	-	-
TOTAL EXPOSURE	**37,224**	**39,432**

SOVEREIGN DEBT – BANKING ACTIVITY

CHANGE BETWEEN 31 DECEMBER 2014 AND 31 DECEMBER 2015

Changes in exposures before hedging *(in millions of euros)*	Outstanding at 31/12/2014 Restated	Change in fair value	Recycling of available-for-sale reserves	Accrued interest	Maturing debts	Disposals net of reversals of provisions	Acquisitions	Outstanding at 31/12/2015
Spain	77	-	-	-	-	-	3	80
France	7,284	67	-	10	(109)	(266)	1,538	8,524
Greece	-	-	-	-	-	-	-	-
Ireland	3	-	-	-	-	(1)	-	2
Italy	47	-	-	-	(40)	(2)	-	5
Portugal	-	-	-	-	-	-	-	-
Held-to-maturity financial assets	**7,411**	**67**	**-**	**10**	**(149)**	**(269)**	**1,541**	**8,611**
Spain	2,506	(23)	-	11	(500)	(127)	531	2,398
France	32,883	(273)	(13)	(64)	(4,047)	(5,393)	6,294	29,387
Greece	-	-	-	-	-	-	-	-
Ireland	-	-	-	-	-	-	-	-
Italy	6,170	56	-	(10)	(51)	(1,944)	1,581	5,802
Portugal	-	(13)	-	14	-	-	565	566
Available-for-sale financial assets	**41,559**	**(253)**	**(13)**	**(49)**	**(4,598)**	**(7,464)**	**8,971**	**38,153**
Spain	-	-	-	-	-	-	1	1
France	20	(2)	-	-	-	(128)	152	42
Greece	-	-	-	-	-	-	-	-
Ireland	-	-	-	-	-	-	-	-
Italy	-	-	-	-	-	-	-	-
Portugal	-	-	-	-	-	-	-	-
Financial assets at fair value through profit or loss	**20**	**(2)**	**-**	**-**	**-**	**(128)**	**153**	**43**
Spain	150	-	-	-	-	-	-	150
France	830	(24)	-	-	(33)	-	217	990
Greece	-	-	-	-	-	-	-	-
Ireland	-	-	-	-	-	-	-	-
Italy	111	(11)	-	-	-	(1)	-	99
Portugal	1	-	-	-	-	-	-	1
Loans and receivables	**1,092**	**(35)**	**-**	**-**	**(33)**	**(1)**	**217**	**1,240**
Spain	-	-	-	-	-	-	-	-
France	428	(6)	-	-	-	(422)	-	-
Greece	-	-	-	-	-	-	-	-
Ireland	50	-	-	-	-	(50)	-	-
Italy	253	-	-	-	-	(217)	-	36
Portugal	35	-	-	-	-	(35)	-	-
Trading book portfolio (excluding derivatives)	**766**	**(6)**	**-**	**-**	**-**	**(724)**	**-**	**36**
TOTAL BANKING ACTIVITY	**50,848**	**(229)**	**(13)**	**(39)**	**(4,780)**	**(8,586)**	**10,882**	**48,083**

CHANGE BETWEEN 1 JANUARY 2014 AND 31 DECEMBER 2014

Changes in exposures before hedging *(in millions of euros)*	**Outstanding at 01/01/2014 Restated**	**Change in fair value**	**Recycling of available-for-sale reserves**	**Accrued interest**	**Maturing debts**	**Disposals net of reversals of provisions**	**Acquisitions**	**Outstanding at 31/12/2014 Restated**
Spain	74	-	-	-	-	(80)	83	77
France	4,483	65	-	37	(124)	(148)	2,971	7,284
Greece	-	-	-	-	-	-	-	-
Ireland	3	-	-	-	-	-	-	3
Italy	48	-	-	-	(1)	-	-	47
Portugal	-	-	-	-	-	-	-	-
Held-to-maturity financial assets	**4,608**	**65**	**-**	**37**	**(125)**	**(228)**	**3,054**	**7,411**
Spain	28	5	(2)	18	-	(199)	2,656	2,506
France	38,218	(110)	1	(23)	(2,289)	(11,412)	8,498	32,883
Greece	-	-	-	-	-	-	-	-
Ireland	91	-	-	(1)	-	(90)	-	-
Italy	4,892	367	(1)	95	-	(1,151)	1,968	6,170
Portugal	-	-	-	-	-	-	-	-
Available-for-sale financial assets	**43,229**	**262**	**(2)**	**89**	**(2,289)**	**(12,852)**	**13,122**	**41,559**
Spain	13	-	-	-	-	(13)	-	-
France	96	-	-	-	-	(96)	20	20
Greece	-	-	-	-	-	-	-	-
Ireland	-	-	-	-	-	-	-	-
Italy	7	-	-	-	-	(7)	-	-
Portugal	-	-	-	-	-	-	-	-
Financial assets at fair value through profit or loss	**116**	**-**	**-**	**-**	**-**	**(116)**	**20**	**20**
Spain	-	-	-	-	-	-	150	150
France	784	-	-	29	(96)	(167)	280	830
Greece	-	-	-	-	-	-	-	-
Ireland	-	-	-	-	-	-	-	-
Italy	153	-	-	-	(33)	(9)	-	111
Portugal	1	-	-	-	-	-	-	1
Loans and receivables	**938**	**-**	**-**	**29**	**(129)**	**(176)**	**430**	**1,092**
Spain	-	-	-	-	-	-	-	-
France	812	-	-	-	-	(459)	75	428
Greece	-	-	-	-	-	-	-	-
Ireland	-	-	-	-	-	-	50	50
Italy	-	-	-	-	-	-	253	253
Portugal	-	-	-	-	-	-	35	35
Trading book portfolio (excluding derivatives)	**812**	**-**	**-**	**-**	**-**	**(459)**	**413**	**766**
TOTAL BANKING ACTIVITY	**49,703**	**327**	**(2)**	**155**	**(2,543)**	**(13,831)**	**17,039**	**50,848**

SOVEREIGN DEBT – INSURANCE ACTIVITY

CHANGE BETWEEN 31 DECEMBER 2014 AND 31 DECEMBER 2015

Changes in exposures before hedging *(in millions of euros)*	Outstanding at 31/12/2014 Restated	Change in fair value	Recycling of available-for-sale reserves	Accrued interest	Maturing debts	Disposals net of reversals of provisions	Acquisitions	Outstanding at 31/12/2015
Spain	835	(6)	-	-	-	(9)	23	**843**
France	30,677	(311)	(4)	49	(6)	(10,756)	9,125	**28,774**
Greece	-	-	-	-	-	-	-	**-**
Ireland	632	(9)	-	1	-	(1)	-	**623**
Italy	6,136	157	(2)	(24)	(213)	(177)	420	**6,297**
Portugal	4	(1)	-	-	-	-	-	**3**
TOTAL INSURRANCE ACTIVITY	**38,284**	**(170)**	**(6)**	**26**	**(219)**	**(10,943)**	**9,568**	**36,540**

CHANGE BETWEEN 1 JANUARY 2014 AND 31 DECEMBER 2014

Changes in exposures before hedging *(in millions of euros)*	Outstanding at 01/01/2014 Restated	Change in fair value	Recycling of available-for-sale reserves	Accrued interest	Maturing debts	Disposals net of reversals of provisions	Acquisitions	Outstanding at 31/12/2014 Restated
Spain	592	231	-	-	-	(2)	14	**835**
France	22,035	3,361	(109)	(24)	(7)	(8,558)	13,979	**30,677**
Greece	-	-	-	-	-	-	-	**-**
Ireland	576	57	-	-	-	(1)	-	**632**
Italy	4,920	602	(26)	(1)	(25)	(722)	1,388	**6,136**
Portugal	954	171	(55)	(9)	-	(1,070)	13	**4**
TOTAL INSURRANCE ACTIVITY	**29,077**	**4,422**	**(190)**	**(34)**	**(32)**	**(10,353)**	**15,394**	**38,284**

6.10 Due to credit institutions and to customers

DUE TO CREDIT INSTITUTIONS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Credit institutions		
Accounts and borrowings	62,740	62,829
of which current accounts in credit	5,874	8,707
of which overnight accounts and deposits	3,405	5,350
Pledged securities	105	-
Securities sold under repurchase agreements	30,064	35,605
CARRYING AMOUNT	**92,909**	**98,434**

DUE TO CUSTOMERS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Current accounts in credit	247,821	215,440
Special saving accounts	254,943	246,446
Other amounts due to customers	154,341	149,215
Securities sold under repurchase agreements	3,945	9,714
Insurance liabilities	1,063	847
Reinsurance liabilities	266	345
Cash deposits received from cedants and retrocessionaires against technical insurance commitments	756	679
CARRYING AMOUNT	**663,135**	**622,686**

6.11 Debt securities and subordinated debt

(in millions of euros)	31/12/2015	31/12/2014 Restated
Debt securities		
Interest bearing notes	234	275
Money-market instruments	16,461	18,735
Negotiable debt securities	69,617	82,374
Bonds(1)	78,107	80,097
Other debt instruments	3,391	4,023
CARRYING AMOUNT	**167,810**	**185,504**
Subordinated debt		
Dated subordinated debt(2)	23,224	18,664
Undated subordinated debt(3)	5,504	6,553
Mutual security deposits	156	148
Participating securities and loans	122	122
CARRYING AMOUNT	**29,006**	**25,487**

(1) Includes issues of covered bonds.

(2) Includes issues of dated subordinated notes "TSR".

(3) Includes issues of deeply subordinated notes "TSS" and undated subordinated notes "TSDI".

At 31 December 2015, deeply subordinated notes totalled €4,575 million, down from €4,630 million at 31 December 2014.

The debt instruments issued by Crédit Agricole S.A. and subscribed for by Crédit Agricole Group insurance companies were eliminated for euro contracts. They were eliminated for the portion backing unit-linked contracts with financial risk borne by the policyholder.

SUBORDINATED DEBT ISSUES

The issue of subordinated debt plays a part in regulatory capital management while contributing to refinancing all of Crédit Agricole S.A.'s operations.

The Capital Requirements Regulation and Directive (CRR/CRD 4) define the conditions under which subordinated instruments qualify as regulatory capital and set out the terms and conditions of progressive disqualification between 1 January 2014 (effective date of the CRR/CRD 4) and 1 January 2022 of older instruments that do not meet these requirements.

All subordinated debt issuance, whether new or old, is likely to be subject to bail-in in certain circumstances, particularly in the event of resolution of the issuing bank, in accordance with the Order of 20 August 2015 containing various provisions adapting French legislation to EU law on financial matters, transposing EU Directive of 15 May 2014 establishing a framework for the recovery and resolution of credit institutions and investment firms (the Recovery and Resolution Directive, or RRD).

Details of the types of subordinated debt issued by Crédit Agricole and still outstanding are as follows:

Dated subordinated notes (TSR) and contingent capital securities

Dated subordinated notes (TSR) issued by Crédit Agricole S.A. are usually fixed-rate and pay interest on a quarterly or annual basis.

They are issued either on the French market under French law or on the international markets under UK law.

These notes differ from traditional bonds in terms of their ranking as contractually defined by the subordination clause.

In the case of notes issued by Crédit Agricole S.A., in the event of liquidation, dated subordinated notes (TSR) will be repaid after all other secured and unsecured creditors, but before either participating loans provided to the issuer, or any participating notes issued by the Bank, as well as any deeply subordinated notes according to Article L. 228-97 of the French Commercial Code. Interest payments are not usually subject to a subordination clause. Where one exists, it generally refers to events outside the Company's control.

Undated subordinated notes (TSDI)

Undated subordinated notes (TSDI) issued by Crédit Agricole S.A. are usually fixed-rate and pay interest quarterly. They are only redeemable in the event of the issuer's liquidation or on expiry of the issuer's term as indicated in Crédit Agricole S.A.'s Articles of Association, unless they contain a contractually defined early redemption clause. The subordination clause may apply to principal and interest. Namely, the coupon may be suspended if the General Meeting of Shareholders duly notes that there were no distributable earnings for the relevant financial year.

Note: TSDI rank senior to shares, TSS (deeply subordinated notes), participating notes granted to the issuer and participating securities issued by the issuer; they rank *pari passu* with other TSR of the same rank and are subordinated to all other more senior debt.

Deeply subordinated notes (TSS)

Volumes issued before CRR/CRD 4 came into force

Deeply subordinated notes (TSS) issued by Crédit Agricole S.A. are either fixed or floating-rate and undated (unless they contain a contractually defined early redemption clause). They are senior to shares but subordinated to all other more senior subordinated debt (including dated subordinated notes and undated subordinated notes)

Deeply subordinated notes are generally fixed-rate then floating-rate beyond a certain maturity and include early repayment options at the issuer's discretion after that maturity.

The coupons are non-cumulative and payment of a dividend by Crédit Agricole S.A. entails the obligation to pay the coupon on the TSS for a period of one year. However, the coupons may not be paid if Crédit Agricole S.A. experiences a regulatory event, *i.e.*, falls below the legal minimum equity ratio as defined by Pillar 1 or Pillar 2, or if the ACPR anticipates such an event in the near future.

The notional amount and accrued interest are impaired, up to a maximum of 0.01 of the issue's monetary unit, if the issuer's total capital ratio falls below a minimum threshold, either contractual or regulatory, or by decision of the supervisory authority.

Issue of Additional Tier 1 (AT1) securities

The Additional Tier 1 subordinated bonds issued by Crédit Agricole S.A. are consistent with the new CRR/CRD 4 rules on coupon payment and bail-in.

The Additional Tier 1 (AT1) bonds issued by Crédit Agricole S.A. are either fixed and/or floating-rate and undated (unless they contain a contractually defined early redemption clause). They are senior to shares but subordinated to all other subordinated debt and *pari passu* with TSS.

AT1 bonds are generally fixed-rate but resettable beyond a certain maturity and include early repayment options at the issuer's discretion after that maturity.

AT1 issued by Crédit Agricole S.A. include a clause allowing partial temporary impairment of the securities if Crédit Agricole Group's phased-in Common Equity Tier 1 Basel 3 capital ratio should fall below 7% or if Crédit Agricole S.A.'s phased-in Common Equity Tier 1 Basel 3 capital ratio should fall below 5.125%. They may be impaired up to a maximum of 0.01 of the issue's monetary unit.

Coupons are optional at the discretion of the regulator and issuer and subject to regulatory limits if distributable amounts are insufficient or the Group or Crédit Agricole S.A. fails to meet regulatory requirements for total capital (including capital buffers).

Early redemption at the issuer's discretion

Dated subordinated notes (TSR), undated subordinated notes (TSDI) and deeply subordinated notes (TSS) may be early redeemed, through buy-back transactions, either on the market through public takeover bids or exchange offers or over-the-counter, subject to prior approval by the regulatory authority and at the issuer's initiative, in accordance with the contractual clauses applicable to each issue.

Furthermore, after securing approval from the regulatory authority, Crédit Agricole S.A. is entitled to redeem the subordinated notes prior to their maturity, by the exercise of an early redemption clause at the issuer's hand (call option) under the conditions and at the times defined by the contractual terms of the issue, in the event that the issuance agreement for the securities contains such a clause.

Early payability

Existing debt instruments may become due and payable immediately under certain circumstances, for example upon non-payment of principal and interest, after a predetermined grace period has elapsed, following which they become due and payable, the insolvency of Crédit Agricole S.A. as issuer and in the case of breach by Crédit Agricole S.A. of its other contractual obligations. TSS contain no early repayment clauses, except in the event of the liquidation of Crédit Agricole S.A.

COVERED BOND-TYPE ISSUES

In order to increase the amount of medium and long-term financing, the Group issues Covered Bonds through two subsidiaries:

- Crédit Agricole Home Loan SFH, whose initial issue was launched in January 2009. The total amount outstanding, in euro equivalent, was €23 billion at 31 December 2015;
- Crédit Agricole Public Sector SCF, whose initial issue was launched in October 2012. The total amount issued and outstanding was €2 billion at 31 December 2015.

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6.12 Information on the offsetting of financial assets and financial liabilities

OFFSETTING – FINANCIAL ASSETS

	31/12/2015					
	Offsetting effects on financial assets covered by master netting agreements and similar agreements					
				Other amounts that can be offset under given conditions		
Type of financial instrument *(in millions of euros)*	*Gross amounts of recognised financial assets before offsetting*	*Gross amounts of recognised financial liabilities set off in the financial statements[4]*	*Net amounts of financial assets presented in the financial statements*	*Gross amounts of financial liabilities covered by master netting agreements*	*Amounts of other financial instruments received as collateral, including security deposits*	*Net amount after all offsetting effects*
Derivatives[1]	271,526	118,003	153,523	131,754	10,345	11,424
Reverse repurchase agreements[2]	96,133	6,941	89,192	38,468	44,276	6,448
Securities lent[3]	2,357	-	2,357	-	1,388	969
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL ASSETS SUBJECTS TO OFFSETTING	**370,016**	**124,944**	**245,072**	**170,222**	**56,009**	**18,841**

(1) *The amount of derivatives subject to offsetting represents 85.92% of the derivatives on the asset side of the balance sheet at the end of the reporting period.*

(2) *The amount of reverse repurchase agreements subject to offsetting represents 84.70% of the reverse repurchase agreements on the asset side of the balance sheet at the end of the reporting period.*

(3) *The amount of securities lent subject to offsetting represents 62.93% of the securities lent on the asset side of the balance sheet at the end of the reporting period.*

(4) *Including margin calls.*

	31/12/2014 Restated					
	Offsetting effects on financial assets covered by master netting agreements and similar agreements					
				Other amounts that can be offset under given conditions		
Type of financial instrument *(in millions of euros)*	*Gross amounts of recognised financial assets before offsetting*	*Gross amounts of recognised financial liabilities set off in the financial statements[4]*	*Net amounts of financial assets presented in the financial statements*	*Gross amounts of financial liabilities covered by master netting agreement*	*Amounts of other financial instruments received as collateral, including security deposits*	*Net amount after all offsetting effects*
Derivatives[1]	327,610	143,069	184,541	158,262	11,729	14,550
Reverse repurchase agreements[2]	106,108	18,728	87,380	66,648	13,441	7,291
Securities lent[3]	3,026	-	3,026	-	465	2,561
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL ASSETS SUBJECT TO OFFSETTING	**436,744**	**161,797**	**274,947**	**224,910**	**25,635**	**24,402**

(1) *The amount of derivatives subject to offsetting represents 86.62% of the derivatives on the asset side of the balance sheet at the end of the reporting period.*

(2) *The amount of reverse repurchase agreements subject to offsetting represents 73.14% of the reverse repurchase agreements on the asset side of the balance sheet at the end of the reporting period.*

(3) *The amount of securities lent subject to offsetting represents 74.60% of the securities lent on the asset side of the balance sheet at the end of the reporting period.*

(4) *Including margin calls.*

OFFSETTING – FINANCIAL LIABILITIES

	31/12/2015					
	Offsetting effects on financial liabilities covered by master netting agreements and similar agreements					
				Other amounts that can be offset under given conditions		
Type of financial instrument *(in millions of euros)*	*Gross amounts of recognised financial liabilities before offsetting*	*Gross amounts of recognised financial assets set off in the financial statements*[3]	*Net amounts of financial liabilities presented in the financial statements*	*Gross amounts of financial assets covered by master netting agreements*	*Amounts of other financial instruments given as guarantee, including security deposits*	*Net amount after all offsetting effects*
Derivatives[1]	275,992	118,008	157,984	131,754	15,166	11,064
Repurchase agreements[2]	64,749	6,941	57,808	38,468	11,016	8,324
Securities borrowed	-	-	-	-	-	-
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL LIABILITIES SUBJECT TO OFFSETTING	**340,741**	**124,949**	**215,792**	**170,222**	**26,182**	**19,388**

(1) *The amount of derivatives subject to offsetting represents 88.15%of the derivatives on the liability side of the balance sheet at the end of the reporting period.*

(2) *The amount of repurchase agreements subject to offsetting represents 71.61% of the repurchase agreements on the liability side of the balance sheet at the end of the reporting period.*

(3) *Including margin calls.*

	31/12/2014 Restated					
	Offsetting effects on financial liabilities covered by master netting agreement and similar agreements					
				Other amounts that can be offset under given conditions		
Type of financial instrument *(in millions of euros)*	*Gross amounts of recognised financial liabilities before offsetting*	*Gross amounts of recognised financial assets set off in the financial statements*[3]	*Net amounts of financial liabilities presented in the financial statements*	*Gross amounts of financial assets covered by master netting agreement*	*Amounts of other financial instruments given as guarantee, including security deposits*	*Net amount after all offsetting effects*
Derivatives[1]	332,718	143,070	189,647	158,262	17,091	14,294
Repurchase agreements[2]	104,262	18,728	85,535	66,648	10,555	8,332
Securities borrowed	-	-	-	-	-	-
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL LIABILITIES SUBJECT TO OFFSETTING	**436,980**	**161,798**	**275,182**	**224,910**	**27,646**	**22,626**

(1) *The amount of derivatives subject to offsetting represents 89.93% of the derivatives on the liability side of the balance sheet at the end of the reporting period.*

(2) *The amount of repurchase agreements subject to offsetting represents 71.42% of the repurchase agreements on the liability side of the balance sheet at the end of the reporting period.*

(3) *Including margin calls.*

6.13 Current and deferred tax assets and liabilities

(in millions of euros)	31/12/2015	31/12/2014 Restated
Current tax	1,990	1,441
Deferred tax	4,199	4,269
TOTAL CURRENT AND DEFERRED TAX ASSETS	**6,189**	**5,710**
Current tax	698	694
Deferred tax	1,807	2,198
TOTAL CURRENT AND DEFERRED TAX LIABILITIES	**2,505**	**2,892**

Net deferred tax assets and liabilities break down as follows:

(in millions of euros)	31/12/2015	31/12/2014 Restated
Temporary timing differences	**4,118**	**4,011**
Non-deductible accrued expenses	345	350
Non-deductible provisions for liabilities and charges	3,973	4,035
Other temporary differences(1)	(200)	(374)
Deferred tax on reserves for unrealised gains or losses	**(1,257)**	**(1,299)**
Available-for-sale assets	(1,024)	(1,030)
Cash flow hedges	(425)	(469)
Gains and losses/Actuarial differences	192	200
Deferred tax/Income and reserves	**(469)**	**(641)**
TOTAL DEFERRED TAX	**2,392**	**2,071**

(1) *The portion of deferred tax related to tax loss carry-forwards is €963 million for 2015 compared to €705 million for 2014 restated.*

Deferred tax assets are netted on the balance sheet by taxable entity.

In order to assess the level of deferred tax assets to be recognised, Crédit Agricole S.A. takes into account for each company or tax group concerned the dedicated tax status and the earnings projections established during the budgetary process.

6.14 Accrued income and expenses and other assets and liabilities

ACCRUALS, PREPAYMENTS AND SUNDRY ASSETS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Other assets	**37,544**	**49,452**
Inventory accounts and miscellaneous	211	259
Collective management of *Livret de développement durable* (LDD) savings account	-	-
Sundry debtors	34,939	31,910
Settlement accounts	798	15,753
Due from shareholders – unpaid capital	-	-
Other insurance assets	207	215
Reinsurer's share of technical reserves	1,389	1,315
Accruals and deferred income	**8,715**	**14,119**
Items in course of transmission	4,672	10,331
Adjustment and suspense accounts	622	449
Accrued income	1,999	1,571
Prepaid expenses	383	388
Other accruals prepayments and syndry assets	1,039	1,380
CARRYING AMOUNT	**46,259**	**63,571**

(1) *Including €57 million in respect of the contribution to the Guarantee and Resolution Fund in the form of a security deposit. The Guarantee and Resolution Fund may use the security deposit to provide funding unconditionally and at any time.*

ACCRUALS, DEFERRED INCOME AND SUNDRY LIABILITIES

(in millions of euros)	31/12/2015	31/12/2014 Restated
Other liabilities	**27,269**	**45,600**
Settlement accounts	1,304	19,686
Sundry creditors	25,567	25,542
Liabilities related to trading securities	366	337
Other insurance liabilities	32	35
Accruals and deferred income	**18,612**	**23,419**
Items in course of transmission	4,861	10,175
Adjustment and suspense accounts	2,519	1,839
Unearned income	3,422	3,572
Accrued expenses	6,150	5,346
Other accruals prepayments and sundry liabilities	1,660	2,487
CARRYING AMOUNT	**45,881**	**69,019**

6.15 Joint ventures and associates

FINANCIAL INFORMATION OF JOINT VENTURES AND ASSOCIATES

At 31 December 2015,

- the equity-accounted value of joint ventures totalled €1,457 million (€1,563 million at 31 December 2014);
- the equity-accounted value of associates totalled €5,113 million (€2,715 million at 31 December 2014),

FCA Bank is a joint venture created with the Fiat Chrysler Automobiles group. In July 2013, Crédit Agricole S.A., Crédit Agricole Consumer Finance and Fiat Group Automobiles (FGA) signed an agreement to extend their joint venture – equally owned by shareholders – until 31 December 2021. Active in 16 European countries, the Company manages all financing operations for car dealers and private customers for the following brands: Fiat, Lancia, Alfa Romeo, Maserati, Chrysler, Jeep, Fiat Professional, Abarth in Europe as well as Jaguar Land Rover in continental Europe. It is thus strategic for the development of the car finance partnership business of the Group.

Material associates and joint ventures are presented in the table below. These are the main joint ventures and associates that make up the "equity-accounted value in the balance sheet".

	31/12/2015						
(in millions of euros)	% of interest	Equity-accounted value	Share of market value	Dividends paid to Group's entities	Share of net income	Share of shareholders' equity (1)	Goodwill
Joint ventures							
FCA Bank(2)	50.0%	1,378	-	46	121	1,077	392
Others		79	-	1	(189)	235	-
Net carrying amount of investments in equity-accounted entities (Joint ventures)		**1,457**			**(68)**	**1,312**	**392**
Associates							
Banque Saudi Fransi	31.1%	2,048	2,570	40	246	2,092	-
Eurazeo	15.1%	666	650	12	203	636	41
Ramsay-Générale de Santé	38.4%	486	443	-	15	228	258
Infra Foch Topco	36.9%	152	168	45	(1)	11	141
Altarea	27.7%	435	637	35	24	331	104
Korian	23.9%	492	640	11	62	453	38
Others		834	-	39	123	1,087	118
Net carrying amount of investments in equity-accounted entities (Associates)		**5,113**			**672**	**4,838**	**700**
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES		**6,570**			**604**	**6,150**	**1,092**

(1) Shareholders' equity Group share in the financial statements of the joint venture or associate when the joint venture or associate is a sub-group.

(2) Formerly known as FGA Capital.

	31/12/2014 Restated						
(in millions of euros)	% of interest	Equity-accounted value	Share of market value	Dividends paid to Group's entities	Share of net income	Share of shareholders' equity(1)	Goodwill
Joint ventures							
FCA Bank(2)	50.0%	1,288	-	41	105	895	393
Others		275	-	10	(19)	273	9
Net carrying amount of investments in equity-accounted entities (Joint ventures)		**1,563**			**86**	**1,168**	**402**
Associates							
Banque Saudi Fransi	31.1%	1,770	2,571	186	177	1,807	-
BES	50.0%	-	-	-	(721)	-	-
Eurazeo	14.7%	470	567	12	22	438	41
Others		475	-	24	49	362	114
Net carrying amount of investments in equity-accounted entities (Associates)		**2,715**			**(473)**	**2,607**	**155**
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES		**4,278**			**(387)**	**3,775**	**557**

(1) Shareholders' equity Group share in the financial statements of the joint venture or associate when the joint venture or associate is a sub-group.

(2) Formerly known as FGA Capital.

The market value shown above is the quoted price of the shares on the market at 31 December 2015. This value may not be representative of the selling value since the value in use of equity-accounted entities may be different from the equity-accounted value determined pursuant to IAS 28. Investments in equity-accounted entities were subject to impairment tests, in case of an indication of impairment, using the same methodology as for goodwill.

Condensed financial information for the material associates and joint ventures of Crédit Agricole Group is shown below.

	31/12/2015			
(in millions of euros)	Revenues	Net income	Total assets	Total equity
Joint ventures				
FCA Bank	651	245	19,487	2,153
Associates				
Banque Saudi Fransi	1,518	974	44,966	6,724
Eurazeo[(1)]	3,686	1,258	7,349	4,199
Ramsay – Générale de santé	5	5	2,374	610
Infra Foch Topco	11	11	2,869	764
Altarea	53	53	5,716	2,156
Korian	49	49	5,313	1,904

(1) Net income in the above table corresponds to the sum of the net income for the second half of 2014 and of the first half of 2015.

	31/12/2014 Restated			
(in millions of euros)	Revenues	Net income	Total assets	Total equity
Joint ventures				
FCA Bank	599	214	16,921	1,973
Associates				
Banque Saudi Fransi	1,167	709	41,401	5,803
Eurazeo[(1)]	4,104	150	13,153	2,815

(1) Net income in the above table corresponds to the sum of the net income for the second half of 2013 and of the first half of 2014.

SIGNIFICANT RESTRICTIONS ON JOINT VENTURES AND ASSOCIATES

Crédit Agricole Group is prohibited from receiving dividends from certain companies for the following reasons:

Regulatory limitations

The subsidiaries of Crédit Agricole Group are subject to prudential regulation and regulatory capital requirements in their host countries. The minimum equity capital (solvency ratio), leverage ratio and liquidity ratio requirements limit the capacity of these entities to pay dividends or to transfer assets to Crédit Agricole Group.

Legal limitations

The subsidiaries of Crédit Agricole Group are subject to legal provisions concerning the distribution of capital and distributable earnings. These requirements limit the ability of the subsidiaries to distribute dividends. In the majority of cases, these are less restrictive than the regulatory limitations mentioned above.

Restriction on assets backing unit-linked contracts for the insurance business

Assets backing unit-linked contracts of Crédit Agricole Group are held for the benefit of policyholders. Assets of the insurance subsidiaries of Crédit Agricole Group are mainly held for satisfying their obligation towards their policyholders. Assets transfers to other entities are possible following the legal conditions. However, in case of a transfer, a part of the profit due to the transfer must be intended for the policyholders.

Other limitations

A subsidiary of Crédit Agricole CIB, Banque Saudi Fransi, is required to obtain prior approval for the payment of dividends from its prudential authority (namely the Saudi Monetary Authority).

6.16 Investment properties

(in millions of euros)	31/12/2014 Restated	Changes in scope	Transfers in non-current assets held for sale	Increases (acquisitions)	Decreases (disposals and redemptions)	Translation adjustments	Other movements	31/12/2015
Gross amount	5,003	1	-	1,739	(880)	-	440	**6,303**
Amortisation and impairment	(393)	(1)	-	(30)	35	-	(36)	**(425)**
NET CARRYING AMOUNT(1)	**4,610**	**-**	**-**	**1,709**	**(845)**	**-**	**404**	**5,878**

(1) *Including investment property let to third parties.*

(in millions of euros)	01/01/2014 Restated	Changes in scope	Transfers in non-current assets held for sale	Increases (acquisitions)	Decreases (disposals and redemptions)	Translation adjustments	Other movements	31/12/2014 Restated
Gross amount	4,381	6	-	957	(354)	-	13	**5,003**
Amortisation and impairment	(364)	(2)	-	(28)	8	-	(7)	**(393)**
NET CARRYING AMOUNT(1)	**4,017**	**4**	**-**	**929**	**(346)**	**-**	**6**	**4,610**

(1) *Including investment property let to third parties.*

The market value of investment properties recorded at amortised cost, as valued by expert appraisers, was €8,345 million at 31 December 2015 compared to €7,031 million at 31 December 2014.

FAIR VALUE OF INVESTMENT PROPERTIES

(in millions of euros)		31/12/2015	31/12/2014
Quoted prices in active markets for identical instruments	Level 1	-	1
Valuation based on observable data	Level 2	8,180	6,895
Valuation based on unobservable data	Level 3	165	135
MARKET VALUE		**8,345**	**7,031**

All investment properties are recognised at amortised cost in the balance sheet.

6.17 Property, plant & equipment and intangible assets (excluding goodwill)

(in millions of euros)	31/12/2014 Restated	Changes in scope	Transfers in non-current assets held for sale	Increases (Acquisitions, business combinations)	Decreases (disposals and redemptions)	Translation adjustments	Other movements	31/12/2015
Property, plant & equipment used in operations								
Gross amount	15,860	(129)	-	1,285	(816)	56	58	16,314
Depreciation and impairment[(1)]	(9,099)	85	-	(765)	521	(33)	(67)	(9,358)
CARRYING AMOUNT	**6,761**	**(44)**	**-**	**520**	**(295)**	**23**	**(9)**	**6,956**
Intangible assets								
Gross amount	5,393	15	-	451	(134)	12	(3)	5,734
Amortisation and impairment	(3,714)	11	-	(331)	57	(11)	(38)	(4,026)
CARRYING AMOUNT	**1,679**	**26**	**-**	**120**	**(77)**	**1**	**(41)**	**1,708**

(1) Including depreciation on fixed assets let to third parties.

(in millions of euros)	01/01/2014 Restated	Changes in scope	Transfers in non-current assets held for sale	Increases (Acquisitions, business combinations)	Decreases (disposals and redemptions)	Translation adjustments	Other movements	31/12/2014 Restated
Property, plant & equipment used in operations								
Gross amount	15,430	40	(152)	1,060	(677)	14	145	15,860
Depreciation and impairment[(1)]	(8,754)	(18)	96	(764)	446	(16)	(89)	(9,099)
CARRYING AMOUNT	**6,676**	**22**	**(56)**	**296**	**(231)**	**(2)**	**56**	**6,761**
Intangible assets								
Gross amount	5,141	6	(46)	357	(68)	8	(5)	5,393
Amortisation and impairment	(3,425)	(2)	29	(315)	46	(8)	(39)	(3,714)
CARRYING AMOUNT	**1,716**	**4**	**(17)**	**42**	**(22)**	**-**	**(44)**	**1,679**

(1) Including depreciation on fixed assets let to third parties.

6.18 Goodwill

(in millions of euros)	31.12.2014 Restated GROSS	31.12.2014 Restated NET	Increases (Acquisitions)	Decreases (Divestments)	Impairment losses during the period	Translation adjustments	Other movements	31.12.2015 GROSS	31.12.2015 NET
French retail banking	**5,596**	**5,559**	**-**	**-**	**-**	**-**	**-**	**5,572**	**5,559**
of which LCL Group	5,558	5,558	-	-	-	-	-	5,558	5,558
of which Regional Banks	38	1	-	-	-	-	-	14	1
International retail banking	**3,561**	**2,119**	**-**	**-**	**-**	**(56)**	**-**	**3,487**	**2,063**
of which Italy	3,042	1,762	-	-	-	-	-	3,042	1,762
of which Poland	265	265	-	-	-	(44)	-	221	221
of which Ukraine	68	-	-	-	-	-	-	50	-
of which other countries	186	92	-	-	-	(12)	-	174	80
Savings management and Insurance	**4,740**	**4,716**	**78**	**-**	**-**	**195**	**(4)**	**4,985**	**4,985**
of which asset management	2,164	2,164	78	-	-	8	(4)	2,246	2,246
of which investor services	655	655	-	-	-	-	-	655	655
of which insurance	1,262	1,262	-	-	-	-	-	1,262	1,262
of which international private banking	659	635	-	-	-	187	-	822	822
Specialised financial services	**2,748**	**1,024**	**-**	**-**	**-**	**-**	**-**	**2,727**	**1,024**
of which Consumer finance	1,715	954	-	-	-	-	-	1,693	954
of which Consumer finance – Agos	569	-	-	-	-	-	-	569	-
of which Consumer finance – Car partnerships	-	-	-	-	-	-	-	-	-
of which factoring	464	70	-	-	-	-	-	465	70
Corporate and investment banking	**1,807**	**487**	**-**	**-**	**-**	**-**	**-**	**1,807**	**487**
Corporate centre	**71**	**71**	**-**	**-**	**-**	**-**	**-**	**71**	**71**
TOTAL	**18,523**	**13,976**	**78**	**-**	**-**	**139**	**(4)**	**18,649**	**14,189**
Group Share	18,233	13,793	59	-	-	137	(92)	18,337	13,897
Non-controlling interests	290	183	19	-	-	2	88	398	292

DETERMINING THE VALUE IN USE OF THE CGUS

Goodwill was subject to impairment tests based on the assessment of the value in use of the cash generating units (CGUs) to which it is associated. The determination of value in use was calculated by discounting the CGUs' estimated future cash flows calculated from activities forecasts developed for Group management purposes. These forecasts do not include the positive effects resulting from the implementation of the mid-term plan namely *Ambition Stratégique 2020*.

The following assumptions were made:

- a return to growth in the Eurozone, which will nevertheless remain fragile and patchy: a gradual recovery in France, on the back of consumption, growth edging back in Italy. Despite bouts of volatility, long-term interest rates in Europe are expected to remain low, although they will gradually rise;
- growth in the United States will continue in 2016 thanks to consumer spending and an accommodating monetary policy, prior to settling down to a long-term trend;
- growth in emerging countries is expected to improve very slightly in view of the wide variation in situations: a slowdown in the Chinese economy lasting a number of years, and an improvement in Brazil and Russia, which will drag themselves out of recession.

At 31 December 2015, perpetual growth rates, discount rates and capital allocated rates were distributed by business lines as shown below:

In 2015	Perpetual growth rates	Discount rates	Capital allocated
French retail banking	2.0%	8.0%	8.0%
International retail banking	2.0% to 5.0%	9.1% to 16.9%	9.5%
Specialised financial services	2.0%	8.0% to 8.5%	8.0% to 9.5%
Savings management and Insurance	2.0%	8.0% to 8.9%	9.5% 80% of solvability margin (Insurance)
Corporate and investment banking	2.0%	9.7%	9.5%

The increase by the European Central Bank (ECB) of prudential requirements under Pillar 1 and Pillar 2 with effect from 2016 has led Crédit Agricole S.A. to raise the level of capital allocated as a percentage of risk weighted assets for some entities.

At 31 December 2015, capital allocated to Corporate and Investment banking , Savings management and Insurance, Asset servicing, Consumer finance and International retail banking activities rose to 9.5% of risk weighted assets.

The calculation of discount rates at 31 December 2015 for all business lines reflects the lasting decline in long-term interest rates witnessed over the past several years in Europe, particularly in France. This has led to a reduction in rates applied to French subsidiaries by around 30 basis points compared with the end of 2014, consistent with the rate assumptions used to calculate three-year projections and budgets.

Perpetual growth rates at 31 December 2015 are similar to those used at 31 December 2014 except the rate used to measure activities in Poland to reflect the more optimistic growth forecasts of Crédit Agricole S.A. for this country.

SENSITIVITY OF CGUS VALUATION TO THE MAIN VALUATION PARAMETERS

	Sensitivity to capital allocated	Sensitivity to discount rates		Sensitivity to cost of risk in the final year	
	+100bp	-50bp	+50bp	-10%	+10%
French retail banking	(4.2%)	7.9%	(6.7%)	8.7%	(8.7%)
International retail banking	(5.5%)	6.3%	(5.5%)	4.3%	(4.3%)
Specialised financial services	(1.2%)	9.0%	(7.7%)	6.2%	(6.2%)
Savings management and Insurance	(2.9%)	7.8%	(6.6%)	nm	nm
Corporate and investment banking	(1.5%)	6.9%	(6.0%)	2.1%	(2.1%)

Sensitivity tests were conducted on goodwill Group share with changes in the main valuation parameters applied equally for all CGUs. These tests showed that the French retail banking – LCL CGU is the most sensitive to the downgraded parameters of the model.

- With regard to financial parameters, tests only identify an indication of impairment for the French retail banking – LCL CGU. Indeed:
  - a variation of +50 basis points in discount rates would lead to an impairment charge of about €270 million on the French retail banking CGU - LCL,
  - a variation of +100 basis points in the level of equity allocated to the banking CGUs would lead to an impairment charge of about €20 million on the French retail banking- LCL CGU;

- With regard to operational parameters, these showed that the valuation of CGUs is particularly sensitive to downgraded cost-of-risk assumptions in the terminal year. Therefore:
  - a variation of +10% in cost of risk during the terminal year would lead to an impairment charge of around €550 million, allocated as follows:
    - €480 million on the French retail banking – LCL CGU,
    - €60 million on the Crédit Agricole Consumer Finance CGU,
    - €10 million on the Crédit Agricole Poland CGU,
  - a variation of 100 basis points in the cost/income ratio in the terminal year would not result in impairment of any CGU. Conversely, a variation of 200 basis points would result in an impairment of about €220 million on the French retail banking – LCL CGU and of about €10 million on the Crédit Agricole Poland CGU.

6.19 Insurance company technical reserves

BREAKDOWN OF INSURANCE TECHNICAL RESERVES

	31/12/2015				
(in millions of euros)	Life	Non-life	International	Creditor	Total
Insurance contracts	149,093	5,005	13,140	1,542	**168,780**
Investment contracts with discretionary profit-sharing	94,317	-	10,825	-	**105,142**
Investment contracts without discretionary profit-sharing	2,349	-	1,139	-	**3,488**
Deferred participation benefits (liability)	18,612	74	701	-	**19,387**
Other technical reserves	-	-	-	-	**-**
Total technical reserves	**264,371**	**5,079**	**25,805**	**1,542**	**296,797**
Deferred participation benefits (asset)	-	-	-	-	**-**
Reinsurers' share of technical reserves	(817)	(220)	(50)	(302)	**(1,389)**
NET TECHNICAL RESERVES	**263,554**	**4,859**	**25,755**	**1,240**	**295,408**

	31/12/2014 Restated				
(in millions of euros)	Life	Non-life	International	Creditor	Total
Insurance contracts	142,896	4,589	11,901	1,495	**160,881**
Investment contracts with discretionary profit-sharing	90,133	-	9,294	-	**99,427**
Investment contracts without discretionary profit-sharing	2,334	-	748	-	**3,082**
Deferred participation benefits (liability)	21,055	92	643	-	**21,790**
Other technical reserves	-	-	-	-	-
Total technical reserves	**256,418**	**4,681**	**22,586**	**1,495**	**285,180**
Deferred participation benefits (asset)	-	-	-	-	**-**
Reinsurers' share of technical reserves	(739)	(216)	(49)	(311)	**(1,315)**
NET TECHNICAL RESERVES	**255,679**	**4,465**	**22,537**	**1,184**	**283,865**

Reinsurers' share in technical reserves and other insurance liabilities is recognised under "Accruals, prepayments and sundry liabilities". From 31 December 2015, the breakdown of technical reserves on insurance contracts is presented before elimination of issues in euro or unit-linked contracts subscribed for by insurance companies.

Deferred policyholders' profit-sharing, before tax, at 31 December 2015 and 31 December 2014 breaks down as follows:

Deferred participation benefits	31/12/2015 Deferred participation benefits in liabilities	31/12/2014 Restated Deferred participation benefits in liabilities
Deferred participation on revaluation of held-for-sale securities and hedging derivatives	17,299	20,552
Of which deferred participation on revaluation of held-for-sale securities[1]	*15,647*	*19,633*
Of which deferred participation hedging derivatives	*1,652*	*919*
Deferred participation on trading securities mark-to-market adjustment	(711)	167
Other deferred participation (liquidity risk reserve cancellation)	2,799	1,071
TOTAL	**19,387**	**21,790**

(1) See Note 6.4 "Available-for-sale financial assets".

6.20 Provisions

(in millions of euros)	31/12/2014 Restated	Changes in scope	Depreciation charges	Reversals, amounts used	Reversals, amounts not used	Translation adjustments	Transfers in non-current assets held for sale	Other movements	31/12/2015
Home purchase savings plans risks	933	-	123	-	(153)	-	-	-	**903**
Financing commitment execution risks	421	2	177	(10)	(180)	(17)	-	(1)	**392**
Operational risks	470	-	99	(32)	(94)	1	-	1	**445**
Employee retirement and similar benefits	2,041	1	160	(228)	(48)	30	-	(43)	**1,913**
Litigation	1,533	(1)	784	(939)	(178)	43	-	(2)	**1,240**
Equity investments	23	-	10	(15)	(7)	-	-	1	**12**
Restructuring	29	(3)	1	(2)	(4)	-	-	(4)	**17**
Other risks	1,376	1	458	(199)	(456)	(5)	-	15	**1,190**
TOTAL	**6,826**	**-**	**1,812**	**(1,425)**	**(1,120)**	**52**	**-**	**(33)**	**6,112**

(in millions of euros)	01/01/2014 Restated	Changes in scope	Depreciation charges	Reversals, amounts used	Reversals, amounts not used	Translation adjustments	Transfers in non-current assets held for sale	Other movements	31/12/2014 Restated
Home purchase savings plans risks	662	-	280	-	(9)	-	-	-	**933**
Financing commitment execution risks	465	-	220	(175)	(104)	5	-	10	**421**
Operational risks	541	-	92	(25)	(139)	-	-	1	**470**
Employee retirement and similar benefits	1,683	(16)	216	(228)	(64)	10	(2)	442	**2,041**
Litigation	1,479	1	313	(127)	(180)	46	-	1	**1,533**
Equity investments	42	-	8	(24)	(4)	-	-	1	**23**
Restructuring	40	-	7	(12)	(5)	1	-	(2)	**29**
Other risks	1,471	(6)	424	(228)	(241)	(1)	11	(54)	**1,376**
TOTAL	**6,383**	**(21)**	**1,560**	**(819)**	**(746)**	**61**	**9**	**399**	**6,826**

At 31 December 2015, employee retirement and similar benefits included €131 million (€212 million in 2014) of provisions arising from social costs of the adaptation plans and the provision for restructuring includes the non-social costs of those plans.

TAX AUDITS

Crédit Agricole S.A. tax audit

Crédit Agricole S.A. underwent a tax audit covering the years 2012 and 2013.

The tax authority issued a tax adjustment notice rejecting the tax deduction applied, following the loss on disposal of Emporiki shares resulting from the capital increase carried out on 28 January 2013, four days before Emporiki was sold to Alpha Bank. The tax authorities dispute the fact that the securities of this subsidiary were treated as investment securities.

This adjustment is being contested. In view of the circumstances of the case, no provision has been set aside.

LCL tax audit

In 2010 and 2011, LCL was the object of an audit of accounts covering years 2007, 2008 and 2009, as well as an audit on regulated savings. All the resulting financial consequences have been paid, with only one adjustment currently being the subject of a dispute.

Since March 2015, LCL has been the object of an audit of accounts and audit of regulated savings, covering financial years 2011, 2012 and 2013. An adjustment notice suspending the limitation period was received in late 2015 for 2012 only (no adjustment for 2011). A report was drawn up documenting the failings in terms of regulated savings for 2011.

The provision recognised covers the estimated risk. The audit is still ongoing.

Crédit Agricole CIB Paris tax audit

Crédit Agricole CIB was the object of an audit of accounts covering financial years 2008, 2009 and 2010. An adjustment notice was received in late 2013. Crédit Agricole CIB contested virtually all of the proposed adjustments with reasoned arguments. A provision was recognised to cover the estimated risk. Discussions with the tax authorities continued in 2015. Since they were still ongoing at 31 December 2015, this provision is maintained.

Merisma tax audit

Merisma, a Crédit Agricole CIB subsidiary, consolidated by Crédit Agricole Group for tax purposes, has been the object of tax adjustment notices for financial years 2006 to 2010, plus surcharges for abuse of law.

Although still challenged, provisions have been set aside for the adjustments.

Crédit Agricole CIB Milan tax audit

Crédit Agricole CIB Milan, during each of the last several years, following audits of its accounts, has received tax adjustment notices issued by the Italian tax authorities for financial years 2005 to 2011. Crédit Agricole CIB challenged the proposed adjustments. At the same time, it has referred the case to the competent French and Italian authorities for all years. A provision was recognised to cover the estimated risk.

CLSA liability guarantee

In 2013 Crédit Agricole Group sold the CLSA entities to the Chinese group CITICS.

Following tax adjustments made to some CLSA entities in India and the Philippines, CITICS invoked the liability guarantee against Crédit Agricole Group. Reasoned arguments have been submitted challenging the adjustments. A provision was recognised to cover the estimated risk.

Crédit Agricole Private Banking

Crédit Agricole Private Banking underwent a tax audit covering the years 2012 and 2013. It received an adjustment notice in late 2015.

Crédit Agricole Private Banking will submit reasoned arguments challenging most of the adjustments. A provision has been set aside for the amount of the estimated risks.

Crédit Agricole Assurances tax audit

Crédit Agricole Assurances underwent a tax audit covering the years 2008 and 2009. The adjustment notified was not material, and it has been fully challenged. It was not provisioned, given the opinion of Crédit Agricole Group Tax department

Pacifica tax audit

Pacifica underwent a tax audit covering the years 2009 and 2010. A comprehensive settlement notice has been issued. Only one notified adjustment, which is fully provisioned, remains outstanding and is currently the subject of a dispute.

INQUIRIES AND DEMANDS OF LEGAL INFORMATION

Adding to the OFAC Litigation (2.3) and the US Program with Switzerland (2.4) presented in the Note 2 “Major structural transactions and material events during the period”, the main cases linked to inquiries and demands of legal information are:

Euribor/Libor and other indexes

The European Commission sent on 21 May 2014 to Crédit Agricole S.A. and Crédit Agricole CIB, a list of grievances relative to joint agreements or practices aiming at preventing, restricting or distorting the competition on derivatives linked to Euribor. Crédit Agricole S.A and Crédit Agricole CIB answered about those grievances to the European Commission and defended orally their own argues during June 2015. The date of the release of the decision by the European Commission is not known yet.

Furthermore, as contributors to several interbank rates, Crédit Agricole S.A and Crédit Agricole CIB received demands of information from different authorities of several countries (the USA, Switzerland, Korea). These demands are part of inquiries relative on one hand to the determination of the Libor rate (London Interbank Offered Rates) on several currencies, of the Euribor rate (Euro Interbank Offered Rate) and of other market indexes and relative to operations linked to these rates and indexes on the other hand. These demands covered several periods from 2005 to 2012. It is impossible to determine the conclusion and the ending date of those inquiries.

Finally, Crédit Agricole S.A and Crédit Agricole CIB have been involved with other financial institutions in two class actions in the USA. Both are defenders in one (“Sullivan” for Euribor) and only Crédit Agricole S.A for the other one (“Lieberman” for Libor). These class actions are still under preliminary exam to determine their admissibility. “Lieberman” class action is currently suspended for procedural reasons in front of the US District Court of New York State. For the “Sullivan” class action, Crédit Agricole S.A and Crédit Agricole CIB deposited a motion to dismiss. These class actions are civil actions in which demanders, as victims of the terms of the setting of Euribor and Libor indexes, ask for the refund of amounts illegitimately received, damages and the paid back of fees.

Bonds SSA

Several regulators have demanded information to Crédit Agricole CIB for inquiries relative to activities of different banks involved on Bonds SSA market (Supranational, Sub-Sovereign and Agencies). Through the cooperation with these regulators, Crédit Agricole CIB has been proceeding to intern inquiries to gather the asking information. This process is carrying on in 2016. For the moment, it is impossible to determine the conclusion and the ending date of those inquiries.

HOME PURCHASE SAVINGS PLAN PROVISION

DEPOSITS COLLECTED IN HOME PURCHASE SAVINGS ACCOUNTS AND PLANS DURING THE SAVINGS PHASE

(in millions of euros)	31/12/2015	31/12/2014 Restated
Home purchase savings plans		
Under 4 years old	33,078	22,723
Between 4 and 10 years old	25,138	25,082
Over 10 years old	26,499	28,899
Total home purchase savings plans	**84,715**	**76,704**
Total home purchase savings accounts	**11,570**	**11,911**
TOTAL DEPOSITS COLLECTED UNDER HOME PURCHASE SAVINGS CONTRACTS	**96,285**	**88,615**

Age of plan is determined in accordance with CRC Regulation 2007-01 of 14 December 2007.

Customer deposits outstanding, excluding government subsidies, are based on carrying amount at the end of November 2015 for the financial statements at 31 December 2015 and at the end of November 2014 for the financial statements at 31 December 2014.

OUTSTANDING LOANS GRANTED TO HOLDERS OF HOME PURCHASE SAVINGS ACCOUNTS AND PLANS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Home purchase savings plans	250	357
Home purchase savings accounts	1,330	1,816
TOTAL OUTSTANDING LOANS GRANTED UNDER HOME PURCHASE SAVINGS CONTRACTS	**1,580**	**2,173**

PROVISION FOR HOME PURCHASE SAVINGS ACCOUNTS AND PLANS

(in millions of euros)	31/12/2015	31/12/2014 Restated
Home purchase savings plans		
Under 4 years old	183	153
Between 4 and 10 years old	92	107
Over 10 years old	628	673
Total home purchase savings plans	**903**	**933**
Total home purchase savings accounts	**-**	**-**
TOTAL PROVISION FOR HOME PURCHASE SAVINGS CONTRACTS	**903**	**933**

(in millions of euros)	31/12/2014 Restated	Depreciation charges	Reversals	Other movements	31/12/2015
Home purchase savings plans	933	123	(153)	-	903
Home purchase savings accounts	-	-	-	-	-
TOTAL PROVISION FOR HOME PURCHASE SAVINGS CONTRACTS	**933**	**123**	**(153)**	**-**	**903**

Age plan is determined based on the date of the midway point in the generation of plans to which they belong.

All of the home purchase savings plans and accounts collected by the Regional Banks are recognised at 100% as liabilities in the consolidated financial statements of Crédit Agricole Group.

Half of the amount of outstanding loans related to home purchase savings plans and accounts is recognised by Crédit Agricole Group and the other half by the Regional Banks in the tables above.

The amounts recognised under provisions represent the portion of risk borne by Crédit Agricole S.A., LCL and by the Regional Bank.

6.21 Equity

UNDATED SUBORDINATED AND DEEPLY SUBORDINATED DEBT (TSS)

The main issues of undated subordinated and deeply subordinated debt classified in Shareholders' equity Group share are:

Issue date	Currency	Amount in currency at 31 December 2014 *(in millions of units)*	Partial repurchases and redemptions *(in millions of units)*	at 31 December 2015 Amount in currency at 31/12/2015 *(in millions of units)*	Amount in euros at inception rate *(in millions of euros)*	Interests paid *(in millions of euros)*	Issuance costs net of taxes *(in millions of euros)*	Shareholders' equity Group share *(in millions of euros)*
23/01/2014	USD	1,750		1,750	1,283	(222)	(8)	1,053
08/04/2014	GBP	500	-	500	607	(85)	(4)	518
08/04/2014	EUR	1,000	-	1,000	1,000	(111)	(6)	883
18/09/2014	USD	1,250	-	1,250	971	(93)	(6)	872
Crédit Agricole S.A. Issues					**3,861**	**(511)**	**(24)**	**3,326**
14/10/2014	EUR					(34)	(3)	(37)
13/01/2015	EUR					-	(3)	(3)
Insurance Issues						**(34)**	**(6)**	**(40)**
TOTAL					**3,861**	**(545)**	**(30)**	**3,286**

The main issues of undated subordinated and deeply subordinated debt classified in Shareholder's equity - Non controlling interests share (Insurance) are:

Issue date	Currency	Amount in currency at 31 December 2014 *(in millions of units)*	Partial repurchases and redemptions *(in millions of units)*	Amount in currency at 31 December 2015 *(in millions of units)*	Amount in euros at inception rate *(in millions of units)*
14/10/2014	EUR	745	-	745	745
13/01/2015	EUR	-	-	981	981
TOTAL				**1,726**	**1,726**

Changes relating to undated subordinated and deeply subordinated debt affecting Shareholders' equity Group share are as follows:

(in millions of euros)	31/12/2015	31/12/2014 Restated
Undated deeply subordinated notes		
Interest paid accounted as reserves	(316)	(194)
Income tax savings related to interest to be paid to security holders recognised in net income	120	74
Issuance costs (net of tax)	-	(24)
Undated subordinated notes		
Interest paid accounted as reserves	(34)	-
Income tax savings related to interest to be paid to security holders recognised in net income	13	-
Issuance costs (net of tax)	(3)	(3)

6.22 Non-controlling interests

INFORMATION ON SIGNIFICANT NON-CONTROLLING INTERESTS

The table below presents information on the consolidated subsidiaries and structured entities with significant non-controlling interests in relation to the total equity of the Group or of the sub-group level or where the total balance sheet of the entities held by the non-controlling interests is significant.

	31/12/2015				
(in millions of euros)	% of voting rights held by non-controlling interests	% of ownership interests held by non-controlling interests	Net income allocated to non-controlling interests during the reporting period	Accumulated non-controlling interests at the end of the reporting period	Dividends paid to non-controlling interests
Cariparma Group	13%	13%	39	775	22
Amundi Group	24%	24%	113	994	48
CACEIS Group	15%	15%	17	199	6
CA Preferred Funding LLC	0%	0%	49	-	54
Agos	39%	39%	102	467	-
Others[1]			68	2,096	28
TOTAL			**388**	**4,531**	**158**

(1) *Of which €1,726 million euro related to the issuance of Additional Tier 1 undated subordinated bonds realised on 14 October 2014 and 13 January 2015 by Crédit Agricole Assurance, accounted for in equity of non-controlling interests.*

	31/12/2014				
(in millions of euros)	% of voting rights held by non-controlling interests	% of ownership interests held by non-controlling interests	Net income allocated to non-controlling interests during the reporting period	Accumulated non-controlling interests at the end of the reporting period	Dividends paid to non-controlling interests
Cariparma Group	13%	13%	30	751	20
Amundi Group	20%	20%	100	661	45
Caceis Group	15%	15%	17	189	9
CA Preferred Funding LLC	0%	94%	112	1,937	127
Agos	39%	39%	39	350	-
Others[1]			61	1,091	43
TOTAL			**359**	**4,979**	**244**

(1) *Of which €745 million related to the issuance of Additional Tier 1 undated subordinated bonds realised on 14 October 2014 by Crédit Agricole Assurance, accounted for in equity of non-controlling interests.*

INDIVIDUAL SUMMARY FINANCIAL INFORMATION ON SIGNIFICANT NON-CONTROLLING INTERESTS

The table below presents summary information on subsidiaries with significant non-controlling interests for Crédit Agricole Group on the basis of the IFRS financial statements.

	31/12/2015			
(in millions of euros)	Total assets	Revenues	Net income	Net income and other comprehensive income
Cariparma Group	51,377	1,770	230	266
Amundi Group	12,932	1,657	520	512
CACEIS Group	54,999	748	114	135
CA Preferred Funding LLC	-	12	12	12
Agos	17,154	973	298	300
TOTAL	**136,462**	**5,160**	**1,174**	**1,225**

	31/12/2014			
(in millions of euros)	Total assets	Revenues	Net income	Net income and other comprehensive income
Cariparma Group	52,556	1,809	171	260
Amundi Group	13,249	1,540	489	528
CACEIS Group	50,774	723	(240)	(204)
CA Preferred Funding LLC	1,968	114	114	114
Agos	17,023	975	90	92
TOTAL	**135,570**	**5,161**	**624**	**790**

6.23 Breakdown of financial assets and financial liabilities by contractual maturity

The breakdown of balance sheet financial assets and liabilities is made according to contractual maturity date.

The maturities of derivative instruments held for trading and for hedging correspond to their date of contractual maturity.

Equities and other variable-income securities are by nature without maturity; they are classified "Indefinite".

Value adjustments on interest rate risk hedged portfolios are considered to have an indefinite maturity given the absence of a defined maturity.

	31/12/2015					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Cash due from central banks	39,262	-	-	-	-	**39,262**
Financial assets at fair value through profit or loss	94,900	22,956	52,605	99,706	74,301	**344,468**
Hedging derivative instruments	1,730	3,097	7,955	14,385	-	**27,167**
Available-for-sale financial assets	20,807	24,063	90,245	146,459	41,298	**322,872**
Loans and receivables due from credit institutions	39,996	6,536	39,465	2,579	857	**89,433**
Loans and receivables due from customers	101,081	74,117	259,386	302,306	3,496	**740,386**
Value adjustment on interest rate risk hedged portfolios	16,452	-	-	-	-	**16,452**
Held-to-maturity financial assets	337	3,742	7,613	18,937	-	**30,629**
TOTAL FINANCIAL ASSETS BY MATURITY	**314,565**	**134,511**	**457,269**	**584,372**	**119,952**	**1,610,669**
Central banks	2,401	-	1,452	-	-	**3,853**
Financial liabilities at fair value through profit or loss	72,836	16,981	56,868	103,508	-	**250,193**
Hedging derivative instruments	1,529	1,477	9,319	17,462	-	**29,787**
Due to credit institutions	52,271	8,177	26,354	5,861	246	**92,909**
Due to customers	545,532	40,051	66,717	10,835	-	**663,135**
Debt securities	49,652	34,872	39,255	44,031	-	**167,810**
Subordinated debt	28	518	10,383	12,461	5,616	**29,006**
Value adjustment on interest rate risk hedged portfolios	15,063	-	-	-	-	**15,063**
TOTAL FINANCIAL LIABILITIES BY MATURITY	**739,312**	**102,076**	**210,348**	**194,158**	**5,862**	**1,251,756**

	31/12/2014 Restated					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Cash due from central banks	57,904	-	-	-	-	**57,904**
Financial assets at fair value through profit or loss	104,204	27,449	73,757	132,307	65,740	**403,457**
Hedging derivative instruments	2,619	1,229	8,990	20,307	1	**33,146**
Available-for-sale financial assets	16,330	20,794	94,302	137,987	38,178	**307,591**
Loans and receivables due from credit institutions	50,974	6,723	39,493	2,311	537	**100,038**
Loans and receivables due from customers	94,085	77,960	239,544	294,885	3,410	**709,884**
Value adjustment on interest rate risk hedged portfolios	20,280	-	-	-	-	**20,280**
Held-to-maturity financial assets	460	1,470	9,520	18,133	-	**29,583**
TOTAL FINANCIAL ASSETS BY MATURITY	**346,856**	**135,625**	**465,606**	**605,930**	**107,866**	**1,661,883**
Central banks	3,123	-	1,400	-	-	**4,523**
Financial liabilities at fair value through profit or loss	105,791	17,253	68,055	127,803	21	**318,923**
Hedging derivative instruments	3,583	1,062	10,453	17,840	3	**32,941**
Due to credit institutions	66,571	6,102	19,571	4,999	1,191	**98,434**
Due to customers	502,605	40,719	64,389	11,382	3,591	**622,686**
Debt securities	40,441	49,546	60,376	35,141	-	**185,504**
Subordinated debt	494	138	9,806	8,411	6,638	**25,487**
Value adjustment on interest rate risk hedged portfolios	18,597	-	-	-	-	**18,597**
TOTAL FINANCIAL LIABILITIES BY MATURITY	**741,205**	**114,820**	**234,050**	**205,576**	**11,444**	**1,307,095**

NOTE 7 Employee benefits and other compensation

7.1 Analysis of employee expenses

(in millions of euros)	31/12/2015	31/12/2014 Restated
Salaries[1]	(6,986)	(6,772)
Contributions to defined-contribution plans	(655)	(637)
Contributions to defined-benefit plans	(93)	(145)
Other social security expenses	(2,014)	(1,931)
Profit-sharing and incentive plans	(727)	(713)
Payroll-related tax	(844)	(846)
TOTAL EMPLOYEES EXPENSES	**(11,319)**	**(11,044)**

(1) Regarding deferred variable compensation paid to market professionals, the Crédit Agricole Group booked a charge for share-based payments of €56 million at 31 December 2015 compared to €53 million at 31 December 2014.

7.2 Headcount at year-end

Number of employees	31/12/2015	31/12/2014
France	103,788	103,550
International	34,416	34,973
TOTAL	**138,204**	**138,523**

7.3 Post-employment benefits, defined-contribution plans

Employers contribute to a variety of compulsory pension schemes. Plan assets are managed by independent organisations and the contributing companies have no legal or implied obligation to pay additional contributions if the funds do not have sufficient assets to cover all benefits corresponding to services rendered by employees during the year and during prior years. Consequently, Crédit Agricole Group companies have no liability in this respect other than the contributions payable.

Within the Group, there are several compulsory defined-contribution plans, the main ones being Agirc/Arrco, which are French supplementary retirement plans, and some supplementary plans in place notably within UES Crédit Agricole S.A.

ANALYSIS OF SUPPLEMENTARY PENSION PLANS IN FRANCE

Business Line	Entity	Compulsory supplementary pension plans	Number of employees covered Estimate at 31/12/2015	Number of employees covered Estimate at 31/12/2014
Central Support functions	UES Crédit Agricole S.A.	Agriculture industry plan 1.24%	2,843	2,887
Central Support functions	UES Crédit Agricole S.A.	“Article 83” Group Executive managers plan	211	216
French retail banking	LCL	“Article 83” Group Executive managers plan	330	312
Corporate and investement banking	CACIB	“Article 83” type plan	4,802	4,836
Corporate and investement banking	IPB/IG/CAPB[1]	“Article 83” type plan	534	527
Savings management and Insurance	Predica/CAA/CAAGIS/PACIFICA/SIRCA	Agriculture industry plan 1.24%	3,351	3,149
Savings management and Insurance	Predica/CAA/CAAGIS/PACIFICA/CACI	“Article 83” Group Executive managers plan	69	73
Savings management and Insurance	CACI	“Article 83” type plan	192	190

(1) Indosuez Private Banking/Indosuez Gestion/CA Private Banking.

7.4 Post-employment benefits, defined-benefit plans

CHANGE IN ACTUARIAL LIABILITY

	31/12/2015			31/12/2014 Restated
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Actuarial liability at 31/12/N-1	**2,641**	**1,481**	**4,122**	**3,550**
Translation adjustments	-	132	132	68
Current service cost during the period	137	46	183	146
Financial cost	40	41	81	107
Employee contributions	-	13	13	13
Benefit plan changes, withdrawals and settlement	(52)	(5)	(57)	(2)
Changes in scope	7	(2)	5	(90)
Benefits paid (mandatory)	(181)	(96)	(277)	(178)
Taxes, administrative expenses, and bonuses	-	-	-	-
Actuarial (gains)/losses arising from changes in demographic assumptions[1]	13	(16)	(3)	4
Actuarial (gains)/losses arising from changes in financial assumptions[1]	(76)	30	(46)	504
ACTUARIAL LIABILITY AT 31/12/N	**2,529**	**1,624**	**4,153**	**4,122**

(1) Of which actuarial gains/losses related to experience adjustment.

BREAKDOWN OF NET CHARGE RECOGNISED IN THE INCOME STATEMENT

	31/12/2015			31/12/2014 Restated
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Service cost	85	41	126	144
Net interests	15	6	21	27
IMPACT IN PROFIT AND LOSS AT 31/12/N	**100**	**47**	**147**	**171**

BREAKDOWN OF CHARGE RECOGNISED IN OCI THAT WILL NOT BE RECLASSIFIED TO PROFIT AND LOSS

	31/12/2015			31/12/2014 Restated
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Revaluation from net liabilities (from net assets)	-	-	-	-
Total amount of actuarial gains or losses recognised in OCI that will not be reclassified to profit and loss at 31/12/N-1	**563**	**242**	**805**	**356**
Translation adjustment	-	24	24	9
Actuarial gains/losses on assets	(5)	33	28	(68)
Actuarial (gains)/losses arising from changes in demographic assumptions[1]	13	(16)	(3)	4
Actuarial (gains)/losses arising from changes in financial assumptions[1]	(76)	30	(46)	504
Adjustment of assets restriction's impact	-	-	-	-
IMPACT IN OCI AT 31/12/N	**(68)**	**71**	**3**	**449**

(1) Of which actuarial gains/losses related to experience adjustment.

CHANGE IN FAIR VALUE OF ASSETS

	31/12/2015			31/12/2014 Restated
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Fair value of assets at 31/12/N-1	**1,350**	**1,215**	**2,565**	**2,354**
Translation adjustments	-	104	104	59
Interests on asset (income)	20	36	56	74
Actuarial gains/(losses)	5	(33)	(28)	69
Employer contributions	96	31	127	181
Employee contributions	-	13	13	13
Benefit plan changes, withdrawals and settlement	-	-	-	-
Changes in scope	(6)	(2)	(8)	(54)
Taxes, administrative expenses, and bonuses	(1)	-	(1)	-
Benefits paid out under the benefit plan	(98)	(90)	(188)	(130)
FAIR VALUE OF ASSETS AT 31/12/N	**1,366**	**1,274**	**2,640**	**2,566**

CHANGE IN FAIR VALUE OF REIMBURSEMENT RIGHTS

	31/12/2015			31/12/2014 Restated
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Fair value of reimbursement rights at 31/12/N-1	**260**	**-**	**260**	**235**
Translation adjustments	-	-	-	-
Interests on reimbursement rights (income)	4	-	4	7
Actuarial gains/(losses)	(1)	-	(1)	(1)
Employer contributions	52	-	52	21
Employee contributions	-	-	-	-
Benefit plan changes, withdrawals and settlement	-	-	-	-
Changes in scope	9	-	9	-
Taxes, administrative expenses, and bonuses	-	-	-	-
Benefits paid out under the benefit plan	(36)	-	(36)	(2)
FAIR VALUE OF REIMBURSEMENT RIGHTS AT 31/12/N	**288**	**-**	**288**	**260**

NET POSITION

	31/12/2015			31/12/2014 Restated
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Closing actuarial liability	**(2,529)**	**(1,624)**	**(4,153)**	**(4,122)**
Impact of asset restriction	-	-	-	-
Fair value of assets at end of period	1,366	1,274	2,640	2,566
NET POSITION OF ASSETS/(LIABILITIES) AT END OF PERIOD	**(1,163)**	**(350)**	**(1,513)**	**(1,556)**

DEFINED-BENEFIT PLANS: MAIN ACTUARIAL ASSUMPTIONS

	31/12/2015		31/12/2014 Restated	
(in millions of euros)	Eurozone	Outside Eurozone	Eurozone	Outside Eurozone
Discount rate[(1)]	1.66%	2.42%	1.54%	2.65%
Actual return on plan assets and on reimbursement rights	1.16%	0.21%	4.17%	9.31%
Expected salary increase rates[(2)]	1.36%	1.83%	1.83%	2.40%
Rate of change in medical costs	4.60%	10.00%	4.30%	10.00%

(1) Discount rates are determined as a function of the average duration of the commitment, arithmetic mean of durations calculated between the assessment date and the payment date weighted by assumptions of staff turnover. The underlying used is the discount rate by reference to the iBoxx AA.

(2) Depending on the employees concerned (managers or non-managers).

INFORMATION OF PLAN ASSETS: ALLOCATION OF ASSETS[(1)]

	Eurozone			Outside Eurozone			All zones		
(in millions of euros)	%	Amount	o/w listed	%	Amount	o/w listed	%	Amount	o/w listed
Equities	8.3%	137	41	25.4%	323	324	15.7%	460	365
Bonds	69.9%	1156	320	51.4%	656	654	61.9%	1,812	2,132
Property/Real estate	4.2%	70		7.7%	98		5.8%	168	
Other	17.6%	291		15.4%	197		16.7%	488	

(1) Of which fair value of reimbursement rights.

At 31 December 2015, the sensitivity analysis showed that:

- a 50 basis point increase in discount rates would reduce the commitment by 6.09%;
- a 50 basis point decrease in discount rates would increase the commitment by 6.86%.

Crédit Agricole Group's policy on covering employee benefit obligations reflects local rules on funding post-employment benefits in countries with minimum funding requirements. Overall, commitments arising from the Group's post-employment obligations were 64% covered at 31 December 2015 (including reimbursement rights).

7.5 Other employee benefits

Among the various collective variable compensation plans within Crédit Agricole Group, the *rémunération variable collective* (RVC) is a global plan encompassing the discretionary incentive scheme and the compulsory profit-sharing scheme. The amount is calculated in accordance with the Company's performance as measured on the basis of Crédit Agricole S.A.'s net income Group share.

A given level of net income Group share will give rise to an entitlement equal to a given percentage of the total payroll.

The amount of the profit-sharing component is calculated in accordance with the standard legal formula and is deducted from the total RVC to obtain the amount of the discretionary incentive entitlement.

Other employee benefits: in France, the Group's main entities pay long-service awards. The amounts vary according to practices and collective bargaining agreements in place.

7.6 Share-based payments

7.6.1 STOCK OPTION PLAN

The Board of Directors of Crédit Agricole S.A. implemented various stock option plans until 2008 based on authorisation granted by the Extraordinary General Meeting of 17 May 2006.

No new plans were implemented in 2015. The last stock option plan from 2008 expired on 15 July 2015. The exercise price was not reached.

STATISTICS ON CRÉDIT AGRICOLE S.A. STOCK OPTION PLANS

Stock option plans Crédit Agricole S.A.	2008 16/07/2008	Total
Options in place at 31 December 2014	**29,000**	**29,000**
Options cancelled or matured in 2015	(29,000)	(29,000)
Options exercised in 2015	-	-
OPTIONS IN PLACE AT 31 DECEMBER 2015	**-**	**-**

7.6.2. EMPLOYEE BONUS SHARE PLAN

Pursuant to the authorisations granted by the Extraordinary General Meeting of 18 May 2011, at its meeting of 9 November 2011, the Board of Directors decided to implement a bonus share plan to allow all employees of Crédit Agricole Group to participate in the Company's capital and success.

This plan provides for individual grants of 60 shares each to more than 82,000 Crédit Agricole Group's employees in 58 countries. No condition of performance is required. The plan includes, however, two-restrictions: attendance during the vesting period and the prohibition to transfer or sell the shares during the lock-up period.

In France, the shares were delivered at the end of 2013 and are subject to a two-year lock-in period. In the rest of the world, the delivery calendar was adapted to local circumstances, including local tax rules. In countries where shares were not delivered in 2013 they were delivered at the end of 2015 with no lock-in period on these shares.

No new plans were implemented in 2015.

7.6.3 DEFERRED VARIABLE COMPENSATION SETTLED EITHER IN SHARES OR IN CASH INDEXED TO THE SHARE PRICE

The deferred variable compensation plans implemented by the Group in respect of services rendered in 2015 comprise:

- equity-settled plans;
- cash-settled plans indexed on the Crédit Agricole S.A. share price.

In both cases, variable compensation is subject to conditions of attendance and performance and deferred by thirds to March 2016, March 2017 and March 2018.

The expense related to these plans is recognised in compensation expenses on a straight-line basis over the vesting period to reflect the condition of attendance, along with an entry to:

- equity, in the case of equity-settled plans, with the expense being revalued solely on the basis of the estimated number of shares to be paid (in relation to the conditions of attendance and performance);
- liabilities to employees, in the case of cash-settled plans, with periodical revaluation of the liability through profit or loss until the settlement date, depending on the evolution of the share price of Crédit Agricole S.A. and on vesting conditions (conditions of attendance and performance).

NOTE 8 Financing and guarantee commitments and other guarantees

Financing and guarantee commitments and other guarantees include discontinued or held-for-sale operations.

COMMITMENTS GIVEN AND RECEIVED

(in millions of euros)	31/12/2015	31/12/2014 Restated
Commitments given		
Financing commitments	**190,969**	**170,004**
Commitments given to credit institutions	24,479	13,138
Commitments given to customers	166,490	156,866
• Confirmed credit lines	129,971	125,665
Documentary credits	*3,360*	*5,529*
Other confirmed credit lines	*126,611*	*120,136*
• Other commitments given to customers	36,519	31,201
Guarantee commitments	**81,920**	**81,483**
Credit institutions	7,708	8,757
• Confirmed documentary credit lines	2,191	2,236
• Other	5,517	6,521
Customers	74,212	72,726
• Property guarantees	4,275	4,443
• Other customer guarantees	69,937	68,283
Commitments received		
Financing commitments	**70,045**	**70,850**
Commitments received from credit institutions	66,166	64,016
Commitments received from customers	3,879	6,834
Guarantee commitments	**265,367**	**258,399**
Commitments received from credit institutions	76,155	69,719
Commitments received from customers	189,212	188,680
• Guarantees received from government bodies or similar institutions	35,822	33,223
• Other guarantees received	153,390	155,457

FINANCIAL INSTRUMENTS GIVEN AND RECEIVED AS COLLATERAL

(in millions of euros)	31/12/2015	31/12/2014 Restated
Carrying amount of financial assets provided as collateral (including transferred assets)		
Securities and receivables provided as collateral for the refinancing structures (Banque de France, CRH, etc.)	190,121	148,656
Securities lent	9,028	5,054
Security deposits on market transactions	23,679	20,912
Other security deposits	-	-
Securities sold under repurchase agreements	80,727	119,760
TOTAL CARRYING AMOUNT OF FINANCIAL ASSETS PROVIDED AS COLLATERAL	**303,555**	**294,382**
Fair value of instruments received as reusable and reused collateral		
Securities borrowed	319	2
Securities bought under repurchase agreements	112,891	275,253
Securities sold short	22,092	34,875
TOTAL FAIR VALUE OF INSTRUMENTS RECEIVED AS REUSABLE AND REUSED COLLATERAL	**135,302**	**310,130**

RECEIVABLES PLEDGED AS COLLATERAL

At 31 December 2015, Crédit Agricole S.A. deposited €72.3 billion of receivables (mainly on behalf of the Regional Banks) for refinancing transactions to the Banque de France, compared to €74.8 billion at 31 December 2014, and €16.8 billion of receivables were deposited directly by subsidiaries.

At 31 December 2015, Crédit Agricole S.A. deposited €17.1 billion of receivables for refinancing transactions to the Caisse de Refinancement de l'Habitat on behalf of the Regional Banks, down from €19.7 billion at 31 December 2014, and €6.1 billion of receivables were deposited directly by LCL.

At 31 December 2015, €3.8 billion of Regional Banks and €1.4 billion of Crédit Agricole CIB receivables had been pledged as collateral for the covered bond issues of European Secured Notes Issuer (ESNI), a French securitisation company formed by five banks including Crédit Agricole Group.

At 31 December 2015, €30.5 billion of Regional Banks and LCL receivables had been pledged as collateral for the covered bond issued of Crédit Agricole Home Loan SFH, a financial company wholly owned by Crédit Agricole S.A.

These processes, for which there is no transfer of contractual cash flows, do not form part of the asset transfers mentioned in Note 6.7 "Transferred assets not derecognised or derecognised with on-going involvement".

GUARANTEES HELD

Guarantees held and assets received as collateral by Crédit Agricole Group which it is allowed to sell or to use as collateral are mostly within Crédit Agricole S.A. for €90.7 billion and within Crédit Agricole CIB for €111.5 billion. The majority of these are receivables pledged as collateral by the Regional Banks to Crédit Agricole S.A., the latter acting as the centralising body with regard to the external refinancing organisations, in order to obtain refinancing.

The majority of these guarantees consist of mortgage liens, collateral or guarantees received, regardless of the quality of the assets guaranteed. They are mainly related to repurchase agreements and securities pledged to guarantee brokerage transactions.

Crédit Agricole Group policy is to sell seized collateral as soon as possible. Crédit Agricole CIB and Crédit Agricole S.A. had no such assets at 31 December 2015.

NOTE 9 Reclassification of financial instruments

PRINCIPLES APPLIED BY CRÉDIT AGRICOLE GROUP

Reclassifications outside the categories "Financial assets held-for-trading" and "Available-for-sale financial assets" were decided and performed in accordance with IAS 39 amended, adopted by the European Union on 15 October 2008. They were entered in the new accounting category at fair value on the reclassification date.

RECLASSIFICATIONS PERFORMED BY CRÉDIT AGRICOLE GROUP

Pursuant to the amendment to IAS 39 as published and adopted by the European Union on 15 October 2008, reclassifications were carried out as authorised by this amendment. Information on these and previous reclassifications is shown below.

Nature, justification and amount of reclassifications

In 2015, the Group implemented reclassifications from "Financial assets at fair value through profit or loss" to "Loans and receivables".

Reclassifications in prior years concern reclassifications from "Available-for-sale financial assets" and "Financial assets at fair value through profit and loss" to "Loans and receivables".

For assets reclassified during 2015, the table below shows their value on the reclassification date, as well as the value, at 31 December 2015, of assets reclassified before this date and still included in the Group's assets at that date.

	Total reclassified assets		Assets reclassified in 2015			Assets reclassified before			
(in millions of euros)	Carrying amount 31/12/2015	Estimated market value at 31/12/2015	Reclassification value	Carrying amount 31/12/2015	Estimated market value 31/12/2015	Carrying amount 31/12/2015	Estimated market value 31/12/2015	Carrying amount 31/12/2014 Restated	Estimated market value 31/12/2014 Restated
Financial assets at fair value through profit or loss reclassified as loans and receivables	806	795	22	21	20	785	775	1,572	1,533
Available-for-sale financial assets reclassified as loans and receivables	359	359	-	-	-	359	359	396	396
TOTAL RECLASSIFIED ASSETS	**1,165**	**1,154**	**22**	**21**	**20**	**1,144**	**1,134**	**1,968**	**1,929**

CHANGE IN FAIR VALUE OF RECLASSIFIED ASSETS RECOGNISED IN PROFIT OR LOSS

The table below gives the change in fair value of assets recognised in profit or loss reclassified in 2015

(in millions of euros)	In 2015, as of reclassification date	In 2014 Restated
Financial assets at fair value through profit or loss reclassified as loans and receivables	-	-
Available-for-sale financial assets reclassified as loans and receivables	-	2
TOTAL RECLASSIFIED ASSETS	**-**	**2**

CONTRIBUTION OF RECLASSIFIED ASSETS TO NET INCOME SINCE THE RECLASSIFICATION DATE

The contribution of the reclassified assets since the date of reclassification to net income for the year includes all gains, losses, income and expenses recognised in profit or loss or in other comprehensive income.

Analysis of the impact of the transferred assets:

	Reclassified assets in 2015		Assets reclassified before					
	Impact at 31/12/2015		Cumulative impact at 31/12/2014 Restated		Impact in 2015		Cumulative impact at 31/12/2015	
(in millions of euros)	*Actual income and expenses recognised*	*If asset had been retained in its former category (change in fair value)*	*Actual income and expenses recognised*	*If asset had been retained in its former category (change in fair value)*	*Actual income and expenses recognised*	*If asset had been retained in its former category (change in fair value)*	*Actual income and expenses recognised*	*If asset had been retained in its former category (change in fair value)*
Financial assets at fair value through profit or loss reclassified as loans and receivables	-	-	(46)	(127)	7	8	(39)	(119)
Available-for-sale financial assets reclassified as loans and receivables	-	-	10	10	10	10	20	20
TOTAL RECLASSIFIED ASSETS	**-**	**-**	**(36)**	**(117)**	**17**	**18**	**(19)**	**(99)**

NOTE 10 Fair value of financial instruments

Fair value is the price that would be received at the sale of an asset or paid to transfer a liability in a standard transaction between market participants at the measurement date.

Fair value is defined on the basis of an exit price.

The fair values shown below are estimates made on the reporting date using observable market data wherever possible. These are subject to change in subsequent periods due to developments in market conditions or other factors.

The calculations represent best estimates. They are based on a number of assumptions. It is assumed that market participants act in their best economic interest. To the extent that these models contain uncertainties, the fair values shown may not be achieved upon actual sale or immediate settlement of the financial instruments concerned.

The fair value hierarchy of financial assets and liabilities is broken down according to the general observability criteria of the valuation inputs, pursuant to the principles defined under IFRS 13.

Level 1 applies to the fair value of financial assets and liabilities quoted in active markets.

Level 2 applies to the fair value of financial assets and liabilities with observable inputs. This agreement includes market data relating to interest rate risk or credit risk when the latter can be revalued based on Credit Default Swap (CDS) spread. Securities bought or sold under repurchase agreements with underlyings quoted in an active market are also included in Level 2 of the hierarchy, as are financial assets and liabilities with a demand component for which fair value is measured at unadjusted amortised cost.

Level 3 indicates the fair value of financial assets and liabilities with unobservable inputs or for which some data can be revalued using internal models based on historical data. This mainly includes market data relating to credit risk or early redemption risk.

In some cases, market values are close to carrying amounts. This applies primarily to:

- assets or liabilities at variable rates for which interest rate changes do not have a significant influence on the fair value, since the rates on these instruments frequently adjust themselves to the market rates;
- short-term assets or liabilities where the redemption value is considered to be close to the market value;
- demand liabilities;
- transactions for which there are no reliable observable data.

10.1 Fair value of financial assets and liabilities measured at cost

Amounts presented below include accruals and prepayments and are net of impairment.

FINANCIAL ASSETS RECOGNISED AT COST AND MEASURED AT FAIR VALUE ON THE BALANCE SHEET

(in millions of euros)	Value at 31/12/2015	Estimated fair value at 31/12/ 2015	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Financial assets not measured at fair value on balance sheet					
Loans and receivables	**829,819**	**864,082**	**1**	**290,173**	**573,908**
Loans and receivables due from credit institutions	**89,433**	**90,388**	**1**	**89,522**	**865**
Current accounts and overnight loans	12,012	12,411	-	12,374	37
Accounts and term deposits	47,877	48,433	-	48,095	338
Pledged securities	38	37	-	-	37
Securities bought under repurchase agreements	19,466	19,466	-	19,466	-
Subordinated loans	439	440	1	95	344
Securities not listed on an active market	9,597	9,597	-	9,488	109
Other loans and receivables	4	4	-	4	-
Loans and receivables due from customers	**740,386**	**773,694**	**-**	**200,651**	**573,043**
Trade receivables	36,638	37,506	-	18,245	19,261
Other customer loans	668,540	699,655	-	161,924	537,731
Securities bought under repurchase agreements	4,602	4,602	-	4,449	153
Subordinated loans	142	142	-	17	125
Securities not listed on an active market	12,869	12,871	-	223	12,648
Insurance receivables	911	911	-	47	864
Reinsurance receivables	349	349	-	-	349
Advances in associates current accounts	950	1,006	-	678	328
Current accounts in debit	15,385	16,652	-	15,068	1,584
Held-to-maturity financial assets	**30,629**	**34,113**	**34,063**	**50**	**-**
Treasury bills and similar securities	19,974	22,300	22,275	25	-
Bonds and other fixed-income securities	10,655	11,813	11,788	25	-
TOTAL FINANCIAL ASSETS OF WHICH FAIR VALUE IS DISCLOSED	**860,448**	**898,195**	**34,064**	**290,223**	**573,908**

(in millions of euros)	Value at 31/12/2014 Restated	Estimated fair value at 31/12/2014 Restated	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level	Valuation based on unobservable data: Level 3
Financial assets not measured at fair value on balance sheet					
Loans and receivables	**795,169**	**834,482**	**-**	**280,990**	**553,492**
Loans and receivables due from credit institutions	**100,038**	**103,698**	**-**	**102,000**	**1,698**
Current accounts and overnight loans	9,954	9,954	-	9,951	3
Accounts and term deposits	46,767	49,998	-	49,739	259
Pledged securities	57	58	-	-	58
Securities bought under repurchase agreements	32,320	32,345	-	32,345	-
Subordinated loans	449	865	-	563	302
Securities not listed on an active market	10,488	10,475	-	9,399	1,076
Other loans and receivables	3	3	-	3	-
Loans and receivables due from customers	**695,131**	**730,784**	**-**	**178,990**	**551,794**
Trade receivables	21,806	21,906	-	4,870	17,036
Other customer loans	641,104	676,514	-	154,988	521,526
Securities bought under repurchase agreements	2,392	2,385	-	2,368	17
Subordinated loans	138	137	-	18	119
Securities not listed on an active market	11,791	11,902	-	207	11,695
Insurance receivables	703	698	-	112	586
Reinsurance receivables	304	313	-	11	302
Advances in associates current accounts	971	1,007	-	611	396
Current accounts in debit	15,922	15,922	-	15,805	117
Held-to-maturity financial assets	**29,583**	**33,553**	**33,198**	**355**	**-**
Treasury bills and similar securities	19,173	21,695	21,398	297	-
Bonds and other fixed-income securities	10,410	11,858	11,800	58	-
TOTAL FINANCIAL ASSETS OF WHICH FAIR VALUE IS DISCLOSED	**824,752**	**868,035**	**33,198**	**281,345**	**553,492**

FINANCIAL LIABILITIES RECOGNISED AT COST AND MEASURED AT FAIR VALUE ON THE BALANCE SHEET

(in millions of euros)	Value at 31/12/2015	Estimated fair value at 31/12/2015	Quoted prices in active markets for identical Instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Financial liabilities not measured at fair value on balance sheet					
Due to credit institutions	**92,909**	**93,280**	**-**	**92,430**	**850**
Current accounts and overnight loans	9,279	9,277	-	9,277	-
Accounts and term deposits	53,461	53,819	-	52,969	850
Pledged securities	105	105	-	105	-
Securities sold under repurchase agreements	30,064	30,079	-	30,079	-
Due to customers	**663,135**	**663,546**	**-**	**331,529**	**332,017**
Current accounts in credit	247,821	248,100	-	247,612	488
Special savings accounts	254,943	254,943	-	3,039	251,904
Other amounts due to customers	154,341	154,475	-	77,021	77,454
Securities sold under repurchase agreements	3,945	3,943	-	3,844	99
Insurance liabilities	1,063	1,063	-	13	1,050
Reinsurance liabilities	266	266	-	-	266
Cash deposits received from *cédants* and *rétrocessionaires* against technical insurance commitments	756	756	-	-	756
Debt securities	**167,810**	**189,291**	**32,597**	**155,157**	**1,537**
Subordinated debt	**29,006**	**30,246**	**25,210**	**2,428**	**2,608**
TOTAL FINANCIAL LIABILITIES OF WHICH FAIR VALUE IS DISCLOSED	**952,860**	**976,363**	**57,807**	**581,544**	**337,012**

(in millions of euros)	Value at 31/12/2014 Restated	Estimated fair value at 31/12/2014 Restated	Quoted prices in active markets for identical Instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Financial liabilities not measured at fair value on balance sheet					
Due to credit institutions	**98,434**	**108,345**	**-**	**107,576**	**769**
Current accounts and overnight loans	13,962	14,322	-	14,319	3
Accounts and term deposits	48,867	58,428	-	57,662	766
Pledged securities	-	-	-	-	-
Securities sold under repurchase agreements	35,605	35,595	-	35,595	-
Due to customers	**622,686**	**621,326**	**-**	**515,977**	**105,349**
Current accounts in credit	215,440	215,527	-	215,224	303
Special savings accounts	246,446	246,441	-	205,753	40,688
Other amounts due to customers	149,215	147,854	-	85,259	62,595
Securities sold under repurchase agreements	9,714	9,716	-	9,716	-
Insurance liabilities	847	752	-	7	745
Reinsurance liabilities	345	357	-	18	339
Cash deposits received from *cédants* and *rétrocessionaires* against technical insurance commitments	679	679	-	-	679
Debt securities	**185,504**	**187,642**	**43,496**	**143,935**	**211**
Subordinated debt	**25,487**	**25,321**	**22,933**	**2,388**	**-**
TOTAL FINANCIAL LIABILITIES OF WHICH FAIR VALUE IS DISCLOSED	**932,111**	**942,634**	**66,429**	**769,876**	**106,329**

10.2 Information about financial instruments measured at fair value

VALUATION METHODS

Financial instruments are valued by management information systems and checked by a team that reports to the Risk Management department and is independent from the market operators.

Valuations are based on the following:

- prices or inputs obtained from independent sources and/or validated by the Market Risk department using a series of available sources such as pricing service vendors, market consensus data and brokers;
- models validated by the Market Risk department's quantitative teams.

The valuation produced for each instrument is a mid-market valuation, which does not take account of the direction of the trade, the bank's aggregate exposure, market liquidity or counterparty quality. Adjustments are then made to the market valuations to incorporate those factors, as well as the potential uncertainties inherent in the models or inputs used.

The main types of valuation adjustments are the following:

- **Mark-to-market adjustments:** these adjustments correct any potential variance between the mid-market valuation of an instrument obtained using internal valuation models and the associated inputs and the valuation obtained from external sources or market consensus data. These adjustments can be positive or negative.
- **Bid/ask reserves:** these adjustments incorporate the bid/ask spread for a given instrument in order to reflect the price at which the position could be reversed. These adjustments are always negative.
- **Uncertainty reserves:** these adjustments constitute a risk premium taken into account by potential acquirers. These adjustments are always negative:
  - input uncertainty reserves seek to incorporate any uncertainty that might exist as regards one or more of the inputs used,
  - model uncertainty reserves seek to incorporate any uncertainty that might exist due to the choice of model used.

Furthermore, Crédit Agricole Group. makes a Credit Valuation Adjustment (CVA) to its derivative assets to reflect counterparty risk and a Debit Valuation Adjustment or own credit risk (DVA) to its derivative liabilities to reflect the risk of non-execution.

The CVA factors in the credit risk are associated with the counterparty (risk of non-payment of sums due in the event of default). It is calculated on an aggregate basis by counterparty according to the future exposure profile of the transactions after deducting any collateral. This adjustment is always negative and is deducted from the fair value of the financial assets.

The DVA factors in the risk are carried by our counterparties. It is calculated on an aggregate basis by counterparty according to the future exposure profile of the transactions. This adjustment is always positive and is deducted from the fair value of the financial liabilities.

The CVA/DVA is calculated on the basis of an estimate of expected losses based on the probability of default and loss given default. The methodology used maximises the use of observable market inputs. The probability of default is calculated first and foremost directly using quoted CDSs, or CDS proxys, when they are considered to be sufficiently liquid.

Funding Valuation Adjustment (FVA)

The value of non-collateralised derivative instruments incorporates a FVA related to the financing of these instruments.

BREAKDOWN OF FINANCIAL INSTRUMENTS AT FAIR VALUE BY VALUATION MODEL

FINANCIAL ASSETS MEASURED AT FAIR VALUE

(in millions of euros)	31/12/2015	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Financial assets held for trading	**258,686**	**26,594**	**228,917**	**3,175**
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	526	-	-	526
Securities bought under repurchase agreements	81,194	-	81,194	-
Pledged securities	-	-	-	-
Securities held for trading	25,445	23,693	1,478	274
Treasury bills and similar securities	*16,012*	*15,810*	*202*	-
Bonds and other fixed-income securities	*6,026*	*4,478*	*1,274*	*274*
Equities and other variable income securities	*3,407*	*3,405*	*2*	-
Derivative instruments	151,521	2,901	146,245	2,375
Financial assets designated at fair value through profit or loss	**85,782**	**58,172**	**23,368**	**4,242**
Loans and receivables due from credit institutions	645	-	645	-
Loans and receivables due from customers	-	-	-	-
Assets backing unit-linked contracts	38,911	23,392	15,501	18
Pledged securities	-	-	-	-
Securities designated at fair value through profit or loss	46,226	34,780	7,222	4,224
Treasury bills and similar securities	*3,631*	*3,631*	-	-
Bonds and other fixed-income securities	*25,067*	*21,738*	*3,148*	*181*
Equities and other variable income securities	*17,528*	*9,411*	*4,074*	*4,043*
Available-for-sale financial assets	**322,872**	**277,411**	**42,986**	**2,475**
Treasury bills and similar securities	77,923	77,272	651	-
Bonds and other fixed-income securities	213,463	179,678	33,656	129
Equities and other variable income securities	31,486	20,461	8,679	2,346[(1)]
Available-for-sale receivables	-	-	-	-
Hedging derivative instruments	**27,167**	**10**	**27,140**	**17**
TOTAL FINANCIAL ASSETS MEASURED AT FAIR VALUE	**694,507**	**362,187**	**322,411**	**9,909**
Transfers from level 1: Quoted prices in active markets for identical instruments			1,115	109
Transfers from level 2: Valuation based on observable data		1,740		61
Transfers from level 3: Valuation based on unobservable data		17	452	
TOTAL TRANSFERS TO EACH LEVEL		**1,757**	**1,567**	**170**

(1) Of which unrealised capital gains amounting to €245 million (including -€13 million of deferred tax) on Visa Europe securities. In view of Visa international's planned acquisition of Visa Europe, the Visa Europe securities (unlisted) have been revalued on the basis of estimates provided by Visa International. The fair value of these Level 3 securities has been determined by applying a discount of 25% to the estimated selling price (to be paid in cash and preference shares) in order to take the following unknown elements into account:

- *the definitive completion of the transaction subject to approval from the European authorities;*
- *the liquidity of the preference shares;*
- *the allocation of the selling price between the participants;*
- *potential litigation relating to Visa Europe's business.*

This valuation does not take into account the earnout clause payable at the end of a period of four years and for which the payment terms are still unclear. This operation is expected to take place during the second quarter of 2016.

Level 1 to Level 3 transfers involve bonds

Level 2 to Level 3 transfers mainly involve interest rate derivatives.

Level 3 to Level 1 transfers mainly involve Available-for-sale securities and bonds.

Level 3 to Level 2 transfers mainly involve interest rate derivatives.

(in millions of euros)	31/12/2014 Restated	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Financial assets held for trading	**313,938**	**49,922**	**260,058**	**3,958**
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	261	-	-	261
Securities bought under repurchase agreements	84,694	-	84,694	-
Pledged securities	-	-	-	-
Securities held for trading	49,090	47,961	480	649
Treasury bills and similar securities	*35,126*	*34,907*	*219*	-
Bonds and other fixed-income securities	*8,794*	*7,887*	*258*	*649*
Equities and other variable income securities	*5,170*	*5,167*	*3*	-
Derivative instruments	179,893	1,961	174,884	3,048
Financial assets designated at fair value through profit or loss	**89,519**	**58,431**	**27,007**	**4,081**
Loans and receivables due from credit institutions	1,613	-	1,613	-
Loans and receivables due from customers	199	-	-	199
Assets backing unit-linked contracts	36,592	19,237	17,320	35
Pledged securities	-	-	-	-
Securities designated at fair value through profit or loss	51,115	39,194	8,074	3,847
Treasury bills and similar securities	*13,976*	*13,976*	-	-
Bonds and other fixed-income securities	*23,203*	*19,482*	*3,595*	*126*
Equities and other variable income securities	*13,936*	*5,736*	*4,479*	*3,721*
Available-for-sale financial assets	**307,591**	**262,026**	**43,015**	**2,550**
Treasury bills and similar securities	71,816	71,483	333	-
Bonds and other fixed-income securities	204,561	169,667	34,636	258
Equities and other variable income securities	31,214	20,876	8,046	2,292
Available-for-sale receivables	-	-	-	-
Hedging derivative instruments	33,146	47	32,988	111
TOTAL FINANCIAL ASSETS MEASURED AT FAIR VALUE	**744,194**	**370,426**	**363,068**	**10,700**

Transfers from level 1: Quoted prices in active markets for identical instruments			6,294	32
Transfers from level 2: Valuation based on observable data		1,541		864
Transfers from level 3: Valuation based on unobservable data		1	569	
TOTAL TRANSFERS TO EACH LEVEL		**1,542**	**6,863**	**896**

Level 1 to Level 2 transfers mainly involve bonds whose characteristics meet the criteria specified for Level 2.

Level 2 to Level 1 transfers mainly involve shares.

2

FINANCIAL LIABILITIES MEASURED AT FAIR VALUE

(in millions of euros)	31/12/2015	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Financial liabilities held for trading	**218,157**	**25,654**	**189,290**	**3,213**
Securities sold short	22,097	22,096	-	1
Securities sold under repurchase agreements	46,614	390	46,224	-
Debt securities	3	3	-	-
Due to credit institutions	-	-	-	-
Due to customers	-	-	-	-
Derivative instruments	149,443	3,165	143,066	3,212
Financial liabilities designated at fair value through profit or loss	**32,036**	**8,762**	**16,452**	**6,822**
Hedging derivative instruments	**29,787**	**2**	**29,382**	**403**
TOTAL FINANCIAL LIABILITIES MEASURED AT FAIR VALUE	**279,980**	**34,418**	**235,124**	**10,438**

Transfers from level 1: Quoted prices in active markets for identical instruments			-	-
Transfers from level 2: Valuation based on observable data		46		176
Transfers from level 3: Valuation based on unobservable data		-	306	
TOTAL TRANSFERS TO EACH LEVEL		**46**	**306**	**176**

Level 2 to Level 3 transfers mainly involve interest rate derivatives and marketable debt instruments designated as at fair value through profit or loss.

Level 3 to Level 2 mainly involve interest rate derivatives and marketable debt instrument designated as at fair value through profit or loss.

(in millions of euros)	31/12/2014 Restated	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Financial liabilities held for trading	**287,495**	**37,427**	**246,126**	**3,942**
Securities sold short	34,876	34,829	46	1
Securities sold under repurchase agreements	74,442	389	74,049	4
Debt securities	-	-	-	-
Due to credit institutions	-	-	-	-
Due to customers	-	-	-	-
Derivative instruments	178,177	2,209	172,031	3,937
Financial liabilities designated at fair value through profit or loss	**31,428**	**5,165**	**19,689**	**6,574**
Hedging derivative instruments	**32,941**	**-**	**32,558**	**383**
TOTAL FINANCIAL LIABILITIES MEASURED AT FAIR VALUE	**351,864**	**42,592**	**298,373**	**10,899**

Transfers from level 1: Quoted prices in active markets for identical instruments			46	-
Transfers from level 2: Valuation based on observable data		175		1,367
Transfers from level 3: Valuation based on unobservable data		-	507	
TOTAL TRANSFERS TO EACH LEVEL		**175**	**553**	**1,367**

Level 2 to Level 3 transfers mainly involve interest rate derivatives and liabilities designated as at fair value through profit or loss with a Level 3 embedded derivative.

Financial instruments classified in Level 1

Level 1 comprises all derivatives quoted in an active market (options, futures, etc.), regardless of their underlying (interest rate, exchange rate, precious metals, key stock indices), as well as equities and bonds quoted in an active market.

A market is considered as being active if quoted prices are readily and regularly available from exchange, brokers, dealers, pricing services or regulatory agencies, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

Corporate, government and agency bonds that are valued on the basis of prices obtained from independent sources, deemed to be enforceable and updated regularly are classified in Level 1. This covers the bulk of Sovereign and Agency and corporate bonds held. Issuers whose bonds are not quoted are classified in Level 3.

Financial instruments classified in Level 2

The main financial instruments classified in Level 2 are:

- Liabilities designated at fair value

  Financial liabilities designated at fair value are classified in Level 2 when their embedded derivative is deemed to be classified in Level 2;

- Over-the-counter derivatives

  The main OTC derivatives classified in Level 2 are those valued using inputs considered to be observable and where the valuation technique does not generate any significant exposure to a model risk.

Level 2 therefore mainly includes:

- linear derivative products such as interest rate swaps, currency swaps and forward FX. They are valued using simple models widely used in the market, based either on directly observable inputs (foreign exchange rates, interest rates), or inputs derived from observable market prices (currency swaps);
- non-linear vanilla instruments such as caps, floors, swaptions, currency options, equity options and credit default swaps, including digital options. They are valued using simple models widely used in the market, based either on directly observable inputs (foreign exchange rates, interest rates, share prices) or inputs that can be derived from observable market prices (volatilities);
- simple exotic single-underlying instruments such as cancellable swaps, currency baskets of major currencies. They are valued using models that are sometimes slightly more complex but still widely used in the market. The inputs are mainly observable inputs and market prices, obtained notably from brokers and/or market consensus data, which can be used to corroborate internal valuations;
- securities listed on a market deemed inactive and for which independent valuation data are available.

Financial instruments classified in Level 3

Financial instruments classified in Level 3 are those which do not meet the conditions for classification in Level 1 or 2. They are therefore mainly financial instruments with a high model risk whose valuation requires substantial use of unobservable inputs.

The initial margin on all new transactions classified in Level 3 is reserved at the date of initial recognition. It is reintegrated in the profit or loss account either spread over the period during which the inputs are considered to be unobservable or in full on the date when the inputs become observable.

Level 3 therefore mainly comprises:

- Securities

  Level 3 securities mainly include:

  - unlisted shares or bonds for which no independent valuation is available;
  - ABSs and CLOs for which there are indicative independent quotes but which are not necessarily executable;
  - ABSs, CLOs and super senior and mezzanine CDO tranches where it cannot be demonstrated that the market is active.

- Liabilities designated at fair value

  Financial liabilities designated at fair value are classified in Level 3 when their embedded derivative is deemed to be classified in Level 3;

- Over-the-counter derivatives

  Products that are not observable due to the underlying: some products, which are mostly classified in Level 2, may be considered to fall within Level 3 due to their underlying currency or maturity. An observability table defines the maximum maturity considered to be observable for each instrument/currency pair. Observability is a function of the input's liquidity and the availability of observable sources enabling its valuation.

Level 3 mainly comprises:

- interest rate exposures or very long-dated currency swaps;
- equity exposures, mainly through products traded on shallow option markets or indexed to volatility and long-dated forward or futures contracts;
- exposures to non-linear long-dated products (interest rate or currency) on key currencies/indices. It also includes vanilla options and simple exotic derivatives such as cancellable swaps;
- non-linear exposures to emerging market currencies.

Complex derivatives: complex derivatives are classified in Level 3 as their valuation requires the use of unobservable inputs. The main exposures involved are:

- products whose underlying is the difference between two interest rates, such as options, binary options or exotic products. These products are based on a correlation between the two rates, which is considered to be unobservable due to reduced liquidity. The valuation of these exposures is nonetheless adjusted at the month-end on the basis of correlation levels derived from market consensus data;
- products whose underlying is the forward volatility of an index (Euribor, CMS spread). These products are deemed unobservable as there is significant model risk and their thin liquidity prevents regular accurate estimates of inputs;

- securitisation swaps generating an exposure to the prepayment rate. The prepayment rate is determined on the basis of historical data on similar portfolios. The assumptions and inputs used are checked regularly on the basis of actual prepayments;
- hybrid long-term interest rate/FX products, such as Power Reverse Dual Currency notes, which mainly involve the USD/JPY currency pair or products whose underlying is a basket of currencies. The correlation parameters between interest rates and currencies as well as between the two interest rates are determined using an internal methodology based on historical data. Results are cross-checked against market consensus data to ensure that the overall method is coherent;
- multiple-underlying products generating an exposure to correlations, regardless of the underlyings concerned (interest rates, credit, FX, inflation). This category includes cross-asset products such as dual range, emerging market currency baskets and Credit Default Baskets. Correlations are determined conservatively as a function of the bank's aggregate exposure, based on historical data. If the diversity of correlations is high, exposures to each one remain measured;
- equity correlation and hybrid equity products, whose payoff depends on the relative performance of shares or indices in a basket (a basket which may sometimes include not just equities but other instruments such as indices or commodities). Measurements of these products are sensitive to the correlation between the basket components and may be classed as Level 3 depending on their maturity, hybrid nature and the composition of the underlying basket;
- interest rate derivatives whose coupon is indexed to forward volatility (Vol bonds);
- CDOs based on corporate credit baskets. The valuation model for these products uses both observable inputs (CDS prices) and unobservable inputs (default correlations). For the least liquid Senior tranches, Crédit Agricole CIB has introduced valuation inputs that are tailored to its assessment of the intrinsic risk of its exposures. Market risk of the CDO derivatives book was sold to a fund managed by Blue Mountain Capital in 2012;
- market risk on complex equity derivative portfolios was transferred to an external counterparty on 31 December 2013.

For most of these products, the table below shows the valuation techniques and the main unobservable inputs with their value interval. This analysis has been carried out on Corporate and investment banking's derivative instruments.

AT 31 DECEMBER 2015

Instrument classes	Carrying amount *(in millions of euros)*		Main product types comprising Level 3	Valuation technique used	Main unobservable inputs	Unobservable data interval
	Assets	Liabilities				
Interest rate derivatives	2,200	3,181	Long-dated cancellable products (cancellable swaps, cancellable zero coupon swaps)	Interest rate options valuation model	Forward volatility	
			Options on interest rate differentials		CMS correlations	0%/100%
			Securitisation swaps	Prepayment modelling and discounted future cash flows	Prepayment rate	0%/50%
			Long-dated hybrid interest rate/exchange rate products (PRDC)	Interest rate/FX hybrid product valuation model	Interest rate/interest rate correlation	50%/80%
					Interest rate/FX correlation	-50%/50%
			Multiple-underlying products (dual range, etc)	Valuation models for instruments with multiple underlyings	FX/equity correlation	-50%/75%
					FX/FX correlation	-20%/50%
					Interest rate/equity correlation	-25%/75%
					Interest rate/interest rate correlation	-10%/100%
					Interest rate/FX correlation	-75%/75%
Credit derivatives	246	165	CDOs indexed to corporate credit baskets	Correlation projection techniques and expected cash flow modelling	Default correlations	50%/90%

NET CHANGE IN FINANCIAL INSTRUMENTS MEASURED AT FAIR VALUE ACCORDING TO LEVEL 3

FINANCIAL ASSETS MEASURED AT FAIR VALUE ACCORDING TO LEVEL 3

		Financial assets held for trading				
			Securities held for trading			
(in millions of euros)	Total	Loans and receivables due from customers	*Bonds and other fixed-income securities*	*Equities and other variable income securities*	***Securities held for trading***	Derivative instruments
Opening balance (01/01/2015 Restated)	**10,700**	**261**	**649**	**-**	**649**	**3,048**
Gains or losses during the period	363	377	(31)	-	(31)	(337)
Recognised in profit and loss	**23**	358	(31)	-	(31)	(339)
Recognised in other comprehensive income	**340**	19	-	-	-	2
Purchases	2,089	65	3	-	3	321
Sales	(2,427)	(177)	(451)	-	(451)	(271)
Issues	-	-	-	-	-	-
Settlements	(299)	-	(1)	-	(1)	(291)
Reclassifications	-	-	-	-	-	-
Changes associated with scope during the period	(218)	-	-	-	-	(1)
Transfers	(299)	-	105	-	105	(94)
Transfers to Level 3	**170**	-	109	-	109	55
Transfers from Level 3	**(469)**	-	(4)	-	(4)	(149)
CLOSING BALANCE (31/12/2015)	**9,909**	**526**	**274**	**-**	**274**	**2,375**

Financial assets designated at fair value through profit or loss					Available-for-sale financial assets			
		Securities designated as at fair value through profit or loss						
Assets backing unit-linked contracts	Loans and receivables due from customers	*Bonds and other fixed-income securities*	*Equities and other variable income securities*	***Securities designated at fair value through profit or loss***	Treasury bills and similar securities	Bonds and other fixed-income securities	Equities and other variable income securities	**Hedging derivative instruments**
35	199	126	3,721	3,847	-	258	2,292	111
-	-	(12)	247	235	-	(179)	289	9
-	-	(12)	247	235	-	(177)	(23)	-
-	-	-	-	-	-	(2)	312	9
-	5	67	828	895	-	141	659	-
(17)	(204)	-	(753)	(753)	-	(17)	(537)	-
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	(7)	-
-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	(217)	-
-	-	-	-	-	-	(74)	(133)	(103)
-	-	-	-	-	-	1	5	-
-	-	-	-	-	-	(75)	(138)	(103)
18	**-**	**181**	**4,043**	**4,224**	**-**	**129**	**2,346**	**17**

FINANCIAL LIABILITIES MEASURED AT FAIR VALUE ACCORDING TO LEVEL 3

(in millions of euros)	Total	Financial liabilities held for trading			Financial liabilities designated at fair value through profit or loss	Hedging derivative instruments
		Securities sold short	Securities sold under repurchase agreements	Derivative instruments		
Opening balance (01/01/2015 Restated)	**10,899**	**1**	**4**	**3,937**	**6,574**	**383**
Gains or losses during the period	(647)	-	-	(158)	(501)	12
Recognised in profit and loss	*(650)*	-	-	*(159)*	*(501)*	*10*
Recognised in other comprehensive income	*3*	-	-	*1*	-	*2*
Purchases	228	-	-	221	-	7
Sales	(268)	-	-	(261)	-	(7)
Issues	2,728	-	-	-	2,663	65
Settlements	(2,371)	-	-	(422)	(1,904)	(45)
Reclassifications	(1)	-	-	-	(1)	-
Changes associated with scope during the period	-	-	-	-	-	-
Transfers	(130)	-	(4)	(105)	(9)	(12)
Transfers to Level 3	*176*	-	-	*29*	*138*	*9*
Transfers out of Level 3	*(306)*	-	*(4)*	*(134)*	*(147)*	*(21)*
CLOSING BALANCE (31/12/2015)	**10,438**	**1**	**-**	**3,212**	**6,822**	**403**

The net change in the fair value of assets and liabilities measured at fair value in accordance with Level 3 amounted to -€330 million at 31 December 2015 and comprises notably the following:

- a change in gains and losses during the period of +€1,010 million;
- net purchases of -€298 million;
- net issues of -€2,728 million;
- net unwinding of +€2,072 million;
- net transfers of financial instruments for -€169 million mainly due to -€207 million in available-for-sale securities, -€94 million in derivatives held for trading, -€91 million in hedging derivative instruments and +€214 million in securities recognised as held-for-trading;
- changes associated with scope during the period for -€218 million.

The fair value amount (and variation) on these products alone is not however representative. Indeed, these products are largely hedged by others, simpler and individually valued, using data considered as observable. The valuations (and variations) of these hedging products, largely symmetrical with those of products valued on the basis of data considered as unobservable, do not appear in the table above.

SENSITIVITY ANALYSIS FOR FINANCIAL INSTRUMENTS MEASURED USING THE LEVEL 3 VALUATION MODEL

The use of unobservable inputs introduces uncertainty, which we have assessed below using a sensitivity calculation on instruments valued using these inputs. This analysis has been carried out on CIB's derivative instruments.

As regards interest rate derivatives, two key inputs are considered to be unobservable and require products valued on this basis to be classified in Level 3: correlation and prepayment rates (i.e. early redemption).

Correlation

Many products are sensitive to a correlation input. However, this input is not unique and there are many different types of correlation including:

- forward correlation between two successive indices in the same currency: *e.g.* 2-year CMS/10-year CMS;
- interest rate/interest rate correlation (different indices): e.g. Libor 3M USD/Libor 3M EUR;
- interest rate/FX correlation (or Quanto): e.g. USD/JPY – USD;
- equity/equity correlation;
- equity/FX correlation;
- equity/interest rate correlation;
- FX/FX correlation.

Exposure to correlations from discontinuing activities, traditionally the biggest contributors, has declined sharply due to deleveraging and changing market conditions. As a result, the biggest source of correlation exposure is now cross asset business.

Prepayment rate

The prepayment rate is the rate of early repayment on securitisation portfolios, whether voluntary or involuntary (default). As the nominal amount of securitisation swaps is adjusted automatically to the nominal amount of the underlying portfolio, with no mark-to-market payment, the prepayment rate plays a significant part in their valuation.

However, although this input is not observable, the valuation model used is extremely conservative. The valuation used is defined as the lower of the valuation obtained using the fastest prepayment rate and that obtained using a slower than expected prepayment rate. A "normal" variation in the prepayment rate will therefore have no material impact on the valuation.

The results presented below have been obtained by applying the following shocks:

- correlations between successive indices in the same currency (i.e. CMS correlations): 3%;
- cross-asset correlations (*e.g.* Equity/FX or IR/Equity) and between two interest-rate curves in different currencies: 5%.

The result of the stress test is obtained by adding up the absolute values obtained. For each correlation type, we took the absolute values by currency and by book, therefore assuming that the correlations were not correlated among themselves. For the CMS correlations, we considered the various underlyings independently (e.g. 1y10y, 2y10y).

At 31 December 2015, sensitivity to the inputs used in the interest rate derivative models was therefore +/-€6.7 million, down slightly on 31 December 2014 (+/-€7.1 million) and at a comparable level to 30 June 2015 (+/-€6.6 million). No significant change was observed on any of the sub-scopes.

The main contributors are now:

- Cross: Asset: €3.3 million (€4 million at 31 December 2014);
- Long-term FX: €0.8 million (vs. €0.9 million);
- Legacy Rates: €0.6 million (vs. €0.9 million);
- Structured USD: €1.4 million (vs. €0.8 million).

Contributions from other scopes are immaterial.

The scope other than interest rate derivatives concerns securitisations such as RMBSs, CLOs and mezzanine CDO tranches: the extent of the uncertainty is taken into account through an impact of 1 bp on credit spreads.

At 31 December 2015, sensitivity to inputs used to value these products was virtually nil.

10.3 Estimated impact of inclusion of the margin at inception

The deferred margin is the portion of the margin that is not booked upon initial recognition. It comprises the difference between the transaction price paid or received for a financial instrument upon initial recognition and its fair value on that date.

It concerns Level 3 financial instruments for which fair value is determined on the basis of complex valuation models using unobservable inputs.

The deferred margin is reintegrated in the profit or loss account either spread over the period during which the inputs are considered to be unobservable or in full on the date when the inputs become observable.

(in millions of euros)	31/12/2015	31/12/2014 Restated
Deferred margin at 1 January	**65**	**62**
Margin generated by new transactions during the period	16	26
Recognised in net income during the period	-	-
Amortisation and cancelled/rembursed/matured transactions	(36)	(23)
Profit-sharing and incentive plans	-	-
Effects of inputs or products reclassified as observable during the period	-	-
DEFERRED MARGIN AT THE END OF THE PERIOD	**45**	**65**

NOTE 11 Impacts of accounting changes and other events

INCOME STATEMENT

IMPACTS OF IFRIC 21 AT 31 DECEMBER 2014

(in millions of euros)	31/12/2014 Restated	IFRIC 21 Impact	31/12/2014 Stated
Interest and similar income	37,037	-	37,037
Interest and similar expenses	(17,521)	-	(17,521)
Fee and commission income	11,500	-	11,500
Fee and commission expenses	(2,686)	(3)	(2,683)
Net gains (losses) on financial instruments at fair value through profit or loss	5,942	-	5,942
Net gains (losses) on available-for-sale financial assets	3,092	-	3,092
Income on other activities	37,399	(1)	37,400
Expenses on other activities	(44,524)	-	(44,524)
Revenues	**30,239**	**(4)**	**30,243**
Operating expenses	(18,152)	9	(18,161)
Depreciation, amortisation and impairment of property, plant & equipment and intangible assets	(1,017)	-	(1,017)
Gross operating income	**11,070**	**5**	**11,065**
Cost of risk	(2,943)	-	(2,943)
Operating income	**8,127**	**5**	**8,122**
Share of net income of equity-accounted entities	(387)	-	(387)
Net gains (losses) on other assets	51	-	51
Change in value of goodwill	(23)	-	(23)
Pre-tax income	**7,768**	**5**	**7,763**
Income tax charge	(2,478)	(1)	(2,477)
Net income from discontinued or held-for-sale operations	(7)	-	(7)
Net income	**5,283**	**4**	**5,279**
Non-controlling interests	359	-	359
NET INCOME GROUP SHARE	**4,924**	**4**	**4,920**

NET INCOME AND OTHER COMPREHENSIVE INCOME

IMPACTS OF IFRIC 21 AT 31 DECEMBER 2014

(in millions of euros)	31/12/2014 Restated	IFRIC 21 Impact	31/12/2014 Stated
Net income	**5,283**	**4**	**5,279**
Other comprehensive income net of income tax	**2,377**	**-**	**2,377**
NET INCOME AND OTHER COMPREHENSIVE INCOME	**7,660**	**4**	**7,656**
of which Group share	7,087	4	7,083
of which non-controlling interests	573	-	573

BALANCE SHEET – ASSETS

IMPACTS OF IFRIC 21 AT 31 DECEMBER 2014

(in millions of euros)	31/12/2014 Restated	IFRIC 21 Impact	31/12/2014 Stated
Cash, central banks	57,904	-	57,904
Financial assets at fair value through profit or loss	403,457	-	403,457
Hedging derivative instruments	33,146	-	33,146
Available-for-sale financial assets	307,591	-	307,591
Loans and receivables due from credit institutions	100,038	-	100,038
Loans and receivables due from customers	709,884	-	709,884
Revaluation adjustment on interest rate hedged portfolios	20,280	-	20,280
Held-to-maturity financial assets	29,583	-	29,583
Current and deferred tax assets	5,710	(49)	5,759
Accruals, prepayments and sundry assets	63,571	-	63,571
Non-current assets held for sale	246	-	246
Deferred participation benefits	-	-	-
Investments in equity-accounted entities	4,278	-	4,278
Investment property	4,610	-	4,610
Property, plant and equipment	6,761	-	6,761
Intangible assets	1,679	-	1,679
Goodwill	13,976	-	13,976
TOTAL ASSETS	**1,762,714**	**(49)**	**1,762,763**

IMPACTS OF IFRIC 21 AT 1 JANUARY 2014

The impacts on assets at 1 January 2014 were the same as at 31 December 2014.

BALANCE SHEET – LIABILITIES

IMPACTS OF IFRIC 21 AT 31 DECEMBER 2014

(in millions of euros)	31/12/2014 Restated	IFRIC 21 Impact	31/12/2014 Stated
Central banks	4,523	-	4,523
Financial liabilities at fair value through profit or loss	318,923	-	318,923
Hedging derivative instruments	32,941	-	32,941
Due to credit institutions	98,434	-	98,434
Due to customers	622,686	-	622,686
Debt instruments	185,504	-	185,504
Revaluation adjustment on interest rate hedged portfolios	18,597	-	18,597
Current and deferred tax liabilities	2,892	(15)	2,907
Accruals, deferred income and sundry liabilities	69,019	(137)	69,156
Liabilities associated with non-current assets held for sale	-	-	-
Insurance company technical reserves	285,180	44	285,136
Provisions	6,826	-	6,826
Subordinated debt	25,487	-	25,487
Total liabilities	**1,671,012**	**(108)**	**1,671,120**
Equity	**91,702**	**59**	**91,643**
Equity, Group share	**86,723**	**58**	**86,665**
Share capital and reserves	27,837	-	27,837
Consolidated reserves	49,169	54	49,115
Other comprehensive income	4,793	-	4,793
Other comprehensive income on non-current assets held for sale and discontinued operations	-	-	-
Net income/(loss) for the year	4,924	4	4,920
Non-controlling interests	**4,979**	**1**	**4,978**
TOTAL EQUITY AND LIABILITIES	**1,762,714**	**(49)**	**1,762,763**

IMPACTS OF IFRIC 21 AT 1 JANUARY 2014

(in millions of euros)	01/01/2014 Restated	IFRIC 21 Impact	01/01/2014 Stated
Central banks	3,021	-	3,021
Financial liabilities at fair value through profit or loss	295,918	-	295,918
Hedging derivative instruments	34,762	-	34,762
Due to credit institutions	99,998	-	99,998
Due to customers	640,725	-	640,725
Debt instruments	176,192	-	176,192
Revaluation adjustment on interest rate hedged portfolios	8,793	-	8,793
Current and deferred tax liabilities	2,224	(15)	2,239
Accruals, deferred income and sundry liabilities	54,387	(133)	54,520
Liabilities associated with non-current assets held for sale	878	-	878
Insurance company technical reserves	256,586	44	256,542
Provisions	6,383	-	6,383
Subordinated debt	26,633	-	26,633
Total liabilities	**1,606,500**	**(104)**	**1,606,604**
Equity	**81,715**	**55**	**81,660**
Equity, Group share	**76,331**	**54**	**76,277**
Share capital and reserves	25,060	-	25,060
Consolidated reserves	43,500	54	43,446
Other comprehensive income	2,670	-	2,670
Other comprehensive income on non-current assets held for sale and discontinued operations	(40)	-	(40)
Net income/(loss) for the year	5,141	-	5,141
Non-controlling interests	**5,384**	**1**	**5,383**
TOTAL EQUITY AND LIABILITIES	**1,688,215**	**(49)**	**1,688,264**

CASH FLOW STATEMENT

IMPACTS OF IFRIC 21 AT 31 DECEMBER 2014

(in millions of euros)	31/12/2014 Restated	IFRIC 21 Impact	31/12/2014 Stated
Pre-tax income	**7,768**	**5**	**7,763**
Net depreciation and impairment of property, plant & equipment and intangible assets	1,033	-	1,033
Impairment of goodwill and other fixed assets	23	-	23
Net depreciation charges to provisions	18,918	-	18,918
Share of net income (loss) of equity-accounted entities	387	-	387
Net income (loss) from investment activities	98	-	98
Net income (loss) from financing activities	3,881	-	3,881
Other movements	(1,612)	(5)	(1,607)
Total non-cash and other adjustment items included in pre-tax income	**22,728**	**(5)**	**22,733**
Change in interbank items	(7,223)	-	(7,223)
Change in customer items	(17,324)	-	(17,324)
Change in financial assets and liabilities	(30,090)	-	(30,090)
Change in non-financial assets and liabilities	10,338	-	10,338
Dividends received from equity-accounted entities	92	-	92
Tax paid	(1,704)	-	(1,704)
Net change in assets and liabilities used in operating activities	**(45,911)**	**-**	**(45,911)**
Cash provided (used) by discontinued operations	**6**	**-**	**6**
Total net cash flows from (used by) operating activities (A)	**(15,409)**	**-**	**(15,409)**
Change in equity investments	**(1,197)**	**-**	**(1,197)**
Change in property, plant & equipment and intangible assets	**(1,205)**	**-**	**(1,205)**
Cash provided (used) by discontinued operations	**(1,037)**	**-**	**(1,037)**
Total net cash flows from (used by) investment activities (B)	**(3,439)**	**-**	**(3,439)**
Cash received from (paid to) shareholders	**3,871**	**-**	**3,871**
Other cash provided (used) by financing activities	**(776)**	**-**	**(776)**
Cash provided (used) by discontinued operations	**(8)**	**-**	**(8)**
Total net cash flows from (used by) financing activities (C)	**3,087**	**-**	**3,087**
Impact of exchange rate changes on cash and cash equivalent (D)	**2,765**	**-**	**2,765**
NET INCREASE/(DECREASE) IN CASH & CASH EQUIVALENT (A + B+ C + D)	**(12,996)**	**-**	**(12,996)**
Cash and cash equivalents at beginning of period	**62,468**	**-**	**62,468**
Net cash accounts and accounts with central banks	68,638	-	68,638
Net demand loans and deposits with credit institutions	(6,170)	-	(6,170)
Cash and cash equivalents at end of period	**49,472**	**-**	**49,472**
Net cash accounts and accounts with central banks	53,376	-	53,376
Net demand loans and deposits with credit institutions	(3,904)	-	(3,904)
NET CHANGE IN CASH AND CASH EQUIVALENTS	**(12,996)**	**-**	**(12,996)**

NOTE 12 Scope of consolidation at 31 December 2015

12.1 Information on subsidiaries

12.1.1 RESTRICTIONS ON ENTITIES

Crédit Agricole Group is subject to the following restrictions:

Regulatory constraints

The subsidiaries of Crédit Agricole Group are subject to prudential regulation and regulatory capital requirements in their host countries. The minimum equity capital (solvency ratio), leverage ratio and liquidity ratio requirements limit the capacity of these entities to pay dividends or to transfer assets to Crédit Agricole Group.

Legal constraints

The subsidiaries of Crédit Agricole Group are subject to legal provisions concerning the distribution of capital and distributable earnings. These requirements limit the ability of the subsidiaries to distribute dividends. In the majority of cases, these are less restrictive than the regulatory limitations mentioned above.

Restriction on assets backing unit-linked contracts for the insurance business

Assets backing unit-linked contracts of Crédit Agricole Group are held for the benefit of policyholders. Assets of the insurance subsidiaries of Crédit Agricole Group are mainly held for satisfying their obligation towards their policyholders. Assets transfers to other entities are possible following the legal conditions. However, in case of a transfer, a part of the profit due to the transfer must be intended for the policyholders.

Other constraints

Two subsidiaries of Crédit Agricole Group, Crédit Agricole CIB Algérie and Crédit Agricole Ukraine, are required to obtain prior approval for the payment of dividends from their prudential authority (Banque d'Algérie and Banque Nationale d'Ukraine).

12.1.2 SUPPORT FOR STRUCTURED ENTITIES UNDER GROUP CONTROL

Crédit Agricole CIB has contractual arrangements with some consolidated structured entities that equate to commitments to provide financial support.

To meet its funding needs Crédit Agricole CIB uses structured debt issuance vehicles to raise cash on financial markets. Securities issued by these entities are fully underwritten by Crédit Agricole CIB. At 31 December 2015, the outstanding volume of these issues was €19 billion compared to €9 billion at 31 December 2014.

As part of its third-party securitisation business, Crédit Agricole CIB provides liquidity lines to its ABCP conduits (see Note 1.1 for more detail). At 31 December 2015, these liquidity lines totalled €25 billion compared to €22 billion at 31 December 2014.

Crédit Agricole S.A. provided no other financial support for any structured entities consolidated at 31 December 2015 and 31 December 2014.

12.1.3 SECURITISATION TRANSACTIONS AND DEDICATED FUNDS

Various Group entities conduct securitisation operations on their own account as part of collateralised refinancing transactions. Depending on the circumstances, these transactions can be wholly or partially placed with investors, sold under repurchase agreements or kept on the issuer's balance sheet as liquid securities reserves that can be used to manage refinancing. Following the IAS 39 decision tree, these transactions are considered to form part of deconsolidating or non-deconsolidating transactions: for non-deconsolidating transactions, the assets are retained on the consolidated balance sheet of Crédit Agricole Group.

12.2 Scope of consolidation

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
French retail banking								
Banking and financial institutions								
2,476 Local banks	●		France	Parent Company	100.0	100.0	100.0	100.0
38 Regional banks	●		France	Parent Company	100.0	100.0	100.0	100.0
Banque Chalus	■		France	Subsidiary	100.0	100.0	100.0	100.0
Banque Thémis	■		France	Subsidiary	100.0	100.0	100.0	100.0
Bforbank S.A.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Cofam	■		France	Subsidiary	100.0	100.0	100.0	100.0
CRCAM SUD MED. SUC	■		Spain *(France)*	Branch	100.0	100.0	100.0	100.0
Interfimo	■		France	Subsidiary	99.0	99.0	99.0	99.0
LCL	■		France	Subsidiary	100.0	100.0	100.0	100.0
LCL Monaco branch	■		Monaco *(France)*	Branch	100.0	100.0	100.0	100.0
Mercagentes	■		Spain	Subsidiary	100.0	100.0	99.8	100.0
Sircam	■		France	Subsidiary	100.0	100.0	100.0	100.0
Lease financing companies								
Locam	■		France	Subsidiary	100.0	100.0	100.0	100.0
Investment companies								
Audaxis France	▲		France	Associate	6.3	25.2	6.3	25.2
Bercy Participations	■		France	Subsidiary	100.0	100.0	100.0	100.0
CA Centre France Développement	■		France	Subsidiary	100.0	100.0	100.0	100.0
CACF Immobilier	■		France	Subsidiary	100.0	100.0	100.0	100.0
CADS Développement	■		France	Subsidiary	100.0	100.0	100.0	100.0
Calixte Investissement	■		France	Subsidiary	100.0	100.0	100.0	100.0
CD COM (ChampagneFM)	▲	S3	France	Associate		25.2		25.2
CAM ENERGIE SAS	■		France	Subsidiary	100.0	100.0	100.0	100.0
Cercle Bleu	▲		France	Associate	25.2	25.2	25.2	25.2
CINENEWS	▲		France	Associate	9.5	25.2	9.5	25.2
Contact FM	▲		France	Associate	25.2	25.2	25.2	25.2
Courrier Picard	▲		France	Associate	24.9	25.2	24.9	24.3
Crédit Agricole Centre Est Immobilier	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole F.C. Investissement	■		France	Subsidiary	100.0	100.0	100.0	100.0
Images en Nord	▲	E1	France	Associate	13.2		13.2	
Internep	▲		France	Associate	25.2	25.2	25.2	25.2
La Voix Conseil	▲		France	Associate	25.2	25.2	25.2	25.2
La Voix du Nord	▲		France	Associate	24.2	25.2	24.2	24.2
La Voix du Nord Multimedia	▲	S3	France	Associate		25.2		25.2
L'Aisne Nouvelle	▲		France	Associate	25.2	25.2	25.2	25.2
L'Immobilière d'A Côté	■		France	Subsidiary	100.0	100.0	100.0	100.0
L'Indépendant du Pas de Calais	▲		France	Associate	12.5	25.2	12.5	25.2
Meura	▲	S1	France	Associate		25.2		25.2
Nord Capital Investissement	■		France	Subsidiary	99.3	98.4	99.3	98.4
Nord Eclair	▲		France	Associate	25.2	25.2	25.2	25.2
Nord Littoral	▲		France	Associate	25.2	25.2	25.2	25.2
NORDISPRESS	▲		France	Associate	25.2	25.2	25.2	25.2
Norpicom	▲	S3	France	Associate		25.2		24.2
NECI	■	D1	France	Subsidiary	100.0	100.0	100.0	100.0
Nep TV	▲		France	Associate	22.6	25.2	22.6	24.2
Nord Est Expansion	■		France	Subsidiary	100.0	100.0	100.0	100.0
Picardie Matin	▲		France	Associate	25.2	25.2	25.2	25.2
Presse Flamande	▲		France	Associate	24.9	25.2	24.9	25.2
Presse Gratuite Lille Metropole	▲		France	Associate	25.2	25.2	25.2	25.2
Prestimmo	■		France	Subsidiary	100.0	100.0	100.0	100.0
Répondances	▲		France	Associate	23.1	25.2	23.1	25.2
Sepi	■		France	Subsidiary	100.0	100.0	100.0	100.0
Sequana	■		France	Structured associate	100.0	100.0	100.0	100.0
SIA	▲	S3	France	Associate		25.2		25.2
Socadif	■		France	Subsidiary	100.0	100.0	100.0	100.0
STM	▲		France	Associate	15.6	25.2	15.6	25.2
Voix du Nord Etudiant	▲		France	Associate	12.6	25.2	12.6	25.2
Voix du Nord Investissement	▲		France	Associate	25.2	25.2	25.2	25.2
Insurance								
Camca Assurance	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Camca Courtage	■		France	Subsidiary	100.0	100.0	100.0	100.0
Camca Lux Finance Management Company	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Camca Réassurance	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Camca Vie	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Groupe CAMCA	■		France	Subsidiary	100.0	100.0	100.0	100.0
Sci 32 Liberté	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Tourism - property development								
Aquitaine Immobilier Investissement	■		France	Subsidiary	100.0	100.0	100.0	100.0
Franche Comté Développement Foncier	■		France	Subsidiary	100.0	100.0	100.0	100.0
Franche Comté Développement Immobilier	■		France	Subsidiary	100.0	100.0	100.0	100.0
L'Allan Immobilier Montbeliard	■	D3	France	Subsidiary	100.0	100.0	100.0	100.0
Immeuble Franche Comté	■	D3	France	Subsidiary	100.0	100.0	100.0	100.0
Caroline Immo	■	D3	France	Subsidiary	100.0	100.0	100.0	100.0
Square Jura	■	D3	France	Subsidiary	100.0	100.0	100.0	100.0
MSI ARRAS	■	S3	France	Subsidiary		100.0		100.0
MSI BOULOGNE/MER	■	S3	France	Subsidiary		100.0		100.0
MSI CALAIS	■	S3	France	Subsidiary		100.0		100.0
MSI LE TOUQUET	■	S3	France	Subsidiary		100.0		100.0
MSI LENS	■	S3	France	Subsidiary		100.0		100.0
MSI LILLE	■	S3	France	Subsidiary		100.0		100.0
MSI VALENCIENNES	■	S3	France	Subsidiary		100.0		100.0

(1) *Consolidation method :* ■ *Full* ▲ *Equity accounted* ● *Parent*

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
MSI WIMEREUX	■	S3	France	Subsidiary		100.0		100.0
Nacarat	▲		France	Associate	30.8	30.8	30.8	30.8
Nord Est Aménagement Promotion	■		France	Subsidiary	100.0	100.0	100.0	100.0
Nord Est Gestion Immobilière	■		France	Subsidiary	100.0	100.0	100.0	100.0
Nord Est Immo	■		France	Subsidiary	100.0	100.0	100.0	100.0
Nord Est Optimmo S.A.S.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Nord Est Patrimoine Immobilier	■		France	Subsidiary	100.0	100.0	100.0	100.0
Nord Est Square Habitat	▲		France	Subsidiary	40.0	100.0	40.0	100.0
Normandie Seine Foncière	■		France	Subsidiary	100.0	100.0	100.0	100.0
NS Immobilier Finance	■	S4	France	Subsidiary		100.0		100.0
S.A. Foncière de l'Erable	■		France	Subsidiary	100.0	100.0	100.0	100.0
S.A.S. Arcadim Fusion	■	S4	France	Subsidiary		100.0		100.0
S.A.S. Chalons Mont Bernard	■		France	Subsidiary	100.0	100.0	100.0	100.0
S.A.S. Charleville Forest	■		France	Subsidiary	100.0	100.0	100.0	100.0
S.A.S. Immnord	■	S4	France	Subsidiary		100.0		100.0
S.A.S. Laon Brosselette	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI Crystal Europe	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI Euralliance Europe	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI Quartz Europe	■		France	Subsidiary	100.0	100.0	100.0	100.0
Square Habitat Nord de France	■	D1	France	Subsidiary	100.0	100.0	100.0	100.0
Other								
Adret Gestion	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Alsace Elite	■		France	Consolidated structured entity	94.9	94.9	94.9	94.9
Amundi diversifié 1	■	E2	France	Subsidiary	100.0		100.0	
Anjou Maine Gestion	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Aquitaux Rendement	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
ARGOAT Finances	■	E2	France	Subsidiary	100.0		100.0	
Armor Fonds Dédié	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Bercy Champ de Mars	■		France	Subsidiary	100.0	100.0	100.0	100.0
BFT diversifié 1	■	E2	France	Subsidiary	100.0		100.0	
Brie Picardie Croissance	■	E2	France	Subsidiary	100.0		100.0	
C.L. Verwaltungs und Beteiligungsgesellschaft GmbH	■		Germany	Subsidiary	100.0	100.0	100.0	100.0
CA Aquitaine Agences Immobilières	■		France	Subsidiary	100.0	100.0	100.0	100.0
CA Aquitaine Immobilier	■		France	Subsidiary	100.0	100.0	100.0	100.0
CA Participations	■		France	Subsidiary	100.0	100.0	100.0	100.0
Caapimmo 4	■		France	Subsidiary	99.0	99.0	99.0	99.0
Caapimmo 6	■		France	Subsidiary	100.0	100.0	100.0	100.0

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
CAP Actions 2	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAP ACTIONS 3	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAP Obligataire	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAP Régulier 1	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAPI Centre-Est	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Centre France Location Immobilière	■		France	Subsidiary	100.0	100.0	100.0	100.0
CFM Opalis	▲	S1	France	Associate		25.2		25.2
Chabrillac	■		France	Subsidiary	100.0	99.1	88.9	88.1
CPR diversifié 1	■	E2	France	Subsidiary	100.0		100.0	
CR Provence Cote d'Azur LCR	■	S2	France	Consolidated structured entity		100.0		100.0
Crédit Lyonnais Développement Économique (CLDE)	■		France	Subsidiary	100.0	100.0	100.0	100.0
Edokial	■		France	Subsidiary	66.0	66.0	58.7	58.7
Emeraude Croissance	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Europimmo	■		France	Subsidiary	100.0	100.0	100.0	100.0
Everbreizh	■	E2	France	Controlled structured entity	100.0		100.0	
FCP Centre Loire	■	E2	France	Controlled structured entity	100.0		100.0	
FCT Crédit Agricole Habitat 2015	■	E2	France	Consolidated structured entity	100.0		100.0	
Financière PCA	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Finarmor Gestion	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Fonds dédié Elstar	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Force Alsace	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Force Charente Maritime Deux Sèvres	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Force Iroise	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Force Languedoc	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Force Lorraine Duo	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Force Profile 20	■		France	Consolidated structured entity	100.0	100.0	99.9	99.9
Force Run	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Force Toulouse Diversifié	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Force 4	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Force 29	■		France	Subsidiary	100.0	100.0	100.0	100.0
GB Affichage	▲	S3	France	Associate		12.6		15.7

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
GB Sud	▲	S1	France	Associate		25.2		25.2
Immobilière de Picardie	■	S4	France	Subsidiary		100.0		100.0
Inforsud Diffusion	■		France	Subsidiary	100.0	100.0	88.9	88.9
Inforsud Gestion	■		France	Subsidiary	88.9	88.9	88.9	88.9
Le Messager	▲	E1	France	Subsidiary	25.2		25.2	
Merico Delta Print	■		France	Subsidiary	100.0	100.0	88.9	88.8
Morbihan Gestion	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
NMP Gestion	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Ozenne Institutionnel	■		France	Consolidated structured entity	99.8	99.8	99.8	99.8
PCA IMMO	■		France	Subsidiary	100.0	100.0	100.0	100.0
PG IMMO	■		France	Subsidiary	100.0	100.0	100.0	100.0
PG Invest	■		France	Subsidiary	100.0	100.0	100.0	100.0
Pyrénées Gascogne Altitude	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Pyrénées Gascogne Gestion	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Sacam Immobilier	■		France	Subsidiary	100.0	100.0	100.0	100.0
SAS Brie Picardie Expansion	■		France	Subsidiary	100.0	100.0	100.0	100.0
SAS Centre d'Affaires Parc Lumière	■	E1	France	Subsidiary	100.0		100.0	
SCI LE BRETAGNE	■	E1	France	Subsidiary	75.0		75.0	
SNC Les Fauvins	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI 15 place du général de gaulle	■	E1	France	Subsidiary	70.0		70.0	
Scica HL	■		France	Subsidiary	100.0	100.0	100.0	100.0
SOCIETE D'EXPLOITATION DES TELEPHERIQUES TARENTAISE-MAURIENNE	▲	E1	France	Subsidiary	38.0		38.0	
Sud Rhône Alpes Placement	■		France	Consolidated structured entity	100.0	100.0	99.9	99.9
Toulouse 31 Court Terme	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
TELE SAINT QUENTIN	▲	E1	France	Subsidiary	5.6		5.6	
Val de France Rendement	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
International retail banking								
Banking and financial institutions								
Arc Broker	■	E2	Poland	Subsidiary	100.0		100.0	
Banca Popolare Friuladria S.p.A.	■		Italy	Subsidiary	80.2	80.2	69.3	69.3
Bankoa	■		Spain	Subsidiary	99.8	99.8	99.8	99.8
Cariparma	■		Italy	Subsidiary	86.5	86.5	86.5	86.5
Carispezia	■		Italy	Subsidiary	80.0	80.0	69.2	69.2
Crédit Agricole Group Solutions	■	E2	Italy	Subsidiary	100.0		84.6	
CREDIT AGRICOLE BANK	■		Ukraine	Subsidiary	100.0	100.0	100.0	100.0
Credit Agricole Bank Albania S.A.	■	S2	Albania	Subsidiary		100.0		100.0
Crédit Agricole Bank Polska S.A.	■		Poland	Subsidiary	100.0	100.0	100.0	100.0

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
Crédit Agricole Banka Srbija a.d. Novi Sad	■		Serbia	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Egypt S.A.E.	■		Egypt	Subsidiary	60.5	60.5	60.5	60.5
Crédit Agricole Financement	■		Switzerland	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Polska S.A.	■		Poland	Subsidiary	100.0	100.0	100.0	100.0
Credit Agricole Romania	■		Romania	Subsidiary	100.0	100.0	100.0	100.0
Credit Agricole Serivce sp z o.o.	■		Poland	Subsidiary	100.0	100.0	100.0	100.0
Crédit du Maroc	■		Morocco	Subsidiary	78.7	78.7	78.7	78.7
Centea	▲	S2	Belgium	Associate		50.0		50.0
Crelan Insurance SA	▲	S2	Belgium	Associate		50.0		50.0
Crelan SA	▲	S2	Belgium	Associate		50.0		50.0
Europabank	▲	S2	Belgium	Associate		50.0		50.0
Lukas Finanse S.A.	■		Poland	Subsidiary	100.0	100.0	100.0	100.0
Other								
Belgium CA S.A.S.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit du Maroc branch France	■		France (Morocco)	Branch	100.0	100.0	78.7	78.7
IUB Holding	■		France	Subsidiary	100.0	100.0	100.0	100.0
Keytrade	▲	S2	Belgium	Associate		50.0		50.0
Specialised financial services								
Banking and financial institutions								
Aetran Administrative Dientverlening B.V.	■	S1	Netherlands	Subsidiary		100.0		100.0
Agos	■		Italy	Subsidiary	61.0	61.0	61.0	61.0
Alsolia	▲		France	Associate	20.0	20.0	20.0	20.0
Antera Incasso B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Assfibo Financieringen B.V.	■	S1	Netherlands	Subsidiary		100.0		100.0
BCC Credito Consumo	▲	S2	Italy	Associate		40.0		24.4
Crealfi	■		France	Subsidiary	51.0	51.0	51.0	51.0
Credibom	■		Portugal	Subsidiary	100.0	100.0	100.0	100.0
Credicom Consumer Finance Bank S.A.	■	S3	Greece	Subsidiary		100.0		100.0
Crediet Maatschappij " De Ijssel" B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
EUROFACTOR POLSKA S.A.	■	D1	Poland	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Consumer Finance	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Consumer Finance Nederland	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Creditplus Bank AG	■		Germany	Subsidiary	100.0	100.0	100.0	100.0
Credium Slovakia	■	S3	Slovakia	Subsidiary		100.0		100.0
De Kredietdesk B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Dealerservice B.V.	■	S1	Netherlands	Subsidiary		100.0		100.0
DMC Groep N.V.	■	S1	Netherlands	Subsidiary		100.0		100.0
DNV B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
EFL Services	■		Poland	Subsidiary	100.0	100.0	100.0	100.0
EUROFACTOR GmbH	■	D1	Germany	Subsidiary	100.0	100.0	100.0	100.0
Eurofactor Hispania S.A.	■		Spain	Subsidiary	100.0	100.0	100.0	100.0

(1) *Consolidation method : ■ Full ▲ Equity accounted ● Parent*

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
Eurofactor Italia S.p.A.	■		Italy	Subsidiary	100.0	100.0	100.0	100.0
Eurofactor SA - NV (Benelux)	■		Belgium	Branch	100.0	100.0	100.0	100.0
Eurofactor S.A. (Portugal)	■		Portugal	Subsidiary	100.0	100.0	100.0	100.0
Eurofintus Financieringen B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Euroleenlijn B.V.	■	S1	Netherlands	Subsidiary		100.0		100.0
FCA Capital France S.A.	▲	D1	France	Joint venture	50.0	50.0	50.0	50.0
FCA Bank	▲	D1	Italy	Joint venture	50.0	50.0	50.0	50.0
FCA Capital España EFC S.A.	▲	D1	Spain	Joint venture	50.0	50.0	50.0	50.0
FCA Capital Ireland Plc	▲	D1	Ireland	Joint venture	50.0	50.0	50.0	50.0
FCA Capital Nederland B.V.	▲	D1	Netherlands	Joint venture	50.0	50.0	50.0	50.0
FCA Capital Suisse S.A.	▲	D1	Switzerland	Joint venture	50.0	50.0	50.0	50.0
FCA Bank Polska	▲	D1	Poland	Joint venture	50.0	50.0	50.0	50.0
FCA Bank Germany GmbH	▲	D1	Germany	Joint venture	50.0	50.0	50.0	50.0
FCA Bank GmbH	▲	D1	Austria	Joint venture	50.0	50.0	50.0	50.0
FCA Bank Gmbh, Hellenic Branch	▲	E2	Greece	Joint venture	50.0		50.0	
FCA Capital Belgium S.A.	▲	D1	Belgium	Joint venture	50.0	50.0	50.0	50.0
FCA Capital Danmark A/S	▲	D1	Denmark	Joint venture	50.0	50.0	50.0	50.0
FGA Capital Danmark A/S, Finland Branch	▲	D3	Finland	Joint venture	50.0		50.0	
FCA Capital Hellas S.A.	▲	D1	Greece	Joint venture	50.0	50.0	50.0	50.0
FCA Capital IFIC	▲	D1	Portugal	Joint venture	50.0	50.0	50.0	50.0
FCA Capital Norge AS	▲	E2	Norway	Joint venture	50.0		50.0	
FCA Capital Re Limited	▲	D1	Ireland	Joint venture	50.0	50.0	50.0	50.0
FCA Capital Sverige	▲	E2	Sweden	Joint venture	50.0		50.0	
FCA Automotive Services UK Ltd	▲	D1	United Kingdom	Joint venture	50.0	50.0	50.0	50.0
FCA Dealer Services Portugal S.A.	▲	D1	Portugal	Joint venture	50.0	50.0	50.0	50.0
FGA Finance Polska Sp. Zo.o.	▲		Poland	Joint venture		50.0		50.0
FCA Insurance Hellas S.A.	▲	D1	Greece	Joint venture	50.0	50.0	50.0	50.0
FCA Leasing Polska	▲	D1	Poland	Joint venture	50.0	50.0	50.0	50.0
FCA Leasing GmbH	▲	D1	Austria	Joint venture	50.0	50.0	50.0	50.0
FCA Dealer Services UK Ltd	▲	D1	United Kingdom	Joint venture	50.0	50.0	50.0	50.0
Financierings Data Netwerk B.V.	▲		Netherlands	Joint venture	50.0	44.0	50.0	44.0
GSA Ltd	■	E2	Maurice	Subsidiary	100.0		100.0	
NL Findio B.V	■	D1	Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Finata Bank N.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Finata Sparen N.V.	■	S1	Netherlands	Subsidiary		100.0		100.0
Finata Zuid-Nederland B.V.	■		Netherlands	Subsidiary	97.9	100.0	97.9	100.0
FCA Leasing France	▲	D1	France	Joint venture	50.0	50.0	50.0	50.0
FL Location SNC	▲	S1	France	Joint venture		50.0		50.0
FORSO Denmark	▲		Denmark	Joint venture	50.0	50.0	50.0	50.0
Forso Finance OY	▲		Finland	Joint venture	50.0	50.0	50.0	50.0
Forso Norge	▲		Norway	Joint venture	50.0	50.0	50.0	50.0
Forso Nordic A.B.	▲		Sweden	Joint venture	50.0	50.0	50.0	50.0
GAC - Sofinco Auto Finance Co.	▲		China	Joint venture	50.0	50.0	50.0	50.0
IDM Finance B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
IDM Financieringen B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
IDM lease maatschappij N.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Iebe Lease B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
InterBank group	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
J.J.P. Akkerman Financieringen B.V.	■	S1	Netherlands	Subsidiary		100.0		100.0
Krediet '78 B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Mahuko Financieringen B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Matriks N.V.	■	S1	Netherlands	Subsidiary		100.0		100.0
Menafinance	▲		France	Joint venture	50.0	50.0	50.0	50.0
Money Care B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
New Theo	■	S1	United Kingdom	Subsidiary		100.0		100.0
NVF Voorschotbank B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Regio Kredietdesk B.V.	■	S1	Netherlands	Subsidiary		100.0		100.0
Ribank	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Ste Européenne de développement du financement	■		France	Subsidiary	100.0	100.0	100.0	100.0
Teotys	■	S2	France	Subsidiary		100.0		100.0
THEOFINANCE LTD	■	S2	Maurice *(France)*	Subsidiary		100.0		100.0
THEOFINANCE SA	■	S2	Uruguay *(France)*	Subsidiary		100.0		100.0
Tunisie Factoring	▲	S2	Tunisia	Associate		36.4		36.4
VoordeelBank B.V.	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Wafasalaf	▲		Morocco	Associate	49.0	49.0	49.0	49.0
Lease financing companies								
Auxifip	■		France	Subsidiary	100.0	100.0	100.0	100.0
CAL Espagne	■		Spain *(France)*	Branch	100.0	100.0	100.0	100.0
Carefleet S.A.	■		Poland	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Leasing & Factoring	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Leasing Italia	■		Italy	Subsidiary	100.0	100.0	88.5	88.5
Crédit du Maroc Leasing	■		Morocco	Subsidiary	100.0	100.0	85.8	85.8
Credium	■	S3	Czech Republic	Subsidiary		100.0		100.0
Emporiki Rent L.T.L	■	S3	Greece	Subsidiary		100.0		100.0
Europejski Fundusz Leasingowy (E.F.L.)	■		Poland	Subsidiary	100.0	100.0	100.0	100.0
FAL Fleet Services	▲		France	Joint venture	50.0	50.0	50.0	50.0
FCA Dealer services España, S.A.	▲	D1	Spain	Joint venture	50.0	50.0	50.0	50.0
FCA Fleet Services Uk Ltd	▲	D1	United Kingdom	Joint venture	50.0	50.0	50.0	50.0

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
Finamur	■		France	Subsidiary	100.0	100.0	100.0	100.0
Leasys	▲		Italy	Joint venture	50.0	50.0	50.0	50.0
Lixxbail	■		France	Subsidiary	100.0	100.0	100.0	100.0
Lixxcourtage	■		France	Subsidiary	100.0	100.0	100.0	100.0
Lixxcredit	■		France	Subsidiary	100.0	100.0	100.0	100.0
Ucafleet	▲		France	Associate	35.0	35.0	35.0	35.0
Unifergie	■		France	Subsidiary	100.0	100.0	100.0	100.0
Investment companies								
Argence Investissement S.A.S.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Insurance								
ARES Reinsurance Ltd.	■		Ireland	Subsidiary	100.0	100.0	61.0	61.0
Other								
CCDS (Carte Cadeaux Distribution Services)	▲		France	Associate	49.0	49.0	49.0	49.0
Crédit LIFT	■		France	Subsidiary	100.0	100.0	100.0	100.0
Green FCT Lease	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Ste Européenne de développement d'assurances	■		France	Subsidiary	100.0	100.0	100.0	100.0
EFL Finance S.A.	■		Poland	Subsidiary	100.0	100.0	100.0	100.0
Sofinco Participations	■		France	Subsidiary	100.0	100.0	100.0	100.0
Savings management								
Banking and financial institutions								
ABC-CA Fund Management CO	▲		China	Associate	33.3	33.3	25.2	26.7
AMUNDI Asset Management	■	D1	France	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI (UK) Ltd.	■		United Kingdom	Subsidiary	100.0	100.0	75.5	80.0
Amundi AI LONDON BRANCH	■		United Kingdom	Branch	100.0	100.0	75.5	80.0
AMUNDI AI S.A.S.	■		France	Subsidiary	100.0	100.0	75.5	80.0
Amundi Belgium	■		Belgium	Branch	100.0	100.0	75.5	80.0
AMUNDI DEUTSCHLAND	■		Germany	Branch	100.0	100.0	75.5	80.0
Amundi Distributors Usa Llc	■		United States	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Finance	■		France	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Finance Emissions	■		France	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI GLOBAL SERVICING	■		Luxembourg	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI	■	D1	France	Subsidiary	75.5	80.0	75.5	80.0
AMUNDI Hellas MFMC S.A.	■		Greece	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI HONG KONG BRANCH	■		Hong Kong	Branch	100.0	100.0	75.5	80.0
AMUNDI Hong Kong Ltd.	■		Hong Kong	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Iberia S.G.I.I.C S.A.	■		Spain	Subsidiary	100.0	100.0	86.5	89.0
AMUNDI Immobilier	■		France	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI India Holding	■		France	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Intermédiation	■		France	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Investments USA LLC	■	S4	United States	Subsidiary		100.0		80.0
AMUNDI Japan	■		Japan	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Japan Holding	■		Japan	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Japan Securities Cy Ltd.	■		Japan	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI LONDON BRANCH	■		United Kingdom	Branch	100.0	100.0	75.5	80.0
AMUNDI Luxembourg S.A.	■		Luxembourg	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Malaysia Sdn Bhd	■		Malaysia	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Nederland (Amsterdam)	■		Netherlands	Branch	100.0	100.0	75.5	80.0
AMUNDI Polska	■		Poland	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Private Equity Funds	■		France	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Real Estate Italia SGR S.p.A.	■		Italy	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI SGR S.p.A.	■		Italy	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Singapore Ltd.	■		Singapore	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Smith Breeden	■		United States	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Suisse	■		Switzerland	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Tenue de Comptes	■		France	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI USA Inc	■		United States	Subsidiary	100.0	100.0	75.5	80.0
AMUNDI Ventures	■		France	Subsidiary	100.0	100.0	75.5	80.0
Bawag PSK Invest	■	E3	Austria	Subsidiary	100.0		75.5	
BFT Investment Managers	■	D1	France	Subsidiary	100.0	100.0	75.5	80.0
CA Indosuez Gestion	■		France	Subsidiary	100.0	100.0	100.0	100.0
CA Indosuez Private Banking	■		France	Subsidiary	100.0	100.0	100.0	100.0
CACEIS S.A.	■		France	Subsidiary	85.0	85.0	85.0	85.0
CACEIS (Canada) Ltd.	■		Canada	Subsidiary	100.0	100.0	85.0	85.0
CACEIS (USA) Inc.	■		United States	Subsidiary	100.0	100.0	85.0	85.0
CACEIS Bank Deutschland GmbH	■		Germany	Subsidiary	100.0	100.0	85.0	85.0
CACEIS BANK France	■		France	Subsidiary	100.0	100.0	85.0	85.0
CACEIS Bank Luxembourg	■		Luxembourg	Subsidiary	100.0	100.0	85.0	85.0
CACEIS Bank Luxembourg (Amsterdam)	■		Netherlands	Branch	100.0	100.0	85.0	85.0
CACEIS Bank Luxembourg (Brussels)	■		Belgium	Branch	100.0	100.0	85.0	85.0
CACEIS Bank Luxembourg (Dublin)	■		Ireland	Branch	100.0	100.0	85.0	85.0
CACEIS Bank Luxembourg (London)	■	E2	United Kingdom	Branch	100.0		85.0	
CACEIS Bank Luxembourg (Milan)	■		Italy	Branch	100.0	100.0	85.0	85.0
CACEIS Bank Luxembourg (Nyon)	■	E2	Switzerland	Branch	100.0		85.0	
CACEIS Belgium	■		Belgium	Subsidiary	100.0	100.0	85.0	85.0
CACEIS Corporate Trust	■		France	Subsidiary	100.0	100.0	85.0	85.0
CACEIS Fund Administration	■		France	Subsidiary	100.0	100.0	85.0	85.0
CACEIS Ireland Limited	■		Ireland	Subsidiary	100.0	100.0	85.0	85.0

(1) *Consolidation method :* ■ *Full* ▲ *Equity accounted* ● *Parent*

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
CACEIS Switzerland S.A.	■		Switzerland	Subsidiary	100.0	100.0	85.0	85.0
Clam Philadelphia	■		France	Subsidiary	100.0	100.0	75.5	80.0
CPR AM	■		France	Subsidiary	100.0	100.0	75.5	80.0
Crédit Agricole CIB (Miami)	■		United States *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole Luxembourg	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Luxembourg (Belgique)	■		Belgium *(Luxembourg)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole Luxembourg (Espagne)	■		Spain *(Luxembourg)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole Luxembourg (Italy)	■	E2	Italy *(Luxembourg)*	Branch	100.0		100.0	
Crédit Agricole Suisse	■		Switzerland	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Suisse (Bahamas) Ltd.	■	S3	Bahamas	Subsidiary		100.0		100.0
Crédit Agricole Suisse (HongKong)	■		Hong Kong *(Switzerland)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole Suisse (Singapour)	■		Singapore *(Switzerland)*	Branch	100.0	100.0	100.0	100.0
Crédit Foncier de Monaco	■		Monaco	Subsidiary	70.1	70.1	69.0	69.0
Etoile Gestion	■		France	Subsidiary	100.0	100.0	75.5	80.0
Finanziaria Indosuez International Ltd.	■		Switzerland	Subsidiary	100.0	100.0	100.0	100.0
Fund Channel	▲		Luxembourg	Associate	50.0	50.0	37.8	40.0
IKS KB	■		Czech Republic	Subsidiary	100.0	100.0	75.5	80.0
LCL Emissions	■		France	Subsidiary	100.0	100.0	75.5	80.0
NH-CA Asset Management Ltd.	▲		South Korea	Associate	30.0	40.0	22.7	32.0
Société Générale Gestion (S2G)	■		France	Subsidiary	100.0	100.0	75.5	80.0
State Bank of India Fund Management	▲		India	Associate	37.0	37.0	27.9	29.6
WAFA Gestion	▲		Morocco	Associate	34.0	34.0	25.7	27.2
Investment companies								
CA Brasil DTVM	■		Brazil	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Private Banking	■		France	Subsidiary	100.0	100.0	100.0	100.0
Insurance								
Assurances Mutuelles Fédérales	■	S3	France	Subsidiary		100.0		100.0
CA Assicurazioni	■		Italy	Subsidiary	100.0	100.0	100.0	100.0
CACI DANNI	■		Italy *(Ireland)*	Branch	100.0	100.0	100.0	100.0
CACI LIFE LIMITED	■		Ireland	Subsidiary	100.0	100.0	100.0	100.0
CACI NON LIFE LIMITED	■		Ireland	Subsidiary	100.0	100.0	100.0	100.0
CACI NON VIE	■		France *(Ireland)*	Branch	100.0	100.0	100.0	100.0
CACI Reinsurance Ltd.	■		Ireland	Subsidiary	100.0	100.0	100.0	100.0
CACI VIE	■		France *(Ireland)*	Branch	100.0	100.0	100.0	100.0
CACI VITA	■		Italy *(Ireland)*	Branch	100.0	100.0	100.0	100.0
CALI Europe branch France	■		France	Branch	100.0	100.0	100.0	100.0
CALI Europe Branch Poland	■		Poland *(Luxembourg)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole Assurances (CAA)	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Creditor Insurance (CACI)	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Life	■	D4	Greece	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Life Insurance Company Japan Ltd.	■		Japan	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Life Insurance Europe	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Reinsurance S.A.	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Vita S.p.A.	■		Italy	Subsidiary	100.0	100.0	100.0	100.0
Finaref Assurances S.A.S.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Finaref Risques Divers	■		France	Subsidiary	100.0	100.0	100.0	100.0
Finaref Vie	■		France	Subsidiary	100.0	100.0	100.0	100.0
GNB SEGUROS (formerly BES SEGUROS)	■		Portugal	Subsidiary	50.0	50.0	50.0	50.0
Médicale de France	■		France	Subsidiary	100.0	100.0	100.0	100.0
Pacifica	■		France	Subsidiary	100.0	100.0	100.0	100.0
Predica	■		France	Subsidiary	100.0	100.0	100.0	100.0
Predica - Prévoyance Dialogue du Crédit Agricole	■		Spain	Branch	100.0	100.0	100.0	100.0
Space Holding (Ireland) Limited	■		Ireland	Subsidiary	100.0	100.0	100.0	100.0
Space Lux	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Spirica	■		France	Subsidiary	100.0	100.0	100.0	100.0
UCITS								
ACACIA	■		France	Consolidated structured entity	100.0	100.0	75.5	80.0
ACAJOU	■		France	Consolidated structured entity	100.0	100.0	75.5	80.0
AGRICOLE RIVAGE DETTE	■	E2	France	Consolidated structured entity	88.0		88.0	
Amundi Absolute Credit	■	S2	France	Consolidated structured entity		29.8		23.8
AMUNDI ARMONIA (ex Amundi Corporate 3 Anni)	■		Italy	Consolidated structured entity	100.0	100.0	100.0	100.0
Amundi Funds Equity Global Minimum Variance	■	S2	Luxembourg	Consolidated structured entity		23.0		18.4
AMUNDI GRD 24 FCP	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Amundi Hk - Green Planet Fund	■		Hong Kong	Consolidated structured entity	98.9	99.0	74.7	79.2
Amundi Money Market Fund - Short Term (GBP)	■	S2	Luxembourg	Consolidated structured entity		100.0		80.0
Amundi Money Market Fund - Short Term (USD) - part OC	■	S2	Luxembourg	Consolidated structured entity		100.0		80.0
Amundi Money Market Fund - Short Term (USD) - part OV	■	S2	Luxembourg	Consolidated structured entity		53.2		42.6
Amundi Performance Absolue Equilibre	■		France	Consolidated structured entity	100.0	100.0	75.5	80.0
AMUN TRESO CT PC 3D	■		France	Consolidated structured entity	54.2	77.3	54.2	77.3
ARTEMID	■	E2	France	Consolidated structured entity	90.0		90.0	

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location *(Country of incorporation if different from location)*	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
BFT opportunité	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA 2013 COMPARTIMENT 5 A5	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA 2013 FCPR B1	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA 2013 FCPR C1	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA 2013 FCPR D1	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA 2013-2	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA 2013-3	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA 2014 COMPARTIMENT 1 PART A1	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA 2014 INVESTISSMENT PART A3	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA 2015 COMPARTIMENT 1	■	E2	France	Consolidated structured entity	100.0		100.0	
CAA 2015 COMPARTIMENT 2	■	E2	France	Consolidated structured entity	100.0		100.0	
CAA PRIV.FINANC.COMP.1 A1 FIC	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CAA PRIV.FINANC.COMP.2 A2 FIC	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
CA VITA PRIVATE EQUITY CHOISE	■	E3	France	Consolidated structured entity	100.0		100.0	
Chorial Allocation	■		France	Consolidated structured entity	99.7	99.9	75.3	79.9
CNP ACP OBLIG	▲	E1	France	Structured joint-venture	50.0		50.0	
CNP ACP 10 FCP	▲	E1	France	Structured joint-venture	49.9		49.9	
CA-EDRAM OPPORTUNITES FCP 3DEC	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR CAA 2013	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR CAA COMP TER PART A3	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR CAA COMPART BIS PART A2	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR CAA COMPARTIMENT 1 PART A1	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR CAA France croissance 2 A	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR PREDICA 2007 A	■		France	Consolidated structured entity	99.9	99.9	99.9	99.9
FCPR PREDICA 2007 C2	■		France	Consolidated structured entity	100.0	99.9	100.0	99.9
FCPR PREDICA 2008 A1	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR PREDICA 2008 A2	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR PREDICA 2008 A3	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR PREDICA SECONDAIRE I A1	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR PREDICA SECONDAIRE I A2	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR PREDICA SECONDAIRES II A	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR PREDICA SECONDAIRES II B	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR Roosevelt Investissements	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR UI CAP AGRO	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCPR UI CAP SANTE A	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCT CAREPTA - COMPARTIMENT 2014-1	■		France	Consolidated structured entity	93.8	93.8	93.8	93.8
FCT CAREPTA - COMPARTIMENT 2014-2	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
FCT CAREPTA - RE 2015 -1	■	E2	France	Consolidated structured entity	100.0		100.0	
FCT MID CAP 2 05/12/22	■	E2	France	Controlled structured entity	100.0		100.0	
FEDERIS CORE EU CR 19 MM	■	E1	France	Consolidated structured entity	43.6		43.6	
Federval	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Genavent	■		France	Consolidated structured entity	52.3	52.3	39.5	41.8
Genavent Partners Lp	■		United States	Consolidated structured entity	100.0	100.0	75.5	80.0
GRD TOBAM AB A	■	E2	France	Controlled structured entity	100.0		100.0	
GRD01	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD02	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD03	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD04	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD05	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD07	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD08	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD09	■		France	Consolidated structured entity	97.1	97.4	97.1	97.4
GRD10	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD11	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD12	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD13	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD14	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0

(1) Consolidation method : ■ Full ▲ Equity accounted ● Parent

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
GRD16	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD17	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD18	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD19	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD20	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD21	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
GRD23	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Londres Croissance C16	■		France	Consolidated structured entity	100.0	100.0	75.5	80.0
LRP - CPT JANVIER 2013 0.30 13-21 11/01A	■		Luxembourg	Consolidated structured entity	84.2	84.2	84.2	84.2
OBJECTIF LONG TERME FCP	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Peg - Portfolio Eonia Garanti	■		France	Consolidated structured entity	95.1	89.3	71.9	71.4
Predica 2005 FCPR A	■		France	Consolidated structured entity	99.9	99.9	99.9	99.9
Predica 2006 FCPR A	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Predica 2006-2007 FCPR	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
PREDICA 2010 A1	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
PREDICA 2010 A2	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
PREDICA 2010 A3	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
PREDICA SECONDAIRES III	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Predicant A1 FCP	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Predicant A2 FCP	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Predicant A3 FCP	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Prediquant opportunité	■		France	Consolidated structured entity	100.0	99.7	100.0	99.7
PREDIQUANT STRATEGIES	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
PREDIPARK	■		France	Subsidiary	100.0	100.0	100.0	100.0
PREMIUM GR 0% 28	■		Ireland	Consolidated structured entity	94.9	94.9	94.9	94.9
PREMIUM GREEN 1.24% 25/04/35	■	E2	Ireland	Consolidated structured entity	100.0		100.0	
PREMIUM GREEN 4.52%06-21 EMTN	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.54%06-13.06.21	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.5575%21 EMTN	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
PREMIUM GREEN 4.56%06-21	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.7% EMTN 08/08/21	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.72%12-250927	■		Ireland	Consolidated structured entity	80.7	78.9	80.7	78.9
PREMIUM GREEN PLC 4.30%2021	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN TV 06/22	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN TV 07/22	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN TV 07-22	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN TV 22	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN TV 26/07/22	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN TV06-16 EMTN	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN TV07-17 EMTN	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN TV2027	■		Ireland	Consolidated structured entity	75.9	75.9	75.9	75.9
PREMIUM GREEN TV23/05/2022 EMTN	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
PREMIUM GREEN4.33% 06-29/10/21	■		Ireland	Consolidated structured entity	100.0	100.0	100.0	100.0
CORSAIR 1.5255% 25/04/35	■	E2	Ireland	Consolidated structured entity	100.0		100.0	
Unit-linked funds (Fonds UC)								
91 United-linked funds with a detention rate equal or above 95%	■		France	Consolidated structured entity	> 95 %		> 95 %	
ACTIONS 70	■	S4	France	Controlled structured entity		37.1		37.1
AF EQUI.GLOB.AHE CAP	■	E2	Luxembourg	Controlled structured entity	50.8		50.8	
AF INDEX EQ JAPAN AE CAP	■		Luxembourg	Consolidated structured entity	48.5	43.8	48.5	43.8
AF INDEX EQ USA A4E	■		Luxembourg	Consolidated structured entity	82.7	87.7	82.7	87.7
AM.AC.EU.ISR-P-3D	■	E1	France	Controlled structured entity	81.2		41.6	
AM.AC.MINER.-P-3D	■	E1	France	Controlled structured entity	42.6		42.6	
AM CR 1-3 EU PC 3D	■		France	Consolidated structured entity	75.3	76.8	75.3	76.8
AMUN.TRES.EONIA ISR E FCP 3DEC	■		France	Consolidated structured entity	88.9	29.6	86.3	29.6
AMUNDI ABSOLUTE GLOB DIVID AE 3D	■	E1 S1	Luxembourg	Controlled structured entity				
AMUNDI ACT.MONDE P	■	S4	France	Consolidated structured entity		60.2		60.2
AMUNDI ACTIONS FRANCE C 3DEC	■	E1	France	Controlled structured entity	36.1		36.1	
AMUNDI AFD AV DURABL P1 FCP 3DEC	■		France	Consolidated structured entity	67.2	63.5	67.2	63.5

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location *(Country of incorporation if different from location)*	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
AMUNDI BD EU HY AEC	■	E1	Luxembourg	Consolidated structured entity	32.0		32.0	
AMUNDI B EU COR AEC	■		Luxembourg	Consolidated structured entity	59.4	23.7	59.4	23.7
AMUNDI BOND GLOBAL CORP AE 3DEC	■	S2	Luxembourg	Consolidated structured entity		40.1		40.1
AMUNDI CRED.EURO ISR P FCP 3DEC	■		France	Consolidated structured entity	62.5	61.2	62.5	61.2
AMUNDI EQ E IN AHEC	■		Luxembourg	Consolidated structured entity	68.8	67.1	68.8	67.1
AMUNDI GBL MACRO MULTI ASSET P	■		France	Consolidated structured entity	70.8	72.2	70.8	72.2
AMUNDI HORIZON 3D	■	E1	France	Controlled structured entity	64.0		64.0	
AMUNDI LCL DH2-4 AV MAI 13 3D	■	S1	France	Consolidated structured entity		99.9		99.9
AMUNDI PATRIMOINE C 3DEC	■		France	Consolidated structured entity	77.1	69.7	77.1	69.7
AMUNDI PULSACTIONS	■		France	Consolidated structured entity	44.4	90.7	44.4	90.7
AMUNDI VALEURS DURAB	■	E1	France	Controlled structured entity	45.1		45.1	
AMUNDI 12 M P	■	E2	France	Controlled structured entity	88.8		88.8	
ANTINEA FCP	■		France	Consolidated structured entity	54.3	54.8	54.3	54.8
ARAMIS PATRIM D 3D	■		France	Consolidated structured entity	48.0	55.9	48.0	55.9
ARC FLEXIBOND-D	■		France	Consolidated structured entity	61.4	64.7	61.4	64.7
ATOUT EUROPE C FCP 3DEC	■		France	Consolidated structured entity	80.6	80.9	80.6	80.9
ATOUT FRANCE C FCP 3DEC	■		France	Consolidated structured entity	40.7	41.7	40.7	41.7
ATOUT HORIZON DUO FCP 3DEC	■	S4	France	Consolidated structured entity		74.8		74.8
ATOUT MONDE C FCP 3DEC	■		France	Consolidated structured entity	87.6	87.9	87.6	87.9
ATOUT QUANTEUROLAND SI 3DEC	■	S4	France	Consolidated structured entity		40.9		40.9
ATOUT VERT HORIZON FCP 3 DEC	■		France	Consolidated structured entity	34.3	34.3	34.3	34.3
AXA EUR.SM.CAP E 3D	■	E1	France	Consolidated structured entity	40.8	19.2	40.8	19.2
AXA FIIS US CORPORATE BONDS F	■	E2 S1	Luxembourg	Controlled structured entity				
BEST BUS MODELS RC	■		France	Consolidated structured entity	44.5	34.4	44.5	34.4
CPR ACTIVE US -P-	■	E1	France	Consolidated structured entity	29.9		29.9	
LCL ACT.E-U ISR 3D	■	E1	France	Consolidated structured entity	39.7		39.7	
AMUNDI OBLIG EURO C	■	E1	France	Consolidated structured entity	41.2		41.2	
CPR RENAI.JAP.-P-3D	■	E1	France	Consolidated structured entity	46.2		46.2	

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location *(Country of incorporation if different from location)*	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
AM AC FR ISR PC 3D	■	E1	France	Consolidated structured entity	44.5		44.5	
BNP PAR.CRED.ERSC	■	E2	France	Consolidated structured entity	65.7		65.7	
OBLIG INF CM CIC 3D	■	E2	France	Consolidated structured entity	45.0		45.0	
CA MASTER EUROPE	■		France	Consolidated structured entity	49.3	51.4	49.3	51.4
CAPITOP MONDOBLIG SI.3DEC	■	S2	France	Consolidated structured entity		51.1		51.1
CONVERT.EUROP.AE	■		Luxembourg	Controlled structured entity	39.1	53.9	39.1	53.9
CPR CONSO ACTIONNAIRE FCP P	■		France	Consolidated structured entity	52.2	57.2	52.2	57.2
CPR CROIS.REA.-P	■	E1	France	Consolidated structured entity	20.3		20.3	
CPR OBLIG 12 M.P 3D	■	E1	France	Consolidated structured entity	37.5		37.5	
CPR REFL.RESP.0-100 P FCP 3DEC	■		France	Consolidated structured entity	62.6	100.0	62.6	100.0
CPR REFLEX CIBL.100 P FCP 3DEC	■	S4	France	Consolidated structured entity		68.3		68.3
CPR RENAISSANCE JAPON HP 3D	■		France	Consolidated structured entity	44.5	52.2	44.5	52.2
CPR SILVER AGE P 3DEC	■		France	Consolidated structured entity	41.3	45.2	41.3	45.2
DNA 0% 12-211220	■		Luxembourg	Consolidated structured entity	86.8	89.7	86.8	89.7
DNA 0% 16/10/2020	■		Luxembourg	Consolidated structured entity	92.6	93.5	92.6	93.5
DNA 0% 21/12/20 EMTN	■		Luxembourg	Consolidated structured entity	70.6	71.1	70.6	71.1
DNA 0% 23/07/18 EMTN INDX	■		Luxembourg	Consolidated structured entity	77.9	78.0	77.9	78.0
DNA 0% 27/06/18 INDX	■		Luxembourg	Consolidated structured entity	80.9	74.3	80.9	74.3
DNA 0%11-231216 INDX	■		Luxembourg	Consolidated structured entity	76.8	77.8	76.8	77.8
DNA 0%12-240418 INDX	■		Luxembourg	Controlled structured entity	82.7	79.2	82.7	79.2
DOLCEYS 2 FCP 3DEC	■	S1	France	Consolidated structured entity		99.4		99.4
ECOFI MULTI OPPORTUN.FCP 3DEC	■		France	Consolidated structured entity	84.5	86.8	84.5	86.8
HMG GLOBETROTTER D	■	E1	France	Consolidated structured entity	61.8		61.8	
FONDS AV ECHUS N°2	■		France	Consolidated structured entity	91.5	99.0	91.5	99.0
IND.CAP EMERG.-C-3D	■		France	Consolidated structured entity	59.0	71.4	59.0	71.4
INDO.FLEX.100 -C-3D	■		France	Consolidated structured entity	92.6	93.9	92.6	93.9
INDOS.EURO.PAT.PD 3D	■	E1	France	Consolidated structured entity	40.5		40.5	
INDOSUEZ CRESCENDO FCP	■	S4	France	Consolidated structured entity		46.8		46.8

(1) *Consolidation method :* ■ *Full* ▲ *Equity accounted* ● *Parent*

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location *(Country of incorporation if different from location)*	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
INDOSUEZ EUROPE EXPENSION FCP	■	S4	France	Consolidated structured entity		46.8		46.8
INVEST RESP S3 3D	■		France	Consolidated structured entity	63.2	68.8	63.2	68.8
JAYANNE FCP 3DEC	■	S1	France	Consolidated structured entity		100.0		100.0
JAYANNE 2 FCP 3DEC	■	S1	France	Consolidated structured entity		100.0		100.0
JAYANNE 3 FCP 3DEC	■	S1	France	Consolidated structured entity		100.0		100.0
JAYANNE 4 3DEC FCP	■	S1	France	Consolidated structured entity		100.0		100.0
JPM-US S E P-AEURA	■		Luxembourg	Consolidated structured entity	88.0	76.6	88.0	76.6
LCL AC.DEV.DU.EURO	■		France	Controlled structured entity	46.2	42.7	46.2	42.7
LCL AC.EMERGENTS 3D	■		France	Consolidated structured entity	47.1	48.4	47.1	48.4
LCL ACT.EME.(EU.)3D	■	E1 S1	France	Consolidated structured entity				
LCL ACT.IMMOBI.3D	■		France	Controlled structured entity	48.1	45.7	48.1	45.7
LCL ACT.USA ISR 3D	■		France	Consolidated structured entity	48.9	49.3	48.9	49.3
LCL ACTIONS EURO C	■	E2	France	Consolidated structured entity	77.5		77.5	
LCL ALLOCATION DYNAMIQUE 3D FCP	■		France	Consolidated structured entity	99.9	48.1	94.6	48.1
LCL ALLOCATION EQUILIBRE 3DEC	■		France	Consolidated structured entity	96.5	48.2	92.1	48.2
LCL CAPTURE 40 VIE FCP 3DEC	■	S1	France	Consolidated structured entity		89.1		89.1
LCL D.CAPT.JU.10 3D	■		France	Consolidated structured entity	84.4	84.7	84.4	84.7
LCL DEVELOPPEM.PME C	■		France	Consolidated structured entity	80.2	89.0	80.2	89.0
LCL FDS ECH.MONE.3D	■		France	Consolidated structured entity	85.1	84.6	85.1	84.6
LCL FLEX 30	■		France	Consolidated structured entity	60.0	67.7	60.0	67.7
LCL MONETAIRE -C-	■	E1	France	Consolidated structured entity	40.2		40.2	
LCL MGEST 60 3DEC	■		France	Consolidated structured entity	85.3	87.6	85.3	87.6
LCL MGEST FL.0-100	■		France	Consolidated structured entity	81.9	81.2	81.9	81.2
LCL OBLIGATIONS INFLATION C EUR	■		France	Consolidated structured entity	39.8	43.4	39.8	43.4
LCL ORIENTATION DYNAM FCP3D	■		France	Consolidated structured entity	89.9	89.3	89.9	89.3
LCL ORIENTATION EQUIL.FCP 3DEC	■		France	Consolidated structured entity	91.0	90.6	91.0	90.6
LCL ORIENTATION PRUDENT	■		France	Consolidated structured entity	92.6	92.4	92.6	92.4
LCL PREMIUM J VIE 2014	■	S1	France	Consolidated structured entity		95.9		95.9
LCL SECU.100(JUIL.11)	■		France	Consolidated structured entity	48.7	48.7	48.7	48.7
LCL STRATEGIE 100	■	S4	France	Consolidated structured entity		59.6		59.6
LCL TR 3 MOIS PC 3D	■	E1	France	Consolidated structured entity	65.5		65.5	
LCL TRIPLE H 2013	■	S1	France	Consolidated structured entity		100.0		100.0
LCL VOCATION RENDEMENT NOV 12 3D	■		France	Consolidated structured entity	79.7	79.0	79.7	79.0
OBJECTIF RENDEMENT 1 3DEC FCP	■	S2	France	Consolidated structured entity		100.0		100.0
OCELIA FCP 3DEC	■	S1	France	Consolidated structured entity		100.0		100.0
OPCIMMO LCL SPPICAV 5DEC	■		France	Consolidated structured entity	94.1	95.0	94.1	95.0
OPTALIS DYNAMIQUE C FCP 3DEC	■		France	Consolidated structured entity	92.6	92.6	92.6	92.6
OPTALIS EQUILIBRE C FCP 3DEC	■	S4	France	Consolidated structured entity		83.0		83.0
OPTALIS EXPANSION C FCP 3DEC	■	S2	France	Consolidated structured entity		44.7		44.7
OPTALIS SERENITE C FCP 3DEC	■	S4	France	Consolidated structured entity		85.1		85.1
OPTIMIZ BES TIMING II 3DEC	■		France	Consolidated structured entity	88.6	82.4	88.6	82.4
PARC.RETRAIT.21 3D	■	S2	France	Consolidated structured entity		93.1		93.1
PARCOURS RETRAITE 26 FCP 3DEC	■	S2	France	Consolidated structured entity		81.7		81.7
PARCOURS RETRAITE 31 3DEC	■	S2	France	Controlled structured entity		82.2		82.2
PERSPECTIVE FCP 3DEC	■	S1	France	Consolidated structured entity		100.0		100.0
PIMENTO 3 FCP 3DEC	■	S1	France	Consolidated structured entity		100.0		100.0
PROTEIN'VIE 3 3DEC	■	S1	France	Consolidated structured entity		100.0		100.0
RONDEYS FCP 3DEC	■	S1	France	Consolidated structured entity		100.0		100.0
SEVALES 3D	■	S1	France	Consolidated structured entity		70.3		70.3
SOLIDARITE INITIATIS SANTE	■		France	Consolidated structured entity	56.7	50.0	56.7	50.0
TRIALIS 6 ANS	■	E2	France	Consolidated structured entity	69.1		69.1	
TRIALIS C	■	E2	France	Consolidated structured entity	67.0		67.0	
TRIANANCE N5 C	■	S2	France	Controlled structured entity		48.6		48.6
TRIANANCE N6 C	■	S2	France	Consolidated structured entity		53.3		53.3
TRIANANCE 5 ANS	■		France	Consolidated structured entity	57.6	58.6	57.6	58.6
TRIANANCE 6 ANS	■	E2	France	Consolidated structured entity	61.3		61.3	

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (*Country of incorporation if different from location*)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
VEND.DOUBOPP.IV 3D	■	S2	France	Consolidated structured entity		41.6		41.6
VENDOME DOUBLE OPP II FCP 3DEC	■	S2	France	Consolidated structured entity		45.7		45.7
VENDOME DOUBLE OPPORT FCP 3DEC	■	S2	France	Consolidated structured entity		41.1		41.1
VENDOME INV.FCP 3DEC	■		France	Consolidated structured entity	90.6	91.1	90.6	91.1
Real estate collective investment fund (OPCI)								
OPCI Camp Invest	■		France	Consolidated structured entity	68.8	68.8	68.8	68.8
OPCI ECO CAMPUS SPPICAV	■	E2	France	Controlled structured entity	100.0		100.0	
OPCI Immanens	■		France	Consolidated structured entity	100.0	100.0	75.5	80.0
OPCI Immo Emissions	■		France	Consolidated structured entity	100.0	100.0	75.5	80.0
OPCI Iris Invest 2010	■		France	Consolidated structured entity	80.1	80.1	80.1	80.1
OPCI KART	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
OPCI MASSY BUREAUX	■	E2	France	Controlled structured entity	89.4		89.4	
OPCI Messidor	■		France	Consolidated structured entity	93.7	93.6	93.6	93.6
Predica OPCI Bureau	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Predica OPCI Commerces	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Predica OPCI Habitation	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Non-trading real estate investment company (SCI)								
SCI BMEDIC HABITATION	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI CAMPUS MEDICIS ST DENIS	■		France	Subsidiary	70.0	70.0	70.0	70.0
SCI CAMPUS RIMBAUD ST DENIS	■		France	Subsidiary	70.0	70.0	70.0	70.0
SCI FEDERALE PEREIRE VICTOIRE	■		France	Subsidiary	99.0	99.0	99.0	99.0
SCI FEDERALE VILLIERS	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI FEDERCOM	■	S4	France	Subsidiary		100.0		100.0
SCI FEDERLOG	■		France	Subsidiary	99.9	99.9	99.9	99.9
SCI FEDERLONDRES	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI FEDERPIERRE	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI GRENIER VELLEF	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 001	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 003	■	E1	France	Subsidiary	100.0		100.0	
SCI IMEFA 004	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 005	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 006	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 008	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 011	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 012	■	E1	France	Subsidiary	100.0		100.0	
SCI IMEFA 013	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 016	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 017	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 018	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 020	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 022	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 025	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 032	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 033	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 034	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 035	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 036	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 037	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 038	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 039	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 042	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 043	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 044	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 047	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 048	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 051	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 052	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 054	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 057	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 058	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 060	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 061	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 062	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 063	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 064	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 067	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 068	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 069	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 072	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 073	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 074	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 076	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 077	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 078	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 079	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 080	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 081	■	E1	France	Subsidiary	100.0		100.0	
SCI IMEFA 082	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 083	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 084	■		France	Subsidiary	100.0	100.0	100.0	100.0

(1) *Consolidation method : ■ Full ▲ Equity accounted ● Parent*

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (*Country of incorporation if different from location*)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
SCI IMEFA 085	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 089	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 091	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 092	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 096	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 100	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 101	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 102	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 103	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 104	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 105	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 107	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 108	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 109	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 110	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 112	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 113	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 115	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 116	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 117	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 118	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 120	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 121	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 122	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 123	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 126	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 128	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 129	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 131	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 132	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI IMEFA 139	■	S4	France	Subsidiary		100.0		100.0
SCI IMEFA 140	■		France	Subsidiary	99.0	99.0	99.0	99.0
SCI IMEFA 148	■	E1	France	Subsidiary	99.0		99.0	
SCI IMEFA 150	■	E1	France	Subsidiary	99.0		99.0	
SCI IMEFA 155	■	E1	France	Subsidiary	74.0		74.0	
SCI IMEFA 156	■	E1	France	Subsidiary	99.0		99.0	
SCI IMEFA 158	■	E1	France	Subsidiary	99.0		99.0	
SCI IMEFA 159	■	E1	France	Subsidiary	99.0		99.0	
SCI IMEFA 164	■	E1	France	Subsidiary	99.0		99.0	
SCI LE VILLAGE VICTOR HUGO	■		France	Subsidiary	96.4	96.4	96.4	96.4
SCI MEDI BUREAUX	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI PACIFICA HUGO	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI PORTE DES LILAS - FRERES FLAVIEN	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI VALHUBERT	■		France	Subsidiary	100.0	100.0	100.0	100.0

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (*Country of incorporation if different from location*)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
Other								
AMUNDI IT Services	■		France	Subsidiary	99.8	99.8	77.5	81.2
CACI Gestion	■		France	Subsidiary	82.0	82.0	82.0	82.0
CAL Conseil	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Private Banking Management Company	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
SA RESICO	■		France	Subsidiary	100.0	100.0	100.0	100.0
SAS Caagis	■		France	Subsidiary	100.0	100.0	100.0	100.0
Investor Service House S.A.	■		Luxembourg	Subsidiary	100.0	100.0	85.0	85.0
Partinvest S.A.	■		Luxembourg	Subsidiary	100.0	100.0	85.0	85.0
Via Vita	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI LA BAUME	■	S3	France	Subsidiary		100.0		100.0
RAMSAY - GENERALE DE SANTE	▲	E1	France	Subsidiary	38.4		38.4	
INFRA FOCH TOPCO	▲	E1	France	Subsidiary	36.9		36.9	
ALTAREA	▲	E1	France	Subsidiary	27.7		27.7	
KORIAN	▲	E1	France	Subsidiary	23.9		23.9	
EUROSIC	▲	E1	France	Subsidiary	21.3		21.3	
FREY	▲	E1	France	Subsidiary	20.0		20.0	
Corporate and investment banking								
Banking and financial institutions								
Banco Crédit Agricole Brasil S.A.	■		Brazil	Subsidiary	100.0	100.0	100.0	100.0
Banque Saudi Fransi - BSF	▲		Saudi Arabia	Associate	31.1	31.1	31.1	31.1
Crédit Agricole CIB (ABU DHABI)	■		United Arab Emirates *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Allemagne)	■		Germany *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agriciole CIB (Belgique)	■		Belgium *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Chicago)	■		United States *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Corée du Sud)	■		South Korea *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Dubai)	■		United Arab Emirates *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Dubai DIFC)	■		United Arab Emirates *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Espagne)	■		Spain *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Finlande)	■		Finland *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Hong Kong)	■		Hong Kong *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Iles Caymans)	■		Cayman Islands *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Inde)	■		India *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Italie)	■		Italy *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Japon)	■		Japan *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Luxembourg)	■		Luxembourg *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (New-York)	■		United States *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Royaume-Uni)	■		United Kingdom *(France)*	Branch	100.0	100.0	100.0	100.0

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location *(Country of incorporation if different from location)*	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
Crédit Agricole CIB (Singapour)	■		Singapore *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Suède)	■		Sweden *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Taipei)	■		Taiwan *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Vietnam)	■		Vietnam *(France)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole CIB Algérie Bank Spa	■		Algeria	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole CIB AO	■	D1	Russia	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole CIB Australia Ltd.	■		Australia	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole CIB China Ltd.	■		China	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole CIB S.A.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole CIB Services Private Ltd.	■		India	Subsidiary	100.0	100.0	100.0	100.0
Ester Finance Titrisation	■		France	Subsidiary	100.0	100.0	100.0	100.0
UBAF	▲		France	Joint venture	47.0	47.0	47.0	47.0
UBAF (Corée du Sud)	▲		South Korea *(France)*	Joint venture	47.0	47.0	47.0	47.0
UBAF (Japon)	▲		Japan *(France)*	Joint venture	47.0	47.0	47.0	47.0
UBAF (Singapour)	▲		Singapore *(France)*	Joint venture	47.0	47.0	47.0	47.0
Stockbrokers								
Crédit Agricole Securities (USA) Inc	■		United States	Subsidiary	100.0	100.0	100.0	100.0
Investment companies								
Compagnie Française de l'Asie (CFA)	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole CIB Air Finance S.A.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole CIB Holdings Ltd.	■		United Kingdom	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Global Partners Inc.	■		United States	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Securities Asia BV	■		Netherlands	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Securities Asia BV (Tokyo)	■		Japan *(Netherlands)*	Branch	100.0	100.0	100.0	100.0
Crédit Agricole Securities Taiwan	■	D4	Taiwan	Subsidiary	100.0	100.0	100.0	100.0
Doumer Finance S.A.S.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Fininvest	■		France	Subsidiary	98.3	98.3	98.3	98.3
Fletirec	■		France	Subsidiary	100.0	100.0	100.0	100.0
I.P.F.O.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Indosuez CM II Inc.	■		United States	Subsidiary	100.0	100.0	100.0	100.0
L.F. Investment Inc.	■		United States	Subsidiary	100.0	100.0	100.0	100.0
L.F. Investment L.P.	■		United States	Subsidiary	100.0	100.0	100.0	100.0
Insurance								
CAIRS Assurance S.A.	■		France	Subsidiary	100.0	100.0	100.0	100.0
Other								
Acieralliage EURO FCC	■		France	Consolidated structured entity	100.0	100.0		
Acieralliage USD FCC	■		United States	Consolidated structured entity	100.0	100.0		
Armo-Invest	■		France	Subsidiary	100.0	100.0	96.6	99.5
Atlantic Asset Securitization LLC	■		United States	Consolidated structured entity	100.0	100.0		

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location *(Country of incorporation if different from location)*	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
Benelpart	■		Belgium	Subsidiary	100.0	99.0	96.6	98.5
Calciphos	■		France	Subsidiary	100.0	100.0	96.6	99.5
Calixis Finance	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Calliope SRL	■		Italy	Consolidated structured entity	100.0	100.0	100.0	100.0
Calyce P.L.C.	■	S3	United Kingdom	Consolidated structured entity		100.0		100.0
Clifap	■		France	Subsidiary	100.0	100.0	100.0	100.0
CLSA Financial Products Ltd	■		Bermuda	Consolidated structured entity	100.0	100.0	100.0	100.0
Crédit Agricole America Services Inc.	■		United States	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Asia Shipfinance Ltd.	■		Hong Kong	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole CIB Finance (Guernsey) Ltd.	■		Guernesey	Consolidated structured entity	99.9	99.9	99.9	99.9
Crédit Agricole CIB Financial Prod. (Guernsey) Ltd.	■		Guernesey	Consolidated structured entity	99.9	99.9	99.9	99.9
Crédit Agricole CIB Financial Solutions	■		France	Consolidated structured entity	99.6	99.6	99.6	99.6
Crédit Agricole CIB Global Banking	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Leasing (USA) Corp.	■		United States	Subsidiary	100.0	100.0	100.0	100.0
DGAD International SARL	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole CIB Pension Limited Partnership	■	E2	United Kingdom	Subsidiary	100.0		100.0	
Elipso Finance S.r.l	▲		Italy	Joint venture	50.0	50.0	50.0	50.0
ESNI (compartiment Crédit Agricole CIB)	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Eucalyptus FCT	■		France	Consolidated structured entity	100.0	100.0		
FCT Cablage FCT	■		France	Consolidated structured entity	100.0	100.0		
FIC-FIDC	■		Brazil	Consolidated structured entity	100.0	100.0	100.0	100.0
Financière des Scarabées	■		Belgium	Subsidiary	100.0	100.0	98.3	99.8
Héphaïstos EUR FCC	■		France	Consolidated structured entity	100.0	100.0		
Héphaïstos GBP FCT	■		France	Consolidated structured entity	100.0	100.0		
Héphaïstos Multidevises FCT	■		France	Consolidated structured entity	100.0	100.0		
Héphaïstos USD FCT	■		France	Consolidated structured entity	100.0	100.0		
Himalia P.L.C.	■	S3	United Kingdom	Consolidated structured entity		100.0		100.0
Immobilière Sirius S.A.	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Indosuez Holding SCA II	■		Luxembourg	Consolidated structured entity	100.0	100.0	100.0	100.0
Indosuez Management Luxembourg II	■		Luxembourg	Consolidated structured entity	100.0	100.0	100.0	100.0
Island Refinancing SRL	■		Italy	Consolidated structured entity	100.0	100.0	100.0	100.0

(1) *Consolidation method :* ■ *Full* ▲ *Equity accounted* ● *Parent*

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
ItalAsset Finance SRL	■	E2	Italy	Subsidiary	100.0		100.0	
Lafina	■		Belgium	Subsidiary	100.0	100.0	97.1	98.8
LMA SA	■		France	Consolidated structured entity	100.0	100.0		
Merisma	■		France	Consolidated structured entity	100.0	100.0	100.0	100.0
Miladim	■		France	Subsidiary	99.2	99.0	95.7	99.1
Molinier Finances	■		France	Subsidiary	100.0	100.0	96.5	98.7
Pacific EUR FCC	■		France	Consolidated structured entity	100.0	100.0		
Pacific IT FCT	■		France	Consolidated structured entity	100.0	100.0		
Pacific USD FCT	■		France	Consolidated structured entity	100.0	100.0		
Placements et réalisations immobilières (SNC)	■		France	Subsidiary	100.0	100.0	96.7	99.5
Sagrantino Italy SRL	■		Italy	Consolidated structured entity	100.0	100.0	100.0	100.0
Segemil	■	S4	Luxembourg	Subsidiary		100.0		99.5
Shark FCC	■		France	Consolidated structured entity	100.0	100.0		
SNGI	■		France	Subsidiary	100.0	100.0	100.0	100.0
SNGI Belgium	■		Belgium	Subsidiary	100.0	100.0	100.0	100.0
Sococlabecq	■		Belgium	Subsidiary	100.0	100.0	97.1	98.8
Sofipac	■		Belgium	Subsidiary	99.6	99.0	96.1	99.5
TCB	■		France	Subsidiary	98.6	86.5	97.1	99.7
Triple P FCC	■		France	Consolidated structured entity	100.0	100.0		
Vulcain EUR FCT	■		France	Consolidated structured entity	100.0	100.0		
Vulcain GBP FCT	■		France	Consolidated structured entity	100.0	100.0		
Vulcain USD FCT	■		France	Consolidated structured entity	100.0	100.0		
Corporate center								
Crédit Agricole S.A.								
Crédit Agricole S.A.	●		France	Parent Company	100.0	100.0	100.0	100.0
Branch Credit Agricole SA	■		United Kingdom *(France)*	Branch	100.0	100.0	100.0	100.0
Banking and financial institutions								
BFC Antilles Guyane	■	S4	France	Subsidiary		100.0		100.0
Caisse régionale de Crédit Agricole mutuel de la Corse	●		France	Parent Company	100.0	100.0	100.0	100.0
CL Développement de la Corse	●		France	Parent Company	100.0	100.0	100.0	100.0
Crédit Agricole Home Loan SFH	■		France	Subsidiary	100.0	100.0	100.0	100.0
Fia-Net	■		France	Subsidiary	100.0	100.0	100.0	100.0
Foncaris	■		France	Subsidiary	100.0	100.0	100.0	100.0
Radian	■		France	Subsidiary	100.0	100.0	100.0	100.0
Sacam Developpement	■		France	Subsidiary	100.0	100.0	100.0	100.0
Sacam International	■		France	Subsidiary	100.0	100.0	100.0	100.0
Investment companies								
Crédit Agricole Capital Investissement et Finance (CACIF)	■		France	Subsidiary	100.0	100.0	100.0	100.0
Delfinances	■		France	Subsidiary	100.0	100.0	100.0	100.0
Eurazeo	▲		France	Associate	22.1	21.5	15.1	14.7
S.A.S. La Boetie	●		France	Parent Company	100.0	100.0	100.0	100.0
Sacam Assurances Cautions	■		France	Subsidiary	100.0	100.0	100.0	100.0
Sacam Fia Net Europe	■		France	Subsidiary	100.0	100.0	100.0	100.0
Sacam Participations	■		France	Subsidiary	100.0	100.0	100.0	100.0
Sodica	■		France	Subsidiary	100.0	100.0	100.0	100.0
Other								
CA Grands Crus	■		France	Subsidiary	100.0	100.0	100.0	100.0
CA Preferred Funding LLC	■	S1	United States	Subsidiary		100.0		6.5
Crédit Agricole Cards & Payments	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Immobilier	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Immobilier Facilities	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Public Sector SCF	■		France	Subsidiary	100.0	100.0	100.0	100.0
DELTA	■	E2	France	Subsidiary	100.0		100.0	
SCI MONTAIGNE	■	E2	France	Subsidiary	100.0		100.0	
ESNI (compartiment Crédit Agricole S.A.)	■	E2	France	Consolidated structured entity	100.0		100.0	
FCT Evergreen HL1	■		France	Controlled structured entity	100.0	100.0	100.0	100.0
Fia Net Europe	■		Luxembourg	Subsidiary	100.0	100.0	100.0	100.0
Finasic	■		France	Subsidiary	100.0	100.0	100.0	100.0
IDIA	■	E2	France	Subsidiary	100.0		100.0	
S.A.S. Evergreen Montrouge	■		France	Subsidiary	100.0	100.0	100.0	100.0
S.A.S. Sacam Avenir	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI D2 CAM	■		France	Subsidiary	100.0	100.0	100.0	100.0
SCI Quentyvel	■		France	Subsidiary	100.0	100.0	100.0	100.0
SILCA	■		France	Subsidiary	100.0	100.0	99.4	99.5
SIS (Société Immobilière de la Seine)	■		France	Subsidiary	100.0	100.0	100.0	100.0
SNC Kalliste Assur	■		France	Subsidiary	100.0	100.0	100.0	100.0
UI Vavin 1	■		France	Subsidiary	100.0	100.0	100.0	100.0
Unibiens	■		France	Subsidiary	100.0	100.0	100.0	100.0
Uni-Edition	■		France	Subsidiary	100.0	100.0	100.0	100.0
Tourism - property development								
Crédit Agricole Immobilier Entreprise	■		France	Subsidiary	100.0	100.0	100.0	100.0
Crédit Agricole Immobilier Résidentiel	■		France	Subsidiary	100.0	100.0	100.0	100.0
Monné-Decroix Gestion S.A.S.	■		France	Subsidiary	100.0	100.0	100.0	100.0
SASU Crédit Agricole Immobilier Investors	■		France	Subsidiary	100.0	100.0	100.0	100.0
SA Projénor	■	D3 S2	France	Subsidiary				
Selexia S.A.S.	■		France	Subsidiary	100.0	100.0	100.0	100.0

Crédit Agricole Group Scope of consolidation	(1)	(a)	Location (Country of incorporation if different from location)	Nature of control (b)	% control 31/12 2015	% control 31/12 2014	% interest 31/12 2015	% interest 31/12 2014
SNC Alsace	■		France	Subsidiary	100.0	100.0	100.0	100.0
SNC Eole	■		France	Subsidiary	100.0	100.0	100.0	100.0

(1) Consolidation method : ■ Full ▲ Equity accounted ● Parent

Branches are mentioned in italic

(a) Scope changes

Inclusions (E) into the scope of consolidation:

E1 : Breach of threshold

E2 : Creation

E3 : Acquisition (including controlling interests)

Exclusions (S) from the scope of consolidation:

S1 : Discontinuation of business (including dissolution and liquidation)

S2 : Sale to non-Group companies or deconsolidation following loss of control

S3 : Deconsolidated due to non-materiality

S4 : Merger or takeover

S5 : Transfer of all assets and liabilities

Other (D):

D1 : Change of company name

D2 : Change in consolidation method

D3 : First time listed in the Note on scope of consolidation

D4 : IFRS 5 entities

(b) Nature of control

Subsidiary

Branch

Consolidated structured entity

Joint venture

Structured joint venture

Joint operation

Associate

Structured associate

From January 2016 18th, there are some changes in Private Banking companies' name

- CA Brasil DTVM becomes CA Indosuez Wealth (Brazil) S.A. DTVM
- CA Indosuez Private Banking becomes CA Indosuez Wealth (France)
- CA Luxembourg (Spain) becomes CA Indosuez Wealth (Europe) Spain Branch
- CA Luxembourg (Italy) becomes CA Indosuez Wealth (Europe) Italy Branch
- CA Private Banking becomes CA Indosuez Wealth (Group)
- CA PRIVATE BANKING MANAGEMENT COMPANY becomes CA Indosuez Wealth (Asset Management)
- CA Suisse becomes CA Indosuez (Switzerland) S.A.
- CA Suisse SA Hong Kong Branch becomes CA Indosuez (Switzerland) S.A. Hong Kong Branch
- CA Suisse SA Singapore Branch becomes CA Indosuez (Switzerland) S.A. Singapore Branch
- CFM becomes CFM Indosuez Wealth
- Crédit Agricole Luxembourg becomes CA Indosuez Wealth (Europe)
- Crédit Agricole Luxembourg (Belgium) becomes CA Indosuez Wealth (Europe) Belgium Branch
- Crédit Agricole Luxembourg Conseil SA becomes CA Indosuez Wealth (Global Structuring)
- Finanziaria Indosuez International Ltd. becomes CA Indosuez Finanziaria S.A.

NOTE 13 Investments in non-consolidated companies and structured entities

13.1 Investments in non-consolidated companies

This line item amounts to €10,095 million at 31 December 2015, compared with €9,274 million at 31 December 2014. At 31 December 2015, the main investment in non-consolidated companies where percentage of control is greater than 20% and which have significant value on the balance sheet is Crédit Logement (shares A and B). The Group's investment represents 33% of Crédit Logement's capital and amounts to €500 million but does not confer any significant influence on this entity, which is jointly held by various French banks and companies.

13.2 Non-consolidated structured entities

INFORMATION ON THE NATURE AND EXTENT OF INTERESTS HELD

At 31 December 2015, Crédit Agricole Group's subsidiaries had interests in certain non-consolidated structured entities, the main characteristics of which are presented below on the basis of their type of activity:

Securitisation

Crédit Agricole Group, mainly through its subsidiaries in the Corporate and investment banking business line, is tasked with structuring securitisation vehicles through the purchase of trade or financial receivables. The vehicles fund such purchases by issuing multiple tranches of debt and equity investments, with repayment being linked to the performance of the assets in such vehicles. It invests in and provides liquidity facilities to the securitisation vehicles it has sponsored on behalf of customers.

Asset management

Crédit Agricole Group, through its subsidiaries in the Savings management and Insurance business line, structures and manages entities on behalf of customers wishing to invest in specific assets in order to obtain the best possible return having regard to the chosen level of risk. Crédit Agricole Group entities may thus either be required to hold interests in such entities in order to ensure a successful launch or to guarantee the performance of such structures.

Investment funds

Entities in the Savings management and Insurance business line of Crédit Agricole Group invest in companies established in response to requests from investors in connection a) with treasury management and b) with the investment of insurance premiums received from insurance company customers pursuant to the regulatory provisions set out in the French Insurance Code. Insurance company investments are meant to cover commitments to policyholders over the life of insurance policies. Their value and returns are correlated to these commitments.

Structured finance

Lastly, Crédit Agricole Group, *via* its subsidiaries in the Corporate and investment banking business line, is involved in special purpose asset acquisition entities. These entities may take the form of asset financing companies or lease financing companies. In structured entities, the financing is secured by the asset. The Group's involvement is often limited to the financing or to financing commitments.

Sponsored entities

Crédit Agricole Group sponsors structured entities in the following instances:

- Crédit Agricole Group is involved in establishing the entity and that involvement, which is remunerated, is deemed essential for ensuring the proper completion of transactions;
- Structuring takes place at the request of Crédit Agricole Group and it is the main user thereof;
- Crédit Agricole Group transfers its own assets on the structured entity;
- Crédit Agricole Group is the manager;
- The name of a subsidiary or of the parent company of Crédit Agricole Group is linked to the name of structured entity or to financial instruments issued by it.

Gross revenues, mainly commissions in securitisation and assets management, from sponsored entities in which Crédit Agricole CIB did not hold any interest at the end of the period amount for €6 million at 31 December 2015.

INFORMATION ON THE RISKS RELATED TO INTERESTS

Financial support brought to structured entities

During 2015, Crédit Agricole Group did not give any financial support to non-consolidated structured entities.

On the 31 December 2015, Crédit Agricole Group does not intend to give any financial support to a non-consolidated structured entity.

RISKS RELATED TO INTERESTS IN NON-CONSOLIDATED STRUCTURED ENTITIES

	31/12/2015							
	Securitisation vehicles		Asset management		Investment Funds[1]		Structured financing[1]	
		Maximum loss		Maximum loss		Maximum loss		Maximum loss
(in millions of euros)	*Carrying amount*	*Maximum exposure to losses*	*Carrying amount*	*Maximum exposure to losses*	*Carrying amount*	*Maximum exposure to losses*	*Carrying amount*	*Maximum exposure to losses*
Financial assets held for trading	379	396	604	604	362	362	109	109
Financial assets designated at fair value through profit or loss	-	-	1,163	1,163	16,972	16,972	-	-
Available-for-sale financial assets	43	43	1,228	1,227	14,322	14,323	107	107
Loans and receivables	13,183	13,183	-	-	5	5	3,602	3,371
Held-to-maturity financial assets	-	-	-	-	-	-	-	-
Total assets recognised relating to non-consolidated structured entities	**13,605**	**13,622**	**2,995**	**2,994**	**31,661**	**31,662**	**3,818**	**3,587**
Equity instruments issued	-		-		-		-	
Financial liabilities held for trading	976	-	1,265	-	144	-	6	-
Financial liabilities designated at fair value through profit or loss	-		-		-		-	
Liabilities	1,570		-		436		775	
Total liabilities recognised relating to non-consolidated structured entities	**2,546**	**-**	**1,265**	**-**	**580**	**-**	**781**	**-**
Commitments given								
Financing commitments		15,539		-		1,237		735
Guarantee commitments		33		18,150		-		237
Others		-		-		-		-
Provisions for execution risks - commitments given		2		(6)		-		-
Total commitments (net of provision) to non-consolidated structured entities		**15,574**		**18,144**		**1,237**		**972**
TOTAL BALANCE SHEET RELATING TO NON-CONSOLIDATED STRUCTURED ENTITIES	**17,117**		**82,398**		**222,209**		**4,893**	

(1) Non-sponsored structured entities generate no specific risk related to the nature of the entity. Information concerning these exposures is set out in Note 3.1 "Exposure to credit risk" and Note 3.2 "Market risk". These are investment funds in which the Group is not a manager, and structured financing entities in which the Group has only granted a loan.

	31/12/2014 Restated							
	Securitisation vehicles		Asset management		Investment Funds[1]		Structured financing[1]	
		Maximum loss		*Maximum loss*		*Maximum loss*		*Maximum loss*
(in millions of euros)	*Carrying amount*	*Maximum exposure to losses*	*Carrying amount*	*Maximum exposure to losses*	*Carrying amount*	*Maximum exposure to losses*	*Carrying amount*	*Maximum exposure to losses*
Financial assets held for trading	1,216	1,270	538	535	1,391	1,391	118	118
Financial assets designated at fair value through profit or loss	-	-	382	382	15,579	15,579	-	-
Available-for-sale financial assets	262	257	1,303	1,303	12,011	11,516	73	73
Loans and receivables	11,082	11,082	-	-	553	553	3,422	3,422
Held-to-maturity financial assets	-	-	-	-	-	-	-	-
Total assets recognised relating to non-consolidated structured entities	**12,560**	**12,609**	**2,223**	**2,220**	**29,534**	**29,039**	**3,613**	**3,613**
Equity instruments issued	-		-		-		-	
Financial liabilities held for trading	984	20	1,741	-	796	-	7	7
Financial liabilities designated at fair value through profit or loss	-		-		-		-	
Liabilities	3,196		-		1,600		781	
Total liabilities recognised relating to non-consolidated structured entities	**4,180**	**20**	**1,741**	**-**	**2,396**	**-**	**788**	**7**
Commitments given								
Financing commitments		13,116		-		69		531
Guarantee commitments		24		22,761		-		240
Others		-		-		199		-
Provisions for execution risks - commitments given		-		(6)		-		-
Total commitments (net of provision) to non-consolidated structured entities		**13,139**		**22,755**		**268**		**771**
TOTAL BALANCE SHEET RELATING TO NON-CONSOLIDATED STRUCTURED ENTITIES	**15,072**		**98,497**		**186,666**		**4,369**	

(1) Non-sponsored structured entities generate no specific risk related to the nature of the entity. Information concerning these exposures is set out in Note 3.1 "Exposure to credit risk" and Note 3.2 "Market risk". These are investment funds in which the Group is not a manager, and structured financing entities in which the Group has only granted a loan.

MAXIMUM EXPOSURE TO LOSS RISK

The maximum exposure to loss risk on financial instruments corresponds to the value recognised on the balance sheet, with the exception of option sale derivatives and credit default swaps for which the exposure corresponds to assets for the notional amount and to liabilities for the notional amount less the mark-to-market. The maximum exposure to loss risk on commitments given corresponds to the notional amount and the provision for commitments given in the amount recognised on the balance sheet.

NOTE 14 Events after 31 December 2015

PROJECT INVOLVING INVESTMENTS HELD BY CRÉDIT AGRICOLE S.A. IN THE REGIONAL BANKS

Crédit Agricole S.A. ("CASA") and the Crédit Agricole Regional Banks ("CRCAs") are considering a transaction (the "Transaction") to simplify the Group's structure, involving the intragroup reclassifyication of the Cooperative Investment Certificates (*Certificats Coopératifs d'Investissement or "CCIs"*) and Cooperative Associate Certificates (*Certificats Coopératifs d'Associé or "CCAs"*) currently owned by Crédit Agrciole S.A through a holding company ("Sacam Mutualisation") jointly owned by the CRCAs.

This project is being undertaken with a view to (i) simplifying the Group structure in relation to the market and the Supervisor, (ii) achieving greater clarity regarding CASA's activity and that of its business lines, (iii) strengthening the financial structure and capital of Crédit Agricole S.A, and (iv) enhancing the mutualisation of the CRCAs' results.

The achievement of the Transaction is subject to the *Autorité des marchés financiers'* decision that there is no requirement for a public offer to withdraw.

The main components of the Transaction are as follows:

- The repurchase of the majority of the CCI/CCAs owned by Crédit Agricole S.A by Sacam Mutualisation, for an initial value of €18 billion at 31 December 2015, to be adjusted according to changes in the CRCAs' shareholders' equity between this date and the closing of the Transaction, with dividends paid by the CRCAs in respect of 2015 being payable to Crédit Agricole S.A.

  NB: for legal reasons inherent to their business activity, Crédit Agricole S.A and Predica will retain an interest in the CCA/CCIs:

  - the CCAs of four Regional Banks (for these four Regional Banks, the CCI/CCAs represent more than 50% of the capital of the said Regional Bank: in this case, the law requires that the CCI/CCAs issued by the Regional Bank and not owned by the central body may not represent more than 50% of its capital),
  - CCIs owned by Predica (an insurance subsidiary of Crédit Agricole S.A) and which are owned in respect of life-insurance contracts, will remain in Predica's portfolio,
  - CCIs owned as part of liquidity contracts (and currently not consolidated using the equity method);
- Sacam Mutualisation will be financed through a capital contribution from the CRCAs (each Regional Bank will subscribe to a capital increase, allowing them to acquire the CCI/CCAs held by Crédit Agricole S.A).

  Crédit Agricole S.A will grant the CRCAs mid- and long-term loans in the total amount of €11 billion at a fixed rate of 2.15% in order to finance part of Sacam Mutualisation's capital increase;
- The Switch guarantee will be unwound for the component covering the CCI/CCAs as provided in the agreement, and the deposit related to this guarantee (€5 billion) will be repaid.

Context of the transaction

Since its initial public offering in 2001, Crédit Agricole S.A has owned around 25% of the capital of 38 CRCAs through "CCI/CCAs" (shares without voting rights, but giving right to participation in profits).

In its capacity as the central body, Crédit Agricole S.A has significant influence over the CRCAs. As a result, Crédit Agricole S.A's holding in the CRCAs is consolidated using the equity method in the financial statements.

The transaction would involve

- a significant simplification of the structure of Crédit Agricole S.A. and of Crédit Agricole Group; and
- an improvement in the regulatory position of Crédit Agricole S.A. by reinforcing its shareholders' equity and, in particular, enabling an attractive cash dividend payment policy to be secured with a distribution rate of 50%.

The sale price of the CCI/CCAs to "Sacam Mutualisation" would be set as a multiple of their consolidated IFRS shareholders' equity, established on the basis of a standardised valuation of all of the CRCAs, and reviewed by independent experts. The price that Crédit Agricole S.A. will actually receive at the time of the transaction would be increased by the change in the CRCAs' shareholders equity over the period up to the closing date.

Accounting and regulatory consequences of the transaction

The transaction would have no impact on the financial statements of Crédit Agricole Group. It would also have no effect on income tax and regulatory ratios.

STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

For the year ended December 31, 2015

This is a free translation into English of the Statutory Auditors' report issued in French. It is provided solely for the convenience of English speaking users. The Statutory Auditors' report includes information required specifically by French law in such reports, whether qualified or not. This information presents below the opinion on the consolidated financial statements and includes an explanatory paragraph discussing the auditors' assessments of certain significant accounting and auditing matters. These assessments were considered for the purpose of issuing an audit opinion on the consolidated financial statements taken as a whole and not to provide separate assurance on individual account captions or on information taken outside of the consolidated financial statements.

This report should be read and construed in accordance with French law and professional auditing standards applicable in France.

Dear Sirs,

In compliance with the assignment entrusted to us by your General Meeting of Shareholders, we hereby report to you, for the year ended December 31, 2015, on:

- the audit of the accompanying consolidated financial statements of Crédit Agricole Group;
- the justification of our assessments;
- the specific verification required by law.

These consolidated financial statements have been approved by the Board of Directors of Crédit Agricole S.A. Our role is to express an opinion on these consolidated financial statements based on our audit.

As indicated in the Note "General framework" to the consolidated financial statements, the consolidated financial statements of the Crédit Agricole Group reporting entity, a network with a central body, are prepared on the basis of a community of interests comprising all the Local Banks, Regional Banks and the Crédit Agricole central body.

I - Opinion on the consolidated financial statements

We conducted our audit in accordance with professional standards applicable in France; those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement. An audit involves performing procedures, using sample techniques or other methods of selection, to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made, as well as the overall presentation of the consolidated financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

In our opinion, the consolidated financial statements give a true and fair view of the assets and liabilities and of the financial position of the Group as at December 31, 2015 and of the results of its operations for the year then ended in with International Financial Reporting Standards as adopted by the European Union.

II - Justification of our assessments

In accordance with the requirements of article L.823-9 of the French Commercial Code *(Code de Commerce)* relating to the justification of our assessments, we bring to your attention the following matters:

- The Crédit Agricole Group accounts for impairment reserves to cover identified credit risk, which are inherent to its business activities. We have reviewed the procedures implemented by management to identify and assess these risks and to determine the amount of impairment considered necessary, and we have verified that these accounting estimates were based on documented methods that comply with the principles described in Note 1.3 to the consolidated financial statements.
- As stated in Notes 1.3 and 10.2 to the consolidated financial statements, the Crédit Agricole Group uses internal models to measure financial instruments with unobservable inputs, and to assess some fair value adjustments of financial instruments. We have reviewed the control procedures around these models, the assumptions used and the way the risks associated with such instruments are taken into consideration.
- As stated in Notes 1.4 and 6.18 to the consolidated financial statements, your Group has performed impairment tests on goodwills and investments. We have reviewed the terms and conditions related to these tests, the main parameters and assumptions used, and have verified that the presentation in the notes to the consolidated financial statements was appropriate.
- As stated in Notes 1.3 to the consolidated financial statements, the Crédit Agricole Group establishes provisions to cover the legal and tax risks to which it is exposed. We have examined the mechanism implemented by management to identify and evaluate these risks and to determine the necessary amount of provisions. We have also verified the appropriateness of the information given in Notes 2 and 6.20 to the financial statements.
- As part of its consolidated financial statements preparation process, the Crédit Agricole Group has made other accounting estimates, as explained in Note 1.3 to the consolidated financial statements, in particular regarding the valuation and impairment of non-consolidated equity securities, the pension and future employee benefits engagements, reserves for operational risks, reserves for legal risks, insurance company technical reserves and deferred taxes assets. We have reviewed the methods and assumptions used and ensured that the accounting estimates are appropriately documented in conformity with the principles described in Note 1.3 of the consolidated financial statements.

These assessments were made as part of our audit of the consolidated financial statements taken as a whole, and therefore contributed to the opinion we formed which is expressed in the first part of this report.

III - Specific verification

As required by law, we have also verified in accordance with professional standards applicable in France the information presented in the Group's management report.

We have no matters to report as to its fair presentation and its consistency with the consolidated financial statements.

Neuilly-sur-Seine and Paris-La Défense, on April 1, 2016

The statutory auditors

PricewaterhouseCoopers Audit	ERNST & YOUNG and Others
Anik Chaumartin	Valérie Meeus

3 PERSON RESPONSIBLE FOR THE REGISTRATION DOCUMENT AND ITS UPDATES

Mr Philippe Brassac, Chief Executive Officer of Crédit Agricole S.A.

RESPONSIBILITY STATEMENT

I hereby certify that, to my knowledge and after all due diligence, the information contained in this update is true and accurate and contains no omissions likely to affect the import thereof.

I hereby certify that, to my knowledge, the financial statements have been prepared in accordance with the applicable accounting standards and give a true and fair view of the financial position and results of the Company and all entities included in the consolidated group, and that the management report herewith provides a true and fair view of the business trends, results and financial condition of the Company data and all entities included in the consolidated group, together with a description of the main risks and uncertainties that they face.

I have obtained a letter from the Statutory Auditors, PricewaterhouseCoopers Audit and Ernst & Young et Autres, upon completion of their work, in which they state that they have verified the information relating to the financial situation and financial statements provided in this registration document and read the document as a whole.

The Statutory Auditors have prepared reports on the annual consolidated financial statements of the Crédit Agricole Group for the year ended 31 December 2015, which can be found on pages 263 to 264 of this update to the Registration Document.

Issued in Montrouge on 1 April 2016

The Chief Executive Officer of Crédit Agricole S.A.

Philippe BRASSAC

STATUTORY AUDITORS

Statutory Auditors

Ernst & Young	PricewaterhouseCoopers Audit
Represented by Valérie Meeus	Represented by Anik Chaumartin
1-2, place des Saisons	63, rue de Villiers
92400 Courbevoie, Paris - La Défense 1	92208 Neuilly-sur-Seine, France
Statutory Auditors, Member, Compagnie régionale des Commissaires aux comptes de Versailles	Statutory Auditors, Member, Compagnie régionale des Commissaires aux comptes de Versailles

The Crédit Agricole S.A. Board of Statutory Auditors remained unchanged in 2011/2012/2013/2014/2015. The signatories remained unchanged in 2011/2012/2013 and 2014, Valérie Meeus for Ernst & Young and Catherine Pariset for PricewaterhouseCoopers Audit. In 2015, the signatory of d'Ernst & Young remained unchanged although the signatory of PricewaterhouseCoopers Audit is Anik Chaumartin in place of Catherine Pariset.

Alternate Statutory Auditors

Picarle et Associés	Pierre Coll
Represented by Denis Picarle	
1-2, place des Saisons	63, rue de Villiers
92400 Courbevoie, Paris - La Défense 1	92208 Neuilly-sur-Seine, France
Statutory Auditors, Member, Compagnie régionale des Commissaires aux comptes de Versailles	Statutory Auditors, Member, Compagnie régionale des Commissaires aux comptes de Versailles

Ernst & Young was appointed Statutory Auditor under the name Barbier Frinault at the Ordinary General Meeting of 31 May 1994. This term of office was renewed for a further 6 years at the Combined General Meeting of 22 May 2012.

Ernst & Young is represented by Valérie Meeus.

Picarle et Associés was appointed Alternate Auditor for Ernst & Young at the Combined General Meeting of 17 May 2006. This term of office was renewed for a further six years at the Combined General Meeting of 22 May 2012.

PricewaterhouseCoopers Audit was appointed Statutory Auditor at the Ordinary General Meeting of 19 May 2004. This term of office was renewed for a further six years at the Combined General Meeting of 22 May 2012.

PricewaterhouseCoopers Audit is represented by Anik Chaumartin.

Pierre Coll was appointed Alternate Auditor for PricewaterhouseCoopers Audit at the Ordinary General Meeting of 19 May 2004. This term of office was renewed for a further six years at the Combined General Meeting of 22 May 2012.

CROSS-REFERENCE TABLE

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N.A.: not applicable.

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